CASES DECIDED

IN THE

COURT OF APPEALS

OF THE

STATE OF NEW YORK

[197 NE3d 1282, 176 NYS3d 843]

The People of the State of New York, Respondent, v Donnell Baines, Appellant.

Argued September 13, 2022; decided October 20, 2022

SUMMARY

Appeal, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 10, 2019. The Appellate Division modified, on the law and as a matter of discretion in the interest of justice, a judgment of the Supreme Court, New York County (Maxwell Wiley and Ruth Pickholz, JJ., at colloquies on self-representation; Maxwell Wiley, J., at speedy trial motion and suppression proceedings; Patricia M. Nuñez, J., at jury trial and sentencing), as amended, which had convicted defendant of rape in the first degree, criminal sexual act in the first degree, sex trafficking in the first degree (three counts), promoting prostitution in the second degree, promoting prostitution in the third degree, assault in the second degree (three counts), sexual abuse in the first degree, unlawful imprisonment in the second degree and coercion in the first degree, and sentenced him, as a predicate sex offender, to an aggregate term of 50 years. The modification on the law consisted of vacating the second-degree promoting prostitution conviction and dismissing that charge. The modification as a matter of discretion in the interest of justice consisted of directing that the sentence on the rape conviction run concurrently with all other sentences, and

directing that the sentences on the convictions of unlawful imprisonment in the second degree and coercion in the first degree run consecutively to all other sentences, resulting in an aggregate term of 28½ to 32 years. The Appellate Division affirmed the judgment as modified.

People v Baines, 178 AD3d 476, modified.

HEADNOTE

Crimes — Right to Representation Pro Se — Ineffective Waiver of Right to Counsel — Failure to Adequately Warn of Risks

In a criminal prosecution wherein defendant requested and was deemed to be proceeding pro se with an assigned legal advisor at several pretrial appearances after the grand jury proceedings, defendant's waiver of the right to counsel was not effective because the trial court failed to conduct a sufficient inquiry to ensure that the waiver was knowing, voluntary, and intelligent. For a waiver to be effective, the court's discussion of the issue with the defendant must accomplish the goals of adequately warning of the risks inherent in proceeding pro se, and apprising of the singular importance of the lawyer in the adversarial system. Here, the court initially conducted no discussion whatsoever of the risks or importance of a lawyer before stating that defendant was representing himself. Although the court later told defendant that it was "not a great idea" to represent himself, that defendant was putting himself "in a very bad position," and that a lawyer would have knowledge of criminal procedure that defendant did not, those brief, generalized warnings did not satisfy the requirement for a searching inquiry. Nor did a later colloquy before a different justice render defendant's waiver effective where he did not unequivocally request self-representation, had already been representing himself for nearly a year and a half, and the court's discussion similarly informed him that it was "not a good idea" to represent himself and that he was making a mistake. Moreover, when the court permitted standby counsel, it did not explain the court's rules regarding the role of a legal advisor or standby counsel and how that role differs from representation by an attorney. As a result, defendant was entitled to remittal to Supreme Court for an opportunity to make whatever pretrial motions were or could have been made during the period he was unrepresented, as he or his counsel deem appropriate, and the corresponding substantive pretrial proceedings.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d Criminal Law §§ 1126–1131, 1133–1136, 1141.

Carmody-Wait 2d Right to Counsel §§ 184:78–184:80, 184:84–184:88, 184:90–184:91, 184:94–184:95.

LaFave, et al., Criminal Procedure (4th ed) §§ 11.3, 11.5.

NY Jur 2d Criminal Law: Procedure §§ 831–834, 837–838, 840–841, 843–852.

ANNOTATION REFERENCE

Accused's right to represent himself in state criminal proceeding—modern state cases. 98 ALR3d 13.

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Query: right /5 (self-representation OR represent OR "pro se") & (waiver /s voluntary) & colloquy & "searching inquiry" & warning & unequivocal!

POINTS OF COUNSEL

Caprice R. Jenerson, Office of the Appellate Defender, New York City (*Joseph M. Nursey* of counsel), for appellant. I. The search warrant upon which the search of Donnell Baines's home was based is invalid on its face where: the omnibus court improperly considered supporting materials that were not incorporated by reference and attached to the warrant (*see Groh v Ramirez*, 540 US 551 [2004]); the search warrant failed to specify the crime for which evidence was sought; and, the search warrant permitted the search and seizure of all electronic equipment, including cell phones, computers, hard drives, and computer files stored on other devices, as well as virtually any documents, without any guidelines or constraints on the type of items to be seized. (*Payton v New York*, 445 US 573; *Arizona v Gant*, 556 US 332; *People v Nieves*, 36 NY2d 396; *McDonald v United States*, 335 US 451; *People v Duval*, 36 NY3d 384; *United States v Rosa*, 626 F3d 56; *People v Covlin*, 58 Misc 3d 996; *Bartholomew v Commonwealth of Pa.*, 221 F3d 425; *United States v Griffith*, 867 F3d 1265; *United States v Tracey*, 597 F3d 140.) II. Donnell Baines was denied his fundamental right to counsel where the trial court permitted him to represent himself without the assistance of counsel in his appearance before the grand jury and at all of the pretrial proceedings in this case without conducting the required searching inquiry. (*United States v Cronic*, 466 US 648; *Coleman v Alabama*, 399 US 1; *Hamilton v Alabama*, 368 US 52; *Hurrell-Harring v State of New York*, 15 NY3d 8; *People v Settles*, 46 NY2d 154; *Faretta v California*, 422 US 806; *Johnson v Zerbst*, 304 US 458; *People v Silburn*, 31 NY3d 144; *People v Myers*, 160 AD3d 1029; *People v Cole*, 120 AD3d 72.)

Donnell Baines, appellant pro se. The speedy trial motion submitted by Donnell Baines was erroneously decided by both the lower court and the Appellate Division. (*People v Bigwarfe*, 128 AD3d 1170; *People v Sanasie*, 238 AD2d 186; *People v Farkas*, 16 NY3d 190; *People v Sinistaj*, 67 NY2d 236; *People v Buong Sai*, 223 AD2d 439; *People v Curtis*, 196 Misc 2d 1001;

People v Cajigas, 224 AD2d 370; *People v Morales*, 20 NY3d 240; *People v Doshi*, 93 NY2d 499.)

Alvin L. Bragg, Jr., District Attorney, New York City (*Steven C. Wu*, *Valerie Figueredo* and *Eleanor J. Ostrow* of counsel), for respondent. I. Defendant's challenge to the facial validity of the search warrant does not present an issue reviewable by this court. In any event, the warrant was facially valid. (*People v Hawkins*, 11 NY3d 484; *U.S. Bank N.A. v DLJ Mtge. Capital, Inc.*, 33 NY3d 84; *People v Tutt*, 38 NY2d 1011; *People v McLean*, 15 NY3d 117; *People v Kinchen*, 60 NY2d 772; *Matter of Salino v Cimino*, 1 NY3d 166; *People v Bartley*, 298 AD2d 160; *Alessi v County of Nassau*, 100 AD2d 561; *People v Bachert*, 69 NY2d 593; *People v D'Alessandro*, 13 NY3d 216.) II. Defendant's pro se representation during pretrial proceedings does not warrant reversal of his convictions. (*People v Providence*, 2 NY3d 579; *People v Arroyo*, 98 NY2d 101; *People v Crampe*, 17 NY3d 469; *People v Landy*, 59 NY2d 369; *People v Wardlaw*, 6 NY3d 556; *People v Slaughter*, 78 NY2d 485; *People v Augustine*, 21 NY3d 949; *People v Wicks*, 76 NY2d 128; *People v Rodriguez*, 158 AD3d 143; *People v Adams*, 52 AD3d 243.) III. The court properly denied defendant's statutory speedy trial motion. (*People v Carracedo*, 89 NY2d 1059; *People v Brown*, 99 NY2d 488; *People v Cortes*, 80 NY2d 201; *People v Barden*, 27 NY3d 550; *People v Goodman*, 41 NY2d 888.)

OPINION OF THE COURT

Troutman, J.

When a criminal defendant unequivocally requests self-representation, the court must undertake a searching inquiry to ensure that the defendant's waiver of the right to counsel is knowing, voluntary, and intelligent before allowing the defendant to proceed pro se.

> "Although we have eschewed application of any rigid formula and endorsed the use of a nonformalistic, flexible inquiry, the court's record exploration of the issue must accomplish the goals of adequately warning a defendant of the risks inherent in proceeding *pro se*, and apprising a defendant of the singular importance of the lawyer in the adversarial system of adjudication" (*People v Arroyo*, 98 NY2d 101, 104 [2002] [internal quotation marks omitted]).

The court failed to conduct a sufficient inquiry in this case, and therefore defendant's waiver of the right to counsel was not effective.

I.

Defendant was initially indicted on one count of promoting prostitution in the third degree. On November 3, 2010, defendant requested to "handle [his] case pro se" due to a disagreement with his assigned attorney regarding whether he should testify before the grand jury that was considering additional charges in his case. The court granted defendant's request to relieve his assigned attorney but stated that the court would "contact the 18 B panel for a new lawyer," and once that attorney appeared, the court would further discuss with defendant his request to proceed pro se.

Defendant thereafter appeared before the grand jury with a new attorney. On November 5, a superseding indictment was filed charging defendant with several sex trafficking and related counts.

Defendant was arraigned on the superseding indictment on November 17, 2010. During that appearance, the court stated that defendant was "still acting pro se with [the new attorney] as his legal advisor." The attorney likewise confirmed that defendant "still wants to go pro se." At subsequent pretrial appearances, the court continued to state that defendant was representing himself and that the attorney present was defendant's "legal advisor." In June of 2011, after defendant expressed dissatisfaction with his assigned legal advisor, the court appointed a new attorney as defendant's legal advisor but confirmed that defendant remained pro se.

Defendant continued to represent himself until August 27, 2012, when the third attorney assigned as defendant's legal advisor informed the court that defendant wanted her to represent him during his upcoming trial. Defendant therefore represented himself, with varying levels of assistance from his legal advisors, throughout pretrial motion practice and during the pretrial suppression hearing.

The Appellate Division modified the judgment by vacating defendant's conviction of promoting prostitution in the second degree and reducing the sentence, and otherwise affirmed (178 AD3d 476 [1st Dept 2019]). As relevant here, the Appellate Division rejected defendant's contention that he was "deprived of his right to counsel when the court allowed him to proceed pro se at pretrial proceedings," concluding that the record as a whole established that defendant made a knowing, voluntary, and intelligent waiver of his right to counsel (*id.* at 476-477).

A Judge of this Court granted defendant leave to appeal (37 NY3d 970 [2021]).

II.

Initially, on this record, we reject defendant's contention that he was unrepresented by counsel during the second grand jury presentation. The record does not demonstrate that the court designated defendant as pro se before that grand jury appearance.[1]

As the People concede, however, defendant was representing himself on November 17, 2010—when the court stated that defendant was "acting pro se" and that the attorney present was defendant's "legal advisor"—until August 27, 2012. The People contend that viewing the record as a whole, defendant made a knowing, voluntary and intelligent waiver of the right to counsel. We disagree.

Criminal defendants have a constitutional right to be represented by counsel or to represent themselves if they so choose (*see People v Silburn*, 31 NY3d 144, 150 [2018]; *Arroyo*, 98 NY2d at 103). Before a defendant may choose self-representation, however, the defendant " 'must make a knowing, voluntary and intelligent waiver of the right to counsel' " (*People v Crampe*, 17 NY3d 469, 481 [2011], quoting *Arroyo*, 98 NY2d at 103). "To ascertain whether a waiver is knowing, voluntary and intelligent, a court must undertake a 'searching inquiry' designed to 'insur[e] that the defendant [is] aware of the dangers and disadvantages of proceeding without counsel' " (*Crampe*, 17 NY3d at 481, quoting *People v Providence*, 2 NY3d 579, 582 [2004]). "Additionally, a searching inquiry encompasses consideration of a defendant's pedigree since such factors as age, level of education, occupation and previous exposure to the legal system may bear on a waiver's validity" (*Crampe*, 17 NY3d at 482).

We have "consistently refrained from creating a catechism for this inquiry, recognizing that it 'may occur in a nonformalistic, flexible manner' " (*Providence*, 2 NY3d at 580, quoting

1. To the extent defendant asserts that events occurring outside the record support his claim that he was unrepresented before the grand jury, he may raise that issue by way of a CPL article 440 motion.

People v Smith, 92 NY2d 516, 520 [1998]). For a waiver of the right to counsel to be effective, the court's discussion of the issue with the defendant " 'must accomplish the goals of adequately warning a defendant of the risks inherent in proceeding *pro se*, and apprising a defendant of the singular importance of the lawyer in the adversarial system of adjudication' " (*Arroyo*, 98 NY2d at 104, quoting *Smith*, 92 NY2d at 520). "[A] reviewing court may look to the whole record, not simply to the waiver colloquy, in order to determine if a defendant effectively waived counsel" (*Providence*, 2 NY3d at 583).

Here, the court's record exploration of the issue did not warn defendant of the risks of proceeding pro se or apprise him of the importance of a lawyer in the adversarial system, nor does the record as a whole demonstrate that defendant effectively waived his right to counsel. Initially, the court conducted no discussion whatsoever of these issues before stating that defendant was representing himself on November 17, 2010. Although the court later told defendant that it was "not a great idea" to represent himself, that defendant was putting himself "in a very bad position," and that a lawyer would have knowledge of criminal procedure that defendant did not, these brief, generalized warnings do not satisfy the requirement for a searching inquiry (*see Smith*, 92 NY2d at 521; *People v Sawyer*, 57 NY2d 12, 21 [1982]).

We disagree with the People that the April 11, 2012 colloquy before a different justice rendered defendant's waiver of the right to counsel effective. Setting aside that defendant did not unequivocally request self-representation during that appearance and had been representing himself for nearly a year and a half by that time (*see Crampe*, 17 NY3d at 483), the court's discussion with defendant similarly informed him, in various ways, that it was "not a good idea" to represent himself and that defendant was making a mistake. Viewing the record as a whole (*see Providence*, 2 NY3d at 583), the court failed to inform defendant of the "dangers and disadvantages of self-representation" or the "singular importance of [a] lawyer in the adversarial system of adjudication" (*Arroyo*, 98 NY2d at 104 [internal quotation marks omitted]). Defendant's waiver of the right to counsel therefore was not knowing, voluntary, and intelligent.

We continue to recognize that "the multifaceted problems generated by a motion to proceed *pro se* make the task of the trial court exceedingly difficult" (*Crampe*, 17 NY3d at 483 [internal quotation marks and alterations omitted]). We note, however, that when the court, in its discretion, permits standby counsel (*see Silburn*, 31 NY3d at 151), it should explain to the defendant the court's rules regarding the role of a legal advisor or standby counsel and how that role differs from representation by an attorney. No such explanation was given here.

III.

The remedy for deprivation of counsel during pretrial proceedings is not automatically vacatur of the judgment and a new trial, as defendant requests, nor can we simply conclude that the error was harmless, as the People argue. Rather, when a defendant has been deprived of counsel during pretrial proceedings without an effective waiver, we generally remit for a repeat of the pretrial proceeding during which the defendant was deprived of counsel (*see People v Wingate*, 17 NY3d 469, 484 [2011]; *People v Slaughter*, 78 NY2d 485, 493 [1991]; *see also People v Carracedo*, 89 NY2d 1059, 1061-1062 [1997]; *cf. People v Wardlaw*, 6 NY3d 556, 559-561 [2006]). If the defendant is successful upon remittal, then, depending on the nature of the motion, the defendant may be entitled to a new trial or some other appropriate relief, and if the defendant is not successful, then the judgment is to be amended to reflect that result (*see Wingate*, 17 NY3d at 484).

That is the appropriate remedy here. Defendant was unrepresented by counsel from November 17, 2010, to August 27, 2012. He is entitled to remittal to Supreme Court for an opportunity to make whatever pretrial motions were or could have been made during that period, as he or his counsel deem appropriate,[2] and the corresponding substantive pretrial proceedings. In light of this remedy, we do not address defendant's appellate contentions regarding his suppression motion. Finally, defendant presents no arguments on this record regarding his pro se CPL 30.30 motion that require dismissal of the indictment.

Accordingly, the order of the Appellate Division should be modified in accordance with this opinion and, as so modified, affirmed.

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2. Defendant, of course, retains the right to proceed pro se upon remittal if he so chooses, after the requisite searching inquiry guaranteed by our precedent.

Acting Chief Judge CANNATARO and Judges RIVERA, GARCIA, WILSON and SINGAS concur.

Order modified in accordance with the opinion herein and, as so modified, affirmed.

[198 NE3d 466, 177 NYS3d 191]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v HASAHN D. MURRAY, Appellant.

Argued September 7, 2022; decided October 20, 2022

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered December 29, 2020. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Ruth Pickholz, J.), which had convicted defendant, upon a jury verdict, of robbery in the second degree (two counts) and assault in the second degree.

People v Murray, 189 AD3d 688, reversed.

HEADNOTE

Crimes — Jurors — Discharged Alternate Juror Not Available for Service to Replace Trial Juror — Mistrial Required

Once a court has clearly stated on the record that an alternate juror has no further responsibilities in the case, the alternate juror is discharged and is no longer "available for service" under CPL 270.35 (1) as a replacement for a trial juror. Accordingly, when a trial juror was challenged for alleged misconduct prior to the start of deliberations in defendant's trial but after the court had thanked the alternate jurors for their service and "excused [them] from this case," the court erred by recalling the discharged alternates and substituting one of them for the juror accused of misconduct rather than declaring a mistrial. Once a jury retires to deliberate alternate jurors must either be discharged, with the parties' consent, or directed not to discuss the case and kept separate and apart from the regular jurors (CPL 270.30 [1]). If a regular juror is discharged and "an alternate juror or jurors are available for service" the court must order that the discharged juror be replaced by an alternate (CPL 270.35 [1]). If the trial jury has begun deliberating, the defendant must consent to the replacement, and if no alternate is available, the court must declare a mistrial. The plain text of the statutory provisions establishes that a discharged alternate juror is not "available for service" to replace a trial juror pursuant to CPL 270.35 (1). Had the court waited to discharge the alternates until the start of deliberations as CPL 270.30 (1) directs, the alternates would have remained available during the short period of time between discharge of the alternates and the jury retiring to deliberate, and a substitution could have been made without defendant's consent thereby avoiding the necessity of a mistrial (*see* CPL 270.30 [1]; 270.35 [1]).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Trial §§ 1398, 1400.

CARMODY-WAIT 2d Jury Conduct and Deliberation § 201:4.
LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) § 24.9.
MCKINNEY'S, CPL 270.30 (1), (2); 270.35 (1).
NY JUR 2d Criminal Law: Procedure §§ 2646, 2647.

ANNOTATION REFERENCE

See ALR Index under Alternate Jurors; Substitution of Juror.

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Query: discharge! excuse! /4 alternate /2 juror & recall! & mistrial

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POINTS OF COUNSEL

Robert S. Dean, Center for Appellate Litigation, New York City (*Abigail Everett* of counsel), for appellant. I. After discharging a juror for misconduct, the court violated CPL 270.35 (1) by recalling the discharged alternate juror, who had gone home, and seating that individual as a replacement juror, instead of declaring the requested mistrial. (*Jiggetts v Grinker*, 75 NY2d 411; *Matter of Peyton v New York City Bd. of Stds. & Appeals*, 36 NY3d 271; *Town of Aurora v Village of E. Aurora*, 32 NY3d 366; *Yaniveth R. v LTD Realty Co.*, 27 NY3d 186; *Matter of New York County Lawyers' Assn. v Bloomberg*, 19 NY3d 712; *People v Mobil Oil Corp.*, 48 NY2d 192; *People v Odum*, 31 NY3d 344; *People v Page*, 88 NY2d 1; *Xi Yu v New York Univ. Med. Ctr.*, 4 Misc 3d 602; *People v Ryan*, 19 NY2d 100.) II. A field intelligence officer's testimony that he "very very frequently" saw the defendants standing together on a crimeridden block, in good weather and bad, and at "all hours of the day" implied that appellant had a propensity to criminal behavior, and had no particular relevance to whether the defendants acted in concert in their encounter with the complainant. (*People v Resek*, 3 NY3d 385; *People v Arafet*, 13 NY3d 460; *People v Alvino*, 71 NY2d 233; *People v Molineux*, 168 NY 264; *People v Tassiello*, 300 NY 425; *People v Ely*, 68 NY2d 520; *People v Ventimiglia*, 52 NY2d 350; *People v Bradley*, 20 NY3d 128; *People v Green*, 35 NY2d 437.)

Alvin L. Bragg, Jr., District Attorney, New York City (*Alexander Michaels* and *Hilary Hassler* of counsel), for respondent. I. Defendant was tried by a fair and impartial jury (answering defendant's brief, Point I). (*People v Agramonte*, 87 NY2d 765; *People v Page*, 72 NY2d 69; *People v Spencer*, 29 NY3d 302; *People v Rodriguez*, 71 NY2d 214; *People v Jeanty*, 94 NY2d 507; *People v Ortiz*, 92 NY2d 955; *People v Daniels*, 218 AD2d 589; *People v Jimenez*, 101 AD3d 513; *People v Jackson*, 240 AD2d 680; *People v Coppins*, 173 AD3d 1459.) II. Justice Pickholz providently exercised her discretion in allowing a detective to testify about his familiarity with defendant from the neighborhood (answering defendant's brief, Point II). (*People v Molineux*, 168 NY 264; *People v Jackson*, 29 NY3d 18; *People v Bailey*, 32 NY3d 70; *People v Campbell*, 182 AD3d 1004, 35 NY3d 1043; *People v Martinez*, 164 AD3d 1260; *People v Williams*, 163 AD3d 1160; *People v Correa*, 16 AD3d 355; *People v Arafet*, 13 NY3d 460; *People v Dorm*, 12 NY3d 16; *People v Denson*, 26 NY3d 179.)

OPINION OF THE COURT

GARCIA, J.

Prior to the start of deliberations in defendant's trial, the court discharged the alternate jurors. A trial juror was subsequently challenged and ultimately removed for alleged misconduct, and the court recalled, questioned, and seated one of the discharged alternates. Seating of this discharged alternate juror was error. An alternate juror, once discharged, is no longer "available for service" as a replacement for a trial juror.

Defendant and two codefendants were tried on assault and robbery charges. Following summations, the court discharged the two alternate jurors, stating "I can't let you go without thanking you and telling you you are excused from this case and from jury duty for about six years, that is the good news. You are excused now." The court sent the jury to lunch, and the two alternates left the courthouse. During the lunch break, counsel for a codefendant informed the court that one of the trial jurors had discussed the case at a social gathering, and as a result should be dismissed. Defendant argued that because the alternate jurors had been discharged, they could not be substituted and a mistrial was required. After some discussion, the court concluded that the decision to bring the alternates back was within its discretion and contacted the two discharged alternate jurors, confirmed they had not discussed the case or formed an opinion, and asked them to return to court the following day. The next morning, counsel for all defendants moved again for a mistrial and refused to consent to seating the alternates. The court once more confirmed that the alternates had not discussed the case, formed an opinion about it, or visited the crime scene, and after dismissing the juror accused of misconduct, sat the first alternate. The jury then began deliberations, ultimately finding defendant guilty of two counts of robbery in the second degree and assault in the second degree.

The Appellate Division, with one Justice dissenting, affirmed, holding that the trial court providently exercised its discretion in determining whether the previously discharged juror was "available for service" (189 AD3d 688 [1st Dept 2020]; *see* CPL 270.35 [1]). At that point in the proceedings, defendant's consent to the substitution was not required, given that the jury had not begun its deliberations (*id.* at 689). The dissenting Justice would have held that the trial court "had neither the statutory authority nor the inherent power to recall alternate jurors who had been discharged and returned to their private life" (*id.* at 692 [Renwick, J., dissenting]). Alternate jurors, the dissent asserted, were not permitted to "continue in a limbo state where they are 'discharged' but also still 'available' to serve" (*id.* at 698). The dissenting Justice granted leave to appeal to this Court (36 NY3d 1061 [2021]).

In determining whether the substitution of the recalled alternate juror was permissible, we turn first to the plain language of the relevant provisions of the Criminal Procedure Law.[1] The trial court "may in its discretion" select up to six alternate jurors—or in the case of first-degree murder as many as the court deems appropriate—who "must take the same oath as the regular jurors" and must be qualified in the same way (CPL 270.30 [1]). Discretion as to their use at trial is more limited. At the point when the jury retires to deliberate, "the court *must* either (1) with the consent of the defendant and the people, discharge the alternate jurors or (2) direct the alternate jurors not to discuss the case and must further direct that they be kept separate and apart from the regular jurors" (*id.* [emphasis added]). Replacement of a trial juror with an

1. This issue is preserved for our review. Defendant's attorney specifically objected to the trial court's decision to reseat the alternate juror on the ground that discharged jurors "are no longer jurors" and joined cocounsel's argument on this issue (CPL 470.05 [2]). Moreover, "in response to defendant's protest, [the court] 'expressly decided the question raised on appeal' " (*People v Smith*, 22 NY3d 462, 465 [2013]).

alternate juror is governed by CPL 270.35. If, after the jury has been sworn but before it has rendered a verdict, the trial court determines that a regular juror is unable to continue serving, is grossly unqualified, or has committed substantial misconduct that does not warrant the declaration of a mistrial, the court must discharge that juror and may, under certain circumstances, replace the discharged trial juror with an alternate as follows:

> "If an alternate juror or jurors *are available for service*, the court must order that the discharged juror be replaced by the alternate juror whose name was first drawn and called, provided, however, that if the trial jury has begun its deliberations, the defendant must consent to such replacement . . . *If no alternate juror is available, the court must declare a mistrial*" (CPL 270.35 [1] [emphasis added]).

As used in the statute, the terms "discharged" and "available for service" with respect to alternate jurors are mutually exclusive. CPL 270.30 (1) provides the court with two distinct options regarding alternate jurors after the jury retires to deliberate: it can either discharge them (with the parties' consent) or retain them and keep them separate and apart from the deliberating jury—that is, keep them available. A provision added to the statute in 1995, governing the use of alternates in capital cases, again emphasizes the relationship between the terms: alternate jurors in such cases "shall not be discharged and shall remain available for service," indicating that "available for service" entails "not be[ing] discharged" (CPL 270.30 [2]; *see* 1995 McKinney's Session Law News of NY, ch 1, § 16 [Mar. 1995]). The plain text of the statutory provisions therefore establishes that a discharged alternate juror is not "available for service" pursuant to CPL 270.35 (1) (*see Matter of New York County Lawyers' Assn. v Bloomberg*, 19 NY3d 712, 721 [2012], citing *People v Mobil Oil Corp.*, 48 NY2d 192, 199 [1979]). Accordingly, where the alternate jurors have been discharged, the court's sole remedy is to declare a mistrial (CPL 270.35 [1]).

That conclusion does not, however, end our inquiry. Instead, we must determine when an alternate juror is in fact "discharged" from service. The term is not defined in the Criminal Procedure Law. That being the case, a useful guidepost can be found in Black's Law Dictionary's definition of discharge of a juror, namely to relieve the "juror . . . from further responsibilities in a case" (Black's Law Dictionary [11th ed 2019], discharge; *see People v Aleynikov*, 31 NY3d 383, 397 [2018]). Under this definition, once the court has clearly stated on the record that an alternate juror has no further responsibilities in the case, the alternate juror is discharged.

Adoption of this bright-line rule for alternate jurors is consistent with the relevant CPL provisions and with our State Constitution. The CPL limits the trial court's discretion in discharging and substituting alternate jurors. Beyond a statutory command, the requirement of written consent on the part of the defendant—which must be given in person in open court (CPL 270.35 [1])—incorporates our holding that the New York Constitution prohibits the substitution of an alternate juror after the jury has begun deliberations (*see People v Ryan*, 19 NY2d 100, 104-105 [1966]; *see generally People v Page*, 88 NY2d 1, 7-9 [1996]). We have consistently required "strict compliance with the requirements of CPL 270.35" (*People v Gajadhar*, 9 NY3d 438, 445-446 [2007]), and we do so again here.

On these facts, there can be no doubt that when the trial judge thanked the alternate jurors for their service and "excused [them] from this case," the alternate jurors were discharged. At that point, the alternates "cease[d] to function" as jurors (*Ryan*, 19 NY2d at 105) and were no longer available for service under the statute. Therefore, the trial judge erred in replacing the trial juror with an alternate following that discharge from service.[2]

We note that the circumstances of this case are unusual. CPL 270.30 (1) requires a decision on discharge of the alternates "[a]fter the jury has retired to deliberate." Here, the trial court discharged the alternates after closing arguments were made and then sent the trial jury to lunch. It was in this short period between discharge of the alternates and the jury "retir[ing] to deliberate" that the issue with the trial juror arose. Had the court waited to discharge the alternates until the start of deliberations as the statute directs, the alternates would have remained available during that time, and a substitution could have been made without defendant's consent

2. We have no occasion here to consider recall of a discharged jury or of an individual trial juror (*see e.g. People v Pearson*, 67 AD3d 600 [1st Dept 2009]), nor do we address whether dismissal of an alternate juror based on a trial court's mistake of fact, for example, an erroneous belief that a juror has failed to appear, constitutes a "discharge" (*see e.g. People v Williams*, 273 AD2d 162 [1st Dept 2000]).

thereby avoiding the necessity of a mistrial (*see* CPL 270.30 [1]; 270.35 [1]).

Under these circumstances, we do not reach defendant's remaining argument regarding the trial court's *Molineux* ruling (*see People v Bridgeforth*, 28 NY3d 567, 577 [2016]). Accordingly, the order of the Appellate Division should be reversed and a new trial ordered.

Acting Chief Judge CANNATARO and Judges RIVERA, WILSON, SINGAS and TROUTMAN concur.

Order reversed and a new trial ordered.

[198 NE3d 478, 177 NYS3d 203]

In the Matter of City of Long Beach, Respondent, v New York State Public Employment Relations Board et al., Appellants.

Argued September 7, 2022; decided October 25, 2022

SUMMARY

Appeals, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered October 7, 2020. The Appellate Division (1) reversed, on the law, an order and judgment (one paper) of the Supreme Court, Nassau County (R. Bruce Cozzens, J.; op 2018 NY Slip Op 34445[U] [2018]), entered in a proceeding pursuant to CPLR article 78, which had (a) granted the motion of respondent New York State Public Employment Relations Board (PERB) to dismiss the petition seeking to (i) annul respondent PERB's determination finding that petitioner violated Civil Service Law § 209-a (1) (d); and (ii) dismiss an improper practice charge filed by respondent Long Beach Professional Firefighters Association, IAFF, Local 287 (LBPFA); and (b) dismissed the petition; (2) denied respondent PERB's motion to dismiss the petition; (3) granted the petition; (4) declared respondent PERB's determination to be null and void; and (5) dismissed respondent LBPFA's improper practice with prejudice.

Matter of City of Long Beach v New York State Pub. Empl. Relations Bd., 187 AD3d 745, reversed.

HEADNOTE

Civil Service — Collective Bargaining — Procedures Prior to Termination of Employment Following One-Year Disability Leave

The Taylor Law (Civil Service Law § 200 *et seq.*) requires a municipality to engage in collective bargaining over the procedures for terminating municipal employees after they have been absent from work for more than a year due to an injury sustained in the line of duty. Civil Service Law § 71 entitles public employees disabled by an occupational injury to a one-year leave of absence and provides them with a means for later reinstatement if they are terminated for being absent for longer than one year. There is no plain and clear evidence that the legislature intended to foreclose from mandatory bargaining the procedures for terminating employees covered by the statute. Nor is there a specific statutory directive that leaves no room for negotiation of pretermination procedures. Inasmuch as section 71 does not reference pretermination procedures at all, the statute plainly left room for the parties to negotiate those procedures. Moreover, due process required petitioner to provide notice and a minimal opportunity to be heard prior to terminating an employee covered by section 71, regardless of the section's provisions for seeking reinstatement after termination. Further, notice and an opportunity to be heard plainly qualify as "procedures," and under the Taylor Law public employers must negotiate the details of those procedures.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Public Officers and Employees §§ 438–439, 443.
CARMODY-WAIT 2d Proceeding Against a Body or Officer § 145:1131.
MCKINNEY'S, Civil Service Law §§ 71; 200 *et seq.*
NY JUR 2d Civil Servants and Other Public Officers and Employees §§ 418, 441, 449, 520.

ANNOTATION REFERENCE

Bargainable or negotiable issues in state public employment labor relations. 84 ALR3d 242.

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POINTS OF COUNSEL

Michael T. Fois, General Counsel, Albany, for New York State Public Employment Relations Board, appellant. I. Under CPLR article 78, judicial review of a determination by the Public Employment Relations Board regarding an improper practice claim is limited to whether the decision "was affected by an error of law or was arbitrary and capricious or an abuse of discretion" (*Matter of Kent v Lefkowitz,* 27 NY3d 499, 505 [2016], quoting CPLR 7803 [3]). (*Matter of Incorporated Vil. of Lynbrook v New York State Pub. Empl. Relations Bd.*, 48 NY2d 398; *Matter of West Irondequoit Teachers Assn. v Helsby*, 35 NY2d 46; *Matter of Medical Malpractice Ins. Assn. v Superintendent of Ins. of State of N.Y.*, 72 NY2d 753; *Matter of Poughkeepsie Professional Firefighters' Assn., Local 596, IAFF, AFL-CIO-CLC v New York State Pub. Empl. Relations Bd.*, 6 NY3d 514; *Matter of Uniformed Firefighters Assn. of Greater N.Y. v City of New York*, 114 AD3d 510, 23 NY3d 904; *Matter of Peckham v Calogero*, 12 NY3d 424.) II. This Court's precedent firmly establishes that procedures associated with the discretionary exercise of statutory rights are mandatorily negotiable absent plain and clear or inescapably implicit legislative intent to the contrary. (*Matter of Cohoes City School Dist. v Cohoes Teachers Assn.*, 40 NY2d 774.) III. The decision relies upon arguments not raised by the City before the Public Employment Relations Board, and thus unpreserved, and never raised before the Second Department. (*Matter of Civil Serv. Empls. Assn. v Public Empl. Relations Bd.*, 73 NY2d 796; *Matter of New York State Correctional Officers & Police Benevolent Assn. v New York State Pub. Empl. Relations Bd.*, 309 AD2d 1118; *Matter of Town of Islip v New York State Pub. Empl. Relations Bd.*, 23 NY3d 482; *Matter of Klapak v Blum*, 65 NY2d 670; *Matter of Yonkers Gardens Co. v State of N.Y. Div. of Hous. & Community Renewal*, 51 NY2d 966.) IV. A regulation cannot supersede Taylor Law bargaining obligations. (*Matter of State of New York v New York State Pub. Empl. Relations Bd.*, 176 AD3d 1460.)

Law Offices of Louis D. Stober, Jr., L.L.C., Mineola (*Louis D. Stober, Jr.* of counsel), for Long Beach Professional Firefighters Association, IAFF, Local 287, appellant. In rendering its decision, the Appellate Division, Second Department has destroyed decades of precedent, even from this Court (*Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73 [2000]) and has thrown labor relations throughout the state in flux.

Bond, Schoeneck & King PLLC, Garden City (*Terry O'Neil* and *Emily Iannucci* of counsel), for respondent. I. The Appellate Division, Second Department, did not err when it held that public employers in New York State are not required to negotiate procedures for terminating employees under section 71 of the Civil Service Law. (*Matter of City of New York v Patrolmen's Benevolent Assn. of the City of N.Y., Inc.*, 14 NY3d 46; *Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73; *Matter of Cohoes City School Dist. v Cohoes Teachers Assn.*, 40 NY2d 774; *Matter of Susquehana Val. Cent. School Dist. at Conklin [Susquehana Val. Teachers' Assn.]*, 37 NY2d 614; *Syracuse Teachers Assn. v Board of Educ., Syracuse City School Dist.*, 35 NY2d 743; *Matter of Economico v Village of Pelham*, 50 NY2d 120; *Matter of Prue v Hunt*, 78 NY2d 364; *Matter of Enlarged City Sch. Dist. of Middletown N.Y. v Civil Serv. Empls. Assn., Inc.*, 148 AD3d 1146; *Matter of Duncan v New York State Dev. Ctr.*, 63 NY2d 128; *Matter of Jordan v New York City Hous. Auth.*, 33 NY3d 408.) II. Even if, arguendo, public employers were required to negotiate procedures for terminating employees under section 71 of the Civil

Service Law, the City did not implement any such procedures. (*Gudema v Nassau County*, 163 F3d 717.) III. The Appellate Division, Second Department, erred in relying, in part, on 4 NYCRR 5.9. (*Matter of City of New York v City Civ. Serv. Commn.*, 60 NY2d 436; *Matter of City of Long Beach v Civil Serv. Empls. Assn., Inc.—Long Beach Unit*, 8 NY3d 465; *Matter of Goodman v Department of Civ. Serv. of County of Suffolk*, 151 AD2d 481; *Matter of Cooke v City of Long Beach*, 247 AD2d 538; *Matter of Lynn v Town of Clarkstown*, 296 AD2d 411.) IV. Appellants' emphasis on the Second Department's mistaken reliance on 4 NYCRR 5.9 is misplaced.

Blitman & King LLP, Syracuse (*Nathaniel G. Lambright* and *Nolan J. Lafler* of counsel), and *Archer, Byington, Glennon & Levine, LLP*, Melville (*Richard S. Corenthal* of counsel), for New York State Professional Fire Fighters Association, amicus curiae. There is no specific statutory directive leaving no room for the parties to negotiate procedures to implement Civil Service Law § 71. (*Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73; *Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.*, 75 NY2d 660; *Matter of State of New York v New York State Pub. Empl. Relations Bd.*, 176 AD3d 1460; *Matter of Auburn Police Local 195, Council 82, Am. Fedn. of State, County & Mun. Empls., AFL-CIO v Helsby*, 62 AD2d 12, 46 NY2d 1034; *Matter of Poughkeepsie Professional Firefighters' Assn., Local 596, IAFF, AFL-CIO-CLC v New York State Pub. Empl. Relations Bd.*, 6 NY3d 514.)

OPINION OF THE COURT

TROUTMAN, J.

We are presented with the following question: Does the Taylor Law (Civil Service Law § 200 *et seq.*) require a municipality to engage in collective bargaining over the procedures for terminating municipal employees after they have been absent from work for more than a year due to an injury sustained in the line of duty? We hold that collective bargaining is required.

I.

Nonparty Jay Gusler is a professional firefighter for the City of Long Beach (City) and a member of the Long Beach Professional Firefighters Association (Union). He sustained injuries in the line of duty in November 2014, which were later determined to be compensable under the Workers' Compensation Law.

In November 2015, the City's Fire Commissioner sent Gusler a letter notifying him that the City was evaluating whether to exercise its right to terminate Gusler's employment, inasmuch as Civil Service Law § 71 would no longer prohibit the City from terminating him after his absence from work for more than a year due to his injury. The letter explained that if Gusler "dispute[d] this potential termination" the City would hold a meeting at a specified time and date at which he would have the opportunity to be heard, but if he failed to attend the meeting then the Fire Commissioner would determine that Gusler was not contesting his termination and would recommend his discharge.

The Union responded by sending the City a demand to negotiate the procedures for terminating its members covered by section 71's protections. After the City refused, the Union filed an improper practice charge with the Public Employment Relations Board (PERB). The charge claimed that the City's refusal to negotiate in good faith violated section 209-a (1) (d) of the Taylor Law.

On administrative appeal, PERB affirmed an administrative law judge's decision and concluded that under PERB's precedents the City had an obligation to engage in collective bargaining prior to imposing procedures for terminating an employee covered by section 71. PERB reasoned that "there is nothing inescapably implicit in [section] 71 which establishes the Legislature's plain and clear intent to exempt employers from the State's 'strong and sweeping policy' to support employer-employee negotiations."

Deferring to PERB's interpretation of section 71, Supreme Court dismissed the City's CPLR article 78 petition seeking to annul PERB's decision (2018 NY Slip Op 34445[U] [Sup Ct, Nassau County 2018]). The Appellate Division reversed and, among other things, annulled PERB's determination. The Court held that it need not defer to PERB's interpretation of section 71 and that the City overcame the presumption in favor of mandatory bargaining (187 AD3d 745, 747-748 [2d Dept 2020]).

This Court granted leave to appeal (36 NY3d 911 [2021]). We now reverse.

II.

The dispositive question on this appeal is whether the Taylor Law requires public employers to bargain over the pretermination procedures used in implementing Civil Service Law § 71. Based on the language and legislative history of section 71, we conclude that it does. In reaching that conclusion, "[w]e decide th[e] issue de novo . . . because the question is one of pure statutory construction dependent only on accurate apprehension of legislative intent [with] little basis to rely on any special competence of PERB" (*Matter of New York City Tr. Auth. v New York State Pub. Empl. Relations Bd.*, 8 NY3d 226, 231 [2007] [internal quotation marks omitted]).

The Taylor Law requires public employers to collectively bargain over public employees' "terms and conditions of employment" (Civil Service Law § 204 [2]). That requirement reflects the "strong and sweeping" public policy in favor of collective bargaining in this state (*Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73, 78 [2000] [internal quotation marks omitted]). "The presumption in favor of bargaining may be overcome only in 'special circumstances' where the legislative intent to remove the issue from mandatory bargaining is 'plain' and 'clear' . . . *or* where a specific statutory directive leaves 'no room for negotiation' " (*id.* at 78-79 [emphasis added]). For instance, bargaining may be foreclosed when a statute directs that a certain action be taken by the employer or when the subject of bargaining would result in the employer surrendering nondelegable statutory responsibilities (*see Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.*, 75 NY2d 660, 667 [1990]). Furthermore, although rarely invoked, "we have held that some subjects are excluded from collective bargaining as a matter of policy, even where no statute explicitly says so" (*Matter of Patrolmen's Benevolent Assn. of City of N.Y., Inc. v New York State Pub. Empl. Relations Bd.*, 6 NY3d 563, 572 [2006]).

In relevant part, section 71 states that, "[w]here an employee has been separated from the service by reason of a disability resulting from occupational injury or disease as defined in the work[ers'] compensation law, [the employee] shall be entitled to a leave of absence for at least one year" (Civil Service Law § 71).

The legislature enacted section 71 to address prolonged employee absences and "strike a balance between the recognized substantial State interest in an efficient civil service and the interest of the civil servant in continued employment in the event of a disability" (*Matter of Allen v Howe*, 84 NY2d 665, 672 [1994]). The statute does so by entitling public employees disabled by an occupational injury to a one-year leave of absence, while also providing them with a means for later reinstatement if they are terminated for being absent longer than a year (*see* Civil Service Law § 71; Mem of Dept of Civ Serv, Bill Jacket, L 1958, ch 790 at 22; *see also Matter of Jordan v New York City Hous. Auth.*, 33 NY3d 408, 413 [2019]; *Allen*, 84 NY2d at 672).

Section 71 also avoids stigmatizing employees experiencing work-related disabilities—particularly disabilities resulting from mental health issues—which the legislature has acknowledged can occur if, instead, employers resort to terminating those employees using the disciplinary proceedings provided for under Civil Service Law § 75 (*see Jordan*, 33 NY3d at 412-413; *Allen*, 84 NY2d at 671-672; Mem of Dept of Civ Serv, Bill Jacket, L 1965, ch 508, 1965 NY Legis Ann at 91-92).[1] Prior to section 71's enactment, "a civil service employer was unable to fill the vacancy created by [an] absent, disabled employee, short of the employee's resignation, unless the employer instituted a disciplinary proceeding alleging incompetency or incapacity to perform, and the employee was dismissed after a hearing adjudging such 'incompetency' " (*Allen*, 84 NY2d at 671). Section 71 provides an alternative by granting an employee with a work-related disability a leave of absence of up to one year and conditional reinstatement—even after that year has passed—while allowing the employer to fill the position if it chooses to terminate the employee.

Our review of section 71 reveals that "there is no 'plain' and 'clear' evidence that the Legislature intended" to foreclose from mandatory bargaining the procedures for terminating employees covered by the statute (*Watertown*, 95 NY2d at 85). Both the language and legislative history of the section are silent on

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1. Civil Service Law § 75 establishes protections and procedures for covered employees facing discipline and provides that they "shall not be removed or otherwise subjected to any disciplinary penalty provided in this section except for incompetency or misconduct shown after a hearing upon stated charges pursuant to this section" (Civil Service Law § 75 [1]).

the issue of collective bargaining.[2] Nor has the City presented any other evidence suggesting a legislative intent to limit collective bargaining here: it has neither provided legislative history from the Taylor Law nor pointed to other statutory provisions exempting this case from that law.[3]

Nor is there a "specific statutory directive [that] leaves 'no room for negotiation' " of pretermination procedures (*Watertown*, 95 NY2d at 78-79). Section 71 does not, for example, specify the amount of advance notice that the employee must receive, the content of such notice, or the requirement that the employee have an opportunity to be heard prior to termination. Indeed, inasmuch as section 71 does not reference pretermination procedures at all, the statute plainly leaves room for the City and the Union to negotiate those procedures.[4]

The City's additional arguments are not persuasive. The need for the City to provide pretermination procedures is not eliminated by a terminated employee's ability to seek reinstatement under section 71. Following *Matter of Prue v Hunt*, it is obvious that due process requires the City to provide "notice and a minimal opportunity to be heard" prior to terminating an employee covered by section 71, regardless of the section's provisions for seeking reinstatement after termination (78 NY2d 364, 366 [1991] [abrogating *Matter of Economico v Village of Pelham*, 50 NY2d 120 (1980)]). Furthermore, notice and an opportunity to be heard plainly qualify as "procedures," and here under the Taylor Law public employers must negotiate the details of those procedures (*compare Prue*, 78 NY2d at 367-369, *with Watertown*, 95 NY2d at 81).

The City also misconstrues the portion of our decision in *Economico* that was not abrogated by *Prue*. There we held that

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2. This comes as no surprise. The legislature enacted section 71 in 1958, nearly a decade before the Taylor Law's enactment (*compare* Civil Service Law § 71, *with* Civil Service Law § 200 *et seq.*).

3. Of course, negotiation is permissive but not mandatory if "the Legislature has manifested an intention to commit [a] decision[ ] to the discretion of the public employer" (*Board of Educ. of City School Dist. of City of N.Y.*, 75 NY2d at 669). Here, "we see no evidence—let alone *clear* evidence—that the Legislature intended to withdraw the subject . . . from the mandatory negotiating process" (*id.* at 670).

4. Additionally, in this case, 4 NYCRR 5.9 does not foreclose collective bargaining of pretermination procedures. Although relied upon by the Appellate Division (187 AD3d at 747-748), the regulation by its terms applies only to "State employees who are subject to section 71" (4 NYCRR 5.9 [a]; *see* 4 NYCRR 1.1). Gusler is a municipal employee, *not* a state employee. We offer no further opinion about the merits of the regulation.

"public policy prohibits an employer from bargaining away its right to remove those employees satisfying the plain and clear statutory requisites for termination" (*Economico* at 129). Requiring the City to negotiate with the Union over procedures for terminating an employee covered by section 71—which are not addressed in the statute—is fundamentally different from requiring the City to negotiate over the right to terminate an employee after the year-long period of absence protected by section 71.

Contrasting our decisions in *Watertown* and *Matter of City of Schenectady v New York State Pub. Empl. Relations Bd.* (85 NY2d 480 [1995]) is illustrative. Both of those cases involved issues of whether certain aspects of General Municipal Law section 207-c are mandatory subjects of collective bargaining. Under section 207-c, "disabled police officers who suffer injury or illness in the course of employment may continue to receive their salary, but the City has the right to conduct their medical examinations, prescribe treatment and order them back to work—for full or light duty—if it deems them capable" (*Watertown*, 95 NY2d at 76).

In *Schenectady*, we held that a city's authority under section 207-c to make initial determinations about those matters is not "subject to mandatory bargaining" (*Schenectady*, 85 NY2d at 483). We left open the question of whether "the procedures for implementation of the requirements of [section] 207-c" are a subject of collective bargaining (*id.* at 487), but we answered that question in the affirmative five years later in *Watertown*. There, we held that "the procedures for contesting the City's determinations under section 207-c are a mandatory subject of bargaining" (*Watertown*, 95 NY2d at 79). We distinguished our holding in *Schenectady*, concluding that "[u]nlike the initial determinations themselves"—which were at issue in *Schenectady*—"the text of section 207-c says nothing about the procedures for contesting those determinations" (*id.* at 81). We then explained that, based on the text and history of section 207-c, it was evident that "[t]he Legislature expressed no intent—let alone the required 'plain' or 'clear' intent—to remove the review procedures from mandatory bargaining" (*id.*).

Although the structure and legislative intent undergirding the statute at issue in *Schenectady* and *Watertown* is different from that of the statute at issue here, the principles pronounced in those decisions apply generally to section 71. Here, although it is undisputed that the City's right to terminate is not a subject of mandatory negotiation, the City must negotiate the procedures necessary to effectuate that right.

We disagree with the City that requiring municipalities to negotiate those pretermination procedures frustrates the legislative intent of allowing employers to maintain efficiency by quickly filling vacancies on a permanent basis after a year. In the future, the City and the Union will only need to negotiate pretermination procedures as part of any new collective bargaining agreement, not every time the City seeks to terminate an employee. For that reason, requiring negotiation does not clearly undermine the efficiencies that the legislature sought to create in enacting section 71. Indeed, the City can negotiate for procedures that it deems efficient. Additionally, inasmuch as the legislature also designed section 71 as an alternative to "the procedural hurdle" of employers having to commence section 75 disciplinary hearings (*Jordan*, 33 NY3d at 413), that purpose is preserved despite the bargaining requirement.

Finally, the City raises concerns that the Union may use collective bargaining to undermine its right to terminate employees on disability at the appropriate time. But there are avenues to address those concerns—including, but not limited to, impasse arbitration or declaratory rulings by PERB—which would be subject to judicial review to the extent permitted under the CPLR (*see* Civil Service Law §§ 209, 213; 4 NYCRR 210.1; *Matter of City of New York v New York State Pub. Empl. Relations Bd.*, 54 AD3d 480, 482 [3d Dept 2008]). In any event, "the theoretical possibility of a negotiating deadlock" does not render the issue of pretermination procedures a prohibited subject of negotiation (*Board of Educ. of City School Dist. of City of N.Y.*, 75 NY2d at 671).

Accordingly, the order of the Appellate Division should be reversed, with costs, and the order and judgment of Supreme Court reinstated.

Acting Chief Judge Cannataro and Judges Rivera, Garcia, Wilson and Singas concur.

Order reversed, with costs, and order and judgment of Supreme Court, Nassau County, reinstated.

[198 NE3d 768, 177 NYS3d 525]

SAGE SYSTEMS, INC., Respondent, v MICHAEL LISS, as Executor of the Estate of ROBERT LISS, Deceased, Appellant.

Argued September 13, 2022; decided October 20, 2022

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 27, 2021. The Appellate Division (1) affirmed a judgment of the Supreme Court, New York County (Barbara Jaffe, J.), which had awarded plaintiff a sum certain on its contractual indemnification claim; and (2) dismissed, as subsumed in the appeal from the judgment, the appeal from an order of that Supreme Court (op 2020 NY Slip Op 31287[U] [2020]), which had granted plaintiff's motion for summary judgment on its contractual indemnification claim, ordered defendant to indemnify plaintiff for all costs and expenses, including attorney fees incurred in the 2006 dissolution action, denied defendant's cross motion for summary judgment and ordered judgment be entered in favor of plaintiff.

Sage Sys., Inc. v Liss, 193 AD3d 624, reversed.

HEADNOTE

Partnership — Partnership Agreement — Recovery of Attorney's Fees Incurred in Dissolution Action

Plaintiff was not entitled to recover attorney's fees and costs incurred in successfully defending a partnership dissolution action brought by a former partner, where nothing in the partnership agreement's indemnification provision made unmistakably clear that the partners intended to permit recovery for attorney's fees in an action between them on the contract. Under the American rule, attorney's fees are incidents of litigation and a prevailing party may not collect them from the loser unless an award is authorized by agreement between the parties, statute or court rule. Courts should not infer a party's intention to waive the benefit of the rule unless the intention to do so is unmistakably clear from the language of the promise. The indemnification provision made no explicit mention that partners may recoup attorney's fees in an action on the contract. Nor was there any basis to infer the provision was limited to actions between the partners. The indemnification provision broadly applied to all types of actions. It was not limited to actions between the partners but encompassed actions involving third parties. It was limited in scope only by the requirement that the partner have committed some misconduct. It was not difficult to ascertain what the indemnification clause would cover other than attorney's fees in suits between the parties.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Partnership §§ 303, 571, 572.

CARMODY-WAIT 2d Actions and Proceedings by or Against, or in Reference to, Partnerships and Associations §§ 122:70, 122:84.

NY JUR 2d Business Relationships §§ 1612, 1779.

ANNOTATION REFERENCE

See ALR Index under Partnerships.

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POINTS OF COUNSEL

Raimondi Law, P.C., Massapequa (*Christopher A. Raimondi* and *Anthony T. Wladyka, III* of counsel), for appellant. I. The parties' partnership agreement does not provide for the award of attorney's fees in direct actions between partners. (*Hooper Assoc. v AGS Computers*, 74 NY2d 487; *Oscar Gruss & Son, Inc. v Hollander*, 337 F3d 186; *Canpartners Invs. IV, LLC v Alliance Gaming Corp.*, 981 F Supp 820; *Breed, Abbott & Morgan v Hulko*, 139 AD2d 71, 74 NY2d 686; *Crown Wisteria, Inc. v Cibani*, 178 AD3d 524; *Crossroads ABL LLC v Canaras Capital Mgt., LLC*, 105 AD3d 645; *WSA Group, PE-PC v DKI Eng'g & Consulting USA PC*, 178 AD3d 1320; *HealthNow N.Y., Inc. v David Home Bldrs., Inc.*, 176 AD3d 1602; *Nigri v Liberty Apparel Co., Inc.*, 76 AD3d 842; *Crown Wisteria, Inc. v Cibani*, 178 AD3d 524.) II. The motion court erred in finding bad faith on the part of Robert Liss, without which there can be no liability under section 13.02 of the parties' partnership agreement. (*Citibank, N.A. v American Banana Co., Inc.*, 50 AD3d 593; *Garofano Constr. Co., Inc. v City of New York*, 180 Misc 539, 266 App Div 960; *Ewen v Thompson-Starrett Co.*, 208 NY 245; *Matter of Allstate Ins. Co. v Perez*, 157 AD2d 521; *DiPace v Figueroa*, 223 AD2d 949.)

Law Offices of Fred L. Seeman, New York City (*Fred L. Seeman, Peter Kirwin* and *Ryan Marrano* of counsel), for respondent. I. Robert Liss' commencement and maintenance of an action seeking judicial dissolution of the parties' partnership, without evidentiary support and with unclean hands, constitutes bad faith. (*Obabueki v International Bus. Machines Corp.*, 145 F Supp 2d 371; *Smullens v MacVean*, 183 AD2d 1105, 85

NY2d 995; *Kalisch-Jarcho, Inc. v City of New York*, 58 NY2d 377; *61 W. 62nd Owners Corp. v Harkness Apt. Owners Corp.*, 202 AD2d 345; *Lichtman v Grossbard*, 73 NY2d 792; *Immuno AG. v Moor-Jankowski*, 77 NY2d 235; *Garofano Constr. Co., Inc. v City of New York*, 180 Misc 539, 266 App Div 960; *Chemical Bank v Stahl*, 237 AD2d 231.) II. The indemnification provision of the parties' partnership agreement applies to claims between the partners. (*Crown Wisteria, Inc. v Cibani*, 178 AD3d 524; *Crossroads ABL LLC v Canaras Capital Mgt., LLC*, 105 AD3d 645; *Gotham Partners, L.P. v High Riv. Ltd. Partnership*, 76 AD3d 203, 17 NY3d 713; *Oscar Gruss & Son, Inc. v Hollander*, 337 F3d 186; *Hooper Assoc. v AGS Computers*, 74 NY2d 487.) III. The partnership agreement's indemnification provision allows for the recovery of attorneys' fees. (*Breed, Abbott & Morgan v Hulko*, 139 AD2d 71; *Nigri v Liberty Apparel Co., Inc.*, 76 AD3d 842; *Zissu v Bear, Stearns & Co.*, 627 F Supp 687; *Hooper Assoc. v AGS Computers*, 74 NY2d 487; *Gotham Partners, L.P. v High Riv. Ltd. Partnership*, 76 AD3d 203, 17 NY3d 713.)

OPINION OF THE COURT

RIVERA, J.

Under the American rule, a prevailing party in litigation generally may not recover attorney's fees from the losing party (*see Hooper Assoc. v AGS Computers*, 74 NY2d 487, 491 [1989]). Plaintiff claims that defendant waived the benefit of this rule by agreeing to a broad indemnification provision in their partnership agreement. We reject plaintiff's argument and conclude that the provision lacks express language or indicia of the parties' "unmistakably clear" intent to indemnify each other for attorney's fees in an action between them on the contract (*id.* at 492). Accordingly, we reverse.

Plaintiff Sage Systems, Inc. and Robert Liss entered a partnership agreement to purchase a commercial cooperative unit. Section 13.02 (b) of the agreement is the indemnification provision, and provides, in relevant part:

> "The Partnership and the other Partners shall be indemnified and held harmless by each Partner from and against any and all claims, demands, liabilities, costs, damages, expenses and causes of action of any nature whatsoever arising out of or incidental to any act performed by a Partner which is not performed in good faith or is not reasonably

> believed by such Partner to be in the best interests of the Partnership and within the scope of authority conferred upon such Partner under this Agreement, or which arises out of the fraud, bad faith, willful misconduct or negligence of such Partner."

Decades later, Robert Liss unsuccessfully brought a partnership dissolution action.[1] Sage commenced this action against Liss seeking attorney's fees and costs incurred defending the dissolution action. Sage moved for summary judgment. Michael Liss, the substitute defendant in his role as executor of the estate for now-deceased Robert Liss, cross-moved for summary judgment, arguing that the partnership agreement did not provide for attorney's fees and did not apply to actions between the partners. The court granted Sage's motion, concluding that the indemnification provision applies such that Sage was entitled to attorney's fees and that commencement of the prior dissolution action by Robert Liss constituted bad faith under section 13.02 (b) (2020 NY Slip Op 31287[U] [Sup Ct, NY County 2020]). The Appellate Division affirmed (193 AD3d 624 [1st Dept 2021]). We granted the executor leave to appeal (37 NY3d 912 [2021]).

The estate claims that it is entitled to summary judgment dismissing the complaint because the agreement does not provide for attorney's fees in this context. For its part, Sage argues that the indemnification provision's broad, unrestrictive language demonstrates the parties' clear intent to provide attorney's fees related to direct claims between them. We agree with the estate that the provision does not permit Sage to recover its attorney's fees incurred in the prior dissolution action.[2]

Under the American rule, "attorney's fees are incidents of litigation and a prevailing party may not collect them from the

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1. In the dissolution action, Liss alleged that Sage placed the partnership in violation of the proprietary lease by, in part, subleasing a portion of the property without the commercial cooperative's permission. Sage moved for summary judgment dismissing the complaint, which the court granted, concluding that Sage did not act in violation of the lease because the alleged occupancy condition on which Liss relied was not part of the lease (2009 NY Slip Op 33479[U] [Sup Ct, NY County 2009]). The court also stated that, assuming the existence of such condition, Liss would have filed the dissolution action with "unclean hands" based on his own subleasing of the property (*id.* at *4). The court awarded Sage statutory costs and disbursements.

2. Given this conclusion, we have no occasion to consider Sage's claim that the commencement and maintenance of the prior dissolution action constitutes bad faith by Robert Liss, as required under section 13.02 (b).

loser unless an award is authorized by agreement between the parties, statute or court rule" (*Hooper*, 74 NY2d at 491).[3] The American rule is intended to increase "free access to the courts" for those who would otherwise be discouraged from seeking "judicial redress of wrongs" for fear of having to pay a defendant's attorney's fees (*Matter of A.G. Ship Maintenance Corp. v Lezak*, 69 NY2d 1, 5 [1986]). The rule was originally derived from federal legislation passed in 1853 which recognized that "losing litigants were being unfairly saddled with exorbitant fees" (*Alyeska Pipeline Service Co. v Wilderness Society*, 421 US 240, 251 [1975]).[4]

The rule is straightforward enough, but in the context of private agreements to avoid the rule, courts have had to determine the intent of vague fee-shifting language and broad indemnification provisions that do not explicitly allow for the prevailing party in an action between contracting parties to collect attorney's fees (*see e.g. Gotham Partners, L.P. v High Riv. Ltd. Partnership*, 76 AD3d 203 [1st Dept 2010], *lv denied* 17 NY3d 713 [2011]; *West Vernon Petroleum Corp. v Singer Holding Corp.*, 103 AD3d 623 [2d Dept 2013]; *Episcopal Church Home & Affiliates Life Care Community, Inc. v Gates Circle Holdings, LLC*, 203 AD3d 1706 [4th Dept 2022]). To the extent that some of these decisions presume that broadly worded indemnification provisions by their nature are intended to cover attorney's fees in direct party actions, they deviate from this Court's exacting standard that the agreement must contain "unmistakably clear" language of the parties' intent to encompass such actions (*see Hooper*, 74 NY2d at 492).

3. Examples of statutory authorization of attorney's fees include Domestic Relations Law § 237 (allowing courts to grant attorney's fees in divorce and annulment proceedings); CPLR 8601 (authorizing attorney's fees in civil actions against the State); and 42 USC § 1988 (permitting recovery of attorney's fees in civil rights actions asserting federal constitutional claims).

4. In contrast, the English rule permits recovery by the winning party. That rule prevents prevailing parties from carrying the financial burden of their legal fees and is intended to discourage "wasteful litigation" and "induce more settlements" (Theodore Eisenberg & Geoffrey P. Miller, *The English Versus the American Rule on Attorney Fees: An Empirical Study of Public Company Contracts*, 98 Cornell L Rev 327, 335-336 [2013]). However, "[n]o consensus exists about [which] rule better promotes desirable primary conduct" (*id.* at 337-338). On the latter point, this Court has stated that "[t]he preferred remedy" for deterring frivolous litigation under the American rule is "the use of separate, plenary actions after the challenged proceedings have concluded" (*Lezak*, 69 NY2d at 5).

In *Hooper*, the plaintiff successfully sued the defendant for breach of contract and, in the same action, also sought reimbursement for its attorney's fees. The plaintiff relied on an indemnity clause in the parties' agreement that the defendant would pay for the plaintiff's "reasonable attorney's fees" (*id.* at 490).[5] In rejecting plaintiff's claim, the Court explained that the parties "failed to define the scope of [the] defendant's promise" and thus it was necessary to determine whether the clause was limited to fees incurred in a third-party action or a direct suit against the defendant under the contract (*id.* at 491). The Court reasoned that because the parties were under no legal duty to indemnify, the indemnity clause must be strictly construed to avoid reading into the contract "a duty which the parties did not intend to be assumed" (*id.*). The Court further explained that because application of that indemnity agreement to direct actions between contracting parties would be contrary to the American rule, courts "should not infer a party's intention to waive the benefit of the rule unless the intention to do so is unmistakably clear from the language of the promise" (*id.* at 492). The Court concluded that the clause was a typical, broadly worded indemnity provision, which referred to subjects that give rise to third-party claims (*id.*). Moreover, "[n]one [of the bases supporting an action for indemnity were] exclusively or unequivocally referable to claims between the parties themselves or support[ed] an inference that defendant promised to indemnify plaintiff for counsel fees in an action on the contract" (*id.*). Thus, the agreement was devoid of language "clearly permitting plaintiff to recover from defendant the attorney's fees incurred in a suit against defendant" (*id.*; *see also Ambac Assur. Corp. v Countrywide Home Loans, Inc.*, 31 NY3d 569 [2018] [applying *Hooper*]).

Here, the indemnification provision makes no explicit mention that partners may recoup attorney's fees in an action on the contract. Nor is there any basis to infer the provision is

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5. In full, the provision

"obligate[d] defendant to 'indemnify and hold harmless [the plaintiff] . . . from any and all claims, damages, liabilities, costs and expenses, including reasonable counsel fees' arising out of breach of warranty claims, the performance of any service to be performed, the installation, operation and maintenance of the computer system, infringement of patents, copyrights or trademarks and the like" (*Hooper*, 74 NY2d at 492).

limited to actions between the partners.[6] The indemnification provision broadly applies to all types of actions, providing that

> "[t]he Partnership and the other Partners shall be indemnified and held harmless . . . from and against any and all claims, demands, liabilities, costs, damages, expenses and causes of action *of any nature whatsoever arising out of or incidental to any act performed by a Partner . . . not performed in good faith or . . . not reasonably believed . . . to be in the [Partnership's] best interests . . . and within the . . . [Partner's] authority*" (emphasis added).

This language is not limited to actions between the partners but encompasses actions involving third parties. It is limited in scope only by the requirement that the partner have committed some misconduct. Indeed, the provision is broader than the indemnity clause in *Hooper* (*see* 74 NY2d at 491-492). It is also unlike the provision in *Breed, Abbott & Morgan v Hulko*; here, it is not "difficult, if not impossible, to ascertain" what the indemnification clause would cover other than attorney's fees in suits between the parties (74 NY2d 686, 687 [1989]). In sum, nothing in the provision nor the agreement as a whole makes "unmistakably clear" that the partners intended to permit recovery for attorney's fees in an action between them on the contract (*Hooper*, 74 NY2d at 492).

Parties must determine how best to articulate their agreement to ensure their intentions are clear. However, inclusion of clear language stating that the prevailing party is entitled to recover attorney's fees in an action between the parties would avoid potential litigation on the issue.

Accordingly, the order of the Appellate Division should be reversed, with costs, plaintiff's motion for summary judgment denied and defendant's motion for summary judgment dismissing the complaint granted.

Acting Chief Judge CANNATARO and Judges GARCIA, WILSON, SINGAS and TROUTMAN concur.

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6. Nor does the remainder of section 13.02 evince an intent by the parties to waive the American rule in an action between the parties on the contract. Subsection (a) merely provides indemnification in matters involving the partners' good faith conduct. It provides no basis to read the indemnification as an unequivocal agreement to pay a prevailing partner's attorney's fees.

Order reversed, with costs, plaintiff's motion for summary judgment denied and defendant's motion for summary judgment dismissing the complaint granted.

[198 NE3d 776, 177 NYS3d 533]

In the Matter of the Claim of Kanye Khalid Green, Respondent, v Dutchess County BOCES et al., Appellants. Workers' Compensation Board, Appellant.

Argued September 14, 2022; decided October 27, 2022

SUMMARY

Appeals, by permission of the Court of Appeals, from a final determination of the Workers' Compensation Board, filed April 1, 2021, bringing up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered March 5, 2020. The Appellate Division had modified a 2019 Board decision affirming a Workers' Compensation Law Judge's decision which determined that claimant was not entitled to receive the remaining 38.8 weeks of decedent's permanent partial disability award subsequent to decedent's death. The modification consisted of reversing so much of the 2019 decision as limited the nonschedule permanent partial disability award payable to claimant to 311.2 weeks. The Appellate Division had remitted the matter to the Board for further proceedings not inconsistent with the Appellate Division's decision.

Matter of Green v Dutchess County BOCES, 183 AD3d 23, reversed.

HEADNOTE

Workers' Compensation — Disability Benefits — Nonschedule Permanent Partial Disability Award — Death of Employee from Causes Unrelated to Injury — Unaccrued Portions of Award Do Not Pass to Beneficiaries

Unaccrued portions of a nonschedule award under Workers' Compensation Law § 15 (3) (w) do not remain payable following an injured employee's death from causes unrelated to the work injury and do not pass to the injured employee's beneficiaries. Accordingly, claimant, decedent's minor son, was entitled only to the portion of his father's nonschedule permanent partial disability award that had accrued but remained unpaid at the time of death. Although Workers' Compensation Law § 15 (4) provides that an award "made to a claimant under subdivision three," which provides for both schedule loss of use and nonschedule awards, may pass to a beneficiary of an injured employee who dies "from causes other than the injury," it is clear from both the statute's language and its legislative history that no unaccrued portion of a nonschedule award survives after the claimant's death. Unlike a schedule loss of use award (Workers' Compensation Law § 15 [3] [a]-[u]), which is designed to compensate for loss of earning power, a nonschedule award under section 15 (3) (w) seeks to reimburse a claimant for earnings lost due to injury and is subject to reduction and suspension based on actual earnings and continuance of the disability. The 2007 amendments to the statute, which were intended to reduce unfairness arising from the potentially unlimited period for which nonschedule awards could be paid in comparison to the statutorily limited period for which schedule awards are payable, did not evince a general legislative intent to eliminate all distinctions between the two forms of awards. Nor did the legislative intent to reduce disparities between schedule and nonschedule awards require identical treatment of these forms of awards in contravention of the statute's plain text and purpose.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Workers' Compensation §§ 359, 360, 362, 561, 633.
MCKINNEY'S, Workers' Compensation Law § 15 (3), (4).
NY JUR 2d Workers' Compensation §§ 298, 307, 900, 910.

ANNOTATION REFERENCE

See ALR Index under Workers' Compensation.

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POINTS OF COUNSEL

Letitia James, Attorney General, Albany (*Dustin J. Brockner, Barbara D. Underwood* and *Andrea Oser* of counsel), for New York State Workers' Compensation Board, appellant. A non-schedule award terminates when the injured employee dies for reasons unrelated to the injury. (*Matter of Bartling v General Elec. Co.*, 231 App Div 369; *Wozneak v Buffalo Gas Co.*, 175 App Div 268; *Matter of Healey v Carroll*, 282 App Div 969; *Matter of Garner v Shulte Co.*, 23 AD2d 127; *Matter of Snyder v Wickwire Spencer Steel Co.*, 277 App Div 233; *Matter of Botta v Tosti Constr. Co., Inc.*, 253 App Div 556, 279 NY 586; *Matter of Manning v Stroh & Wilson, Inc.*, 247 App Div 233; *Matter of Bogold v Bogold Bros., Inc.*, 218 App Div 676; *Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55; *Matter of Bello v Roswell Park Cancer Inst.*, 5 NY3d 170.)

Cherry, Edson & Kelly, LLP, Tarrytown (*Ralph E. Magnetti* of counsel), for Dutchess County BOCES and another, appellants. I. A posthumous award for a loss of earnings for a period subsequent to the date of death is not supported by the plain language of Workers' Compensation Law § 15 (4). (*Ace Fire Underwriters Ins. Co. v Special Funds Conservation Comm.*, 28 NY3d 1084; *Matter of Bello v Roswell Park Cancer Inst.*, 5 NY3d 170.) II. The Third Department's decision is not supported by the statute, legislative history, legislative intent or the Court of Appeals's decision in *Matter of Mancini v Office of Children & Family Servs.* (32 NY3d 521 [2018]). (*Matter of Raynor v Landmark Chrysler*, 18 NY3d 48.)

Oimette, Goldstein & Andrews, LLP, Poughkeepsie (*Louis M. Dauerer* of counsel), for respondent. I. A posthumous awarding of the remaining nonschedule permanent partial disability benefits to an injured worker's surviving son is consistent with the statutory language and purpose and intent of the Workers' Compensation Law. (*Matter of Heitz v Ruppert*, 218 NY 148; *Matter of Wolfe v Sibley, Lindsay & Curr Co.*, 36 NY2d 505; *Matter of Mancini v Office of Children & Family Servs.*, 32 NY3d 521; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of Alonzo M. v New York City Dept. of Probation*, 72 NY2d 662; *Matter of Raynor v Landmark Chrysler*, 18 NY3d 48; *Matter of Sienko v Bopp & Morgenstern*, 248 NY 40; *Matter of Estate of Youngjohn v Berry Plastics Corp.*, 36 NY3d 595.) II. The Appellate Division's decision is consistent with the legislative intent to bring parity between schedule and nonschedule loss awards. (*Matter of Mancini v Office of Children & Family Servs.*, 32 NY3d 521; *Matter of Sienko v Bopp & Morgenstern*, 248 NY 40; *Matter of Estate of Youngjohn v Berry Plastics Corp.*, 36 NY3d 595; *Matter of LaCroix v Syracuse Exec. Air Serv., Inc.*, 8 NY3d 348; *Matter of Marhoffer v Marhoffer*, 220 NY 543; *Burns v Varriale*, 9 NY3d 207.)

James Fiedler, *New York State Insurance Fund*, Albany (*Rudolph Rosa Di Sant* of counsel), for New York State Insurance Fund, amicus curiae. The Appellate Division erred in finding that Workers' Compensation Law § 15 (4) entitled beneficiaries to the balance of decedent's nonschedule award as decedent's death extinguished the possibility of further lost time or reduced wages. (*Matter of Mancini v Office of Children & Family Servs.*, 32 NY3d 521; *Matter of Raynor v Landmark Chrysler*, 18 NY3d 48; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of LaCroix v Syracuse Exec. Air Serv., Inc.*, 8 NY3d 348; *Matter of Lynch v Board of Educ. of City of N.Y.*, 1 AD2d 362; *Matter of Briggs v Village of Hamilton*, 136 AD2d 442; *Matter of Allen v Enterprise Rent-a-Car*, 38 AD3d

970, 9 NY3d 802; *Matter of Cruz v City of N.Y. Dept. of Children's Servs.*, 123 AD3d 1390; *Matter of Landgrebe v County of Westchester*, 57 NY2d 1; *Matter of Taher v Yiota Taxi, Inc.*, 162 AD3d 1288.)

Grey & Grey, LLP, Farmingdale (*Robert E. Grey* of counsel), for Injured Workers' Bar Association, amicus curiae. I. The Appellate Division, Third Department interpreted the statute correctly in finding that nonschedule permanent partial disability benefits subject to duration limits should be treated comparably to schedule loss of use benefits for the purposes of Workers' Compensation Law § 15 (4). (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of Knight-Ridder Broadcasting v Greenberg*, 70 NY2d 151; *Desrosiers v Perry Ellis Menswear, LLC*, 30 NY3d 488; *Arbegast v Board of Educ. of S. New Berlin Cent. School*, 65 NY2d 161; *Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653; *Burns v Varriale*, 9 NY3d 207.) II. The contention of appellants and amicus curiae New York State Insurance Fund that the Third Department's decision would undermine the cost savings of the 2007 workers' compensation reform legislation is wholly and completely specious. (*American Economy Ins. Co. v State of New York*, 30 NY3d 136; *Matter of O'Donnell v Erie County*, 35 NY3d 14; *Matter of Terranova v Lehr Constr. Co.*, 30 NY3d 564; *Matter of Zamora v New York Neurologic Assoc.*, 19 NY3d 186.)

OPINION OF THE COURT

GARCIA, J.

It is well settled that some categories of workers' compensation benefits may pass, in certain circumstances, to the beneficiaries of injured employees who die from causes unrelated to the work injury. We now clarify that unaccrued portions of a nonschedule award under Workers' Compensation Law § 15 (3) (w) do not. The statute does not provide for any unaccrued portion of a nonschedule award to remain payable following an injured employee's death. Accordingly, we reverse the order of the Appellate Division and reinstate the original award, representing only that portion accrued but unpaid at the time of death, to decedent's minor son.

Eric Watson sustained an injury in a work-related accident, was classified as having a nonschedule permanent partial disability, and received an award pursuant to Workers' Compensation Law § 15 (3) (w) in the amount of $500 per week. Pursuant to statutory caps imposed on the period for which nonschedule awards may be paid, Watson was to receive this amount for no longer than 350 weeks. Watson passed away due to unrelated causes after 311.2 weeks. Claimant, Watson's minor son, sought accrued unpaid amounts of his father's award, as well as benefits for the 38.8 weeks that remained before Watson's award would have reached the statutory durational cap.

A Workers' Compensation Law Judge awarded claimant unpaid amounts owed for the 311.2 weeks preceding Watson's death, but denied claimant the award for the 38.8 weeks between Watson's death and the maximum period of 350 weeks. The Workers' Compensation Board affirmed, explaining that "no additional award is payable to the decedent's surviving child" because "[t]o be entitled to the awards the claimant must have causally related lost time," and "[w]ith a claimant's death, there are no future earnings to lose," so "no posthumous award is warranted" (*Matter of Eric Watson*, slip op at 3 [WCB No. 5071 4439, Jan. 4, 2019]). Claimant appealed, and the Appellate Division modified the award, ruling that "claimant is entitled to an additional posthumous award for the remaining cap weeks" (183 AD3d 23, 31 [3d Dept 2020]). Upon remittal, the Workers' Compensation Board was "constrained to find" that claimant was entitled to an additional award of $500 per week for 38.8 weeks. We now reverse and reinstate the original holding of the Workers' Compensation Board.

There is no dispute that, pursuant to Workers' Compensation Law § 33, claimant is entitled to the accrued, unpaid portion of the award which his father should have received during his lifetime, in the amount of 311.2 weeks at $500 per week. For the following reasons, however, claimant is not entitled to $500 per week for an additional 38.8 weeks.

Under Workers' Compensation Law § 15 (4) (c), where an injured employee dies "from causes other than the injury," an award "made to a claimant under subdivision three" may pass, as relevant here, to "a surviving child . . . under the age of eighteen years." The referenced section, Workers' Compensation Law § 15 (3), provides for two categories of awards for injuries resulting in permanent partial disability. A "schedule loss of use" (SLU) award, provided for in section 15 (3) (a)-(u), is designed to "compensate for loss of earning power, rather than the time that an employee actually loses from work or the injury itself" (*Matter of Johnson v City of New York*, 38 NY3d 431, 440 [2022]). A nonschedule award, in contrast, seeks to reimburse a claimant for earnings lost due to injury (*see Burns v Varriale*, 9 NY3d 207, 216 [2007] [describing a nonschedule award under Workers' Compensation Law § 15 (3) (w) as a "reduced earnings award"]).

The Appellate Division held, despite the fundamental difference between these two awards, that because "[s]ubdivision (3) includes both SLU and nonschedule" awards, and because the statute "neither distinguishes SLU awards from nonschedule permanent partial disability awards, nor contains any limiting language excepting nonschedule permanent partial disability awards from its scope," subdivision (4) must apply to both schedule and nonschedule awards (183 AD3d at 28). This conclusion was incorrect. The nature of nonschedule awards, dependent on an employee's actual earnings and the continuance of the disability, is such that there is no remaining portion of the award that can pass through to a beneficiary.

This is clear from both the statute's language and its legislative history (*see Matter of Mancini v Office of Children & Family Servs.*, 32 NY3d 521, 525 [2018]). Schedule and nonschedule awards are calculated differently, reflecting the different purposes they serve. Nonschedule awards require fact-specific, individual calculations based on the impairment of wage-earning capacity. These awards are measured at "sixty-six and two-thirds percent of the difference between the injured employee's average weekly wages and his or her wage-earning capacity thereafter in the same employment or otherwise," and are paid out over a period of time that "shall not exceed" maximum weekly amounts established by 2007 amendments to the statute (Workers' Compensation Law § 15 [3] [w]). Nonschedule awards require "a causal link between the claimant's disability and reduced earning capacity" (*Matter of O'Donnell v Erie County*, 35 NY3d 14, 19 [2020]). The statutory language provides that nonschedule awards are "payable during the continuance of such permanent partial disability," but "subject to reconsideration of the degree of such impairment by the board" (Workers' Compensation Law § 15 [3] [w]). Schedule awards, on the other hand, are set at "sixty-six and two-thirds per centum of the average weekly wages," and "shall be paid to the employee" for a fixed, statutorily enumerated period (Workers' Compensation Law § 15 [3] [a]-[u]).

As this language shows, contrary to the Appellate Division's description of a nonschedule award as "established, set and fixed at the time of classification" (183 AD3d at 29), the statute clearly provides for the opposite—a nonschedule award is, by its terms, subject to reduction and suspension. Indeed, as we have previously held, a nonschedule award does "not entitle [claimant] to weekly compensation benefits at a specific rate . . . over a set period," because "the rate and duration of benefits awarded by the Board may change from one period to the next" (*Burns*, 9 NY3d at 217).

Historical amendments to the statute show an understanding of this key difference between the two forms of awards, and demonstrate that any unaccrued portion of a nonschedule award does not pass to a beneficiary after the death of an injured employee. Legislative history accompanying a 1947 amendment adding a decedent's estate as a beneficiary under section 15 (4) explained that it addressed "a schedule award in case of death arising from causes other than the injury . . . where there are no dependents" (Mem of Workmen's Compensation Bd, Bill Jacket, L 1947, ch 746 at 4, 1947 Legis Ann at 220). Likewise, legislative materials in support of a 1954 amendment adding the individual paying funeral expenses to the list of beneficiaries in Workers' Compensation Law § 15 (4) explained that it would apply "only in cases where there is at the date of death an unpaid balance of schedule award" (Letter from the Chair of the Workmen's Compensation Bd, Bill Jacket, L 1954, ch 687 at 5). Similarly, Workers' Compensation Law § 25 (1) (b) was amended in 2009 so as to permit the entirety of a schedule award to be paid out in lump sums, but did not provide for a similar upfront award in the case of a nonschedule award, reflecting the impossibility of accelerating the full amount of a nonschedule award given the speculative nature of its value (L 2009, ch 351, § 1). It is, therefore, clear that no unaccrued portion of a nonschedule award survives after claimant's death, and the Appellate Division erred by concluding that the statute does not provide for different posthumous treatment of schedule and nonschedule awards.

The Appellate Division concluded that despite the awards' differences, the legislative intent to achieve "parity" between the two types of awards manifested by the 2007 amendments required that the awards also be treated similarly in this context, believing that the alternative holding would " 'effectively perpetuate the very unfairness that the [L]egislature sought to eliminate' " in imposing durational cap weeks for nonschedule awards (183 AD3d at 30, quoting *Matter of Mancini*, 32 NY3d at 531). This reflects a misunderstanding of the legislature's concern when passing the 2007 amendments, which were intended to reduce unfairness arising from the potentially unlimited period for which nonschedule awards could be paid in comparison to the statutorily limited period for which schedule awards are payable (*see* Assembly Introducer's Mem in Support, Bill Jacket, 2007, ch 6 at 30 [amendments sought to eliminate the possibility of "a set duration of benefits for some claimants and lifelong benefits for others"]). These amendments did not evince a general legislative intent to eliminate all distinctions between the two forms of awards. Nor does this Court's acknowledgement of the legislative intent to "reduc[e] disparities" between schedule and nonschedule awards require identical treatment of these forms of awards in contravention of the statute's plain text and purpose (*Mancini*, 32 NY3d at 530).

More than 100 years ago, this Court urged recognition of the difference between schedule and nonschedule awards, explaining that cases "where the award is to be measured by the difference between wages and capacity [nonschedule awards] are, of course, not to be confused with those where the act prescribes a fixed and certain limit [schedule awards]" (*Matter of Jordan v Decorative Co.*, 230 NY 522, 526 [1921]). Since then, courts have awarded remaining posthumous benefits for schedule awards countless times (183 AD3d at 27-28 [citing cases]), and no court has awarded posthumous benefits based on an unaccrued nonschedule award.* Any changes to this process for posthumous payments—and any general issues related to parity between the types of awards—are for the legislature to address (*see Matter of LaCroix v Syracuse Exec. Air Serv., Inc.*, 8 NY3d 348, 357 [2007], *superseded by statute on other grounds*; *Matter of Bello v Roswell Park Cancer Inst.*, 5 NY3d 170, 173 [2005]).

Accordingly, the Workers' Compensation Board's 2021 decision and so much of the Appellate Division order brought up for review should be reversed, with costs, and the Workers' Compensation Board's 2019 decision reinstated.

Acting Chief Judge CANNATARO and Judges RIVERA, WILSON, SINGAS and TROUTMAN concur.

The Workers' Compensation Board's 2021 decision and so much of the Appellate Division order brought up for review re-

* This is not the first time this issue has been resolved in this manner by the Workers' Compensation Board (*see Matter of Eric Watson*, slip op at 3 [citing cases]).

versed, with costs, and the Workers' Compensation Board's 2019 decision reinstated.

[198 NE3d 1282, 178 NYS3d 1]

34-06 73, LLC, et al., Respondents, v SENECA INSURANCE COMPANY, Appellant.

Argued September 7, 2022; decided October 27, 2022

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 28, 2021. The Appellate Division affirmed (1) a judgment of the Supreme Court, New York County (Melissa A. Crane, J.), entered upon a jury verdict of liability in favor of plaintiff on a reformation claim and the parties' stipulation as to the amount of damages; and (2) an order of that Supreme Court (op 2019 NY Slip Op 34865[U] [2019]) which had denied defendant's motion pursuant to CPLR 4404 (a) to set aside the verdict on the issue of reformation and direct judgment in defendant's favor.

34-06 73, LLC v Seneca Ins. Co., 190 AD3d 628, reversed.

HEADNOTE

Pleading — Amendment — Relation-Back Doctrine — Notice of Transactions or Occurrences

In a breach of contract action, Supreme Court abused its discretion as a matter of law when it granted plaintiffs' motion to amend their complaint at trial to include an otherwise untimely reformation claim based on mutual mistake and a preexisting oral agreement. The reformation claim could not relate back to plaintiffs' original pleading because the complaint did not place defendant on "notice of the transactions, occurrences, or series of transactions or occurrences, to be proved" in support of that claim (CPLR 203 [f]). Plaintiffs' allegation that they complied with all conditions precedent and subsequent pursuant to the policy terms was fatal to their assertion that the complaint provided notice of the transactions or occurrences to be proved in support of a reformation claim. It suggested the opposite because, by asserting total compliance, plaintiffs necessarily disclaimed any challenge to the policy's terms, specifically the protective safeguards endorsement (PSE) purportedly included by mistake. Moreover, the reformation claim was based on a purported oral agreement that preceded the contract's formation, whereas the breach of contract claim in the original complaint was based on the written policy which included the PSE and with which plaintiffs alleged full compliance. Nothing in the stand-alone breach of contract claim put defendant on notice that there was a prior oral agreement that excluded the PSE and that the PSE's inclusion in the written policy was a mistake. The "transactions, occurrences, or series of transactions or occurrences, to be proved pursuant to the amended pleading" did not give notice of reformation because they were factually distinct and discordant from plaintiffs' allegation of breach of the written policy (CPLR 203 [f]).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Limitation of Actions §§ 241, 242; AM JUR 2d Pleading §§ 655, 685, 686.

CARMODY-WAIT 2d Limitation of Actions §§ 13:434, 13:436, 13:437; CARMODY-WAIT 2d Amendment of Pleadings §§ 34:42, 34:44.

MCKINNEY'S, CPLR 203 (f).

NY JUR 2d Limitations and Laches §§ 300, 301; NY JUR 2d Pleading §§ 237, 252.

SIEGEL, NY PRAC (6th ed) § 49.

ANNOTATION REFERENCE

See ALR Index under Amendment of Pleadings; Relation Back.

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POINTS OF COUNSEL

Kennedys CMK LLP, New York City (*Christopher R. Carroll* and *Danielle N. Valliere* of counsel), for appellant. I. This Court has the power to reverse the Appellate Division's decision and should do so because the Appellate Division erred in failing to find that the trial court abused its discretion. (*Oakes v Patel*, 20 NY3d 633; *Herrick v Second Cuthouse*, 64 NY2d 692; *Steiner v Wenning*, 43 NY2d 831.) II. The Appellate Division erred by failing to apply the binding Court of Appeals' precedent establishing that CPLR 203 (f) cannot be used to save a reformation claim when the only claim previously asserted is a breach of contract claim. (*First Natl. Bank of Rochester v Volpe*, 217 AD2d 967; *Davis v Davis*, 95 AD2d 674; *182 Franklin St. Holding Corp. v Franklin Pierrepont Assoc.*, 217 AD2d 508; *Levy v Kendricks*, 170 AD2d 387.) III. The Appellate Division erred in finding that the plaintiffs' reformation claim was timely asserted and not barred by the applicable statute of limitations. (*1414 APF, LLC v Deer Stags, Inc.*, 39 AD3d 329; *Harwood v U.S. Shipping Bd. Emergency Fleet Corp.*, 32 F2d 680; *National Amusements v South Bronx Dev. Corp.*, 253 AD2d 358; *Federal Deposit Ins. Corp. v Five Star Mgt.*, 258 AD2d 15.) IV. The Appellate Division erred in finding that CPLR 3025 (c) can be used to assert a claim that is based on facts not previously pleaded and evidence that was available to plaintiffs years prior to asserting the claim. (*Symbax, Inc. v Bingaman*, 219 AD2d 552; *DiMauro v Metropolitan Suburban Bus Auth.*, 105 AD2d 236; *Eng v Di Carlo*, 79 AD2d 1018; *Forman v Davidson*, 74 AD2d 505; *Xavier v Grunberg*, 67 AD2d 632; *D'Angelo v D'Angelo*, 109 AD2d 773; *Raymond v Ryken*, 98 AD3d 1265; *Clark v MGM Textiles Indus., Inc.*, 18 AD3d 1006; *Burke, Albright, Harter & Rzepka LLP v Sills*, 187 AD3d 1507; *Boyd v Trent*, 297 AD2d 301.)

Weg & Myers, P.C., Rye Brook (*Dennis T. D'Antonio* and *Joshua L. Mallin* of counsel), for respondents. I. Seneca Insurance Company's appeal is jurisdictionally deficient. (*Dittmar Explosives v A. E. Ottaviano, Inc.*, 20 NY2d 498; *Molloy v Village of Briarcliff Manor*, 217 NY 577; *Murray v City of New York*, 43 NY2d 400; *Matter of McGovern v Mount Pleasant Cent. Sch. Dist.*, 25 NY3d 1051; *People v Chaitin*, 61 NY2d 683.) II. Defendant's appeal fails to meet the high burden applicable after a jury verdict and where a matter is committed to the sound discretion of the trial court. (*Ritt v Lenox Hill Hosp.*, 182 AD2d 560; *McCulley v Sandwick*, 9 NY3d 976; *Aiello v Garahan*, 58 NY2d 1078; *Levo v Greenwald*, 66 NY2d 962; *Andon v 302-304 Mott St. Assoc.*, 94 NY2d 740; *Brady v Ottaway Newspapers*, 63 NY2d 1031; *Sadek v Wesley*, 27 NY3d 982; *Alliance Prop. Mgt. & Dev. v Andrews Ave. Equities*, 70 NY2d 831.) III. The trial court properly granted plaintiffs' motion to amend to conform the pleadings to the proof. (*Loomis v Civetta Corinno Constr. Corp.*, 54 NY2d 18; *Duffy v Horton Mem. Hosp.*, 66 NY2d 473; *McGhee v Odell*, 96 AD3d 449; *Scott v Allstate Ins. Co.*, 124 AD2d 481; *U.S. Bank N.A. v DLJ Mtge. Capital, Inc.*, 33 NY3d 72; *Yongjie Xu v JJW Enters., Inc.*, 149 AD3d 1146; *Kimso Apts., LLC v Gandhi*, 24 NY3d 403; *Murray v City of New York*, 43 NY2d 400; *O'Halloran v Metropolitan Transp. Auth.*, 154 AD3d 83; *Abrams v Maryland Cas. Co.*, 300 NY 80.) IV. Any error was harmless because the question of reformation was properly before the jury even without the amendment of the pleadings. (*Helfhat v Whitehouse*, 258 NY 274; *Arthur v Homestead Fire Ins. Co.*, 78 NY 462; *Susquehanna S.S. Co. v Andersen & Co.*, 239 NY 285; *Wechsler v Bowman*, 285 NY 284.)

OPINION OF THE COURT

RIVERA, J.

The question on this appeal is whether plaintiffs' original complaint provides defendant with "notice of the transactions, occurrences, or series of transactions or occurrences, to be proved" in support of plaintiffs' reformation claim, as required under CPLR 203 (f). At trial on this breach of contract action, plaintiffs sought to amend their complaint to include this otherwise untimely reformation claim based on mutual mistake and a preexisting oral agreement. We conclude that plaintiffs' initial pleading alleging that defendant breached the parties' written insurance policy and that plaintiffs complied fully with all requirements contained therein fails to give defendant the requisite notice.

I.

Defendant Seneca Insurance Company issued plaintiffs 34-06 73, LLC, Bud Media, LLC, and Coors Media, LLC a multimillion dollar, written insurance policy covering several of plaintiffs' vacant commercial properties. The parties do not dispute the contents of the policy, only whether plaintiffs' complaint asserting breach of contract and seeking damages put defendant on notice of the transactions or occurrences underlying plaintiffs' belated reformation claim.

As relevant to this appeal, the policy includes a protective safeguards endorsement (PSE) that required plaintiffs, among other things, to maintain an automatic sprinkler device on the subject property. At the top of the page, the PSE states: "THIS ENDORSEMENT CHANGES THE POLICY" and advises to "READ IT CAREFULLY." It further states that the PSE modifies the commercial property coverage of the policy so that defendant would "not pay for loss or damage caused by or resulting from fire if, prior to the fire, [the policyholder] . . . [k]new of any suspension or impairment in any protective safeguard . . . and failed to notify" defendant or otherwise "[f]ailed to maintain any protective safeguard . . . in complete working order."

Approximately one month after the policy went into effect, defendant's agent conducted an inspection of the premises and issued a report to plaintiffs' principal and sole owner, Mohammad Malik, advising him that there was no compliant sprinkler system on the premises and recommending that plaintiffs notify defendant of the system's non-operability. A little more than four months later, there was a fire on the premises and plaintiffs requested payment under the policy for damages incurred. Defendant notified plaintiffs that it was denying the claim under the PSE because plaintiffs did not maintain a working sprinkler system.

Plaintiffs thereafter commenced this action against defendant for breach of contract, seeking over $2.4 million in damages based on defendant's failure to cover the fire loss. The complaint made the following factual assertions: (1) defendant issued an insurance policy "bearing number FTZ 1000661" that provides property damage insurance on the covered property; (2) the fire on the premises "was a peril insured against under the Policy" which occurred "while the Policy was in full force and effect"; (3) plaintiffs complied "with all of the conditions precedent and subsequent pursuant to the terms of the subject policy"; and (4) defendant failed to indemnify plaintiffs for the property damage. In its answer, defendant admitted that it issued the referenced policy and had not made payment thereunder. Defendant raised several affirmative defenses, including one based on the PSE, asserting that, because plaintiffs failed to maintain the sprinkler system as required by the policy, they were not covered for the fire damage.

Following discovery, plaintiffs moved to dismiss the affirmative defense pursuant to CPLR 3211, arguing that defendant was aware that there was no functioning sprinkler system—as specifically noted in the inspection report to Malik—and thus waived its right to disclaim coverage based on the PSE because it neither followed up to confirm whether an operational system was installed nor cancelled the policy. Defendant cross-moved for summary judgment on its PSE-based affirmative defense. Supreme Court denied the motions, concluding there were triable issues of fact as to waiver and there was conflicting evidence as to whether the sprinkler system was operational at the time of the fire (2018 NY Slip Op 31490[U] [Sup Ct, NY County 2018]).

At trial, for the first time, plaintiffs argued that the written policy did not reflect the parties' agreement. Malik testified that he told his insurance broker that he did not want the policy to include a protective safeguard endorsement because the properties were vacant buildings or lots, and most did not have sprinklers. However, he admitted that he did not read the insurance policy. Defendant's Vice President of Underwriting, Carol Muller, testified that an underwriting file disclosed during discovery did not contain documents referencing the PSE or the sprinkler system, that the premiums quoted for the policy were for a non-sprinklered building, and that the inclusion of the PSE may have been a mistake.[1]

After plaintiffs rested, they orally moved to amend the complaint to conform the pleadings to the proof by adding a claim for reformation. The court reserved decision on the motion. At the charge conference, defendant opposed the proposed amendment, arguing that the reformation claim was time-barred and futile. The court granted plaintiffs' motion, concluding that the claim related back to the complaint because it was "part of the whole thrust of the complaint originally" and the jury should decide whether the PSE's inclusion resulted from a mutual mistake. Hence, in addition to charging the jury on the question of whether plaintiffs maintained a sprinkler system as required by the policy, the court also charged the jury on reformation, waiver, and estoppel.

Although the jury rejected plaintiffs' waiver and estoppel arguments and found that plaintiffs did not prove due diligence in maintaining an automatic sprinkler system on the premises at the time of the fire, the jury returned a verdict in favor of plaintiffs on the reformation claim, finding that plaintiffs established by clear and convincing evidence that the parties' true agreement was a policy without a PSE and it was a mutual mistake to include the PSE in the policy.

Defendant moved to set aside the reformation portion of the verdict pursuant to CPLR 4404 (a) and for judgment in defendant's favor on the grounds that the reformation claim was untimely and, although plaintiffs did not formally move to amend pursuant to CPLR 3025, the claim did not relate back to the original complaint. Defendant maintained that the complaint alleged only nonperformance and contained no indication that the contract failed to reflect the parties' intent. Defendant also asserted surprise and prejudice because, had plaintiffs questioned the contract's terms earlier, defendant would have deposed plaintiffs' insurance broker and the underwriter (before the underwriter became unavailable years into the litigation). The court denied the motion, reasoning that

1. The next day, the court denied defendant's attempt to admit the routing sheet that Muller testified she did not see in the file, which, according to defendant, would have conclusively established defendant's intent to include the PSE in the policy. Defendant further argued that whether the PSE was part of the policy did not arise until trial, prejudicing defendant. The court rejected this argument on the ground that the issue of the PSE's inclusion bore on the issues of waiver and estoppel.

plaintiffs had relied on the same trial evidence to support the breach of contract and reformation claims, and that "reformation was a variation on the theory of breach of contract" (2019 NY Slip Op 34865[U], *2 [Sup Ct, NY County 2019]). The court also noted that defendant failed to turn over the underwriting file until nearly five years after the complaint was filed and thus had no grounds to complain.

The Appellate Division affirmed the judgment in the plaintiffs' favor, holding that the court providently granted plaintiffs' application to conform the pleadings to the trial evidence to assert a claim for reformation (190 AD3d 628, 629 [1st Dept 2021], citing CPLR 3025 [c]). The Court concluded that the reformation claim was not barred by the statute of limitations because it related back to the complaint and the waiver and estoppel claims (*id.*). The Court also concluded that the PSE was "at the heart of the litigation from the outset and the same evidence" supporting plaintiffs' waiver argument supported reformation (*id.*). The Court further concluded that defendant was not prejudiced since it had the underwriting file in its possession and failed to timely produce it (*id.* at 630). We granted defendant leave to appeal (37 NY3d 915 [2021]), and now reverse.

II.

"Applications to amend pleadings [pursuant to CPLR 3025] are within the sound discretion of the court," and exercise of such discretion "may be upset by us only for abuse as a matter of law" (*Kimso Apts., LLC v Gandhi*, 24 NY3d 403, 411 [2014] [alterations omitted]). However, there is no sound basis in law to grant amendment pursuant to CPLR 3025 (c) to add an untimely claim. Here, it is undisputed that when plaintiffs sought to amend their complaint the statute of limitations on the reformation claim had expired and was therefore time-barred unless it related back to the original pleading. Section 203 (f) of the CPLR provides that "[a] claim asserted in an amended pleading is deemed to have been interposed at the time the claims in the original pleading were interposed, unless the *original pleading does not give notice of the transactions, occurrences, or series of transactions or occurrences, to be proved pursuant to the amended pleading*" (emphasis added). Thus, plaintiffs' reformation claim relates back to the original complaint—and is thus not barred by the statute of limitations—only if the complaint placed defendant on "notice of the transactions, occurrences, or series of transactions or occurrences, to be proved" in support of that claim.

As a threshold matter, Supreme Court and the Appellate Division should not have looked beyond the four corners of the original pleading to determine whether defendant was on notice of transactions or occurrences underlying plaintiffs' reformation claim. Section 203 (f) requires the court to determine solely whether a plaintiff's or a defendant's original pleading gives notice of the transactions or occurrences underlying the proposed amendment (*see* CPLR 203 [f]). Whether the same trial evidence supports both the breach of contract and reformation claims or whether defendant here failed to produce the underwriting file in a timely fashion are irrelevant to the notice issue. Similarly, matters unearthed during discovery have no bearing on whether an untimely claim relates back under section 203 (f). Of course, discovery might alert the moving party that it could or must amend the complaint or answer to protect its litigation position or prevent extinguishment of a claim as time-barred, but such discovery does not shed light on whether the original pleading provides notice of transactions or occurrences to be proved in support of a new claim for recovery. While some of these observations might be relevant to consideration of prejudice under CPLR 3025, they do not inform the analysis under CPLR 203 (f).

The "notice" required by CPLR 203 (f) is notice of "transactions, occurrences, or series of transactions or occurrences," concordant with the CPLR's objective of "liberalizing the strict, formalistic pleading requirements of the [nineteenth] century" (*Buran v Coupal*, 87 NY2d 173, 177 [1995], citing *Shaw v Cock*, 78 NY 194 [1879], and *Harriss v Tams*, 258 NY 229 [1932]). Under our well-established liberal pleading standards, we assume all facts asserted in the complaint to be true and draw all reasonable inferences from those assertions (*see Sassi v Mobile Life Support Servs., Inc.*, 37 NY3d 236, 239 [2021]; *accord Chanko v American Broadcasting Cos. Inc.*, 27 NY3d 46, 52 [2016]; *Goshen v Mutual Life Ins. Co. of N.Y.*, 98 NY2d 314, 326 [2002]; *Campaign for Fiscal Equity v State of New York*, 86 NY2d 307, 318 [1995]; *Leon v Martinez*, 84 NY2d 83, 87-88 [1994]). Also well-established is our treatment of an insurance policy as a contract, "subject to principles of contract interpretation" (*Matter of Covert*, 97 NY2d 68, 76 [2001]). To plead reformation, a plaintiff must allege sufficient facts supporting a claim of mutual mistake, meaning that "the parties have reached an oral agreement and, unknown to either, the signed writing does not express that agreement" (*Chimart Assoc. v Paul*, 66 NY2d 570, 573 [1986]). Given the "heavy presumption that a deliberately prepared and executed written instrument manifests the true intention of the parties[,] . . . [t]he proponent of reformation must show in no uncertain terms, not only that mistake or fraud exists, but exactly what was really agreed upon between the parties" (*id.* at 574 [internal quotation marks and some brackets omitted]).

In contrast, to plead a cause of action for breach of contract, a plaintiff usually must allege that: (1) a contract exists (*see e.g. Mandarin Trading Ltd. v Wildenstein*, 16 NY3d 173, 181-182 [2011]); (2) plaintiff performed in accordance with the contract (*see e.g. Pope v Terre Haute Car & Mfg. Co.*, 107 NY 61, 65-66 [1887]); (3) defendant breached its contractual obligations (*see Barker v Time Warner Cable, Inc.*, 83 AD3d 750, 751 [2d Dept 2011] ["In order to state a cause of action to recover damages for a breach of contract, the plaintiff's allegations must identify the provisions of the contract that were breached"]); and (4) defendant's breach resulted in damages (*see Biotronik A.G. v Conor Medsystems Ireland, Ltd.*, 22 NY3d 799, 805-806 [2014] [compensatory damages]; *Kronos, Inc. v AVX Corp.*, 81 NY2d 90, 95 [1993] [nominal damages]; *Milan Music, Inc. v Emmel Communications Booking, Inc.*, 37 AD3d 206, 206 [1st Dept 2007]).

III.

With those principles in mind, we turn to plaintiffs' complaint and conclude that it failed to give notice to defendant of the transactions or occurrences on which plaintiffs base their reformation claim. In their original complaint, plaintiffs reference a specific written policy which they identified as the parties' agreement and which they allege defendant breached. The complaint further alleges that plaintiffs complied "with all of the conditions precedent and subsequent pursuant to the terms of the subject policy." This latter allegation is fatal to plaintiffs' assertion that the complaint provides notice of the transactions or occurrences to be proved in support of a reformation claim. In fact, if anything, it suggests the opposite because, by asserting total compliance, plaintiffs necessarily disclaimed any challenge to the policy's terms, specifically the PSE.

Moreover, plaintiffs based their allegation that the parties included the PSE by "mistake" on assertions at trial that Malik instructed his broker to exclude the sprinkler requirement before the parties finalized the written policy, and the lack of documentation for a PSE in the underwriting file. Therefore, the reformation claim, as advanced by plaintiffs, was based on a purported oral agreement negotiated by Malik with the broker that preceded the contract's formation, whereas the breach of contract claim in the original complaint was based on the written policy which includes the PSE and with which plaintiffs alleged full compliance. Critically, nothing in the stand-alone breach of contract claim put defendant on notice that there was a prior oral agreement that excluded the PSE and that the PSE's inclusion in the written policy was a mistake. Simply put, "the transactions, occurrences, or series of transactions or occurrences, to be proved pursuant to the amended pleading" did not give notice of reformation because they are factually distinct and discordant from plaintiffs' allegation of a breach of the written policy (CPLR 203 [f]). In light of our "heavy presumption that a deliberately prepared and executed written instrument manifests the true intention of the parties" (*Chimart*, 66 NY2d at 574 [brackets omitted]), defendant had every reason to rely on the original complaint, which provided no indication that the written policy failed to reflect the parties' intent.[2]

To be clear, the transactions and occurrences underlying a breach of contract claim do not perforce give notice of the transactions or occurrences underlying a claim of reformation based on mutual mistake, and vice versa. However, consistent with our liberal pleading standards, an original pleading alleging that a party failed to perform in accordance with the written agreement might supply sufficient notice of the transactions or occurrences to be proved in support of reformation. That is not the case here, where plaintiffs' complaint foreclosed a factual or inferential basis for such notice by unqualifiedly alleging that they "complied with *all* of the conditions prece-

2. Defendant's reliance on *Matter of SCM Corp. (Fisher Park Lane Co.)* (40 NY2d 788 [1976]) is not availing. In *SCM* the Court analyzed the applicability of CPLR 203 (c)—now CPLR 203 (d)—to a time-barred counterclaim. Section 203 (d) states, in relevant part, that an untimely "defense or counterclaim is not barred . . . if . . . [it] *arose from* the transactions, occurrences, or series of transactions or occurrences, upon which a claim asserted in the complaint depends" (CPLR 203 [d] [emphasis added]). In contrast, section 203 (f) requires "notice" of the transactions or occurrences, a different standard than section 203 (d)'s "arose from" threshold for defenses and counterclaims.

dent and subsequent pursuant to the terms of the subject policy" (emphasis added), which the complaint referenced explicitly as the written policy. The complaint contained no alternate theory of recovery or factual allegations based on pre-formation transactions or occurrences. The complaint therefore put defendant on notice of transactions or occurrences related solely to the written policy and plaintiffs' total compliance with that agreement's terms, which include the PSE's sprinkler requirement.

Plaintiffs are on especially weak ground to the extent they assert they could not have pled a claim for reformation when they filed the complaint. Malik, the principal and sole owner of the premises, testified at trial that he did not want a sprinkler requirement in the policy and made this intent clear to the insurance broker.[3] However, "the language of the agreement was plain and unambiguous" (*Chimart*, 66 NY2d at 574) that the PSE changed the policy to add a ground for disclaimer based on the lack of an automatic sprinkler system. Plaintiffs cannot now claim ignorance of the sprinkler requirement's clear terms based on Malik's assertion at trial that he informed his broker of his preference for a non-sprinkler policy and when, despite this term's purported importance, he ignored the advisements and chose not to read the written policy.

For the reasons we discuss, the reformation claim cannot relate back to plaintiffs' original pleading. Supreme Court therefore abused its discretion as a matter of law when it granted plaintiffs' motion to amend to include this time-barred claim (*see Kimso Apts., LLC*, 24 NY3d at 411).

Accordingly, the order of the Appellate Division should be reversed, with costs, plaintiffs' motion to amend the complaint to include a reformation cause of action denied, and the case

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3. Malik testified that he received defendant's April 2011 disclaimer letter, which quoted the PSE and disclaimed coverage due to plaintiffs' failure to comply with the sprinkler requirement, which further confirms plaintiffs' awareness of the PSE before they filed the complaint in September 2011. Malik also gave a sworn statement in February 2015 that defendant had hired inspectors for the sprinkler system pursuant to the PSE. Therefore, plaintiffs could have moved to amend before the limitations period expired on April 1, 2015 (*see Matter of Wallace v 600 Partners Co.*, 86 NY2d 543, 547 [1995] [holding that "an action based on mistake" must be commenced within six years from the date the mistake occurred]; *cf. M'Neven v Livingston*, 17 Johns 437, 437 [NY 1819] [where a party intends to abandon or rescind a contract, on the ground of a violation of it by the other, they must do so promptly and decidedly, on the first information of such breach], *affg Lawrence v Dale*, 3 Johns Ch 23 [NY 1817]).

remitted to Supreme Court for entry of a judgment in accordance with this opinion.

Acting Chief Judge Cannataro and Judges Garcia, Wilson, Singas and Troutman concur.

Order reversed, with costs, plaintiffs' motion to amend the complaint to include a reformation cause of action denied, and case remitted to Supreme Court, New York County, for entry of judgment in accordance with the opinion herein.

[200 NE3d 537, 179 NYS3d 632]

In the Matter of INDEPENDENT INSURANCE AGENTS AND BROKERS OF NEW YORK, INC., et al., Respondents, et al., Petitioners, v NEW YORK STATE DEPARTMENT OF FINANCIAL SERVICES et al., Appellants.

Argued September 8, 2022; decided October 20, 2022

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered April 29, 2021. The Appellate Division (1) reversed, on the law, a judgment (denominated decision/order) of the Supreme Court, Albany County (Henry F. Zwack, J.; op 65 Misc 3d 562 [2019]), which had dismissed the CPLR article 78 proceeding challenging an amendment to Insurance Regulation No. 187; (2) granted the petition; and (3) declared that Insurance Regulation No. 187, as amended, is unconstitutional.

Matter of Independent Ins. Agents & Brokers of N.Y., Inc. v New York State Dept. of Fin. Servs., 195 AD3d 83, reversed.

HEADNOTES

Constitutional Law — Validity of Regulation — Vagueness

1. An amendment to Insurance Regulation 187 (11 NYCRR part 224) promulgated by respondent New York State Department of Financial Services providing protections to consumers engaging in life insurance and annuity transactions did not fail to give notice of its requirements in every application, and was therefore not impermissibly vague on its face. The regulation's text showed that respondent carefully considered what communications would and would not be considered "recommendations" and provided a clear definition employing standard legal terminology. Employing long-accepted terms, the definition established clear, objective legal guidelines to ensure that a communication's legal impact would not depend on the sensitivities of a communication's recipient, and was both sufficiently definite to provide notice to those regulated and to prevent arbitrary enforcement. The result was broad categories of conduct for which the application of the term "recommendation" was clear. Moreover, although the regulation provided flexibility as to what exact information a producer or insurer must consider for a particular consumer, the definition of "suitability information" provided clear boundaries for what must be considered. As to the term "best interest," the regulation employed standard legal terms to explain exactly what a producer had to do to discharge its duty. The regulation did not require producers and insurers to identify the single best policy for a consumer. It simply required them to reasonably recommend a suitable policy that would benefit the consumer, while refraining from considering their own financial gain.

Administrative Law — Rulemaking — Exceeding Scope of Authority

2. Respondent New York State Department of Financial Services did not exceed its authority in promulgating an amendment to Insurance Regulation

187 (11 NYCRR part 224) providing protections to consumers engaging in life insurance and annuity transactions. A governmental agency exceeds the scope of its delegated authority in promulgating a regulation when it engages in impermissible legislative policy-making, as opposed to permissible administrative rule-making. The legislature gave respondent the authority to supervise "persons providing . . . financial products and services" (Financial Services Law § 201 [a]) and to establish "professional standards of conduct" for insurance producers (Insurance Law § 2104 [a] [2]). A regulation that is aimed at ensuring that consumers buying insurance are doing so with the relevant information and without fear that the salesperson is acting in their own contrary interest falls squarely within the legislature's directives, and fills in the details of the legislature's pre-stated policy. Moreover, in the complex area of insurance transactions, respondent's specific expertise was necessary to flesh out details of the broadly stated legislative policies. Finally, there was no failed legislative effort to institute the changes. Rather, respondent was creating rules to clarify producers' and insurers' duties, and provide protection to consumers of insurance products.

Administrative Law — Rulemaking — Protections for Consumers of Insurance

3. Respondent New York State Department of Financial Services did not violate the State Administrative Procedure Act in promulgating an amendment to Insurance Regulation 187 (11 NYCRR part 224) providing protections to consumers engaging in life insurance and annuity transactions. The State Administrative Procedure Act requires agencies to include in a regulatory impact statement the "best estimate" of a regulation's projected costs (State Administrative Procedure Act § 202-a [3] [c] [iv]). The costs required to be estimated are the additional expenditures required by the rule, and does not mean that, in all cases, an agency must project an actual dollar figure. Though respondent did not give a dollar figure of expected costs, the State Administrative Procedure Act does not require such an exact estimate. Respondent's evaluation was in substantial compliance with section 202-a (3) (c) (iv)'s requirements. Moreover, respondent's analysis and explanation that the amendment exceeded federal regulation on the same topic and was necessary for the protection of New York consumers as to the life insurance and annuity products within its own purview made sense because federal agencies have only concurrent jurisdiction with respondent over those products that are both insurance products and securities. The regulation of all other life insurance and annuity products and sales is within the sole purview of respondent. Finally, respondent extensively analyzed the amendment's impact on small businesses, altered the amendment in response to commenters' concerns, and issued a regulatory flexibility analysis including a clarification of the amendment's impact on small businesses.

Administrative Law — Rulemaking — Rationality of Regulation Providing Protections for Consumers of Insurance

4. Respondent New York State Department of Financial Services's promulgation of an amendment to Insurance Regulation 187 (11 NYCRR part 224) providing protections to consumers engaging in life insurance and annuity transactions was not arbitrary or irrational, where respondent reasonably concluded that the best interest framework was needed to protect consumers, and petitioners could not show that the amended regulation was essentially arbitrary. If a regulation is to be nullified, the challenger must establish that it is so lacking in reason for its promulgation that it is essentially arbitrary. So long as the regulation is genuinely reasonable and rational it

should be upheld; courts should not scrutinize the policy considerations underlying the regulation. The goal of the amendment is straightforward and supported by the administrative record, and the amendment is plainly tailored to achieve those objectives.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d Administrative Law §§ 133, 183–187, 194, 214, 218; Am Jur 2d Insurance §§ 27, 32, 159.

McKinney's, Financial Services Law § 201 (a); Insurance Law § 2104 (a) (2); State Administrative Procedure Act § 202-a (3) (c) (iv).

11 NYCRR part 224.

NY Jur 2d Administrative Law §§ 12, 33, 53, 54, 134, 138, 143, 146, 173; NY Jur 2d Insurance §§ 11, 15, 31, 447.

ANNOTATION REFERENCE

See ALR Index under Administrative Law; Insurance; Insurance Agents and Brokers; Rules and Regulations.

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POINTS OF COUNSEL

Letitia James, Attorney General, Albany (*Sarah L. Rosenbluth, Barbara D. Underwood* and *Jeffrey W. Lang* of counsel), for appellants. The first amendment to Department of Financial Services Regulation 187 (11 NYCRR part 224) is not unconstitutionally vague. (*People v Stuart*, 100 NY2d 412; *People v Stephens*, 28 NY3d 307; *Hoffman Estates v Flipside, Hoffman Estates, Inc.*, 455 US 489; *Copeland v Vance*, 893 F3d 101; *Matter of Kaur v New York State Urban Dev. Corp.*, 15 NY3d 235; *United States v Williams*, 553 US 285; *Gonzales v Carhart*, 550 US 124; *People v Tichenor*, 89 NY2d 769; *People v Bakolas*, 59 NY2d 51; *People v Shack*, 86 NY2d 529.)

Keidel, Weldon & Cunningham, LLP, White Plains (*Howard S. Kronberg, James C. Keidel, Robert J. Grande* and *Justin R. Waytowich* of counsel), for respondents. I. The first amendment to Department of Financial Services Regulation 187 (11 NYCRR part 224) is unconstitutionally vague. (*Matter of Turner v Municipal Code Violations Bur. of City of Rochester*, 122 AD3d 1376; *Busker on Roof Ltd. Partnership Co. v Warrington*, 283 AD2d 376; *Erwig v Cook Agency*, 173 AD2d 439; *Chaim v Benedict*, 216 AD2d 347; *L.C.E.L. Collectibles v American Ins. Co.*, 228 AD2d 196; *Obomsawin v Bailey, Haskell & LaLonde Agency, Inc.*, 85 AD3d 1566; *Catalanotto v Commercial Mut. Ins. Co.*, 285 AD2d 788; *Matter of Nicholas v Kahn*, 47 NY2d 24; *Murphy v Kuhn*, 90 NY2d 266; *Suter v Artist M.*, 503 US 347.) II. The New York State Department of Financial Services exceeded its authority in promulgating the first amendment to Regulation 187 (11 NYCRR part 224). (*Long v State of New York*, 7 NY3d 269; *People v First Am. Corp.*, 18 NY3d 173; *Boreali v Axelrod*, 71 NY2d 1; *Matter of LeadingAge N.Y., Inc. v Shah*, 32 NY3d 249; *Matter of New York Statewide Coalition of Hispanic Chambers of Commerce v New York City Dept. of Health & Mental Hygiene*, 23 NY3d 681; *Matter of Nicholas v Kahn*, 47 NY2d 24; *Matter of Jewish Home & Infirmary of Rochester v Commissioner of N.Y. State Dept. of Health*, 84 NY2d 252; *Matter of Mazgulski v Lewis*, 118 Misc 2d 600, 96 AD2d 1154, 63 NY2d 992; *Russello v United States*, 464 US 16.) III. The first amendment to Department of Financial Services Regulation 187 (11 NYCRR part 224) violates the State Administrative Procedure Act. IV. The first amendment to Department of Financial Services Regulation 187 (11 NYCRR part 224) is arbitrary and capricious. (*Grossman v Baumgartner*, 17 NY2d 345; *Matter of Levine v Whalen*, 39 NY2d 510; *New York State Assn. of Counties v Axelrod*, 78 NY2d 158; *Matter of Jewish Mem. Hosp. v Whalen*, 47 NY2d 331; *Matter of New York State Land Tit. Assn., Inc. v New York State Dept. of Fin. Servs.*, 169 AD3d 18; *Dubbs v Stribling & Assoc.*, 96 NY2d 337; *Griffin & Evans Cosmetic Mktg. v Madeleine Mono, Ltd.*, 73 AD2d 957; *Chamber of Commerce of United States of Am. v United States Dept. of Labor*, 885 F3d 360; *Batas v Prudential Ins. Co. of Am.*, 281 AD2d 260.) V. The New York State Department of Financial Services's comments on procurement are superfluous and should be negated in determining its overreach. (*Murphy v Kuhn*, 90 NY2d 266; *Chamber of Commerce of United States of Am. v United States Dept. of Labor*, 885 F3d 360.)

OPINION OF THE COURT

SINGAS, J.

Petitioners challenge the validity of the recently amended Insurance Regulation 187 (11 NYCRR part 224), which provides protections to consumers engaging in life insurance and annuity transactions. Because the Department of Financial Services (DFS) appropriately exercised its authority to create a carefully considered and clear regulation, we find no basis to invalidate the regulation.

I.

Insurance Regulation 187 was first promulgated as an emergency regulation in 2010, and as a final regulation in 2013. The regulation was intended to ensure that "the insurance needs and financial objectives of consumers" were addressed when entering into annuity contracts, and to update New York's regulations to mirror national model rules (*see* former Department of Financial Services Regulations [11 NYCRR] § 224.0). The regulation originally required that insurance producers—i.e., agents and brokers—and insurers have "reasonable grounds for believing that [a] recommendation is suitable for the consumer on the basis of the facts disclosed by the consumer as to the consumer's investments and other insurance policies or contracts and as to the consumer's financial situation and needs, including the consumer's suitability information" (*id.* § 224.4 [a]). It also required a recommender to have a reasonable basis to believe that the consumer was informed of the features of the contract, that the consumer would benefit from the contract, and that the contract was suitable to the consumer, taking into account the consumer's "suitability information" (*id.* § 224.4 [a] [1]-[4]). In the original version, "recommendation" was defined as "advice provided by an insurance producer, or an insurer where no insurance producer is involved, to a consumer that results in a purchase or replacement of an annuity contract in accordance with that advice" (*id.* § 224.3 [c]). "Suitability information" was defined to include several considerations including age, income, financial needs and objectives, and risk tolerance (*see id.* § 224.3 [e]).

In 2018, following two rounds of public comment and a revised proposal and regulatory impact statement, DFS amended the regulation. The amendment addressed concerns that the purchase of annuities and life insurance had become increasingly complex with more products available to purchase. DFS reasoned that consumers, finding themselves more reliant on professional advice in order to understand the options available and to make purchasing decisions, had become more susceptible to producers and insurers recommending transactions that prioritized their own compensation over the consumer's best interest (*see* Revised Regulatory Impact Statement for the First Amendment to 11 NYCRR 224 [Insurance Regulation 187] at 2-4 [2018] [Revised Impact Statement]). The amendment accordingly extended the scope of the regulation to cover both annuity and life insurance contracts, and created a new standard applicable when producers and insurers make "recommendations" to consumers. The amended regulation, which applies to both "sales transaction[s]" and "in-force transaction[s]" (*see* 11 NYCRR 224.3 [i]-[k]), requires that producers, or insurers when no producer is involved, act in the "best interest of the consumer" when making a "recommendation" (*id.* §§ 224.4 [a], 224.5 [a]). A similar requirement, derived from the National Association of Insurance Commissioners' Model Regulation 275, applies in dozens of other states[1] (*see* National Association of Insurance Commissioners, NAIC Model Laws, Regulations, Guidelines and Other Resources, Suitability in Annuity Transactions Model Regulation [spring 2020], available at https://content.naic.org/sites/default/files/inline-files/MDL-275.pdf [last accessed Oct. 18, 2022]).

The amended regulation explains in detail what a producer or insurer must do to discharge this duty when making a recommendation with respect to sales transactions. The producer or insurer must, among other things: make "reasonable efforts" to obtain the consumer's "suitability information"; base any recommendation "on an evaluation of the relevant suitability information" that "reflects the care, skill, prudence, and diligence that a prudent person acting in a like capacity and familiar with such matters would use under the circumstances then prevailing"; "[o]nly [consider] the interests of the

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1. *See e.g.* Ala Admin Code ch 482-1-137; Ariz Rev Stat § 20-1243 *et seq.*; Ark Admin Code § 054.01.82-1 *et seq.*; Conn Agencies Regs § 38a-432a-1 *et seq.*; 18 Del Admin Code § 1214-1.0 *et seq.*; Idaho Code § 41-1940 *et seq.*; Iowa Admin Code rule 191-15.72 *et seq.*; 806 Ky Admin Regs 12:120; 02-031-917 Me Code R § 1 *et seq.*; Md Code Regs § 31.09.12.01 *et seq.*; Mich Comp Laws § 500.4151 *et seq.*; 19 Miss Admin Code, part 2, § 18.01 *et seq.*; Mont Code Ann § 33-20-801 *et seq.*; Neb Rev Stat § 44-8101 *et seq.*; NM Admin Code § 13.9.20.1 *et seq.*; ND Cent Code § 26.1-34.2-01 *et seq.*; Ohio Admin Code 3901-6-13; 40 Pa Stat and Cons Stat § 627-1 *et seq.*; 230 RI Code Regs § 20-25-1.1 *et seq.*; Tex Ins Code Ann § 1115.001 *et seq.*; 14 Va Admin Code § 5-45-10 *et seq.*; Wis Stat § 628.347; *see also e.g.* 3 Colo Code Regs § 702-4-1-11-1 *et seq.*, as amended by Colo Reg, vol 45, No. 19, Oct. 10, 2022 (eff Nov. 1, 2022); Haw Rev Stat § 431:10D-621 *et seq.*, amended by 2022 Haw Sess Laws act 58 (eff Jan. 1, 2023); Minn Stat § 72A.203 *et seq.*, as amended by 2022 Minn Laws ch 84 (eff Jan. 1, 2023); 11 NC Admin Code 12.0462 (eff Jan. 1, 2023); SC Code Ann Regs § 69-29 (eff Nov. 27, 2022); SD Codified Laws § 58-33A-13 *et seq.*, as amended by 2022 SD Sess Laws ch 186 (eff Jan. 1, 2023).

consumer . . . in making the recommendation" and not be influenced by compensation or other incentives; recommend only "suitable" transactions; and have a "reasonable basis" to believe that the consumer has been reasonably informed of the features of the policy, the potential consequences of the transactions, both favorable and unfavorable, and that the consumer would benefit from certain features of the policy and the particular policy as a whole (11 NYCRR 224.4 [b] [1], [2], [3] [i]-[iii]; [d]).[2]

The original regulation did not define the term "suitable." DFS noted that, in implementing the original version of the regulation, the lack of a definition for the term "suitable" had been a "significant shortcoming," given that DFS had "encountered uncertainty and disagreement in the industry about what it means to be suitable" (Revised Impact Statement at 5). DFS therefore incorporated a new definition of the term into the amended regulation: "in furtherance of a consumer's needs and objectives under the circumstances then prevailing, based upon the suitability information provided by the consumer and all products, services, and transactions available to the producer" (11 NYCRR 224.3 [h]).

The amendment took effect in August 2019 for annuities and in February 2020 for life insurance policies (*id.* § 224.9).

II.

In November 2018, petitioners Independent Insurance Agents and Brokers of New York, Inc., and Testa Brothers Ltd.[3] commenced this CPLR article 78 proceeding alleging that the amended regulation is unconstitutionally vague because certain key terms, including "best interest," "recommendation," and "suitability information," are indefinite, ambiguous, and subjective, and thus, incapable of satisfying the test for constitutional vagueness.[4] Petitioners also contended that DFS exceeded its authority in promulgating the amendment because

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2. The requirements for recommendations regarding in-force transactions are the same, except that the recommender is not required to collect or consider "suitability information," and there is no corresponding requirement that the in-force transaction be "suitable" (*see* 11 NYCRR 224.5 [b]).

3. Petitioners Professional Insurance Agents of New York State, Inc. and Gary Slavin are not parties to this appeal.

4. On the same day, The National Association of Insurance and Financial Advisers—New York State, Inc. commenced a combined CPLR article 78 proceeding and declaratory judgment action seeking similar relief. Supreme Court granted a motion to consolidate the two proceedings. The parties to

(n. cont'd)

it purportedly conflicts with the statutory scheme and the common law, and constitutes improper policymaking. Petitioners finally alleged that DFS violated the State Administrative Procedure Act, and that the amendment was arbitrary and capricious, unreasonable, and lacked a rational basis. DFS answered and moved to dismiss the petition.

Supreme Court granted DFS's motion (65 Misc 3d 562 [Sup Ct, Albany County 2019]). The court held that the amendment was "a proper exercise of the powers granted to the DFS Superintendent, that it [was] not an attempt by DFS to improperly legislate, and that it [was] neither arbitrary [n]or capricious" (*id.* at 577). The court reasoned that "[a]gainst a backdrop of legitimate concerns for consumers, the burgeoning market of increasingly complex insurance and annuity products, and the rather remarkable lapse rate the market is experiencing, the [a]mendment is interstitial—consistent with underlying statutory purposes—and reflects a rational and reasonable movement towards consumer protection" (*id.* at 581 [citation omitted]). The court also rejected the argument that the amendment is unconstitutionally vague, holding that "in fact, it is clear and quite self-explanatory" in providing that the producer must act in the best interest of the consumer and "contain[ing] precise definitions of the issues highlighted by . . . petitioners," including "consumer" and "recommendation" (*id.* at 584). Petitioners appealed.

The Appellate Division unanimously reversed the judgment, granted the petition, and declared the amendment unconstitutional (195 AD3d 83 [3d Dept 2021]). The Court held that the amended regulation was unconstitutionally vague, reasoning that while its goals were "laudable, as written, [it] fails to provide sufficient concrete, practical guidance for producers to know whether their conduct, on a day-to-day basis, comports with the amendment's corresponding requirements for making recommendations and compiling and evaluating the relevant suitability information of the consumer" (*id.* at 87). DFS appealed as of right to this Court (*see* CPLR 5601 [b] [1]).

III.

"A statute, or a regulation, is unconstitutionally vague if it fails to provide a person of ordinary intelligence with a reason-

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that action did not appeal from Supreme Court's order dismissing their petition.

able opportunity to know what is prohibited, and it is written in a manner that permits or encourages arbitrary or discriminatory enforcement" (*Ulster Home Care v Vacco*, 96 NY2d 505, 509 [2001] [internal quotation marks omitted]; *accord People v Stephens*, 28 NY3d 307, 312 [2016]; *Hoffman Estates v Flipside, Hoffman Estates, Inc.*, 455 US 489, 497-499 [1982]). "It has long been settled that civil as well as penal statutes can be tested for vagueness under the due process clause" (*Matter of Kaur v New York State Urban Dev. Corp.*, 15 NY3d 235, 256 [2010] [internal quotation marks omitted], *cert denied sub nom. Tuck-It-Away, Inc. v New York State Urban Dev. Corp.*, 562 US 1108 [2010]). The "degree of vagueness that the Constitution tolerates . . . depends in part on the nature of the enactment," such that "economic regulation is subject to a less strict vagueness test" (*see Hoffman*, 455 US at 498).

Courts use a two-part test to determine whether a statute or regulation is unconstitutionally vague (*see Stephens*, 28 NY3d at 312-313; *People v Stuart*, 100 NY2d 412, 420 [2003]; *Ulster Home Care*, 96 NY2d at 509 [regulation]; *People v Nelson*, 69 NY2d 302, 307 [1987]). First, "[t]o ensure that no person is punished for conduct not reasonably understood to be prohibited, the court must determine whether the statute in question is 'sufficiently definite to give a person of ordinary intelligence fair notice that [the person's] contemplated conduct is forbidden' " (*Stuart*, 100 NY2d at 420 [some internal quotation marks omitted], quoting *Nelson*, 69 NY2d at 307). Second, the court must "determine 'whether the enactment provides officials with clear standards for enforcement' so as to avoid 'resolution on an ad hoc and subjective basis, with the attendant dangers of arbitrary and discriminatory application' " (*Stephens*, 28 NY3d at 312, quoting *Stuart*, 100 NY2d at 420-421). The two prongs of the test are "closely related"—"[i]f a statute is so vague that a potential offender cannot tell what conduct is against the law, neither can" the person charged with its enforcement (*Stuart*, 100 NY2d at 420-421).

No enforcement action has been taken against petitioners under the amendment, and their challenge to the regulation is therefore solely facial. "[F]acial challenges to statutes are generally disfavored" (*id.* at 422). "[A] facial challenge requires the court to examine the words of the statute on a cold page and without reference to the [complaining party's] conduct. In pursuing a facial challenge, the [complaining party] must carry the heavy burden of showing that the statute is impermissibly vague in *all* of its applications" (*id.* at 421 [internal quotation marks and citations omitted]). "That would be true, for example, when vagueness permeates a statute to the point where no standard of conduct is specified at all or where the vagueness in the statute is so great that it permits [the] exercise [of] unfettered discretion in every single case" (*Stuart*, 100 NY2d at 421 [internal quotation marks and citations omitted]). In other words, that a statute or regulation would be unclear in hypothetical situations at its periphery does not render it facially, unconstitutionally vague.

Petitioners argue that three terms in the amended regulation render it unconstitutionally vague on its face because these terms fail to provide notice of what conduct is or is not permitted: "recommendation," "suitability information," and "best interest."

The duty to act in the best interest of the consumer applies when a producer makes a "recommendation" regarding a transaction (11 NYCRR 224.4 [a]; 224.5 [a]). As defined in the amended regulation, "recommendation" has both an objective and a subjective meaning. The objective definition is a statement or act that "reasonably may be interpreted by a consumer to be advice and that results in a consumer entering into or refraining from entering into a transaction in accordance with that advice" (*id.* § 224.3 [e] [1]). The subjective definition is a statement or act that "is intended by the producer, or an insurer where no producer is involved, to result in a consumer entering into or refraining from entering into a transaction" (*id.* § 224.3 [e] [2]). The regulation also clarifies that "general factual information to consumers, such as advertisements, marketing materials, general education information regarding insurance or other financial products[,] and general administrative services to the consumer" are not "recommendation[s]" (*id.*). It further states that "recommendation" "does not include use of an interactive tool" that provides certain limited information (*id.*).

[1] The regulation's text shows that DFS carefully considered what communications would and would not be considered "recommendations" and provided a clear definition employing standard legal terminology. With respect to the objective definition, petitioners argue that the phrase "may be interpreted by a consumer" is too amorphous and generalized to give notice of what conduct is prohibited, but ignore that the standard is explicitly limited to conduct that "*reasonably* may be interpreted by a consumer to be advice" (*id.* § 224.3 [e] [1] [emphasis added]). Indeed, the Court has previously concluded that an objective reasonableness standard is sufficiently definite, and even necessary to support a regulation that could otherwise be subjective. For example, in *Stephens*, the Court distinguished two noise ordinances, one which prohibited "unnecessary noise" defined as "excessive or unusually loud sound or any sound which either annoys, disturbs, injures or endangers the comfort, repose, health, peace or safety of a person" (28 NY3d at 313 [emphasis omitted]) and the other which prohibited identical conduct, save that it applied only when the noise would disturb "a reasonable person of normal sensibilities" (*id.* at 310 [emphasis omitted]). The Court found that the latter ordinance was valid, precisely because it used the objective reasonableness standard. This is in line with our recognition that "[a] statute which employs terms having an accepted meaning long recognized in law and life cannot be said to be so vague and indefinite as to afford . . . insufficient notice of what is prohibited or inadequate guidelines for adjudication" (*People v Cruz*, 48 NY2d 419, 428 [1979] [internal quotation marks omitted]). The subjective standard is, if anything, even clearer than the objective one. Under that section, a communication can be a "recommendation" only if the producer *intends* for a consumer to enter into or refrain from entering into a transaction based on the communication. Whether a communication falls within this definition therefore turns solely on the producer's own state of mind, of which the producer alone is in control. This rules out the possibility of violating the regulation "by accident, inadvertence or chance" (*see Stuart*, 100 NY2d at 426-427).

Petitioners have failed to demonstrate that "recommendation" is unconstitutionally vague. Employing long-accepted terms, the definition establishes clear, objective legal guidelines to ensure that a communication's legal impact will not depend on the sensitivities of a communication's recipient, and is both sufficiently definite to provide notice to those regulated and to prevent arbitrary enforcement. The result is broad categories of conduct for which the application of the term "recommendation" is clear.

Second, petitioners argue that the term "suitability information" is vague. Acting in the "best interest" of the consumer requires a producer or insurer to collect and consider the consumer's "suitability information" and, taking that information into account, make a "recommendation" that furthers the consumer's needs and objectives (11 NYCRR 224.3 [h]; 224.4 [b] [2], [3] [iii]; [d]). "Suitability information" is defined as "information that is reasonably appropriate to determine the suitability of a recommendation commensurate with the materiality of the transaction to a consumer's financial situation at the time of the recommendation and the complexity of the transaction recommended" (*id.* § 224.3 [g] [1], [2]). This includes "some or all" of eight categories of information for life insurance (*id.* § 224.3 [g] [1] [i]-[viii]) and 13 for annuities (*id.* § 224.3 [g] [2] [i]-[xiii]), along with "any other information provided by the consumer which in the reasonable judgment of the producer, or the insurer where no producer is involved, is relevant to the suitability of the transaction" (*id.* § 224.3 [g] [1] [ix]; [2] [xiv]). The enumerated categories include information about the consumer's age, annual income, financial situation and needs, financial objectives and experience, intended use of the policy, financial time horizon, existing assets, liquidity needs and liquid net worth, risk tolerance, and tax status (*see id.* § 224.3 [g]). Read as a whole, the regulation specifies that information that is not in one of the enumerated categories and is not provided by the consumer need not be considered for a producer to comply with the best interest standard (*see id.* §§ 224.3, 224.4 [b] [1]).

Before the amendment, the general definition of "suitability information" was the same: "information that is reasonably appropriate to determine the suitability of a recommendation" (*compare id.* § 224.3 [g] [1], [2], *with* former 11 NYCRR 224.3 [e]). The amended regulation clarifies that the information reasonably appropriate to determine the suitability of a transaction may vary depending on "the materiality of the transaction to a consumer's financial situation at the time of the recommendation and the complexity of the transaction recommended" (11 NYCRR 224.3 [g] [1], [2]); creates specific sections for life insurance and annuities (*compare id.* § 224.3 [g] [1], *with* [2]); and adds a handful of data that are included in "suitability information."

Within the definition of "suitability information," petitioners argue that the terms "recommendation," "materiality," "consumer," "financial situation," and "complexity" are too vague to give notice of what is and is not "suitability information." As discussed, the term "recommendation" has a specific definition within the regulation which is not vague. The same is true for "consumer" (*id.* § 224.3 [a]; *see also infra*). The term "financial situation" was used in the prior regulation, and plainly refers to a consumer's investments, wealth, income, and similar financial factors as they relate to both the appropriateness of the contract's benefits, and the consumer's ability to pay the policy premiums. Finally, that the terms "materiality" and "complexity" do not have specific and concrete definitions is an intended feature of the amendment and does not render them impermissibly vague. The amended regulation provides that a producer or insurer may need to consider more data for the complex types of transactions that were the impetus for the amendment, and similarly more information may be needed when the transaction involves a significant change to the consumer's finances. Overall, though the regulation provides flexibility as to what exact information a producer or insurer must consider for a particular consumer, the definition of "suitability information" provides clear boundaries for what must be considered. Accordingly, petitioners failed to meet their burden to show the facial vagueness of this term.

Petitioners' final vagueness argument pertains to the term "best interest." Petitioners first argue that it is unclear in whose best interest a producer must act when making a "recommendation." The regulation provides an explicit answer: producers "shall act in the best interest of the consumer" (11 NYCRR 224.4 [a]), i.e., the "owner or prospective purchaser of a policy" (*id.* § 224.3 [a]).[5] As to the term "best interest" itself, the regulation employs standard legal terms to explain exactly what a producer has to do to discharge this duty—namely, employ "the care, skill, prudence, and diligence that a prudent person acting in a like capacity and familiar with such matters would use under the circumstances then prevailing"; collect and evaluate the consumer's "suitability information"; confirm that any recommended transaction is "suitable" for the consumer; ensure that there is a reasonable basis to believe that the consumer will benefit from the recommended policy's features; document and disclose to the consumer the basis for the "recommendation"; and refrain from considering the producer's own potential gain from a given transaction (*id.* § 224.4

5. Contrary to petitioners' assertions, this rule does not engender confusion when a beneficiary is involved: when the owner of a policy directs a producer to consider the interests of a beneficiary, then that could be in the consumer's best interest. But, if the owner's and beneficiary's interests are at odds with each other, the owner's control.

[b] [1]-[3]; [d], [f]). Contrary to petitioners' arguments, following these steps does not require producers and insurers to identify the single best policy for a consumer. It simply requires them to reasonably recommend a suitable policy that will benefit the consumer, while refraining from considering their own financial gain. Like the others, this vagueness argument lacks merit.

Because petitioners have not established that the amendment will fail to give notice of its requirements in every application, we conclude that the amended regulation is not impermissibly vague on its face.

IV.

Petitioners raise three alternative arguments for invalidating the amendment that the Appellate Division did not reach: that DFS exceeded its authority in promulgating the amended regulation, that DFS violated the State Administrative Procedure Act, and that the amended regulation is arbitrary and capricious.[6] Each of these arguments is unavailing.

A.

A governmental agency exceeds the scope of its delegated authority in promulgating a regulation when it engages in impermissible "legislative policy-making," as opposed to permissible "administrative rule-making" (*Boreali v Axelrod*, 71 NY2d 1, 11 [1987]). Several factors assist courts in differentiating between the two:

> "whether (1) the agency did more than balance costs and benefits according to preexisting guidelines, but instead made value judgments entailing difficult and complex choices between broad policy goals to resolve social problems; (2) the agency merely filled in details of a broad policy or if it wrote on a clean slate, creating its own comprehensive set of rules without benefit of legislative guidance; (3) the legislature has unsuccessfully tried to reach agreement on the issue, which would indicate that the matter is a policy consideration for the

6. Petitioners also make unpreserved general overbreadth arguments along with their vagueness claims, based in part on the Appellate Division's reference to the breadth of the statute's definitional language (*see* 195 AD3d at 87-88). But overbreadth implicates the First Amendment, and vagueness concerns due process. These analytically distinct considerations should not be conflated (*see Stuart*, 100 NY2d at 422 n 8).

> elected body to resolve; and (4) the agency used special expertise or competence in the field to develop the challenged regulation" (*Matter of NYC C.L.A.S.H., Inc. v New York State Off. of Parks, Recreation & Historic Preserv.*, 27 NY3d 174, 179-180 [2016] [internal quotation marks, citations, and alterations omitted]; *accord Boreali*, 71 NY2d at 12-14).

These factors are flexible, do not constitute a checklist or a headcount, and are exemplary rather than exhaustive (*see Matter of NYC C.L.A.S.H.*, 27 NY3d at 180). The *Boreali* analysis is, at its core, a recognition that "elected representatives, rather than appointed administrators" should resolve difficult social problems (*id.*).

[2] We reject petitioners' argument that DFS crossed the line into impermissible "legislative policy-making" (*Boreali*, 71 NY2d at 11). The legislature has given DFS the authority to supervise "persons providing . . . financial products and services" (Financial Services Law § 201 [a]) and to establish "professional standards of conduct" for insurance producers (Insurance Law § 2104 [a] [2]). The legislature's stated objectives for the Financial Services Law are ensuring the "prudent conduct of the providers of financial products and services"; "encourag[ing] high standards of honesty, transparency, fair business practices and public responsibility"; and "eliminat[ing] financial fraud, other criminal abuse and unethical conduct in the industry" (Financial Services Law § 201 [b] [2], [5], [6]). A regulation that is aimed at ensuring that consumers buying insurance are doing so with the relevant information—and without fear that the salesperson is acting in their own contrary interest—falls squarely within those directives, and simply fills in the details of the legislature's pre-stated policy. Moreover, in the complex area of insurance transactions, DFS's specific expertise "was necessary to flesh out details of the broadly stated legislative policies" (*see Matter of NYC C.L.A.S.H.*, 27 NY3d at 184), as evidenced by its employment of over a decade of experience and study in administering the prior regulation. Finally, there was no failed legislative effort to institute these changes. Rather, DFS was creating rules to clarify producers' and insurers' duties, and provide protection to consumers of insurance products. Accordingly, DFS did not exceed its authority in promulgating the amendment.

B.

[3] The State Administrative Procedure Act lays out rules that agencies must follow when promulgating regulations and creating agency guidance. Petitioners argue that DFS violated three of its provisions. First, the State Administrative Procedure Act requires agencies to include in a regulatory impact statement the "best estimate" of a regulation's projected costs (State Administrative Procedure Act § 202-a [3] [c] [iv]). The costs required to be estimated are the "additional expenditures required" by the rule (*Matter of Industrial Liaison Comm. of Niagara Falls Area Chamber of Commerce v Williams*, 72 NY2d 137, 145 [1988]). This "does not mean that, in all cases, an agency must project an actual dollar figure. Rather, a best estimate could be a range within which the agency anticipates the actual cost will fall" (Governor's Approval Mem, Bill Jacket, L 1990, ch 850 at 14). DFS carefully considered these costs and sought to curtail them by providing a flexible compliance system:

> "The amendment was specifically designed to allow producers to leverage existing practices and file management systems. . . . This amendment identifies certain suitability information that the producer should be asking their clients, if not already doing so. Although some producers and insurers have expressed an intention to create new forms or new file management systems, that is not required to comply with this amendment" (*see* Revised Impact Statement at 8-9).

Though DFS did not give a dollar figure of expected costs, the State Administrative Procedure Act does not require such an exact estimate. Moreover, providing a precise dollar figure would be contrary to DFS's approach of allowing producers to determine the best way to comply with the regulation's requirements in order to reduce their costs. In light of this approach, DFS predicted that the costs to producers "are expected to be minimal, because, as [DFS] understands it, many insurers have already developed procedures to prevent financial exploitation and abuse" and rejected the "leading industry trade group['s]" estimate of $5 million to $10 million as "overinflated" (*id.* at 11, 13). DFS also noted that "[t]he rule does not impose additional costs to [DFS] or other state government agencies or local governments. [DFS] will monitor and enforce the regulation within its existing enforcement authority" (*id.* at 13). This evaluation was in substantial compliance with section 202-a (3) (c) (iv)'s requirements (*see* State Administrative Procedure Act § 202 [8]).

Second, the State Administrative Procedure Act also requires that the regulatory impact statement identify "whether the rule exceeds any minimum standards of the federal government for the same or similar subject areas and, if so," provide "an explanation of why the rule exceeds such standards" (State Administrative Procedure Act § 202-a [3] [h]). The Revised Impact Statement explained the status of federal regulation on the same topic and the differences between the two, and concluded that the amendment was "necessary for the protection of [New York] consumers as to the life insurance and annuity products within its own purview" (Revised Impact Statement at 4; *see also* 14-15). This protection makes sense because "[f]ederal agencies . . . have only concurrent jurisdiction with [DFS] over only those products that are both insurance products and securities; the regulation of all other life insurance and annuity products and sales is within the sole purview of [DFS]" (Second Assessment of Public Comments to the First Amendment to 11 NYCRR 244 [Insurance Regulation 187] [2018] [Second Assessment of Public Comments]). DFS's analysis and explanation satisfies the State Administrative Procedure Act's requirements in this regard.

Finally, the State Administrative Procedure Act requires agencies to "consider utilizing approaches that will accomplish the objectives of applicable statutes while minimizing any adverse economic impact of the rule on small businesses" (State Administrative Procedure Act § 202-b [1]). DFS extensively analyzed the amendment's impact on small businesses, altered the amendment in response to commenters' concerns, and issued a regulatory flexibility analysis including a clarification of the amendment's impact on small businesses (*see* First Assessment of Public Comments to the First Amendment to 11 NYCRR 244 [Insurance Regulation 187] [2018]; 40 NY Reg, May 16, 2018 at 16). DFS explained that "[p]roducers that are small businesses subject to this amendment will likely incur minimal costs" because "producers will already have in place standards and procedures that can be leveraged to comply with th[e] amendment" (40 NY Reg, May 16, 2018 at 18; *accord* Revised Impact Statement at 10-11). Because DFS adequately considered and analyzed the costs to small businesses, this argument also fails, and petitioners' contention that DFS violated the State Administrative Procedure Act therefore lacks merit.

C.

[4] We finally conclude that the amendment is not arbitrary or irrational. "[A]n administrative regulation will be upheld only if it has a rational basis, and is not unreasonable, arbitrary or capricious" (*New York State Assn. of Counties v Axelrod*, 78 NY2d 158, 166 [1991]). "If a regulation is to be nullified, the challenger must establish that it is so lacking in reason for its promulgation that it is essentially arbitrary" (*Kuppersmith v Dowling*, 93 NY2d 90, 96 [1999] [internal quotation marks omitted]). So long as the regulation is "genuine[ly] reasonable[ ] and rational[ ]" it should be upheld—courts should not scrutinize the "policy considerations underlying the" regulation (*New York State Assn. of Counties v Axelrod*, 78 NY2d at 166-167 [internal quotation marks omitted]). The goal of the amendment is straightforward and supported by the administrative record, and the amendment is plainly tailored to achieve those objectives. Ultimately, petitioners' quarrel is with the policy and objectives of the regulation, not with its rationality. DFS reasonably concluded that the "best interest" framework was needed to protect consumers, and petitioners cannot show that the amended regulation is "essentially arbitrary."

V.

Each of petitioners' arguments for invalidating the regulation is unavailing. Petitioners have fallen woefully short of their burden to sustain a facial due process challenge on vagueness grounds, and the extensive administrative record supporting the amended regulation refutes their alternative challenges.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the judgment of Supreme Court reinstated.

Acting Chief Judge CANNATARO and Judges RIVERA, GARCIA, WILSON and TROUTMAN concur.

Order reversed, with costs, and judgment of Supreme Court, Albany County, reinstated.

[200 NE3d 1015, 180 NYS3d 48]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v LUIS JIMENEZ, Appellant.

Argued October 18, 2022; decided November 17, 2022

SUMMARY

APPEAL by permission of a Justice of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered December 2, 2020. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Queens County (John Zoll, J.), which had, upon reargument, adhered to so much of the original order of that court as had, upon reviewing the grand jury minutes, dismissed the indictment upon the ground that the grand jury proceeding was defective within the meaning of CPL 210.35 (5), with leave to the People to re-present to a new grand jury; (2) vacated so much of the original order of Supreme Court as had granted that branch of defendant's motion which was to dismiss the indictment; (3) denied that branch of defendant's motion which was to dismiss the indictment; (4) reinstated the indictment; and (5) remitted the matter to Supreme Court, Queens County, for further proceedings.

People v Jimenez, 189 AD3d 882, affirmed.

HEADNOTE

Grand Jury — Instructions to Jury — Defense of Justification Not Warranted

In a grand jury proceeding in which defendant was indicted on several counts for striking and severely injuring a small dog with a broom stick, the prosecutor was not obligated to instruct the grand jury on the "choice of evils" defense under Penal Law § 35.05 (2). Defendant maintained that he chose to hit the dog to avoid a potentially fatal dog bite infection but, as limited by defendant's argument, the evidence did not support the defense. Defendant testified before the grand jury that he was not afraid of the dog, that he never intended to hurt her, and that he struck her by mistake during his struggle with someone attempting to disarm him of the broom stick he had picked up to defend himself with and as a reaction to the surrounding circumstances. Thus, by his own account, defendant made no choice at all to strike the dog, but acted without intending to hit anything or specifically to hurt her. The record, including defendant's own testimony and the surveillance video, foreclosed defendant's argument that he chose to strike the dog as an "emergency measure to avoid an imminent . . . private injury" (Penal Law § 35.05 [2]).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Animals §§ 25, 111; AM JUR 2d Criminal Law

§§ 135–137; Am Jur 2d Malicious Mischief and Related Offenses § 4.

Carmody-Wait 2d Commencing the Prosecution; Grand Jury §§ 178:178–178:179.

LaFave, et al., Criminal Procedure (4th ed) §§ 15.5–15.6.

McKinney's, Penal Law § 35.05 (2).

NY Jur 2d Criminal Law: Procedure §§ 1177–1178, 1611, 1615; NY Jur 2d Criminal Law: Substantive Principles and Offenses §§ 145, 150, 824.

ANNOTATION REFERENCES

Coercion, compulsion, or duress as defense to criminal prosecution. 40 ALR2d 908.

What constitutes offense of cruelty to animals—modern cases. 6 ALR5th 733.

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POINTS OF COUNSEL

Twyla Carter, The Legal Aid Society, New York City (*Steven R. Berko* of counsel), for appellant. In a case where the evidence before the grand jury showed that defendant struck a dog that was biting him, the prosecutor was required to submit—as a complete defense to charges relating to animal cruelty and criminal mischief—the "choice-of-evils" justification defense (Penal Law § 35.05 [2]), leaving to the grand jury the question of whether appellant's use of force was reasonable under the circumstances. (*People v Lancaster*, 69 NY2d 20 [1986]; *People v Valles*, 62 NY2d 36 [1984]; Penal Law § 35.05 [2].) (*People v Calbud, Inc.*, 49 NY2d 389; *People v Thompson*, 22 NY3d 687; *People v Ianniello*, 36 NY2d 137; *Sentell v New Orleans & Carrollton R. Co.*, 166 US 698; *People v Kravitz*, 75 AD3d 915; *People v Coleman*, 256 AD2d 473; *People v Bolton*, 213 AD2d 660; *People v Bunt*, 118 Misc 2d 904; *People v Voelker*, 172 Misc 2d 564; *People v Craig*, 78 NY2d 616.)

Melinda Katz, District Attorney, Kew Gardens (*Charles T. Pollak* and *John M. Castellano* of counsel), for respondent. The People were not required to charge justification, as there was no reasonable view of the evidence, viewed in the light most favorable to defendant, by which defendant established a legitimate justification defense. (*People v Valles*, 62 NY2d 36; *People v Mitchell*, 82 NY2d 509; *People v Sanchez*, 31 NY3d 949; *People v Watts*, 57 NY2d 299; *People v Padgett*, 60 NY2d 142; *People v Butts*, 72 NY2d 746; *People v Brinkley*, 174 AD3d 1159; *People v George*, 16 Misc 3d 74; *People v Rodriguez*, 16 NY3d 341; *People v Lynch*, 166 AD3d 904.)

Latham & Watkins, LLP, New York City (*Tené Johnson* of counsel), and *Association of Prosecuting Attorneys*, Washington, D.C. (*Marlene Biener* of counsel), for Animal Legal Defense Fund and another, amici curiae. I. Defendant was not in an emergency; he did not fear Gigi, Gigi posed a de minimis threat to defendant, and defendant had a reasonable, legal alternative to his actions. II. Defendant's actions are unjustifiable because defendant bears fault as an aggressor. III. Injury to a companion animal is not the lesser of two evils. (*Humane Soc. of Rochester & Monroe County for Prevention of Cruelty To Animals, Inc. v Lyng*, 633 F Supp 480; *United States v Stevens*, 559 US 460; *Church of Lukumi Babalu Aye, Inc. v Hialeah*, 508 US 520.)

OPINION OF THE COURT

RIVERA, J.

Defendant was indicted on several counts for striking and severely injuring a small dog with a broom stick. On appeal, he argues that the indictment should be dismissed because the prosecutor did not charge the grand jury on justification under Penal Law § 35.05 (2), the "choice of evils" defense. We conclude that the instruction was not warranted under the circumstances of this case.

I.

Defendant was charged with second-degree criminal mischief under Penal Law § 145.10, aggravated cruelty to animals under Agriculture and Markets Law § 353-a, and overdriving, torturing, or injuring an animal under Agriculture and Markets Law § 353. Defendant testified before the grand jury that J., a former acquaintance, confronted him on a sidewalk and demanded that he repay a $20 debt. When defendant refused, J. left and then quickly returned with two metal rods, one in each hand, and threatened to kill defendant if he did not pay. Defendant picked up a broom and broke it in half to defend himself as J.'s mother and uncle appeared on the scene. At his mother's urging, J. turned and began walking away while the uncle began "tussling" with defendant, attempting to disarm him of the broom handle. As defendant was engaged with the uncle, Gigi—a small dog who was in the mother's care—ran up to defendant and started biting at his pant leg. While still physically engaged with the uncle, defendant swung the broom handle and hit Gigi.

During his testimony, defendant explained that J.'s uncle "[got] in the way" while "trying to stop the fight" as Gigi, who was not on a leash, ran toward them. He then "[m]istakenly" hit the dog; he "fe[lt] bad for it," and "didn't mean to hurt the dog." In response to questioning, defendant responded that, when he hit Gigi, J. was swinging the stick as the uncle was "on [him]" and J.'s mother was holding J. back. Defendant also confirmed that, at one point, a surveillance camera recorded J. walking away while J.'s uncle walked toward defendant and began "pushing" him back. He claimed, however, that Gigi bit his pant leg but that he "wasn't really scared" of her; rather, he "was scared of the people around [him] because [he] was by [him]self." As J.'s uncle was trying to get the stick out of defendant's hand, defendant "ended up hitting the dog mistakenly." Defendant testified that throughout the encounter, he was "not trying to hit [anything]." The grand jury also viewed surveillance footage, which depicts defendant striking Gigi in an upward motion with the broom handle and knocking her to the ground. A forensic veterinarian testified that the strike caused Gigi extreme pain, fractured her cheekbone, and left her blind in one eye.

The prosecutor charged the grand jury on, among other things, the elements of the three counts. The prosecutor did not instruct the grand jury on justification. The grand jury indicted defendant on all counts.

Defendant moved to dismiss the indictment on the ground that the grand jury proceeding was defective under CPL 210.35 (5) because the prosecutor failed to instruct the jury on exculpatory defenses. Supreme Court reviewed the grand jury minutes in camera and dismissed the indictment with leave to re-present, based on the prosecutor's failure to instruct on justification under section 35.05 (2). The court subsequently granted the prosecution's motion to reargue, but adhered to its original decision on the same grounds. The Appellate Division, with one Justice dissenting, reversed and reinstated the indictment, holding that, as a matter of law, no reasonable view of the evidence supported an instruction on the justification defense (189 AD3d 882, 882-885 [2d Dept 2020]). The dissenting Justice granted defendant leave to appeal (2021 NY Slip Op 61834[U] [2d Dept 2021]). We now affirm.

II.

Defendant asserts that the grand jury proceeding was sufficiently impaired to warrant dismissal of the indictment because the prosecutor did not provide an instruction pursuant to Penal Law § 35.05 (2), the "choice of evils" defense, which would have allowed the grand jury to consider whether his actions were justified. Defendant maintains that he chose to hit the dog to avoid a potentially fatal dog bite infection. As limited by defendant's argument, we conclude that the evidence does not support the defense.

Under CPL 210.35 (5), a grand jury proceeding is defective, "mandating dismissal of the indictment" (*People v Valles*, 62 NY2d 36, 38 [1984]) under CPL 210.20 (1) (c), when it "fails to conform to the requirements of article one hundred ninety [of the Criminal Procedure Law] to such degree that the integrity thereof is impaired and prejudice to the defendant may result" (CPL 210.35 [5]). In turn, article 190 of the Criminal Procedure Law provides that "[t]he legal advisors of the grand jury are the court and the district attorney," and commands that "[w]here necessary or appropriate, the court or the district attorney, or both, must instruct the grand jury concerning the law with respect to its duties or any matter before it" (CPL 190.25 [6]). "[F]ailure to furnish adequate or complete instructions may, in a given case, render the Grand Jury proceedings defective, mandating dismissal of the indictment" but "[t]his does not mean, however, that the Grand Jury must be charged with every potential defense" (*People v Valles*, 62 NY2d 36, 38 [1984]). Instead, as the Court has explained, a prosecutor must instruct a grand jury on "exculpatory defense[s]," which are those "that would, if believed, result in a finding of no criminal liability" (*id.*). Failure to instruct where the evidence supports a complete defense is grounds for reversal (*see People v Lancaster*, 69 NY2d 20, 26 [1986]).

Section 35.05 (2) of the Penal Law provides that conduct that would otherwise be criminal may be justifiable when

> "[s]uch conduct is necessary as an emergency measure to avoid an imminent . . . private injury

> which is about to occur by reason of a situation occasioned or developed through no fault of the actor, and which is of such gravity that, according to ordinary standards of intelligence and morality, the desirability and urgency of avoiding such injury clearly outweigh the desirability of avoiding the injury sought to be prevented by the statute defining the offense in issue."

The statute further commands that "[w]henever evidence" related to the defense "is offered by the defendant, the court shall rule as a matter of law whether the claimed facts and circumstances would, if established, constitute a defense" (*id.*). Thus, the statute's plain text requires a threshold legal determination that the record is sufficient for the factfinder to conclude that a defendant's criminal conduct was justified.

This provision reflects a policy decision to absolve a defendant of criminal liability where they commit an otherwise criminal act out of necessity to avoid a greater injury (*see People v Craig*, 78 NY2d 616, 618, 620 [1991]). Choice is a necessary prerequisite to this justification defense, hence the common reference to it as the "choice of evils" defense (*see id.* at 619 n 1). As the Court previously recognized in *Craig*, the defense is limited in application and intended to be available " 'in rare and highly unusual circumstances' " (*id.* at 622, quoting Staff Notes of Temp St Commn on Rev of Penal Law and Crim Code, 1964 Proposed NY Penal Law [Study Bill, 1964 Senate Intro 3918, Assembly Intro 5376] § 65.00 at 317). Indeed, this Court has endorsed the Bartlett Commission's illustrative example that the defense would exempt a defendant from criminal liability for the " 'burning of real property of another in order to prevent a raging forest fire from spreading into a densely populated community' " (*id.*, quoting William C. Donnino, Practice Commentary, McKinney's Cons Laws of NY, Book 39, Penal Law § 35.00 at 91 [1987 ed]).

Here, defendant asserts that he chose the lesser evil of striking Gigi to avoid the greater harm of a potentially-infectious dog bite. However, defendant testified before the grand jury that he was not afraid of Gigi, that he never intended to hurt her, and that he struck her by mistake during his struggle with the uncle and as a reaction to the surrounding circumstances. Thus, by his own account, defendant made no choice at all to strike Gigi, but acted without intending to hit anything or specifically to hurt her. The record, including defendant's own testimony and the surveillance video, forecloses defendant's argument that he chose to strike Gigi as an "emergency measure to avoid an imminent . . . private injury" (Penal Law § 35.05 [2]; *see Lancaster*, 69 NY2d at 26). Accordingly, the prosecutor was not obligated to instruct the grand jury on the "choice of evils" defense under section 35.05 (2) (*see People v Thompson*, 22 NY3d 687, 697 [2014]; *Lancaster*, 69 NY2d at 26; *Valles*, 62 NY2d at 38).

Accordingly, the order of the Appellate Division should be affirmed.

Acting Chief Judge CANNATARO and Judges GARCIA, WILSON, SINGAS and TROUTMAN concur.

Order affirmed.

[201 NE3d 771, 181 NYS3d 154]

In the Matter of D.L., Appellant, v S.B. et al., Respondents.

Argued and submitted September 13, 2022; decided October 25, 2022

SUMMARY

Appeal, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 6, 2020. The Appellate Division affirmed an order of the Family Court of Suffolk County (Theresa Whelan, J.), entered in related proceedings pursuant to Family Court Act article 6, which had dismissed, without a hearing, petitioner father's petitions for custody of the child.

Matter of D.L. v S.B., 183 AD3d 565, reversed.

HEADNOTE

Parent, Child and Family — Abused or Neglected Child — Interstate Compact on Placement of Children — Out-of-State Noncustodial Parent Seeking Custody of Child in Foster Care

The Interstate Compact on the Placement of Children (ICPC), an agreement among the states which governs the out-of-state "placement" of children "in foster care or as a preliminary to a possible adoption" (Social Services Law § 374-a [1] [art III] [a], [b]), does not apply to out-of-state, noncustodial parents seeking custody of their children who are in the custody of New York social services agencies. The language of the statute unambiguously limits its applicability to cases of placement for foster care or adoption, which are substitutes for parental care that are not implicated when custody of the child is granted to a noncustodial parent. Nothing in the language of the statute or the legislative history indicates that the ICPC was ever intended to address any individual other than an out-of-state foster or adoptive parent. Further, an interpretation of the ICPC as applicable to noncustodial parents would be inconsistent with other components of New York's statutory framework governing child protection, which overwhelmingly reflects the preeminence of the biological family and embraces a policy of keeping biological families together whenever safely possible. The Family Court Act contains other effective means to ensure the safety of a child before awarding custody to an out-of-state parent.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d Adoption §§ 41, 42.

Carmody-Wait 2d Adoption, Assisted Reproduction, and Surrogate Parenting §§ 111:7, 111:8.

McKinney's, Social Services Law § 374-a (1).

NY Jur 2d Domestic Relations §§ 715, 718.

ANNOTATION REFERENCE

Construction and Application of Interstate Compact on the Placement of Children. 5 ALR6th 193.

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POINTS OF COUNSEL

NYU Family Defense Clinic, Washington Square Legal Services, New York City (*Christine Gottlieb* of counsel), and *Freshfields Bruckhaus Deringer US LLP*, New York City (*Scott A. Eisman* and *Elena Hadjimichael* of counsel), for appellant. The Interstate Compact on the Placement of Children does not apply when out-of-state parents seek custody of their own children. (*People v Holz*, 35 NY3d 55; *People v Ryan*, 82 NY2d 497; *Matter of Emmanuel B. [Lynette J.]*, 175 AD3d 49; *Matter of Tumari W.*, 65 AD3d 1357; *Matter of Alexus M. v Jenelle F.*, 91 AD3d 648; *Matter of Faison v Capozello*, 50 AD3d 797; *Matter of Keanu Blue R.*, 292 AD2d 614; *Matter of Lighthouse Pointe Prop. Assoc. LLC v New York State Dept. of Envtl. Conservation*, 14 NY3d 161; *Matter of Richmond Constructors v Tishelman*, 61 NY2d 1; *Matter of Albany Law School v New York State Off. of Mental Retardation & Dev. Disabilities*, 19 NY3d 106.)

Dennis M. Cohen, County Attorney, Central Islip (*James G. Bernet* of counsel), for Suffolk County Department of Social Services, respondent. I. Application of the Interstate Compact on the Placement of Children is required when an out-of-state parent makes a custody application for a child in foster care. (*Matter of Keanu Blue R.*, 292 AD2d 614; *Matter of Williams v Glass*, 245 AD2d 66; *Matter of Shaida W.*, 85 NY2d 453.) II. Requiring an Interstate Compact on the Placement of Children investigation for out-of-state parents' custody applications is consistent with the provisions of the Family Court Act. (*Matter of Aldin H.*, 39 AD3d 914.)

Law Office of Domenik Veraldi, Jr., Islandia (*Domenik Veraldi, Jr.* of counsel), Attorney for the Child. I. If there is a pending neglect proceeding and the child is in Department of Social Services custody application of the Interstate Compact on the Placement of Children is required in connection with a parent's request for custody. (*Matter of Shaida W.*, 85 NY2d 453; *Matter of Keanu Blue R.*, 292 AD2d 614; *Matter of Ryan R.*, 29 AD3d 806.) II. The fact that petitioner is a parent does not except the requirement for application of the Interstate Compact on the Placement of Children given the pending neglect docket and Department of Social Services placement of the child. (*Matter of Tumari W.*, 65 AD3d 1357; *Matter of Faison v Capozello*, 50 AD3d 797; *Matter of Shaida W.*, 85 NY2d 453; *Matter of Keanu Blue R.*, 292 AD2d 614.) III. To not apply the Interstate Compact on the Placement of Children when a child is in Department of Social Services custody prior to placement of that child with an out of state guardian places the child at risk.

Karen Freedman, Lawyers for Children, Inc., New York City (*Betsy Kramer* of counsel), Lawyers for Children, Inc. and others, amici curiae. I. Administrative regulations cannot change the plain terms and expressed legislative purpose of the Interstate Compact on the Placement of Children statute. (*Matter of Ramroop v Flexo-Craft Print., Inc.*, 11 NY3d 160; *McComb v Wambaugh*, 934 F2d 474; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451.) II. Applying the Interstate Compact on the Placement of Children to parents improperly infringes on the constitutional rights of children and families. (*Matter of Crystal A.*, 13 Misc 3d 235; *Matthews v Matthews*, 240 NY 28; *Matter of Lorie C.*, 49 NY2d 161; *Ashwander v Tennessee Valley Auth.*, 297 US 288; *Troxel v Granville*, 530 US 57; *Stanley v Illinois*, 405 US 645; *Lehr v Robertson*, 463 US 248; *Duchesne v Sugarman*, 566 F2d 817; *Matter of Bennett v Jeffreys*, 40 NY2d 543; *Southerland v City of New York*, 680 F3d 127.) III. Applying the Interstate Compact on the Placement of Children to parents harms children. (*Martin A. v Gross*, 153 AD2d 812; *Matter of Marino S.*, 100 NY2d 361; *Nicholson v Scoppetta*, 3 NY3d 357; *Santosky v Kramer*, 455 US 745.)

Sylvia O. Hinds-Radix, Corporation Counsel, New York City (*Rebecca L. Visgaitis, Richard Dearing* and *MacKenzie Fillow* of counsel), for New York City Administration for Children's Services, amicus curiae. I. The Family Court is not required to comply with the Interstate Compact on the Placement of Children's procedures before releasing a child to an out-of-state parent. (*People ex rel. Harris v Sullivan*, 74 NY2d 305; *Matter of Shaida W.*, 85 NY2d 453; *Matter of Perlbinder Holdings, LLC v Srinivasan*, 27 NY3d 1; *Matter of Emmanuel B. [Lynette J.]*, 175 AD3d 49; *McComb v Wambaugh*, 934 F2d 474.) II. Discretionary use of the Interstate Compact on the Placement of Children's procedures may be warranted in some cases to promote the best interests of a child. (*Matter of Bennett v Jeffreys*, 40 NY2d 543; *Kia P. v McIntyre*, 235 F3d 749; *Quilloin v Walcott*, 434 US 246; *Nicholson v Scoppetta*, 3 NY3d 357.)

OPINION OF THE COURT

Acting Chief Judge CANNATARO.

The Interstate Compact on the Placement of Children (ICPC or Compact) is an agreement among the states to follow certain procedures in connection with sending children across state borders "for placement in foster care or as a preliminary to a possible adoption" (Social Services Law § 374-a [1] [art III] [a]). The issue raised on this appeal is whether the ICPC applies to out-of-state, noncustodial parents seeking custody of their children who are in the custody of New York social services agencies. We hold that it does not.

I.

Petitioner father, a North Carolina resident, and respondent mother, a New York resident, are the parents of the subject child. In 2012, respondent Suffolk County Department of Social Services (DSS) removed the child from the custody of mother, who admitted neglecting the child, and placed the child in foster care. Father exercised his right to appear in the neglect proceeding and, in 2013, an application was made under the ICPC to North Carolina for the approval of father's home in that state as a suitable placement for the child. The relevant North Carolina authority denied the ICPC request. The child remained in foster care with the goal of reunification with mother and, according to father, he maintained contact with and continued to visit with the child. Thereafter, in 2017, father commenced these custody proceedings, arguing that it was in the child's best interests to award him sole custody. DSS argued that the child could not be placed with father in light of the North Carolina authority's 2013 refusal to consent to the placement.

Family Court dismissed father's petitions without conducting a hearing. The court held in pertinent part that the requirements of the ICPC applied to placement of the child with father, even though he is an out-of-state noncustodial parent, because the child was in the custody and care of DSS in New York. The court also rejected father's claim that the ICPC is unconstitutional to the extent that it purports to apply to a noncustodial parent's petition for custody of that parent's child. Father appealed.

The Appellate Division affirmed (183 AD3d 565 [2d Dept 2020]), holding that Family Court properly determined that the ICPC applied because "the child was in the custody of DSS and . . . father resided in North Carolina" (*id.* at 566). The Court concluded that the petitions for custody were correctly dismissed without a hearing inasmuch as the relevant North Carolina authority denied approval of father's 2013 ICPC request (*id.*).

We granted father leave to appeal (37 NY3d 901 [2021]) and now reverse.[1]

II.

The ICPC is an agreement among the 50 states, the District of Columbia, and the U.S. Virgin Islands. It is a non-federal agreement and is "construed as state law" in each adopting state (*McComb v Wambaugh*, 934 F2d 474, 479 [3d Cir 1991]). Governor Rockefeller approved New York's entry into the ICPC, which has since been codified in Social Services Law § 374-a (*see* Governor's Approval Mem, Bill Jacket, L 1960, ch 708).

The ICPC governs the "interstate placement of children" (Social Services Law § 374-a [1] [art I]) and "was designed to promote cooperation among [s]tates in providing each child with the maximum opportunity to be placed in a suitable environment with persons or institutions having appropriate qualifications and facilities to provide a necessary and desirable degree and type of care" (*Matter of Shaida W.*, 85 NY2d 453, 458 [1995] [internal quotation marks, ellipsis, brackets, and citation omitted]). The Compact was further intended to provide a state receiving a child with a "full opportunity to ascertain the circumstances of the proposed placement, thereby promoting full compliance with applicable requirements for the protection of the child" (Social Services Law § 374-a [1] [art I] [b]) and to enable a sending state to "obtain the most complete information on the basis of which to evaluate a projected placement before it is made" (*id.* § 374-a [1] [art I] [c]). The ICPC also promotes " 'appropriate jurisdictional arrangements for the care of the children involved' " (*Matter of Shaida W.*, 85 NY2d at 459, quoting Mem of Jud Conf of St of NY, Bill Jacket,

1. This appeal is now moot because, among other things, during its pendency, father surrendered his parental rights to the subject child in this case. We nevertheless review the significant issue raised under the exception to the mootness doctrine (*see City of New York v Maul*, 14 NY3d 499, 507 [2010]; *Matter of Hearst Corp. v Clyne*, 50 NY2d 707, 714-715 [1980]).

L 1960, ch 708) and "was designed to prevent [s]tates from unilaterally 'dumping' their foster care responsibilities on other jurisdictions" (*id.*).

The ICPC provides at the outset that it applies when a state agency seeks to send children to a receiving state to be placed in foster care or for possible adoption. Specifically, article III of the ICPC provides:

> "(a) No sending agency shall send . . . into any other party state any child *for placement in foster care or as a preliminary to a possible adoption* unless the sending agency shall comply with each and every requirement set forth in this article . . .
>
> "(b) Prior to sending . . . any child . . . into a receiving state *for placement in foster care or as a preliminary to a possible adoption*, the sending agency shall furnish the appropriate public authorities in the receiving state written notice" (Social Services Law § 374-a [1] [art III] [a], [b] [emphasis added]).

"Placement," in turn, is defined as "the arrangement for the care of a child in a family free or boarding home or in a child-caring agency or institution" (*id.* § 374-a [1] [art II] [d]).

The Appellate Division Departments have disagreed regarding the applicability of the ICPC to noncustodial parents who reside outside New York. The Second Department has repeatedly applied the ICPC to out-of-state noncustodial parents, holding that "[w]here the custody of a child who is under the supervision of the Commissioner [of Social Services] is transferred to the custody of a parent or relative in another state, the provisions of the ICPC apply" (*Matter of Alexus M. v Jenelle F.*, 91 AD3d 648, 650-651 [2d Dept 2012]; *see Matter of Faison v Capozello*, 50 AD3d 797, 797 [2d Dept 2008]; *Matter of Tumari W.*, 65 AD3d 1357, 1358-1359 [2d Dept 2009]; *Matter of Keanu Blue R.*, 292 AD2d 614, 614-615 [2d Dept 2002]). By contrast, the First Department has expressly declined to follow the Second Department's interpretation of the ICPC and, instead, has held that the ICPC "does not apply" to out-of-state noncustodial parents, reasoning that the plain language of the ICPC limits its application to placements in foster care or adoptive settings (*Matter of Emmanuel B. [Lynette J.]*, 175 AD3d 49, 52 [1st Dept 2019], *lv dismissed* 34 NY3d 1036 [2019]). The Third Department has recently endorsed the First Department's approach, albeit in dicta (*see Matter of David Q. v Schoharie County Dept. of Social Servs.*, 199 AD3d 1179, 1181 n [3d Dept 2021], *lv denied* 38 NY3d 901 [2022]). We are now called on to resolve the disagreement regarding ICPC applicability to noncustodial parents.

III.

"It is fundamental that a court, in interpreting a statute, should attempt to effectuate the intent of the [l]egislature" and, because "the clearest indicator of legislative intent is the statutory text, the starting point in any case of interpretation must always be the language itself, giving effect to the plain meaning thereof" (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998] [internal quotation marks and citation omitted]). Moreover, "where the statutory language is clear and unambiguous, the court should construe it so as to give effect to the plain meaning of the words used" (*Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205, 208 [1976]). " 'Absent ambiguity the courts may not resort to rules of construction to [alter] the scope and application of a statute' because no such rule 'gives the court discretion to declare the intent of the law when the words are unequivocal' " (*Kuzmich v 50 Murray St. Acquisition LLC*, 34 NY3d 84, 91 [2019], *cert denied* 589 US —, 140 S Ct 904 [2020], quoting *Bender v Jamaica Hosp.*, 40 NY2d 560, 562 [1976]).

By its terms, the ICPC governs the out-of-state "placement" of children "in foster care or as a preliminary to a possible adoption" (Social Services Law § 374-a [1] [art III] [a], [b]). The language of the statute thus unambiguously limits its applicability to cases of placement for foster care or adoption—which are substitutes for parental care that are not implicated when custody of the child is granted to a noncustodial parent. Indeed, applying the ICPC to noncustodial parents would be inconsistent with the statutory requirement that, when a child is placed pursuant to the ICPC, "[t]he sending agency shall continue to have financial responsibility for support and maintenance of the child during the period of the placement" (Social Services Law § 374-a [1] [art V] [a]). As the United States Court of Appeals for the Third Circuit observed, "[t]o construe the return of a child to [a] parent as a 'placement' within the Compact would result in the anomalous situation of imposing a financial obligation upon a sending state that supersedes parents' duty to support their children" (*McComb*, 934 F2d at

480). In short, as many courts in other states have concluded, there is nothing in the statutory language to indicate that the ICPC was intended to apply to out-of-state parents seeking custody of their children and the statutory text confines application of the ICPC to children placed in foster care or preliminary adoptive homes (*see e.g. A.G. v Cabinet for Health & Family Servs.*, 621 SW3d 424, 432 [Ky 2021]; *In re R.S.*, 470 Md 380, 404, 235 A3d 914, 928 [2020]; *In re Emoni W.*, 305 Conn 723, 734-735, 48 A3d 1, 6-7 [2012]; *In re Alexis O.*, 157 NH 781, 787, 959 A2d 176, 182 [2008]; *Arkansas Dept. of Human Servs. v Huff*, 347 Ark 553, 563, 65 SW3d 880, 888 [2002]; *McComb*, 934 F2d at 481; *Matter of J.B.*, 310 Or App 729, 744, 489 P3d 598, 607 [2021]; *Matter of B.L.P.*, 91 NE3d 625, 630 [Ind Ct App 2018]; *In re C.B.*, 188 Cal App 4th 1024, 1032, 116 Cal Rptr 3d 294, 299 [2010]).

Our decision in *Matter of Shaida W.* (85 NY2d 453 [1995]) does not compel a contrary conclusion. In that case, the question before the Court was whether the ICPC applied when children, who were in the care and custody of a New York social services agency, were taken to another state by their grandmother after the agency placed the children into temporary foster care with the grandmother. Although article VIII (a) provides that the ICPC does not apply to "[t]he sending or bringing of a child into a receiving state by [a] parent, stepparent, grandparent, adult brother or sister, adult uncle or aunt, or [a] guardian and leaving the child with any such relative or non-agency guardian in the receiving state" (Social Services Law § 374-a [1] [art VIII] [a]), we explained that "the children were not legally 'sent' to California by their grandmother" (*Matter of Shaida W.*, 85 NY2d at 460). Rather, "[t]he official custodian" of the children was the "Department of Social Services of New York City," and it was the agency that "authorized the children to be 'sent' " to California within the meaning of the statute (*id.*). That is, the children were sent by a social services agency to a "kinship foster care placement" in another state (*Matter of Emmanuel B.*, 175 AD3d at 58) and, as such, this Court concluded that the ICPC applied (*Matter of Shaida W.*, 85 NY2d at 460-461). Here, in contrast, placing a child with an out-of-state parent does not involve foster care or adoption and, thus, *Shaida W.* does not control.

IV.

Our reading of the ICPC as being applicable only to placement of a child for foster care or as a preliminary to adoption, and not to custody of a noncustodial parent, comports with the intent reflected in the Compact's legislative history and the underlying statutory purpose. "[N]othing in the language of the statute or the legislative history . . . indicate[s] that the ICPC was ever intended to address any individual other than an out-of-state foster or adoptive parent" (*Matter of Emmanuel B.*, 175 AD3d at 56; *see also* Mem of Dept of Social Welfare, Bill Jacket, L 1960, ch 708 at 23 [explaining that the ICPC was intended to regulate the sending of children out of state "for placement in foster care" and "for the purpose of adoption"]; Budget Rep on Bills, Bill Jacket, L 1960, ch 708 at 12 [observing that the statute "would broaden the placement field and provide greater opportunity for the placement in foster homes or adoption homes of the children in institutions"]). Further, an interpretation of the ICPC as applicable to noncustodial parents would be inconsistent with other components of New York's statutory framework governing child protection (*see Matter of Jamie J. [Michelle E.C.]*, 30 NY3d 275, 284 [2017]), which overwhelmingly reflects "the preeminence of the biological family" (*Matter of Michael B.*, 80 NY2d 299, 313 [1992]) and "embrace[s] a policy of keeping biological families together" whenever safely possible (*Nicholson v Scoppetta*, 3 NY3d 357, 374 [2004] [internal quotation marks omitted]; *see* Social Services Law § 384-b [1] [a] [ii]). In that regard, this Court has long acknowledged the legislature's "fundamental social policy choices[,] . . . binding on this Court," to structure New York's foster care scheme around the right of parents "to the care and custody of a child, superior to that of others, unless the parent has abandoned that right or is proven unfit" (*Matter of Michael B.*, 80 NY2d at 308-309).[2]

We recognize that our interpretation of the ICPC conflicts with "Regulation No. 3" promulgated by the Association of Administrators of the Interstate Compact on the Placement of Children (AAICPC). Specifically, the AAICPC—an entity comprised of officials designated by each member state to coordinate ICPC matters (*see* Social Services Law § 374-a [1] [art VII])—amended Regulation No. 3 (2) (a) to "provide guidance

2. This Court has also recognized that "the State may not deprive a natural parent of the right to the care and custody of a child absent a demonstration of abandonment, surrender, persisting neglect, unfitness or other like behavior evincing utter indifference and irresponsibility to the child's well-being" (*Matter of Marie B.*, 62 NY2d 352, 358 [1984]; *see Matter of Bennett v Jeffreys*, 40 NY2d 543, 545-546 [1976]).

in navigating the ICPC regulations and to assist its users in understanding which interstate placements are governed by, and which are exempt from, the ICPC" (American Public Human Services Association, ICPC Regulations, https://aphsa.org/AAICPC/AAICPC/ICPC_Regulations.aspx [last accessed Oct. 18, 2022]). Regulation No. 3 (2) (a) (3), as amended effective October 1, 2011, states in pertinent part that compliance with the ICPC is required for "*[p]lacements with parents and relatives* when a parent or relative is not making the placement" (*id.* [emphasis added]). However, in light of our conclusion that the relevant text of the ICPC unambiguously confines its application to foster care and preliminary adoptive homes, Regulation No. 3 (2) (a) is inconsistent with its enabling legislation and, therefore, could not be given effect (*cf. Matter of General Elec. Capital Corp. v New York State Div. of Tax Appeals, Tax Appeals Trib.*, 2 NY3d 249, 254 [2004] [an agency cannot adopt regulations that are "inconsistent with the statutory language or its underlying purposes"]; *see In re R.S.*, 470 Md at 404, 412, 235 A3d at 928, 933 ["(A)ny regulation purporting to expand the application of the ICPC to out-of-state placements with a non-custodial, biological parent is impermissible and will not be given the force of law"]; *In re Emoni W.*, 305 Conn at 740-742, 48 A3d at 10-11; *In re Alexis O.*, 157 NH at 787, 789, 959 A2d at 182, 183-184; *Arkansas Dept. of Human Servs.*, 347 Ark at 563, 65 SW3d at 887-888; *McComb*, 934 F2d at 481-482).[3]

Although the ICPC does not apply to placement with a parent, the Family Court Act contains other effective means to ensure the safety of a child before awarding custody to an out-of-state parent. Family Court retains jurisdiction over custody proceedings and has a broad array of powers under the Family Court Act to ensure a child's safety. Among other things, Family Court can hold hearings and request courtesy investigations and reports from the local social service agencies or department of probation in order to make determinations regarding a child's best interests. Additionally, rather than awarding an out-of-state parent full custody, Family Court Act § 1052 (a) provides for other dispositional options, including release to a parent with supervision. Similarly, Family Court may grant a temporary order of custody or guardianship to a

3. The parties here have not raised a challenge to the validity or the legal effect of AAICPC Regulation No. 3.

noncustodial parent (*see* Family Ct Act § 1017 [2] [a] [i]; *see also* § 1055), which requires that a parent submit to Family Court's continuing jurisdiction and comply with the terms and conditions of the court's order—which may include making the child available for visits with social services officials (*see* Family Ct Act § 1017 [3]). In such instances, the case remains on the court's calendar and the court maintains jurisdiction over the case until the child is discharged from placement and all orders regarding supervision, protection or services have expired (*see* Family Ct Act § 1088).

V.

In conclusion, giving effect to the clear language of the ICPC as codified in Social Services Law § 374-a, we hold that the ICPC does not apply to out-of-state noncustodial parents seeking custody of their children. Accordingly, the order of the Appellate Division should be reversed, without costs, and the petitions reinstated.

Judges RIVERA, GARCIA, WILSON, SINGAS and TROUTMAN concur.

Order reversed, without costs, and petitions reinstated.

[201 NE3d 778, 181 NYS3d 161]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v RONALD K. JOHNSON, Appellant.

Argued October 20, 2022; decided November 17, 2022

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered April 30, 2021. The Appellate Division order, insofar as appealed from, affirmed a judgment of the Monroe County Court (Vincent M. Dinolfo, J.), which had convicted defendant, upon a plea of guilty, of rape in the second degree.

People v Johnson, 193 AD3d 1429, reversed.

HEADNOTE

Crimes — Right to Speedy Trial — *Taranovich* Analysis

A sexual assault prosecution was reversed and remitted by the Court of Appeals, where the Appellate Division deviated from the framework set forth in *People v Taranovich* (37 NY2d 442 [1975]) in several significant ways in considering whether the nearly eight-year period between the alleged crime and defendant's indictment rose to the level of a constitutional deprivation of the right to a speedy trial. Under the *Taranovich* framework, no one factor or combination of factors is necessarily decisive or determinative of a speedy trial claim, and the analysis must be tailored to the facts of each case. Instead of attempting to evaluate the good faith reasons for the various periods of delay, the Appellate Division's conclusion that this factor favored defendant was based upon an assumption for the sake of argument. Moreover, the nature of the crime was directly related to the issues of complexity and could have, therefore, accounted for some of the delay: the minor victim's severe intoxication and lack of memory of the assault rendered her unable to identify her attacker. It was not clear on what basis the Court concluded that its assumption of lack of good faith led to the conclusion that this factor favored defendant, but that conclusion, apparently based solely on that assumption with no analysis of the relevant concerns, was not supportable. It was also error for the Appellate Division to hold that because defendant pleaded guilty only to rape in the second degree, which depended solely on the age difference between defendant and the victim, the preindictment delay could not have impaired defendant's ability to defend himself on the charge of which he was convicted. The appellate court must consider prejudice measured against all counts pending when the dismissal motion is made, not merely against the crime of conviction.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Criminal Law §§ 930, 933.

Carmody-Wait 2d Timeliness of Prosecution; Speedy Trial §§ 186:49, 186:58.
LaFave, et al., Criminal Procedure (4th ed) § 18.3.
NY Jur 2d Criminal Law: Procedure §§ 1899–1901, 1905.

ANNOTATION REFERENCE

See ALR Index under Speedy Trial.

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POINTS OF COUNSEL

Julie Cianca, Public Defender, Rochester (*Timothy S. Davis* and *Benjamin L. Nelson* of counsel), for appellant. The seven-year, eight-month preindictment delay violated Ronald K. Johnson's right to due process. (*People v Taranovich*, 37 NY2d 442; *People v Fuller*, 57 NY2d 152; *People v Decker*, 13 NY3d 12; *People v Lesiuk*, 81 NY2d 485; *People v Singer*, 44 NY2d 241; *People v Wiggins*, 31 NY3d 1; *People v Holz*, 35 NY3d 55; *People v Grant*, 45 NY2d 366; *People v Blakley*, 34 NY2d 311; *Barker v Wingo*, 407 US 514.)

Sandra Doorley, District Attorney, Rochester (*Kaylan C. Porter* of counsel), for respondent. The seven-year, eight-month delay between defendant's rape of an unconscious minor and his subsequent indictment does not constitute a due process violation. (*People v Taranovich*, 37 NY2d 442; *People v Singer*, 44 NY2d 241; *People v Imbesi*, 38 NY2d 629; *Barker v Wingo*, 407 US 514; *People v Wiggins*, 31 NY3d 1; *People v Zimmer*, 51 NY2d 390; *People v Fuller*, 57 NY2d 152; *People v Velez*, 22 NY3d 970; *United States v Marion*, 404 US 307; *People v Decker*, 13 NY3d 12.)

OPINION OF THE COURT

Wilson, J.

In *People v Taranovich* (37 NY2d 442 [1975]), we set out the factors to be weighed when considering whether pretrial delays rise to the level of a constitutional deprivation of the right to a speedy trial. In this case, the Appellate Division misinterpreted our test in several material ways. We therefore reverse.

I.

The issue in this case is one of pre-indictment, not post-indictment, delay. Mr. Johnson's conviction stems from the sexual assault of a 14-year-old girl on October 3, 2006. The time between the crime and Mr. Johnson's indictment was nearly eight years.

The police found the victim lying on the street, intoxicated and unresponsive. They took her to the hospital, where she stated that she had met a 15-year-old male who supplied her with alcohol. She said she did not remember once she began drinking. The day after her admission to the hospital, the Rochester Police Department (RPD) submitted the victim's clothing and the evidence collected through the sexual assault kit to the Monroe County Crime Laboratory.

The victim remained in the hospital for more than one week. While the victim was still recovering in the hospital, RPD officers interviewed her again. During that interview, she identified the person with whom she was drinking the night of the assault as "Shamer." RPD officers showed her photo arrays containing a picture of Shamer (whose real name was known to the police), but she did not identify anyone in the photo arrays. The RPD then moved the case to "field" status, meaning that there were "solvability factors" present and the investigation would continue. An RPD officer tried to contact Shamer, but he was no longer residing at the address the RPD had for him. In January of 2007, lacking any further investigative leads, the RPD moved the case to "office" status, meaning that the RPD had no "current investigative leads" and would not work on the case absent new information.

In November 2007, 13 months after receipt by the Monroe County Crime Laboratory, a forensic biologist in that office processed the victim's sexual assault kit and clothing. The analysis detected sperm and semen on multiple swabs taken from the victim and on her underwear. According to the People, the lab faced a substantial backlog of cases for DNA testing.

The lab did not begin testing the victim's sample until December 2009. In January 2010, the lab entered the sample into the Combined DNA Index System (CODIS) database for comparison with DNA profiles for convicted offenders and persons with open case files. In February 2010, the lab was alerted that the samples taken from the victim matched the DNA profile in CODIS for Mr. Johnson; the lab notified the police of the match that same week. At this point, three years and four months had elapsed from the date of the assault.

The RPD reopened the case and assigned it to an investigator in April 2010. The investigator made two attempts to contact the victim by calling her mother. The mother said she did not have the victim's number and informed him that the victim no longer lived with her but that she would pass on the messages.[1] In January 2011, having failed to locate the victim, the investigator closed the case with the notation "victim uncooperative."

Almost two years later, in December 2012, the investigator received a phone call from a colleague whose wife happened to work as a counselor for the victim. The victim had told her counselor that she wished to pursue the case, which was relayed to the investigator by his colleague. The investigator met with the victim, who said she was unaware that the investigator had tried to reach her through her mother. The investigator showed her a photo array containing Mr. Johnson's picture, but she identified one of the fillers as her potential assailant. Shortly thereafter, the investigator injured his knee and was out of the office for six weeks.

In August 2013, the case was assigned to an assistant district attorney. Between August and October 2013, the ADA unsuccessfully attempted to call the victim. In October, he recruited a different investigator to help him find the victim. That investigator located and met with the victim, at which time she identified Mr. Johnson as her assailant from a photo array. Three weeks later, the investigator met with and obtained a DNA sample from Mr. Johnson, who was incarcerated for an unrelated crime. Thereafter, the ADA attempted to reach the victim for several months but was unable to do so; her number was disconnected in November and was disconnected when he tried it again in February 2014. The ADA nevertheless scheduled a grand jury presentation for February 14. Although the victim was subpoenaed to appear and confirmed that she would do so, she arrived several hours late, and the ADA did not present the case to the grand jury.

At a subsequent meeting with the victim, the ADA realized that he was missing some of the police paperwork. The ADA also discovered that one of the officers involved in the case had

1. The victim was in foster care and did not, at the time of these calls, live with her mother.

passed away, and later realized that he required proof of Mr. Johnson's age, which he did not know, to establish the second count in the indictment, namely that the perpetrator was at least 18 years old. Eventually, he presented the case to the grand jury on June 4, 2014—seven years and eight months after the crime. Mr. Johnson was indicted on one count of rape in the first degree and one count of rape in the second degree.

Mr. Johnson moved to dismiss the indictment, alleging that the delay in prosecution deprived him of his right to due process under the State and Federal Constitutions. Following a hearing regarding the delay, County Court denied his motion to dismiss and Mr. Johnson subsequently accepted the District Attorney's offer to plead guilty to the second-degree rape charge in satisfaction of the indictment. Mr. Johnson was sentenced accordingly. The Appellate Division affirmed the conviction (193 AD3d 1429 [4th Dept 2021]).[2] A Judge of this Court granted Mr. Johnson leave to appeal (37 NY3d 993 [2021]).

II.

In *People v Taranovich*, we established the following five factors for assessing speedy trial claims: (1) the extent of the delay; (2) the reasons for the delay; (3) the nature of the underlying charge; (4) whether there has been an extended period of pretrial incarceration; and (5) whether there is any indication that the defense has been impaired by reason of the delay (37 NY2d at 445). Although this case concerns preindictment delay and is analyzed as a due process claim, we nevertheless apply the test established in *Taranovich* (*see People v Vernace*, 96 NY2d 886, 887 [2001]).

The *Taranovich* framework is a holistic one—that is, "no one factor or combination of the factors . . . is necessarily decisive or determinative of the speedy trial claim" (37 NY2d at 445). We have also noted that the factors must be evaluated "on an *ad hoc* basis" (*id.*)—meaning that the analysis must be tailored to the facts of each case. Here, although reciting the *Taranovich* factors and correctly acknowledging our subsequent case law expounding on those factors, the Appellate Division deviated from our *Taranovich* framework in several significant ways.

With respect to the first factor, the length of delay, as we explained in *Taranovich* itself, while the greater the delay, the

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2. The Appellate Division dismissed so much of the appeal from the judgment as challenged the sentence, as Mr. Johnson had since been resentenced.

more likely the harm to the defendant, there is no specific length of time that automatically results in a due process violation (*id.* at 445-446). The Appellate Division noted that "the parties agree that the first factor favors defendant" (193 AD3d at 1430).

As to the second factor, reasons for delay, these will vary from case to case, but we have explained that "a determination made in good faith to defer commencement of the prosecution for further investigation or for other sufficient reasons, will not deprive the defendant of due process of law even though the delay may cause some prejudice to the defense" (*People v Singer*, 44 NY2d 241, 254 [1978]; *People v Wiggins*, 31 NY3d 1, 13 [2018]; *People v Decker*, 13 NY3d 12, 14 [2009]; *Vernace*, 96 NY2d at 888). The Appellate Division "assume[d], arguendo, that the People failed to establish 'good cause' for the 'protracted' preindictment delay" (193 AD3d at 1430). However, some examination of the reason for the delay is required. Instead of attempting to evaluate the good faith reasons for the various periods of delay, the Appellate Division's conclusion that the second factor favored Mr. Johnson is based upon an assumption for the sake of argument.

Turning to the third factor, the "nature" of the underlying crime can refer to both its severity and, relatedly, the complexity and challenges of investigating the crime and gathering evidence to support a prosecution (*see Singer*, 44 NY2d at 254; *People v Staley*, 41 NY2d 789, 792 [1977]). For example, in *Taranovich*, we noted that a prosecutor may need to be more thorough in preparing for a felony trial, as opposed to a misdemeanor (37 NY2d at 446). A few other relevant considerations include the availability and willingness of witnesses to testify or the availability and quality of evidence (*see e.g. Decker*, 13 NY3d at 15). Here, the Appellate Division held that its assumption that the People lacked good cause compelled the result that the "third factor[ ] favor[s] defendant" (193 AD3d at 1430). The crime here—the sexual assault of a minor found unresponsive on a city street—is quite serious. The nature of the crime here is directly related to the issues of complexity and may, therefore, account for some of the delay: the victim's severe intoxication and lack of memory of the assault rendered her unable to identify her attacker. It is not clear on what basis the Court concluded that its assumption of lack of good faith led to the conclusion that the third factor favored Mr. Johnson, but that conclusion, apparently based solely on that assumption with no analysis of the relevant concerns, is not supportable.

As to factor four (extended pretrial incarceration), Mr. Johnson was not incarcerated pretrial. He was, for some time between the crime and the indictment, incarcerated on a wholly unrelated matter, which time would not count under this factor.

In analyzing factor five, the Appellate Division held that because Mr. Johnson pleaded guilty only to rape in the second degree (Penal Law § 130.30 [1]), which depends solely on the age difference between the defendant and the victim, "the pre-indictment delay could not have 'impaired' defendant's ability to defend himself on the charge of which he was convicted" (193 AD3d at 1431). This was error. When an indictment contains multiple counts, if delay impacts the defendant's ability to defend one count, it may weaken that defendant's position in plea bargaining, potentially adversely impacting the resulting plea.[3] Thus, the appellate court must consider prejudice measured against all counts pending when the dismissal motion is made, not merely against the crime of conviction.

The Appellate Division here misinterpreted the *Taranovich* framework and its factual and legal review should be made under the proper framework. Accordingly, the order of the Appellate Division insofar as appealed from should be reversed and the case remitted to the Appellate Division for further proceedings in accordance with this opinion.

Acting Chief Judge CANNATARO and Judges RIVERA, GARCIA, SINGAS and TROUTMAN concur.

Order, insofar as appealed from, reversed and case remitted to the Appellate Division, Fourth Department, for further proceedings in accordance with the opinion herein.

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3. On the facts of this case, we reject Mr. Johnson's other argument regarding potential prejudice, in which he asserts the delay prevented him from bargaining for a combined sentence in this and an unrelated case. His highly speculative contention lacks any record support, in contrast to *Singer*, in which the prosecutor and defense counsel had discussed two close-in-time homicides in the context of negotiating a single disposition by plea and the prosecutor refused solely on the ground that the defendant had not yet been indicted on the matter in which the preindictment delay was challenged (44 NY2d at 247, 250, 255).

[201 NE3d 783, 181 NYS3d 166]

Worthy Lending LLC, Appellant, v New Style Contractors, Inc., Respondent.

Argued October 19, 2022; decided November 22, 2022

SUMMARY

Appeal, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered July 6, 2021. The Appellate Division affirmed an order of the Supreme Court, New York County (Arlene P. Bluth, J.; op 2020 NY Slip Op 33855[U] [2020]), which had granted defendant's motion to dismiss the complaint.

Worthy Lending LLC v New Style Contrs., Inc., 196 AD3d 422, reversed.

HEADNOTE

Secured Transactions — Security Agreements — Assignee Includes Holder of Security Interest in Assignor's Receivables

For purposes of New York's UCC 9-406 an "assignee" includes the holder of a presently exercisable security interest in an assignor's receivables. Under UCC 9-406, a security interest is an assignment and the UCC is purposefully structured to permit a debtor to grant creditors security interests in a debtor's receivables so that the secured creditor can direct account debtors to pay it directly. An account debtor who receives a secured creditor's notice asserting its right to receive payment directly can pay the secured creditor and receive a complete discharge (UCC 9-406 [a]) or, if in doubt, can seek proof from the secured creditor that it possesses a valid assignment and withhold payment in the interim (UCC 9-406 [c]). Here, plaintiff was the secured party, with the authority to enforce the rights of its debtor, a nonparty, to collect on the obligations of defendant account debtor. Accordingly, defendant's motion to dismiss the complaint in plaintiff's action, which had alleged that pursuant to UCC 9-607 plaintiff was entitled to recover from defendant all amounts defendant owed to the nonparty after defendant's receipt of the notice of assignment, should not have been granted.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d Secured Transactions §§ 210, 214, 418, 421.
McKinney's, UCC 9-406, 9-607.
NY Jur 2d Secured Transactions §§ 233, 237, 240, 318.
White and Summers, Uniform Commercial Code §§ 34:8, 34:14.

ANNOTATION REFERENCE

See ALR Index under Accounts Receivable; Assignments; Secured Transactions.

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POINTS OF COUNSEL

Otterbourg P.C., New York City (*Richard G. Haddad, William M. Moran* and *Alessandra M. Dagirmanjian* of counsel), for appellant. I. Plaintiff’s statutory rights derive from Uniform Commercial Code §§ 9-406 and 9-607. (*General Motors Acceptance Corp. v Clifton-Fine Cent. School Dist.*, 85 NY2d 232; *ImagePoint, Inc. v JPMorgan Chase Bank, N.A.*, 27 F Supp 3d 494; *Agri-Best Holdings, LLC v Atlanta Cattle Exchange, Inc.*, 812 F Supp 2d 898; *Mecco, Inc. v Capital Hardware Supply, Inc.*, 486 F Supp 2d 537.) II. Under Uniform Commercial Code § 9-406 a secured lender is an assignee. (*US Bank N.A. v Nelson*, 36 NY3d 998; *Albany Discount Corp. v Mohawk Natl. Bank of Schenectady*, 28 NY2d 222; *Banque Worms v BankAmerica Intl.*, 77 NY2d 362; *First Natl. Bank of Boston v Thomson Consumer Electronics, Inc.*, 84 F3d 397; *Bank of Waunakee v Rochester Cheese Sales, Inc.*, 906 F2d 1185; *Bank Leumi Trust Co. of N.Y. v Collins Sales Serv.*, 47 NY2d 888; *Matter of Chase Manhattan Bank v State of New York*, 40 NY2d 590; *Septembertide Pub., B.V. v Stein & Day, Inc.*, 884 F2d 675; *Sea Spray Holdings, Ltd. v Pali Fin. Group, Inc.*, 269 F Supp 2d 356; *Banque de Paris et des Pays-Bas v Amoco Oil Co.*, 573 F Supp 1464.) III. Defendant’s default does not prevent plaintiff from collecting the new style accounts under Uniform Commercial Code § 9-607.

Jaffe & Asher LLP, New York City (*Glenn P. Berger, Lawrence M. Nessenson* and *Gregory E. Galterio* of counsel), for respondent. I. The Appellate Division correctly affirmed dismissal of the complaint, as plaintiff is not an actual assignee of defendant’s accounts. (*Matter of Fay*, 291 NY 198; *Cruz v TD Bank, N.A.*, 22 NY3d 61; *Railroad Cos. v Schutte*, 103 US 118; *Burk v Emmick*, 637 F2d 1172; *Texas San Juan Oil Corp. v An-Son Offshore Drilling Co.*, 194 F Supp 396; *Diversa-Graphics, Inc. v Management & Tech. Servs. Co.*, 561 F2d 725; *Matter of Apex Oil Co.*, 975 F2d 1365; *Septembertide Pub., B.V. v Stein & Day, Inc.*, 884 F2d 675; *Bank of Waunakee v Rochester Cheese Sales, Inc.*, 906 F2d 1185; *Sea Spray Holdings, Ltd. v Pali Fin. Group, Inc.*, 269 F Supp 2d 356.) II. The concerns of The Secured Finance Network, Inc. in its amicus brief are misplaced and without merit. (*Banque de Paris et des Pays-Bas v Amoco Oil Co.*, 573 F Supp 1464.)

Parker, Hudson, Rainer & Dobbs LLP, Atlanta, Georgia (*John C. Wright*, *William J. Holley, II*, admitted pro hac vice, and *Bryan E. Bates*, admitted pro hac vice, of counsel), for The Secured Finance Network, amicus curiae. I. New York does not and should not distinguish between security interests and assignments for purposes of Uniform Commercial Code § 9-406. (*Albany Discount Corp. v Mohawk Natl. Bank of Schenectady*, 28 NY2d 222; *Hamilton Group [Delaware] v Federal Home Loan Bank of N.Y.*, 1 AD3d 973.) II. Affirming the decision will harm New York's commercial finance industry and its participants. (*ARA Inc. v City of Glendale*, 360 F Supp 3d 957.) III. Public policy supports review and reversal of the decision.

OPINION OF THE COURT

WILSON, J.

We are called upon to determine whether, for purposes of New York's Uniform Commercial Code § 9-406, an "assignee" includes the holder of a presently exercisable security interest in an assignor's receivables. We hold that it does. Under UCC 9-406, a security interest is an assignment and the UCC is purposefully structured to permit a debtor to grant creditors security interests in a debtor's receivables so that the secured creditor can direct account debtors to pay it directly. Therefore, we reverse and remit for further proceedings consistent with this opinion.

I.

Inasmuch as this appeal arises from a motion to dismiss the complaint, "[w]e must 'accept the facts as alleged as true, [and] accord plaintiff[ ] the benefit of every possible favorable inference' " (*Maddicks v Big City Props., LLC*, 34 NY3d 116, 123 [2019]). According to the complaint, defendant New Style Contractors, Inc. (New Style), engaged Checkmate Communications LLC (Checkmate) as a subcontractor. Pursuant to a promissory note and security agreement dated October 11, 2019, between Checkmate and Worthy Lending LLC (Worthy), Checkmate could borrow up to $3 million (which amount could be increased) from Worthy. As provided by section 3 (a) of the agreement, Checkmate granted Worthy a security interest in its assets: "To secure the prompt payment and performance of all [of Checkmate's obligations to Worthy], [Checkmate] hereby pledges and grants to [Worthy] a continuing security interest in and lien upon the Collateral, whether now existing or hereafter arising and wherever located."

The "Collateral," as defined in the agreement, constituted substantially all existing and future assets and properties of Checkmate, including, "all right, title and interest of [Checkmate] in and to its (a) accounts." "Accounts" included the accounts receivable arising from invoices Checkmate issued to its customers, such as New Style. Under section 4 (k) of the agreement, Checkmate granted Worthy the right to "notify and instruct account debtors" (i.e., Checkmate's customers, including New Style) "to remit payment of Accounts and other Collateral directly to Lender," including before a default, and promised that Checkmate would not "interfere with the collection of Collateral in the manner set forth in this [s]ection."

Worthy filed a UCC-1 financing statement against Checkmate with the Secretary of State of New Jersey, perfecting its secured position regarding Checkmate's assets. On October 2, 2019, Worthy sent New Style a notice of its security interest and collateral assignment in the New Style accounts and directed New Style that "[a]ll remittances for Accounts shall be made payable only to Worthy." In boldface type, Worthy's notice to New Style also stated:

> "**Pursuant to Section 9-406 of the Uniform Commercial Code, payments of Accounts made by [New Style] to [Checkmate] or to anyone other than Worthy Lending will not discharge any of [New Style]'s obligations with respect to such Accounts, and notwithstanding any such payments, [New Style] shall remain liable to Worthy Lending for the full amount of such Accounts.**"

Following Checkmate's default on the note, Worthy accelerated all indebtedness, liabilities and obligations of Checkmate and demanded immediate repayment. Checkmate subsequently filed for bankruptcy, with a balance due to Worthy of over $3 million. Worthy alleges that "New Style may have remitted payment of one or more New Style Accounts to Checkmate contrary to such notices of assignment."

Worthy commenced this action against New Style, alleging that pursuant to UCC 9-607, Worthy is entitled to recover from New Style all amounts New Style owed to Checkmate after

New Style's receipt of the notice of assignment. Supreme Court granted New Style's motion to dismiss the complaint on the grounds that (1) UCC 9-607 " 'does not determine whether an account debtor, bank, or other person obligated on collateral owes a duty to a secured party' " (2020 NY Slip Op 33855[U], *5 [Sup Ct, NY County 2020], quoting UCC 9-607 [e]); (2) the agreement was "a security interest and was not an assignment" (*id.* at *4); and (3) section 9-607 applies to assignments, not security interests.

The Appellate Division affirmed, holding that Worthy "did not have an independent cause of action against [New Style] pursuant to UCC 9-607" because section 9-607 (e) does not authorize a secured creditor, as distinct from an assignee, to recover from a nonparty debtor like New Style even though Worthy had directed New Style to pay Worthy instead of Checkmate (196 AD3d 422, 422-423 [1st Dept 2021]). Both lower courts followed the decision of a Michigan intermediate appellate court (*Buckeye Retirement Co., LLC, Ltd. v Meijer, Inc.*, 2008 WL 4278038, *3, 2008 Mich App LEXIS 1931, *7-9 [Mich App Sept. 18, 2008]) as well as an Appellate Division case (*IIG Capital LLC v Archipelago, L.L.C.*, 36 AD3d 401, 404 [1st Dept 2007]). We granted leave (37 NY3d 918 [2022]).

II.

The language of the statute, as well as the clear commentary on the relevant sections, requires reversal. New York's UCC 9-607 and 9-406 adhere to the standard UCC language. Section 9-607 (a) (3), entitled "Collection and Enforcement by Secured Party," provides as follows:

> "If so agreed, and in any event after default, a secured party . . .
>
> "may enforce the obligations of an account debtor or other person obligated on collateral and exercise the rights of the debtor with respect to the obligation of the account debtor or other person obligated on collateral to make payment or otherwise render performance to the debtor, and with respect to any property that secures the obligations of the account debtor or other person obligated on the collateral."

An account debtor who receives a secured creditor's notice asserting its right to receive payment directly can pay the secured creditor and receive a complete discharge (UCC 9-406

[a]) or, if in doubt, can seek proof from the secured creditor that it possesses a valid assignment and withhold payment in the interim (UCC 9-406 [c]).

Here, Worthy is the "secured party," with the authority to enforce the rights of its debtor (Checkmate) to collect on the obligations of the account debtor (New Style). The lower courts held that subsection (e) of UCC 9-607 bars Worthy from using the mechanism provided for in section 9-607, by providing that "[t]his section does not determine whether an account debtor, bank, or other person obligated on collateral owes a duty to a secured party." However, the plain language of subsection (e) merely states that UCC 9-607 does not *itself* determine whether an account debtor owes a duty to a secured party.

The agreement between Worthy and Checkmate grants Worthy the right to direct Checkmate's debtors to pay Worthy directly, and bars Checkmate from interfering with any such direction if given. Subsection (e) of section 9-607 does not even imply, much less state, that parties cannot contractually assume duties concerning the right of a secured party to enforce the rights of a debtor as against account debtors. Indeed, section 9-607 (a) (3) expressly provides that "in any event after default," a secured party may obtain collateral directly from an account debtor, and the secured party and debtor may agree that the secured party may do so by agreement, without regard to default—which they did here.

Consistent with the statute's text, the official comments of the UCC Permanent Editorial Board (PEB)[1] issued in 2020 explain that UCC 9-607 "establishes only the baseline rights of the secured party *vis-a-vis the debtor*" and permits "the secured party . . . to enforce and collect [from an account debtor] after default or earlier if so agreed" (UCC 9-607, Comment 6; *see also* PEB Commentary No. 21 at 4 n 21).

New Style contends that UCC 9-406 allows only assignors—not holders of security interests—to rely on the payment-

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1. "The Permanent Editorial Board for the Uniform Commercial Code acts under the authority of the American Law Institute and the Uniform Law Commission (also known as the National Conference of Commissioners on Uniform State Laws). In March 1987, the Permanent Editorial Board resolved to issue from time to time supplementary commentary on the Uniform Commercial Code to be known as *PEB Commentary*. These *PEB Commentaries* seek to further the underlying policies of the Uniform Commercial Code by affording guidance in interpreting and resolving issues raised by the Uniform Commercial Code and/or the Official Comments."

redirection provisions contained in that section. UCC 9-406 (a) states:

> "[A]n account debtor on an account, chattel paper, or a payment intangible may discharge its obligation by paying the assignor until, but not after, the account debtor receives a notification, authenticated by the assignor or the assignee, that the amount due or to become due has been assigned and that payment is to be made to the assignee. After receipt of the notification, the account debtor may discharge its obligation by paying the assignee and may not discharge the obligation by paying the assignor."

The definition of "security interest" in the UCC itself does not distinguish between a security interest and an assignment and the definition section contains no separate definition of "assignment," "assignor" or "assignee" (*see* UCC 1-201 [b] [35]). The commentary makes clear that a security interest is treated as an assignment. As the commentary explains, treating assignments and security interests identically promotes efficient dealings between the parties—they do not have to try to determine whether the interest is an assignment or a security interest by parsing contractual language. New York case law, state and federal, is consistent (*see e.g. Matter of Chase Manhattan Bank v State of New York*, 40 NY2d 590, 592-593 [1976]; *Septembertide Publ., B.V. v Stein & Day, Inc.*, 884 F2d 675, 682 [2d Cir 1989]) as is case law in other states (*see e.g. Magnolia Fin. Group v Antos*, 310 F Supp 3d 764, 765-767 [ED La 2018]; *Garber v TouchStar Software Corp.*, 2011 WL 12526062, *4 [Colo Dist Ct Nov. 10, 2011]). The PEB recently amended the official UCC comments to clarify what has long been the case: "The term 'assignment,' as used in [UCC article 9], refers to both an outright transfer of ownership and a transfer of an interest to secure an obligation" (Commentary No. 21 at 4).[2]

The cases relied on by New Style, in particular *IIG Capital LLC v Archipelago, L.L.C.* (36 AD3d 401, 404 [1st Dept 2007])

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2. Even prior to its amendment, Comment 26 to UCC 9-102 stated as follows:

> "In numerous provisions, this Article refers to the 'assignment' or the 'transfer' of property interests. These terms and their derivatives are not defined. This Article generally follows common usage by using the terms 'assignment' and 'assign' to refer

(n. cont'd)

and *Durham Commercial Capital Corp. v Ocwen Loan Servicing, LLC* (777 Fed Appx 952, 956 [11th Cir 2019]), have been expressly rejected by the PEB. The PEB commentary opined that *IIG Capital* and other decisions interpreting "the term 'assignment,' especially in the context of [s]ection 9-406(a), as referring only to an outright assignment of ownership" were "incorrect" (Commentary No. 21 at 2)[3] explaining that subsection (e) states that section 9-607 "does not determine whether an account debtor . . . owes a duty to a secured party" because:

> "Sections 9-607 and 9-406 address different rights. Section 9-607 addresses the rights of a secured party *vis-à-vis the debtor* to collect a specified payment right. Section 9-406 addresses a secured party's rights *against the account debtor* to collect a specified payment right. If [s]ection 9-406—and Part 4 of Article 9 more generally—did not apply to an assignment constituting a [secured interest], there would be a gap in Article 9: nothing in Article 9 would address the rights, claims, duties, and defenses of an account debtor with respect to that type of assignment" (Commentary No. 21 at 3).

New Style also argues that because Checkmate advised New Style that there was a "dispute" between Checkmate and New Style, Worthy cannot rely on section 9-607 (a) (3), which begins, "If so agreed." "If so agreed" refers, however, to agreements creating or modifying the security interest (here, the promissory note and security agreement between Worthy and

to transfers of rights to payment, claims, and liens and other security interests. It generally uses the term 'transfer' to refer to other transfers of interests in property. Except when used in connection with a letter-of-credit transaction (see Section 9-107, Comment 4), no significance should be placed on the use of one term or the other. Depending on the context, each term may refer to the assignment or transfer of an outright ownership interest or to the assignment or transfer of a limited interest, *such as a security interest*" (McKinney's Cons Laws of NY, Book 62½, UCC 9-102, Comment 26 at 367 [2016 ed] [emphasis added]).

3. The parties dispute whether language in *IIG Capital* is dicta. It is dicta for two distinct reasons. First, the Court in *IIG Capital* held that the plaintiff was the assignee of the accounts receivable, so the case cannot determine whether a security holder other than an assignee may proceed under section 9-607 (36 AD3d at 402-403). Second, the assignee's rights in that case were expressly conditioned on an event of default, which had not occurred (*id*. at 404). Thus, the assignee's inability to invoke section 9-607 did not turn on an interpretation of the UCC at all, but rather on the specific contractual condition of the assignment in that case. In any event, *IIG Capital* does not bind us.

Checkmate); allowing a claimed dispute to nullify sections 9-607 and 9-406 would render those provisions meaningless by removing the ability to obtain the value of the security whenever the debtor claims a dispute exists. In short, nothing in UCC 9-607 or 9-406 prohibits a secured creditor and debtor from agreeing as they did here. Where they have contractually so agreed, once the secured creditor provides the requisite notification to account debtors, an account debtor cannot discharge its obligation by paying the debtor, but must, instead, pay the secured creditor or ask for proof of assignment from the secured creditor (*see* UCC 9-406 [a], [c]).

Finally, both the Appellate Division and Supreme Court expressed concern that New Style may have paid Checkmate and now may be forced to pay double. That is the statutory consequence of failing to pay a secured party who has notified the account debtor to pay the secured party directly. With respect to UCC 9-406's predecessor statute, we held that "after the account debtor receives notification that the right has been assigned and the assignee is to be paid, and it continues to pay the assignor, the account debtor is liable to the assignee" (*General Motors Acceptance Corp. v Clifton-Fine Cent. School Dist.*, 85 NY2d 232, 236 [1995]). If New Style continued to pay Checkmate after receiving direction from Worthy to pay Worthy instead of Checkmate, the burden of double payment as between Worthy and New Style falls on New Style.

Accordingly, the order of the Appellate Division should be reversed, with costs, and defendant's motion to dismiss the complaint denied.

Acting Chief Judge Cannataro and Judges Rivera, Garcia, Singas and Troutman concur.

Order reversed, with costs, and defendant's motion to dismiss the complaint denied.

[201 NE3d 791, 181 NYS3d 174]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v ANTHONY LAGANO, Respondent.

Argued November 17, 2022; decided December 13, 2022

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the Second Judicial Department, Second, Eleventh and Thirteenth Judicial Districts, entered July 30, 2021. The Appellate Term (1) reversed, on the law, a judgment of the Criminal Court of the City of New York, Richmond County (Raja Rajeswari, J.), which had convicted defendant, after a nonjury trial, of harassment in the second degree; and (2) dismissed the accusatory instrument.

People v Lagano, 72 Misc 3d 138(A), 2021 NY Slip Op 50767(U), reversed.

HEADNOTE

Crimes — Harassment — Sufficiency of Evidence — Serious and Unequivocal Threats of Harm Not Mere Outburst

In a prosecution for harassment in the second degree, the evidence was legally sufficient to establish that defendant's statements to the victim, his former intimate partner, that her children were going to get a bullet in their heads, and that he was going to firebomb her home and kill her and her family were serious and unequivocal threats of physical harm, not a mere outburst. Penal Law § 240.26 (1) criminalizes a true threat, not mere angry words; hence genuine threats of physical harm fall within the scope of the statute while an angry outburst, without more, does not. Viewing the evidence in the light most favorable to the prosecution, a rational trier of fact could have concluded that defendant unequivocally threatened the victim with physical contact of a serious nature, with the intent to harass, annoy or alarm her. The angry tone of the call, defendant's use of profanities to refer to the victim and her children, and the fact that defendant threatened to use deadly violence all supported a finding that the statements were not said in jest. The threats on the call were specific and unequivocal—the type of statements that a reasonable person in the victim's position, knowing that defendant was an armed police officer who was trained in the use of deadly force and who believed her to be unfaithful and an extortionist, would commonly understand as words describing intended violent action and not a crude outburst, puffery, or bluffs.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Extortion, Blackmail, and Threats §§ 46, 48, 50.

McKINNEY'S, Penal Law § 240.26 (1).

NY JUR 2d Criminal Law: Substantive Principles and Offenses § 1790.

ANNOTATION REFERENCE

See ALR Index under Harassment; Threats.

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POINTS OF COUNSEL

Michael E. McMahon, District Attorney, Staten Island (*Thomas B. Litsky* and *Morrie I. Kleinbart* of counsel), for appellant. A menacing expression of intent to kill a listener and shoot her children in the head, made by a New York Police Department officer who carried a gun, is a genuine threat, within the meaning of the term in Penal Law § 240.26 (1) as construed by *People v Dietze* (75 NY2d 47 [1989]). (*People v Todaro*, 26 NY2d 325; *United States v Alvarez*, 567 US 709; *Watts v United States*, 394 US 705; *Jackson v Virginia*, 443 US 307; *People v Contes*, 60 NY2d 620; *People v Cintron*, 95 NY2d 329; *Virginia v Black*, 538 US 343; *People v Wilson*, 59 AD3d 153, 14 NY3d 895.)

Brill Legal Group, P.C., Hempstead (*Peter E. Brill* of counsel), for respondent. The evidence was legally insufficient for a conviction of harassment in the second degree. (*People v Todaro*, 26 NY2d 325; *People v Dietze*, 75 NY2d 47; *People v Vega*, 95 AD3d 773.)

OPINION OF THE COURT

RIVERA, J.

The issue in this People's appeal is whether the Appellate Term erroneously held that the evidence was legally insufficient to establish defendant's guilt of harassment in the second degree beyond a reasonable doubt. We conclude that, viewing the evidence in the light most favorable to the prosecution, it was legally sufficient to establish that defendant's statements to the victim that her children were going to get a bullet in their heads, and that he was going to firebomb her home and kill her and her family were serious and unequivocal threats of physical harm. Accordingly, we reverse.

I.

Defendant Anthony Lagano—a police officer at the time of the incident—was convicted after a bench trial of harassment in the second degree under Penal Law § 240.26 (1) based on statements he made during a telephone call with D.D., his former intimate partner. Previously, the two were romantically involved for a year and had briefly lived together when defendant informed her that he was going away for a counseling program. For the next year and a half, D.D. did not see defendant but they stayed in contact by telephone. The victim began to suspect that defendant had lied about the counseling program when she saw him on television at a public event. She later found him at his ex-girlfriend's home. The relationship deteriorated from there.

At defendant's bench trial, D.D. testified that thereafter she saw defendant on one occasion drive by her home and stare at her. On another occasion, defendant called her, cursed at her, and accused her of seeing someone else. When the two spoke on the phone later that same night, D.D. recorded the heated conversation during which defendant asserted that D.D. and her husband had been extorting defendant and that he would kill her and her family.

The relevant portions of the phone transcription identify defendant as saying, in pertinent part:

> "I have all the receipts for [your husband], and I'm gonna bring them to my job, I'm gonna show them the text messages shaking me down for money. I'm gonna combine it and show them that I've been extorted by you and him. He's gonna get arrested and lose his job. . . .
>
> "They're gonna get a bullet in their f***ing head, that's what's gonna happen to your kids. So good good luck, good luck. . . .
>
> "I'm gonna fire bomb your f***ing house, you hear me? I will f***king kill yous all, you f***ing a**hole."

D.D. testified that she was upset and believed defendant to be dangerous, but did not call the police immediately because it was very late at night and she wanted to make a copy of the call before turning it over to the police.

The next morning, defendant spoke with his precinct captain, who, at trial, testified that defendant admitted the "heated argument" with D.D. and that defendant suspected D.D. was "shaking him down." Defendant also disclosed that he "said something that he should not have said. . . . Something along the lines of that he was going to shoot her kids in the head." The captain notified her supervisor and after an investigator spoke with D.D., defendant was arrested later that same day. He was subsequently charged with one count each of attempted second-degree aggravated harassment and second-degree harassment, was convicted on the latter count, and was required to attend 12 anger management classes as part of his suspended 15-day jail sentence.*

The Appellate Term reversed, concluding that "an outburst, without more, does not constitute a violation" of the second-degree harassment statute, and that defendant's speech did not present "a clear and present danger of some serious substantive evil" (72 Misc 3d 138[A], 2021 NY Slip Op 50767[U], *1 [App Term, 2d Dept, 2d, 11th & 13th Jud Dists 2021]). A Judge of this Court granted the People leave to appeal (37 NY3d 1097 [2021]).

II.

The sole issue presented is whether the evidence at trial is legally sufficient to support defendant's conviction of second-degree harassment. We conclude that it is. "The standard for appellate review of the legal sufficiency of the evidence is whether, after viewing the evidence in the light most favorable to the prosecution, *any* rational trier of fact could have found the essential elements of the crime beyond a reasonable doubt" (*People v Taylor*, 94 NY2d 910, 911 [2000] [internal quotation marks omitted]). A reviewing court must determine "whether inferences of guilt could be rationally drawn from proven facts" (*id.*), giving "the benefit of every reasonable inference" to the prosecution (*People v Cintron*, 95 NY2d 329, 332 [2000]).

"A person is guilty of harassment in the second degree when, with intent to harass, annoy or alarm another person," they "strike[ ], shove[ ], kick[ ] or otherwise subject[ ] such other person to physical contact, or attempt[ ] or threaten[ ] to do the same" (Penal Law § 240.26 [1]). Of course, the law only applies to "constitutionally proscribable expression" (*People v Dietze*, 75 NY2d 47, 51 [1989]). A defendant is thus chargeable for a

* The court also issued an order of protection in favor of D.D. and her children, and prohibited defendant from carrying a firearm.

threatening statement that is "serious, should reasonably have been taken to be serious, or was confirmed by other words or acts showing that it was anything more than a crude outburst" (*id.* at 53-54). Put another way, the statute criminalizes a "true threat," not mere angry words; hence "genuine threats of physical harm fall within the scope of the statute [while] an outburst, without more, does not" (*id.* at 54). A "true threat" is one that a reasonable person in the victim's position would consider to be an unequivocal statement of intended physical harm.

Here, viewing the evidence in the light most favorable to the prosecution, a rational trier of fact could have found the elements of harassment in the second degree beyond a reasonable doubt (*see Taylor*, 94 NY2d at 911). During defendant's phone call with D.D., he accused D.D. and her husband of extorting him. He also made several threats, first that her children would get a bullet in their heads, then that he would firebomb her home, and finally that he would kill the entire family. Contrary to the Appellate Term's conclusion, a rational factfinder could have determined that this was not a mere outburst, but escalating threats of deadly violence targeted at D.D. and her family. The angry tone of the call, defendant's use of profanities to refer to D.D. and her children, and the fact that defendant threatened to use deadly violence all support a finding that the statements were not said in jest. Indeed, the morning after this call defendant admitted to his captain that he said something he should not have—to the effect that he was going to shoot D.D.'s children in the head.

A rational factfinder could have concluded that defendant's statements were not just a rant or mere angry words said by someone in an intimate personal relationship gone bad, but rather serious threats of specific ways he would kill D.D. and her family: firebombing the home and shooting the children in the head. Defendant also communicated a motive for his threats: his alleged belief that D.D. had extorted him, and, as he had previously claimed, that she had cheated on him. The threats on the call were specific and unequivocal—the type of statements that a reasonable person in D.D.'s position, knowing that defendant was an armed police officer who was trained in the use of deadly force and who believed her to be unfaithful and an extortionist, would commonly understand as words describing intended violent action and not a crude outburst, puffery, or bluffs.

To the extent defendant relies upon the Appellate Term's finding that his statements did not communicate an immediate threat of physical harm—a present danger—the statute does not include a temporal requirement. The timing of the threatened action may go to whether it is a real and unequivocal threat, but does not foreclose a factual finding that the threat is genuine in nature. If, under the totality of the circumstances, a threat would appear genuine to a reasonable person, the statutory element is satisfied.

In sum, on this record, the evidence was sufficient for a reasonable trier of fact to conclude that defendant unequivocally threatened D.D. with physical contact of a serious nature, with the intent to harass, annoy or alarm her.

Accordingly, the order of the Appellate Term should be reversed and the case remitted to the Appellate Term for a determination of the facts and issues raised but not determined on appeal to that court (CPL 470.25 [2] [d]; 470.40 [2] [b]).

Acting Chief Judge CANNATARO and Judges GARCIA, WILSON, SINGAS and TROUTMAN concur.

Order reversed and case remitted to the Appellate Term of the Supreme Court for the Second, Eleventh and Thirteenth Judicial Districts, for a determination of the facts and issues raised but not determined on appeal to that court (CPL 470.25 [2] [d]; 470.40 [2] [b]).

[203 NE3d 1191, 183 NYS3d 335]

In the Matter of CITY OF YONKERS, Appellant, v YONKERS FIRE FIGHTERS, LOCAL 628, IAFF, AFL-CIO, Respondent.

Argued November 16, 2022; decided December 15, 2022

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered October 14, 2020. The Appellate Division (1) reversed, on the law, insofar as appealed from, an order of the Supreme Court, Westchester County (Terry Jane Ruderman, J.; op 2016 NY Slip Op 33203[U] [2016]), dated October 17, 2006, and entered in a CPLR article 75 proceeding to permanently stay arbitration, which, upon reargument, had (a) vacated a determination in an order of that Supreme Court (op 2016 NY Slip Op 33204[U] [2016]) dated June 29, 2016, which had denied the petition and, in effect, dismissed the proceeding; and (b) granted the petition to permanently stay arbitration; and (2) adhered to the determination in the June 29, 2006 Supreme Court order denying the petition to permanently stay arbitration and, in effect, to dismiss the proceeding.

Matter of City of Yonkers v Yonkers Fire Fighters, Local 628, IAFF, AFL-CIO, 187 AD3d 900, affirmed.

HEADNOTE

Arbitration — Matters Arbitrable — Reasonable Relationship between Subject Matter of Dispute and General Subject Matter of Collective Bargaining Agreement

In a CPLR article 75 proceeding to permanently stay arbitration of a grievance by respondent firefighters' union alleging that petitioner municipality's determination to discontinue certain General Municipal Law § 207-a benefits violated the parties' collective bargaining agreement (CBA), the grievance was arbitrable because it was reasonably related to the CBA's detailed procedural mechanism by which firefighters on section 207-a status could seek arbitration of disputes concerning their benefits. If there is a reasonable relationship between the subject matter of the dispute and the general subject matter of the CBA, the matter is arbitrable, leaving the arbitrator to make a more exacting interpretation of the precise scope of the substantive provisions of the CBA, and whether the subject matter of the dispute fits within them. The parties' CBA included broad provisions granting the arbitrator "authority to decide, de novo, the claim of entitlement [and continued entitlement] to [section] 207-a benefits" and that, when "the matter presents a termination of" such benefits, petitioner had the burden to prove "that the member is no longer eligible for [section] 207-a benefits." Respondent's grievance reasonably related to those provisions because they provided for the arbitration of disputes over General Municipal Law § 207-a benefits, and respondent contended that petitioner was attempting to terminate such benefits by withholding special pays.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d Labor and Labor Relations §§ 2436, 2475, 2476, 2494.

McKinney's, General Municipal Law § 207-a.

NY Jur 2d Counties, Towns, and Municipal Corporations § 1186; NY Jur 2d Employment Relations §§ 634, 637, 660.

ANNOTATION REFERENCE

See ALR Index under Arbitration; Collective Bargaining; Fire Departments and Firefighters; Grievances; Labor and Employment.

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POINTS OF COUNSEL

Coughlin & Gerhart, L.L.P., Binghamton (*Paul J. Sweeney* of counsel), for appellant. I. The Appellate Division, Second Department wrongly ignored this Court's "express provision" test and incorrectly applied the lesser, "reasonable relationship" test, leading to an erroneous finding that the parties agreed to arbitrate the grievance. (*Matter of Uniform Firefighters of Cohoes, Local 2562, IAFF, AFL-CIO v City of Cohoes*, 94 NY2d 686; *Matter of Board of Educ. of Watertown City School Dist. [Watertown Educ. Assn.]*, 93 NY2d 132; *Matter of Acting Supt. of Schools of Liverpool Cent. School Dist. [United Liverpool Faculty Assn.]*, 42 NY2d 509; *Matter of City of Johnstown [Johnstown Police Benevolent Assn.]*, 99 NY2d 273; *Matter of City of Buffalo [Buffalo Professional Firefighters Assn., Local 282, IAFF, AFL-CIO-CLC]*, 27 AD3d 1093; *Matter of Mashnouk v Miles*, 55 NY2d 80; *Matter of Farber v City of Utica*, 97 NY2d 476; *Matter of Whitted v City of Newburgh*, 126 AD3d 910; *Matter of Aitken v City of Mount Vernon*, 200 AD2d 667.) II. The union's current or "active duty" members are not entitled as a matter of law to the continuation of the City of

Yonkers' past practice of including the special pays in General Municipal Law § 207-a (2) wage supplements. (*Matter of Aeneas McDonald Police Benevolent Assn. v City of Geneva*, 92 NY2d 326.)

Archer, Byington, Glennon & Levine, LLP, Melville (*Richard S. Corenthal* and *Paul K. Brown* of counsel), for respondent. I. In public sector labor disputes in particular, there is a strong public policy against unwarranted judicial interference in the arbitral process. (*Matter of Board of Educ. of Watertown City School Dist. [Watertown Educ. Assn.]*, 93 NY2d 132; *Matter of New York City Tr. Auth. v Transport Workers Union of Am., Local 100, AFL-CIO*, 99 NY2d 1; *Matter of City of Johnstown [Johnstown Police Benevolent Assn.]*, 99 NY2d 273; *Matter of Committee of Interns & Residents [Dinkins]*, 86 NY2d 478; *Matter of Silverman [Benmor Coats]*, 61 NY2d 299; *Fairfield Towers Condominium Assn. v Fishman*, 1 AD3d 252.) II. The Second Department correctly applied the Court's familiar *Matter of Board of Educ. of Watertown City School Dist. (Watertown Educ. Assn.)* (93 NY2d 132 [1999]) arbitrability standard. III. There is no separate and distinct arbitrability standard for General Municipal Law § 207-a (2) issues. (*Matter of Uniform Firefighters of Cohoes, Local 2562, IAFF, AFL-CIO v City of Cohoes*, 94 NY2d 686; *Matter of Town of Tuxedo v Town of Tuxedo Police Benevolent Assn.*, 78 AD3d 849; *Matter of Incorporated Vil. of Floral Park v Floral Park Police Benevolent Assn.*, 89 AD3d 731; *Matter of Town of Niskayuna [Fortune]*, 14 AD3d 913; *Matter of Town of Evans [Town of Evans Police Benevolent Assn.]*, 66 AD3d 1408; *Matter of Village of Manlius [Town of Manlius Professional Firefighters Assn., IAFF Local #3316]*, 185 AD3d 1501; *Matter of Cortland County [CSEA, Inc., Local 1000 AFSCME, AFL-CIO]*, 140 AD3d 1344; *Matter of Borelli v City of Yonkers*, 187 AD3d 897, 36 NY3d 911.) IV. The City of Yonkers' proposed standard violates public policy and is contrary to the directives of the legislature. (*Matter of City of Oswego [Oswego City Firefighters Assn., Local 2707]*, 21 NY3d 880; *Matter of Associated Teachers of Huntington v Board of Educ., Union Free School Dist. No. 3, Town of Huntington*, 33 NY2d 229; *Matter of City of Long Beach v Civil Serv. Empls. Assn., Inc.—Long Beach Unit*, 8 NY3d 465; *Matter of Town of Haverstraw [Rockland County Patrolmen's Benevolent Assn.]*, 65 NY2d 677; *Matter of Acting Supt. of Schools of Liverpool Cent. School Dist. [United Liverpool Faculty Assn.]*, 42 NY2d 509.) V. Even under the City of Yonkers' proposed standard, the grievance would be arbitrable. (*Matter of Smerek v Christiansen*, 111 Misc 2d 580.)

OPINION OF THE COURT

WILSON, J.

In this case, we are asked to determine whether the Union and the City of Yonkers (Yonkers) may arbitrate their dispute over General Municipal Law § 207-a benefits pursuant to an arbitration clause in their collective bargaining agreement (CBA). We conclude that Yonkers must arbitrate the section 207-a (2) dispute, consistent with our well-established case law (*see Matter of Board of Educ. of Watertown City School Dist. [Watertown Educ. Assn.]*, 93 NY2d 132 [1999]), and we accordingly affirm.

This appeal arises from a dispute between Yonkers and its firefighters as to whether Yonkers must make certain types of payments to firefighters who are permanently disabled by work-related injuries and who qualify for benefits under General Municipal Law § 207-a (2). Section 207-a (2) provides that, until the disabled firefighter reaches the relevant age, Yonkers must make up the difference between the state's disability pension benefits and the firefighter's "regular salary or wages." For decades, Yonkers has paid certain benefits ("special pays") to all of its active duty and temporarily disabled firefighters as well as General Municipal Law § 207-a (2) beneficiaries. In 2015, Yonkers announced that it would discontinue those payments to General Municipal Law § 207-a (2) recipients. Yonkers Fire Fighters, Local 628, IAFF, AFL-CIO (the Union) disputes Yonkers's ability to do so on behalf of its members. The merits of that dispute are not at issue here. Instead, the issue on appeal concerns the arbitrability of the underlying grievance.

The Union filed a grievance with the Yonkers Fire Commissioner, alleging that the determination to discontinue the special pays violated the CBA between the Union and Yonkers. After exhausting the due process hearing procedure, the Union served a demand for arbitration. Yonkers responded by filing a petition pursuant to CPLR article 75 to permanently stay arbitration. Supreme Court initially denied Yonkers's petition (2016 NY Slip Op 33204[U] [Sup Ct, Westchester County 2016]), but on reargument granted the petition and permanently stayed arbitration of the dispute (2016 NY Slip Op 33203[U] [Sup Ct, Westchester County 2016]). The Appellate Division reversed Supreme Court's order on reargument and adhered to the Supreme Court order denying the motion to stay arbitration (187 AD3d 900 [2d Dept 2020]). We granted leave to appeal (37 NY3d 910 [2021]).

To resolve this question, we apply the familiar framework outlined in *Watertown Educ. Assn.* (93 NY2d 132; *see also Matter of City of Yonkers v Yonkers Fire Fighters*, *Local 628, IAFF, AFL-CIO*, 176 AD3d 1197, 1198-1199 [2d Dept 2019]; *Matter of City of Yonkers v Yonkers Fire Fighters*, *Local 628, IAFF, AFL-CIO*, 167 AD3d 599, 600 [2d Dept 2018]; *Matter of City of Yonkers v Yonkers Fire Fighters*, *Local 628, IAFF, AFL-CIO*, 153 AD3d 617, 617-618 [2d Dept 2017]).

First, we ask whether the grievance is "off-limits for arbitration" because of "public policy[,] . . . statutory[,] or constitutional restrictions" (93 NY2d at 138). This prong of the *Watertown Educ. Assn.* test is not relevant to the dispute before us (*see Matter of Professional, Clerical, Tech. Empls. Assn. [Buffalo Bd. of Educ.]*, 90 NY2d 364, 372 [1997]; *see also Matter of Uniform Firefighters of Cohoes, Local 2562, IAFF, AFL-CIO v City of Cohoes*, 94 NY2d 686, 693 n [2000]).

Second, we consider whether the parties did, in fact, agree to arbitrate the grievance. This step is "influenced by the wording of the CBA" and "typically turns on drafting skills and language entirely within the control of the parties" (*Watertown Educ. Assn.*, 93 NY2d at 140). If there is a "reasonable relationship between the subject matter of the dispute and the general subject matter of the CBA," the matter is arbitrable, leaving the arbitrator to "make a more exacting interpretation of the precise scope of the substantive provisions of the CBA, and whether the subject matter of the dispute fits within them" (*id.* at 143). Here, the Union argues that both Appendix C and article 31 of the CBA demonstrate that the parties agreed to arbitrate the present grievance.

Appendix C, which is entitled "General Municipal Law Section 207-a Procedure," contains six pages of detailed terms to which Yonkers and the Union agreed, including very broad provisions granting the arbitrator "authority to decide, de novo, the claim of entitlement [and continued entitlement] to [section] 207-a benefits." It further provides that when "the matter presents a termination of [section] 207-a benefits, the Fire Department shall have the burden of proof by a preponderance of the evidence that the member is no longer eligible for [section] 207-a benefits." The Union's grievance reasonably relates to these provisions because they provide for the arbitration of disputes over General Municipal Law § 207-a benefits, and the Union contends that Yonkers is attempting to terminate such benefits by withholding special pays.

Yonkers contends that the "reasonable relationship" test does not apply at all, arguing that *Cohoes* instead asks whether a CBA "expressly provide[s]" for a General Municipal Law § 207-a benefit in order to determine whether the parties agreed to arbitrate the dispute (*see* 94 NY2d at 694). *Cohoes* established no such test, but rather applied our familiar *Watertown Educ. Assn.* analysis. In *Cohoes*, the firefighters were not seeking to recover General Municipal Law § 207-a benefits, but instead demanded to arbitrate a return-to-work order for several General Municipal Law § 207-a beneficiaries. We explained that the relevant CBA was "entirely silent as to whether the contractual rights accorded regular duty firefighters in the CBA provisions cited in appellants' grievances [we]re applicable to disabled firefighters on General Municipal Law § 207-a status" (94 NY2d at 694). Although the CBA provided for the arbitration of disputes over "terms and/or working conditions" generally it made "no reference to light-duty assignments" and outlined "no procedure for contesting the same" despite explicitly providing for other General Municipal Law § 207-a benefits (258 AD2d 24, 31 [3d Dept 1999]; *see also* 94 NY2d at 694). Based on the terms of that CBA and the nature of the dispute, we concluded that the *Cohoes* firefighters did not "allege any breach of the collective bargaining agreement" (94 NY2d at 695).

Well-settled law dictates that the grievances like the present one are arbitrable so long as no public policy, statutory, or constitutional provisions prohibit them and they are reasonably related to the provisions of the CBA. That requirement is satisfied when, as here, the CBA outlines a detailed procedural mechanism by which firefighters on section 207-a status may seek arbitration of disputes concerning their benefits.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Acting Chief Judge CANNATARO and Judges RIVERA, GARCIA, SINGAS and TROUTMAN concur.

Order affirmed, with costs.

[203 NE3d 1194, 183 NYS3d 338]

THE PEOPLE OF THE STATE OF NEW YORK ex rel. SARA MOLINARO, on Behalf of WEI LI, Respondent, v WARDEN, RIKERS ISLAND, EMTC, 10-10 Hazen Street, East Elmhurst, NY 11370, or Any Other Person Having Custody of the Defendant, Appellant.

Argued November 15, 2022; decided December 15, 2022

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered June 16, 2021. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Kings County (Jane C. Tully, J.), which had denied the petition in a habeas corpus proceeding and, in effect, dismissed the proceeding; (2) granted the petition; (3) sustained the writ; and (4) directed the warden of the facility at which Wei Li was incarcerated, or the warden's agent, to immediately release Wei Li upon receipt of a copy of the Appellate Division's decision and order.

People ex rel. Molinaro v Warden, 195 AD3d 885, modified.

HEADNOTES

Appeal — Academic and Moot Questions — Exception to Mootness Doctrine

1. The appeal from an Appellate Division order granting the underlying petition for a writ of habeas corpus on defendant's behalf and directing defendant's immediate release was moot because defendant was no longer in custody, but the exception to the mootness doctrine applied. The question presented—whether a court may remand a defendant into custody solely because a CPL article 730 competency examination has been ordered—was significant and novel, there was a likelihood of repetition, and the issue was likely to evade review because competency examinations are usually conducted before the appellate process is completed. Given that defendant was no longer in respondent's custody, the competency hearing had been held, and the criminal charges against him had since been dismissed, habeas relief was no longer available and the proceeding was converted into a declaratory judgment action.

Crimes — Fitness to Proceed to Trial — Confinement Prior to Competency Examination

2. In accordance with CPL article 730, when a defendant is not in custody, a court only has the authority to either order a competency examination on an outpatient basis or to direct that the defendant be confined in a hospital pending completion of the examination upon proper medical recommendation that such confinement is necessary. The court may not remand a defendant into custody solely because an examination has been ordered. CPL 730.20 (2)

instructs the court on how to order a competency examination when the defendant is in the community and CPL 730.20 (3) mandates where the examination shall be conducted when a defendant is already in custody. Defendant in the underlying habeas corpus proceeding was not "in custody" during his arraignment for the purposes of subdivision (3) because he was not charged with a qualifying offense under the bail laws and the court was required to order his release at arraignment. The phrase "in custody," as used in subdivision (3), does not broadly refer to custodial control over a defendant at a courthouse. The only options that a court is authorized to apply when it orders a competency examination for a defendant charged with a nonqualifying offense and who is thus entitled to release, as defendant was here, are to direct an examination on an outpatient basis or, upon a medical recommendation of the director, the court may, but need not, order hospital confinement until completion of the examination.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Appellate Review §§ 552, 558; AM JUR 2d Criminal Law §§ 94–96.

CARMODY-WAIT 2d Arraignment, Preliminary Hearing, and Fitness to Proceed § 179:80; CARMODY-WAIT 2d Appeals in Criminal Cases §§ 207:131, 207:132.

MCKINNEY'S, CPL 730.20 (2), (3).

NY JUR 2d Criminal Law: Procedure §§ 1829, 1833, 3681, 3683.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Incompetent or Insane Persons; Moot and Abstract Matters; Physical and Mental Examinations.

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Query: appeal /4 moot /p exception & habeas & custody & release*

POINTS OF COUNSEL

Eric Gonzalez, District Attorney, Brooklyn (*Julian Joiris* and *Leonard Joblove* of counsel), for appellant. The Criminal Court was authorized to direct that defendant be confined in jail pending his competency examination. (*People v Phillips*, 16 NY3d 510; *People v Bruni*, 67 Misc 3d 254; *People v Suero*, 67 Misc 3d 229; *People v Wilboiner*, 35 Misc 3d 193; *People v Giannelli*, 189 Misc 2d 366; *Matter of LaBelle*, 79 NY2d 350; *People v Brancoccio*, 83 NY2d 638; *People v Thomas*, 33 NY3d

1; *People v Wrotten*, 14 NY3d 33; *Matter of Knight-Ridder Broadcasting v Greenberg*, 70 NY2d 151.)

Lisa Schreibersdorf, Brooklyn Defender Services, Brooklyn (*Alexandra Ferlise* and *Alfred O'Connor* of counsel), for respondent. I. CPL 730.20 (2) authorizes outpatient and hospital-based competency examinations. The Appellate Division correctly held it does not authorize preemptively jailing a defendant for a competency exam. (*People v Giannelli*, 189 Misc 2d 366; *People v Wilboiner*, 35 Misc 3d 193; *People v Suero*, 67 Misc 3d 229; *People v Bruni*, 67 Misc 3d 254; *Matter of LaBelle*, 79 NY2d 350; *People v Menchetti*, 76 NY2d 473; *People v Zanghi*, 79 NY2d 815; *People v Schonfeld*, 74 NY2d 324; *Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382; *People v Crespo*, 32 NY3d 176.) II. This appeal qualifies as an exception to the mootness doctrine. (*People ex rel. McManus v Horn*, 18 NY3d 660.)

OPINION OF THE COURT

RIVERA, J.

On this appeal we resolve an open question in this Court and hold that, in accordance with CPL article 730, when a defendant is not in custody, a court only has the authority to either order a competency examination on an outpatient basis or to direct that the defendant be confined in a hospital pending completion of the examination upon proper medical recommendation that such confinement is necessary. The court may not remand a defendant into custody solely because an examination has been ordered.

I.

Wei Li was charged by misdemeanor complaint with several offenses, none of which were "qualifying offenses" under the bail laws (*see* CPL 510.10 [4]; 530.20 [1] [b]), meaning that Criminal Court was required to release Wei Li on his own recognizance or set particular conditions in a securing order to ensure his return to court (*see* CPL 500.10 [3-a]-[3-b]; 510.10 [3]; 530.20 [1] [a]). However, at arraignment, the court ordered a CPL article 730 competency examination and remanded Wei Li into the custody of respondent, the Warden of Rikers Island, pending completion of the examination.

Relator filed the underlying petition for writ of habeas corpus on Wei Li's behalf, requesting his release. As relevant here, relator argued that the remand order was unlawful on the grounds that Wei Li could not be held under the bail laws because he had not been charged with a bail-eligible offense under CPL 510.10, and CPL 730.20 (2) did not separately authorize the court to order defendant held in jail pending the examination. Instead, under CPL 730.20 (2), the court could only order an examination on an outpatient basis or, upon recommendation by the appropriate medical official, by hospital confinement. Respondent opposed release.[1]

Supreme Court denied the petition, relying on *People v Suero* (67 Misc 3d 229, 236 [Sup Ct, Kings County 2020]), which held that CPL article 730 provided Criminal Court the authority to hold defendant to "ensure that a potentially incapacitated person appears at the competency examination." The Appellate Division reversed and ordered Wei Li's immediate release, holding that CPL article 730 did not authorize Criminal Court to remand Wei Li (195 AD3d 885 [2d Dept 2021]). Thereafter, the psychiatric evaluators concluded that Wei Li was unfit to stand trial and the criminal charges against him were dismissed pursuant to CPL 730.40 (2). We granted respondent leave to appeal (37 NY3d 915 [2021]).

II.

[1] The appeal is moot because Wei Li is no longer in custody (*see e.g. People ex rel. McManus v Horn*, 18 NY3d 660, 663 [2012]), but both parties urge us to invoke the mootness exception. We agree that the exception applies here because the question presented is significant and novel (*see Matter of LaBelle*, 79 NY2d 350, 361 [1992]), there is a likelihood of repetition, and the issue is likely to evade review because CPL article 730 examinations are usually conducted before the appellate process is completed (*see e.g. People ex rel. McManus*, 18 NY3d at 663-664; *City of New York v Maul*, 14 NY3d 499, 507 [2010]; *Mental Hygiene Legal Servs. v Ford*, 92 NY2d 500, 506 [1998];

1. Relator further asserted that the court did not make any inquiry or determination as to whether Wei Li posed a flight risk. Apart from the statutory arguments, relator also urged release because Wei Li was at high risk of contracting COVID-19 based on his age and the conditions at Rikers Island where he was being held (*see e.g. People ex rel. Stoughton v Brann*, 67 Misc 3d 629, 632-634 [Sup Ct, NY County 2020]). The New York City Department of Correction separately opposed release on that ground. These issues are not before the Court on this appeal.

see generally Matter of Hearst Corp. v Clyne, 50 NY2d 707, 713-714 [1980]).[2]

III.

[2] Turning to whether the arraignment court had discretion to remand Wei Li for the sole purpose of conducting the competency examination, we now decide the question left open in *Matter of LaBelle* (79 NY2d at 361) regarding the scope of the court's discretionary authority under CPL 730.20. For the reasons discussed, we hold that the court has no authority beyond that expressly granted by CPL article 730.

A.

The starting point of our analysis is the statutory text because the words of the statute are the best indicator of the legislature's intent (*see People v Galindo*, 38 NY3d 199, 203 [2022]; *Riley v County of Broome*, 95 NY2d 455, 463 [2000]; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]). Where the language of the statute is unambiguous, we apply its plain meaning (*see Columbia Mem. Hosp. v Hinds*, 38 NY3d 253, 271 [2022]; *Kuzmich v 50 Murray St. Acquisition LLC*, 34 NY3d 84, 91 [2019]; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205, 208 [1976]).

Subdivisions (2) and (3) of CPL 730.20 provide, in relevant part:

> "When the defendant is not in custody at the time a court issues an order of examination, because [the defendant] was theretofore released on bail or on [their] own recognizance, the court may direct that the examination be conducted on an out-patient basis, and at such time and place as the director shall designate. If, however, the director informs the court that hospital confinement of the defendant is necessary for an effective examination, the court may direct that the defendant be confined in a hospital designated by the director

2. Given that Wei Li is no longer in respondent's custody, the competency hearing has been held, and the criminal charges against him have since been dismissed, habeas relief is no longer available and, thus, this proceeding should be converted into a declaratory judgment action (*see People ex rel. McManus*, 18 NY3d at 664 n 2).

until the examination is completed" (CPL 730.20 [2]).

"When the defendant is in custody at the time a court issues an order of examination, the examination must be conducted at the place where the defendant is being held in custody. If, however, the director determines that hospital confinement of the defendant is necessary for an effective examination, the sheriff must deliver the defendant to a hospital designated by the director and hold [the defendant] in custody therein, under sufficient guard, until the examination is completed" (CPL 730.20 [3]).[3]

B.

As a threshold matter, we conclude that Wei Li was not "in custody" during his arraignment for the purposes of subdivision (3) because he was not charged with a qualifying offense under the bail laws and the court was required to order his release at arraignment (*see* CPL 510.10 [3]; 530.20 [1] [a]). As its plain text makes clear, subdivision (3) mandates the location for the examination as either (1) the place where the defendant is in custody at the time the court orders the examination, or (2) at a hospital facility, as might be necessary for an effective examination. The statute's use of the phrase "in custody," like the phrase "hospital confinement," refers, as a practical matter, to where a defendant may be properly examined by psychiatric personnel. Thus, "in custody," as used in subdivision (3), does not broadly refer to custodial control over a defendant at a courthouse.

Notably, a different reading would mandate a remand or hospital confinement in every case where the court at arraignment directs a competency examination. This interpretation would, in turn, render subdivision (2) meaningless, in contravention of our established rules of construction that require we

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3. For the purposes of CPL article 730, the term "director" is defined as: "(a) the director of a state hospital operated by the office of mental health or the director of a developmental center operated by the office for people with developmental disabilities, or (b) the director of a hospital operated by any local government of the state that has been certified by the commissioner as having adequate facilities to examine a defendant to determine if he is an incapacitated person, or (c) the director of community mental health services" (CPL 730.10 [4]).

give meaning to all the words of a statute (*see Majewski*, 91 NY2d at 587; *Matter of OnBank & Trust Co.*, 90 NY2d 725, 731 [1997]; McKinney's Cons Laws of NY, Book 1, Statutes § 98 [a]) and read the statute as a whole, harmonizing all of its provisions (*see Columbia Mem. Hosp.*, 38 NY3d at 271). Our interpretation gives meaning to the entirety of CPL 730.20 and avoids undermining the legislative intent reflected in the bail laws entitling Wei Li—and all other similarly situated defendants charged with nonqualifying offenses—to release.

Respondent contends that, even if Wei Li was not in custody before and during arraignment, subdivision (2) authorized the court to order jail confinement for the purpose of a competency examination. This argument proceeds along two lines: the legislature intended "may" to be read as permissive, thus allowing the court to exercise its discretion and remand a defendant, or that the word is not mandatory here because, as illustrated by subdivision (3), when the legislature intended to limit judicial discretion it did so expressly by use of the word "must." This argument is unpersuasive.

Permissive and discretionary terms are interpreted in context (*see People v Schonfeld*, 74 NY2d 324, 328 [1989]). "[M]andatory words have been interpreted in a merely permissive sense and vice versa" and "the word 'may' in some instances imposes a positive duty, not a discretion" (McKinney's Cons Laws of NY, Book 1, Statutes § 177 [a], Comment at 344 [1971 ed]). Contrary to respondent's claim, there is no dichotomous reading of CPL 730.20 (2) and (3). Both subdivisions are mandatory directives on the exercise of the court's authority; subdivision (2) instructs the court on *how* to order a competency examination when the defendant is in the community, and subdivision (3) mandates *where* the examination shall be conducted when a defendant is already in custody. Therefore, the legislative choice of the word "may" in subdivision (2) cabins the court's power and sets forth the only options that the court is authorized to apply when it orders a competency examination for a defendant charged with a nonqualifying offense and who is thus entitled to release. A court issuing an order for a competency examination in that case (1) may direct an examination on an outpatient basis or, (2) upon a medical recommendation of the director, the court may, but need not, order hospital confinement until completion of the examination.

C.

The legislative history supports our interpretation of subdivision (2). Section 730.20 was adopted in 1970 and remains unchanged today. Its addition was part of the innovations included in the Criminal Procedure Law, which replaced the Code of Criminal Procedure (*see* L 1970, ch 996, § 1). The Bartlett Commission Staff Comment explains that subdivision (2) was modeled after a recommendation made by a committee of the Judicial Conference of the District of Columbia Circuit (*see* Staff Comment of Temp St Commn on Rev of Penal Law & Crim Code, 1967 Proposed NY CPL 405.20 at 461-462; *see also* Richard G. Denzer, Practice Commentary, McKinney's Cons Laws of NY, Book 11A, CPL 730.20 at 336 [1971 ed]). The committee had recommended limits on incarcerating defendants who had otherwise been released from custody:

> "The status of the accused who has been enlarged on bail should not be changed because of a [pretrial] mental examination being ordered for [them], and an accused who is otherwise eligible for bail should not be denied bail because a [pretrial] mental examination is ordered for [them]; if, however, the examining psychiatrists report that the accused's confinement is necessary for an effective examination the court should be empowered to commit to a mental hospital" (Judicial Conference of the District of Columbia Circuit, Report of the Committee on Problems Connected with Mental Examination of the Accused in Criminal Cases, Before Trial, Recommendation 7 at 93 [1964]).

This history suggests that, in adopting subdivision (2), the legislature intended to replace New York's prior mandatory confinement regime (*see* Code Crim Pro § 660) with outpatient services while still allowing a court, in its discretion, to order hospital confinement if requested by the director.

The Bartlett Commission also explained that "[m]ost of the provisions in [a]rticle 730 [we]re based upon the recommendations" of a comprehensive report by a special committee of the Association of the Bar of the City of New York (Temp St Commn on Rev of Penal Law & Crim Code Mem in Support & Explanation of Proposed Crim Pro Law at 9, Bill Jacket, L 1970, ch 996). That committee noted that psychiatric hospitals in New York were overcrowded, in part, because courts were required to order 60-day examination periods for criminal defendants alleged to be incompetent, placing strain on hospitals and their staff (*see* Association of the Bar of the City of New York, Special Committee on the Study of Commitment Procedures and the Law Relating to Incompetents, Mental Illness, Due Process and the Criminal Defendant: A Second Report and Additional Recommendations at 72-73, 86-89 [1968]). According to the committee, "defendant[s] who might otherwise have been released on bail [were] denied [their] freedom," confined under restrictive conditions in a jail or hospital, and at risk of "los-[ing] [their] income" or "[their] job[s]" (*id.* at 89). Thus, the committee recommended that the legislature "expressly . . . authorize . . . examination[s] in appropriate cases to be conducted on an out-patient basis without mandatory incarceration or hospitalization" (*id.* at 89-90 [footnote omitted]). In other cases, the committee recommended that bail could be revoked for failure to comply with a court order or that defendants who present risks to themselves or others could be held under other authority (*see id.* at 90).[4]

IV.

As relator notes, there are other measures available to ensure completion of a defendant's competency examination. For example, the court may order supervised release with non-monetary conditions (*see* CPL 510.10 [3]; 530.20 [1] [a]), revoke the defendant's release status if they fail to appear for a scheduled examination and fail to appear in court (*see* CPL 530.60 [1]), and, in appropriate cases, order a psychiatric evalu-

4. Respondent's reliance on lower court decisions (*see People v Bruni*, 67 Misc 3d 254 [Albany County Ct 2020]; *Suero*, 67 Misc 3d 229; *see also People v Wilboiner*, 35 Misc 3d 193 [Crim Ct, Kings County 2012]; *People v Giannelli*, 189 Misc 2d 366 [Tuckahoe Just Ct 2001]) that had interpreted CPL 730.20 as permitting a court to order remand of a defendant charged with nonqualifying offenses is misplaced. We left this question open in *Matter of LaBelle* until a proper case and parties squarely presented it (*see* 79 NY2d at 361). This is that case and we now definitively resolve that question against the reading adopted by those courts. To the extent respondent argues that the legislature could have implicitly adopted the lower courts' understanding of the statute, we note that this issue was not as well-settled as respondent claims. This Court, as the final arbiter of the law, had not decided the issue, nor had a panel of the Appellate Division. Moreover, other authorities have promoted the interpretation we now adopt or declined to follow those lower courts decisions (*see e.g.* Hon. Lawrence K. Marks et al., New York Pretrial Criminal Procedure § 4:4 at 239 [2d ed, 7 West's NY Prac Series 2007]; Hon. Daniel Conviser, New York's Bail Reform Law: A Bench Book for Judges at 18-19 [rev July 11, 2019], available at https://cdn.ymaws.com/www.nysda.org/resource/resmgr/2020reforms/bail_reform_bench_book_for_j.pdf).

ation to determine whether civil confinement is necessary (*see* Mental Hygiene Law § 9.43; *see also* CPL 500.10 [3-c] [a]-[b]). Courts retain the authority to craft orders necessary to the specific factual circumstances of each case. What the law does not permit is what occurred here: remanding a defendant otherwise entitled to release under the law, solely because the court ordered a CPL article 730 competency examination.

Accordingly, the order of the Appellate Division should be modified, without costs, by converting the proceeding to a declaratory judgment action and granting judgment in accordance with this opinion and, as so modified, affirmed.

Acting Chief Judge Cannataro and Judges Garcia, Wilson, Singas and Troutman concur.

Order modified, without costs, by converting the proceeding to a declaratory judgment action and granting judgment declaring in accordance with the opinion herein and, as so modified, affirmed.

[204 NE3d 447, 183 NYS3d 811]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MICHAEL MYERS, Appellant.

Argued January 4, 2023; decided February 9, 2023

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered October 8, 2021. The Appellate Division affirmed a judgment of the Onondaga County Court (Stephen J. Dougherty, J.), which had convicted defendant, upon a jury verdict, of leaving the scene of an incident resulting in death without reporting.

People v Myers, 198 AD3d 1373, reversed.

HEADNOTE

Crimes — Evidence — Tape Recordings — Statements Made during Phone Call Initiated by Inmate Intercepted while Monitoring Wiretap

In a criminal prosecution in which defendant was charged after making statements suggesting his involvement in a fatal hit-and-run accident during a phone call that originated from a county jail and was intercepted by law enforcement officials monitoring a wiretap in an unrelated investigation by the New York State Attorney General, the People's failure to timely furnish defendant with a copy of the eavesdropping warrant and underlying application precluded admission of the wiretap and jail recordings into evidence at trial, as the recorded conversation obtained from the jail was derived from an intercepted communication within the meaning of CPL 700.05. The implied consent given to the jail by the inmate who placed the call in which defendant and others participated did not convert the wiretap into a consensual recording and vitiate the protections of CPL article 700. The fact that the sender consented to recording by the jail had no bearing on the status of the communication overheard on the wiretap. When the Attorney General's Office intercepted the call, it was "intentionally . . . recorded by a person other than the sender or receiver thereof, without the consent of the sender or receiver" (CPL 700.05 [3] [a]). The wiretap was therefore an "intercepted communication" within the meaning of CPL 700.05. The Attorney General's Office was permitted to share recordings from the wiretap with appropriate law enforcement officials pursuant to CPL 700.65, but use of that intercepted call or any evidence "derived therefrom" at trial was subject to the notice requirement of CPL 700.70. In listening to the wiretap, a detective heard incriminating statements about the hit-and-run, identified defendant as the declarant, and directed authorities to the jail recording. Therefore, the jail call was clearly evidence derived from the wiretap.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Evidence §§ 584, 588, 603–604, 606, 608, 610;

AM JUR 2d Penal and Correctional Institutions § 79; AM JUR 2d Searches and Seizures §§ 347, 351–352, 355–358, 365, 375–376, 380–381, 442, 445.

CARMODY-WAIT 2d Presentation of the Case §§ 56:55–56:56; CARMODY-WAIT 2d Search and Seizure §§ 173:190, 173:193–173:196; CARMODY-WAIT 2d Particular Types of Evidence §§ 194:277–194:279.

LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) §§ 3.9, 4.3, 4.6.

MCKINNEY'S, CPL 700.05 (3) (a); 700.65; 700.70.

NY JUR 2d Criminal Law: Procedure §§ 286, 358, 361–362, 364; NY JUR 2d Evidence and Witnesses §§ 187, 189, 233, 424; NY JUR 2d Penal and Correctional Institutions § 237.

ANNOTATION REFERENCES

Admissibility of evidence obtained by government or other public officer by intercepting letter or telegraph or telephone message. 134 ALR 614.

Admissibility, in criminal prosecution, of evidence secured by mechanical or electronic eavesdropping device. 97 ALR2d 1283.

Admissibility, in criminal prosecution, of evidence obtained by electronic surveillance of prisoner. 57ALR3d 172.

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Query: (wiretap OR (record! /3 (telephone OR conversation OR call)) /s consent) & (inmate OR prison! OR jail)

POINTS OF COUNSEL

Hiscock Legal Aid Society, Syracuse (*Philip Rothschild* of counsel), for appellant. The telephone conversation recorded by the Attorney General's wiretap was an intercepted communication, and the Onondaga County Justice Center recording was evidence derived from it, as the legislature intended strict compliance and timely notice to the defense. (*People v Losinno*, 38 NY2d 316; *People v Lasher*, 58 NY2d 962; *People v Goldfeld*, 60 AD2d 1; *Matter of Marian T. [Lauren R.]*, 36 NY3d 44; *People v Diaz*, 33 NY3d 92; *People v Capolongo*, 85 NY2d 151; *People v Mastrodonato*, 75 NY2d 18; *People v Boston*, 75 NY2d 585; *People v Schulz*, 67 NY2d 144; *People v Winograd*, 68 NY2d 383.)

William J. Fitzpatrick, District Attorney, Syracuse (*Kenneth H. Tyler, Jr.* of counsel), for respondent. County Court correctly denied defendant's motion to preclude evidence of his inculpatory statements made during the jail call, and the Appellate Division, Fourth Department correctly affirmed the judgment. (*People v McGee*, 49 NY2d 48, 446 US 942; *People v Goldfeld*, 60 AD2d 1, 43 NY2d 928; *People v Smith*, 69 AD2d 845; *People v Jackson*, 125 AD3d 1002, 25 NY3d 1202; *People v Lasher*, 58 NY2d 962; *People v Diaz*, 33 NY3d 92; *People v Williams*, 35 NY3d 24; *People v Shear*, 186 AD3d 1537, 36 NY3d 932; *People v Cisse*, 32 NY3d 1198; *People v Koonce*, 111 AD3d 1277, 120 AD3d 1563, 24 NY3d 1085.)

Law Office of Stephen N. Preziosi P.C., New York City (*Stephen N. Preziosi* of counsel), for New York State Association of Criminal Defense Lawyers, amicus curiae. I. The notice requirement of CPL 700.70 reflects the policy that a defendant should not be subject to surprise at or just before trial, to reduce trial delays with last-minute motions, and to provide the defendant with reasonable time and opportunity to make a motion to suppress the admissibility of eavesdropping evidence. (*People v Capolongo*, 85 NY2d 151.) II. A three-way phone call is an intercepted communication as defined by CPL 700.05 because there were two separate and distinct phone calls and the notice requirements of article 700 must apply. III. Evidence that is derived from a wiretap must comply with the notice requirements of CPL 700.70 even where the defendant had actual notice of the call being recorded. (*People v Schulz*, 67 NY2d 144; *People v Mark*, 68 AD2d 315; *People v Washington*, 46 NY2d 116.) IV. New York's eavesdropping laws and notice requirements have been interpreted more strictly by New York courts than their counterparts under federal law. (*People v Schulz*, 67 NY2d 144; *People v Gallina*, 66 NY2d 52; *People v Basilicato*, 64 NY2d 103; *People v Capolongo*, 85 NY2d 151; *United States v Lawson*, 545 F2d 557; *People v Washington*, 46 NY2d 116; *United States v Donlan*, 825 F2d 653.)

OPINION OF THE COURT

GARCIA, J.

While monitoring a wiretap in an investigation unrelated to this case, law enforcement officials intercepted a call that originated from a county jail. Defendant joined the call and made statements suggesting his involvement in a fatal hit-and-run accident. Local police were alerted to the call and thereafter obtained a recording of the call from the jail. Defendant was later charged in connection with the hit-and-run. The People introduced the jail recording as evidence at trial without providing notice within 15 days of arraignment pursuant to CPL 700.70. This was improper. A communication intercepted via wiretap is not exempted from statutory notice procedures merely because the same communication was incidentally captured on a separate, consensual recording. For that intercepted communication or any evidence derived therefrom to be admissible at trial, the prosecution must follow the CPL's notice procedures. Accordingly, because the jail recording evidence was derived from an intercepted communication, we reverse.

I.

In October 2015, the Syracuse Police Department began investigating a fatal hit-and-run automobile accident. Police identified the suspect car and determined it was registered to D.H., defendant's cousin. When police interviewed D.H., he reported that his girlfriend was borrowing the car at the time of the crash. D.H.'s girlfriend told police that the car was stolen prior to the accident.

At about the same time, in an unrelated investigation, the New York Attorney General's Office obtained a warrant to wiretap the phone of A.C. The wiretap intercepted a call from A.J., an inmate at the Onondaga County Justice Center (OCJC). A.J. initially called D.H., who added A.C. to the call. While A.J., D.H., and A.C. were speaking, D.H. asked A.C. to put defendant on the phone. Defendant then made statements about the hit-and-run accident. A Syracuse Police detective monitoring the Attorney General's wiretap heard the conversation, recognized defendant's voice, and notified the detectives working the hit-and-run case. Syracuse Police then obtained a recording of the call from OCJC.

A grand jury indicted defendant on a single count of leaving the scene of an incident without reporting (Vehicle and Traffic Law § 600 [2] [a]). The People produced the recording obtained from OCJC to defendant in discovery but did not furnish defendant with a copy of the wiretap warrant and underlying application within the 15-day period prescribed by CPL 700.70. Several months after defendant was arraigned, the People informed defendant by letter that the police were "alerted" to the call by the wiretap. Defendant moved to preclude the call from evidence on the grounds that the People failed to adhere to the CPL 700.70 notice procedure.

County Court denied defendant's motion, holding that the jail recording was not an "intercepted communication" within the meaning of CPL 700.05 because at least one party consented to the recording. The tape was entered into evidence and defendant was convicted. The Appellate Division affirmed, holding that the jail recorded the call with the implied consent of at least one of the participants, and therefore the call was not an "intercepted communication" and "no warrant was required to record that conversation . . . and the People were not required to comply with CPL 700.70 before using the recording at defendant's trial" (198 AD3d 1373, 1373-1374 [4th Dept 2021]).

A Judge of this Court granted defendant leave to appeal (38 NY3d 952 [2022]).

II.

Criminal Procedure Law article 700 prescribes the procedures governing eavesdropping warrants, commonly referred to as wiretaps. We require strict—indeed, "scrupulous"—compliance with the provisions of this statute, and the prosecution has the burden of establishing such compliance (*see People v Capolongo*, 85 NY2d 151, 159-160 [1995]). In imposing this rigorous standard, we recognize that "[t]he insidiousness of electronic surveillance threatens the right to be free from unjustifiable governmental intrusion into one's individual privacy to a far greater extent than the writs of assistance and general warrants so dreaded by those who successfully battled for the adoption of the Bill of Rights" (*People v Schulz*, 67 NY2d 144, 148-149 [1986]). Our State Constitution contains explicit protections against the unreasonable interception of telephonic communications (NY Const, art I, § 12), and "our interpretation of article 700 must be sensitive to the constitutional guarantees against search and seizure that the statute seeks to protect" (*Schulz*, 67 NY2d at 148 [alterations omitted]).

Pursuant to CPL 700.70, the "contents of any intercepted communication, or evidence derived therefrom," cannot be used at trial unless the People, "within fifteen days after arraignment and before the commencement of the trial, furnish the defendant with a copy of the eavesdropping warrant, and accompanying application, under which interception was authorized or approved." The People argue, and the Appellate Division held, that the wiretap was not an intercepted communication because A.J. consented to the recording of the call by OCJC. We disagree.

As a preliminary matter, our precedent makes clear that the recording of the call made by OCJC and admitted into evidence at trial is not itself an "intercepted communication" within the meaning of CPL 700.05. An "intercepted communication" is defined, as relevant here, as "a telephonic . . . communication which was intentionally overheard or recorded by a person other than the sender or receiver thereof, without the consent of the sender or receiver" (CPL 700.05 [3] [a]). In *People v Diaz* (33 NY3d 92 [2019]), we held that "detainees, informed of the monitoring and recording of their calls, have no objectively reasonable constitutional expectation of privacy in the content of those calls" (*id.* at 95). In such circumstances, detainees "impliedly consent to the 'taping' of those conversations" (*People v Williams*, 35 NY3d 24, 46 [2020]). The recording made by OCJC was made with the consent of A.J.—the sender—and accordingly was not an "intercepted communication" (*see* CPL 700.05). OCJC could "share the recording[ ] with law enforcement officials and prosecutors . . . without violating the Fourth Amendment" (*Diaz*, 33 NY3d at 95). That does not end our inquiry, however. The issue here is whether the recorded conversation obtained from OCJC was "derived" from an "intercepted communication."

Guided by the principle that "article 700 and all its integral parts [should] not be treated lightly or with cavalier disregard" (*Schulz*, 67 NY2d at 149 [internal quotation marks and alterations omitted]), we interpret the statute to require an independent consent analysis for the eavesdropping conducted pursuant to the warrant. The wiretap and the recording made by OCJC are separate and distinct pieces of potential evidence, and the fact that they captured the same information does not affect this analysis. Indeed, "it is not unusual for evidence to be inadmissible for one reason, and yet, admissible under a different theory" (*People v Simmons*, 86 Misc 2d 737, 744 [Sup Ct, NY County 1976], *affd* 54 AD2d 624 [1st Dept 1976] [admitting into evidence consensual recordings of phone conversations while suppressing recordings of the same conversations obtained pursuant to an unlawful wiretap]).

Just as the existence of the wiretap does not convert the jail recording into an "intercepted communication," the consent given to OCJC does not convert the wiretap into a consensual recording and vitiate the protections of CPL article 700. The fact that the sender consented to recording by the detention facility has no bearing on the status of the communication overheard on the wiretap. Authorization for the Attorney General's Office to listen to and record the call came from the eavesdropping warrant, not A.J.'s consent. When the Attorney General's Office intercepted the call, it was "intentionally . . . recorded by a person other than the sender or receiver thereof, without the consent of the sender or receiver" (CPL 700.05 [3] [a]). The wiretap was therefore an "intercepted communication" within the meaning of CPL 700.05.

The Attorney General's Office was permitted to share recordings from the wiretap with appropriate law enforcement officials pursuant to CPL 700.65, but use of that intercepted call or any evidence "derived therefrom" at trial was subject to the notice requirement of CPL 700.70. Whether the evidence obtained from OCJC is subject to that requirement therefore depends on whether the jail recording evidence was "derived" from the intercepted communication. It was.

The substance of the wiretap recording informed law enforcement that the same conversation had been recorded by OCJC, leading the Syracuse Police directly to the recording that the People used as evidence at defendant's trial. In listening to the wiretap, a detective heard incriminating statements about the hit-and-run, identified defendant as the declarant, and directed authorities to the OCJC recording. Clearly, the OCJC call is evidence derived from the wiretap. Moreover, it is not certain that police investigating the hit-and-run would otherwise have discovered the call—indeed, the inmate who placed the call had no apparent connection to the hit-and-run incident. Because the wiretap was an "intercepted communication," the People's failure to timely furnish defendant with a copy of the eavesdropping warrant and underlying application precluded the admission of the wiretap recording and any evidence derived therefrom—namely, the jail recording—into evidence at trial (CPL 700.70).

Accordingly, the order of the Appellate Division should be reversed, defendant's motion to preclude pursuant to CPL 700.70 granted and a new trial ordered.

Acting Chief Judge CANNATARO and Judges RIVERA, WILSON, SINGAS and TROUTMAN concur.

Order reversed, defendant's motion to preclude pursuant to CPL 700.70 granted and a new trial ordered.

[204 NE3d 1042, 184 NYS3d 260]

In the Matter of John Borelli et al., Appellants, v City of Yonkers, Respondent.

Argued November 16, 2022; decided December 15, 2022

SUMMARY

Appeal, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered October 14, 2020. The Appellate Division order, insofar as appealed from, affirmed a judgment of the Supreme Court, Westchester County (Helen M. Blackwood, J.), which, insofar as appealed from, had denied that branch of the CPLR article 78 petition which was to annul so much of respondent's determination as excluded from the supplemental benefits paid to petitioners pursuant to General Municipal Law § 207-a (2) certain compensation paid to active firefighters for night differential, check-in pay, and holiday pay.

Matter of Borelli v City of Yonkers, 187 AD3d 897, modified.

HEADNOTE

Civil Service — Firefighters — Exclusion of Certain Compensation from Statutory Disability Benefits

"[R]egular salary or wages" within the meaning of General Municipal Law § 207-a (2) includes monetary compensation to which current firefighters are contractually entitled based on the performance of their regular job duties, but does not include monetary compensation based on the performance of additional responsibilities beyond their regular job duties. Under the collective bargaining agreements (CBAs) between respondent municipality and petitioners, firefighters who were permanently disabled and retired as a result of work-related injuries, petitioners would have been legally entitled to holiday pay and check-in pay for performing their regular job duties. Accordingly, respondent's determination that holiday pay and check-in pay for active-duty firefighters did not constitute "regular salary or wages" for purposes of calculating the supplement to which petitioners were entitled under General Municipal Law § 207-a (2) was based on an error of law. However, given that the CBAs provided night differential only to those who worked nights and petitioners did not establish that all firefighters were contractually obligated to work nights, substantial evidence supported respondent's conclusion that night differential should not be included when calculating the supplement.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d Pensions and Retirement Funds §§ 1117, 1141.

McKinney's, General Municipal Law § 207-a (2).

NY JUR 2d Pensions and Retirement Systems §§ 107, 280, 317.

ANNOTATION REFERENCE

See ALR Index under Fire Departments and Firefighters; Pensions and Retirement.

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POINTS OF COUNSEL

Archer, Byington, Glennon & Levine, LLP, Melville (*Richard S. Corenthal* and *Paul K. Brown* of counsel), for appellants. I. There is a split in authority among Departments of the Appellate Division concerning the interpretation of the term "regular salary or wages" for purposes of the General Municipal Law § 207-a (2) supplement. (*Matter of Farber v City of Utica*, 97 NY2d 476; *Benson v County of Nassau*, 137 AD2d 642, 72 NY2d 809; *Matter of Chalachan v City of Binghamton*, 55 NY2d 989; *Phaneuf v City of Plattsburgh*, 84 Misc 2d 70, 50 AD2d 614; *Matter of Uniformed Fire Officers Assn. of the City of Yonkers v New York State Pub. Empl. Relations Bd.*, 197 AD3d 1470.) II. The Court should adopt the Third Department's interpretation of "regular salary or wages" for purposes of the General Municipal Law § 207-a (2) supplement. (*Matter of Wise v Jennings*, 290 AD2d 702; *Matter of Mashnouk v Miles*, 55 NY2d 80; *Matter of Klonowski v Department of Fire of City of Auburn*, 58 NY2d 398; *Matter of McGowan v Fairview Fire Dist.*, 51 AD3d 796; *Pease v Colucci*, 59 AD2d 233; *Matter of Bobby v City of Niagara Falls*, 5 AD3d 997; *Matter of Smerek v Christiansen*, 111 Misc 2d 580.) III. The arbitration referenced by the Second Department requires the inclusion of night differential, check-in pay, and holiday pay in the General Municipal Law § 207-a (2) supplement.

Coughlin & Gerhart, LLP, Binghamton (*Paul J. Sweeney* of counsel), for respondent. I. The Second Department decision on appeal and the Third Department's prior decision in *Matter of McKay v Village of Endicott* (161 AD3d 1340 [3d Dept 2018]) do not represent a purported split in authority for this Court to resolve. (*Matter of Mashnouk v Miles*, 55 NY2d 80; *Matter of Whitted v City of Newburgh*, 126 AD3d 910; *Matter of Aitken v*

City of Mount Vernon, 200 AD2d 667; *Matter of Uniform Firefighters of Cohoes, Local 2562, IAFF, AFL-CIO v City of Cohoes*, 94 NY2d 686; *Benson v County of Nassau*, 137 AD2d 642; *Matter of Geremski v Department of Fire of City of Syracuse*, 78 Misc 2d 555; *Phaneuf v City of Plattsburgh*, 84 Misc 2d 70; *Matter of Aeneas McDonald Police Benevolent Assn. v City of Geneva*, 92 NY2d 326.) II. The City of Yonkers may unilaterally discontinue its former practice of including the special payments intended to compensate firefighters for working a night tour, for working holidays, or for the time spent reporting in early prior to an assigned tour in petitioners' General Municipal Law § 207-a (2) supplement payments. (*Matter of Aeneas McDonald Police Benevolent Assn. v City of Geneva*, 92 NY2d 326; *Matter of Mashnouk v Miles*, 55 NY2d 80; *Matter of Smerek v Christiansen*, 111 Misc 2d 580; *Matter of Chalachan v City of Binghamton*, 55 NY2d 989.) III. The subsequent arbitration award for active bargaining unit members is outside the record, irrelevant and should not be considered by this Court. (*Matter of City of Yonkers v Yonkers Fire Fighters, Local 628, IAFF, AFL-CIO*, 187 AD3d 900, 37 NY3d 910; *Amsterdam Sav. Bank v City View Mgt. Corp.*, 45 NY2d 854.)

OPINION OF THE COURT

Wilson, J.

This case arises out of a dispute between the City of Yonkers (Yonkers) and 39 of its firefighters, who are permanently disabled and retired as a result of work-related injuries (the retirees). The parties dispute whether certain compensation outlined in their collective bargaining agreements (CBAs) constitutes "regular salary or wages" for the purposes of calculating the retirees' General Municipal Law § 207-a (2) supplement. We conclude, consistent with our precedent, that "regular salary or wages" within the meaning of section 207-a (2) includes monetary compensation to which current firefighters are contractually entitled based on the performance of their regular job duties. It does not, however, include monetary compensation based on the performance of additional responsibilities beyond their regular job duties. We thus conclude here that holiday pay and check-in pay should be included in the supplement, while night differential should not.

General Municipal Law § 207-a (2) provides that, for firefighters who are permanently disabled due to work-related injuries and receiving certain benefits from the State, a municipality must make up the difference between those benefits and the firefighter's "regular salary or wages" until the firefighter reaches the mandatory retirement age. Since at least 1995, the CBAs have provided for holiday pay, check-in pay, and night differential, which collectively the parties refer to as "special pays."[1] Until 2015, Yonkers included all three of these payments when calculating the retirees' section 207-a (2) supplements.

On December 9, 2015, Yonkers sent a letter to the retirees stating that the prior practice of including these payments had been a mistake and that it planned to remove such "special pays and other compensation" from the calculation of each retiree's section 207-a (2) supplement effective January 14, 2016.[2] The retirees initially challenged this decision through administrative hearing procedures. After the hearing process concluded in Yonkers's favor, it sent each retiree a "final determination" adjusting the retiree's benefits. The retirees filed a CPLR article 78 proceeding against Yonkers, challenging its decision to cease special pays and recoup already-made payments as arbitrary and capricious, an abuse of discretion, and unsupported by substantial evidence. Supreme Court granted the retirees' request to block Yonkers from recouping past payments, but otherwise denied the petition.[3] The Appellate Division affirmed (187 AD3d 897 [2020]). We granted the retirees leave to appeal (36 NY3d 911 [2021]).

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1. One CBA is with Yonkers Fire Fighters, Local 628, IAFF, AFL-CIO (Local 628) (the union representing employees holding the title of "Fire Fighter") and the other is with Uniformed Fire Officers Association of the City of Yonkers (the union representing fire officers). This opinion collectively refers to the employees covered by both CBAs as "firefighters."

2. The instant dispute pertains only to the retirees, who all retired due to permanent disability before December 9, 2015. In a separate dispute concerning Local 628 members who became or will become permanently disabled on or after December 9, 2015, an arbitrator ruled that article 31 of the Local 628 CBA did not permit Yonkers to remove the holiday pay, check-in pay, and night differential from the calculation of those members' section 207-a (2) supplements, nor did it allow Yonkers to reduce or recoup any payments. These issues were properly submitted to arbitration (*see Matter of City of Yonkers v Yonkers Fire Fighters, Local 628, IAFF, AFL-CIO*, 39 NY3d 114 [2022] [decided today]). Supreme Court confirmed the arbitral award and Yonkers's appeal of that decision is now pending before the Appellate Division.

3. Yonkers did not appeal Supreme Court's determination that its attempt to recoup past payments made to retirees was arbitrary and capricious; therefore that issue is not before us.

I.

There are two distinct bases for including compensation in the calculation of a permanently disabled firefighter's section 207-a (2) supplement (*see Matter of Chalachan v City of Binghamton*, 55 NY2d 989, 990 [1982]). First, all compensation constituting a firefighter's "regular salary or wages" must be included. Second, the municipality may explicitly agree that certain benefits should be included, even if the benefits are not "regular salary or wages" under section 207-a (2). In that case, a CBA must expressly provide that the benefits in question are to be included in the 207-a (2) supplement, as a CBA should not be interpreted to "implicitly expand whatever compensation rights are provided . . . under the statute" (*Chalachan*, 55 NY2d at 990). Here, the retirees have pursued the first route, arguing that the special pays constitute "regular salary or wages."

"[R]egular salary or wages is calculated based on the current salary of an active firefighter at the same grade the pensioner held upon retirement" (*Matter of Farber v City of Utica*, 97 NY2d 476, 479 [2002]). As the court noted in *Phaneuf v City of Plattsburgh*, " 'salary' generally is meant to be a fixed compensation periodically paid to a person for regular work or services" (84 Misc 2d 70, 74 [Sup Ct, Clinton County 1974], *affd* 50 AD2d 614 [3d Dept 1975], *lv dismissed* 38 NY2d 1004 [1976]; *see also Chalachan*, 55 NY2d at 990 [citing *Phaneuf* approvingly]). In other words, section 207-a (2) beneficiaries' supplements must be calculated based on the compensation they would be entitled to receive for the performance of regular job duties if they had stayed on as active-duty firefighters at the ranks they held at retirement (*cf. Chalachan*, 55 NY2d at 990; *see also Matter of McKay v Village of Endicott*, 161 AD3d 1340, 1343-1344 [3d Dept 2018], *lv denied* 32 NY3d 913 [2019]).

General Municipal Law § 207-a reflects New York's longstanding commitment to taking care of its firefighters. By the late-nineteenth century, Eastern cities began to establish paid fire departments to replace the volunteer associations that quelled mid-century urban fires (*see* Amy S. Greenberg, Cause for Alarm: The Volunteer Fire Department in the Nineteenth-Century City 11-15 [1998]; Eric H. Monkkonen, America Becomes Urban: The Development of U.S. Cities & Towns, 1780-1980 at 106-107 [1988]). Many New York cities incentivized these professional firefighters with "comprehensive and generous" pensions for disabilities incurred in the line of duty.

Some New York cities granted pensions of up to one half of their yearly compensation to firefighters totally and permanently disabled in the performance of the duties (*see* John Kenlon, Fires and Fire-Fighters 259 [1913]; *see also e.g.* L 1926, ch 677; Letter from John Boyd Thacher II, Mayor of City of Albany, Mar. 28, 1938, Bill Jacket, L 1938, ch 562 at 7; Letter from Harold W. Baker, City Manager of City of Rochester, Apr. 5, 1938, Bill Jacket, L 1938, ch 562 at 10).

Not all cities were so generous, however. In 1938, the New York Legislature responded by passing a law to provide "for the payment of the compensation" and medical expenses of firefighters, under which certain municipalities with paid fire departments were required to pay disabled firefighters "the full amount of [their] regular salary or wages" as well as "all medical treatment and hospital care furnished during such disabilit[ies]" until their disabilities ceased (L 1938, ch 562, § 1, codified as amended at General Municipal Law § 207-a [1]). When interpreting the language of the resulting statute, we have therefore recognized that "section 207-a of the General Municipal Law is a remedial statute enacted for the benefit of fire[fighters]" and have therefore "liberally construed [it] in their favor" (*Matter of Mashnouk v Miles*, 55 NY2d 80, 88 [1982] [brackets omitted], quoting *Pease v Colucci*, 59 AD2d 233, 235 [4th Dept 1977]).

When the legislature enacted General Municipal Law § 207-a (2) in 1977, it did not alter the statutory language or remedial purpose underlying the "regular salary or wages" provision and understood that its language would cover the kind of compensation sought by the retirees. By the 1970s, many New York municipalities complained that the statutory requirements were "excessively costly and undesirable" (Governor's Approval Mem at 1, Bill Jacket, L 1977, ch 965). As the Permanent Commission on Public Employee Pension and Retirement Systems explained, "The law require[d] the employer to pay a disabled fireman full salary . . . [as well as] any merit salary increments and all other fringe benefits . . . which have been granted to able firemen in his grade" (Rep of Permanent Commn on Pub Empl Pension & Retirement Sys at 1-2, Bill Jacket, L 1977, ch 965; *see also* Letter from St Ins Dept, Aug. 4, 1977, Bill Jacket, L 1977, ch 965). In response, the legislature shifted much of the burden onto state pension systems and away from municipal payrolls (*see* Governor's Approval Mem at 1, Bill Jacket, L 1977, ch 965). It did not, however, change the amount of payment, which was governed by the familiar "regular salary or wages" text (*see Mashnouk*, 55 NY2d at 87). Regular salary or wages remained broader than simple base salary. Recognizing that fact, we observed in *Mashnouk* that the legislature did not intend to limit "regular salary or wages" simply because it explicitly entitled light duty firefighters to "regular salary or wages, including increases thereof and fringe benefits" in General Municipal Law § 207-a (3) (*id.* at 86).[4]

The dissent interprets "regular salary or wages" differently than the enacting legislature did. It argues that regular salary or wages only includes " 'regular,' 'base' or 'annual' salary as defined in the CBA" along with several other types of payments previously recognized by our doctrine (dissenting op at 151). The dissent's approach, which seemingly looks solely to the placement of labels and headings in a CBA, would allow municipalities and unions to advantage current active firefighters at the expense of retirees disabled in the line of duty—something the statute was originally designed to prevent.[5] A

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4. The dissent characterizes the 1977 amendment as evincing an "intent to reduce, to the extent possible, the financial burden for disability payments placed on municipalities" (dissenting op at 155, citing *Farber*, 97 NY2d at 479). The 1977 amendment did not intend to reduce the burden for municipalities as far as possible. As the dissent admits, the law kept beneficiary pay constant, and reduced the burden on municipalities only by "shift[ing] the source of [some of] the payments, not the amount" (dissenting op at 149). Recognizing that the law did not reduce the burden as far as possible, we noted in *Farber* that "[t]he 1977 amendment . . . only partially relieved municipalities of their burden" (97 NY2d at 479).

5. The dissent's reasoning as to the 12-minute check-in pay, if extended near its logical end, would allow a CBA to evade the statute by providing for a one-hour workday for which firefighters were required to check in eight hours in advance, and further providing for eight hours of check-in pay for those firefighters who "check in" eight hours before their shifts. Under the dissent's theory—even when a CBA clearly states that all firefighters must check in eight hours in advance and that all are entitled to receive the eight-hour check-in pay regardless of whether they do so—disabled retirees should not receive this "check-in pay" because the CBA does not label it as "regular salary," "base salary," or "annual salary."

The dissent responds that active members can be trusted to represent the interests of current and future retirees because of their own concern of being injured themselves. Were that so, General Municipal Law § 207-a would be unnecessary. To the contrary, "the risk cannot be overlooked that union representatives on occasion might see fit to bargain for improved wages or other conditions favoring active employees at the expense of retirees' benefits" (*Chemical Workers v Pittsburgh Plate Glass Co.*, 404 US 157, 173 [1971]). General Municipal Law § 207-a (2) addresses the problem of imperfectly aligned incentives by tying the compensation of beneficiaries to active-duty

(n. cont'd)

CBA can reduce the financial burden of General Municipal Law § 207-a (2) by shifting compensation away from fixed pay and towards variable compensation.[6] But it may not pretend to do so merely by adjusting the labels in its CBA.

The sparse case law the dissent cites does not support its position. *Farber* interpreted the "amounts received" provision of General Municipal Law § 207-a (2), noting in dicta that a retired firefighter's "salary or wages" was "based on the current salary of an active firefighter at the same grade the pensioner held upon retirement" and gave no indication that "salary" was exclusively defined as the compensation the parties called "base salary" (97 NY2d at 479). *Mashnouk* is even worse for the dissent, as it explicitly construed "salary or wages" to include salary increases (*see* 55 NY2d at 86). Moreover, the dissent cannot square its approach with the Appellate Division cases it cites requiring the inclusion of "longevity pay" in regular salary or wages. Such pay is included because "longevity pay constitutes 'regular salary or wages' " under section 207-a (2) (*Matter of Aitken v City of Mount Vernon*, 200 AD2d 667, 668 [2d Dept 1994]). This is so regardless of how a CBA might label longevity pay, or indeed, any other compensation.

McKay is inconsistent with the dissent's interpretation of our case law. Although the dissent attributes significance to the fact that the Yonkers CBA lists the special pays under a separate heading from "annual salary" (dissenting op at 152-153), the CBA in *McKay* did the same thing. The *McKay* CBA listed "salaries" in section 8; nevertheless, the court included the schedule adjustment (section 9) and the EMS pay (section 34) in its award (*see* 161 AD3d at 1341-1344). The dissent attempts to avoid the section heading problem by reading the *McKay* CBA's language that the pays would be "added to . . . base salary" to mean that these provisions were "included in a participant's base salary, rather than treated as a separate, additional benefit" (dissenting op at 151, quoting *McKay*, 161 AD3d

firefighters. As the dissent observes, the legislature's solution does not ensure that the incentives of the two groups are perfectly aligned (*see* dissenting op at 152 n 6), but that solution is not as readily manipulable as the dissent's proposal to rely on labels in a CBA.

6. The dissent expresses concern about the fiscal challenges Yonkers faces as a result of our decision (*see* dissenting op at 149, 155-156). Our opinion does not forbid Yonkers (or any other municipality) from renegotiating its CBAs with its employees, tactics municipalities regularly employ to manage budgetary shortfalls. What the legislature has prohibited Yonkers from doing is targeting its disabled firefighters by treating them differently than it does its active-duty firefighters.

at 1342). The plain text of the *McKay* CBA, however, expressly distinguished "Base Pay" from "schedule adjustment." Thus, the petitioner recovered the schedule adjustment not because of the text of the CBA, but because "[p]etitioner, like all other firefighters on active duty, was receiving the adjustment when he retired, and an active firefighter currently employed at petitioner's rank would likewise receive the adjustment" (161 AD3d at 1344). We apply the same approach in the present case.

II.

Under the CBAs, the retirees would have been legally entitled to the holiday pay and the check-in pay for performing their regular job duties. Consequently, those pays are part of the "regular salary or wages" to which they are entitled by General Municipal Law § 207-a (2). By contrast, the retirees have not established that they would be legally entitled to the night differential for performing their regular job duties. The night differential is therefore not included under their "regular salary or wages" (General Municipal Law § 207-a [2]).

It is clear from the CBAs that all firefighters are entitled to receive holiday pay and check-in pay based solely on the performance of regular job duties. The provisions of the CBAs governing check-in pay require that firefighters be present for duty 12 minutes prior to the commencement of their tours of duty to receive instruction, equipment, and for other miscellaneous duties. They specify, without qualification, that each employee "shall receive an additional [5½] days [of pay]" per year. The provisions governing holiday pay provide that firefighters shall be paid for 12 holidays, "*whether worked or not*" (emphasis added). Hence, all active-duty firefighters performing their regular job duties are contractually entitled to receive both check-in pay and holiday pay.[7]

Including holiday and check-in pay does not pose the risk of unfairness we cautioned against in *Chalachan*. There, we noted

7. The difference in our reasoning with respect to holiday pay and check-in pay is not inconsistent (*see* dissenting op at 152 n 6, 154-155). For compensation to be salary, it must be paid in exchange for the performance of regular job duties. In the case of holiday pay, the "whether worked or not" language in the CBAs demonstrates that all firefighters who perform their regular duty as firefighters are entitled to receive holiday pay. In the case of check-in pay, because all firefighters are required to check in, it is unnecessary—and would in fact be confusingly inappropriate to say—"whether checked in or not." The requirement to check in 12 minutes before a shift applies to all firefighters,

(n. cont'd)

that it would not be appropriate to "imply a right to vacation benefits under section 207-a since disabled fire[fighters] do not have to work at all, and to pay them for unused vacation time would unfairly discriminate against employees actually working" (55 NY2d at 990). The scope of regular salary or wages and the fairness inquiry are two sides of the same coin: If compensation is provided in exchange for the performance of an employee's regular job duties, it would not be unfair to provide that payment to a disabled firefighter because, but for their injury, they would be entitled to receive that compensation.[8] Conversely, if compensation is paid for some additional or different duty beyond regular job duties or contingent on a certain scenario arising, it would be unfair to provide such a benefit to disabled firefighters because it is uncertain whether they would otherwise be entitled to this compensation.[9]

Here, holiday pay does not raise fairness concerns because the CBAs provide that firefighters will be paid for the holidays "whether [they] worked [on a holiday] or not." Likewise, all firefighters are required to check in 12 minutes before their shift begins, and are automatically entitled to receive check-in pay. Therefore, "because all active firefighters . . . receive the

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and renders the check-in pay part of their compensation for their regular duties; the lack of any qualification on the pay provides no reason to believe otherwise. The fact that the CBAs explicitly mention that not all firefighters are entitled to receive night pay (only those who actually work at least one night a cycle, with no clear contractual requirement that all firefighters do so) explains why our determination for night pay differs from the other two cases.

8. The dissent contends that the unfairness analysis is a separate inquiry to be conducted *after* we have classified a payment as "regular salary or wages" (dissenting op at 155). That approach does not comport with the text of General Municipal Law § 207-a (2), which does not mention fairness at all. If a payment is first classified as "regular salary or wages" under the statute, there would be no need thereafter to consider fairness, because the statute would require it be treated as such. Instead, the fairness inquiry helps determine whether the payment in question is part of a firefighter's regular salary or wages.

9. Thus, typically, benefits such as compensation for unused vacation time and sick leave are not part of regular salary or wages because receipt of those benefits depends on whether an employee actually takes sick leave or uses vacation time (*see Chalachan* at 990; *Phaneuf*, 84 Misc 2d at 74-75). Similarly, "holiday pay" that, pursuant to a CBA different from the Yonkers CBA, constitutes "additional compensation for [only] those firefighters who are actually required to work holidays" will not normally be included in "regular salary or wages" (*see* 34 Ops St Comp No. 78-842 at 170 [1978]; *see also Matter of Binghamton Firefighters, Local 729, Intl. Assn. of Firefighters v City of Binghamton*, 56 NY2d 731, 733 [1982], *affg* 85 AD2d 836 [3d Dept 1981]).

adjustment[s], this determination does not 'unfairly discriminate against employees actually working' " (*Matter of McKay*, 161 AD3d at 1344, quoting *Benson v County of Nassau*, 137 AD2d 642, 643-644 [2d Dept 1988], quoting *Chalachan*, 55 NY2d at 990), awarding the holiday and check-in pay to the retirees fulfills the statutory purpose of placing them at parity with current firefighters holding the same rank.

Unlike check-in and holiday pay, the retirees have not established whether all firefighters are contractually entitled to receive night differential pay.[10] Night differential contains two express conditions: it is earned only by "firefighters who are regularly scheduled to work rotating tours that include the 6:00 p.m. to 8:00 a.m. night tour, and only to firefighters actually working that night tour." The restriction of this payment to those firefighters who "actually work[ ] the night tour" strongly suggests that night differential must be specially earned, not paid to all, rendering it distinct from "regular salary or wages," and the retirees have not demonstrated that the CBAs require all firefighters to work the night tour. Thus, the retirees have not demonstrated that all firefighters are entitled to earn the night differential such that it should be included in the section 207-a (2) calculation.

III.

Because the CBAs plainly entitle all active-duty firefighters to holiday and check-in pay, Yonkers's determination that these did not constitute "regular salary or wages" under General Municipal Law § 207-a (2) was based on an error of law. Given that the CBAs provide night differential only to those who work nights and petitioners have not established that all firefighters are contractually obligated to work nights, substantial evidence supports Yonkers's conclusion that night differential should not be included when calculating the supplement.

Accordingly, the order of the Appellate Division insofar as appealed from should be modified, without costs, in accordance with this opinion and, as so modified, affirmed.

GARCIA, J. (dissenting). All four factfinders and decisionmak-

10. The arbitration award pertained only to firefighters who, unlike the retirees, were employed by Yonkers on or after December 9, 2015, and concerned a provision of the Local 628 CBA not raised in this appeal (*see supra* n 2).

ers in this case, applying our precedent, concluded that the "special pays" at issue here were not "regular salary or wages" pursuant to General Municipal Law § 207-a. In reversing, the majority redefines that statutory term to mean "monetary compensation to which current firefighters are contractually entitled based on the performance of their regular job duties" (majority op at 140). This new rule is found nowhere in our precedent, will drain municipal budgets, and is unworkable for future cases. I dissent.

There is no dispute that the retirees here suffered injuries while serving as firefighters and that General Municipal Law § 207-a provides for these retirees to receive an award totaling the equivalent of their regular salary or wages when serving as active firefighters in compensation. When a permanently disabled firefighter is granted an accidental disability retirement allowance under Retirement and Social Security Law § 363, payments made pursuant to General Municipal Law § 207-a (1) cease but "such firefighter shall continue to receive from the municipality or fire district . . . the difference between the amounts received under such allowance or pension and the amount of his or her regular salary or wages" (General Municipal Law § 207-a [2]). As this Court explained, the "offset" for the disability retirement allowance was enacted "to 'substantially reduce the financial burden of municipalities with respect to payments to disabled fire[fighers] and . . . allow funds presently used for such payments to be used to hire able fire[fighters] and thereby increase the level of fire protection in municipalities throughout the State' " (*Matter of Farber v City of Utica*, 97 NY2d 476, 479, 481 [2002], quoting Governor's Mem approving L 1977, ch 965, 1977 McKinney's Session Laws of NY at 2543).[1] The law sought to shift the source of payments, not the amount (*see Matter of Mashnouk v Miles*, 55 NY2d 80, 87 [1982]). The definition of "regular salary or wages"—which in turn determines the amount paid by the municipality—remained unchanged. A proper interpretation of

1. The majority insists that *Farber* does not say that the 1977 amendment was intended "to reduce the burden for municipalities as far as possible" (majority op at 144 n 4). It is beyond dispute, as we explained in *Farber*, that making the municipality liable only for the difference between the retirement allowance and "regular salary or wages" meant reducing the financial burden on the municipality to that *extent*. Of course, by redefining "regular salary and wages" so broadly, the majority significantly increases the amount owed by the municipality.

this statutory term is critical; any unwarranted expansion of the definition undermines the goals of the legislation, forcing municipalities to spend more on disability payments and less on active fire protection.[2]

Where a "collective bargaining agreement . . . is entirely silent regarding the status of disabled fire[fighters] as employees of the city[,] [t]heir continued status as employees even after disability has occurred is strictly a matter of statutory right" and "[t]he collective bargaining agreement should not therefore be construed to implicitly expand whatever compensation rights are provided petitioners under the statute" (*Matter of Chalachan v City of Binghamton*, 55 NY2d 989, 990 [1982]). We have previously explained that, for purposes of determining General Municipal Law § 207-a (2) payments, "the amount of a pensioner's regular salary or wages is calculated based on the current salary of an active firefighter at the same grade the pensioner held upon retirement" (*Farber*, 97 NY2d at 479). That term includes "prospective salary increase[s] given to active fire fighters subsequent to the award of an accidental disability retirement allowance or pension" (*Mashnouk*, 55 NY2d at 88)[3] and, before today, excluded holiday pay (*see Matter of Binghamton Firefighters, Local 729, Intl. Assn. of Firefighters v City of Binghamton*, 56 NY2d 731, 733 [1982], *affg* 85 AD2d 836, 836 [3d Dept 1981] [holding that disabled firefighters were not entitled to holiday pay where the CBA "provisions . . . are not substantially different from those at issue in" *Chalachan* and the same "public policy considerations

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2. The majority's cavalier assurance that municipalities will be able to "renegotiat[e]" collective bargaining agreements (CBAs) to "manage budgetary shortfalls" (majority op at 145 n 6) is cold comfort given the expanded liability imposed on many of those municipalities by today's holding. Moreover, unions may reject proposals to renegotiate (*see Matter of Civil Serv. Empls. Assn., Local 1000, AFSCME, AFL-CIO, Nassau Local 830 v New York State Publ. Empl. Relations Bd.*, 207 AD2d 589, 590 [3d Dept 1994] [rejection of county proposal to renegotiate CBA despite fiscal crisis, leading to County's unilateral implementation of unpaid furloughs]). One thing we do agree on: the need for such measures is now likely to increase.

3. In *Mashnouk*, the Court noted that prior to the amendment providing for the offset, "the term 'regular salary or wages' had already been interpreted by the courts to include subsequent salary increases," which were at issue in that case (55 NY2d at 88). In other words, the amendment did not change or limit the prior definition of "regular salary or wages;" it merely shifted the source of—and therefore some of the financial responsibility for—the payment. By the same token, the amendment, aimed at providing certain financial relief to municipalities, certainly did not expand that definition of regular salary and wages, as the majority does today.

referred to in the *Chalachan* case apply equally here"]).[4] The Appellate Division Departments have held that the term includes salary decreases received by active firefighters of the same rank (*Matter of Whitted v City of Newburgh*, 126 AD3d 910, 911 [2d Dept 2015]) and longevity pay (*Matter of Aitken v City of Mount Vernon*, 200 AD2d 667, 668 [2d Dept 1994] [in part relying on NY City Comptroller opinion concluding that General Municipal Law § 207-a (2) recipients are entitled to longevity salary increments]), as well as additional categories of pay that the CBA provides may be "added to [the participating firefighter's] base salary" (*Matter of McKay v Village of Endicott*, 161 AD3d 1340, 1342 [3d Dept 2018] ["the plain language of the contract (adding the disputed payment categories to base pay) thus contemplates that (these categories of pay are) included in a participant's base salary, rather than treated as a separate, additional benefit"]).[5] Courts had no difficulty understanding that a "salary increase" was part of "regular salary," while "holiday pay" was not (*but see* majority op at 145 [professing confusion as to how "longevity pay" constitutes part of a regular salary when not specifically included as such in the CBA]).

Our precedent is clear: when assessing entitlement to General Municipal Law § 207-a benefits pursuant to a CBA that is silent with respect to the rights of disabled firefighters, we do not look simply to the total compensation or funds received by an active firefighter of the same rank as the retiree but must determine what part of that compensation constitutes "regular salary or wages." And "regular salary or wages" means exactly that: "regular," "base," or "annual" salary as defined in the CBA. The majority elides this distinction, reasoning that "sec-

4. Although the majority holds the opposite today with respect to holiday pay, there is no mention, let alone any attempt to distinguish, our precedent holding otherwise—save for a *see also* citation to *Binghamton Firefighters* following a citation to a 1978 Comptroller's opinion that predated the case. The majority's disregard of our precedent with respect to holiday pay also calls the precedential value of *Chalachan* into question.

5. The majority selectively reads *McKay* and ignores that Court's analysis of the relevant CBA. The majority's assertion that the categories of pay in *McKay* were not recovered "because of the text of the CBA" is misleading in light of *McKay*'s language, quoted above, that "[t]he plain language of the contract thus contemplates that EMS pay is included in a participant's base salary, rather than treated as a separate, additional benefit" (161 AD3d at 1342, 1344). The majority's attempt to distort the *McKay* holding in an effort to support its new rule is particularly confounding in light of that case's lack of precedential value.

tion 207-a (2) beneficiaries' supplements must be calculated based on the compensation they would be receiving for the performance of regular job duties if they had stayed on as active-duty firefighters at the ranks they held at retirement" (majority op at 142). None of the cases cited support this conflation between "regular salary and wages" and "compensation . . . receiv[ed] for the performance of regular job duties" (*id.*). Whether items of compensation are provided to active firefighters "based on the performance of their regular job duties" is not the relevant question—what is relevant is their regular salary or wages pursuant to the language of the CBA.[6]

Two CBAs apply here—that for the Uniformed Fire Officers Association (UFOA) and Yonkers Fire Fighters, Local 628, IAFF, AFL-CIO (Local 628). Both CBAs contain an article 4:0, titled "Compensation." Section 4:01 of article 4:0 of the UFOA CBA, entitled "Annual Salary," includes base salary and provides the calculations necessary for determining base salary and longevity pay. Subsequent sections explain the circumstances under which firefighters shall receive arson pay, check-in pay, holiday pay, night differential, and educational incentive pay, as well as the timing of these payments: for check-in pay, "on a semi-annual basis, in January and July," for holiday pay, in two installments, in June and December, and for night differential, in two installments, in February and August. Section 4:01 of the Local 628 CBA, entitled "Annual Salary," includes base salary, longevity pay, and arson pay; section 4:02 explains the rate of pay; and section 4:03 addresses overtime and overtime pay, minimum recall pay, night differential, check-in pay, and holiday pay.

Although the decisions by the hearing officers and courts below applying our well-settled approach to this issue receive no consideration from the majority, all examined the specific

6. The majority's assertion that my approach "would allow municipalities and unions to advantage current active firefighters at the expense of retirees disabled in the line of duty" (majority op at 144, 144-145 n 5) contains several flaws. First, it is unclear how the majority's approach would resolve the hypothetical problem, as it both requires explicit language showing that all active firefighters receive such benefits (with respect to holiday pay and night differential) and does not require such express language (for check-in pay)—which could easily be manipulated in the same manner. And it presumes that active members of a union consider themselves impervious to injury when, in fact, active firefighters have an obvious interest in negotiating for benefits they would receive in the event they become disabled in the line of duty.

provisions of the relevant CBAs and concluded that night differential, check-in pay, and holiday pay—the "special pays" at issue here—are not part of a firefighter's regular salary or wages. The two Yonkers-appointed hearing officers who held the due process hearings through which the retirees first challenged Yonkers's determination to exclude special pays analyzed both CBAs and issued reports and recommendations with their findings. Hearing Officer Bernstein determined that "[a] plain reading of the relevant provisions of the parties' collective bargaining agreements refutes Respondent's contention that night differential pay, check-in pay and holiday pay are contractually mandated components of his 'regular salary or wages.' " He explained that "[t]he agreements between the City and its respective bargaining units specifically define 'annual salary' " and "[i]n both agreements check-in pay, holiday pay and night differential pay are contained in distinctly separate provisions and are excluded from the provision defining 'annual salary,' " and "[i]nstead, check-in pay, holiday pay and night differential pay are described in separate provisions along with 'overtime pay' and 'minimum recall pay' in the agreement with Local 628 and 'arson pay' and 'educational incentive pay' in the agreement with the UFOA." Accordingly, Hearing Officer Bernstein found that it was not arbitrary and capricious for Yonkers "to recalculate the Respondent's [General Municipal Law § 207-a (2)] benefit."

Hearing Officer Ponzini determined similarly that "[t]he collective bargaining agreements here define the rate of pay for active members as 'annual base salary' plus 'longevity' and do not include fringe benefits in that definition," explaining that "[w]hile the CBAs provide check-in pay, night differential and holiday pay to those on active duty, those additional benefits are addressed in provisions that are distinct from the provisions defining annual salary." Since "[n]either agreement addresses the payment of such fringe benefits to retirees" and "the CBAs here are silent with respect to this issue, they cannot provide a contractual predicate for expanding the statutory benefit" and "[a]ccordingly, . . . inclusion of [the special pay categories in General Municipal Law § 207-a payments] was not authorized by statute nor by the collective bargaining agreements." The City adopted these reports and recommendations, and the retirees filed a CPLR article 78 petition alleging that the determination to reduce the categories of special pay from the retirees' General Municipal Law § 207-a payments was arbitrary and capricious and lacked a rational basis.

In dismissing the article 78 petition, Supreme Court held that "the decision was not arbitrary or capricious" because the City's determination "relied on the findings of both hearing officers, who, in turn, relied heavily upon the Second Department and Court of Appeals cases that distinguish between 'regular salary and wages' and 'fringe benefits.' " The Appellate Division affirmed, holding that, in light of this relevant precedent to the contrary, "petitioners did not sustain their burden of establishing their entitlement to compensation for night differential, check-in pay, and holiday pay as part of their disability benefits under the language of" General Municipal Law § 207-a (2) (187 AD3d 897, 899 [2d Dept 2020]). I agree.

The majority disagrees and, in reversing here, promulgates a radical new approach reading "regular salary and wages" out of the statutory text and substituting "monetary compensation" and, sporadically, "regular job duties." As a result, courts must now look to whether each item of compensation is provided to all active firefighters. The governing standard is variously expressed as whether the CBA: (1) "strongly suggests" the payment must be earned; (2) makes clear that "all firefighters are entitled to receive holiday pay and check-in pay based solely on the performance of regular job duties"; or (3) makes clear that any active firefighter is "legally entitled" to the special pays (majority op at 146, 148). Or, put another way, the majority's new "monetary compensation" rule is "everyone gets everything everyone else always gets." However articulated, the test is wrong.

While the majority implies that its analysis is grounded in the statutory language, consideration of the parties' stipulated practices is woven through their reasoning—their analysis demands nothing more than an examination of what active firefighters obtain for "regular job duties" (majority op at 140, 142, 146, 146 n 7, 147). Even at that level, the majority's reasoning is inconsistently applied. The majority contends that "it is clear from the CBAs that all firefighters are entitled to receive holiday pay and check-in pay based solely on the performance of regular job duties" (majority op at 146). In fact, the CBA provides that, for check-in pay, "[m]embers shall be present at their assigned commands for duty twelve (12) minutes prior to the start of their tour of duty for receipt of officer instructions, notice of pertinent alarms, roll call, training, equipment and/or uniform inspection." The majority's assumption that those firefighters who are not present at that assigned time continue to receive check-in pay stems from reliance on the parties' stipulation that is beyond the four corners of the CBA. Moreover, with respect to holiday pay, the majority relies heavily on the CBA's inclusion of language providing that "firefighters 'shall be paid for [12] legal holidays, *whether worked or not*' " (majority op at 146). The lack of corresponding language for check-in pay somehow has no similar effect on the analysis. In addition, the majority fails to grapple with our precedent excluding holiday pay from the statutory term "regular salary or wages" for the same reasons unused vacation time was excluded in *Chalachan* (*see Binghamton Firefighters*, 56 NY2d at 733). And with respect to night differential pay, the majority—correctly—ignores the stipulation by the parties that all active firefighters receive that compensation, and relies on the CBA's "restriction of this payment to those firefighters who 'actually work[ ] the night tour' " in order to exclude night differential from regular salary or wages (majority op at 148). The majority's convoluted explanation for when such language should be required to prove that a category of compensation is part of the "performance of their regular job duties" (as with night differential) and when it should not (as with check-in pay) only highlights the inconsistency (majority op at 146-147 n 7).

Lastly, the majority makes much of the fact that awarding "holiday and check-in pay [to the retirees] does not pose the risk of unfairness we cautioned against in *Chalachan*" (majority op at 146). But that concern was expressed with respect to "imply[ing] a right to [certain] benefits under section 207-a" when that statute is "expressly limited to 'regular salary or wages' " (*Chalachan*, 55 NY2d at 990). It was not used, as the majority does here, to justify classifying a "special pay" as such.

In the past, we have ensured that our interpretation of the language of General Municipal Law § 207-a comports with the legislature's intent to reduce, to the extent possible, the financial burden for disability payments placed on municipalities and thereby " 'increase the level of fire protection' " (*Farber*, 97 NY2d at 479). Mindful of the legislature's intent as well as of the needs of disabled firefighters, we could take comfort in the fact that, in the event a municipality such as Yonkers decided that disabled firefighters should receive these categories of special pay, they may, as the Second Department acknowledged, "agree in a collective bargaining agreement to include such additional amounts in the regular salary or wages payable to disabled firefighters pursuant to" General Municipal Law § 207-a (187 AD3d at 899). That approach ends today. Tapping other funding sources for active fire protection may be difficult. Yonkers has faced serious budget deficits, including a public school district budget gap of at least $7.4 million in its proposed budget for fiscal year 2022-2023 (Office of State Comptroller, Review of Yonkers Proposed City Budget for 2022-2023 Fiscal Year, Report No. B22-6-5, May 16, 2022, available at https://www.osc.state.ny.us/files/local-government/audits/2022/pdf/yonkers-budget-review-B22-6-5.pdf [last accessed Nov. 29, 2022]). Today's change in the law will have very real consequences for Yonkers residents and for municipalities statewide facing similar fiscal challenges.

Judges RIVERA, SINGAS and TROUTMAN concur; Judge GARCIA dissents and votes to affirm in an opinion, in which Acting Chief Judge CANNATARO concurs.

Order insofar as appealed from modified, without costs, in accordance with the opinion herein and, as so modified, affirmed.

[204 NE3d 1062, 184 NYS3d 280]

In the Matter of State of New York, Appellant, v New York State Public Employment Relations Board et al., Respondents.

Argued and submitted January 4, 2023; decided February 14, 2023

SUMMARY

Appeal, by permission of the Court of Appeals, from a judgment of the Appellate Division of the Supreme Court in the Third Judicial Department, entered May 14, 2020, in a proceeding pursuant to CPLR article 78 (transferred to the Appellate Division by order of the Supreme Court, entered in Albany County). The Appellate Division (1) confirmed two determinations of respondent New York State Public Employment Relations Board (PERB) finding that petitioner committed an improper employer practice; (2) dismissed the petition to annul the determinations; and (3) adjudged that respondent PERB was entitled to a judgment of enforcement of its remedial order.

Matter of State of New York v New York State Pub. Empl. Relations Bd., 183 AD3d 1061, reversed.

HEADNOTE

Civil Service — Public Employees' Fair Employment Act — Terms and Conditions of Employment — Economic Benefit — Past Practice of Waiving Examination Fees for Represented State Employees

The imposition by the Department of Civil Service (DCS) of application fees for promotional and transitional civil service exams was not a term and condition of employment as defined in Civil Service Law § 201 (4) and, thus, petitioner had no obligation to negotiate those fees under the Taylor Law (*see* Civil Service Law § 200 *et seq.*). Respondent Public Employment Relations Board's conclusion to the contrary was error. To be a term and condition of employment, an economic benefit must have some nexus to the employment. Civil Service Law § 50 (5), which vests the State with power to impose fees to recoup the administrative costs of conducting civil service exams, does not provide the State with authority to alter the employer-employee relationship through the imposition of the fees. Rather, the exam fees are akin to fees imposed by an agency with plenary authority to set fees for licenses that an employer may demand as a job requirement, such as a driver's or professional license. As with those fees, DCS's statutory authority to impose civil service exam application fees is unrelated to the employment itself as the application fees have no connection to job qualifications, criteria for employment, or job-related duties and obligations.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d Civil Service §§ 36, 43; Am Jur 2d Labor and Labor Relations §§ 2221, 2222.

McKinney's, Civil Service Law §§ 50 (5); 201 (4); 203.

NY Jur 2d Civil Servants and Public Officers and Employees §§ 371, 441, 449, 452.

ANNOTATION REFERENCE

See ALR Index under Civil Service; Collective Bargaining; Examinations.

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Query: "civil service" /2 exam! /s fee & waiv!

POINTS OF COUNSEL

Michael N. Volforte, Governor's Office of Employee Relations, Albany (*Clay J. Lodovice* of counsel), for appellant. I. Application fees for merit and fitness examinations are not terms and conditions of employment. (*Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.*, 75 NY2d 660; *Matter of Incorporated Vil. of Lynbrook v New York State Pub. Empl. Relations Bd.*, 48 NY2d 398; *Matter of Webster Cent. School Dist. v Public Empl. Relations Bd. of State of N.Y.*, 75 NY2d 619; *Syracuse Teachers Assn. v Board of Educ., Syracuse City School Dist.*, 35 NY2d 743; *Matter of Cohoes City School Dist. v Cohoes Teachers Assn.*, 40 NY2d 774; *Matter of Rosen v Public Empl. Relations Bd.*, 72 NY2d 42; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *McGowan v Burstein*, 71 NY2d 729; *Matter of Barclay v Bahou*, 55 NY2d 338; *Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73.) II. Respondent New York State Public Employment Relations Board lacks jurisdiction to hear the current dispute as the New York State Department of Civil Service was not acting as employer. (*Matter of Crossfield v Schuyler County*, 151 AD3d 1448.) III. Unions may demand to bargain the impact of application fees set by the New York State Department of Civil Service and approved by the New York State Director of the Budget.

Michael T. Fois, Public Employment Relations Board, Albany, for New York State Public Employment Relations Board and another, respondents. I. The appropriate standard of review is the arbitrary and capricious standard. (*Matter of DeOliveira v New York State Pub. Empl. Relations Bd.*, 133 AD3d 1010; *Matter of Incorporated Vil. of Lynbrook v New York State Pub. Empl. Relations Bd.*, 48 NY2d 398; *Matter of West Irondequoit Teachers Assn. v Helsby*, 35 NY2d 46; *Matter of Chenango Forks Cent. Sch. Dist. v New York State Pub. Empl. Relations Bd.*, 21 NY3d 255; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Matter of Civil Serv. Empls. Assn., Local 1000, AFSCME, AFL-CIO, Ichabod Crane Cent. School Dist. CSEA Unit v New York State Pub. Empl. Relations Bd.*, 300 AD2d 929; *Matter of Levitt v Board of Collective Bargaining of City of N.Y., Off. of Collective Bargaining*, 79 NY2d 120; *Matter of Correction Officers' Benevolent Assn. v New York City Bd. of Collective Bargaining*, 182 AD3d 522; *Matter of United Fedn. of Teachers v City of New York*, 154 AD3d 548.) II. Petitioner's questions presented are misleading. III. The 10 year past practice made new exam fees a mandatory subject of bargaining for state employees that are members of respondent unions. (*Matter of Incorporated Vil. of Hempstead v Public Empl. Relations Bd.*, 137 AD2d 378, 72 NY2d 808; *Matter of Board of Coop. Educ. Servs. Sole Supervisory Dist., Onondaga & Madison Counties v New York State Pub. Empl. Relations Bd.*, 82 AD2d 691; *Matter of County of Nassau v Public Empl. Relations Bd. of State of N.Y.*, 87 AD2d 1006, 57 NY2d 601; *Matter of County of Onondaga v New York State Pub. Empl. Relations Bd.*, 77 AD2d 783; *Matter of Cohoes City School Dist. v Cohoes Teachers Assn.*, 40 NY2d 774; *Matter of City of Schenectady v New York State Pub. Empl. Relations Bd.*, 30 NY3d 109; *Matter of Patrolmen's Benevolent Assn. of City of N.Y., Inc. v New York State Pub. Empl. Relations Bd.*, 6 NY3d 563; *Matter of Auburn Police Local 195, Council 82, Am. Fedn. of State, County & Mun. Empls., AFL-CIO v Helsby*, 62 AD2d 12, 46 NY2d 1034; *Matter of Schenectady Police Benevolent Assn. v New York State Pub. Empl. Relations Bd.*, 85 NY2d 480; *Matter of Barclay v Bahou*, 55 NY2d 338.) IV. Respondent New York State Public Employment Relations Board did not act outside of its jurisdiction. (*Matter of Hudson Val. Dist. Council of Carpenters [State of N.Y., Dept. of Correctional Servs.]*, 152 AD2d 105; *Matter of Civil Serv. Empls. Assn. v Helsby*, 32 AD2d 131, 25 NY2d 842; *Matter of Crossfield v Schuyler County*, 151 AD3d 1448, 30

NY3d 905.) V. The Court of Appeals should affirm the granting of respondent New York State Public Employment Relations Board's counterclaim for enforcement of its remedial order. (*Matter of New York State Pub. Empl. Relations Bd. v Board of Educ. of City of Buffalo*, 39 NY2d 86; *Matter of City of Albany v Helsby*, 29 NY2d 433; *Matter of Monroe County v New York State Pub. Empl. Relations Bd.*, 85 AD3d 1439; *Matter of City of New York v New York State Pub. Empl. Relations Bd.*, 103 AD3d 145, 21 NY3d 855.)

Daren J. Rylewicz, Civil Services Employees Association, Inc., Albany (*Steven M. Klein* of counsel), for Civil Service Employees Association, Local 1000, AFSCME, AFL-CIO, respondent. I. The Appellate Division did not err in sustaining respondent New York State Public Employment Relations Board's finding that promotional examination fees are terms and conditions of employment and, therefore, are mandatorily negotiable. (*Matter of Manhasset Union Free School Dist. v New York State Pub. Empl. Relations Bd.*, 61 AD3d 1231; *Matter of West Irondequoit Teachers Assn. v Helsby*, 35 NY2d 46; *Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.*, 75 NY2d 660; *Matter of Newark Val. Cent. School Dist. v Public Empl. Relations Bd.*, 83 NY2d 315; *Matter of Webster Cent. School Dist. v Public Empl. Relations Bd. of State of N.Y.*, 75 NY2d 619; *Board of Educ. of Union Free School Dist. No. 3 of Town of Huntington v Associated Teachers of Huntington*, 30 NY2d 122; *Matter of Town of Islip v New York State Pub. Empl. Relations Bd.*, 23 NY3d 482.) II. Petitioner's argument that respondent New York State Public Employment Relations Board lacked jurisdiction over the New York State Department of Civil Service is without merit. (*Matter of Civil Serv. Empls. Assn., Local 1000, AFSCME, AFL-CIO v New York State Pub. Empl. Relations Bd.*, 2 AD3d 1197; *Matter of City of Albany v Helsby*, 29 NY2d 433.) III. Petitioner's final argument provides no basis for overturning either New York State Public Employment Relations Board decision.

Robin Roach, District Council 37, Local 1359, AFSCME, AFL-CIO, New York City (*Erica C. Gray-Nelson* of counsel), for District Council 37, Local 1359, AFSCME, AFL-CIO, respondent. I. The Appellate Division, Third Department did not err when it affirmed respondent New York State Public Employment Relations Board's determination that promotion/transition examination fees for incumbent bargaining unit members were mandatorily negotiable. (*Matter of City of New York v New York State Pub. Empl. Relations Bd.*, 103 AD3d 145; *Matter of Town of Islip v New York State Pub. Empl. Relations Bd.*, 23 NY3d 482; *Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73; *Matter of Patrolmen's Benevolent Assn. of the City of N.Y., Inc. v New York State Pub. Empl. Relations Bd.*, 175 AD3d 1703.) II. Civil Service Law § 50 (5) does not prohibit collective bargaining over the at-issue fees. (*Matter of Incorporated Vil. of Lynbrook v New York State Pub. Empl. Relations Bd.*, 48 NY2d 398; *Matter of Webster Cent. School Dist. v Public Empl. Relations Bd. of State of N.Y.*, 75 NY2d 619; *Syracuse Teachers Assn. v Board of Educ., Syracuse City School Dist.*, 35 NY2d 743; *Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73; *Matter of Cohoes City School Dist. v Cohoes Teachers Assn.*, 40 NY2d 774; *Matter of Patrolmen's Benevolent Assn. of the City of N.Y., Inc. v New York State Pub. Empl. Relations Bd.*, 175 AD3d 1703; *Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.*, 75 NY2d 660.) III. The Appellate Division, Third Department correctly held that jurisdiction was proper and respondent New York State Public Employment Relations Board acted within its authority to compel bargaining over the promotion/transition fees. (*McGowan v Hoffmeister*, 15 AD3d 297.)

Lippes Mathia LLP, Albany (*Kevin P. Hickey* of counsel), for New York State Correctional Officers and Police Benevolent Association, Inc., respondent. I. Petitioner violated the Taylor Law by failing to bargain with its employees regarding promotional examination fees. (*Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73; *Matter of Cohoes City School Dist. v Cohoes Teachers Assn.*, 40 NY2d 774; *Board of Educ. of Union Free School Dist. No. 3 of Town of Huntington v Associated Teachers of Huntington*, 30 NY2d 122; *Matter of Board of Educ. of the Catskill Cent. Sch. Dist. [Catskill Teachers Assn.]*, 130 AD3d 1287, 26 NY3d 912; *Matter of Webster Cent. School Dist. v Public Empl. Relations Bd. of State of N.Y.*, 75 NY2d 619; *Syracuse Teachers Assn. v Board of Educ., Syracuse City School Dist.*, 35 NY2d 743; *Matter of City School Dist. of City of Elmira v New York State Pub. Empl. Relations Bd.*, 74 NY2d 395; *Matter of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd.*, 75 NY2d 660.) II. Respondent New York State Public Employment Relations Board did not lack jurisdiction to hear this dispute. (*Matter of Zuckerman v Board of Educ. of City

School Dist. of City of N.Y., 44 NY2d 336.) III. Based on the rulings by respondent New York State Public Employment Relations Board and the Appellate Division, the issue of whether unions may demand to bargain the impact of application fees set by the New York State Department of Civil Service and the New York State Director of the Budget is irrelevant.

OPINION OF THE COURT

SINGAS, J.

Consistent with Civil Service Law § 50 (5), the Department of Civil Service (DCS) unilaterally implemented application fees for promotional and transitional civil service exams. We hold that the imposition of such fees was not a term and condition of employment as defined in Civil Service Law § 201 (4) and, thus, the State had no obligation to negotiate those fees under the Taylor Law (*see* Civil Service Law § 200 *et seq*.).

The State offers promotional and transitional civil service exams that provide qualified state employees the opportunity to seek other public employment. Civil Service Law § 50 (5) generally governs application fees for civil service exams, including promotional and transitional exams. Section 50 (5) (a) states: "Every applicant for examination for a position . . . shall pay a fee to the civil service department . . . at a time determined by it." "Notwithstanding" section 50 (5) (a), section 50 (5) (b) says that

> "the state civil service department, subject to the approval of the director of the budget, . . . may elect to waive application fees, or to abolish fees for specific classes of positions or types of examinations or candidates, or to establish a uniform schedule of reasonable fees different from those prescribed in [section 50 (5) (a)]."

Section 50 (5) (b) also requires that exam fees be waived for certain candidates, including those who receive public assistance and veterans seeking their "original appointment."

From at least 1999 until 2009, DCS waived the application fees to take promotional and transitional exams for employees represented by respondents.[1] In 2009, however, DCS began assessing fees for the exams to defray the cost of processing the applications. DCS did not collectively bargain regarding the

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1. Respondents are Civil Service Employees Association, Local 1000, AFSCME, AFL-CIO; District Council 37, AFSCME, AFL-CIO, Local 1359;

(n. cont'd)

imposition of the fees with respondents prior to taking such action. Respondents thereafter filed improper practice charges with the New York State Public Employment Relations Board (PERB), alleging that the State violated Civil Service Law § 209-a (1) (d) by unilaterally implementing the fees.

PERB initially (1) reversed an administrative law judge's (ALJ) decision dismissing the consolidated charges and (2) remanded the matter for further proceedings (*see* 46 PERB ¶ 3032 [2013]). PERB concluded that not charging the subject fees was an enforceable past practice.

PERB later affirmed a second ALJ decision and ordered the State to (1) stop requiring employees represented by respondents to pay fees for promotional and transitional exams and (2) reimburse those employees any money that they paid as a result of the State's unilateral imposition of the fees (*see* 51 PERB ¶ 3027 [2018]). PERB concluded that waiving the fees for promotional and transitional exams was a term and condition of employment because it was an "economic benefit" to the employees (*id.*). PERB then rejected the State's arguments that the imposition of the fees is a prohibited or permissive subject of collective bargaining pursuant to Civil Service Law § 50 (5). Instead, PERB determined that the subject was mandatorily negotiable and that, as previously established, the State's past practice of not charging such fees was enforceable.

The State commenced this CPLR article 78 proceeding seeking to annul PERB's determinations. Upon transfer from Supreme Court, the Appellate Division, among other things, (1) confirmed the determinations and (2) dismissed the petition (*see* 183 AD3d 1061, 1064 [3d Dept 2020]). The Court held that "the application fee" was a term and condition of employment because "the employees at issue received an economic benefit by not having to pay" that fee (*id.* at 1062-1063). The Appellate Division agreed with PERB's conclusions that the imposition of the fees was a mandatory bargaining subject and that an enforceable past practice existed (*see id.* at 1063). We granted the State leave to appeal (*see* 37 NY3d 913 [2021]), and now reverse.

The Taylor Law "requires all public employers and employee organizations to negotiate in good faith to determine represented employees' terms and conditions of employment" (*Mat-*

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and New York State Correctional Officers and Police Benevolent Association, Inc.

ter of Town of Islip v New York State Pub. Empl. Relations Bd., 23 NY3d 482, 491 [2014]; *see* Civil Service Law §§ 203, 204 [2]; 209-a [1] [d]). In light of New York's " 'strong and sweeping' public policy in favor of collective bargaining" (*Matter of City of Long Beach v New York State Pub. Empl. Relations Bd.*, 39 NY3d 17, 22 [2022], quoting *Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73, 78 [2000]), "the presumption is that all terms and conditions of employment are subject to mandatory bargaining" (*Matter of City of Watertown*, 95 NY2d at 79).

Still, a public employer's bargaining obligations apply only to " 'terms and conditions of employment,' " a phrase defined by statute as "salaries, wages, hours and other terms and conditions of employment" (Civil Service Law § 201 [4]; *see id.* §§ 203, 204 [2]). PERB has interpreted this statute to mean—and maintains here—that any "economic benefit" afforded to employees is a term and condition of employment (*Matter of Whitestown Police Benevolent Assn. [Town of Whitestown]*, 34 PERB ¶ 4536 [2001]; *see Matter of Local 237, Intl. Bhd. of Teamsters [Town of Islip]*, 44 PERB ¶ 3014 [2011]). Pointing to *Matter of Town of Islip*, PERB argues that we adopted its construction that all economic benefits are terms and conditions of employment. PERB misapprehends our holding. In *Matter of Town of Islip*, we merely acknowledged that PERB had determined that "employee use of an employer-owned vehicle for transportation to and from work is an economic benefit *and* a mandatorily negotiable term and condition of employment" (23 NY3d at 491 [emphasis added]). PERB erroneously reads this language as adopting a per se rule that *any* economic benefit is a term and condition of employment.

We reject that rule and conclude instead that PERB's determination in this case conflicts with Civil Service Law § 201 (4) and our precedent. This Court has explained that "form[s] of compensation," including employees' health benefits, qualify under the statute as a term and condition of employment (*Matter of Aeneas McDonald Police Benevolent Assn. v City of Geneva*, 92 NY2d 326, 331 [1998]). Further, to be a term and condition of employment under section 201 (4), an economic benefit must have some nexus to the employment. For example, in *Matter of Town of Islip*, the employees' use of vehicles to commute to their jobs was a term and condition of employment because the employer provided an economic benefit that was plainly related to the employment. PERB's determination here improperly eliminated the nexus requirement.[2]

Civil Service Law § 50 (5) vests DCS with power to impose fees to recoup the administrative costs of conducting civil service exams, not with authority to alter the employer-employee relationship through the imposition of the fees. The fees for promotional and transitional exams at issue here are akin to fees imposed by an agency with plenary authority to set fees for licenses that an employer may demand as a job requirement, such as a driver's license or professional license. As with those fees, DCS's statutory authority to impose the at-issue application fees is unrelated to the employment itself. The fees have no connection to job qualifications, criteria for employment, or job-related duties and obligations. The imposition of the subject fees is therefore not encompassed within the definition of terms and conditions of employment under Civil Service Law § 201 (4). Nor did the waiver of the fees for State employees render them terms or conditions of employment.

Because the imposition of the fees was not a term and condition of employment, the State had no obligation to negotiate with respect to their implementation. PERB's conclusion to the contrary was error. The remaining issues raised by the parties are either unpreserved or academic in light of our determination. Accordingly, the judgment of the Appellate Division should be reversed, with costs, and the petition to annul PERB's determinations granted.

Judgment reversed, with costs, and petition to annul the determinations of the New York State Public Employment Relations Board granted.

Acting Chief Judge CANNATARO and Judges RIVERA, GARCIA, WILSON and TROUTMAN concur.

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2. Our precedent establishes that "[w]hether a dispute involves a 'term and condition' of employment is generally committed to PERB's discretion" (*Matter of City of Watertown*, 95 NY2d at 81). However, the general rule requiring us to defer to PERB on this issue does not apply here because PERB's determination was affected by an error of law on a matter of statutory interpretation (*see Matter of Town of Islip*, 23 NY3d at 492; *Matter of Newark Val. Cent. School Dist. v Public Empl. Relations Bd.*, 83 NY2d 315, 320 [1994]).

[205 NE3d 393, 184 NYS3d 673]

William D. Maldovan, Public Administrator, as Administrator of the Estate of Laura Cummings, Deceased, Appellant, v County of Erie et al., Respondents.

Argued October 20, 2022; decided November 22, 2022

SUMMARY

Appeal, by permission of the Court of Appeals, from two orders of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered November 13, 2020. The first Appellate Division order (1) reversed, on the law, an order of the Supreme Court, Erie County (Diane Y. Devlin, J.), entered April 12, 2019, which had denied defendants' motion for summary judgment; (2) granted the motion for summary judgment; and (3) dismissed the complaints. The second Appellate Division order affirmed an order of that Supreme Court entered April 11, 2019, which had denied plaintiff's motion for summary judgment.

Maldovan v County of Erie, 188 AD3d 1597, affirmed.

Maldovan v County of Erie, 188 AD3d 1601, affirmed.

HEADNOTE

Municipal Corporations — Tort Liability — Special Relationship — Justifiable Reliance

In an action alleging negligence on the part of county protective services agencies who investigated and closed as unfounded reports concerning the well-being of a developmentally disabled adult and the Sheriff's deputies who returned her to her mother's care after she ran away from home, where she continued to suffer severe abuse by her mother and brother which ultimately led to her death, defendants established as a matter of law that the government employees took no action that could have induced justifiable reliance so as to create a special duty, and plaintiff failed to raise a triable issue of fact in opposition. When a negligence claim is asserted against a municipality acting in a governmental capacity, the plaintiff must prove the existence of a special duty. The justifiable reliance element provides the essential causative link between the special duty assumed by the municipality and the alleged injury. Months before her death, the protective services agencies investigated the reports that the victim was being abused, concluded that those reports were unfounded, closed their investigations, and advised the victim's other brother, who lived out of state, that the investigations were closed and would not be reopened without new information. The brother did not in fact relax his own vigilance inasmuch as he made two follow-up calls to a caseworker asking her to reopen the investigation, and he was not induced to forgo other avenues of relief. Similarly, the Sheriff's deputies took no action that could have induced reliance. Imposing liability where the victim's family members did not justifiably rely on any promises by the agencies and relax their vigilance as a result could impose a crushing burden on those agencies, which may render them less effective in fulfilling their mission to protect vulnerable individuals.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Municipal, County, School, and State Tort Liability §§ 83–87, 390, 398.
DOBBS LAW OF TORTS (2d ed) §§ 345, 346.
NY JUR 2d Government Tort Liability §§ 20, 21, 160, 194.
NEW YORK LAW OF TORTS §§ 17:47, 17:69.

ANNOTATION REFERENCE

See ALR Index under Counties; Municipal Corporations; Police and Law Enforcement Officers.

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Query: municipality /s negligence /s "special duty" & "justifiable reliance" & abused

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POINTS OF COUNSEL

Connors LLP, Buffalo (*John T. Loss, Terrence M. Connors* and *Andrew M. Debbins* of counsel), for appellant. I. Erie County owes a duty to adults unable to protect themselves. (*Sanchez v State of New York*, 99 NY2d 247; *Parvi v City of Kingston*, 41 NY2d 553; *Pelaez v Seide*, 2 NY3d 186; *Garrett v Holiday Inns*, 58 NY2d 253; *Valdez v City of New York*, 18 NY3d 69; *Cuffy v City of New York*, 69 NY2d 255; *Boland v State of New York*, 218 AD2d 235; *McLean v City of New York*, 12 NY3d 194; *Bynum v Camp Bisco, LLC*, 135 AD3d 1060; *Laratro v City of New York*, 8 NY3d 79.) II. The so-called bar on claims for negligent investigation does not insulate the defendants from liability for gross negligence in performing their statutory duties. (*Broughton v State of New York*, 37 NY2d 451; *Munoz v City of New York*, 18 NY2d 6; *Santiago v City of Rochester*, 19 AD3d 1061, 5 NY3d 710; *Boose v City of Rochester*, 71 AD2d 59; *Coyne v State of New York*, 120 AD2d 769; *La Mar v Town of Greece*, 97 AD2d 955; *Jestic v Long Is. Sav. Bank*, 81 AD2d 255; *Hines v City of New York*, 142 AD3d 586; *Medina v City of New York*, 102 AD3d 101; *Coleman v Corporate Loss Prevention Assoc.*, 282 AD2d 703.) III. The defendants are not entitled to government immunity because they exercised no discretion when violating their own policies. (*Haddock v City of New York*, 75 NY2d 478; *Middleton v Town of Salina*, 108 AD3d 1052; *Tango v Tulevech*, 61 NY2d 34; *Santaiti v Town of Ramapo*, 162 AD3d 921.) IV. Both the County and the Sheriff cannot escape respondeat superior liability for the Sheriff's deputies. (*Prystajko v Western N.Y. Pub. Broadcasting Assn.*, 57 AD3d 1401; *Barr v County of Albany*, 50 NY2d 247; *Commisso v Meeker*, 8 NY2d 109; *Wilson v Sponable*, 81 AD2d 1; *Matter of Flaherty v Milliken*, 193 NY 564; *Bardi v Warren County Sheriff's Dept.*, 194 AD2d 21; *Matter of Orlopp v Stirpe*, 177 AD2d 936, 80 NY2d 946; *Thoubboron v New York State Dept. of Civ. Serv.*, 175 AD2d 443, 79 NY2d 982; *Jeffes v Barnes*, 208 F3d 49; *Trisvan v County of Monroe*, 26 AD3d 875.) V. Erie County and the Sheriff breached their duties to Laura Cummings and proximately caused her pain and suffering and death. (*Bell v Board of Educ. of City of N.Y.*, 90 NY2d 944; *Selmani v City of New York*, 116 AD3d 943; *Detone v Bullit Courier Serv.*, 140 AD2d 278; *Kush v City of Buffalo*, 59 NY2d 26.)

Walsh Roberts & Grace, LLP, Buffalo (*Robert P. Goodwin* of counsel), and *Michael A. Siragusa, County Attorney*, Buffalo (*Jeremy C. Toth* of counsel), for respondents. I. The Fourth Department properly found that the County defendants did not owe the decedent a special duty of care. (*Tara N.P. v Western Suffolk Bd. of Coop. Educ. Servs.*, 28 NY3d 709; *Miles v Town/Village of E. Rochester*, 138 AD3d 1465; *McLean v City of New York*, 12 NY3d 194; *Christopher M. v Mineo*, 197 AD3d 1007; *Lauer v City of New York*, 95 NY2d 95; *U.S. Bank N.A. v DLJ Mtge. Capital, Inc.*, 33 NY3d 84; *Bingham v New York City Tr. Auth.*, 99 NY2d 355; *Matter of NYC C.L.A.S.H., Inc. v New York State Off. of Parks, Recreation & Historic Preserv.*, 27 NY3d 174; *Maldovan v County of Erie*, 188 AD3d 1597; *Boland v State of New York*, 218 AD2d 235.) II. New York does not recognize a cause of action for negligent investigation. (*Hart v County of Erie*, 189 AD3d 2123; *Hines v City of New York*, 142 AD3d 586; *Mosey v County of Erie*, 117 AD3d 1381; *Juerss v Millbrook Cent. Sch. Dist.*, 161 AD3d 967; *Walden Bailey Chiropractic, P.C. v Geico Cas. Co.*, 173 AD3d 1806; *Medical Care of W. N.Y. v Allstate Ins. Co.*, 175 AD3d 878.) III. Governmental function immunity applies in the present case. (*Valdez v City of New York*, 18 NY3d 69; *Keselman v City of New York*, 95 AD3d 1278; *Mon v City of New York*, 78 NY2d 309; *Rivera v City of New York*, 82 AD3d 647; *Hines v City of New York*, 142 AD3d 586; *Weitzner v New York City Dept. of Social Servs.*, 212 AD2d 414; *Haddock v City of New York*, 75 NY2d 478; *Tango v Tu-*

levech, 61 NY2d 34.) IV. The County is not vicariously liable for the conduct of the Sheriff deputies. (*Marashian v City of Utica*, 214 AD2d 1034; *Santiamagro v County of Orange*, 226 AD2d 359; *Jones v Seneca County*, 154 AD3d 1349, 30 NY3d 911; *Trisvan v County of Monroe*, 26 AD3d 875, 6 NY3d 891; *Bowman v Campbell*, 193 AD2d 921; *Villar v Howard*, 28 NY3d 74; *Bardi v Warren County Sheriff's Dept.*, 194 AD2d 21; *Mosey v County of Erie*, 117 AD3d 1381.) V. The unforeseeable, intentional criminal acts of Eva Cummings and Luke J. Wright were the intervening and superseding causes of the decedent's death. (*Luina v Katharine Gibbs School N.Y., Inc.*, 37 AD3d 555; *Rodriguez v Pro Cable Servs. Co. Ltd. Partnership*, 266 AD2d 894; *Harris v New York City Hous. Auth.*, 211 AD2d 616; *Lorenzo v City of New York*, 192 AD2d 586; *Boland v State of New York*, 263 AD2d 801; *Boland v State of New York*, 218 AD2d 235; *Valdez v City of New York*, 18 NY3d 69.)

Sylvia O. Hinds-Radix, Corporation Counsel of the City of New York, New York City (*Kate Fletcher, Richard Dearing* and *Elina Druker* of counsel), for City of New York, amicus curiae. The Court should reject plaintiff's effort to circumvent the special duty doctrine. (*Valdez v City of New York*, 18 NY3d 69; *Tara N.P. v Western Suffolk Bd. of Coop. Educ. Servs.*, 28 NY3d 709; *Riss v City of New York*, 22 NY2d 579; *O'Connor v City of New York*, 58 NY2d 184; *Applewhite v Accuhealth, Inc.*, 21 NY3d 420; *McLean v City of New York*, 12 NY3d 194; *Kircher v City of Jamestown*, 74 NY2d 251; *Mark G. v Sabol*, 93 NY2d 710; *Steitz v City of Beacon*, 295 NY 51; *Pelaez v Seide*, 2 NY3d 186.)

OPINION OF THE COURT

TROUTMAN, J.

Plaintiff alleges that failures on the part of various government agencies, including two providing social services, caused grievous harm in this tragic case. Despite the heartbreaking events involved, in which the victim's mother and brother, now serving lengthy prison terms for their actions, sexually assaulted, abused, and murdered her in her home, we decline to expand this Court's special duty doctrine. "A well settled rule of law denies recovery in cases like this" (*McLean v City of New York*, 12 NY3d 194, 204 [2009]). "The rationale for this rule is that the cost to municipalities of allowing recovery would be excessive [and] the threat of liability might deter or paralyze useful activity," endangering the ability of government agencies to provide crucial services to the public (*Laratro v City of New York*, 8 NY3d 79, 82 [2006]).

I.

Laura Cummings was a 23-year-old woman with developmental disabilities who lived with her mother, Eva Cummings. In 2009, Laura's brother, Richard, who lived out of state, contacted a family friend with concerns about Laura's well-being after another family member informed Richard that Laura had sustained suspicious injuries. Mistakenly believing that Laura was under 18 years old, the family friend contacted Child Protective Services (CPS) about these concerns. A CPS caseworker visited the home, and both Eva and Laura, when interviewed alone, provided the same benign explanation for Laura's injuries. CPS thereafter closed the case and informed the family friend that the report was unfounded.

Months later, Richard heard again that Laura was injured, with facial bruising, and contacted the same family friend, who in turn contacted Adult Protective Services (APS). APS caseworkers visited the home, but Eva refused to allow them to speak with Laura alone. In Eva's presence, Laura gave the caseworkers the same explanation for her injuries, and the caseworkers did not observe any facial bruising. After speaking with another family member, APS closed the case and told the family friend that the report was unfounded. Richard subsequently called APS but was told that the report was investigated, that caseworkers did not find anything of concern, and that he should call with any new developments.

In November 2009, Laura ran away from home and was found at an abandoned Girl Scout camp by two Erie County Sheriff's deputies. Believing that Laura and Eva had a verbal altercation, and learning nothing to suggest that Laura should not be brought home, the deputies returned Laura to Eva's care.

In January 2010, Eva and Laura's brother, Luke Wright, tortured and murdered Laura in her home. Eva and Wright were convicted of various crimes and sentenced to lengthy prison terms (*see People v Wright*, 107 AD3d 1398 [4th Dept 2013], *lv denied* 23 NY3d 1026 [2014]). The public administrator of Laura's estate commenced these actions against the County of Erie and the Erie County Sheriff (defendants), alleging, among other things, that the CPS and APS caseworkers, as well as the Sheriff's deputies, were negligent in the performance of their duties, leading to Laura's death.

The parties moved for summary judgment, and Supreme Court denied both motions. The Appellate Division affirmed the order denying plaintiff's motion for summary judgment but reversed the order denying defendants' motion and granted summary judgment to defendants, dismissing the complaints against them (*see Maldovan v County of Erie*, 188 AD3d 1597 [4th Dept 2020]; *Maldovan v County of Erie*, 188 AD3d 1601 [4th Dept 2020]). The Appellate Division concluded, as relevant here, that no special duty existed as a matter of law because "the fourth element [necessary to show a special relationship with the municipality], justifiable reliance, cannot be met in this case" (*Maldovan*, 188 AD3d at 1598-1599).

This Court granted plaintiff leave to appeal (37 NY3d 911 [2021]). We now affirm.

II.

When a negligence claim is asserted against a municipality acting in a governmental capacity, as here, the plaintiff must prove the existence of a special duty (*see Ferreira v City of Binghamton*, 38 NY3d 298, 308-310 [2022]; *Turturro v City of New York*, 28 NY3d 469, 477-478 [2016]). We have recognized that a special duty may arise in three situations: where "(1) the plaintiff belonged to a class for whose benefit a statute was enacted; (2) the government entity voluntarily assumed a duty to the plaintiff beyond what was owed to the public generally; or (3) the municipality took positive control of a known and dangerous safety condition" (*Tara N.P. v Western Suffolk Bd. of Coop. Educ. Servs.*, 28 NY3d 709, 714 [2017] [internal quotation marks omitted]).

Although plaintiff raises an argument before this Court based on the first method (statutory duty), that argument is unpreserved for appellate review. Plaintiff alleged in the complaint that defendants voluntarily assumed a duty to Laura beyond that owed to the public generally. It is true, as the dissent notes, that in the bill of particulars plaintiff alleged a violation of Social Services Law § 473. Plaintiff does not assert, however, that he raised the issue of statutory duty either in support of plaintiff's own motion for summary judgment or in opposition to defendants' motion, and the Appellate Division did not address the issue. We note that if, as the dissent concludes, this Court's decision in *Mark G. v Sabol* (93 NY2d 710, 721-722 [1999]) is distinguishable and the legislature had intended to create a private right of action in Social Services

Law § 473 (3), the legislature is of course free to make that intent clear (*see* dissenting op at 191-195).

Plaintiff also relies on the second method, which we have sometimes referred to as a "special relationship" (*see Tara N.P.*, 28 NY3d at 714; *Valdez v City of New York*, 18 NY3d 69, 80 [2011]). We conclude, however, that defendants met their prima facie burden to demonstrate that they did not voluntarily assume a duty to Laura, and plaintiff failed to raise a triable issue of material fact in opposition.

As we have often stated, to establish that the government voluntarily assumed a duty to the plaintiff beyond what it generally owes to the public, the plaintiff must establish:

> " '(1) an assumption by the municipality, through promises or actions, of an affirmative duty to act on behalf of the party who was injured; (2) knowledge on the part of the municipality's agents that inaction could lead to harm; (3) some form of direct contact between the municipality's agents and the injured party; and (4) that party's justifiable reliance on the municipality's affirmative undertaking' " (*Tara N.P.*, 28 NY3d at 714-715, quoting *Cuffy v City of New York*, 69 NY2d 255, 260 [1987] [emphasis omitted]).

"[A]ll four elements must be present for a special duty to attach" (*Tara N.P.*, 28 NY3d at 715).

We agree with the Appellate Division that under the circumstances presented here, defendants established as a matter of law that the government employees took no action that could have induced justifiable reliance, and plaintiff failed to raise a triable issue of fact in opposition. As we explained in *Cuffy*, the justifiable reliance element

> "provides the essential causative link between the 'special duty' assumed by the municipality and the alleged injury. Indeed, at the heart of most of these 'special duty' cases is the unfairness that the courts have perceived in precluding recovery when a municipality's voluntary undertaking has lulled the injured party into a false sense of security and has thereby induced [the injured party] either to relax [their] own vigilance or to forego other available avenues of protection" (*Cuffy*, 69 NY2d at 261).

Months before her death, both CPS and APS investigated the reports that Laura was being abused, concluded that those reports were unfounded, closed their investigations, and advised Richard that the investigations were closed and would not be reopened without new information. As the Appellate Division noted, Richard "did not in fact relax his own vigilance inasmuch as he made two follow-up calls to the APS caseworker asking her to reopen the investigation, and he was not induced to forego other avenues of relief" (*Maldovan*, 188 AD3d at 1599). Similarly, the Sheriff's deputies took no action that could have induced reliance.

Plaintiff asserts that the *Cuffy* factors for establishing a special duty assume that the injured person is a competent adult who is reasonably capable of pursuing other avenues of protection if government has failed to do its job. Plaintiff argues that it is unfair to apply the *Cuffy* test when the injured party is a child or an adult of diminished capacity and urges us to adopt the Appellate Division decision in *Boland v State of New York* (218 AD2d 235 [3d Dept 1996]) to address that deficiency. In *Boland*, the Appellate Division relied on the existence of Social Services Law article 6, title 6, which established CPS, to satisfy the elements of a voluntarily assumed duty. Specifically, the Court held that the existence of that statutory scheme demonstrated that the State "affirmatively and voluntarily assumed a duty to act" on behalf of abused children, that the legislature had acknowledged that inaction could lead to harm, and that "the extensive and detailed statutory scheme at issue, which has as its avowed purpose the protection of a discrete class of individuals, i.e., abused and maltreated children . . . obviate[d] the need for claimant to independently establish the requisite contact and reliance" (*id.* at 240-241). Plaintiff asks us to adopt that reasoning here and hold that because Laura was part of the class of adults the legislature sought to protect when it established APS, plaintiff should not be required to establish justifiable reliance in this case. Our dissenting colleague similarly proposes that the special duty rule may be satisfied whenever CPS or APS receives a report of abuse, opens an investigation, and has contact with the injured party (*see* dissenting op at 195-196).

We decline plaintiff's invitation. In an effort to acknowledge the difficulty vulnerable victims may face in demonstrating these factors, we have previously relaxed the requirements of the special duty rule to allow a competent family member of the injured party to satisfy the elements of direct contact and justifiable reliance (*see Applewhite v Accuhealth, Inc.*, 21 NY3d 420, 431 [2013]; *Sorichetti v City of New York*, 65 NY2d 461, 469 [1985]). Such an approach, which requires the courts to construe the special relationship analysis in the plaintiff's favor, provides a pathway for vulnerable victims to satisfy the special duty requirements where they may otherwise be unable to do so. Here, the Appellate Division appropriately assessed whether Richard justifiably relied on promises or actions by government employees that would have induced him to relax his vigilance regarding Laura's safety and concluded that he did not (*see Maldovan*, 188 AD3d at 1599). We do not address whether or how the special duty rule should apply in a different case where the injured party was a child or adult with developmental disabilities incapable of pursuing other avenues of protection and did not have a competent adult family member advocating on their behalf.

III.

Contrary to the dissent's suggestion, we do not blithely decline to amend the common-law rule in this case without reason. It is undeniable that plaintiff alleges that the failure of government to do its job has caused immense harm under heartbreaking circumstances; this is unfortunately not unusual in special duty cases (*see Tara N.P.*, 28 NY3d at 716; *McLean*, 12 NY3d at 197). As we recognized in *McLean*, however, the special duty rule is based on the rationale that exposing municipalities to tort liability may "render them less, not more, effective in protecting their citizens" (*McLean*, 12 NY3d at 204).

McLean is another tragic case, involving the government's failure to remove a daycare program from the list of registered providers after substantiated complaints regarding child safety, which resulted in the plaintiff's placement of her child in that program and the child's subsequent serious injury (*see id.* at 197-199). The plaintiff argued, in part, that "the helplessness of young children, and the State's powerful interest in protecting them from neglect or abuse, should lead [the Court] to announce the existence of a special relationship between those who register child care providers and parents and children who need child care" (*id.* at 204). The Court rejected that assertion:

> “This is, in substance, an invitation to relax the special relationship rule to accommodate an especially appealing class of cases. We decline the invitation. A well settled rule of law denies recovery in cases like this, and that rule, by its nature, bars recovery even where a government blunder results in injury to people deserving of the government’s protection” (*id.*).

We must again, as in *McLean*, decline the “invitation to relax the special relationship rule to accommodate an especially appealing class of cases,” out of concern for the possibility that “exposing municipalities to tort liability would be likely to render them less, not more, effective in protecting their citizens” (*id.*).[1] Imposing liability here where Laura’s family members did not justifiably rely on any promises by CPS or APS and relax their vigilance as a result could impose a “crushing burden” on those agencies, which may render them less effective in fulfilling their mission to protect vulnerable individuals (*id.*). To the extent that CPS and APS caseworkers acted negligently in failing to protect Laura from the abuse and death she suffered at the hands of her mother and brother, lawsuits “are not the only way of dealing with government failure” (*id.*). The special duty rule “is intended, in part, to ensure that municipalities do not become insurers for the injurious conduct of third parties” (*Ferreira*, 38 NY3d at 316, citing *Valdez*, 18

1. We are not persuaded by our dissenting colleague’s citation to a dissenting opinion that this frequently cited rationale for the special duty rule is a “myth” (dissenting op at 188-189). Although no one suggests that “allowing Laura’s claim to proceed would bankrupt Erie County” (*id.* at 188), we must consider the impact of our decision beyond this case and these parties. The potential for significant economic repercussions, and the resulting potential decrease in beneficial services, have troubled our predecessors on this Court for decades and contributed to the shaping of the special duty doctrine. If, as the dissent proposes, the special duty rule may be satisfied whenever CPS or APS receives a report of abuse, opens an investigation, and has contact with the injured party (*see* dissenting op at 195-196), it is possible that the resulting, potentially “crushing” burden of liability might impel government to “withdraw or reduce” these protective services (*McLean*, 12 NY3d at 204). Furthermore, such a rule may cause CPS and APS to protectively remove children or vulnerable adults from their homes when it is not warranted, in order to avoid the possibility of subsequent liability, which may disproportionately impact families of color (*see* NY St Bar Assn, Comm on Families and the Law, *Racial Justice and Child Welfare*, Apr. 2022, available at https://nysba.org/app/uploads/2022/03/Committee-on-Families-and-the-Law-April-2022-approved.pdf). Allowing such decisions regarding allocation of resources and services to be made by the government, and not this Court, is one of the primary reasons for the special duty rule (*see Ferreira*, 38 NY3d at 316).

NY3d at 75).[2] Where, as here, the elements of a voluntarily assumed duty, including justifiable reliance, were capable of being satisfied through Laura's family members, but simply were not met, the sound principles supporting the special duty rule require us to decline to amend that rule here.

In light of our holding, we do not address plaintiff's remaining contentions, including whether the Appellate Division correctly concluded that a cause of action for negligent investigation is not recognized in New York.

Accordingly, the orders of the Appellate Division should be affirmed, with costs.

WILSON, J. (dissenting in part). Laura Cummings is dead. She was an intellectually disabled 23 year old with the mental age of an eight year old. Over at least the last six months of her short life, she was continuously tortured, raped, and sodomized and ultimately murdered. All of this happened in her own home. All of this happened at the hands of her own mother and brother. All of this happened despite numerous complaints to, and visits by, caseworkers from Erie County's offices of Child Protective Services and Adult Protective Services.

I agree with the majority's characterization of the circumstances as "tragic" and "heartbreaking"; one should not mistakenly believe that what happened to Laura is rare. In truth, the physical and psychological abuse of intellectually disabled children and adults, especially women, is commonplace.[1] When the State decided to deinstitutionalize many such persons, it entrusted their safety to Adult Protective Ser-

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2. We disagree with the dissent that *Ferreira* constituted a modification of the special duty rule (*see* dissenting op at 187-188). Rather, in *Ferreira*, we concluded that the police planning and execution of a no-knock warrant fits comfortably within the well-established third category of special duty, i.e., where the municipality takes "positive control of a known and dangerous safety condition" (*see Ferreira*, 38 NY3d at 317-318). That category of special duty is not at issue in this case.

1. Danny Hakim, *At State-Run Homes, Abuse and Impunity*, NY Times, Mar. 12, 2011, https://www.nytimes.com/2011/03/13/nyregion/13homes.html (detailing rampant abuse of disabled people in State-run homes); Erika Harrell, Ph.D., U.S. Department of Justice, Office of Justice Programs, Bureau of Justice Statistics, *Crime Against Persons With Disabilities, 2009-2015-Statistical Tables* at 1 (NCJ 250632 July 2017), https://bjs.ojp.gov/content/pub/pdf/capd0915st.pdf ("In every year from 2009 to 2015, the rate of violent victimization against persons with disabilities was at least twice the age-adjusted rate for persons without disabilities"); Joseph Shapiro,

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vices (APS) and Child Protective Services (CPS) districts throughout the state. The majority's holding immunizes the very agencies bound by law to protect vulnerable adults, when the legislature has clearly stated those agencies do not enjoy immunity from grotesque agency failures such as those turning a blind eye to Laura's horror.

While acknowledging Laura's tragic and heartbreaking doom, the majority forthrightly explains why it thinks Laura's claims against Erie County fail: the majority will not "expand this Court's special duty doctrine" because "a well settled rule of law denies recovery in cases like this . . . The rationale for this rule is that the cost to municipalities . . . would be excessive [and] the threat of liability might deter or paralyze useful activity" (majority op at 169-170).

Keep in mind the following points about the majority's explanation: (1) the majority recognizes that the "special duty" rule is a common-law rule created and periodically modified by the courts; (2) the "special duty" rule *allows* some persons injured by governmental actors to sue the government for its own negligence and recover money damages from the government, despite the cost of damage awards and threat of governmental paralysis; (3) the majority's decision rests solely on its determination that Laura did not reasonably rely on the government—not any other requirement of the "special duty" test; and (4) there is no well settled rule in "cases like this"—cases in which the legislature has told us that governmental employees lack immunity for their acts of gross negligence in caring for a specified class of vulnerable persons.

I.

Laura lived with her mother, Eva Cummings, and her brothers, among them, Luke Wright. Eva and Luke were convicted of numerous crimes against Laura and are now in prison. Because Laura is dead and has no responsible relatives, the Erie County public administrator, William Maldovan, brought this suit on behalf of her estate. Unquestionably, the precedent and principle matter more than the profit.

Child Protective Services records show that the Cummings household had been subject to numerous reports of abuse over the years, and CPS had found several allegations of Eva abus-

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The Sexual Assault Epidemic No One Talks About, NPR, Jan. 8, 2018, https://www.npr.org/2018/01/08/570224090/the-sexual-assault-epidemic-no-one-talks-about ("People with intellectual disabilities are sexually assaulted at a rate seven times higher than those without disabilities").

ing Laura as "indicated," meaning that CPS found credible evidence to substantiate abuse. In the several months leading up to her death, Laura was often tied to a chair, with a bag over her head, and subjected to repeated physical and sexual abuse by her mother and her brother Luke, which included being violated with a broomstick.

Seven months before Laura's death, in June of 2009, Town Justice John Stevens, who was a neighbor of the Cummings family, contacted the Statewide Central Register of Child Abuse and Maltreatment to report that Richard Cummings, another one of Laura's brothers stationed out of state on military duty, was concerned about Laura's well-being. The CPS call records state that Justice Stevens reported that Richard informed him that Eva had cut Laura's arm with a knife. Justice Stevens also advised the Statewide Register that Laura was "mentally challenged." Because he mistakenly thought Laura was 16, he reported the suspicion of abuse to CPS instead of APS.[2]

CPS caseworker "LA"[3] visited the Cummings home in response to Justice Stevens' report of Laura's possible abuse. CPS never made a referral to APS because LA, though learning the Laura was an adult and therefore not within CPS's jurisdiction, concluded from her visit that the allegation of abuse was unfounded. During that visit, LA spoke separately with both Laura and Eva. Laura denied any abuse by anyone, including her mother, as did Eva. Both claimed that the cuts on Laura's arms were a result of Laura falling on the porch while carrying a glass. LA testified that she was not sure when, and to what extent, she (or her supervisor at CPS) reviewed the extensive history of prior abuse reports but, in any case—LA ultimately decided Laura's story seemed credible and nothing she observed signaled abuse. CPS sent a letter to

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2. The record is unclear as to precisely when CPS determined Laura was an adult, and therefore within APS's jurisdiction instead of CPS's. The initial report generated from Justice Stevens' call stated that the records of a previous abuse case concerning Laura showed her age as 23. The CPS caseworker assigned to Laura's case testified that she visited Laura's home in response to Justice Stevens' call even though she was unsure whether Laura was a child or adult, deciding that, because her records showed that Laura's 16-year-old sister, Crystal, lived in the house, Laura might be a child.

3. I have obscured the names of the caseworkers here because the standard of review requires us to take the facts in the light most favorable to the party opposing summary judgment. Because no factfinder was asked to determine any facts, it would be unfair to the caseworkers involved should readers conclude the facts have been found to be as stated herein.

Justice Stevens informing him the claims were unfounded and that it was closing the case.

Four months before Laura's death, in September 2009, Justice Stevens called again, this time calling APS. He reported that Laura had facial bruising and would not respond to questions about where the bruising came from. There was also a recent change in her demeanor—she had become withdrawn and introverted. Justice Stevens again reported that Laura, Eva, as well as the brothers Luke and Edward, were developmentally delayed. The case was assigned to APS caseworker "HK."

HK performed a home visit, accompanied by "MS," a new caseworker there to "shadow" HK for training purposes. HK described Eva's demeanor when answering the door as "brusque and standoffish." She refused to let them into the house and refused to let them speak with Laura alone. Eva said she had to be present during Laura's interview to make sure Laura did not "tell lies again"—Laura's alleged "lies" were also the reason Eva gave for taking Laura out of school. HK made no further effort to speak to Laura alone or to enter the home, despite internal APS policies stating that caseworkers should always endeavor to interview clients alone and in their home environment.

HK did not recall observing any facial bruising except a friction burn mark on Laura's nose and chin. When asked, in the presence of her mother, Laura said she fell coming up the porch steps. As they were leaving, MS noticed Laura's feet were red and swollen. HK did not recall whether she noticed Laura's feet and did not remember at what point that day she and MS discussed them. They did not go back to inquire about Laura's feet, but HK called later to ask Eva about Laura's feet.

When HK called, a woman named Joyce Landle answered the phone. She identified herself as Laura's guardian and Eva's cousin. During the visit, Eva had first said she herself was Laura's legal guardian, then corrected herself to say that Joyce, her sister, was the legal guardian. Ms. Landle was aware of the referral and HK's visit. HK asked about the swollen feet—Joyce answered that the feet had been like that for a "long time." Ms. Landle told HK that the only doctor in town would not treat any of the family because of unpaid bills, but later in the conversation agreed to take Laura to the doctor to have her feet looked at. HK never followed up with Ms. Landle to ensure

Laura had been taken to the doctor and admitted during her deposition that Ms. Landle's story about unpaid bills made no sense because Medicaid covered Laura's medical expenses. Instead, on the same day of the phone conversation with Ms. Landle, HK closed the case as unfounded and in December 2009 sent a letter addressed to Laura informing her of the same determination.[4]

Richard Cummings called HK twice, after she closed the case. He insisted that Laura was being abused (saying she had a black eye) and that she should be removed from the home. HK responded that Laura did not have a black eye when she visited, and had only the friction burn mark on her nose and chin. She instructed Richard to call back if he had new information. She did not generate a new intake report for either of Richard's calls.

In November of 2009, sheriff deputies Connolly and Barbaritz responded to a call about a suspicious person. According to the report, a mentally disabled woman was living in an old Girl Scout camp after an altercation with her mother. The woman was Laura. When the deputies arrived, Laura was huddled in the corner with a blanket, quiet and introverted, unable or unwilling to speak with them. Deputy Barbaritz could tell, however, that Laura was intellectually disabled. The deputies did not know of or ask about the altercation Laura had with her mother and did not find out whether anyone had hurt her. The deputies returned Laura to her mother without making any inquiry or evaluating whether she was a domestic abuse victim. Laura was murdered two months later.

Mr. Maldovan, on behalf of Laura, identified numerous APS policies violated by its caseworkers (and some by CPS, to the extent it failed to refer Laura's case to APS and issued an "unsubstantiated" determination when it had no jurisdiction to do so). APS's subsequent disciplinary action against HK provides further evidence of APS's gross negligence.[5] No extended discussion of the evidence demonstrating APS's and

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4. Running the text of the letter through a Flesh Kincaid reading level calculator shows its complexity at the 11th grade level. The opening paragraph of my dissent produces a grade level of 8.6. Laura had the mental age of a second or third grader.

5. The County's disciplinary letter to HK listed numerous steps that "any reasonable caseworker" should have taken, but which HK failed to do, including: returning for a second visit to interview Laura in private or request the assistance of law enforcement to speak with Laura alone, because access

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CPS's negligence is required here, because the majority's sole basis for rejecting Laura's claim is that "government employees took no action that could have induced justifiable reliance" (majority op at 172).

II.

A.

The prospect that New York State (and its political subdivisions) should pay for injuries it causes has been established for centuries. The Erie Canal Act of 1817 authorized canal commissioners to pay for takings of land required for the construction of the canal (L 1817, ch 262). In 1825, appraisers associated with the commissioners were further empowered to assess and pay claims for all types of damages caused by or connected with the work on the Erie or Champlain canals (L 1825, ch 275), which was broadened in 1870 to include damages sustained by the use or management of the canals arising from the negligence of any state official (L 1870, ch 321).

Meanwhile, the "great mass of claims against the state were submitted to and passed on directly by the legislature, which provided for their payment" (*People ex rel. Swift v Luce*, 204 NY 478, 483-484 [1912]). However, the appropriations process for paying claims against the State

> "became so unsatisfactory that the Constitution was amended in 1874 so as to prohibit the Legislature from auditing or allowing any private claim or account against the State. (Article 3, § 19.)
>
> "This prohibition made it necessary for the Legislature to provide some other means for auditing private claims and for that purpose it created the Board of Audit, consisting of the Comptroller, Secretary of State and State Treasurer, who were authorized to hear all private claims and accounts against the State, except such as were then heard

had been blocked by the very person suspected as the perpetrator; assessing whether she should obtain a court order to access the home as "environmental assessment is a critical element of the assessment process"; investigating whether Laura's needs could be best met *in her home*; verifying information provided to her by collateral sources, in this case, Ms. Landle; following up on whether Laura was receiving treatment for her red and swollen feet; and treating the two calls by Richard Cummings, after APS closed the case, as new referrals and initiating an intake process for each.

> by the canal appraisers." (Fifteenth Annual Report of the Court of Claims of the State of New York at 7-8 [Apr. 12, 1916]).

The Board of Audit was replaced by a Court of Claims in 1897 "with somewhat enlarged jurisdiction," which was in turn replaced, briefly, by a Board of Claims, which was again replaced by the Court of Claims in 1915 (*id.* at 8). Throughout this time, the State maintained sovereign immunity, so only those claims (or types of claims) specifically allowed by statute could provide for recovery against the State. Thus, for example, in *Smith v State of New York* (227 NY 405, 410 [1920]), we held that a plaintiff injured because of the negligence of State employees in placing a wire across a path on a State-owned walkway was barred from recovering because the State had not made "an express waiver of the state's immunity from liability for the tortious acts of its officers and agents."

The sea change came in 1929, when New York enacted a blanket waiver of its sovereign immunity for tort actions:

> "The state hereby waives its immunity from liability for the torts of its officers and employees and consents to have its liability for such torts determined in accordance with the same rules of law as apply to an action in the supreme court against an individual or a corporation, and the state hereby assumes liability for such acts" (L 1929, ch 467, § 1).

Ten years later, the legislature broadened the waiver to reach all causes of action, not just those sounding in tort (L 1939, ch 860). As we have explained:

> "[T]he *Smith* Court's interpretation of the waiver provision of section 264 was at odds with the public policy which seeks to reduce rather than increase the obstacles to recovery of damages, whether defendant is a private person or a public body (*see*, *Abbott v Page Airways*, 23 NY2d 502, 507; *see also*, *Bing v Thunig*, 2 NY2d 656, 666 ['(l)iability is the rule, immunity the exception'], quoted with approval in *Abbott, supra,* at 507, n 2). Thus, the Legislature subsequently enacted a new statute to overcome the ruling in *Smith*. That revision, the substance of which was incorporated into the statute now before us, 'extended, supplemented and enlarged' the waiver to remove the defense of

> sovereign immunity for tort actions' (*Jackson v State of New York*, 261 NY 134, 138, *rearg denied* 261 NY 637 . . .)" (*Brown v State of New York*, 89 NY2d 172, 180 [1996]).

Following the legislature's comprehensive waiver of sovereign immunity in 1939, we understood that the State (and other governmental subdivisions) must be held liable just as private parties would be. So, for example, we held that a child injured in a State-created school for delinquent children could recover damages from the State on a theory of negligent supervision, distinguishing our prior contrary precedent on the basis of the State's waiver of sovereign immunity (*Bloom v Jewish Bd. of Guardians*, 286 NY 349 [1941]). In *Robison v State of New York* (292 NY 631 [1944]), we affirmed a negligence award against a State hospital brought by an attendant who slipped on cooked cereal on the dining room floor. In *Bernardine v City of New York* (294 NY 361 [1945]), we affirmed a damages judgment for the City's negligence where the plaintiff was injured by a runaway police horse. The trial court granted judgment for the City "on the single ground that recovery was barred by the City's common-law immunity from liability for wrongful performance of governmental duties"; the Appellate Division reversed, holding that the General Municipal Law rendered the city liable for negligence "in the operation of a municipally owned vehicle or other facility of transportation," which included a police horse (*id.* at 364). We affirmed, noting that the statute was susceptible of the Appellate Division's interpretation, but added:

> "Even so, there was no compelling reason why this plaintiff should have taken his stand upon the above provision of the General Municipal Law. Section 8 of the Court of Claims Act says: 'The state hereby waives its immunity from liability and action and hereby assumes liability and consents to have the same determined in accordance with the same rules of law as applied to actions in the supreme court against individuals or corporations'. . . . None of the civil divisions of the State—its counties, cities, towns and villages—has any independent sovereignty (see N. Y. Const., art. IX, § 9; *City of Chicago* v. *Sturges,* 222 U. S. 313, 323; *Keifer & Keifer* v. *R. F. C.,* 306 U. S. 381. Cf. *Gaglio* v. *City of New York*, 143 F. 2d 904). The legal irre-

> sponsibility heretofore enjoyed by these governmental units was nothing more than an extension of the exemption from liability which the State possessed. (*Murtha* v. *N. Y. H. M. Col. & Flower Hospital*, 228 N. Y. 183, 185.) On the waiver by the State of its own sovereign dispensation, that extension naturally was at an end and thus we were brought all the way round to a point where the civil divisions of the State are answerable equally with individuals and private corporations for wrongs of officers and employees,—even if no separate statute sanctions that enlarged liability in a given instance" (*id*. at 365).

The effect of the waiver of sovereign immunity on tort claims based on governmental negligence is illustrated by comparing two factually similar cases. In *Hughes v County of Monroe* (147 NY 49 [1895]), we held that an employee of the Monroe County Insane Asylum, severely injured by operating a steam mangle, could not recover in tort from the County. We explained that because the County "shared with the state the burden of caring for the insane," the State's sovereign immunity protected the County as well (*id.* at 55-56). After the legislature waived the State's sovereign immunity, we decided *Paige v State of New York* (269 NY 352 [1936]), in which a police court committed a girl to a privately-owned reformatory authorized by statute to hold her until the age of majority. She was made to operate dangerous machinery, which maimed her. The Court of Claims held that the negligence of those in charge of the reformatory "was a tort of officers and employees of the State," so that the State was liable in tort for her injuries (*id.* at 354). The Appellate Division increased the damages award and otherwise affirmed. We also affirmed, holding:

> "The quasi-penal institution in which the claimant was confined was a governmental agency to which the State had committed in part its function to care for wayward minors. (Laws of 1902, ch. 603; *Corbett* v. *St. Vincent's Industrial School*, 177 N. Y. 16.) But the institution did not thereby acquire a status equivalent to that of the civil divisions of the State. (See *Murtha* v. *New York Homeopathic Medical College & Flower Hospital*, 228 N. Y. 183.) There is no misuse of language in saying that the State employed the institution. (Cf. *People ex rel. State*

> *Board of Charities* v. *New York Society for Prevention of Cruelty to Children*, 162 N. Y. 429, 434.) If the word 'agent' were found in section 12-a of the Court of Claims Act would it be held that this case was outside the State's assumption of liability? The terms 'agent' and 'employee' have been used interchangeably in the cases that dealt with State immunity from liability for tort. (*Litchfield* v. *Bond*, 186 N. Y. 66, 82, 83; *Murtha Case, supra*, p. 185.) In *Jackson* v. *State* (261 N. Y. 134, 138) it was said: 'Section 12-a constitutes a recognition and acknowledgment of a moral duty demanded by the principles of equity and justice.' In that spirit, we accept the construction of the section here adopted by the courts below" (*Paige v State of New York*, 269 NY 352, 356 [1936]).

The above history establishes two important propositions. *First*, New York State and its municipalities have always been liable to pay damages for some types of injuries arising from their own negligence. Initially, the process was a mix of specific legislative appropriations and decisions of commissions or boards, which was subsequently transferred to the Court of Claims. *Second*, in waiving sovereign immunity 93 years ago, the legislature completely "remove[d] the defense of sovereign immunity for tort actions" (*Brown*, 89 NY2d at 180) such that governmental actors would be subjected to the same standards as private defendants. We further observed that "[i]nasmuch as there is no clear definition by which wrongs are classified as torts . . . [i]t is much more likely that the term was used generally to indicate a branch of the law broader than the then-existing categories and subject to expansion as new wrongs supporting liability were recognized" (*id.* at 182).

B.

Although the legislature waived its sovereign immunity and required that it be treated no differently than any other defendant, the courts fashioned various immunities that barred recovery in some cases even when the government acted negligently. Relevant here is the doctrine of governmental function immunity. That doctrine is found in no statute; it is part of the common law fully within our control to make, shape, bend or alter. The doctrine makes use of a distinction created well before New York waived its sovereign immunity: the distinction that municipal corporations "are possessed of dual powers; the one governmental, legislative or public, and the other proprietary or private" (*Missano v Mayor of City of N.Y.*, 160 NY 123, 127 [1899], citing John F. Dillon, Commentaries on the Law of Municipal Corporations § 66 [4th ed]).[6] In *Missano*, we held that the city was liable in tort "for the death of a child, who was run over and killed by a horse attached to an ash cart of the street cleaning department," because the City's duty to keep the streets clean was proprietary, not public, even though "the discharge of this duty might incidentally benefit the public health" (*id.* at 126, 129). The distinction between the governmental (public) and proprietary (private) functions of municipal corporations was imported from English common law (*see Springfield Fire & Mar. Ins. Co. v Village of Keeseville*, 148 NY 46, 52-53 [1895] [explaining that under English common law, when a municipal corporation acted in its governmental capacity—for "public purposes and is for the public good . . . the corporation is exempt from all liability"]). We noted that "the line of demarkation [between public and private] at times may be difficult to ascertain" (*id.* at 52), which is well evidenced by our holdings that street cleaning is private and water service is public.

That basic distinction, which provides an exemption from liability for municipalities acting in their governmental capacity, is a creature of the common law, which we have carried forward to the present day (*see Turturro v City of New York*, 28 NY3d 469, 478-479 [2016]). In carrying that doctrine forward over the past two centuries, we have altered it many times, as is not just our right, but our duty. Cases in which our precedent has allowed for governmental liability (and, thus, necessarily are ones in which the government bore a special duty to the plaintiff, breached that duty and failed to establish the defense of governmental function immunity), include, in addition to *Bloom* (negligent supervision of delinquent children), *Robison* (slip on porridge), *Bernardine* (runaway police horse), *Missano* (horse-drawn street cleaning cart) and *Paige* (negligently maintained laundry equipment):

- *Haddock v City of New York* (75 NY2d 478 [1990])

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6. That distinction arises from the legal status of municipal corporations. In theory, it should be inapplicable to the state itself, which is not a corporation, but in more recent times that distinction has been applied to all governmental actors without regard to its genesis in the law of municipal corporations, which never had sovereign immunity to begin with.

(negligent screening of candidates for employment);

- *Brown v State of New York* (31 NY3d 514 [2018]) (negligent maintenance of highway);
- *Florence v Goldberg* (44 NY2d 189 [1978]) (negligence in failing to provide crossing guard at school crosswalk);
- *McCummings v New York City Tr. Auth.* (81 NY2d 923 [1993]) (police negligence in shooting an unarmed fleeing suspect);
- *Galvin v Mayor* (112 NY 223 [1889]) (negligently designed courthouse grate crushed a delivery person);
- *Garrett v Holiday Inns* (58 NY2d 253 [1983]) (negligent town inspection and issuance of permits in violation of statutes);
- *Flamer v City of Yonkers* (309 NY 114 [1955]) (police negligence in shooting intoxicated man who posed no threat);
- *Mirand v City of New York* (84 NY2d 44 [1994]) (negligent supervision of students);
- *Meistinsky v City of New York* (309 NY 998 [1956]) (police negligence in killing an innocent bystander); and
- *Martindale v State of New York* (269 NY 554 [1935]) (negligent supervision of mentally ill patient in State-run hospital resulting in patient's death).

Every one of those cases involved adjustments to the doctrines of special duty and governmental function, even if only implicitly, to permit recovery of money damages against the government in the circumstances described therein. Our Court adapted the common law in each of these cases by creating an exception from the basic common-law proposition disallowing suit for negligent public acts by governmental entities acting in their governmental capacity. Most recently in *Ferreira v City of Binghamton* (38 NY3d 298 [2022]), the United States Court of Appeals for the Second Circuit spared us the effort of deciding whether Binghamton had met its burden to establish governmental function immunity, but certified to us whether a plaintiff needed to establish a special duty when the injurious governmental action was nonproprietary. We once again adjusted our common-law doctrine of special duty, holding that the government owes a special duty to all persons within the premises at which a no-knock warrant is executed, encompassing both the planning and execution of the warrant.[7]

In myriad examples where a governmental entity has been held liable in negligence, the judgments have not caused the collapse of the government or paralyzed those governments from trying to do better. Those concerns which form the basis for the majority's refusal to recognize a special duty here would be weighty if, for example, we were to impose tort liability whenever the police failed to stop a crime, or the fire department failed to prevent a fire, making the government an insurer against all ills. However, each of the above cases in which we have allowed an injured party to recover tort damages from the government is far more constrained, almost always confined to situations where the government had some reasonable ability to control the conduct, whether that be mopping cereal from an institution's floor, keeping a horse under control, or screening candidates for employment. Here, nothing in the record suggests that allowing Laura's claim to proceed would bankrupt Erie County or cause APS or CPS to stop visiting persons legally entitled to their support. Judge Keating addressed the fictional parade of horribles thusly:

> "The fear of financial disaster is a myth. The same argument was made a generation ago in opposition to proposals that the State waive its defense of 'sovereign immunity'. The prophecy proved false then, and it would now. The supposed astronomical financial burden does not and would not exist. No municipality has gone bankrupt because it has had to respond in damages when a policeman causes injury through carelessly driving a police car or in the thousands of other situations where, by judicial fiat or legislative enactment, the State and its sub-

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7. The majority explains *Ferreira* as fitting within the third prong of our established special duty test: when a governmental actor takes control of a dangerous situation, and therefore not an expansion or innovation in the common law (majority op at 176 n 2). That characterization sells us short. The expansion of the common law comes in the holding that, at least for the third prong of our special duty test, there is no need to establish the special duty as to a particular known person, or even to an individual case: as a matter of law, the special duty runs to all persons, known or unknown, in the case of all search warrants. In every prior special duty case, we have examined the existence of a duty as to that individual case, without setting out any broadly encompassing rule.

divisions have been held liable for the tortious conduct of their employees. . . . That Linda Riss should be asked to bear the loss, which should properly fall on the city if we assume, as we must, in the present posture of the case, that her injuries resulted from the city's failure to provide sufficient police to protect Linda is contrary to the most elementary notions of justice" (*Riss v City of New York*, 22 NY2d 579, 585-586 [1968, Keating, J., dissenting]).[8]

IV.

The above discussion brings us to the following place: New York and its municipalities have a long history of paying damages for their own negligence in a great variety of circumstances, and the limits on such payments for nearly the past century arise from judge-made doctrines that we have continually revised. Relevant here is the special duty doctrine, which affords an avenue by which a plaintiff can recover for the government's negligence even when the government is acting in its public, nonproprietary capacity.

We have

> "recognized that a special duty can arise in three situations: (1) the plaintiff belonged to a class for whose benefit a statute was enacted; (2) the government entity voluntarily assumed a duty to the plaintiff beyond what was owed to the public generally; or (3) the municipality took positive control

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8. Unimpressed by Judge Keating, the majority pursues the very slippery slope argument he criticized. Recognizing a special duty would not lead to a damages award unless two other conditions were met: (1) the agency acted with gross negligence or willful misconduct, which are quite high standards (*Food Pageant v Consolidated Edison Co.*, 54 NY2d 167, 1972 [1981] ["gross negligence had been termed as the failure to exercise even slight care"]; *Colnaghi, U.S.A. v Jewelers Protection Servs.*, 81 NY2d 821, 823-824 [1993] ["(gross negligence) is conduct that evinces a reckless disregard for the rights of others or smacks of intentional wrongdoing" (citation and internal quotation marks omitted)]); and (2) the agency failed to demonstrate its entitlement to governmental function immunity, which will completely immunize a governmental defendant even if a special duty has been breached (*Turturro v City of New York*, 28 NY3d 469, 478-479 [2016]; *Valdez v City of New York*, 18 NY3d 69, 75 [2011]). Of course, a plaintiff would also have to prove the other elements of a tort claim as well (proximate cause and damages). In any event, the short answer is that the legislature already balanced the costs and benefits, by providing immunity for ordinary negligence but not gross negligence (*see infra* at IV.A.).

> of a known and dangerous safety condition" (*Ferreira*, 38 NY3d at 310).

I believe Laura can pursue her claim under the first and second avenues by which a special duty may be established.

The majority contends that Laura's argument under the first avenue, statutory duty, is unpreserved. I conclude otherwise. The complaint avers that the County (that is, APS and CPS) owed Laura a special duty, which is sufficient to encompass any arguments by which a special duty may be established, including a special duty established by statute. In any event, plaintiff's verified bill of particulars states that Maldovan, on behalf of Laura's estate, "will allege violations of statutes including, but not limited to, the applicable sections of chapter 55 of New York Social Services Law and New York Social Services Law § 473."[9] Section 473 establishes APS's statutory special duty to Laura.

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9. Our preservation doctrine is not constitutionally compelled; it is of our own making, and we can draw it as narrowly as we wish. Before the Court's compulsory jurisdiction was curtailed in 1894, we regularly heard argument in more than 800 cases a year. A stingy preservation rule may have made sense then, purely as an ancillary means of docket control; that justification is lacking now. In any event, we have held that

> "the general rule concerning questions raised neither at the trial nor at previous stages of appeal is far less restrictive than some case language would indicate. Thus, it has been said: 'if a conclusive question is presented on appeal, it does not matter that the question is a new one not previously suggested. No party should prevail on appeal, given an unimpeachable showing that he had no case in the trial court.' (Cohen & Karger, *op. cit. supra*, pp. 627-628.) Of course, where new contentions could have been obviated or cured by factual showings or legal countersteps, they may not be raised on appeal. But contentions which could not have been so obviated or cured below may be raised on appeal for the first time" (*Telaro v Telaro*, 25 NY2d 433, 439 [1969]; *see also Matter of Richardson v Fiedler Roofing*, 67 NY2d 246, 250 [1986]; *Wright v Wright*, 226 NY 578 [1919]).

As we have explained,

> "In our review we are confined to the *questions* raised or argued at the trial but not to the arguments there presented. 'Nor is it material whether the case was well presented to the court below, in the arguments addressed to it. It was the duty of the judges to ascertain and declare the whole law upon the undisputed facts spread before them; and it is our duty now to give such judgment as they ought to have given' " (*Persky v Bank of Am. N.A.*, 261 NY 212, 218 [1933], quoting *Oneida Bank v Ontario Bank*, 21 NY 490, 504 [1860]).

We are presented here with a pure question of law—common law, no less, which is our own special duty to develop—on a question that matters great-

(n. cont'd)

A.

I turn first to the statutory duty argument. APS and CPS are governed by two separate statutes that share similar purposes and impose similar responsibilities upon both agencies. Social Services Law § 473, governing APS, mandates the provision of protective services, which includes investigation of alleged abuse and if necessary, removal of the adult from their home, for all those who

> "because of mental or physical impairments, are unable to manage their own resources, carry out the activities of daily living, *or protect themselves from physical abuse, sexual abuse, emotional abuse*, active, passive or self neglect, financial exploitation or other hazardous situations without assistance from others and *have no one available who is willing and able to assist them responsibly*" (Social Services Law § 473 [1] [emphasis added]).

Similarly, Social Services Law title 6, which established CPS, imposes several duties upon the agency including: receiving and investigating reports of abuse through the Statewide Central Register of Child Abuse and Mistreatment; making contact with the suspected abused child in his or her home within 24 hours of receiving a report; and, if denied access to the child or the home, seeking the help of law enforcement and the courts to gain access to the home and child (Social Services Law, title 6, § 424).

Crucially, Social Services Law § 473 (3) facially contemplates that APS may be held liable in gross negligence:

> "Any social services official or his designee authorized or required to determine the need for and/or provide or arrange for the provision of protective services to adults in accordance with the provision of this section, shall have immunity from any civil liability that might otherwise result by reason of providing such services, provided such official or his designee was acting in the discharge of his

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ly to highly vulnerable persons. The question turns on no factual showings and cannot have been affected by legal countersteps: does Social Services Law § 473 establish a statutory special duty? By deferring that question to some unspecified day, we gain nothing, and neither APS nor its clients are benefitted by that prolonged uncertainty.

> duties and within the scope of his employment, and that such liability *did not result from the willfull act or gross negligence of such official or his designee*" (emphasis added).

Social Services Law § 419 (governing CPS) similarly provides child protective workers with "immunity from any liability . . . provided . . . that such liability did not result from the willful misconduct or gross negligence of such person, official or institution."

The language of both statutes makes clear that the legislature immunized APS and CPS from ordinary negligence only—not from their own gross negligence or willful misconduct.

To establish a special duty through breach of a statutory duty, the governing statute must satisfy our three-prong test applicable to implied causes of action (*Pelaez v Seide*, 2 NY3d 186, 200 [2004]; *Sheehy v Big Flats Community Day*, 73 NY2d 629 [1989]).[10] We articulated the implied cause of action test most recently in *Ortiz v Ciox Health LLC* (37 NY3d 353, 360 [2021]): "(1) whether the plaintiff is one of the class for whose particular benefit the statute was enacted; (2) whether recognition of a private right of action would promote the legislative purpose; and (3) whether creation of such a right would be consistent with the legislative scheme."

It is undisputed that Laura is among the class of people for whom the statute was enacted. Turning to the other two prongs, in *Ortiz* we explained that the second prong of our implied cause of action test asks "what the Legislature was seeking to accomplish when it enacted the statute, and then determine whether a private right of action would promote that objective" (37 NY3d at 363). The third prong asks whether the legislature had provided other methods of enforcement—which could make recognizing a private right of action inconsistent with the scheme at large (*id.* at 364).

The majority points out that in *Mark G. v Sabol* (93 NY2d 710, 721-722 [1999]), we declined to find a private right of action from Social Services Law § 419 (concerning CPS) (majority op at 171-172) and so we should follow suit with regard to

10. As set forth in a very long footnote in my dissenting opinion in *Howell v City of New York* (decided today), I believe the test for implying a right of action should not be the same as the test for determining whether a statutory special duty exists (39 NY3d 1006, 1026-1028 n 11 [2022, Wilson, J., dissenting]). I accept it here because neither party has asked us to reconsider it and the choice of test is immaterial to my analysis.

Social Services Law § 473 and APS.[11] However, this case is distinguishable from *Mark G.* in one key aspect: the legislative history of Social Services Law § 473, unlike the legislative history of section 419, fully supports the recognition of a private right of action.

Both Social Services Law § 473 and Social Services Law § 419 facially limit the immunity of APS and CPS, respectively, to ordinary negligence only. Of course, where the plain language of a statute is clear, there is no need to look to the legislative history to construe it: we apply it as written unless it produces an absurd result or irreconcilably conflicts with some other statute, neither of which would apply to either Social Services Law § 473 or § 419. However, in evaluating the third prong of the implied right of action test, *Mark G.* relied on the legislative history to overcome the plain language of Social Services Law § 419 and conclude that allowing a private right of action, even for gross negligence or willful misconduct, would compromise a statutory scheme that provided for a different form of enforcement.

The third prong proved problematic for the plaintiff in *Mark G.* because the legislative history showed that the CPS legislative plan "centered on improved monitoring and on penalizing local social services districts with a loss of State reimbursement of funds for their failure to provide services or meet the standards mandated by the statute" (93 NY2d at 720). In enacting Social Services Law § 419, the legislature had provided an enforcement mechanism—financial penalties for the offending districts.

The legislative history of section 473 is quite different. It contains none of the factors we identified in *Mark G.*[12] Instead, it shows that the legislature charged APS, and APS alone, with

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11. I pause to note the incongruity of the majority's position that the statutory duty argument is not preserved, and therefore cannot be addressed by us, and its substantive discussion of its merits herein.

12. Although it is not necessary to explain why the liability of APS and CPS workers might be different, the difference may be explainable by the distinction in the State's treatment of vulnerable children as opposed to adults. Children most often reside with parents or foster parents who are responsible for their care. Vulnerable adults often do not; the legislative history of the Social Services Law governing vulnerable adults emphasizes that many of them are completely on their own. In addition, before the wave of deinstitutionalization spurred by changes in federal law and the passage ofSocial Services Law § 473, the State was held liable in ordinary negligence for failing to properly care for the mentally ill or disabled adults under its supervision and care (*see e.g. Santana v State of New York*, 48 Misc 2d

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the protection of those who had "*no one*" and could not take care of themselves (NY St Dept of Social Servs Mem Accompanying Comments on Bills before the Governor for Executive Action, Bill Jacket, L 1975, ch 841 [emphasis added]). The fact that the legislature expected vulnerable adults to rely on APS to provide them with services and protection is in line with larger national developments in the treatment of disabled and elderly adults at the time that section 473 was passed. Federal regulations due to become effective in January of 1975 (Social Services Law § 473—then section 131-1—was introduced in March of 1975) included no federally mandated services for vulnerable adults, hence the need to mandate services at the state level (NY State Office for the Aging, Legis Issue Paper No. 5 at 1-3, Bill Jacket, L 1975, ch 841). Social Services Law § 473 allowed the State to continue to deinstitutionalize vulnerable adults (the new federal regulations sought to minimize institutionalization), with APS taking on the mantle of protection previously held by communal homes, hospitals and asylums (*id*. at 3-4). In the legislature's judgment, it was, and continues to be, the State's responsibility to "care for those unable to care for themselves" (Budget Report on Bills at 1, Bill Jacket, L 1975, ch 841).

Most importantly, the legislative history of the immunity provision governing APS shows that civil liability was the intended enforcement mechanism. The Governor's Approval Memorandum explains that the immunity from civil liability was designed to "aid in the provision of services and to assure that services are provided in a professional and effective manner" (Governor's Approval Mem, Bill Jacket, L 1979, ch 446). The Budget Report on Bills and the memorandum from the Department of Social Services are to the same effect (Budget

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1036, 1040 [1966] ["On the evidence before it, the court finds that the failure of the State to provide reasonably adequate care for its ward was the competentproducing cause of his death, and that the State must be held liable in damages for this unfortunate event"]; *Harris v State of New York*, 117 AD2d 298, 306 [2d Dept 1986] ["The State's duty herein was to provide Adrienne with a reasonably safe environment given its knowledge of her known propensity for seizures"]; *Patrick v State of New York*, 11 Misc 3d 296, 320 [2005] ["Having entrusted one's child (who was a disabled adult) to the care of others, one hopes that those entrusted do their utmost to earn and retain that trust. Unfortunately, through a series of negligent omissions and acts, the State betrayed that faith"]). It therefore would make sense that when vulnerable adults are removed from State institutions and relegated to the care of APS, APS as the agent of the State that substituted institutional entities, bears some duty towards them, even if not as great as it did while such persons were living in a State-run facility.

Report on Bills, Bill Jacket, L 1979, ch 446; NY St Dept of Social Servs Mem Accompanying Comments on Bills before the Governor for Executive Action, Bill Jacket, L 1979, ch 446). Thus, quite unlike the legislative history in *Mark G.*, the legislative history of the immunity provision governing APS demonstrates that the balance struck by that immunity provision—barring liability for ordinary negligence but preserving it for gross negligence and willful misconduct—was itself an integral part of the statutory scheme.

Therefore, implying a cause of action here would both promote the legislative purpose and be fully consistent with the scheme. The legislative purpose clear on the statute's face was to immunize APS from claims of ordinary negligence but continue its liability for gross negligence and willful misconduct—which itself *is* the enforcement scheme contemplated by the legislature and Governor. Recognizing a claim would promote the purpose of the statute: ensuring that APS is diligently providing services and investigating reports of abuse, and compensating those wronged by gross negligence or willful misconduct while immunizing APS from ordinary negligence. A private right of action is not just fully consistent with the legislature's scheme, it *is* the scheme.

B.

The creation of a statutory special duty as to APS is so clear here that it hardly seems worth explaining why Laura can also succeed under the second avenue by which a statutory duty can be established: voluntary assumption to a specific person. Keeping in mind the first two of my introductory points—governmental function immunity and the special duty test are common-law inventions; and there are myriad situations in which we have held that a plaintiff may prevail in a common-law negligence claim to recover money damages from governmental entities acting in their public capacity—I turn to the reason given by the majority for concluding that Laura cannot recover for the gross negligence of APS and CPS: her failure to demonstrate justifiable reliance (majority op at 172).[13]

Laura satisfies all the *Cuffy* factors: (1) an assumption by the municipality, through promises or actions, of an affirmative

13. I concur in the majority's judgment affirming the dismissal of Laura's claims against the Sheriff. Our precedents establish that the police are not held liable in tort when they fail to protect the public at large (*Cuffy v City of New York*, 69 NY2d 255, 260 [1987]; *Weiner v Metropolitan Transp. Auth.*,

(n. cont'd)

duty to act on behalf of the party who was injured; (2) knowledge on the part of the municipality's agents that inaction could lead to harm; (3) some form of direct contact between the municipality's agents and the injured party; and (4) that party's justifiable reliance on the municipality's affirmative undertaking.

CPS and APS assumed a duty to act on Laura's behalf when both decided, after receiving reports of abuse, to open an investigation into the family. Investigation is one of the responsibilities imposed on both agencies in the Social Services Law. It is clear from the record that the agencies understood that inaction on their part, if they were wrong, could lead to harm: that is the very calculation these agencies make in deciding to close a case or move to remove a child or adult from a home. They know that if they are wrong in their assessment and close a case, the abuse could continue or worsen. Direct contact is easily satisfied—both CPS and APS visited Laura's home and spoke with her.

The majority's decision to bar Laura's recovery on grounds of insufficient reliance defies both common sense and case law. The majority acknowledges that, in both *Applewhite v Accuhealth, Inc.* (21 NY3d 420, 431 [2013]) and *Sorichetti v City of New York* (65 NY2d 461, 469 [1985]), we modified the common law to permit a relative of the injured party to satisfy the reliance factor set out in *Cuffy*. The majority's declination of the "invitation" to relax the reliance standard for intellectually disabled persons comes with only the following explanation: Laura's brother Richard, stationed out of state in the military, caused Justice Stevens to call APS twice, but nothing APS did caused either Richard or Justice Stevens to rely on APS's promises.

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55 NY2d 175, 181 [1982]; *Valdez v City of New York*, 18 NY3d 69, 75 [2011]; *see also Moch Co. v Rensselaer Water Co.*, 247 NY 160, 164 [1928]). The rationale underlying that proposition is that the police are unable to secure the safety of all people at all times, must make discretionary choices about how to allocate limited resources, and are not in the position of an insurer against all evil (*see Cuffy*, 69 NY2d at 75). Here, the Sheriff's alleged liability is premised on a single incident: the deputies were called to the location of runway disabled young woman and returned her home. The Sheriff's duty to protect Laura in that instance was little different from the duty to protect any member of the public at large. Unlike CPS and APS, no statute imposes a duty upon the Sheriff to, in this case, investigate the circumstances of Laura's home life or attempt to remove her from an abusive home. There is no evidence that the deputies made any promise or representation to Laura.

1.

As to common sense, "the juristic philosophy of the common law is at bottom the philosophy of pragmatism" (Benjamin N. Cardozo, The Nature of the Judicial Process at 102 [1921]). What sense does it make to apply a standard of reliance created for persons capable of reliance to someone incapable of reliance? The legislature understood that it would make no sense to do so, which is why its grant of immunity to those working with these specific vulnerable populations—definitionally incapable of self-care—was carefully limited.

The legislative history surrounding the 1979 amendments adding the immunity provisions explain that some measure of immunity from liability was needed to make sure that persons employed to protect these specialized, vulnerable populations be able to perform their responsibilities "in a professional and effective manner," and that institutions hiring workers be able to attract caring and responsible employees (Governor's Approval Mem, Bill Jacket, L 1979, ch 446). Two important conclusions follow from the legislature's decision that APS and CPS should be liable for the gross negligence or willful misconduct of their employees. *First*, the legislature understood that, without the immunity provided in the amendment, the common law would allow for ordinary negligence actions when against APS and CPS. *Second*, the legislature chose to strike a balance between the need for quality services and the need to redress wrongs by drawing the line at gross negligence.

Those two points are crucial, each for its own reason. As to the first, we assume the legislature is familiar with our jurisprudence when it acts (*see Transit Commn. v Long Is. R.R. Co.*, 253 NY 345, 355 [1930]). Whereas many persons with disabilities like Laura's had previously been housed in governmental institutions, the State's policy in 1975, spurred by federal legislation, was to reduce the number of such institutions and, instead, provide protective services in noninstitutional settings (NY State Office for the Aging, Legis Issue Paper No. 5 at 4-5, Bill Jacket, L 1975 ch 841). Under the prior regime, as evidenced by several of our prior decisions referenced earlier herein, such institutions would have been liable to their residents for acts of ordinary negligence. The legislature's conclusion that, but for the statutory grant of limited immunity, APS and CPS would be liable for ordinary negligence, reinforces the understanding that under the common law, the state bore a special duty to such persons, whether physically housed in a state facility or, with the change in policy, supervised in the community. Viewed against the many examples in which we have found negligence claims against governmental actors viable, what does common sense tell us about Laura's ability to recover for gross negligence, when compared, for example, to an employee of a state institution who slips on cereal?

The second point is even more important: the legislature itself has indicated the way in which the common law should draw the line as to governmental function immunity concerning these vulnerable populations. The majority cannot point to any other circumstance in which the legislature has done so; none of our special duty cases involve a situation in which the legislature has indicated its choice that a governmental entity be liable under certain standards of care but not others. Had the legislature desired the majority's result here, it would have provided a blanket immunity. It chose not to. I can find no other circumstance in which our Court has "declined the invitation" to render the government liable where the invitation comes from the government itself, in the form of a statute setting out the terms of the government's own liability.

2.

As to case law, the majority refuses to excuse Laura from the reliance element despite her severe intellectual disability, even though adapting a standard to the specificities of a particular type of plaintiff is a well-established practice in our common law (*see e.g. Silverstein v Metropolitan Life Ins. Co.*, 254 NY 81, 85 [1930] ["If a man with an abnormally thin skull be struck a blow which would not seriously injure a normal man, but which causes his death, it is perfectly plain that the cause of death is not the thinness of the skull, but the receipt of the blow" (internal quotation marks and citation removed)]; *Dimino v Burriesci*, 125 AD2d 361, 362 [2d Dept 1986] ["In this instance, where the infant plaintiff was 5½ years old, the court improperly submitted this issue to the jury, and *exacerbated the error by charging an objective standard of care*, i.e., what a reasonably prudent child of the infant plaintiff's age would exercise, *rather than the subjective one correctly employed in evaluating whether a child's conduct constitutes a statutory violation, i.e., what the infant plaintiff is mentally capable of, based on his age, experience, intelligence, and development*" (emphasis added)]).

Our function as a common-law court is to adapt the law to particular circumstances and current needs. Instead of attempting to fashion a standard suitable to plaintiffs like Laura, the majority sidesteps that responsibility entirely and chooses, instead, to focus on the reliance of Justice Stevens and Richard Cummings, holding that neither could have relied on CPS/APS because they were told the investigation was closed. The majority expresses its willingness to reconsider the question of reliance in another case, where the vulnerable adult does not have a "competent adult family member advocating on their behalf" (majority op at 174). That offer gets the reliance analysis backwards. In *Applewhite* and *Sorchetti*, we modified the common law to allow mothers who sought to protect their children to satisfy *Cuffy*'s reliance standard. In those cases, we did so as a way of expanding liability. Here, the majority is using it the opposite way—as if Richard or Justice Stevens had some legal responsibility for Laura or were acting as agents (unbeknownst to her), so that their supposed lack of reliance on APS can be attributed to Laura to negate the existence of a special duty.

For a moment, imagine that the majority would have been willing to eliminate *Cuffy*'s reliance factor for Laura if she had no "competent adult family member advocating on [her] behalf." Neither Richard nor Justice Stevens had any legal responsibility for Laura; Richard was out of state in the military and Justice Stevens is not a family member at all. Yet, if we take the majority's future willingness seriously, Laura's claim fails solely because Richard and Justice Stevens bothered to call APS and CPS. Of course, had they not suspected anything, APS and CPS would not have investigated at all, which also would have spared those agencies liability.

In any event, the facts here present a triable issue as to whether Richard and Justice Stevens relied on promises made by APS. Richard called APS twice, after it had closed the investigation. He insisted that Laura was being abused and had to be taken out of the home—the APS caseworker refused to generate a new intake after each of his calls and told him she had found no evidence of abuse. Justice Stevens also called twice, first CPS, then APS, before he was told the investigation had been closed. A trier of fact could conclude that the findings of no abuse constituted representations on which Richard and/or Justice Stevens could rely, and that APS's instruction that Richard call back if he had new information assured him that APS would investigate properly. If I take my car to an auto mechanic because the brakes seem bad, and the mechanic assures me he has checked thoroughly and the brakes are fine, but then it turns out he never checked the brakes and I crash, haven't I relied to my detriment on that representation?

Essentially, Justice Stevens and Richard may have justifiably trusted CPS and APS's assurances that they found no evidence of abuse. Whether they did so is a triable issue of fact. By bypassing Laura in its analysis and imputing the responsibility to rely to Justice Stevens and Richard, the majority defeats the legislature's intent in enacting Social Services Law § 473—to create an agency, APS, which must help those adults who cannot help themselves and who have no one to assist them. With its decision, the majority confirms for all adults like Laura what they fear most: they are alone. The legislature did not intend so, and the common law does not require so.

Acting Chief Judge CANNATARO and Judges GARCIA and SINGAS concur; Judge WILSON dissents in part in an opinion; Judge RIVERA took no part.

Orders affirmed, with costs.

[205 NE3d 426, 184 NYS3d 706]

In the Matter of TOWN OF SOUTHAMPTON et al., Respondents, et al., Petitioner, v NEW YORK STATE DEPARTMENT OF ENVIRONMENTAL CONSERVATION et al., Respondents, and SAND LAND CORPORATION et al., Appellants.

Argued January 3, 2023; decided February 9, 2023

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered May 27, 2021. The Appellate Division order, insofar as appealed from, modified a judgment (denominated decision, order and judgment) of the Supreme Court, Albany County (James H. Ferreira, J.; op 2020 NY Slip Op 35364[U] [2020]), which had (1) denied the petition and supplemental petition in a proceeding pursuant to CPLR article 78; (2) dismissed the proceeding; and (3) vacated a preliminary injunction. The modification consisted of (1) reversing so much of the judgment as had dismissed the petition; (2) granting the petition; and (3) annulling the determinations of respondent Department of Environmental Conservation granting certain mined land reclamation permits.

Matter of Town of Southampton v New York State Dept. of Envtl. Conservation, 194 AD3d 1310, modified.

HEADNOTES

Mines and Minerals — Mined Land Reclamation Law — Supersession of Local Mining Laws — Applications for Mining Permit Renewal or Modification

1. Environmental Conservation Law § 23-2703 (3), which prohibits agencies from considering or processing "an application for a permit to mine" within covered counties "if local zoning laws or ordinances prohibit mining uses within the area proposed to be mined," does not bar the Department of Environmental Conservation from processing applications, including applications for renewal and modification, when such applications seek to mine land that falls within the scope of an undisputed prior nonconforming use. The plain language of ECL 23-2703 (3) evinces an intent that the provision should apply, not just to applications for new mining permits, but also to applications for modification and renewal. The language of the section refers generally to "an application for a permit to mine," and contains no language limiting its application to only "new mines," and "permit" is specifically defined elsewhere in the ECL to include any "department approval," "modification" or "renewal" (ECL 70-0105 [4]). Thus, read together with the ECL's definition of "permit" in section 70-0105 (4), the phrase "permit to mine" in ECL 23-2703 (3) encompasses all applications to mine, including applications for renewal and modification. Moreover, local laws in the targeted counties already

prohibited new mines when ECL 23-2703 (3) was enacted. As such, the addition of subdivision (3) reasonably appears to have been intended to address the threat to the counties' drinking water posed by the expansion of existing mines, not just the opening of new mines.

Mines and Minerals — Mined Land Reclamation Law — Applications for Mining Permit Renewal or Modification — Prior Nonconforming Use

2. Environmental Conservation Law § 23-2703 (3), which prohibits agencies from considering or processing "an application for a permit to mine" within covered counties "if local zoning laws or ordinances prohibit mining uses within the area proposed to be mined," does not unconstitutionally infringe upon the property rights of owners of lands which have a prior nonconforming use. ECL 23-2703 (3) implicitly contemplates that a mining applicant may have prior nonconforming use rights and requires the Department of Environmental Conservation to defer to local town zoning laws when reviewing applications for mining permits. Section 23-2703 (3) provides on its face that it is applicable only "if local zoning laws or ordinances prohibit mining uses within the area proposed to be mined." If mining in that area is a recognized prior nonconforming use under the local zoning code, then the conclusion follows that the local law does not "prohibit mining uses" within the area proposed to be mined. A zoning code that permits mining on a property as a prior nonconforming use cannot logically be said to prohibit that use within the meaning of ECL 23-2703 (3). The statute does not eliminate or alter nonconforming use, but instead acts only as a protection against further expansion of those mining activities beyond the permissible nonconforming use.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d Mines and Minerals §§ 243, 245, 247; Am Jur 2d Zoning and Planning §§ 524, 552.

McKinney's, ECL 23-2703 (3); 70-0105 (4).

NY Jur 2d Buidlings, Zoning, and Land Controls § 223; NY Jur 2d Environmental Rights and Remedies § 384; NY Jur 2d Mines and Minerals §§ 51, 55, 78.

ANNOTATION REFERENCE

See ALR Index under Mines and Minerals; Nonconforming Use.

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POINTS OF COUNSEL

Brown, Duke & Fogel, P.C., Syracuse (*Gregory M. Brown* of counsel), for appellants. I. The Appellate Division's order conflicts with and fails to follow controlling Court of Appeals precedent. (*41 Kew Gardens Rd. Assoc. v Tyburski*, 70 NY2d 325; *Lighthouse Shores v Town of Islip*, 41 NY2d 7; *Matter of Syracuse Aggregate Corp. v Weise*, 51 NY2d 278; *Glacial Aggregates LLC v Town of Yorkshire*, 14 NY3d 127; *Buffalo Crushed Stone, Inc. v Town of Cheektowaga*, 13 NY3d 88; *Jones v Town of Carroll*, 15 NY3d 139; *Matter of Toys "R" Us v Silva*, 89 NY2d 411; *Matter of Frew Run Gravel Prods. v Town of Carroll*, 71 NY2d 126; *Matter of Wallach v Town of Dryden*, 23 NY3d 728; *Matter of 550 Halstead Corp. v Zoning Bd. of Appeals of Town/Vil. of Harrison*, 1 NY3d 561.) II. The Appellate Division erred in holding that Mined Land Reclamation Law § 23-2703 (3) applies to mine property previously permitted under the Mined Land Reclamation Law. (*Matter of Estate of Youngjohn v Berry Plastics Corp.*, 36 NY3d 595; *Matter of Valley Realty Dev. Co. v Jorling*, 217 AD2d 349; *Matter of Valley Realty Dev. Co. v Town of Tully*, 187 AD2d 963; *Matter of Sutka v Conners*, 73 NY2d 395; *Riley v County of Broome*, 95 NY2d 455; *People v Litto*, 8 NY3d 692; *Sheehy v Big Flats Community Day*, 73 NY2d 629; *Matter of Frew Run Gravel Prods. v Town of Carroll*, 71 NY2d 126; *Matter of Atlantic Cement Co. v Williams*, 129 AD2d 84; *Matter of Gernatt Asphalt Prods. v Town of Sardinia*, 87 NY2d 668.)

Volz & Vigliotta, PLLC, Nesconset (*David H. Arntsen* of counsel), for Town of Southampton, respondent; *Friedman Kaplan Seiler & Adelman LLP*, New York City (*Robert S. Smith* of counsel), and *Tooher & Barone, LLP*, Albany (*Meave M. Tooher* of counsel), for 101Co, LLC and others, respondents; *Braymer Law, PLLC*, Glens Falls (*Claudia K. Braymer* of counsel), for Citizens Campaign for the Environment and others, respondents; and *Aaronson Rappaport Feinstein & Deutsch, LLP*, New York City (*Zachary Murdock* of counsel), for Joseph Phair and others, respondents. I. Environmental Conservation Law § 23-2703 (3) bars the processing and issuance of a permit for the vertical expansion of Sand Land's mine. (*Matter of Frew Run Gravel Prods. v Town of Carroll*, 71 NY2d 126; *Matter of Gernatt Asphalt Prods. v Town of Sardinia*, 87 NY2d 668; *Goldblatt v Hempstead*, 369 US 590; *Matter of Valley Realty Dev. Co. v Jorling*, 217 AD2d 349; *Mowczan v Bacon*, 92 NY2d 281; *Fumarelli v Marsam Dev.*, 92 NY2d 298; *Matter of Wallach v Town of Dryden*, 23 NY3d 728; *Matter of Town of Islip v Cuomo*, 64 NY2d 50; *Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761; *Matter of Syracuse Aggregate Corp. v Weise*, 51 NY2d 278.) II. The Appellate Division properly annulled the improper “renewal” of Sand Land’s 2013 permit. III. If the Appellate Division’s decision annulling the Department of Environmental Conservations’ permits is not affirmed in its entirety, the matter should be remanded to the Appellate Division for determination of the issues not reached by that Court.

Couch White, LLP, Albany (*Adam J. Schultz* and *Alita J. Giuda* of counsel), for New York Construction Materials Association, Inc., amicus curiae. I. The Mined Land Reclamation Law is not a land use statute. (*Matter of St. Onge v Donovan*, 71 NY2d 507; *Matter of Trea v New York State Dept. of Transp.*, 265 AD2d 847; *Village of Valatie v Smith*, 83 NY2d 396; *Matter of Valley Realty Dev. Co. v Jorling*, 217 AD2d 349; *Matter of Frew Run Gravel Prods. v Town of Carroll*, 71 NY2d 126; *Matter of Gernatt Asphalt Prods. v Town of Sardinia*, 87 NY2d 668; *Buffalo Crushed Stone, Inc. v Town of Cheektowaga*, 13 NY3d 88.) II. The Mined Land Reclamation Law cannot eviscerate constitutional land use rights, by geography or otherwise. (*Matter of Lemp v Town Bd. of Town of Islip*, 90 Misc 2d 360; *Town of Orangetown v Magee*, 88 NY2d 41; *People v Miller*, 304 NY 105; *Tucker v Toia*, 89 Misc 2d 116; *Jones v Town of Carroll*, 15 NY3d 139; *Glacial Aggregates LLC v Town of Yorkshire*, 14 NY3d 127; *Fulton Light, Heat & Power Co. v State of New York*, 65 Misc 263; *Vernon Park Realty, Inc. v City of Mount Vernon*, 307 NY 493; *Matter of Toys “R” Us v Silva*, 89 NY2d 411; *Lutheran Church in Am. v City of New York*, 35 NY2d 121.)

Earthjustice, New York City (*Dror Ladin* and *Michael Youhana* of counsel), for Sierra Club, amicus curiae. I. The 1991 Mined Land Reclamation Law amendment protects Long Island’s aquifer from further mine expansion, in line with the legislature’s longstanding concern. (*Matter of Gernatt Asphalt Prods. v Town of Sardinia*, 87 NY2d 668; *Matter of Long Is. Pine Barrens Socy. v Planning Bd. of Town of Brookhaven*, 80 NY2d 500; *Matter of Town of Islip v Cuomo*, 64 NY2d 50.) II. The legislature’s decision to limit permitting for mine expansion into Long Island’s sole source aquifer does not create a constitutional doubt. (*City of New York v Bilynn Realty Corp.*, 118 AD2d 511; *Matter of Syracuse Aggregate Corp. v Weise*, 51 NY2d 278; *Matter of Gazza v New York State Dept. of Envtl. Conservation*, 89 NY2d 603; *Pennsylvania Coal Co. v Mahon*, 260 US 393; *Matter of Friedenburg v New York State Dept. of Envtl. Conservation*, 3 AD3d 86; *Village of Valatie v Smith*, 83 NY2d 396; *Matter of Town of Islip v Cuomo*, 64 NY2d 50; *Matter of Kuhn v Curran*, 294 NY 207.)

OPINION OF THE COURT

Acting Chief Judge Cannataro.

The question raised on this appeal is whether Environmental Conservation Law § 23-2703 (3) bars the Department of Environmental Conservation (DEC) from processing all applications for permits to mine in covered counties, including applications for renewal and modification permits, when "local zoning laws or ordinances prohibit mining uses within the area proposed to be mined" (ECL 23-2703 [3]). We hold that DEC may process renewal and modification applications when such applications seek to mine land that falls within the scope of an undisputed prior nonconforming use. The applications at issue implicate some prior nonconforming uses that are undisputed and others that are disputed but not yet resolved. Because prior nonconforming use was not taken into account by either DEC or the courts below, we modify and remit for further proceedings.

I.

Respondent Sand Land owns and operates a sand and gravel mine on a 50-acre parcel of property within the Town of Southampton, Suffolk County. The mine has been operating continuously since the 1960s, at which time the zoning code allowed mining pursuant to a required permit. In 1972, the Town rezoned the area where the parcel is located to a residential district in which mining is prohibited. In 1981, Sand Land's predecessor in interest obtained a mined land reclamation permit (MLRP) from DEC, which was renewed in 1985. In 1998, DEC renewed the MLRP and transferred it to Sand Land, authorizing mining on 31.5 acres to a depth of 160 feet above mean sea level (amsl). In 1998, Sand Land also began receiving and processing vegetative organic waste materials in a 3.1 acre portion of the property known as the "stump dump." In 2011 and 2016, Sand Land obtained certificates of occupancy from the Town stating that the use of the site as a sand mine was a prior nonconforming use. DEC also renewed Sand Land's permit in 2003, 2008, and 2013.

In 2014, Sand Land submitted an application to DEC to modify its permit. The application sought to increase the depth of mining by 40 feet, from 160 feet amsl to 120 feet amsl. The application also proposed mining on an additional 4.9 acres that had not been approved under prior DEC permits, comprised of a 1.8 acre "area of modification" and the 3.1-acre stump dump. DEC initially denied the permit modification, and an administrative law judge (ALJ) rejected Sand Land's challenge to the denial. The ALJ determined that Sand Land's proposed expansion of its mine constituted a material change in permitted activities and was therefore a new application, which triggered the required inquiry into whether the Town's zoning laws prohibit mining at the site.

Prior to the ALJ's determination, DEC issued a notice of intent to modify (NIM) advising Sand Land that it proposed to modify its permit "to require that mining activities at the facility cease and reclamation activities begin." Around the same time, Sand Land submitted a renewal application to DEC because its permit was set to expire. Sand Land and DEC entered into negotiations to resolve all issues related to the NIM and the renewal application. Pursuant to their settlement agreement, Sand Land agreed to "permanently cease the use of the Facility for the receipt, storage, and processing of any volume of [vegetative organic waste materials]" and conduct quarterly groundwater monitoring. DEC agreed to, among other things, renew Sand Land's permit and allow Sand Land to increase the extent of its current mining activity by three acres, to cover a total of 34.5 acres, and to timely process a modification permit application for mining to be conducted to a depth of 120 feet amsl.

Sand Land thereafter submitted a second application to modify its permit. In March 2019, DEC issued both a renewed permit to Sand Land permitting mining "on the 34.5 acres of the 50[-]acre site" and an amended negative declaration allowing an increase to the depth of mining. Among other things, DEC found that the proposed sand mine deepening would not significantly impact groundwater quality, air quality, traffic, or solid waste production.

The Town of Southampton, several neighboring landowners, and civic and environmental organizations commenced this CPLR article 78 proceeding against Sand Land and DEC. As relevant here, petitioners sought annulment of the March 2019 renewal permit, the amended negative declaration and the settlement agreement, and to enjoin DEC from processing Sand Land's modification application. Petitioners argued that the 2019 renewal permit improperly expanded the area permitted to be mined from 31.5 acres to 34.5 acres. They contended that Sand Land improperly sought to expand the mine's footprint in a renewal application, rather than a modification application, in order to avoid the restrictions of ECL 23-2703 (3). In June 2019, while the litigation was pending, DEC issued a modified permit authorizing mining within the 34.5-acre footprint to a depth of 120 feet amsl. Petitioners filed a supplemental petition seeking to annul the modified permit.

Supreme Court, among other things, denied the petition and supplemental petition, and dismissed the proceeding (2020 NY Slip Op 35364[U] [Sup Ct, Albany County 2020]). As relevant here, the court determined that the three additional acres should always have been included in the permit, and their addition as part of the settlement was a mere ministerial correction. Thus, the court concluded that the permit issued as part of the settlement that authorized mining on three additional acres was, in fact, a "renewal" rather than a modification of the previous permit, such that ECL 23-2703 (3) did not apply. Regarding permission to mine deeper, the court held that the statute does not apply to permit modifications that authorize the holder only to mine deeper within an existing footprint where mining is otherwise authorized.

The Appellate Division modified, holding that "the act of issuing the permits here, in contravention of ECL 23-2703 (3), was arbitrary and capricious" (194 AD3d 1310, 1316 [3d Dept 2021]). The Court reasoned that, "by its certain language, the statute applies to all applications" (*id.* at 1315), not just "new permits or permits seeking substantial modifications" (*id.* at 1314). Further, the statute "clearly recognizes that the local laws of the municipality are determinative as to whether an application can be processed" and so here, "where it is unchallenged that the Town's laws prohibit mining, DEC cannot process the application, let alone issue the permit" (*id.* at 1315-1316).

Justice Pritzker dissented in part and would have affirmed on the ground that ECL 23-2703 (3) is inapplicable because, "although the Town prohibits new mining operations within its borders, it has both recognized and permitted mining within 'the area proposed to be mined' . . . as a legitimate prior nonconforming use" (*id.* at 1317 [emphasis omitted], quoting ECL 23-2703 [3]). In Justice Pritzker's view, petitioners' interpretation of the statute "as applying to all permits is too broad and could render the law unconstitutional" (*id.*).

This Court granted Sand Land's motion for leave to appeal (37 NY3d 1233 [2022]).

II.

We must first answer whether ECL 23-2703 (3) bars DEC from processing all applications for permits to mine in covered counties, including applications for renewal and modification. The Mined Land Reclamation Law (MLRL) (*see* ECL 23-2701 *et seq.*) grants DEC broad authority to regulate the mining industry in the state. The law is intended to encourage a sound mining industry, provide for the management of depletable resources, and assure the reclamation of mined land (*see* ECL 23-2703 [1]). The legislature sought to achieve these purposes through "the adoption of standard and uniform restrictions and regulations to replace the existing patchwork system of local ordinances" (*Matter of Wallach v Town of Dryden*, 23 NY3d 728, 745 [2014]). For that reason, the MLRL contains a "supersession clause" providing that the statute supersedes all "local laws relating to the extractive mining industry" (ECL 23-2703 [2]). In *Matter of Frew Run Gravel Prods. v Town of Carroll*, we held that the MLRL's supersession clause does not prevent a municipality from prohibiting mining through its zoning ordinances (71 NY2d 126, 133-134 [1987]).

In 1991, the legislature incorporated this holding by amending the supersession provision in ECL 23-2703 to expressly exempt local zoning ordinances that determine permissible uses (*see* L 1991, ch 166, § 228). In addition, the legislature added a new subdivision (3) to ECL 23-2703, central to this appeal, which states:

> "No agency of this state shall consider an application for a permit to mine as complete or process such application for a permit to mine pursuant to this title, within counties with a population of one million or more which draw their primary source of drinking water for a majority of county residents from a designated sole source aquifer, if local zoning laws or ordinances prohibit mining uses within the area proposed to be mined" (ECL 23-2703 [3]; *see* L 1991, ch 166, § 228).

The legislature also amended ECL 23-2711 to require that applications for new mining permits contain a "statement . . . that mining is not prohibited at that location" and that, when an application is received "for a property not previously permitted," DEC inquire of the relevant political subdivision whether mining is prohibited "at that location" (ECL 23-2711 [2] [c]; [3] [a] [v]; *see* L 1991, ch 166, § 229).

As the Appellate Division correctly concluded, because the question of whether the amendment applies to renewal and modification applications is one "of pure statutory interpretation," we need not defer to any interpretation made by the DEC that the amendment only applies to new applications to mine (*see Matter of DeVera v Elia*, 32 NY3d 423, 434 [2018]). In seeking to understand the meaning of this amendment, it is a bedrock principle of statutory interpretation that "the Court's primary consideration is to ascertain and give effect to the intention of the Legislature" (*Matter of Mestecky v City of New York*, 30 NY3d 239, 243 [2017] [internal quotation marks and citation omitted]). "Inasmuch as the clearest indicator of legislative intent is the statutory text, the starting point in any case of interpretation must always be the language itself, giving effect to the plain meaning thereof" (*Kuzmich v 50 Murray St. Acquisition LLC*, 34 NY3d 84, 91 [2019] [internal quotation marks and citations omitted], *cert denied* 589 US —, 140 S Ct 904 [2020]). Furthermore, "[a] statute 'must be construed as a whole,' and 'its various sections must be considered together and with reference to each other' " (*Matter of Peyton* v *New York City Bd. of Stds. & Appeals*, 36 NY3d 271, 280 [2020]). "As particularly relevant here, amendments should typically be construed together with the original act" (*Matter of Estate of Youngjohn v Berry Plastics Corp.*, 36 NY3d 595, 604 [2021]).

[1] The plain language of ECL 23-2703 (3) evinces an intent that the provision should apply, not just to applications for new mining permits, but also to applications for modification and renewal. First, the language of the section refers generally to "an application for a permit to mine," and contains no language limiting its application to only "new mines." Indeed, "permit" is specifically defined elsewhere in the ECL to include any "department approval," "modification" or "renewal" (ECL 70-0105 [4]). Thus, read together with the ECL's definition of "permit" in section 70-0105 (4), the phrase "permit to mine" in ECL 23-2703 (3) encompasses all applications to mine, including applications for renewal and modification.

This reading is further supported by the limited applicability of ECL 23-2703 (3) and the circumstances surrounding its enactment (*see Town of Aurora v Village of E. Aurora*, 32 NY3d 366, 372 [2018] ["Additionally, we should inquire into the spirit and purpose of the legislation, which requires examination of the statutory context of the provision as well as its legislative history" (internal quotation marks and citation omitted)]). ECL

23-2703 (3) applies only to counties with a population of one million or more that draw their primary source of drinking water from a designated sole source aquifer. The statute's targeted protection of such counties indicates that the legislative purpose of the limitations contained in the statute was to protect drinking water in those counties. It is noteworthy that the only counties in the state that currently meet the amendment's criteria are Nassau and Suffolk Counties, which are two of the state's largest and most densely populated counties and have the lowest quality drinking water.[1]

Local laws in these counties prohibited new mines as far back as 1972, and so, new mines were already prohibited within them when ECL 23-2703 (3) was enacted. As such, the addition of subdivision (3) reasonably appears to have been intended to address the threat to Nassau and Suffolk Counties' drinking water posed by the expansion of existing mines—not just the opening of new mines. Otherwise, ECL 23-2703 (3) would have provided no additional protection to the counties that meet its criteria beyond the protections from new mining activities afforded equally to every county in the state by the contemporaneous amendments to ECL 23-2711. Sand Land argues that the legislature's simultaneous amendment of ECL 23-2703 (3) and ECL 23-2711—the latter of which, as noted, addresses municipal zoning prohibitions in the context of "new mining permit[s]" and "mining permit[s] . . . for a property not previously permitted"—indicates that ECL 23-2703 (3) should also be read to bar only new permit applications in the prescribed areas. This argument, however, fails to account for both the plain language which applies to all applications, as well as the relevant statutory context.

III.

Sand Land maintains that a reading of the statute as governing not only new mine applications but also all modification and/or renewal applications is constitutionally infirm in that it would infringe upon the property rights of owners of lands which have a prior nonconforming use.

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1. Elizabeth Moran & Jana Bergere, *What's in My Water?*, New York Public Interest Research Group, May 2019, at 12; Matthew Chayes, *Report: Long Island's drinking water has most contaminants in state*, Newsday, June 5, 2019, at 1; Matthew McGrath, *Big Apple has New York's cleanest water while Long Island has the worst: report*, NY Post, May 29, 2019, at 1; Desiree D'lorio, *Report: Long Island Has Most Contaminated Drinking Water In New York*, WSHU, May 30, 2019, at 1.

"A statute is presumptively constitutional and should be construed in such a manner as to uphold its constitutionality" (*Eaton v New York City Conciliation & Appeals Bd.*, 56 NY2d 340, 346 [1982], citing McKinney's Cons Laws of NY, Book 1, Statutes § 150). It is well settled that "a nonconforming use of real property that exists at the time a restrictive zoning ordinance is enacted is constitutionally protected and will be permitted to continue, notwithstanding the contrary provisions of the ordinance" (*Jones v Town of Carroll*, 15 NY3d 139, 143 [2010] [internal quotation marks and citation omitted]; *see Buffalo Crushed Stone, Inc. v Town of Cheektowaga*, 13 NY3d 88, 97 [2009]; *Matter of Syracuse Aggregate Corp. v Weise*, 51 NY2d 278, 284 [1980]). As such, although nonconforming uses are generally viewed as undesirable and municipalities may gradually restrict them, such restrictions must be "placed in reasonable balance with the owner's interest in not having a property investment abruptly altered or terminated" (*Matter of Pelham Esplanade v Board of Trustees of Vil. of Pelham Manor*, 77 NY2d 66, 72 [1990]; *see Buffalo Crushed Stone*, 13 NY3d at 97), taking into account a town's police power to restrict activity for the sake of public health or safety (*see Town of Hempstead v Goldblatt*, 9 NY2d 101 [1961], *affd* 369 US 590 [1962]; *see also Syracuse Aggregate*, 51 NY2d at 286-287).

[2] Here, we note that the legislative amendment in ECL 23-2703 (3) does not itself prohibit mining in any particular location. Instead, ECL 23-2703 (3) implicitly contemplates that a mining applicant may have prior nonconforming use rights and requires DEC to defer to local town zoning laws when reviewing applications for mining permits.

Section 23-2703 (3) provides on its face that it is applicable only "if local zoning laws or ordinances prohibit mining uses *within the area proposed to be mined*" (emphasis added). If mining in that area is a recognized prior nonconforming use under the local zoning code, then the conclusion follows that the local law does *not* "prohibit mining uses" within the area proposed to be mined. That is, a zoning code that permits mining on a property as a prior nonconforming use cannot logically be said to prohibit that use within the meaning of ECL 23-2703 (3).

This reading of the statute is consistent with the Town's and DEC's past and current practices in dealing with prior nonconforming uses. In 2011 and 2016, well after the enactment of the amendment, the Town granted Sand Land certificates of occupancy stating that mining at the site was a prior nonconforming use, in conformity with the Code of the Town of Southampton (*see* § 330-115 [A] ["Any lawful use occupying any . . . lot or land at the time of the effective date of this chapter or any amendment thereto which does not comply after the effective date of this chapter or any amendment thereto with the use regulations of the district in which it is situated may be continued in the . . . lot or land so occupied" with some limited exceptions]). DEC has also issued renewal permits to Sand Land several times since the MLRL was amended, and it has done the same with other mines on Long Island along the same timeline. Thus, both DEC and the Town have previously concluded that mining is not entirely prohibited under the relevant local zoning laws.

Although we agree that the statute must be read to be consistent with mine owners' constitutionally protected rights, we reject Sand Land's assertion that mine owners have a constitutional right to mine their parcels to an indefinite depth, limited only by DEC's safety regulations. It is true that we have recognized mining sites to be a "diminishing asset" (*Syracuse Aggregate*, 51 NY2d at 285 [citation omitted]) and, as such, owners of mining sites may secure a "vested right" to expand their mines within their parcel (*Buffalo Crushed Stone*, 13 NY3d at 97, citing *People v Miller*, 304 NY 105, 107-108 [1952]). However, our prior decisions do not, as Sand Land argues, distinguish between horizontal and vertical expansion, and allow vertical expansions to an indefinite depth. Never have we stated that owners' vested rights are unlimited with regard to either the breadth or the depth of a mine. Instead, we have inquired into the extent to which the mine owner demonstrated an intention to mine the relevant portions of the property, regardless of the direction of the expansion in question:

> "A landowner who engages in substantial quarrying activities within its property and *demonstrates an intention* to do so in other portions of the land may sufficiently establish a prior nonconforming use extending to the boundaries of that property, notwithstanding the fact that quarrying may not have actually begun in that specific area." (*Buffalo Crushed Stone*, 13 NY3d at 98-99 [emphasis added].)

The question then is whether the owner has "engage[d] in substantial quarrying activities on a distinct parcel of land over a long period of time" and thereby "clearly *manifest[ed] an intent* to appropriate the entire parcel to the particular business of quarrying" (*Syracuse Aggregate*, 51 NY2d at 286 [emphasis added]). We have already discussed a variety of activities that may be considered in determining such intent (*see e.g. Jones*, 15 NY3d at 145-146; *Glacial Aggregates LLC v Town of Yorkshire*, 14 NY3d 127, 137-138 [2010]).[2] In addition, we have also stated that "the primary issue in these mining cases was not whether the landowners acquired vested rights under their permits, but whether the towns had approved or allowed the nonconforming uses" (*Jones*, 15 NY3d at 144-145 [observing that "the Town had acknowledged that there was no other reasonable use for the property and granted plaintiffs a variance that covered all 50 acres"]).

Here, ECL 23-2703 (3) does not eliminate or alter nonconforming use. Rather, the statute acts only as a protection against further expansion of those mining activities—beyond the permissible nonconforming use.

IV.

The dispositive questions in determining whether the expansion that Sand Land seeks is within the limits of its prior nonconforming use are whether Sand Land manifested an intent to mine the additional acres and the expanded depth it sought in its permit applications, and the extent to which the Town recognized Sand Land's use of the parcel. Both sides agree that the Code of the Town of Southampton protects prior nonconforming uses. However, despite extensive litigation in

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2. We have recognized that "mining permits are strong evidence of a manifestation of intent to mine a given area," though they are not the only possible evidence to establish the extent of a prior nonconforming use (*Buffalo Crushed Stone, Inc. v Town of Cheektowaga*, 13 NY3d 88, 101-102 [2009]). For example, an intent to quarry a particular section of a parcel was demonstrated by the owner's "preparation of maps to survey the potential materials to be extracted from the subparcel, putting 6,000 feet of pipe in place, negotiations to relocate a road, correspondence expressing an intent to mine the subparcel, preparations for removal of dirt, and drilling auger holes to identify areas for quarrying" as well as the clearing, grubbing and stripping of topsoil (*see Glacial Aggregates*, 14 NY3d at 137-138). Similarly, we concluded that intent to quarry was demonstrated by evidence that the owner of the parcel "dedicated substantial areas around the actual landfill site for related purposes, purchased necessary heavy equipment (such as a bulldozer, a backhoe, an excavator, a loader and a dump truck), employed a dozen people, developed plans for multi-stage enlargement of the landfill and engaged in discussions with investors regarding future operations" (*Jones*, 15 NY3d at 145-146).

this case, at no juncture has there been a determination of the extent of Sand Land's prior nonconforming use. DEC and Supreme Court concluded that the statute is inapplicable to modification and renewal permit applications and, therefore, the extent of the prior nonconforming use held by Sand Land was irrelevant to their decisions. The scope of nonconforming use was likewise irrelevant to the Appellate Division's determination since that court reasoned that ECL 23-2703 (3) bars DEC from processing all renewal and modification applications.

In the absence of a determination of the scope of Sand Land's prior nonconforming use, we cannot say whether, under the statute, DEC will ultimately be able to process the renewal and modification permit applications at issue in this case, both of which contained an expansion of the mine, in whole or in part. For that reason, we agree with the Appellate Division that the permits must be annulled, albeit for different reasons than those stated in its decision, and we remit the matter to Supreme Court to remand to DEC for further proceedings. Upon remand DEC must first ascertain from the Town, in a manner consistent with this opinion, whether Sand Land's proposed use is within the scope of any prior nonconforming use (*see People v Iverson*, 37 NY3d 98, 103-104 [2021] ["Ultimately, this Court should give the statute a sensible and practical over-all construction, which is consistent with and furthers its scheme and purpose and which harmonizes all its interlocking provisions" (internal quotation marks omitted)]). Ultimately, ECL 23-2703 (3) will bar DEC from processing any application that seeks to mine beyond the scope of prior nonconforming use. Should Sand Land disagree with the determination of the scope of its prior nonconforming use, it can litigate that issue in the proper forum for resolving local zoning disputes.

Accordingly, the Appellate Division order insofar as appealed from should be modified, without costs, by remitting to Supreme Court with directions to remand to DEC for further proceedings in accordance with this opinion and, as so modified, affirmed.

Judges Garcia, Wilson, Singas and Troutman concur; Judge Rivera took no part.

Order insofar as appealed from modified, without costs, by remitting to Supreme Court, Albany County, with directions to remand to New York State Department of Environmental Conservation for further proceedings in accordance with the opinion herein and, as so modified, affirmed.

[205 NE3d 423, 184 NYS3d 703]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v OSCAR SANDERS, Appellant.

Argued January 5, 2023; decided February 9, 2023

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 27, 2021. The Appellate Division affirmed judgments of Supreme Court, New York County (Abraham L. Clott, J.), which had convicted defendant, upon a jury verdict after a joint trial on two indictments, of attempted assault in the first degree, assault in the second degree, and criminal contempt in the first degree.

People v Sanders, 194 AD3d 652, reversed.

HEADNOTES

Crimes — Fair Trial — Defendant Handcuffed during Reading of Verdict and Polling of Jurors — Failure to Place Special Need for Restraints on Record

1. The trial judge committed a constitutional error by ordering defendant to be handcuffed when the jury returned to announce its verdict without placing the special need for such restraints on the record (*see Deck v Missouri*, 544 US 622 [2005]). The Due Process Clause of the Fourteenth Amendment to the United States Constitution prohibits states from physically restraining a defendant during a criminal trial without an on-the-record, individualized assessment of the state interest specific to a particular trial. Until the jury returns to the courtroom, publicly announces the verdict and, if polled, confirms the verdict, there is no finding of guilt, defendant is still presumed innocent, and the constitutional prohibition on restraining a defendant without explanation remains in full force. Because the error was not harmless beyond a reasonable doubt, it required reversal of defendant's conviction and a new trial.

Crimes — Appeal — Preservation of Issue for Review

2. Defendant's claim that the trial judge violated his constitutional due process rights by ordering defendant to be handcuffed when the jury returned to announce its verdict without providing an on-the-record, individualized explanation for the restraints was preserved for appellate review. Defense counsel noted his opposition to the handcuffing on the record based on a fear that the jurors would draw negative inferences about defendant by observing him physically restrained. Defense counsel's protest was sufficient to preserve the handcuffing issue since it made the defense's position about the handcuffing known to the court, thereby furnishing the trial judge with an opportunity to either provide an individualized explanation for the handcuffs or order the handcuffs removed (CPL 470.05 [2]). The trial judge did neither and instead cursorily denied the motion.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Appellate Review §§ 574, 637; AM JUR 2d Trial § 129.

CARMODY-WAIT 2d Conduct of Trial, in General §§ 190:150, 190:151; CARMODY-WAIT 2d Appeals in Criminal Cases § 207:163.

LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) §§ 23.3, 27.5.

MCKINNEY'S, CPL 470.05 (2).

NY JUR 2d Criminal Law: Procedure §§ 2513, 2515, 3556–3558.

ANNOTATION REFERENCE

Propriety and prejudicial effect of gagging, shackling, or otherwise physically restraining accused during course of state criminal trial. 90 ALR3d 17.

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POINTS OF COUNSEL

Davis Polk & Wardwell LLP, New York City (*Chase McReynolds, Lesley Chen, Christopher Combs* and *Jessica Simonelli* of counsel), and *Twyla Carter, The Legal Aid Society*, New York City (*David A. Crow* of counsel), for appellant. I. The trial court's decision to keep defendant handcuffed during verdict reading and jury polling, over objection and without any explanation, violated defendant's constitutional rights and prejudiced defendant. (*Estelle v Williams*, 425 US 501; *Deck v Missouri*, 544 US 622; *People v Clyde*, 18 NY3d 145; *Illinois v Allen*, 397 US 337; *People v Best*, 19 NY3d 739; *People v Cruz*, 17 NY3d 941; *People v Pickett*, 92 AD2d 843, 61 NY2d 773; *Duffy v Vogel*, 12 NY3d 169; *People v Simms*, 54 AD3d 691; *People v Francois*, 297 AD2d 750.) II. The trial court erred by refusing to instruct the jury on third-degree assault as a lesser-included offense. (*People v Almonte*, 33 NY3d 1083; *People v Devonish*, 6 NY3d 727; *People v Acevedo*, 141 AD3d 843; *People v Green*, 56 NY2d 427; *People v Henderson*, 41 NY2d 233; *People v Olivera*, 45 AD3d 154; *People v Van Norstrand*, 85 NY2d 131; *People v Griffin*, 173 AD2d 216; *People v Smith*, 59 NY2d 988.)

III. The trial court erred by denying an "ordinary force" justification charge. (*People v Cohen*, 50 NY2d 908; *People v Davis*, 147 AD3d 971; *People v Kelly*, 164 AD2d 767; *People v McManus*, 67 NY2d 541; *People v Molina*, 101 AD3d 577; *People v Padgett*, 60 NY2d 142; *People v Smith*, 62 AD3d 411; *People v Ogodor*, 207 AD2d 461; *People v Jones*, 148 AD2d 547; *People v Vega*, 33 NY3d 1002.) IV. The trial court's failure to follow the mandatory requirements of CPL 400.20 requires a de novo sentencing hearing. (*People v Kozlow*, 8 NY3d 554; *Rocovich v Consolidated Edison Co.*, 78 NY2d 509; *People v Banks*, 265 AD2d 163; *People v Brown*, 106 AD3d 755; *People v Ruffins*, 6 AD3d 1153; *People v Jones*, 268 AD2d 356; *People v Richards*, 228 AD2d 792; *Matter of Lyons v Goldstein*, 290 NY 19; *People v Conceicao*, 26 NY3d 375; *People v Mox*, 20 NY3d 936.)

Alvin L. Bragg, Jr., District Attorney, New York City (*Philip V. Tisne, Steven C. Wu* and *Dana Poole* of counsel), for respondent. I. There was no error in the trial court's jury instructions (answering defendant's Point II and Point III). (*People v Glover*, 57 NY2d 61; *People v Rivera*, 23 NY3d 112; *People v Scarborough*, 49 NY2d 364; *People v Sipp*, 33 NY3d 1119; *People v Almonte*, 33 NY3d 1083; *People v Diaz*, 33 NY3d 92; *People v Vega*, 33 NY3d 1002; *People v Allen*, 32 NY3d 611; *People v Molina*, 101 AD3d 577; *People v Powell*, 101 AD3d 1369.) II. The brief handcuffing of defendant while the jury rendered its verdict does not require a new trial (answering defendant's Point I). (*People v Clyde*, 18 NY3d 145; *Deck v Missouri*, 544 US 622; *People v Best*, 19 NY3d 739; *People v Griggs*, 27 NY3d 602; *People v Leitzsey*, 142 AD3d 918; *People v Alexander*, 127 AD3d 1429; *United States v Moore*, 954 F3d 1322; *United States v Morales*, 758 F3d 1232; *United States v Turner*, 674 F3d 420; *United States v Miller*, 531 F3d 340.) III. Defendant was lawfully sentenced as a persistent felony offender (answering defendant's Point IV). (*People v Prindle*, 29 NY3d 463; *Portalatin v Graham*, 624 F3d 69; *People v Lashley*, 37 NY3d 1140; *People v Bouyea*, 64 NY2d 1140; *People v Williams*, 163 AD3d 1422; *People v Jackson*, 119 AD3d 1346; *People v Mateo*, 101 AD3d 1458; *People v Hargroves*, 27 AD3d 765; *People v Brown*, 6 AD3d 1125; *People v Hudson*, 296 AD2d 510.)

OPINION OF THE COURT

RIVERA, J.

The "long forbidden routine use of visible shackles during the guilt phase" of a trial in the absence "of a special need"

(*Deck v Missouri*, 544 US 622, 626 [2005]) applies during the jury's reading of its verdict and the court's polling of the jurors. Here, the trial judge violated this constitutional due process prohibition by ordering defendant to be handcuffed when the jury returned to announce its verdict without providing an on-the-record, individualized explanation for the restraints. Because this error was not harmless, it requires reversal of defendant's conviction and a new trial.

Defendant Oscar Sanders was tried before a jury on one count of attempted assault in the first degree (Penal Law §§ 110.00, 120.10 [2]) and one count of assault in the second degree (*id.* § 120.05 [2]) arising from a physical altercation with the victim and three counts of criminal contempt resulting from his subsequent violations of an order of protection. After the jury advised the court that it had reached a verdict but before the jury returned to the courtroom, defense counsel observed defendant in handcuffs. Counsel made the following objection in open court:

> "I understand that it's this [c]ourt's policy, I just learned this minutes ago, to keep my client in handcuffs while the jury comes out and renders their verdict. But it's my understanding that the law allows for the defense and [p]rosecution to poll the jury with the idea in mind that perhaps the unanimity of the jury can be questioned even when the foreperson announces a unanimous jury. And with that in mind, being that the defendant is in handcuffs while they announce that verdict, especially in the case of if it's a verdict of guilty, lends pressure to anyone who might dissent during that polling to be influenced negatively against anyone in handcuffs, and certainly in this case, I would say that's true for [defendant]. So I'm asking you to leave him uncuffed during the reading of the verdict for that reason."

The court responded: "All right. The application is denied. Bring in the panel." A court officer then directed everyone in the courtroom to stand as the jury entered and, after the jurors had entered, the trial judge ordered defendant to once again stand for the reading of the verdict. The jury then found defendant guilty of attempted assault in the first degree, assault in the second degree, and one count of criminal contempt and the court confirmed the verdict by polling the jurors. Defendant was subsequently sentenced as a persistent felony offender to an aggregate term of 15 years to life imprisonment.

On defendant's appeal, the Appellate Division affirmed, reasoning, in relevant part, that "[a]ny error in defendant being handcuffed, without any explanation on the record, during the rendition of the verdict and the polling of the jury was harmless" because the jury had already reached its verdict and "[d]efendant's suggestion that jurors may have been inclined to repudiate their verdicts during polling, but were influenced to refrain from doing so by the sight of defendant in handcuffs, is highly speculative" (194 AD3d 652, 653 [1st Dept 2021]). A Judge of this Court granted defendant leave to appeal (37 NY3d 1029 [2021]). We now reverse.

[1, 2] The Due Process Clause of the Fourteenth Amendment to the United States Constitution prohibits states from physically restraining a defendant during a criminal trial without an on-the-record, individualized assessment of the "state interest specific to a particular trial" (*Deck*, 544 US at 628-629, 632; *see also People v Clyde*, 18 NY3d 145, 153 [2011]). A trial court therefore has a constitutional obligation to conduct "close judicial scrutiny" before ordering a defendant restrained (*Holbrook v Flynn*, 475 US 560, 568 [1986] [internal quotation marks omitted], quoting *Estelle v Williams*, 425 US 501, 504 [1976]). It is undisputed that no such scrutiny occurred here and therefore the trial judge committed a constitutional error by ordering defendant handcuffed without placing the special need for such restraints on the record (*Deck*, 544 US at 628-629; *Clyde*, 18 NY3d at 152-153).*

The prosecution's claim that the constitutional prohibition articulated in *Deck* does not apply during the reading of the jury verdict and polling of individual jurors is meritless. First,

* **[2]** Contrary to the prosecution's assertion, defendant's claim is preserved. To preserve an issue for appeal, "counsel must register an objection and apprise the court of grounds upon which the objection is based 'at the time' of the allegedly erroneous ruling 'or at any subsequent time when the court had an opportunity of effectively changing the same' " (*People v Cantave*, 21 NY3d 374, 378 [2013], quoting CPL 470.05 [2]). Here, defense counsel noted his opposition to the handcuffing on the record based on a fear that the jurors would draw negative inferences about defendant by observing him physically restrained. Defense counsel's "protest" was "sufficient" to preserve the handcuffing issue since it made the defense's "position" about the handcuffing "known to the court," thereby furnishing the trial judge with an opportunity to either: (1) provide an individualized explanation for the handcuffs; or (2) order the handcuffs removed (CPL 470.05 [2]). The trial judge did neither and instead cursorily denied the motion.

Deck involved the application of the constitutional prohibition against restraint during the punishment phase of a capital case, which necessarily occurred after the guilty verdict had been entered (*see* 544 US at 624-626). Second, the reading of the verdict is an integral part of the guilt-determination phase. As the Court explained in *People v Salemmo*, citing to CPL 310.80, "a verdict reported by the jury is not final unless properly recorded and accepted by the court" (38 NY2d 357, 361 [1976], citing CPL 310.80). Indeed, in accordance with CPL 310.80, the trial court must order the jury to resume deliberations when polling elicits a negative answer from one or more jurors. As a consequence, until the jury returns to the courtroom, publicly announces the verdict and, if polled, confirms the verdict, there is no finding of guilt, defendant is still presumed innocent, and the constitutional prohibition on restraining a defendant without explanation remains in full force.

Under the applicable harmless error standard, we cannot say that this constitutional error was harmless beyond a reasonable doubt (*see Clyde*, 18 NY3d at 153-154; *see also People v Crimmins*, 36 NY2d 230, 237-238 [1975]). The error here requires reversal of defendant's conviction and a new trial (*see People v Williams*, 25 NY3d 185, 195 [2015]). Our decision renders defendant's remaining claims academic (*see e.g. People v Murray*, 39 NY3d 10, 16 [2022]). Accordingly, the order of the Appellate Division should be reversed and a new trial ordered.

Acting Chief Judge Cannataro and Judges Garcia, Wilson, Singas and Troutman concur.

Order reversed and a new trial ordered.

[205 NE3d 436, 184 NYS3d 716]

KRYSTALO HETELEKIDES, Individually and as Executrix of the Estate of DEMETRIOS HETELEKIDES, Also Known as JIMMY HETELEKIDES, Deceased, Appellant, v COUNTY OF ONTARIO et al., Respondents.

Argued January 3, 2023; decided February 14, 2023

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered April 30, 2021. The Appellate Division modified, on the law, a judgment (denominated order) of the Supreme Court, Ontario County (John J. Ark, J.), entered after a nonjury trial and upon a decision, judgment, and order of that Supreme Court (op 2019 NY Slip Op 34913[U] [2019]), which had "ordered and adjudged" that (1) the underlying tax lien foreclosure proceeding concerning the subject property was "a nullity"; (2) plaintiff failed to sustain her burden of proof to establish a violation of 42 USC § 1983; (3) plaintiff's 42 USC §§ 1983 and 1988 claims were dismissed; (4) plaintiff in her individual capacity received a tax deed to the property in June 2007 and has remained in title to the property ever since; (5) pursuant to RPTL 1136 (1) the tax deed under which plaintiff currently held title was preserved; (6) pursuant to RPTL 1136 (1) plaintiff remained the titled owner to the property; (7) plaintiff was entitled to a refund in an amount representing the difference between the purchase price and the tax arrearages; (8) plaintiff was awarded a certain sum in damages with prejudgment interest; (9) plaintiff was not entitled to an award of damages for borrowing costs; (10) plaintiff was awarded costs in accordance with the CPLR; and (11) plaintiff was awarded postjudgment interest. The modification consisted of vacating the first, seventh, eighth, tenth and eleventh ordered and adjudges paragraphs. The Appellate Division affirmed the judgment as modified.

Hetelekides v County of Ontario, 193 AD3d 1414, affirmed.

HEADNOTES

Taxation — Tax Liens, Tax Sales and Tax Titles — Tax Foreclosure Proceeding — Deceased Property Owner

1. In an action by plaintiff, decedent's wife and executor of his estate, to recover damages allegedly incurred as a result of the tax foreclosure sale of decedent's property, County Court had jurisdiction to enter a default judg-

ment in the tax foreclosure proceeding in favor of the county defendants because the proceeding was validly commenced against the property, not against a deceased owner. An action or proceeding in rem has for its subject specific property which is within the jurisdiction and control of the court to which application for relief is made. In an action in rem, a court obtains jurisdiction over the "res"—the property at issue in the proceeding. An action for foreclosure is in the nature of a proceeding in rem to appropriate the land. While a dead person cannot be sued, an action in rem, like a tax foreclosure proceeding, is not an action against a person, but rather the subject property on which the tax was charged and due. Property owners and interested parties are owed adequate process where their property rights are at stake through an in rem foreclosure proceeding. However, those are not matters which go to the jurisdiction of the court to entertain the action on its merits. Accordingly, the holding in *Matter of Foreclosure of Tax Liens* (165 AD3d 1112 [2d Dept 2018] [*Goldman*]) that a tax foreclosure proceeding may not be maintained against a deceased person rests on an erroneous legal premise and should not be followed. *Matter of City of Schenectady (Permaul)* (201 AD3d 1 [3d Dept 2021]) is also abrogated to the extent that it relied upon *Goldman*.

Taxation — Tax Liens, Tax Sales and Tax Titles — Tax Foreclosure Notice Requirements

2. In an action by plaintiff, decedent's wife and executor of his estate, to recover damages allegedly incurred as a result of the tax foreclosure sale of decedent's property, defendants satisfied both their statutory and constitutional obligations to provide plaintiff with adequate notice of the tax foreclosure proceeding, as defendants' efforts were reasonably calculated to ascertain and notify any persons who might have had a legal interest in the property that might have been affected by the pending foreclosure action and redemption period. When defendants performed the required search of public records, decedent was alive and listed as an owner. The notices were sent by certified mail and first-class mail to him at the property address, the mailings were not returned, and the return receipts were signed for by a restaurant employee. Thus, the notice was sent in compliance with the statutory requirements. Defendants publicized the notice and petition in two local newspapers on three different days and mailed six copies of the notice to the property. Once defendants learned that decedent had died, the Treasurer made additional efforts to notify living interested parties before the time to redeem had expired. No one returned his calls, and he was told that no one was available when he visited the business located on the property. Throughout this period plaintiff worked at the business seven days a week and handled its mail. Moreover, a taxing authority is entitled to expect that those appointed to administer estates that include real property would place something on the land record to put the world on notice of the owner's death and would also obtain mail addressed to their decedent. Plaintiff also failed to avail herself of recourse under RPTL article 11, take any actions to ensure that the Treasurer was aware of her status, attempt to pay the tax to avoid foreclosure, or seek to vacate the default judgment.

Taxation — Tax Liens, Tax Sales and Tax Titles — Tax Foreclosure Proceeding — Policy or Custom Causing Violation of Constitutional Rights

3. In an action by plaintiff, decedent's wife and executor of his estate, to recover damages allegedly incurred as a result of the tax foreclosure sale of decedent's property, plaintiff's claims under 42 USC §§ 1983 and 1988 alleg-

ing that defendants had adopted a policy, custom, or practice precluding adequate due process to persons with interests in real property were properly dismissed, where the record failed to establish an official policy or custom that caused a violation of plaintiff's constitutional rights. To establish a policy or custom, plaintiff was required to show an official policy or custom of the county government itself that caused the Treasurer or his employees to violate her constitutional rights. Official municipal policy includes the decisions of a government's lawmakers, the acts of its policymaking officials, and practices so persistent and widespread as to practically have the force of law. Plaintiff did not provide evidence that defendants routinely failed to notify estate administrators or parties who informed defendants of their interests or an owner's death. Once defendants learned of decedent's death, the Treasurer took steps to identify and provide notice to parties with a legal interest in the property that would be affected by the foreclosure and redemption deadline by personally contacting the restaurant to identify an owner or manager. Thus, plaintiff failed to carry her burden since nothing in the record established an official policy or a widespread custom violative of due process.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d Civil Rights §§ 60, 65, 77, 80, 143, 149; Am Jur 2d Courts § 69; Am Jur 2d State and Local Taxation §§ 793, 816, 825–831.

Carmody-Wait 2d Jurisdiction in Personam and in Rem §§ 25:73, 25:75, 25:81; Carmody-Wait 2d Foreclosure of Tax Lien on Real Property §§ 99:32, 99:45, 99:48–99:51, 99:55, 99:56, 99:62, 99:67.

NY Jur 2d Courts and Judges §§ 665, 668; NY Jur 2d Taxation and Assessment §§ 685, 688–691, 697–699, 2781.

Siegel, NY Prac (6th ed) §§ 101, 107.

42 USCA §§ 1983, 1988.

ANNOTATION REFERENCE

See ALR Index under Due Process; In Rem Jurisdiction; Notice or Knowledge; Tax Liens.

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POINTS OF COUNSEL

Adams Leclair, LLP, Rochester (*Mary Jo S. Korona* and *Robert P. Yawman* of counsel), for appellant. I. The foreclosure proceeding should be declared a nullity because respondents failed to afford due process under the law. (*Mullane v Central Hanover Bank & Trust Co.*, 339 US 306; *Matter of McCann v Scaduto*, 71 NY2d 164; *Matter of Orange County Commr. of Fin. [Helseth]*, 18 NY3d 634; *Central Sav. Bank v City of New York*, 280 NY 9; *Ives v South Buffalo Ry. Co.*, 201 NY 271; *Matter of Arroyo v Annucci*, 61 Misc 3d 930; *Garden Homes Woodlands Co. v Town of Dover*, 95 NY2d 516; *Jones v Flowers*, 547 US 220; *Covey v Town of Somers*, 351 US 141; *Matter of Foreclosure of Tax Liens*, 165 AD3d 1112.) II. The Appellate Division erred because the court presiding over the in rem proceeding lacked jurisdiction. (*Shaffer v Heitner*, 433 US 186; *Singer v Riskin*, 32 AD3d 839.) III. Appellant satisfied the predicates for establishing liability under 42 USC § 1983 and costs pursuant to 42 USC § 1988. (*Harris v City of New York*, 153 AD3d 1333; *Simpson v New York City Tr. Auth.*, 112 AD2d 89; *Monell v New York City Department of Social Servs.*, 436 US 658; *St. Louis v Praprotnik*, 485 US 112; *Nelson v Ulster County, N.Y.*, 789 F Supp 2d 345; *Town of Orangetown v Magee*, 88 NY2d 41; *Bower Assoc. v Town of Pleasant Val.*, 2 NY3d 617; *Bassett v City of Rye*, 104 AD3d 889.) IV. Appellant is entitled to damages including borrowing costs incurred to pay the auction sale bid price of $160,000. (*E.J. Brooks Co. v Cambridge Sec. Seals*, 31 NY3d 441; *423 S. Salina St. v City of Syracuse*, 68 NY2d 474.)

Jason S. DiPonzio, Rochester, for respondents. I. The Appellate Division, Fourth Department's decision is based upon well-settled Court of Appeals precedent regarding notice requirements under RPTL 1125. (*Jones v Flowers*, 547 US 220; *Matter of Harner v County of Tioga*, 5 NY3d 136; *Matter of Orange County Commr. of Fin. [Helseth]*, 18 NY3d 634; *Kennedy v Mossafa*, 100 NY2d 1; *Miner v Clinton County, N.Y.*, 541 F3d 464; *Mullane v Central Hanover Bank & Trust Co.*, 339 US 306; *Matter of Barnes v McFadden*, 6 NY3d 890; *Matter of Foreclosure of Tax Liens by City of Schenectady [Permaul]*, 201 AD3d 1; *Matter of Foreclosure of Tax Liens by County of Ontario [Helser]*, 72 AD3d 1636; *Matter of Foreclosure of Tax Liens by County of Herkimer [Jones]*, 34 AD3d 1327.) II. The Appellate Division, Fourth Department properly declined to follow the *Matter of Foreclosure of Tax Liens* (165 AD3d 1112 [2d Dept 2018]) case. (*Matter of Foreclosure of Tax Liens by City of Schenectady [Permaul]*, 201 AD3d 1; *Majique Fashions v Warwick & Co.*, 67 AD2d 321; *Kelly v Stanmar, Inc.*, 51 Misc 2d 378; *Sloane v Martin*, 145 NY 524; *Mohr v Manierre*, 101 US 417;

Lily Dale Assembly v County of Chautauqua, 72 AD2d 950, 52 NY2d 943; *Mullane v Central Hanover Bank & Trust Co.*, 339 US 306; *Mennonite Bd. of Missions v Adams*, 462 US 791; *Matter of McCann v Scaduto*, 71 NY2d 164; *Matter of Zaharia*, 243 AD2d 926.) III. Appellant has abandoned her arguments that she was given incorrect information regarding taxes due for the property. (*People v Correa*, 15 NY3d 213; *Matter of Village of Fleischmanns [Delaware Natl. Bank of Delhi]*, 77 AD3d 1146; *Wilson v Neighborhood Restore Hous.*, 129 AD3d 948.) IV. Appellant's causes of action under 42 USC §§ 1983 and 1988 were properly dismissed. (*Hudson Val. Mar., Inc. v Town of Cortlandt*, 79 AD3d 700; *DiPalma v Phelan*, 179 AD2d 1009, 81 NY2d 754; *Howe v Village of Trumansburg*, 199 AD2d 749; *Harris v City of New York*, 153 AD3d 1333; *De Lourdes Torres v Jones*, 26 NY3d 742; *Simpson v New York City Tr. Auth.*, 112 AD2d 89; *Bower Assoc. v Town of Pleasant Val.*, 2 NY3d 617; *Nelson v Ulster County, N.Y.*, 789 F Supp 2d 345; *Broadway & 67th St. Corp. v City of New York*, 100 AD2d 478; *Bowen v Nassau County*, 135 AD3d 800.) V. The trial court properly denied appellant's request for borrowing costs. (*Love v State of New York*, 78 NY2d 540; *New York State Higher Educ. Servs. Corp. v Laudenslager*, 161 Misc 2d 329.)

Pacific Legal Foundation, Arlington, Virginia (*Jonathan M. Houghton* of counsel) and Sacramento, California (*David J. Deerson* and *Christina M. Martin* of counsel), for Pacific Legal Foundation, amicus curiae. I. Due process requires courts to consider both the potential of windfalls to noticers and the magnitude of erroneous deprivation to property owners. (*Morrissey v Brewer*, 408 US 471; *Mennonite Bd. of Missions v Adams*, 462 US 791; *Mullane v Central Hanover Bank & Trust Co.*, 339 US 306; *Matter of McCann v Scaduto*, 71 NY2d 164; *Jones v Flowers*, 547 US 220; *Kennedy v Mossafa*, 100 NY2d 1; *Plemons v Gale*, 382 F Supp 2d 826; *United States v James Daniel Good Real Property*, 510 US 43; *Tumey v Ohio*, 273 US 510.) II. This Court should also apply a heightened due process scrutiny because the County of Ontario is engaging in unconstitutional home equity theft. (*American Economy Ins. Co. v State of New York*, 30 NY3d 136; *Sheehan v County of Suffolk*, 67 NY2d 52; *Park of Edgewater v Joy*, 50 NY2d 946; *Massachusetts Natl. Bank v Shinn*, 163 NY 360; *Melcher v Greenberg Traurig, LLP*, 23 NY3d 10; *People v Green*, 201 NY 172; *Nelson v City of New York*, 352 US 103.)

OPINION OF THE COURT

Rivera, J.

Two fundamental legal principles govern our decision in this appeal. First, a tax foreclosure proceeding is in rem against the "res"—the taxable real property—and not an action in personam commenced against an individual to establish personal liability. Second, New York statutory law and state and federal constitutional guarantees of due process require that the petitioner in a foreclosure proceeding must attempt notice that is reasonably calculated to alert all parties with an interest in the property.

Here, defendants commenced an in rem tax foreclosure proceeding and mailed the statutorily-required notice to the publicly-listed owners of the property, posted and filed the notice, and publicized the notice in the press. Upon learning that a person listed as an owner died before the notices were issued, defendant County Treasurer also personally contacted the sole business located on the property in an effort to identify and personally inform a manager, owner, or any person in charge of the pending foreclosure proceeding. Under these circumstances, defendants provided legally adequate notice of a validly commenced tax foreclosure action. We therefore affirm the Appellate Division's order.

I.

Plaintiff Krystalo Hetelekides, individually as the owner of the property and as executor of the estate of her husband, decedent Demetrios Hetelekides (also known as James Hetelekides), commenced this action against defendants County of Ontario and County Treasurer Gary G. Baxter for damages plaintiff allegedly incurred as a result of the tax foreclosure sale of decedent's property in the Town of Hopewell. At the time of suit, plaintiff had obtained title to the property after a third party purchased the property at public auction and assigned the bid to plaintiff, who paid the entire purchase price. Plaintiff alleged that she was owed the difference between the unpaid tax arrears and the auction purchase price and interest.

According to the record of the bench trial, decedent owned the property and—with plaintiff—operated a restaurant there. Until his death, decedent was responsible for paying the real property taxes. He had not paid the annual tax by the January 1, 2005 deadline when a tax lien was created by operation of law.

Defendants took action pursuant to RPTL article 11 to collect the overdue tax. First, the Treasurer hired a private commercial abstract company to identify the interested parties; the investigator reported that, as of August 31, 2005, and again on May 31, 2006, decedent was the publicly-listed property owner.[1] Thereafter, on November 14, 2005, the Treasurer included the property on a list of delinquent taxes and executed and filed the list with the Clerk of the County in accordance with RPTL 1122.[2] The tax remained unpaid when decedent died on August 1, 2006, a year and a half after the tax became due and almost a year after the filing of the delinquent taxes list.

As provided by RPTL 1123, on October 2, 2006—21 months after the lien date—the Treasurer filed an in rem foreclosure petition in Ontario County Court.[3] The same day, the Treasurer's Office sent notices of foreclosure and copies of the petition by certified mail, return receipt requested, and by ordinary first-class mail to the property, each addressed separately to "James Hetelekides"; "Hetelekides James"; and "Geo-Tas-Inc." All told, six separate mailings were sent to the property. The notice listed January 12, 2007, as the final day to redeem the property.[4] On October 2, the Treasurer also posted a copy of the notice and petition in the Ontario County Clerk's Office, published the notice in two local newspapers, and ran additional publications in the newspapers on October 16 and

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1. The abstract also listed Geo-Tas, Inc. as an owner of the property, but noted that it did not have title. Our resolution of this appeal does not require us to consider whether the separate notifications to Geo-Tas satisfied due process.

2. RPTL 1122 (1) provides, in relevant part, that at least "one month after the receipt of the return of unpaid taxes," and at the first opportunity after 10 months from the lien date, "the enforcing officer of each tax district shall execute a list of all parcels of real property . . . affected by delinquent tax liens held and owned by such tax district." The list of delinquent taxes must describe each parcel, list "[t]he name or names of the owner or owners of each such parcel as appearing on the tax roll," and state the "amount of each tax lien upon such parcel" (RPTL 1122 [6]).

3. RPTL 1123 requires an enforcing officer to file a petition of foreclosure, in a specified form, "[t]wenty-one months after [the] lien date, or as soon thereafter as is practicable" (RPTL 1123 [1]; *see* [2]-[4]).

4. In New York, a taxpayer has a statutory right to "redeem" their property—that is, to pay the delinquent taxes plus any charges in full—before a foreclosure becomes final (*see* RPTL 1110). The concept of redemption developed as an equitable principle in the English courts of chancery (*see generally BFP v Resolution Trust Corporation*, 511 US 531, 541 [1994]; 5 Herbert Thorndike Tiffany, Tiffany Real Property § 1379 [3d ed, Sept. 2022 update]).

November 1. The certified mailings arrived on October 3, and a longtime employee of the restaurant signed the return receipts, which were then returned to the Treasurer's Office.

During the bench trial, the Treasurer testified that he first became aware of decedent's death and that plaintiff was operating the restaurant in late December 2006 or early January 2007. Thereafter, on three consecutive days during afternoon business hours, the Treasurer personally contacted the restaurant to speak with someone regarding the property. First, on Tuesday, January 9, 2007, the Treasurer called, identified himself, and asked to "speak to the owner, the manager, [or] someone that's in charge of the business." When he was told that no one was available, he said that "[i]t's very imperative or very important that I talk to somebody that owns the business or manages it or has control over it," and asked to be called back. Nobody responded. The Treasurer then called again the following day and asked to "talk to somebody, the owner, somebody who is in charge, a manager, anyone that can—that has any authority [over the] business, please, I need to talk to somebody." The person who answered the phone said that no one was available, and the Treasurer responded that he had "called yesterday" and "[i]t's very important that I talk to somebody." The Treasurer did not hear back and, the next day at roughly 1:30 p.m., he personally visited the restaurant, identified himself, and repeated to an employee that he needed to speak with a manager or anyone with authority. He was told a third time that no one was available. The Treasurer left his business card, asked for a return call, and reiterated that it was "very important" that he speak with someone. It is undisputed that, at the time of the Treasurer's phone calls and visit, plaintiff worked daily at the restaurant.

By plaintiff's own testimony, the Treasurer's Office and a town employee gave her conflicting information regarding whether the tax was paid in full. According to plaintiff, after she received her residential tax bill, she went to the Treasurer's Office in either late December 2006 or early January 2007, paid that tax, and asked whether the tax on the restaurant property had been paid. She maintained that a clerk in the Treasurer's Office informed her that the property tax had been paid. However, when she checked with the Town's offices, she was told by an employee that the tax was unpaid. She spoke to the clerk at the Treasurer's Office on two additional occasions and each time was told that the property tax was paid. The clerk testified that she did not recall those conversations, and that, as a matter of course, an in-person inquiry related to a property would have been noted in the office's records, but that no such record existed confirming plaintiff's visits.

The tax was still unpaid by the redemption deadline and it is undisputed that the Treasurer declined plaintiff's late offer to redeem. Thereafter, on February 5, 2007, defendants successfully moved for a default judgment in the foreclosure proceeding. Plaintiff, who at that point had retained counsel, did not move to vacate the default and instead unsuccessfully attempted to persuade the County Board of Supervisors to allow her to redeem the property. She also filed a petition in Surrogate's Court, after the default judgment issued, as the named executor to probate decedent's will, under which she was the named heir to the property. Subsequently, in May 2007 an individual purchased the property at public auction and assigned the bid to plaintiff, who then paid the purchase price and received title to the property. The following month, Surrogate's Court issued letters testamentary to plaintiff.

Plaintiff commenced this action in Supreme Court alleging that the in rem foreclosure proceeding was a nullity and that defendants had violated her due process rights; she also asserted additional claims under 42 USC §§ 1983 and 1988, contending that the County had adopted a policy, custom, or practice precluding the Treasurer from providing adequate due process to persons with interests in real property. Following a bench trial, Supreme Court rendered a verdict in plaintiff's favor, except as to the federal statutory claims, concluding that the Treasurer's mailings failed to comply with RPTL 1125 because they were addressed to decedent rather than his estate or plaintiff and that the foreclosure proceeding was a nullity because it was brought against a deceased person (2019 NY Slip Op 34913[U] [Sup Ct, Ontario County 2019]).

The Appellate Division modified the judgment, on the law, by vacating those parts that declared the foreclosure proceeding a nullity and granted plaintiff monetary relief, and, as so modified, affirmed (193 AD3d 1414 [4th Dept 2021]). The Court concluded that the evidence presented at the bench trial established compliance with all statutory and due process requirements (*see id.* at 1417). The Court also held that, assuming, arguendo, that defendants were required to take additional steps to ensure that plaintiff received due process, defendants took sufficient steps because the Treasurer made "three personal attempts to talk to someone with authority" and could not have further determined who owned the property because plaintiff had not yet filed a petition in Surrogate's Court (*id.* at 1419). Finally, the Court rejected the Second Department's reasoning in *Matter of Foreclosure of Tax Liens* (165 AD3d 1112 [2d Dept 2018] [*Goldman*], *appeal dismissed & lv denied* 35 NY3d 998 [2020])—which had held that a tax foreclosure proceeding may not be maintained against a deceased person—because the proceeding was in rem against the property and not in personam against decedent personally. Plaintiff appealed as of right on constitutional grounds and alternatively moved for leave to appeal. We denied the motion for leave as unnecessary (37 NY3d 1103 [2021]).

II.

Plaintiff, relying on *Goldman*, first alleges that the in rem foreclosure proceeding was a nullity, and that County Court therefore lacked jurisdiction to enter a default judgment, because defendants had brought the action against a deceased person. Defendants respond that the in rem foreclosure proceeding was brought against the property, not against the owner, and thus County Court had jurisdiction.

Plaintiff's contention that the foreclosure proceeding was a nullity is based on a misunderstanding of the difference between in rem and in personam jurisdiction, and a conflation of those differences with respect to notice requirements. "Distinctions between actions *in rem* and those *in personam* are ancient and originally expressed[,] in procedural terms[,] what seems really to have been a distinction in the substantive law of property under a system quite unlike our own" (*Mullane v Central Hanover Bank & Trust Co.*, 339 US 306, 312 [1950]; *see generally* 2 Joseph Story, Commentaries on Equity Jurisprudence, as Administered in England and America § 1007 at 273-274 [1836]; Paul Krueger, Justinian's Institutes, book 4, 4.6.1 [Peter Birks & Grant McLeod translation 1987]; The Institutes of Gaius, book 4, 4.2-4.3 [W.M. Gordon & O.F. Robinson translation 1988]). In New York, the CPLR makes clear that those distinctions continue to exist: "A court may exercise such jurisdiction over persons, property, or status as might have been exercised heretofore" (CPLR 301). In their modern form, those distinctions rest upon the nature of the action and the source of a court's authority to enter judgment (*see generally* Vincent C. Alexander, Prac Commentaries, McKinney's Cons Laws of NY, CPLR C301:1).

"An action *in personam*, giving the persons all the rights and remedies incident to a judgment in such action, is very different from a proceeding by special process *in rem*, either against specified property, or the property at large of the debtor" (*Lowry v Inman*, 46 NY 119, 128 [1871]). "An action or proceeding *in rem* has for its subject specific property which is within the jurisdiction and control of the court to which application for relief is made" (*Hanna v Stedman*, 230 NY 326, 335 [1921]). "The foundation of [in rem] jurisdiction is physical power" (*McDonald v Mabee*, 243 US 90, 91 [1917]), and in an action in rem, a court obtains jurisdiction over the "res"—the property at issue in the proceeding (*see Hanson v Denckla*, 357 US 235, 246 [1958] ["The basis of the jurisdiction is the presence of the subject property within the territorial jurisdiction of the forum (s)tate"]; *see generally* David D. Siegel & Patrick M. Connors, New York Practice § 101 [6th ed, Dec. 2022 update]). Thus, "[an] action [in rem] proceeds against such specific property and its object is to have the court define the rights therein of various and conflicting claimants" (*Hanna*, 230 NY at 335; *see e.g. Freeman v Alderson*, 119 US 185, 187 [1886] ["Actions *in rem*, strictly considered, are proceedings against property alone, treated as responsible for the claims asserted by the libellants or plaintiffs. The property itself is in such actions the defendant"]; Black's Law Dictionary [11th ed 2019], action in rem). "The result of such an action is a judgment which operates upon the property and which has no element of personal claim or personal liability" (*Hanna*, 230 NY at 335; *see Hanson*, 357 US at 246 n 12 ["A judgment *in rem* affects the interests of all persons in designated property"]).

In contrast, an action in personam is initiated against a person to determine their personal rights and obligations (*see e.g. Lowry*, 46 NY at 128; Black's Law Dictionary [11th ed 2019], action in personam). Thus, "[a] judgment *in personam* imposes a personal liability or obligation on one person in favor of another" (*Hanson*, 357 US at 246 n 12). In such an action, "a state court base[s] its jurisdiction upon its authority over the defendant's person" (*Mennonite Bd. of Missions v Adams*, 462 US 791, 796 n 3 [1983]).

This Court has long recognized that "an action for foreclosure 'is in the nature of a proceeding *in rem* to appropriate the land' " (*Jo Ann Homes at Bellmore v Dworetz*, 25 NY2d 112, 122 [1969], quoting *Reichert v Stilwell*, 172 NY 83, 89 [1902]; *see Dudley v Congregation of Third Order of St. Francis*, 138

NY 451, 458 [1893]; *see generally* 59A CJS, Mortgages § 873). Indeed, this Court has clearly described tax foreclosure proceedings as being governed by a "detailed . . . in rem foreclosure procedure" set forth in RPTL article 11 (*Sonmax, Inc. v City of New York*, 43 NY2d 253, 256 [1977]).[5] The legislative history of article 11—originally enacted as article 7-a of the Tax Law by chapter 692 of the Laws of 1939—confirms that tax foreclosure proceedings involve "proceed[ing] *directly against the land*" instead of the owner of the taxable real property (Mem of George Xanthaky, Councilmember, City of Long Beach, Bill Jacket, L 1939, ch 692 at 12, 14 [emphasis added]; *see* Arnold Frye, The Tax Foreclosure Procedure Problem—a Solution, Bill Jacket, L 1939, ch 692 at 22-27).

Nevertheless, plaintiff, relying on *Goldman*'s reasoning, contends that decisions of the United States Supreme Court and this Court have eroded the distinction between actions in rem and in personam. That argument is meritless as it proceeds from a misunderstanding of fundamental legal principles regarding jurisdiction and notice. First, the assumption that a civil action or proceeding must be brought against a person is ahistorical and contrary to established law. Both this Court and the Supreme Court have continued to recognize the "usefulness of distinctions between actions *in rem* and those *in personam* in many branches of law" (*Mullane*, 339 US at 312; *see Matter of McCann v Scaduto*, 71 NY2d 164, 173 [1987]; *see also e.g. United States v Bajakajian*, 524 US 321, 329-334 [1998] [asset forfeiture proceedings]; *Thyssen, Inc. v Calypso Shipping Corp., S.A.*, 310 F3d 102, 106-107 [2d Cir 2002] [admiralty proceedings]; *Geary v Geary*, 272 NY 390, 399 [1936] [matrimonial actions]). Indeed, CPLR 301 provides that a court may maintain jurisdiction over property as had been done under the common law, including through an action in rem (*see* Alexander, Prac Commentaries, CPLR C301:1). The legislature did not abrogate this common understanding of foreclosure law and in rem jurisdiction when it enacted RPTL article 11 (*see Arbegast v Board of Educ. of S. New Berlin Cent. School*, 65 NY2d 161, 169 [1985]; *see also* NY Const, art I, § 14; *Matter of Carnegie Trust Co.*, 206 NY 390, 397-398 [1912]). Of course, a

5. Alternatively, the legislature has approved of an in personam method allowing a tax collector to "impose personal liability for . . . unpaid taxes" (*City of Buffalo v Cargill, Inc.*, 44 NY2d 7, 11 [1978]; *see* RPTL 926; *Kennedy v Mossafa*, 100 NY2d 1, 7 n 1 [2003]; *Goldman*, 165 AD3d at 1125-1126 [Scheinkman, P.J., dissenting]; *see also Matter of Ueck*, 286 NY 1, 7 [1941]).

dead person cannot be sued but, as long understood, an action in rem, like the tax foreclosure proceeding here, is not an action against a person, but rather the subject property on which the tax was charged and due. Put another way, the County did not sue the owner of the property; it merely took steps to notify the owner and others with a potential interest in the property so that they could protect their interests if they so chose.

Second, plaintiff and *Goldman*'s reliance on due process and notice by publication case law is misplaced. Before *Mullane*, "notice by publication was good enough" to satisfy due process in proceedings in rem (*Matter of McCann*, 71 NY2d at 173, citing *Longyear v Toolan*, 209 US 414 [1908], *Ballard v Hunter*, 204 US 241 [1907], and *Leigh v Green*, 193 US 79 [1904]).

> "Several justifications were commonly advanced for the sufficiency of constructive notice in in rem proceedings. First, nonresident landowners—who themselves could not be served—often had local caretakers to watch over their land and advise them of published notices affecting their property. Second, all landowners were charged with a duty to keep informed about the status of their land and presumed to know the consequences of nonpayment of taxes. Third, in in rem proceedings, only 'the land itself' was in issue; affected individuals did not have to be present. Finally, costly notice requirements impeded the State's vital interest in collecting its revenues quickly and inexpensively, making constructive notice a reasonable balance of the competing interests" (*id.* [citations omitted]; *see e.g. Picquet v Swan*, 19 F Cas 609, 612-615 [D Mass 1828, No. 11,134, Story, J.]).

Mullane and subsequent case law, however, recognized that "[s]ervice by publication amounts only to a gesture[,] and 'when notice is a person's due, process which is a mere gesture is not due process' " (New York Practice § 107, quoting *Mullane*, 339 US at 315; *see e.g. Mennonite Bd.*, 462 US at 796 n 3 [1983]; *Matter of McCann*, 71 NY2d at 173-176). That case law "marked a departure from the early justifications underlying the conclusion that published notice was due notice, and a recognition that the 'caretaker' theory, the presumption that every landowner read every newspaper of general circulation, and the notion that only 'the land itself' was affected, had become increasingly unrealistic" (*Matter of McCann*, 71 NY2d at 174).

Contrary to *Goldman*'s conclusion that "the United States Supreme Court has explicitly rejected the fiction that an in rem proceeding is not asserted against any individuals, but only against the property itself" (165 AD3d at 1120, citing *Shaffer v Heitner*, 433 US 186, 216 [1977]), the Court has merely recognized that property owners and interested parties are owed adequate process where their property rights are at stake through an in rem foreclosure proceeding. Put another way, case law relating to notice and due process set forth "requirements of *service* imposed in the modern era to address concerns of due process. These are not matters which go to the jurisdiction of the court to entertain the action on its merits" (*Goldman*, 165 AD3d at 1127 [Scheinkman, P.J., dissenting]).

[1] In sum, we reject plaintiff's claim that the tax foreclosure proceeding is a nullity. *Goldman* rests on an erroneous legal premise and should not be followed.[6]

III.

Plaintiff's alternative claim that defendants failed to provide her with adequate notice is similarly without merit. Defendants satisfied both their statutory and constitutional notice obligations.

A.

Former and current RPTL 1125 (1) require that notice of a tax foreclosure proceeding be provided to "each owner and any other person whose right, title, or interest was a matter of public record *as of the date the list of delinquent taxes was filed*, which right, title or interest will be affected by the termination of the redemption period, and whose name and address are reasonably ascertainable from the public record" (RPTL 1125 [1] [a] [i] [emphasis added]). The "public record" includes "the records in the offices of the surrogate of the county" (*id.*). RPTL 1125 former (1) provided for notice to owners by certified mail and to interested persons by first-class mail, whereas the current RPTL 1125 (1) (b) (i), as amended effective November 23, 2006 (*see* L 2006, ch 415, § 2), requires both types of mailings for all notices. Moreover, RPTL 1125 (1) (b) (i) provides that "notice shall be deemed received unless both the certified mailing and the ordinary first class mailing are returned . . . within forty-five days after being mailed."

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6. **[1]** *Matter of City of Schenectady (Permaul)* (201 AD3d 1 [3d Dept 2021], *appeal dismissed & lv denied* 38 NY3d 994 [2022]) is also abrogated to the extent that it relied upon *Goldman*.

[2] Here, it is undisputed that on the date the list of delinquent taxes was filed, plaintiff was not a publicly-listed owner or person with an interest in the property. Indeed, plaintiff did not file a petition in Surrogate's Court until after the redemption deadline and letters testamentary were issued to plaintiff as the named executor over seven months after the notices had been served and well after the court entered a default judgment for lack of appearance of an interested party. When defendants performed the required search of public records, decedent was alive and listed as an owner under the name "James Hetelekides." The notices were sent by certified mail and first-class mail to him at the property address, the mailings were not returned, and the return receipts were signed for by a restaurant employee. Thus, the notice was sent in compliance with the statutory requirements.

B.

Plaintiff contends that defendants' compliance with the statute is insufficient because defendants failed to provide notice consistent with the requirements of due process. We disagree. Here, defendants complied with the statutory notice requirements, including publication (*see* RPTL 1124), and, upon learning of decedent's death, determined that they would take additional steps to provide notice to potential interested parties. We therefore reject plaintiff's argument that defendants' actions, under the totality of the circumstances, were constitutionally deficient.

The standard for determining whether notice is adequate under the Due Process Clauses of the Fourteenth Amendment to the United States Constitution and article I, § 6 of the New York Constitution is well settled:

> "Due process is a flexible concept, requiring a case-by-case analysis that measures the reasonableness of a municipality's actions in seeking to provide adequate notice. A balance must be struck between the State's interest in collecting delinquent property taxes and those of the property owner in receiving notice (*see Kennedy*, 100 NY2d at 9; *see also Matter of Zaccaro v Cahill*, 100 NY2d 884, 890 [2003]). In striking such a balance, the courts may take 'into account the status and conduct of the owner in determining whether notice was reason-

> able' (*Kennedy*, 100 NY2d at 11, citing *Matter of ISCA Enters. v City of New York*, 77 NY2d 688, 700 [1991])" (*Matter of Harner v County of Tioga*, 5 NY3d 136, 140 [2005]).

"The means employed [to effect service] must be such as one desirous of actually informing the absentee might reasonably adopt to accomplish it" (*Mullane*, 339 US at 315). In other words, actual notice is not required, but any attempted notice must be reasonably calculated to provide the recipient with the intended advisement under the particular circumstances of the case, taking into account the recipient's conduct and the demands that may be fairly imposed on a municipality to effectuate service given the government's interests (*see e.g. Jones v Flowers*, 547 US 220, 230 [2006]; *Covey v Town of Somers*, 351 US 141, 145-146 [1956]; *see also e.g. Robinson v Hanrahan*, 409 US 38, 39-40 [1972]).

As discussed, a municipality is required to notify "each owner and any other person whose right, title, or interest . . . [would] be affected by the termination of the redemption period" (RPTL 1125 [1] [a] [i]). However, once defendants learned of decedent's death, due process mandated that they consider whether that "unique information" about decedent, obtained after the notices were sent, required additional efforts "regardless of whether [the] statutory scheme is reasonably calculated to provide notice in the ordinary case" (*Jones*, 547 US at 230). Otherwise, a municipality could rely on notification efforts that it knows have failed and without determining whether due process requires additional efforts to identify and inform those persons with interests in the property (*see Covey*, 351 US at 145-146).

We conclude that defendants' efforts were sufficient. Defendants publicized the notice and petition in two local newspapers—including the same newspaper where decedent's obituary was published—on three different days. Defendants also mailed six copies of the notice to the property, four of which were addressed to "James Hetelekides." Once defendants learned that decedent had died, the Treasurer decided to make additional efforts to notify living interested parties before the time to redeem had expired, visiting the business located on the property three days in a row during midweek, regular business hours. On the first two days, the Treasurer called the restaurant—the sole business situated on the property and the business decedent and plaintiff ran together when decedent was alive—identified himself, and made clear that "[i]t's very imperative or very important that [he] talk to somebody that owns the business or manages it or has control over it." When no one returned his calls, he visited the restaurant in person on the third day during regular business hours, identified himself, and asked to speak with the manager or owner about an important matter. When he was again told that no one was available, he left his business card and reiterated that it was "very important" that the owner or a person in control of the restaurant contact him. It is undisputed that throughout this period plaintiff worked at the restaurant seven days a week and that she handled its mail. Under these circumstances, the publications and the Treasurer's personal efforts were reasonably calculated to ascertain and notify any persons who might have had a legal interest in the property that might have been affected by the pending foreclosure action and redemption period.

Plaintiff's "status and conduct" is also relevant to our analysis (*Kennedy*, 100 NY2d at 11). First, even though defendants did not know that plaintiff was the executor of decedent's estate and his heir, they could make the reasonable assumption that the executor—whoever that might be—would seek to apprise themself of any issue with the property and preserve any heirs' interests. As the Second Circuit has recognized, "if the mail contains a notice that the government is taking some action against property of the decedent, it is reasonable to assume that the administrator will take steps to preserve the property," and thus a taxing authority "[is] entitled to expect that those appointed to administer estates that include real property would place something on the land record to put the world on notice of the owner's death and would also obtain mail addressed to their decedent" (*Bender v City of Rochester, N.Y.*, 765 F2d 7, 11-12 [2d Cir 1985]). Moreover, by calling and visiting the restaurant in person during its hours of operation, the Treasurer went to a presumably readily available source for information about persons with an interest in the property at a time when a manager or the owner would likely be present.

Second, plaintiff, who was represented by counsel before defendants sought a default judgment, failed to avail herself of recourse under RPTL article 11. Plaintiff was aware before the last day to redeem that there was a potential outstanding tax on the property, given the conflicting information from the County Treasurer and town office employees, and yet she did not take actions to ensure that the Treasurer was aware of her status, nor did she attempt to pay the tax to avoid foreclosure. Section 1126 (1) provides that "[a]ny mortgagee, lienor, lessee or other person having a legally protected interest in real property who wishes to receive copies of the notices required by this article may file with the enforcing officer a declaration of interest," which "shall include the name and mailing address of the person submitting such declaration, a description of the parcel or parcels in which such person claims an interest, and a description of the nature of such interest." Even though decedent's will named plaintiff as executor of his estate and inheritor of the property, plaintiff did not file such a declaration. Nor did she seek to vacate the default judgment, even though RPTL 1131 provides up to one month after entry of judgment to reopen a default. Instead, she sought extra-statutory relief from the County by requesting to pay the taxes after the redemption deadline.

C.

Plaintiff argues that the Treasurer could have done more to attempt to effect service on her, in particular, by posting the notice and petition on the restaurant's door or another public-facing location, mailing additional copies to plaintiff, or leaving copies during his personal visit to the restaurant. None of those specific actions were required as a matter of due process. Due process requires only that attempts to provide notice be reasonably calculated to inform an interested party of pending action against the property (*see Mennonite Bd. of Missions*, 462 US at 795, quoting *Mullane*, 339 US at 314; *Matter of McCann*, 71 NY2d at 173-176). "The key word is 'reasonably,' which balances the interests of the State against the rights of the parties" (*Kennedy*, 100 NY2d at 9). Posting the notice and petition on the door or hand-delivering additional copies to the restaurant would have provided no greater certainty of notice since the certified and first-class mailings were not returned and an employee signed for them (*see Jones*, 547 US at 235; *Mullane*, 339 US at 314; *Mac Naughton v Warren County*, 20 NY3d 252, 257 [2012]; *see also* RPTL 1125 [1] [b] [i]). Likewise, mailing additional copies to plaintiff would not have been reasonably calculated to provide service to a known interested party in the circumstances presented here. Defendants did not know whether plaintiff was a person with an ownership interest in the property since she did not probate the will until after the default judgment was issued. Finally, when the Treasurer visited the restaurant to ascertain the identity of the property's new owner, he identified himself and made clear to plaintiff's employees that the matter was important. Despite the Treasurer's efforts, plaintiff did not immediately return his calls.

We reject plaintiff's additional argument that a taxing authority should seek appointment of an administrator where the taxpayer is deceased, as that would impose an undue burden on municipalities; extend the time of proceedings, where the taxes have usually been outstanding for at least two years; and disincentivize executors or other interested parties from timely disposing of the estate and preserving the property. Here, defendants struck an appropriate balance between the government's interest in collecting the delinquent tax and the interests of persons connected to the property in receiving notice when it publicized and mailed the notice and contacted the restaurant several times.

In sum, under the circumstances presented here, defendants made an adequate attempt at service, satisfying due process requirements.

IV.

[3] Plaintiff's federal statutory claims under sections 1983 and 1988 were properly dismissed. To establish a policy or custom, plaintiff was required to show "an official policy or custom of the [county] government itself [that] caused the [Treasurer or his employees] to violate her constitutional rights" (*De Lourdes Torres v Jones*, 26 NY3d 742, 768 [2016]). "Under *Monell v New York City Dept. of Social Servs.* (436 US 658 [1978]) and its progeny, 'official municipal policy includes the decisions of a government's lawmakers, the acts of its policy-making officials, and practices so persistent and widespread as to practically have the force of law' " (*id.* [alterations omitted], quoting *Connick v Thompson*, 563 US 51, 61 [2011]).

As Supreme Court held, even assuming that plaintiff made out a case that defendants denied her due process, the record fails to establish an official policy or custom that caused a violation of her constitutional rights. Plaintiff did not provide evidence that defendants routinely failed to notify estate administrators or parties who informed defendants of their interests or an owner's death. Indeed, as discussed, once defendants learned of decedent's death, the Treasurer took steps to identify and provide notice to parties with a legal interest in the property that would be affected by the foreclosure and redemption deadline by personally contacting the restaurant to identify an owner or manager. Thus, plaintiff failed to carry her burden since nothing in the record establishes an official policy or a widespread custom violative of due process.

V.

A tax foreclosure proceeding is an action against the real property. In such a proceeding, the taxing authority has a statutory and constitutional obligation to attempt to provide adequate notice to owners and persons with an interest in the property who may be affected by a foreclosure action or the redemption deadline. If the authority learns of the death of an owner, the authority must determine whether, in the unique circumstances of each case, due process requires additional reasonable efforts to identify interested parties and, if so, attempt to provide those interested parties with notice of the pending foreclosure. Courts should assess those efforts based on the totality of the authority's actions and the status and conduct of the potential interested party. Defendants' efforts here were sufficient.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Acting Chief Judge CANNATARO and Judges GARCIA, WILSON, SINGAS and TROUTMAN concur.

Order affirmed, with costs.

[206 NE3d 598, 185 NYS3d 729]

ROXANNE DELGADO et al., Appellants, v STATE OF NEW YORK et al., Respondents.

Argued October 18, 2022; decided November 17, 2022

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered March 18, 2021. The Appellate Division modified, on the law, an order and judgment of the Supreme Court, Albany County (Christina L. Ryba, J.; op 2019 NY Slip Op 32723[U] [2019]), which had (1) granted defendants' motion in part and dismissed the first, third and fourth causes of action in the amended complaint; (2) dismissed the second cause of action, with the exception of claims related to the recommendations and determinations of New York State Committee on Legislative and Executive Compensation that prohibited activities and limitations on outside earned income, and declared that such prohibition and limitations are null and void; and (3) declared that the challenged "legislative pay raise" is "severed." The modification consisted of declaring that Laws of 2018, chapter 59, § 1, part HHH has not been shown to be unconstitutional. The Appellate Division affirmed the judgment as modified.

Delgado v State of New York, 194 AD3d 98, affirmed.

HEADNOTE

Constitutional Law — Delegation of Legislative Power — Creation of Committee to Determine Legislative and Executive Salaries

In a declaratory judgment action brought by plaintiffs to challenge the constitutionality of Laws of 2018, chapter 59, § 1, part HHH, in which the legislature tasked the Committee on Legislative and Executive Compensation with determining, after consideration of various factors, whether the annual salary and allowances of members of the legislature and certain other state officials warranted an increase, the Court of Appeals affirmed an order of the Appellate Division which declared that Laws of 2018, chapter 59, § 1, part HHH has not been shown to be unconstitutional.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Constitutional Law §§ 285, 289, 313, 315, 317.

MCKINNEY'S, Executive Law § 169; NY Const, art III, § 6; NY Const, art V, § 3; NY Const, art XIII, § 7.

NY Jur 2d Civil Servants and Other Public Officers and Employees § 252; NY Jur 2d Constitutional Law §§ 190–193.

ANNOTATION REFERENCE

See ALR Index under Compensation; Constitutional Law; Legislature; Public Officers and Employees.

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POINTS OF COUNSEL

Cameron J. Macdonald, Government Justice Center, Inc., Albany, for appellants. I. Part HHH of chapter 59, § 1 of the Laws of 2018 is unconstitutional. (*Hurley v Public Campaign Fin. & Election Commn.*, 69 Misc 3d 254; *Matter of Moran v LaGuardia*, 270 NY 450; *Matter of Levine v Whalen*, 39 NY2d 510; *Matter of LeadingAge N.Y., Inc. v Shah*, 32 NY3d 249; *Matter of City of New York v State of N.Y. Commn. on Cable Tel.*, 47 NY2d 89; *Matter of Sleepy Hollow Lake v Public Serv. Commn. of State of N.Y.*, 43 AD2d 439; *Racine v Morris*, 201 NY 240; *Matter of King v Cuomo*, 81 NY2d 247; *New York Pub. Interest Research Group v Steingut*, 40 NY2d 250; *People ex rel. Joyce v Brundage*, 78 NY 403.) II. The Committee on Legislative and Executive Compensation exceeded any authority the legislature lawfully granted. (*McKinney v Commissioner of N.Y. State Dept. of Health*, 41 AD3d 252.)

Letitia James, Attorney General, Albany (*Victor Paladino, Barbara D. Underwood* and *Jeffrey W. Lang* of counsel), for respondents. I. Laws of 2018, chapter 59, § 1, part HHH lawfully delegated authority to the Committee on Legislative and Executive Compensation. (*Cohen v State of New York*, 94 NY2d 1; *Matter of County of Chemung v Shah*, 28 NY3d 244; *Matter of Levine v Whalen*, 39 NY2d 510; *Boreali v Axelrod*, 71 NY2d 1; *Dalton v Pataki*, 5 NY3d 243; *Matter of Sleepy Hollow Lake v Public Serv. Commn. of State of N.Y.*, 43 AD2d 439, 34 NY2d 519; *Matter of Sullivan County Harness Racing Assn. v Glasser*, 30 NY2d 269; *Matter of New York State Health Facilities Assn. v Axelrod*, 77 NY2d 340; *Matter of LeadingAge N.Y., Inc. v Shah*, 32 NY3d 249; *Matter of Big Apple Food Vendors' Assn. v Street Vendor Review Panel*, 90 NY2d 402.) II. The Committee on

Legislative and Executive Compensation acted within its legislatively delegated authority. (*Matter of Acevedo v New York State Dept. of Motor Vehs.*, 29 NY3d 202; *Matter of City of New York v State of N.Y. Commn. on Cable Tel.*, 47 NY2d 89; *People ex rel. Alpha Portland Cement Co. v Knapp*, 230 NY 48; *Matter of New York State Superfund Coalition v New York State Dept. of Envtl. Conservation*, 75 NY2d 88; *Dorst v Pataki*, 90 NY2d 696; *Matter of Citizens For An Orderly Energy Policy v Cuomo*, 78 NY2d 398, 79 NY2d 851.)

Orrick, Herrington & Sutcliffe LLP, New York City (*Andrew D. Silverman* and *Abigail Colella* of counsel), for Carl E. Heastie, amicus curiae. I. Part HHH of chapter 59, § 1 of the Laws of 2018 is a constitutional delegation of pay-setting authority. (*Dunlea v Anderson*, 66 NY2d 265; *Boreali v Axelrod*, 71 NY2d 1; *Matter of Moran Towing Corp. v Urbach*, 99 NY2d 443; *Cohen v State of New York*, 94 NY2d 1; *Matter of Leading-Age N.Y., Inc. v Shah*, 32 NY3d 249; *Matter of Levine v Whalen*, 39 NY2d 510; *Matter of Mutual Life Ins. Co. of N.Y.*, 89 NY 530; *Matter of Retired Pub. Empls. Assn., Inc. v Cuomo*, 123 AD3d 92; *Matter of Sullivan County Harness Racing Assn. v Glasser*, 30 NY2d 269; *Martin v State Liq. Auth.*, 15 NY2d 707.) II. The Committee on Legislative and Executive Compensation did not exceed its constitutionally delegated powers. (*Boreali v Axelrod*, 71 NY2d 1; *Greater N.Y. Taxi Assn. v New York City Taxi & Limousine Commn.*, 25 NY3d 600; *Matter of New York State Health Facilities Assn. v Axelrod*, 77 NY2d 340; *Matter of Acevedo v New York State Dept. of Motor Vehs.*, 29 NY3d 202; *Matter of Citizens For An Orderly Energy Policy v Cuomo*, 78 NY2d 398; *Bourquin v Cuomo*, 85 NY2d 781.) III. The 2019 legislative salary increase was severable from other recommendations invalidated by the Supreme Court below. (*Giblin v Pine Ridge Log Homes, Inc.*, 42 AD3d 705; *Matter of Zimmerman v Planning Bd. of Town of Schodack*, 294 AD2d 776; *Matter of New York State Superfund Coalition v New York State Dept. of Envtl. Conservation*, 75 NY2d 88; *People ex rel. Alpha Portland Cement Co. v Knapp*, 230 NY 48; *People v Kearse*, 56 Misc 2d 586; *National Adv. Co. v Town of Niagara*, 942 F2d 145.)

OPINION OF THE COURT

Acting Chief Judge CANNATARO.

In this declaratory judgment action, plaintiffs challenge the constitutionality of part HHH of chapter 59, § 1 of the Laws of

2018 (the enabling act), in which the legislature tasked the Committee on Legislative and Executive Compensation with determining, after consideration of various factors, whether "the annual salary and allowances of members of the legislature" and certain other state officials "warrant an increase" (L 2018, ch 59, § 1, part HHH, § 2 [2]). The enabling act further provided that the Committee's recommendation with respect to any salary changes would become effective unless modified or abrogated by statute. Inasmuch as plaintiffs have failed to overcome the presumption of constitutionality afforded to the enabling act as a duly enacted state statute (*see Matter of County of Chemung v Shah*, 28 NY3d 244, 262 [2016]), we affirm.

I.

The constitutionality of the enabling act cannot be assessed without an overview of the framework governing adjustments to the compensation of state officers. Historically, legislative salaries were "fixed, primarily on a per diem basis, by the [New York] Constitution, and could be changed only by constitutional amendment" (*Dunlea v Anderson*, 66 NY2d 265, 268 [1985]).[1] In 1948, however, the legislature amended article III, § 6 to provide that legislators shall receive for "services a like annual salary, to be fixed by law," with the proviso that compensation could neither be increased nor diminished during, and with respect to, the term for which the legislator was elected. Thereafter, the compensation for members of the legislature and allowances for members serving as officers or in a special capacity were set forth in Legislative Law §§ 5 and 5-a. Similarly, the salaries of the Comptroller of the State of New York and Attorney General were set forth in Executive Law §§ 40 and 60, respectively. Salaries for certain other state officers in the executive branch, such as agency commissioners, were contained in Executive Law § 169. On their face, those statutes resemble Judiciary Law article 7-B (*see* Judiciary Law §§ 221—221-i), which implements the "Compensation Clause" for judges contained in article VI, § 25 (a) of the New York Constitution.

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1. Legislative compensation was initially "to be ascertained by law," subject to a maximum of $3 per day (*see* 1821 NY Const, art I, § 9). Beginning in 1846, compensation was fixed in the Constitution at "a sum not exceeding three dollars per day" and not to exceed an aggregate of $300 (1846 NY Const, art III, § 6; *see* 2 Charles Z. Lincoln, The Constitutional History of New York 132-133 [1906]).

The Compensation Clause provides that the "compensation" of judges covered by article VI of the State Constitution "shall be *established by law* and shall not be diminished during the term of office for which" the judge was elected or appointed (NY Const, art VI, § 25 [a] [emphasis added]).[2] In accordance with this mandate, salary schedules were typically set forth in statutes enacted by the legislature (*see* 4 Charles Z. Lincoln, The Constitutional History of New York 590-591 [1906]).

The legislature altered that practice in 2010 after this Court addressed the Compensation Clause and related separation of powers issues following "the failure of the Legislature and the Executive to come to an agreement on legislation effecting a [judicial] pay increase" from the levels set by the 1998 amendment of the Judiciary Law (*Maron*, 14 NY3d at 246). We explained that judicial salary increases had been proposed by governors on several occasions between 2006 and 2009, but statutes reflecting those increases were not enacted because the relevant bills "did not [also] provide for an increase in legislative pay" or because the legislature refused to also "enact[ ] campaign finance and ethics reform measures" demanded by the Governor (*id.* at 245). *Maron* reaffirmed that "although the diminution in value of judicial compensation by inflation was a concern, the drafters [of the Compensation Clause] decided that the best way to combat the effects of inflation was

2. Unlike article III, § 6 and article XIII, § 7 of the New York Constitution, which provide that legislative compensation may not "be increased or diminished during, and with respect to, the term for which [the state officer] shall have been elected or appointed," article VI, § 25 (a) prohibits only diminishment, not increase, of judicial compensation. In addition, article III, § 6 and article XIII, § 7 of the Constitution require that the salaries of certain state officers be "fixed *by law*," while article VI, § 25 (a) requires that judicial salaries be "established *by law*" (emphasis added). We note that, with the exception of a brief period in the early twentieth century, during which the Constitution included a salary schedule for members of the judiciary, the State Constitution has provided since 1846 that "compensation" of judges is to be "established by law" (1846 NY Const, art VI, § 7; *see Matter of Maron v Silver*, 14 NY3d 230, 251 [2010]; *see also Matter of Gresser v O'Brien*, 146 Misc 909, 916-919 [Sup Ct, NY County 1933], *affd* 263 NY 622 [1934]). Although the dissenters rely on cases involving judicial salaries in part V of the dissent—which unconvincingly attempts to parse the meaning of the phrase "by law" in the State Constitution (dissenting op at 299-304)—the dissent self-contradictorily expresses confusion as to why we have chosen to look to cases involving judicial salaries, questioning whether "those other cases" are "close enough" (dissenting op at 284). The explanation for our reliance on this Court's precedent addressing judicial salaries is simple: Whatever the difference in meaning between "fixed" and "established," the critical phrase common to the relevant constitutional provisions for purposes of this appeal is "by law."

to count on the Legislature—the body directly accountable to the public—to assure the fair and appropriate compensation of the Judiciary" (*id.* at 254). Thus, we recognized that "whether judicial compensation should be adjusted, and by how much, is within the province of the Legislature" (*id.* at 263). Nevertheless, we concluded "that the State had unconstitutionally compromised the independence of the judiciary over the course of three years by linking any decision on whether to increase judges' salaries with other legislative initiatives such as the enactment of legislative pay increases and campaign finance reform" (*Larabee v Governor of the State of N.Y.*, 27 NY3d 469, 473 [2016], citing *Maron*, 14 NY3d at 245-246, 260-261).

Notably, in describing "the continuing inertia underlying [the judicial salary] dispute" (*id.* at 246), the *Maron* Court observed that the Senate passed bills in 2007 "calling for the creation of a commission to review future salary increases for both judges *and* legislators" and "a commission to examine future increases in judicial salaries taking into account the needs of the Judiciary and the State's ability to pay" (*id.* at 245; *see* 2007 NY Senate Bills S5313, S6550). Like the enabling act here, those bills directed the proposed commissions to make recommendations, based upon various nonexclusive factors set forth in the bills, in a report to the Governor, the legislature and the Chief Judge by a certain date; those recommendations would "have the force of law" and "supersede inconsistent provisions of" the Judiciary Law, Executive Law and Legislative Law unless "modified or abrogated by statute" (2007 NY Senate Bill S5313, §§ 3 [i] [iv]; 4 [h]; 2007 NY Senate Bill S6550, § 3 [h]).

Shortly after our decision in *Maron*, the legislature passed a law creating the Commission on Judicial Compensation (*see* L 2010, ch 567). The 2010 statute, intended to comply with *Maron* (*see* Senate Introducer's Mem in Support, Bill Jacket, L 2010, ch 567 at 8) and enacted with the support of the Office of Court Administration (*see* Letter from Marc C. Bloustein, Legis Counsel, NY St Off of Ct Admin, Dec. 3, 2010, Bill Jacket, L 2010, ch 567 at 9), closely resembles the enabling act at issue here. The 2010 statute required the Commission to "make recommendations with respect to adequate levels of compensation and non-salary benefits for judges" after assessing a list of nonexclusive factors (L 2010, ch 567, § 1 [a]); following the Commission's submission of those recommendations to the Governor, legislature and Chief Judge, the recommendations would "have the force of law, and . . . supersede inconsistent provisions of article 7-B of the judiciary law, unless modified or abrogated by statute prior to April first of the year as to which such determination applies" (*id.* § 1 [h]).

In *Larabee*, we explained the effect of the supersession clause contained in the 2010 statute: "Under th[e] new law, when the Commission recommends an increase in judicial salaries, the increase goes into effect by operation of law on April 1 of the year for which it is recommended, unless the legislature passes a statute rejecting the recommended pay raise" (*Larabee*, 27 NY3d at 472).[3] The Court opined that the enactment of the 2010 statute remedied "the constitutional violation that led to our decision in *Matter of Maron*," and "through this legislatively-created process, the issue of judicial compensation now receives consideration independent of other political matters" (*id.*).[4]

II.

In 2015, as part of its annual budget bill, the legislature created another similar commission—the Commission on Legislative, Judicial and Executive Compensation—which was charged

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3. The dissent takes issue with our citation to the facts in *Larabee* (dissenting op at 293). We look to *Larabee* in describing the historical background leading to the dispute at issue in this case. Specifically, in *Larabee*, we acknowledged that it was "[i]n response to our decision in *Matter of Maron* . . . [that] the legislature passed, and the Governor signed, legislation establishing an independent Commission on Judicial Compensation, which was empowered to recommend prospective judicial compensation increases at four-year intervals after the effective date of the legislation" (*Larabee*, 27 NY3d at 472). The dissenters are correct that the parties in the recent judicial pay cases did not meaningfully address the existence of the supersession clause that we explicitly highlighted in explaining that the 2010 legislation created a "process" through which "the issue of judicial compensation now receives consideration independent of other political matters" (*Larabee*, 27 NY3d at 472). Perhaps that is because, as plaintiffs have acknowledged since the outset of this action, "the Legislature may delegate judicial compensation decisions." In making that concession before Supreme Court, plaintiffs cited this Court's decision in *Matter of Benvenga v LaGuardia* (294 NY 526, 533 [1945]), and correctly acknowledged "that was the understanding for almost [100] years" prior to the amendment of article III, § 6 to provide that legislative compensation shall "be fixed by law." In any event, the facts of *Larabee* and our statements therein, like those of the other judicial pay cases, have relevance to the developments that have led to this case.

4. The Commission authorized by the 2010 statute recommended a 27% increase in judicial salaries that was phased in over the course of three years commencing in 2012 (*see Larabee v Governor of the State of N.Y.*, 121 AD3d 162, 169 [1st Dept 2014, Sweeny, J., concurring]).

with meeting quadrennially to make recommendations regarding adequate levels of compensation for members of the legislature, judges, statewide elected officials and certain state officers (*see* L 2015, ch 60, § 1, part E, § 2). The 2015 statute was, once again, similar to the enabling act challenged in this action. Under the terms of the 2015 legislation, the Commission was required to submit to the legislature its recommendations by a specified date; the recommendations would "have the force of law, and . . . supersede, where appropriate, inconsistent provisions of article 7-B of the judiciary law, section 169 of the executive law, and sections 5 and 5-a of the legislative law, unless modified or abrogated by statute" by a date certain (L 2015, ch 60, § 1, part E, § 3 [7]). The Commission made recommendations only as to judicial salaries, which first took effect in April 2016.

A declaratory judgment action was commenced challenging the 2015 statute as an unconstitutional delegation of legislative authority without reasonable standards or safeguards. Supreme Court granted the defendants' motion for summary judgment, and the Appellate Division affirmed (*Center for Jud. Accountability, Inc. v Cuomo*, 167 AD3d 1406, 1411 [3d Dept 2018], *appeal dismissed* 33 NY3d 993 [2019], *reconsideration denied* 34 NY3d 960 [2019], *lv denied* 34 NY3d 961 [2019], *rearg denied* 34 NY3d 1147 [2020]). The Appellate Division reasoned that "[t]he factors established by the Legislature" in the 2015 statute "provide[d] adequate standards and guidance for the exercise of discretion by the Commission" and "the enabling statute contains the [additional] safeguard of requiring that the Commission report its recommendations directly to the Legislature so that it . . . [can] exercise its prerogative to reject any Commission recommendations before they become effective" (*id.*). In 2019, we dismissed the appeal from the Appellate Division's order on the ground that no substantial constitutional question was directly involved (33 NY3d 993 [2019]), and thereafter denied leave to appeal (34 NY3d 961 [2019]).

The legislature created a similar body as part of its 2018 budget bill—the Committee on Legislative and Executive Compensation at issue here—which was tasked with examining the "prevailing adequacy of pay levels" for members of the legislature, statewide elected officials, and state officers whose salaries are set forth in Executive Law § 169, and determining whether their annual salaries "warrant an increase" (L 2018, ch 59, § 1, part HHH, § 2 [1], [2]). Like the prior statutes and proposed Senate bills, the enabling act set forth a similar nonexclusive list of factors for the Committee to consider in determining adequacy of salaries (*id.* § 2 [3]). The Committee was required to report its findings, conclusions, determinations and recommendations to the legislature and the Governor by December 10, 2018 (*id.* § 4 [1]). Those recommendations would "have the force of law . . . unless modified or abrogated by statute" before January 1, 2019 (*id.* § 4 [2]). The recommendations, upon becoming effective, would "supersede, where appropriate, inconsistent provisions" of Executive Law § 169 and Legislative Law §§ 5 and 5-a (*id.*).

Following four public meetings, the Committee recommended increasing the base salaries of members of the legislature from $79,500 to $110,000 on January 1, 2019, and that all stipends under Legislative Law § 5-a be set at zero except for the stipends of approximately a dozen legislators. Additionally, the Committee recommended increasing the salaries of the Attorney General, Comptroller and the officers listed in Executive Law § 169. The legislature did not subsequently modify or abrogate any of the Committee's recommendations. Thus, in accordance with the act, the recommendations acquired "the force of law" (L 2018, ch 59, § 1, part HHH, §§ 1, 4 [2]).

Plaintiffs, three New York resident taxpayers and one member of the New York State Assembly, commenced this action for declaratory and injunctive relief against defendants, the State of New York and Thomas DiNapoli, in his official capacity as New York State Comptroller. Plaintiffs asserted that the enabling act unconstitutionally delegated legislative authority to the Committee. Supreme Court granted, as relevant here, defendants' motion to dismiss plaintiffs' claims regarding salary increases for statewide elected officials and commissioners, and the salary increase recommended for legislators beginning in 2019 (2019 NY Slip Op 32723[U] [Sup Ct, Albany County 2019]).[5] Upon plaintiffs' appeal, the Appellate Division unanimously modified the judgment to the extent

5. With respect to legislative salary increases to become effective on January 1, 2020, and beyond, the Committee also recommended placing a 15% cap on outside earned income and prohibiting the receipt of income in certain professions where a fiduciary duty is owed. Supreme Court concluded that the Committee exceeded its authority by recommending these limitations and, because the legislative salary increases recommended for 2020 and 2021 were intertwined with those recommendations, the court declared those salary increases to be null and void. Inasmuch as defendants did not cross-

(n. cont'd)

of issuing a declaration that the enabling act had not been shown to be unconstitutional, and otherwise affirmed (194 AD3d 98 [3d Dept 2021]). The Court concluded that plaintiffs' argument was "foreclosed by [its] decision in *Center for Jud. Accountability, Inc. v Cuomo*, wherein [the Court] upheld a nearly identical delegation of authority regarding judicial compensation" (*id.* at 103 [citation omitted]). The Appellate Division also rejected plaintiffs' arguments that the enabling act was invalid because the Governor did not maintain veto power over the Committee's recommendations (*id.* at 104) and because the New York Constitution provides that legislative compensation is to be "fixed by law" (NY Const, art III, § 6), which plaintiffs construed as meaning "codified in a published statute passed by the Legislature itself" (194 AD3d at 105). Finally, the Court held that the Committee did not exceed the scope of its authority under the enabling act (*id.* at 107).

Plaintiffs now appeal as of right from the Appellate Division order.

III.

The New York Constitution dictates that "[t]he legislative power of this state shall be vested in the senate and assembly" (NY Const, art III, § 1) and, therefore, "the Legislature cannot pass on its law-making functions to other bodies" (*Matter of Levine v Whalen*, 39 NY2d 510, 515 [1976]). "The Legislature may not," for example, "grant the power to repeal general statutes" (*Matter of Benvenga v LaGuardia*, 294 NY 526, 533 [1945]). This Court has long recognized, however, that although the legislature alone may exercise powers inherently and exclusively legislative, "there is a large field in which the legislature . . . may certainly delegate to others powers which the legislature may rightfully exercise itself" (*Matter of Trustees of Vil. of Saratoga Springs v Saratoga Gas, Elec. Light &*

appeal, any issues regarding the propriety of those recommended salary increases are not before us. Similarly, to the extent that the Committee may have recommended a slight decrease in the total salary and allowance for the senator holding the office of Vice-President Pro Tempore—who, incidentally, was not reelected in 2018 and, therefore, experienced no salary decrease beginning in 2019 under the enabling act (*see* Vivian Wang, *Democratic Insurgents Topple 6 New York Senate Incumbents*, NY Times, Sept. 13, 2018; Jesse McKinley, *No Lulus for You: Comptroller Threatens to Withhold Lawmakers' Payments*, NY Times, Mar. 16, 2018)—no party has challenged the Committee's actions on the ground that one legislator would have experienced a decrease in compensation. Thus, the dissent's reliance on that recommendation is misplaced (*see* dissenting op at 292).

Power Co., 191 NY 123, 138 [1908] [internal quotation marks omitted]). In that vein, while "[t]he delegation of power to make the law, which necessarily involves a discretion as to what it shall be, cannot be done, . . . [t]he Legislature may constitutionally confer discretion upon an administrative agency [or a commission] . . . if it limits the field in which that discretion is to operate and provides standards to govern its exercise" (*Levine*, 39 NY2d at 515).

Indeed, the Constitution expressly provides:

> "Subject to the limitations contained in this [C]onstitution, the legislature may from time to time assign by law new powers and functions to . . . commissions . . . and increase, modify or diminish their powers and functions. Nothing contained in this article shall prevent the legislature from creating temporary commissions for special purposes" (NY Const, art V, § 3).

In the past, such commissions have proposed substantial revisions to substantive bodies of statutory law that were subsequently enacted by the legislature. For example, the constitutionality of the enabling act creating the temporary state commission to recommend a comprehensive revision and simplification of the Penal Law and the Code of Criminal Procedure (the Bartlett Commission) was upheld under article V, § 3 (*see People ex rel. Dudley v West*, 87 Misc 2d 967 [Sup Ct, Kings County 1976]; L 1961, ch 346 [creating the Bartlett Commission]).

So too here, we conclude that the enabling act was a valid "assign[ment] by law [of] new powers and functions to" the Committee (NY Const, art V, § 3) even though this case is distinguishable from those involving the Bartlett Commission because the enabling act provided that the Committee's recommendations, unlike those of the Bartlett Commission, were to go into effect by operation of law, and without further action by the legislature or opportunity for direct gubernatorial input. The Constitution expressly permits the legislature to assign new powers and functions to such commissions, if constitutional. We now hold that an assignment is valid under article V, § 3 where the legislature creates a temporary commission with a discrete purpose, and has not delegated the power to make the law or divested the executive branch of supervision but set standards on the exercise of authority through appropriate guidance sufficient to prevent the commission from intruding on the legislature's law-making function. In the enabling act, the legislature fulfilled its exclusively legislative function by exercising its "discretion as to what [the law] shall be" (*Levine*, 39 NY2d at 515)[6] and assigned a discrete and limited objective to the temporary Committee—i.e., the Committee was tasked with determining initially if salaries are adequate and if not, recommending appropriate changes. The legislature further provided standards[7] to govern the Committee in the exercise of its assigned authority and retained the authority to reject or modify the Committee's recommendations, as it deems appropriate, before those recommendations became effective.

Put differently, the legislature has made the basic policy determination that salaries for its members, statewide public officials and agency commissioners must be "adequate" (L 2018, ch 59, § 1, part HHH, § 1) and directed the Committee to recommend prospective compensation increases for legislators and certain other state officers, in accordance with the standard set forth in the enabling act. The legislature has not "delegate[d] power to enact or repeal laws, or to establish policies and standards" (Peter J. Galie & Christopher Bopst, The New York State Constitution 113 [2d ed 2012]). Rather, the field in which the Committee's discretion was to operate was appropriately limited (*cf. Levine*, 39 NY2d at 515). Essentially, the Committee was to recommend salary figures for a limited number of state elected officials and state officers. Moreover, the enabling act provides the standards and policies that govern the Committee's exercise of its authority (*cf. id.*) via eight nonexclusive factors that the Committee was directed to consider in analyzing whether the salaries should be increased and that provided a framework within which the Committee

6. Our cases involving legislative nondelegation do not provide the controlling standard by which we review the constitutionality of the enabling act. However, in "recogniz[ing] that executive or administrative rulemaking may entail some policy selectivity without offending separation of powers doctrine, so long as the basic policy choices have been made and articulated by the Legislature" (*Dorst v Pataki*, 90 NY2d 696, 699 [1997]), this Court has necessarily spoken to the essence of the exclusive law-making function that cannot be conferred to another body. Contrary to the dissent (dissenting op at 295), we believe that question is relevant here.

7. Such standards are necessary because "the Legislature is powerless to delegate the legislative function unless it provides adequate standards. Without such standards there is no government of law, but only government by [individuals] left to set their own standards, with resultant authoritarian possibilities" (*Rapp v Carey*, 44 NY2d 157, 162 [1978] [citation omitted]).

was to perform its assigned function.[8] The Committee's authority was further cabined by the requirement that it submit its report directly to the legislature and the Governor, so that the legislature could modify or reject the Committee's recommendations before they became effective. Under these circumstances, the enabling act is valid under article V, § 3.

To be sure, the enabling act differs from other statutes creating temporary commissions in that the Governor, by signing the act, has agreed to constrain the executive's role in approving the recommended compensation increases for legislators and various executive state officers. The enabling act is, in this respect, distinguishable from Laws of 2005 (ch 63, § 1, part E, § 31), which created the so-called "Berger Commission" to recommend closure and consolidation of existing health care facilities. The 2005 statute provided the Commission's report was submitted to the Governor and only upon gubernatorial approval did the report become effective by operation of law when the legislature declined to pass a concurrent resolution rejecting it (L 2005, ch 58, § 1, part K, § 9, as added by L 2005, ch 63, § 1, part E, § 31). Here, in contrast, the Governor's approval of the Committee's report was not required prior to it becoming effective by operation of law. Moreover, the Committee differs from the commissions created in 2010 and 2015 in that each branch of government independently appointed the members of those commissions, while the enabling act named the five members of the Committee, only four of whom served (*compare* L 2010, ch 567, § 1 [b], *and* L 2015, ch 60, § 1, part E, § 3 [1], *with* L 2018, ch 59, § 1, part HHH, § 1).

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8. The enabling act directed the Committee to

> "take into account all appropriate factors including, but not limited to: the parties' performance and timely fulfillment of their statutory and Constitutional responsibilities; the overall economic climate; rates of inflation; changes in public-sector spending; the levels of compensation and non-salary benefits received by executive branch officials and legislators of other states and of the federal government; the levels of compensation and non-salary benefits received by comparable professionals in government, academia and private and nonprofit enterprise; the ability to attract talent in competition with comparable private sector positions; and the state's ability to fund increases in compensation and non-salary benefits" (L 2018, ch 59, § 1, part HHH, § 2 [3]).

Any additional factors considered by the Committee would, necessarily, have to be of a similar nature and kind to the factors listed in the statute.

Because any "assign[ment] by law [of] new powers and functions to . . . commissions" is "[s]ubject to the limitations contained in [the state] constitution" (NY Const, art V, § 3), we must also consider whether the enabling act violates the separation of powers doctrine. The separation of powers doctrine is "the bedrock of the system of government adopted by this State in establishing three coordinate and coequal branches of government, each charged with performing particular functions" (*Maron*, 14 NY3d at 258). "While the doctrine of separation of powers does not require the maintenance of three airtight departments of government, it does require that no one branch be allowed to arrogate unto itself powers residing entirely in another branch" (*Under 21, Catholic Home Bur. for Dependent Children v City of New York*, 65 NY2d 344, 356 [1985] [internal quotation marks and citations omitted]). Because "[i]t is the correlative oversight of each lawmaking Branch over one another—in essence a dependency, rather than a separation—that balances the overall power to protect the *public's* interests," the State Constitution prohibits the "ultra vires surrender of power to any other Branch" (*Cohen v State of New York*, 94 NY2d 1, 13-14 [1999]). Here, no such surrender of power occurred. In signing the enabling act, the Governor assented, having no objection to the legislature's determination of what the law should be, the specific members named to the Committee in the statute, or the process that tightly circumscribed the Committee's discretion. The Governor, of course, had the opportunity to express any objections by vetoing the enabling act, but did not do so. Nor did the Governor cede any authority to propose different legislation in the future or to veto future legislation.[9]

"[W]hen and where the Constitution requires the courts to act within prescribed authority, we do not hesitate to decide

9. We note that the Committee did not fully cut the Governor out of the compensation-setting process. Rather, the Committee recommended that the Governor set the salary of two tiers of Executive Law § 169 commissioners within a specified range. Nevertheless, we caution courts considering the validity of enabling acts that result in the executive branch effectively waiving veto power or review over the actions of temporary commissions empowered to make recommendations inconsistent with existing statutes that such enabling acts should be closely scrutinized to ensure that the limitations on the scope of the authority assigned to the commission included in the legislation are appropriate under the circumstances to prevent such bodies from either intruding upon the legislature's law-making function or rendering "the legislative power" immune to "executive supervision and control" (4 Lincoln, The Constitutional History of New York 497).

even the most sensitive governmental disputes" (*Cohen*, 94 NY2d at 15). In this case, absent a constitutional violation, it would be "unwise for the courts 'to substitute our own determination for that of the Legislature even if we would have struck a slightly different balance on our own' " (*id.* at 14-15).

IV.

Our determination that the enabling act was a valid assignment of power to the Committee finds support in this Court's prior cases. Indeed, this Court long ago addressed the very issue we decide today in the context of judicial salaries and recognized that the legislature may authorize, by statute, other governmental entities to determine whether judicial salaries should be increased beyond the amount set by statute to the extent that those entities may deem proper (*see Benvenga*, 294 NY at 530-531, citing Judiciary Law former § 143; *see also* 4 Charles Z. Lincoln, The Constitutional History of New York 595-596 [1906]). Plaintiffs and the dissent provide us with no basis for distinguishing judicial compensation from legislative or executive compensation in this respect.

In observing that the legislature may authorize other governmental bodies to determine whether an increase in judicial salaries was warranted beyond the level set forth by statute, the *Benvenga* Court necessarily recognized that the legislature could convey the authority to "supersede" or modify the statute setting judicial salaries to that limited extent.[10] Similarly, here, because the enabling act properly empowered the Committee to determine whether the salaries of certain

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10. The dissent objects to our use of the word "supersede," rather than "repeal" (dissenting op at 291). We use the word "supersede" because that is the word used by the legislature in the enabling act itself (*see* L 2018, ch 59, § 1, part HHH, § 4 [2]). The dissenters further object that we are "[u]nable to seriously contend that the legislature itself repealed the preexisting statutes" (dissenting op at 291). We do not make any such contention because we recognize that the preexisting statutes have not been repealed—the relevant statutes remain on the books. Here, the legislature conferred limited authority to determine whether the compensation of the state officers listed "warrant[ed] an increase" above the levels contained in the published statutes (L 2018, ch 59, § 1, part HHH, § 2 [2]). The dissenters acknowledge that this Court approved of that practice in the context of judicial salaries (dissenting op at 304, citing *Benvenga*, 294 NY at 530) and they provide no convincing explanation for why legislative salaries should be treated differently or why this Court should not follow *Benvenga* under the doctrine of stare decisis (*see Matter of State Farm Mut. Auto. Ins. Co. v Fitzgerald*, 25 NY3d 799, 819 [2015] ["Even under the most flexible version of the doctrine applicable to constitutional jurisprudence, prior decisions should not be overruled unless a

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state officers "warrant[ed] an increase" (L 2018, ch 59, § 1, part HHH, § 2 [2]), then by necessary implication the enabling act itself must be read to have provided that the Committee's recommendations would supersede the statutes setting forth the preexisting salaries. In other words, in using the word "supersede" (L 2018, ch 59, § 1, part HHH, § 4 [2]), the legislature simply made explicit that it was permitting the Commission to engage in the process that this Court endorsed in *Benvenga*. In any event, it was the enabling act itself, a duly enacted statute, that provided for the supersession of prior inconsistent statutes, not a "committee of unelected individuals who are not directly accountable to public opinion" (dissenting op at 302).

Moreover, such supersession was done for a narrowly defined purpose (*see generally McKinney v Commissioner of N.Y. State Dept. of Health*, 41 AD3d 252 [1st Dept 2007] [upholding the validity of the act creating the "Berger Commission"]). Critically, the enabling act is not a broad assignment to a commission of the authority to revise general statutes governing a substantive body of law without the requirements that such revisions be approved by the legislature and subject to review or veto by the Governor (*compare Hurley v Public Campaign Fin. & Election Commn.*, 69 Misc 3d 254 [Sup Ct, Niagara County 2020] [declaring unconstitutional Laws of 2019, chapter 59, § 1, part XXX, § 1, which created a commission to make recommendations for new laws establishing a system of public campaign financing that would supersede existing Election Law and State Finance Law provisions unless the recommendations were modified or abrogated by statute], *with Dudley*, 87 Misc 2d 967 [upholding the validity of the enabling act creating the Bartlett Commission, because the Commission's report comprehensively revising the state's criminal statutes was to be submitted to the legislature, which remained responsible for enacting the revised statutes]). Rather, the legislature made the basic policy choice and authorized the Committee " 'to fill in details and interstices and to make [narrow, limited] subsidiary policy choices consistent with the enabling legislation' " (*Dorst v Pataki*, 90 NY2d 696, 699 [1997], quoting *Matter of Citizens For An Orderly Energy Policy v Cuomo*, 78 NY2d 398, 410 [1991]) on an issue that we have

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compelling justification exists for such a drastic step" (internal quotation marks and citation omitted)]).

previously recognized may be assigned. That is, the assignment of authority here was not only consistent with our prior case law addressing judicial salaries (*see Benvenga*, 294 NY at 530-531; *see generally Larabee*, 27 NY3d at 472), but also tightly cabined by the terms of the statute.[11]

In that regard, " '[a] statute or legislative act is to be construed as a whole, and all parts of an act are to be read and construed together to determine the legislative intent' " (*Frank v Meadowlakes Dev. Corp.*, 6 NY3d 687, 691 [2006], quoting McKinney's Cons Laws of NY, Book 1, Statutes § 97). Although a decontextualized reading of the supersession clause could lead to the misimpression that it permits the Committee's recommendations to supersede any inconsistent provision of Executive Law § 169 and Legislative Law §§ 5 and 5-a, the clause itself provides that supersession will occur only "where appropriate" (L 2018, ch 59, § 1, part HHH, § 4 [2]). In determining when supersession would be "appropriate," the clause must be read in tandem with the narrow, discrete assignment of authority to determine the adequacy of the compensation for the specified state officials. Therefore, under the enabling act, supersession is permissible only where the Committee has determined that compensation is not adequate and would not extend to a general, substantive revision of the statutes at issue (*cf. Hurley*, 69 Misc 3d at 260-261).

In short, we hold that there has been no unconstitutional assignment of power to the Committee by the enabling act under the circumstances presented here.

V.

We further reject plaintiffs' argument that the enabling act violates the requirement that legislative salaries, as well as the salaries of the Comptroller and Attorney General, be "fixed by law" under article III, § 6 and article XIII, § 7 of the New York Constitution. This Court has not addressed the meaning

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11. Inasmuch as the narrow scope of the enabling act is consistent with our prior instruction regarding the use of supersession to effectuate prospective judicial pay raises (*see Benvenga*, 294 NY at 530-531), we have no occasion to adopt a comprehensive test for determining when the enabling act of a temporary commission that provides for the supersession of certain terms in preexisting statutes has crossed the line into an unconstitutional attempt to pass onto other bodies "powers inherently and exclusively legislative" (*Trustees of Vil. of Saratoga Springs*, 191 NY at 138) or interfered with the Governor's role as an "essential element of our legislative system" (4 Lincoln, The Constitutional History of New York 458).

of that phrase in depth, although we have noted that the legislature's practice subsequent to amendment of the Constitution in the 1940s was to "fix" legislative salaries via enactment of a "general law provision" (*New York Pub. Interest Research Group v Steingut*, 40 NY2d 250, 256 [1976]) and that the "constitutional constraints do not generally prohibit prospective [compensation] adjustments" (*Cohen*, 94 NY2d at 9). However, federal case law interpreting the Ascertainment Clause of the United States Constitution, which states that "[t]he Senators and Representatives shall receive a Compensation for their Services to be ascertained by Law" (US Const, art I, § 6), is helpful on this question.

Pressler v Simon (428 F Supp 302 [D DC 1976], *affd sub nom. Pressler v Blumenthal*, 434 US 1028 [1978]) involved challenges both to a 1967 statute that authorized the creation of a quadrennial commission to make recommendations to the President regarding rates of compensation for members of Congress, federal judges and certain other federal governmental officers and to a separate act providing for automatic cost-of-living adjustments (*id.* at 303). After receiving the commission's report, the President was required to submit his recommendations as to the exact pay rate for those positions in the next budget message. Those recommendations would become effective 30 days later, i.e., they would supersede the previous salaries set by statute, unless one house of Congress specifically disapproved of the regulations or Congress enacted a statute establishing a different rate (*see id.*). Prior to enactment of the statute, "[f]or the almost 180 years since the ratification of the Constitution, the precise compensation of members of Congress was always fixed from time to time by specific legislation without any legislative involvement by the President" (*id.*).

The D.C. District Court rejected the plaintiff's arguments that the challenged statutes violated either article I, § 1 of the Federal Constitution or the requirement of article I, § 6 that congressional salaries must be "ascertained by Law." Like the plaintiffs here, the plaintiff in *Pressler* urged that "Congress is required itself to fix its pay" in a statute "that specifically states the amount to be paid" and that this congressional "responsibility . . . cannot, in effect, be delegated or by-passed in the fashion provided by the" challenged legislation (*id.* at 305). The court refused to read the Ascertainment Clause so inflexibly, reasoning that the plaintiff's argument amounted to "essentially a matter of form rather than substance" because "when Congress passed the Acts governing its compensation it acted 'by law,' " as required (*id.*). The court concluded that the word "ascertain" does not have "such a narrow and limiting effect that, as a matter of constitutional law, it was intended to prevent the Congress from developing rational procedures of this type for fixing congressional compensation by means other than enacting a specific statute fixing each pay change" (*id.* at 305-306). Following procedural history not relevant here, the Supreme Court summarily affirmed on direct appeal (*Pressler v Blumenthal*, 434 US at 1028).

In 1985, Congress amended the 1967 statute to eliminate the "legislative veto" device by which Congress could reject executive action through the disapproval of only one house, instead requiring a joint resolution passed by both houses and presented to the President for signature (*see Humphrey*, 848 F2d at 215). The D.C. Circuit upheld the statute as amended, reaffirming that "the Ascertainment Clause [i]s not to be read inflexibly so as to require Congress to establish specific figures in specific legislation. Rather, it suffice[s] that the procedures eventuating in the specific figures were set, *i.e.*, ascertained, by law" (*id.*). The court observed that "Congress retained ultimate power to set its pay through the already mentioned devices, such as rejection of the President's recommendations" (*id.* at 216). Inasmuch as the ultimate political responsibility to fix the salary of members of Congress remained with Congress itself, "the animating purpose of the Ascertainment Clause" was vindicated (*id.* at 215).

Similarly here, although the enabling act charges the Committee with the task of recommending compensation levels for various state officers, the legislature and Governor both meaningfully participated in setting the salaries at issue and remain politically accountable for the Committee's actions because they enacted the statute that created the process involving the Committee, and the Committee's recommendations acquired the force of law only in the absence of legislative action. That is, compensation is set according to the process set forth by the legislature in a duly enacted statute signed by the Governor and, therefore, remains "subject to statutory regulation" within the meaning of the New York Constitution (4 Charles Z. Lincoln, The Constitutional History of New York 765 [1906]). Moreover, the purpose of the 1948 amendment to the Constitution to allow legislators to fix their own compensation "was to avoid 'repeat[ing] the error of inflexibility' that had resulted from 'fixing the compensation of legislators . . . in the Constitution,' " while maintaining such political accountability (*Dunlea*, 66 NY2d at 268, quoting Final Rep of NY St Joint Legis Comm on Legis Methods, Prac, Pros and Expenditures, 1946 NY Legis Doc No. 31 at 170). To now read article III, § 6, along with article XIII, § 7, "inflexibly so as to require [the legislature] to establish specific figures in specific legislation" (*Humphrey*, 848 F2d at 215), as plaintiffs urge us to do, would run counter to the purpose of the 1948 amendment. Inasmuch as the requirement in article III, § 6 that salaries be "fixed by law" was added to the State Constitution for the purpose of "empowering the Legislature to determine its own compensation '*as is done in Congress*' " (*Dunlea*, 66 NY2d at 268 [emphasis added]), we conclude that *Pressler* and *Humphrey* provide persuasive authority that "it suffice[s] that the procedures eventuating in the specific figures were set, *i.e.*, [fixed], by law" (*Humphrey*, 848 F2d at 215).

This result is also consistent with New York law addressing judicial salaries, which have been required by the State Constitution to be "established *by law*" since 1846 (*see* 1846 NY Const, art VI, § 7 [emphasis added]; *see Maron*, 14 NY3d at 251; 4 Charles Z. Lincoln, The Constitutional History of New York 595-596 [1906]). In concluding in *Benvenga* that the legislature may confer the authority to determine whether supreme court justices' salaries should be increased, even though those justices "are State officers whose compensation must be prescribed by the Legislature," the Court stated "that [such] power has been recognized and exercised since 1852" (294 NY at 530, relying on *People ex rel. Morris v Edmonds*, 15 Barb 529 [1853]).[12] *Morris* explained that, in mandating that judicial salaries be established by law,

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12. The Court noted that "[o]n five separate occasions during a period of nearly one hundred years, the Legislature has enacted legislation permitting the city to provide for additional compensation" for supreme court justices (*Benvenga*, 294 NY at 534). The Court's reference to that power being "recognized and exercised since 1852" (*id.* at 530) was an acknowledgement that the power that the dissent here assails as undermining the very structure of the law-making process has been exercised and upheld since the phrase "established by law" first appeared in the New York Constitution the mid-nineteenth century. That this Court recognized the validity of such a power in 1945, one year before the amendment providing that legislative salaries must "be fixed by law" was proposed, is highly relevant to our understanding of the provision because it is a critical "circumstance[ ] and practice[ ] which existed at the time of the passage of the constitutional pro-

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> "[t]he [C]onstitution does not require that the amount of compensation shall be specified in any general statute. It calls for legislative action. That is the required basis, but the superstructure may be fashioned pursuant to such provisions as may be established by the legislature. An act is as essentially accomplished by law when performed pursuant to a statute, as if consummated by the statute itself" (*id.* at 533-534).

Those words, endorsed by this Court in *Benvenga* nearly 100 years after they were written and echoed by the federal courts in *Pressler* and *Humphrey* over 100 years after *Morris* was handed down, remain authoritative today. After all, the constitutional provisions require legislative and judicial compensation to be fixed or established, respectively, "by law" (NY Const, art III, § 6; art XIII, § 7; art VI, § 25 [a]), not "by statute." Therefore, we decline to effectively overrule this longstanding interpretation of our State Constitution by reading the words "by law" in article III, § 6 and article XIII, § 7 to mean something other than what they have always meant in article VI, § 25 (a). The New York Constitution may indeed use the term "by law" at times to mean "by statute," but under the provisions at issue in this appeal, the term "by law" includes the valid assignment of the authority to determine whether the salaries of state officers should be increased.

VI.

Finally, we conclude that the Committee did not exceed its authority under the enabling act with respect to the recommended salary increases before us on this appeal. It is well settled that, where an agency or commission acts "in a manner not contemplated by the legislative body," the administrative actions will be struck down (*Greater N.Y. Taxi Assn. v New York City Taxi & Limousine Commn.*, 25 NY3d 600, 608 [2015]). At the same time, an agency or commission that is "a creation of a legislative body . . . possesses the powers expressly conferred by [that body in its enabling act], as well as those 'required by necessary implication' " (*id.*, quoting *Matter of City of New York v State of N.Y. Commn. on Cable Tel.*, 47 NY2d 89, 92 [1979]).

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vision" (*Steingut*, 40 NY2d at 258). Contrary to the assertions of plaintiffs and the dissent, the legislature's practice since 1948 of "fix[ing]" legislative salaries via enactment of a "general law provision" (*Steingut*, 40 NY2d at 256) does not dictate a conclusion that setting forth a salary in a statute is the only constitutional means of fixing legislative salaries.

The legislature directed the Committee to determine whether the salaries of certain state officials "warrant[ed] an increase" (L 2018, ch 59, § 1, part HHH, § 2 [2]), and that is what the Committee did. To the extent the Committee also observed that the New York Legislature functions more like a full-time body than legislatures in other states, the Committee did not purport to convert the New York Legislature into a full-time body. Rather, the Committee considered several of the statutory factors set forth in section 2 (3) of the enabling act, such as "the parties' performance . . . of their statutory and Constitutional responsibilities"; "the levels of compensation and non-salary benefits received by executive branch officials and legislators of other states and of the federal government"; and "the levels of compensation and non-salary benefits received by comparable professionals in government, academia and private and nonprofit enterprise." To the extent that the Committee recommended imposing limits on receipt of outside income after 2019, the question of whether those limits exceeded its statutory mandate is not before us on this appeal.

Similarly, the Committee did not exceed its authority by recommending a reduction in the number of tiers in the salary structure governing Executive Law § 169 officers. The Committee concluded that the then-existing six-tier salary structure was "out of date and cumbersome" and did not "reflect the current sense of the importance of the various agencies governed by these public servants." The Committee recommended simplifying the tier structure to "to better reflect scope of responsibility, complexity, budget and workforce based on current data and account for ranges of income." Because the enabling act provided the Committee with the authority to examine the adequacy of the relevant officials' compensation and the tier structure governs that compensation, the recommendation to reduce the number of tiers was "not inconsistent with the statutory language or its underlying purposes" (*Greater N.Y. Taxi Assn.*, 25 NY3d at 608 [internal quotation marks and citation omitted]). Rather, the recommendation of reducing the tier structure to better reflect the workload of section 169 officers was simply a method to achieve the enabling act's stated policy goal. Likewise, the Committee's recommendation of salary ranges for tier C and tier D commissioners cannot be said to be in conflict with the enabling act inasmuch as that recommendation is related to the statutory factors of the state's "ability to attract talent in competition with comparable private sector positions; and the state's ability to fund increases in compensation and non-salary benefits" (L 2018, ch 59, § 1, part HHH, § 2 [3]).

VII.

In sum, plaintiffs have failed to overcome the presumption of constitutionality accorded to the enabling act. Moreover, the Committee did not exceed its authority under the statute. Accordingly, the order of the Appellate Division should be affirmed, with costs.

WILSON, J. (concurring). In his 1965 Benjamin N. Cardozo memorial lecture, Chief Judge Charles Breitel—then a Justice of the Appellate Division—explained that the three branches of government could not easily be hived into "mutually exclusive compartments," each with its own function (Charles D. Breitel, *The Lawmakers*, 65 Colum L Rev 749, 764 [1965]). Rather, it was their collaboration in the law-making process that made the "system of checks and balances" work (*id.*). Although we are not "a parliamentary government where the Executive branch is also part of the Legislature," (*People v Tremaine*, 281 NY 1, 12 [1939]), Judge Breitel reminded us that "lawmaking . . . , viewed broadly in order to see the forest in which the trees grow, fall[s] into no neat classifications" (Breitel, 65 Colum L Rev at 764-765). Only when the branches of government are healthily balanced can the law-making ecosystem flourish.

That same year, the Ideal Toy Corporation introduced the game *Tip-it*, "the wackiest balancing game ever" (Library of Congress, Catalog of Copyright Entries: Third Series, Books and Pamphlets Including Serials and Contributions to Periodicals, July-December 1965 at 1790 [1968]). In *Tip-it*, three equal posts were located equidistant from each other around a structure balanced on a center support, with a much taller post in the center, atop which a toy man balanced upside down on his nose. Players tried to remove weights of a randomly prescribed color from one of three posts without tipping the balance too far in any direction, which required shifting weights from post to post to obtain the prescribed color without toppling the delicately balanced man. Although the man could endure some swaying and leaning, maintaining balance was key.

Today, both authorities guide us as we ensure the balance of power is not "tipped irretrievably in favor of" any one branch (*cf. Anderson v Regan*, 53 NY2d 356, 366 [1981 plurality]). It is our job to ensure that the players in the law-making process do not shirk their burden of overseeing one another and minding the public interest. I concur in the result reached by the plurality: the Committee on Legislative and Executive Compensation (the Committee) acted permissibly pursuant to a constitutional statute (L 2018, ch 59, § 1, part HHH [Enabling Act]), which authorized the Committee to set "adequate levels of compensation" (Enabling Act § 1) for legislators and certain public officers. However, I arrive at my conclusion concerning this unusual, if not wacky, statutory scheme through reasoning that differs from that of the plurality. Although the Governor signed the Enabling Act, the act itself prevented the Governor from initiating any further involvement in the legislative and public officer compensation process (except to the extent that the Committee's ultimate decision afforded the Governor modest discretion within the ranges of certain tiers for some executive officers). The removal of gubernatorial input, even though initially ceded by the Governor, is particularly concerning in the context of legislative compensation because it leaves the legislature as the only governmental guardian of the public fisc in matters of its own salary.

The plurality concludes that this scheme does not unconstitutionally vest legislative power in other bodies (*see* plurality op at 252-253). My concern with the Enabling Act is not that the legislature has ceded its authority to another body. Indeed, this is not a difficult case under our legislative nondelegation doctrine. Rather, the Enabling Act is troubling because it heavily constrained the executive's role in a process where his influence was especially important.[1] The plurality spends much of its opinion applying case law that scrutinizes legislative attempts that may have overly empowered the executive. But our doctrine of legislative nondelegation—designed to ensure that the "legislative power of this state" not be unconstitutionally divested from the "senate and assembly" (NY Const, art III, § 1; *see generally Matter of Levine v Whalen*, 39 NY2d 510, 515 [1976])—does not easily apply, *mutatis mutandis*, to questions of the diminishment of executive power, which are the

1. Both the plurality and the dissent share some of my concern about the loss of executive superintendence (*see* plurality op at 255 n 9; dissenting op at 288-289, 295). But we do not understand the legal nature of the problem of executive nonparticipation the same way, nor do we apply the same standard of review of the Committee's actions.

important questions raised by the Enabling Act. As we counseled in *Matter of Maron v Silver*, "[s]eparate budgets, separate articles in the Constitution, and separate provisions concerning compensation are all testament to the fact that each branch is independent of the other" (14 NY3d 230, 259 [2010]). In *Maron*, we engaged in an analysis suited to the judiciary's "unique place in the constitutional scheme" to decide whether a judicial compensation statute violated our separation of powers doctrine (*id.*). We must conduct a similar inquiry for the Governor's role in legislative and statewide official compensation as well.

In brief, I find that the Enabling Act substantially weakens the Governor's ability to check excessive legislative and executive compensation. I am satisfied, though just barely, that a narrow construction of the guideposts coupled with heightened judicial scrutiny (that is, refusing to afford the usual deference we give to the decisions of executive branch agencies) is sufficient to address the difficult separation of powers problem posed by this statute. Providing the Governor a decision point after the Committee makes its recommendations, as was done with the Berger Commission, would have removed all constitutional doubt.

I.

We have long held that "[l]egislative enactments are entitled to 'a strong presumption of constitutionality' " (*Dalton v Pataki*, 5 NY3d 243, 255 [2005], quoting *Schulz v State of New York*, 84 NY2d 231, 241 [1994]). We "strike them down only as a last unavoidable result" (*White v Cuomo*, 38 NY3d 209, 216 [2022], quoting *Matter of Van Berkel v Power*, 16 NY2d 37, 40 [1965]), and only where "every reasonable mode of reconciliation of the statute with the Constitution has been resorted to, and reconciliation has been found impossible" (*White*, 38 NY3d at 216, quoting *Matter of Fay*, 291 NY 198, 207 [1943]). Although the Enabling Act requires more reconciling than most legislative enactments, we can sufficiently ensure that its structure does not overcome the "appropriately heavy burden" imposed on those who would hold a law unconstitutional (*People v Viviani*, 36 NY3d 564, 576 [2021]).

A.

The judiciary has blessed various forms of nongovernmental or quasi-governmental entities for setting public compensation.

Here, though, in creating and empowering the Committee, the legislature has departed from established precedent by weakening time-honored procedural safeguards.

For much of New York's recent history, the compensation of judges, legislators, and numerous state public officials were outlined in statutes that were intermittently updated by the legislature.[2] The result was a halting process whereby the legislature would not update pay for decades and then pass large, politically controversial raises once inflation had embarrassingly eroded government salaries. William G. Joyce, the executive director of the New York State Motor Truck Association, perhaps explained the situation best when he observed in response to a 1998 pay increase that "[i]f legislators and commissioners had received a 3-4% increase each year over the last ten years there may not have been the outcry that we see and hear in the media today" (Letter from William G. Joyce to James McGuire, Dec. 10, 1998, Bill Jacket, L 1998, ch 630 at 11). He proposed "finding a means to ensure that salaries remain commensurate with economic conditions without forcing a vote on this issue after each legislative election" (*id.* at 11).

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2. As the plurality notes, New York has historically embraced other compensation practices as well (*see e.g.* plurality op at 245 n 1 [describing legislative compensation practices]). Most notably, since at least the mid-nineteenth century, we have approved legislative attempts to create a "superstructure" by which judicial compensation decisions might be made (*see* plurality op at 261-262, quoting *People ex rel. Morris v Edmonds*, 15 Barb 529, 534 [1853]). We have also allowed the presiding justice—the "designated representative" of the legislature—to authorize a "reasonable sum . . . as compensation for the expenses and disbursements" to nonresident justices who were designated to sit in the First Department (*see People ex rel. Follett v Fitch*, 145 NY 261, 262-266 [1895]). Even further back, the legislature authorized judges to take fees as part of their compensation (*see e.g.* L 1818, ch 195, § 4), before the 1846 Constitution introduced the "established by law" requirement for the judiciary and explicitly prohibited fee taking in a separate section (*compare* 1846 NY Const, art VI, § 7 [requiring compensation to be "established by law" for certain judges and justices], *with* 1846 NY Const, art VI, § 20 [prohibiting any "judicial officer, except justices of the peace" from taking fees for personal use]). These and similar fee structures were gradually abolished as part of a state- and nationwide trend away from facilitative payments, which were increasingly thought to be "corrupt," to overcompensate public servants, and to distort incentives (*see generally* Nicholas R. Parrillo, Against the Profit Motive: The Salary Revolution in American Government, 1780-1940, at 114-124 [2013]).

Nevertheless, the supplementary compensation schemes of the nineteenth century typically added compensation on top of a salary scheme that was also outlined in statutes (*see generally* 4 Charles Z. Lincoln, The Constitutional History of New York 494, 593-598 [1906]).

As the plurality notes, the legislature established the Special Commission on Compensation (the Commission) (*see* L 2010, ch 567) in response to our decision in *Maron* (14 NY3d 230), which declared as unconstitutional a policy of linking judicial compensation to unrelated policy initiatives (*see* plurality op at 247). In *Maron*, we said that we "expect[ed] appropriate and expeditious legislative consideration" of judicial salaries (14 NY3d at 263). The 2010 act addressed our charge by providing that a newly constituted commission would meet every four years "to ensure that the proper salary level is set on a regular basis" (Senate Introducer's Mem in Support, Bill Jacket, L 2010, ch 567 at 8).

Importantly, the Commission was designed with an eye towards maintaining the checks and balances associated with the statute-making and budgetary process outlined in the Constitution (*see* Senate Introducer's Mem in Support, Bill Jacket, L 2010, ch 567 at 8). For instance, each branch of government appointed members to the Commission, many of whom could not be state employees or members of the state bar (L 2010, ch 567, § 1 [b]). Furthermore, the Commission provided information to each branch, which could check the Commission if it overreached: after its deliberations, the Commission would send a report containing its "findings, conclusions, determinations and recommendations" to the Governor, legislature, and Chief Judge, and, if not modified or repealed by April 1 of the year as to which the recommendation applied, the recommendations would have the force of law unless overruled by statute (*id.* § 1 [h]). Looking back on this system in 2016, we observed that "through this legislatively-created process, the issue of judicial compensation now receives consideration independent of other political matters" (*Larabee v Governor of the State of N.Y.*, 27 NY3d 469, 472 [2016]).

In 2015, the legislature and the Governor expanded the ambit of the Commission to include compensation for legislators, statewide elected officials, and certain other state officers (*see* L 2015, ch 60, § 1, part E, § 2 [1]). Like its predecessor, this expanded Commission included a series of checks and balances designed to emulate those outlined in the Constitution. For instance, it retained the previous appointment system, giving each branch a set number of appointees not subject to the approval of other branches (*see* L 2015, ch 60, § 1, part E, § 3 [1]). Recognizing the heightened perils involved in legislative and executive compensation setting, the political branches provided heightened checks when considering those salaries: for "any matters regarding legislative or executive compensation," the chair—appointed by the judiciary—would not be able to vote (*id.*). Importantly, that recusal meant that the Governor's appointees could not be as easily overruled (*see id.* § 3 [1], [7]). Nor could the Governor steamroll the other branches, as all such recommendations would require the vote of at least one member from each appointing authority (*id.* § 3 [7]; *see also* L 2019, ch 59, § 1, part VVV [requiring this procedural protection be applied to all recommendations instead of only those covering legislative or executive compensation]).

The 2015 Commission succeeded in issuing recommendations concerning judicial compensation but failed to issue any recommendations concerning legislative or executive salaries before its term expired. Therefore, the Governor and legislature enacted the Enabling Act that is at issue in this case. Like the Commission, the Committee created by the Enabling Act had discretion to recommend compensation changes for legislators and certain executive branch officials (*see* Enabling Act §§ 1-3). Once it issued its "recommendation," the Committee's decision would "have the force of law" unless repealed by a statute (*id.* § 4 [2]). However, the Enabling Act weakened the checks and balances that had constrained the Commission. For instance, its five appointees (only four of whom ultimately served) were named in the statute instead of selected directly by members of the relevant branches (*see* Enabling Act § 1).[3] Most notably, the Enabling Act removed the provision in the 2015 law which had given the Governor's appointees half of the votes on matters of legislative and executive compensation, and it further relaxed the requirement that one appointee from each branch had to sign on to all recommendations involving legislative and executive compensation. Unlike its predecessor statutes or those creating other force-of-law commissions (*see e.g. St. Joseph Hosp. of Cheektowaga v Novello*, 43 AD3d 139, 143 [4th Dept 2007], *appeal dismissed* 9 NY3d 988 [2007], *lv denied* 10 NY3d

3. The Enabling Act envisioned a five-member Committee consisting of "the chief judge of the state of New York" (then Janet DiFiore), "the comptroller of the state of New York" (Thomas P. DiNapoli), "the chairman of the State University of New York board of trustees and 52nd comptroller for the state of New York" (H. Carl McCall), "the comptroller for the city of New York" (then Scott M. Stringer), and "the chairman of the city university of New York board of trustees and 42nd comptroller for the city of New York" (William C. Thompson, Jr.) (Enabling Act § 1). Chief Judge DiFiore did not serve on the Committee, however, so it only had four members.

702 [2008] [upholding the Berger Commission, whose recommendations "would not be implemented" unless the Governor transmitted the Commission's report to the legislature with his written approval]), the Enabling Act fully cut the Governor and his representatives out of the compensation-setting process after the Governor signed the act.[4]

B.

Due to its peculiar structure, the Enabling Act worked an unusual transfer of power. The prototypical challenges to legislative "delegation" involve statutes that risk excessively aggrandizing the executive branch by giving the executive branch the kind of sweeping authority that belongs to the legislature.[5] Here, the Enabling Act shifted power from the executive (as well as the legislature) into the Committee. Furthermore, that transfer of authority altered the balance of power between the legislative and executive branches, creating a situation where the Governor might be completely divested of legal authority to stop a lopsided appropriation to be paid directly to the legislators themselves. This *quis custodiet ipsos custodes* problem raises significant constitutional questions under both the State Constitution's "fixed by law" requirements (art III, § 6; art XIII, § 7) and by extension our "[s]eparation of [p]owers [d]octrine" (*Maron*, 14 NY3d at 244).[6]

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4. The plurality notes that the *Committee* did not fully cut the Governor out of the compensation-setting process because it gave him limited authority to set the compensation for a subset of Executive Law § 169 commissioners (plurality op at 255 n 9). Although the fact that the relevant recommendations gave the Governor some additional authority over compensation renders those recommendations less suspect on executive power grounds, it does not address the fact that the Governor was still at the Committee's mercy with regard to the structure of the scheme itself.

5. I use the word "delegate" here with caution, as the legislature cannot delegate its authority: our Constitution vests "[t]he legislative power of this state . . . in the senate and assembly" and no one else (NY Const, art III, § 1). The legislature may, however, authorize others to take actions backed by the force of law. On occasion, such authorizations sweep widely enough that we must either narrow the construction of the statute to save it or else invalidate it as an unconstitutional delegation. Here I refer to the case law surrounding such statutes when I use the term "delegation" (*see generally Matter of LeadingAge N.Y., Inc. v Shah*, 32 NY3d 249, 281 [2018, Wilson, J., dissenting in part]).

6. Although the plurality notes (plurality op at 252) that the New York Constitution gives the legislature the power to "assign by law new powers and functions to . . . commissions," the fact that it must do so "[s]ubject to the limitations contained in this constitution" (art V, § 3) means that article

(n. cont'd)

The structure of the New York Constitution reflects its concern about the "conflict of interest" associated with public officials setting their own salaries (*see New York Pub. Interest Research Group v Steingut*, 40 NY2d 250, 258 [1976]). The most direct check it places on legislators is the requirement that a legislator's salary and additional compensation may not be "increased or diminished during, and with respect to, the term for which he or she shall have been elected" (NY Const, art III, § 6; *see Steingut*, 40 NY2d at 258). But it also creates a subtler check when it dictates that the compensation of legislators and certain officials must be "fixed by law" (*see* NY Const, art III, § 6; art XIII, § 7). Although "fixed by law" does not mean that the dollar amounts of relevant salaries must be stated in a statute, it does mean that the "two essential lawmaking bodies" (*Cohen v State of New York*, 94 NY2d 1, 12 [1999])—the Governor and the legislature—must be meaningfully involved in the process. By contrast, the Constitution removes the Governor entirely from her own salary-setting process (and that of her lieutenant), instead requiring her salary "to be fixed by joint resolution of the senate and assembly" (NY Const, art IV §§ 3, 6). The way to explain the disparate constitutional treatment of gubernatorial compensation on the one hand and the compensation of legislators and public officers on the other is to understand that "fixed by law" requires meaningful participation by both political branches of government. After all, gubernatorial assent (or legislative override thereof) is what distinguishes a joint resolution from law (*see* NY Const, art IV, § 7).

This "separation of powers" approach to compensation represents one of the State Constitution's traditional responses to such conflicts of interest. Under the separation of powers doctrine, one branch of government may not "dominat[e] or interfer[e] with the functioning of another coequal branch" (*Maron*, 14 NY3d at 244). Separation of powers is a somewhat misleading moniker for a system that often aims to control government officials by "institutional interdependence rather than functional independence" (*Cohen*, 94 NY2d at 13-14 [emphasis omitted], quoting Lawrence Tribe, American

V, § 3 cannot end the analysis of the issue. I agree with the plurality to the extent that article V, § 3 allows the legislature to create commissions, but that provision merely begins our analysis of the Enabling Act's constitutionality. Indeed, even the plurality notes that the legislature may assign new powers and functions to a commission only "if constitutional" (plurality op at 252).

Constitutional Law 20 [2d ed]). Indeed, the Constitution "makes the Governor a part of our legislative system" and ensures that the "legislative power . . . vested in the senate and assembly . . . [is] subject to executive supervision and control" (4 Charles Z. Lincoln, The Constitutional History of New York 494, 497 [1906]; *see also* NY Const, art IV, § 7). Incorporating the Governor into the law-making process helps protect New Yorkers from legislative overreach. As we have previously explained, "[i]t is the correlative oversight of each lawmaking Branch over one another—in essence a dependency, rather than a separation—that balances the overall power to protect the *public's* interests, not those individuals who occupy the offices of those Branches at varying times . . . ." (*Cohen*, 94 NY2d at 13).

Not only did the Enabling Act place the power to reject excessively generous Committee recommendations of legislative compensation exclusively with the legislature, it created an additional conflict of interest. Namely, it placed initial compensation decisions in the hands of a four-person Committee, one of whose members had a financial stake in the outcome: as New York's Comptroller, Thomas DiNapoli was a "statewide elected official" (Enabling Act § 2 [1]) whose salary was therefore in question.[7] Although Comptroller DiNapoli judiciously recused himself from those deliberations, nothing about the structure of the Committee required his recusal.

Given the particularly acute conflicts of interest associated with compensation, a proper system of checks and balances was especially important. Instead, the Enabling Act relaxed the established constitutional protections and introduced additional hazards.

C.

The Enabling Act's destabilization of the checks and balances in setting compensation is not so grave as if the legislature had attempted to set its own compensation through a joint resolution (*cf. Matter of Moran v LaGuardia*, 270 NY 450, 452-453 [1936]). Nevertheless, it reduces gubernatorial

7. The mere fact that the Comptroller was in a position to "determine [what] legislators shall be paid" raises yet another separation of powers concern (*see Cohen*, 94 NY2d at 17 [defending the statutory scheme by explaining how it "in no way authorize(d)" the Comptroller to wield authority over when legislators were paid]). We have no occasion to address that issue because no party has raised it.

authority significantly more than prior delegations to other committees and commissions.

The Governor approved the legislation creating the Committee. In signing the legislation, the Governor also had some capacity to approve or reject the members of the Committee, inasmuch as they were set forth in the text of the statute (*see* Enabling Act § 1). Indeed, the Governor further facilitated the process by issuing a message of necessity.[8] On the other hand, unlike the 2015 authorizing legislation for the Commission, the Enabling Act did not give the Governor free rein to appoint whomever he pleased, as it explicitly listed the members of the Committee. Such a limit on the Governor's appointment authority is concerning as a constitutional matter because it risks stripping the Governor of her appointment power and committing her to a single candidate chosen by the legislature (*cf. Matter of Prospect v Cohalan*, 65 NY2d 867, 874-875 [1985, Titone, J., dissenting]). Nevertheless, the Governor approved the Enabling Act and exercised some control over its membership.

However, unlike prior commissions and committees, the Committee's recommendations automatically became law unless the legislature blocked them, without any opportunity for the Governor or his direct representatives to intercede. This structure stands in distinct contrast to the Berger Commission, whose recommendations were transmitted first to the Governor, and which would proceed no further unless the Governor transmitted them to the legislature (*see St. Joseph Hosp.*, 43 AD3d at 143).

Faced with substantial concerns about the Enabling Act, we must ask if it can be construed in a way that permits it to pass constitutional muster (*see White*, 38 NY3d at 216). It can. To

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8. Generally, the New York Constitution requires that legislation be available to legislators for three calendar days before it becomes law, unless the governor certifies facts that necessitate an immediate vote on the bill (*see* art III, § 14). Because the budget bill with the Enabling Act in it was introduced on March 30, 2018 (*see* Budget Bill at 156, Bill Jacket, L 2018, ch 59), it could not be passed before the beginning of the fiscal year on April 1 without gubernatorial intervention. Given our Constitution's appropriation requirement, failing to pass a timely budget can have serious consequences (*see* art VII, § 7). Given the tight timeline and significant consequences of failure to pass a budget on time, the Governor issued a message of necessity to facilitate its quick passage (*see* Message of Necessity, Bill Jacket, L 2018, ch 59 at 14).

start, the structure of the act itself heavily circumscribed the Committee's authority, articulated clear policy judgments, and subjected the Committee to searching review from the courts. The Committee's tightly cabined authority meant that its discretion reached minimally beyond what the Governor would have foreseen when he authorized the initial legislation, a process over which the Governor exercised constitutional control. Because the Governor exercised sufficient control over the process given the Committee's narrow authority, the compensation of state legislators and statewide elected officials was still "fixed by law" (NY Const, art III, § 6; art XIII, § 7) and did not run afoul of our "[s]eparation of [p]owers [d]octrine" (*see generally Maron*, 14 NY3d at 260).

The Enabling Act's saving grace is that the Committee's decisions must be subjected to heightened judicial review. Given the constitutional precarity of the Enabling Act, we must subject the Committee to heightened scrutiny to ensure that the derogation of gubernatorial power is not excessive. As a general matter, we do not defer to the Committee's interpretation of its own jurisdiction because that is a pure question of statutory interpretation (*see Matter of Gruber [New York City Dept. of Personnel—Sweeney]*, 89 NY2d 225, 231-232 [1996]). Furthermore, where, as here, that jurisdiction is constitutionally suspect, we apply more stringent interpretive methods to "avoid, if possible, interpreting a presumptively valid statute in a way that will needlessly render it unconstitutional" (*Overstock.com, Inc. v New York State Dept. of Taxation & Fin.*, 20 NY3d 586, 593 [2013], quoting *LaValle v Hayden*, 98 NY2d 155, 161 [2002]). We therefore look not to the most natural construction of the statute, but the interpretation that avoids constitutional impropriety. Indeed, a "tincture of constitutional doubt" may help us stomach an otherwise unpalatable interpretation (*see Matter of Jacob*, 86 NY2d 651, 680 [1995, Bellacosa, J., dissenting]).

This heightened scrutiny requires us to read the Enabling Act narrowly. First, the Committee's jurisdiction was highly cabined, limited to recommending specific amounts of "compensation, non-salary benefits, and allowances" for statewide elected officials and for the limited set of officials within two clearly defined statutory provisions, section 5-a of the Legislative Law and section 169 of the Executive Law (Enabling Act

§ 1).[9] Second, the Committee's jurisdiction was circumscribed by eight nonexclusive factors (Enabling Act § 2 [3]).[10] Thus, not only did the Enabling Act limit the authority of the Committee to setting a small set of compensation numbers for a discrete number of governmental officials, it created justiciable limits on the type of reasons the Committee could consider, as the court below demonstrated by engaging with a challenge to the Committee's reasoning (*see* 194 AD3d 98, 106 [3d Dept 2021] [considering whether the Committee exceeded its jurisdiction by finding that the legislature functioned more as a full-time body]).

These jurisdictional limits are important because they ensure that the Committee may only make the kind of decisions expressly contemplated and approved by the Governor. Were the Committee to set rates of compensation that substantially exceeded (or fell short of) what a court decided would be "adequate" based on the enumerated and similar factors (Enabling Act § 1), heightened judicial scrutiny would substitute for the Governor's inability to rein in a runaway Committee.[11]

Even under this heightened standard of review, the Committee did not, as appellants suggest, exceed its authorization when it gave the Governor a small amount of discretion to set some executive officer compensation (*see also* dissenting op at

9. The Committee's recommendations also included limits on outside compensation and activities, but Supreme Court and the Appellate Division struck those recommendations, and the State has chosen not to challenge those rulings (2019 NY Slip Op 32723[U], *11-16 [Sup Ct, Albany County 2019], *affd* 194 AD3d 98 [3d Dept 2021]; *see also Barclay v New York State Comm. on Legislative & Exec. Compensation*, 65 Misc 3d 685, 701-703 [Sup Ct, Albany County 2019] [finding the recommendations on outside income restriction were advisory and did not take on the force of law]). Thus, all that is at issue here is the compensation for legislators and specified executive branch officers.

10. Under the canon of ejusdem generis (backed by constitutional avoidance), even though the factors are termed "nonexclusive," we may read these factors as constraining the otherwise open-ended delegation of "all appropriate factors" to factors that are similar to those enumerated (*see People v Illardo*, 48 NY2d 408, 416 [1979]).

11. Petitioners here do not contend that the salaries set by the Committee are excessive when measured against the enumerated factors; their complaint is purely about the unconstitutionality of the process, not the result. Supreme Court and the Appellate Division have demonstrated their vigilance in protecting the public in view of the Enabling Act's diminishment of executive authority, and petitioners' lack of complaint about the level of the salary increase to some degree confirms that vigilance.

292).[12] Given that the constitutional concern—and the correspondingly heightened review—is motivated by the limitation of the Governor's role in the decision-making process, the grant to the Governor of some salary discretion within modest ranges tips the scheme somewhat back into balance. Moreover, this additional authority was not so unprecedented or unexpected that the decision was beyond the pale of what the Governor authorized or might have anticipated. The Executive Law regularly permits the Governor to set specific compensation within much wider ranges (*see e.g.* Executive Law §§ 52 [5]; 57, 260, 271, 642). Executive Law § 169 even delegates some compensation-setting to non-gubernatorial officials (*see* § 169 [3]). Although the Committee did not have carte blanche to design a complex set of rules or institutions for setting compensation, it did have the ability to set a statutory minimum and maximum and provide some discretion to the Governor using a familiar statutory regime.

II.

I turn next to two of the arguments advanced by my dissenting colleagues. First, they contend that the Enabling Act's supersession clause (§ 4 [2]) constitutes an unconstitutional delegation of legislative power. But this statute is not a hard call under our existing legislative nondelegation doctrine, and the supersession clause does not change that analysis.

Second, the dissent argues that the State Constitution's "fixed by law" provisions (art III, § 6; art XIII, § 7) require that the salaries of legislators and statewide elected officials be explicitly enumerated in statute. That reading is possible but finds limited support in the history of the provisions and does not accord with the broader principles embodied in the Constitution. A better reading of those provisions is that they require meaningful input from the two law-making branches (*see supra* at 270-272), but still permit the branches to authorize inferior bodies to exercise some amount of discretion.

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12. In its compensation recommendations for C- and D-tier Executive Law commissioners, the Committee allowed the Governor to choose within a tightly constrained range of options. For D-tier commissioners, compensation was $140,000-$170,000, while for C-tier commissioners, the salary was $175,000-$200,000. Furthermore, the Governor was not permitted to decrease compensation during the same term of a specific commissioner unless it was part of an across-the-board reduction applied evenly to all commissioners in the tier.

A.

The dissent misapplies our familiar nondelegation jurisprudence when it argues that the Enabling Act delegated the power to repeal statutes to the Committee. Although the legislature may not divest itself wholesale of the power to repeal general statutes, we do not infer that the legislature has done so unless it speaks clearly (*see Matter of Benvenga v LaGuardia*, 294 NY 526, 533 [1945]). In contrast to the dissent's proposition that "[n]o [safeguarding] 'standards' can excuse" the supersession clause (dissenting op at 295), the supersession clause, in the context of this statute, is functionally inconsequential.

Under the dissent's framework, the legislature could have passed an almost identical piece of legislation to accomplish the same end. Suppose the legislature has passed a law setting the compensation of all Executive Law § 169 commissioners as "adequate, as determined by the Committee after taking into account all appropriate factors including, but not limited to" the factors outlined in the Enabling Act. Had the legislature passed such an act, a court would presume that the elements of Executive Law § 169 that were inconsistent with the hypothetical statute and the Committee's corresponding recommendations would be repealed by implication (*see People v Mann*, 31 NY2d 253, 258 [1972]). In other words, the supersession clause adds nothing to the dissent's constitutional argument: if the Committee had been structured exactly as the Berger Commission was (that is, so that its structure was decidedly lawful), its recommendations would supersede inconsistent laws with or without a supersession clause.

The problem with the dissent's blanket prohibition on supersession clauses is that it is unmoored from the problems the relevant constitutional provisions were designed to address. As a result, it is difficult to figure out what types of familiar legislative actions are constitutionally suspect under the dissent's analysis. When we interpret the structure and language of a constitution, we ask what the provision aimed to accomplish and interpret the text in that light (*see Steingut*, 40 NY2d at 258). The dissent begins with the familiar proposition that bicameralism and presentment promote transparency and deliberative decision-making (*see* dissenting op at 288-289), but it quickly loses sight of those values in its rush to condemn supersession clauses. The regime created by the Enabling Act is no less deliberative or transparent than the permissible hypothetical statutory scheme outlined above and we should treat it the same way we would the hypothetical act.

The supersession clause at issue here is amenable to our well-established test for deciding whether the legislature has unconstitutionally delegated the "power to make the law," or whether the contested statutory provision merely "confer[s] authority or discretion as to a law's execution" (*Levine*, 39 NY2d 510, 515). I do not need to retread the plurality's application of this doctrine (*see* plurality op at 251-254). Suffice it to say that this supposed delegation of law-making authority is far narrower than others we have upheld (*see e.g. Levine*, 39 NY2d at 516).

Supersession clauses do not raise novel constitutional problems from a legislative nondelegation perspective. They do not inherently delegate the power to repeal or supersede existing statutes, even though they sometimes authorize courts and public officials to strike a law from "the books" (dissenting op at 292, quoting plurality op at 256 n 10)—books which are themselves assembled under delegated authority (*see* Public Officers Law § 70-B [1]). Rather, the authorizing statute repeals or supersedes the inconsistent laws and the other government entities apply the statute's directives.

The fact that a law explicitly makes supersession contingent on the judgment of another person or entity does not change that analysis, as the dissent's own authority explains. When the legislature passes a law, it may "provide that [the law] shall take effect at some future period or upon the happening of some future event" (*Corning v Greene*, 23 Barb 33, 49 [Sup Ct, Gen Term 1856]). That "future event" may include another entity expressing its disapproval. Thus, the legislature may "provide that the law should cease to exist, unless a party affected by it performed an act evincing consent to its provisions" (*id*. at 52 [upholding as constitutional a provision that a statute would not come into effect unless the corporation of the City of Albany consented to the bill]).

Although the dissent claims that "we have never approved a delegation of the power to 'supersede' duly enacted statutes," we in fact regularly afford inferior bodies considerable discretion about which statutes to repeal or supersede (dissenting op at 291). Statutes often do not explicitly provide for the "complete and automatic repeal" of inconsistent legislation (dissenting op at 290), and the legislature implicitly or explicitly authorizes other entities to implement its will. Thus, we often decide whether there is "an inconsistency between the statutes which is such as to preclude giving effect to both" (*Mann*, 31 NY2d at 258) in our own doctrine of implicit repeal, which does not seem to bother the dissent (*see* dissenting op at 290). It is not clear whether the dissent would also invalidate the common legislative practice of passing laws that supersede or repeal any other inconsistent laws (or permit other existing laws to supersede them) but do not specify the laws to which they refer. The dissent might read such a practice as an explicit delegation of the power to repeal statutes to the courts or relevant officials charged with compiling and enforcing them (*see e.g.* Vehicle and Traffic Law § 385 [20] ["Any such law, statute, ordinance, rule or regulation . . . shall to the degree inconsistent hereafter be deemed null and void and shall not be enforced"]; General Business Law § 392-h; Public Authorities Law § 2050-pp; State Finance Law § 97-oooo [3]).

Legislation regularly leaves decisions about the "concrete condition upon which 'supersession' [will] occur" to the "discretion" of non-legislative bodies (dissenting op at 290). For instance, we have twice approved regulations passed pursuant to General Obligations Law § 13-101 (3), which permits the transfer of claims except as restricted by statute or where transfer "would contravene public policy" (*see Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854, 871-872 [2003]; *Matter of General Elec. Capital Corp. v New York State Div. of Tax Appeals, Tax Appeals Trib.*, 2 NY3d 249, 258 [2004]).[13] Courts have also explicitly blessed supersession clauses in our local government law (*Matter of Sherman v Frazier*, 84 AD2d 401, 407-408 [2d Dept 1982]; *see also Kamhi v Town of Yorktown*, 74 NY2d 423, 429-434 [1989] ["When municipalities act within their supersession authority, even local laws that are inconsistent with the Town Law may be valid . . . . (W)e hold that permitting the Town to supersede Town Law § 274-a in its local application . . . fits comfortably within (Municipal Law

13. The dissent claims that these cases do not concern supersession (dissenting op at 291 n 4) but does not explain why the statute there at issue—which authorizes courts and agencies to overrule the statute's general decree that claims be transferrable whenever courts and agencies decide transfers would contravene public policy—is not an instance of supersession. Presumably under the dissent's logic, the Enabling Act would have been constitutionally permissible had it merely said that salaries would be as written in the statute "unless such salaries would contravene public policy, in which case they will be set as appropriate by the Committee."

§) 10”]; *Turnpike Woods v Town of Stony Point*, 70 NY2d 735, 737 [1987]). Supersession is routinely applied in our fire safety regulations, facilitating a statutory scheme that “reconcile[s] and consolidate[s] existing fire prevention and structural regulations into a single, uniform code . . . throughout the State” (*cf. Matter of Town of Aurora v Tarquini*, 77 NY2d 354, 359 [1991] [speaking about the scheme broadly though not addressing supersession]; *see generally* Executive Law § 383 [1]; Labor Law § 275; *People v Oceanside Institutional Indus., Inc.*, 15 Misc 3d 22, 25 [App Term, 2d Dept, 9th & 10th Jud Dists 2007] [enforcing a supersession clause]; *Sowa v Zabar*, 67 Misc 3d 1237[A], 2020 NY Slip Op 50772[U] [Sup Ct, NY County 2020] [same]).

The dissent counters that “the Committee ‘superseded’ far more than just a salary figure. It . . . reorganized the statutory tier structure from six tiers to four and reclassified officers among the tiers” (dissenting op at 292). The dissent does not explain what, if any, legal implications the tier structure had aside from its effect on compensation. The “tier structure” was simply a shorthand way of listing the amount to be paid to each enumerated officer. If the Committee had first listed the pay of each officer in a dollar amount, one by one, and then observed that 20 of them were at $120,000 annually, and called that “Tier C,” what legal significance, in the context of “fixed by law,” could that possibly have? Under the dissent’s view, the Committee’s recommendation would be less problematic had it set the compensation of all tiers equal to one another, effectively nullifying the entire structure; indeed, the Committee’s action would have been less problematic for the dissent had it scrambled their order, giving tier E commissioners the most, tier A commissioners the third-most, and tier B commissioners the least, provided it did not also update their names to put them in alphabetical order. It is hard to articulate why adjusting a shorthand way of referring to salaries—with no legal significance beyond the dollar amount to be paid to a particular employee—would change “far more than just a salary figure” such that it would raise independent constitutional concerns (dissenting op at 292).

The legislature specified what it wanted and left the Committee to execute its vision. It put in place safeguards to ensure that the Committee’s discretion was not so wide-ranging as to constitute independent policy judgment. Nothing about the Enabling Act’s supersession clause raises any novel or unprecedented legal issues in regard to our legislative nondelegation doctrine. Holding otherwise would call into question at least a century of jurisprudence and settled legislative practice.

B.

The dissent is closer to the mark on the whether the Enabling Act was consistent with our Constitution's "fixed by law" requirements (art III, § 6; art XIII, § 7). I agree with the dissent that federal precedent on an analogous provision of the Federal Constitution, which was made after the relevant amendments to our Constitution were adopted, is persuasive at best (*see* dissenting op at 302). Our Constitution has a separate history and structure and must be interpreted accordingly (*see id*. at 303). I also agree with the dissent that "fixed by law" might, in some contexts, mean "fixed by statute" (*see* dissenting op at 300-301).

The fact that "fixed by law" might mean "fixed by statute" does not end our analysis, however. In the context of the relevant constitutional provisions, we would need to ask which meaning of "law"—statute or something more capacious—the Constitution was using. Indeed, it is common in both the Constitution and our case law to use "law" or "fixed by law" to refer to an order "established by competent authority" (*Matter of Mutual Life Ins. Co. of N.Y.*, 89 NY 530, 533 [1882]; *cf.* 1 William Blackstone, Commentaries on the Law of England at 116-118 [William Carey Jones ed 1915] [adopting an influential declaratory theory of law]).[14] Even assuming that the Constitution uses the term "law" to mean "statute," in the sections in question, we would then need to ask whether a statute that permits some discretion to non-legislative actors would suffice to fix compensation. The dissent's own authorities suggest that "fixed by law" does not preclude providing discretion to other parties.[15] As the dissent notes, the court in *Healey v Dudley* stated that "law" meant "statute" in the context of a "fixed by

14. Construing the term "law" to mean "statute" and to exclude regulations, ordinances, or judicial decisions throughout the Constitution would lead to incongruous results (*see e.g.* NY Const, art I, §§ 6 [the power of grand juries to inquire into the conduct of public officers "shall never be suspended or impaired by law"], 14 ["Such parts of the common law, and of the acts of the legislature of the colony of New York, as together did form the law of the said colony . . . shall be and continue the law of this state"]).

15. The dissent also relies on ambiguous dicta from *People ex rel. Percival v Cram* (164 NY 166 [1900]), but *Percival* is not helpful here (*see* dissenting op at 301). As the dissent notes, in *Percival*, we found that a statute did not

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law" provision, but that such a law could allow the inferior body some discretion to the extent that the act taken by the inferior body was "obviously intended" by the legislature (dissenting op at 300-301, quoting 5 Lans 115, 119 [Gen Term, 4th Dept 1871]).[16] Unlike in the present case, the *Healey* court confronted a constitutional provision whose history made clear that the phrase "by law" was meant to wrest control away from county boards of supervisors, and it still allowed for the possibility that the legislative fixing might permit some discretion to inferior bodies (*see* 5 Lans at 117-118).[17] Even in the context of that provision, it is not clear that the legislature could not authorize some inferior bodies to exercise discretion over compensation. Indeed, our broader judicial compensation jurisprudence has permitted the legislature to authorize some discretion over compensation in the past (*see e.g. supra* at 267 n 2).[18]

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apply to a dockmaster because he was an officer and therefore not covered by its provisions (*see* dissenting op at 301). Furthermore, the language of the constitutional provision referenced in dicta differs from the "fixed by law" requirement of article XIII, § 7 (*compare* NY Const, art XIII, §§ 2 ["declared by law"], *and* 7 ["fixed by law"], *with* dissenting op at 303 ["*Pressler* interprets the word 'ascertain' . . . . (but) there is no dispute here as to the meaning of the term 'fixed' "]).

16. I agree that the legislature may not delegate its authority, even if it "obviously intended" to do so (*see* dissenting op at 301 n 9; *see also supra* at 270 n 5). My point here is that the "fixing" required in the statute does not require the legislature to spell out the compensation in exacting detail in its statutes. Rather, the law-making branches might create general principles by which the compensation is fixed and leave the implementation to an inferior body, provided that their overall principles still guide the analysis. To the extent that this system reflects "basic principles of construction" (dissenting op at 301 n 9), it suggests that the law-making branches may fix compensation with the term "appropriate" accompanied by a set of relevant factors, and leave a delegee to implement the specific details pursuant to the statute's guiding principles and identified factors.

17. *Brinckerhoff v Bostwick*, also cited by the dissent (*see* dissenting op at 301), was a case interpreting a statute with similarly clear statutory history (*see* 99 NY 185, 191 [1885] ["The construction we give to this (statute) is made quite obvious if we trace the history of the law embodied therein"]).

18. Even *People ex rel. Noble v Mitchel* (220 NY 86, 90 [1917]), which cites *Healey*, is somewhat cryptic about the discretion that is consistent with a "fixed by law" requirement (*see* dissenting op at 301). Although we agreed that the surrogate's salary "must be fixed by the legislature," we ultimately ruled that the surrogate's salary must be held in abeyance because it would have increased his compensation during his term in violation of the Constitution (*Noble*, 220 NY at 91). Had we thought the discretionary compensation scheme at issue violated the Constitution's fixing requirement, we presumably would have invalidated it rather than holding the compensation in

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There is no such clarifying history here. As the plurality notes, we have long recognized the importance of flexibility to the structure of the legislative "fixed by law" provision (*see* plurality op at 260-261, citing *Dunlea v Anderson*, 66 NY2d 265, 268 [1985]). Although I agree with the dissent that flexibility is not the only concern embodied by this provision (*see* dissenting op at 302), the imperative for flexibility should color our interpretation. In the absence of any authoritative historical evidence on this specific question, we are left to reason from the Constitution's text and structural principles. The best way to balance the twin imperatives of flexibility and accountability is to ensure that the executive and the legislature both meaningfully participate in the process (*see supra* at 270-272).

The dissent protests that this arrangement leaves the public with "no one to hold responsible other than the government at large" (dissenting op at 302). The public disagrees. New York voters can untangle this scheme and hold their officials responsible (*see e.g.* Jesse McKinley, *Why N.Y. Lawmakers Think They Deserve a $50,000 Raise*, NY Times, Dec. 9, 2018). The legislature regularly authorizes administrative agencies to promulgate rules with the force of law; the press and public usually figure out whom to hold responsible even without "a vote of both chambers" (dissenting op at 302).

The dissent also tries unsuccessfully to read something into the fact that the legislature set many of the relevant salaries in the past by writing the numbers directly into the statutory text (*see* dissenting op at 302). "Legislative inaction, because of its inherent ambiguity, affords the most dubious foundation for drawing positive inferences" (*Bourquin v Cuomo*, 85 NY2d 781, 787-788 [1995] [internal quotation marks omitted]). Here, there was not even a rejected proposal, as in *Borquin*, but merely a failure to consider the specific scheme at issue today. Because it is not clear why the legislature did not adopt this approach earlier, this is not strong evidence for the dissent. We have previously upheld compensation practices that were not contemplated by the 1946 legislature: for instance, adjusting future legislative salaries during the lame duck period (*Dunlea*, 66 NY2d at 269), or withholding salaries until after a budget has been passed (*Cohen*, 94 NY2d at 11), or retirement plans for state employees (*Boryszewski v Brydges*, 37 NY2d

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abeyance. Whatever principle *Noble* established, it did not hold that such a discretionary compensation scheme violated the State Constitution's fixing requirement.

361, 367-368 [1975]). We should yet again recognize that a scheme is not unconstitutional merely because it is novel.

III.

Essentially, the legislature has removed a great deal of weight from the executive branch in its version of *Tip-it*. Because the courts add enough weight to steady the balance and keep this precarious structure from toppling, I concur in the result.

SINGAS, J. (dissenting). Our State Constitution prescribes procedures for the function of our government that all branches are duty bound to follow. Instead of holding the legislature to that principle, the plurality employs an "interpretive gloss" to excuse the legislature's unconstitutional actions, concluding in essence that they are "close enough to those other cases" to pass constitutional muster. Indeed, one might be forgiven, after reading the plurality opinion, for believing that this case concerned judicial pay raises. It does not. This case involves different legislation, creating a different committee that was given a different mandate. The law at issue represents the legislature's attempt to unburden itself of its unique constitutional power to pass and repeal laws and instead vest that power in a group of unelected individuals, thereby avoiding the important safeguards of the constitutionally mandated lawmaking process. It additionally violates specific constitutional restrictions on how legislative and executive officer pay must be set. Despite the plurality's efforts to create one, there is no exception in the State Constitution for pay raises. I dissent.

I.

As part of a 2018 budget bill, the legislature created the Committee on Legislative and Executive Compensation (Committee) to "examine, evaluate[,] and make recommendations with respect to adequate levels of compensation, non-salary benefits, and allowances pursuant to [Legislative Law §§ 5 and 5-a], for members of the legislature, statewide elected officials, and those state officers referred to in [Executive Law § 169]" (L 2018, ch 650, § 1, part HHH [Enabling Act], § 1). The Committee was to be made up of the Chief Judge of the Court of Appeals along with

> "the [C]omptroller of the [S]tate of New York, the chairman of the State University of New York board

> of trustees and 52nd [C]omptroller for the [S]tate of New York, the [C]omptroller for the [C]ity of New York, and the chairman of the [C]ity [U]niversity of New York board of trustees and 42nd [C]omptroller for the [C]ity of New York" (*id.*).

The legislature tasked the Committee with determining whether "annual salary and allowances of members of the legislature, statewide elected officials, and salaries of [certain] state officers . . . warrant an increase" (*id.* § 2 [2]). The Committee was directed to consider several nonexhaustive factors:

> "[(1)] the parties' performance and timely fulfillment of their statutory and [c]onstitutional responsibilities; [(2)] the overall economic climate; [(3)] rates of inflation; [(4)] changes in public-sector spending; [(5)] the levels of compensation and non-salary benefits received by executive branch officials and legislators of other states and of the federal government; [(6)] the levels of compensation and non-salary benefits received by comparable professionals in government, academia[,] and private and nonprofit enterprise; [(7)] the ability to attract talent in competition with comparable private sector positions; and [(8)] the state's ability to fund increases in compensation and non-salary benefits" (*id.* § 2 [3]).

The legislation required the Committee to "make a report to the [G]overnor and the legislature of its findings" by December 10, 2018 (*id.* § 4 [1]). The recommendations would "have the force of law" and "supersede" inconsistent provisions of Executive Law § 169 and Legislative Law §§ 5 and 5-a unless modified or abrogated by statute prior to January 1, 2019 (*id.* § 4 [2]).[1] Lastly, the legislation provided that, after acquiring the force of law, the Committee's recommendations would remain in effect until amended or repealed, either by statute or by act of the previously established Commission on Legislative, Judicial, and Executive Compensation (*id.* § 7).

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1. Legislative Law § 5 set salaries for members of the legislature at $79,500 per year. Section 5-a provided additional allowances for members of the legislature serving as officers and in other special capacities. For example, pursuant to the statute, the Temporary President of the Senate receives an additional allowance of $41,500, and the Chairman of the Senate Judiciary Committee receives an additional allowance of $18,000. Executive Law § 169 provided the salaries of various state executive officers, such as the Commissioner of Labor and the Director of the Office for the Aging. It divided these positions into six tiers and set a salary for each tier.

On December 10, 2018, the Committee—comprising Thomas DiNapoli, Carl McCall, Scott Stringer, and Bill Thompson[2] —issued its report (*see* Rep of Comm on Legis and Executive Compensation [2018] [Report]). The Committee recommended increasing the base salaries of members of the legislature from $79,500 to $110,000 in 2019, $120,000 in 2020, and $130,000 in 2021 (*id.* at 5-6, 14-16). Effective January 1, 2020, and beyond, the Committee recommended (1) eliminating certain allowances for members of the legislature; (2) placing a 15% cap on outside earned income; and (3) prohibiting the receipt of income in certain professions where a fiduciary duty is owed (*id.*).

Regarding the executive branch, the Committee recommended that the salaries of the Attorney General and State Comptroller be increased from $151,500, to $220,000 in 2020 (*id.* at 6, 17).[3] Finally, the Committee made recommendations consolidating and reorganizing the six tiers of commissioners in Executive Law § 169 to four tiers, and proposed salary increases for 2019, 2020, and 2021 (*id.* at 6, 17-18). For tiers C and D, the Committee set salary ranges, rather than a fixed salary (*id.*). The compensation each individual commissioner would receive within that range would be determined by the Governor (*id.*).

Following receipt of the Committee's recommendations, the legislature took no action. As a result, pursuant to the Enabling Act, all the Committee's recommendations purportedly "acquired the force of law" on January 1, 2019, superseding any "inconsistent" provisions of Legislative Law §§ 5 and 5-a and Executive Law § 169.

In March 2019, plaintiffs brought this declaratory judgment action as citizen taxpayers under State Finance Law § 123-b. Plaintiffs alleged, among other things, that the Enabling Act unconstitutionally delegated legislative authority to the Committee and violated the Constitution's requirement that legislative salaries be "fixed by law." Plaintiffs asked the court to declare invalid the Enabling Act and the Committee's recommendations. Defendants moved to dismiss the complaint for failure to state a cause of action.

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2. Then-Chief Judge Janet DiFiore did not participate in the Committee.

3. The Report also made recommendations to raise the Governor and Lieutenant Governor's salaries, but recognized that this could only be accomplished by a joint resolution of both houses of the legislature (*see* Report at 16; *see also* NY Const, art IV, §§ 3, 6).

Supreme Court granted defendants' motion as to pay raises for the Comptroller, Attorney General, and executive commissioners, and the 2019 pay raises for the legislature (2019 NY Slip Op 32723[U] [Sup Ct, Albany County 2019]). The court found that the legislature had given the Committee adequate guidelines to make recommendations for pay raises such that the delegation of authority was constitutional (*id.* at *9-11). However, the court concluded that the Committee exceeded its delegated authority by recommending that certain activities be prohibited and that legislators' outside earned income be limited (*id.* at *12-15). Given that those restrictions on outside income were intertwined with the 2020 and 2021 legislative salary increases, the court invalidated those increases. The court found these issues severable from the other issues, including the 2019 legislative salary increase, and therefore upheld the remainder of the law (*id.* at *17-18). Though defendants initially appealed the portions of Supreme Court's opinion that invalidated the 2020 and 2021 legislative pay raises and limits on outside income and activities, they later withdrew their appeal. Therefore, for legislators, only the portions of the Committee's recommendations eliminating certain allowances and providing a raise to $110,000 remained in effect, and legislators are not subject to any of the Committee's recommended restrictions on outside income.

The Appellate Division modified the judgment insofar as appealed from by plaintiff to declare that the Enabling Act "has not been shown to be unconstitutional" and, as so modified, affirmed (194 AD3d 98, 107 [3d Dept 2021]). Plaintiffs appealed to this Court as of right (*see* CPLR 5601 [b] [1]).

II.

The plurality fails to acknowledge the nondelegable core legislative function that the Enabling Act vests in the Committee: the power to pass and repeal statutes. The Enabling Act's supersession clause gave the Committee discretion to determine which provisions of certain statutes would stand and which would fall. Because a duly enacted statute may be repealed only by another statute, this was an unconstitutional delegation of legislative power.

A.

"The legislative power of this state shall be vested in the senate and assembly" (NY Const, art III, § 1). Our Constitution has so provided since 1777, when those bodies were established as the "supreme legislative power within this [s]tate" (1777 NY Const art II). The legislative power

> "covers every subject which in the distribution of the powers of gover[n]ment between the legislative, executive[,] and judicial departments, belongs by practice or usage, in England or in this country, to the legislative department, except in so far as such power has been withheld or limited by the Constitution itself, and subject also to such restrictions upon its exercise as may be found in the Constitution of the United States" (*Lawton v Steele*, 119 NY 226, 232-233 [1890], *affd* 152 US 133 [1894]).

The Constitution prescribes a carefully crafted procedure that the legislature must follow when enacting a statute. Absent a statement of necessity from the Governor, a bill must first sit on the desks of legislators for three legislative calendar days (NY Const, art III, § 14). It must then receive a majority vote of each house (*id.*), and either be signed by the Governor or passed by two thirds of both houses following the Governor's veto (*id.*, art IV, § 7).

This "constitutionally proclaimed, deliberative process" is the bedrock of the legislative function (*Matter of King v Cuomo*, 81 NY2d 247, 254 [1993]), and serves several important purposes. First, bicameralism adds "wisdom and experience to the governing process," as one house limits the power of the other (Peter J. Galie, Ordered Liberty: A Constitutional History of New York 44 [1996]; *see also INS v Chadha*, 462 US 919, 948-949 [1983] [observing that the bicameralism requirement highlights the belief among the Constitution's framers that "legislation should not be enacted unless it has been carefully and fully considered" by elected officials]). The delay requirement of article III, § 14 of our Constitution reflects similar concerns, ensuring that every member "know[s] the precise character of the bill" and giving "the press an opportunity to communicate the bill to the people, who would then have time to express their opinions concerning the measure" before it becomes law (3 Charles Z. Lincoln, The Constitutional History of New York 236, 239 [1906]).

Of equal importance is presentment, which ensures that the legislative power is "subject to executive supervision and control" (4 Lincoln, The Constitutional History of New York at

497). The Governor is an "essential element of our legislative system" (*id.* at 458), and presentment provides the Governor the opportunity to "consider a bill from several points of view, including its constitutionality, its relation to other legislation, and also its policy or propriety, either general or particular" (*id.* at 499).

Our Constitution does not permit "the delegation of power to make the law, which necessarily involves a discretion as to what it shall be," but it does allow the legislature to "confer[ ] authority or discretion as to its execution, to be exercised under and in pursuance of the law" (*Moses v Guaranteed Mtge. Co. of N.Y.*, 239 App Div 703, 707 [1934] [invalidating statute that gave power to suspend provisions of the Banking Law], *revd on other grounds* 264 NY 476 [1934]). Indeed, the legislature may delegate its nonlegislative power "with reasonable safeguards and standards, to an agency or commission to administer the law as enacted by the [l]egislature" (*Matter of Levine v Whalen*, 39 NY2d 510, 515 [1976]). Delegations of this sort can, and often do, authorize administrative agencies to promulgate rules and regulations that have the force of law. Agency rulemaking is not subject to bicameralism and presentment because it is not an exercise of legislative power, but rather an exercise of "administrative" or "executive" power (*see Mistretta v United States*, 488 US 361, 386 n 14 [1989] ["rulemaking power originates in the (l)egislative (b)ranch and becomes an executive function only when delegated by the (l)egislature to the (e)xecutive (b)ranch"]).

The Committee's recommendations do not follow these established procedures, and yet purportedly acquired the "force of law" and "superseded" existing statutes through the legislature's inaction. The Constitution does not recognize this legislative end-run.

B.

By our constitutional design, the legislature cannot delegate "strictly," "inherently," or "exclusively" legislative powers (*Matter of Trustees of Vil. of Saratoga Springs v Saratoga Gas, Elec. Light & Power Co.*, 191 NY 123, 133-138 [1908]; *see Darweger v Staats*, 267 NY 290, 305 [1935])—"not to the people, not to administrative agencies, and not to committees of the legislature itself" (Peter J. Galie & Christopher Bopst, The New York State Constitution 112 [2d ed 2012]; *see Corning v Greene*, 23 Barb 33, 34 [Sup Ct, Gen Term 1856] ["An attempt . . . to call in another party to aid in the business, and divide the responsibilities, of legislation, so that . . . the sovereign function is discharged, in part at least, by a party unknown and unrecognized by the fundamental law, would be in contravention of the (C)onstitution, and render the act void"]). The power to enact and repeal statutes is a nondelegable core legislative function (*see Matter of Benvenga v LaGuardia*, 294 NY 526, 533 [1945]; *People v Ryan*, 267 NY 133, 137 [1935]; *Matter of Davidson v Walker*, 222 App Div 437, 439 [2d Dept 1928] [the legislature "may not delegate the power to enact a statute, and, conversely, may not delegate the power to repeal it" (emphasis omitted)], *revd on other grounds* 248 NY 357 [1928]). The legislature can repeal a duly enacted statute only by enacting another statute (*Matter of Moran v LaGuardia*, 270 NY 450, 452 [1936]).

Though it is not clear exactly how to define the Committee's recommendations—and the plurality makes no effort to do so—they are indisputably not statutes. The legislature did not vote on them and they were never presented to the Governor (*see* NY Const, art IV, § 7). Because the recommendations are not statutes, they could only have constitutionally replaced Legislative Law §§ 5 and 5-a and Executive Law § 169 if the legislature independently repealed those provisions (*see Matter of Moran*, 270 NY at 452). It did not.

No provision of the Enabling Act expressly provided for the repeal of those sections nor provided for their complete and automatic repeal upon the Committee issuing its recommendations. Any repeal is therefore both implied and conditional. Our precedent recognizes implied repeal only where there is "an inconsistency between the statutes which is such as to preclude giving effect to both" (*People v Mann*, 31 NY2d 253, 258 [1972]). That is not the case here. Nothing on the face of the Enabling Act indicated which portions of the preexisting statutes the recommendations would supersede, if any. Moreover, rather than provide any concrete condition upon which "supersession" would occur, the legislature left that decision to the Committee's discretion. The Committee could decide whether to supersede all, some, or none of the preexisting statutes. "While the [l]egislature may delegate powers not legislative which it may rightfully exercise itself, it cannot under the guise of conferring discretion confer authority to make the law" (*Moses*, 239 App Div at 707 [citation omitted]). Conferring this discretion on the Committee gave it the power to repeal statutes and, by implication, the power to enact them.

Because the legislature is prohibited from divesting itself of such powers, the Enabling Act's delegation of the supersession power is unconstitutional.

Unable to seriously contend that the legislature itself repealed the preexisting statutes, the plurality avoids the word "repeal" altogether. As the plurality tells it, the legislature did not delegate the power to repeal statutes, but merely the power to supersede them (plurality op at 252-254, 256 n 10). There is no basis to draw a distinction between supersession and repeal (*see* Black's Law Dictionary [11th ed 2019], supersede ["To annul, make void, or repeal by taking the place of . . . . (T)he 1996 statute supersedes the 1989 act"]). The power to supersede a statute is the power to repeal it. That power can be exercised only through the law-making procedures mandated by the Constitution.

III.

In any event, the plurality maintains that we "addressed the very issue we decide today" in *Matter of Benvenga*, and that this case requires nothing more than a straightforward application of well-settled precedent (plurality op at 256). The plurality cites additional cases, contending that this law is "similar" to prior laws and commissions (*see* plurality op at 247 [2010 statute "closely resembles" the Enabling Act], 248-249 [describing a "similar commission" created in 2015], 249-250 [characterizing the Committee as a "similar body"]), even though this Court never passed on those prior delegations (*see* plurality op at 247-249). Contrary to my concurring colleagues' claims, we have never approved a delegation of the power to "supersede" duly enacted statutes.[4]

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4. *Matter of General Elec. Capital Corp. v New York State Div. of Tax Appeals, Tax Appeals Trib.* (2 NY3d 249 [2004]) and *Matter of Medical Socy. of State of N.Y. v Serio* (100 NY2d 854 [2003]) do not concern supersession and are irrelevant to this discussion (*see* concurring op at 279-280). Moreover, the concurrence distorts the quote from *Matter of Town of Aurora v Tarquini* (*compare* 77 NY2d 354, 358 [1991] ["the legislation was designed to reconcile and consolidate existing fire prevention and structural regulations into a single, uniform code in order to provide a minimum level of protection for citizens throughout the (s)tate"], *with* concurring op at 280 ["Supersession is routinely applied in our fire safety regulations, facilitating a statutory scheme that 'reconcile(s) and consolidate(s) existing fire prevention and structural regulations into a single, uniform code . . . throughout the State' "]). That case, involving administrative regulation of pool enclosures, has no bearing on the legislature's ability to delegate the supersession power.

The plurality asserts, in a footnote, that this dissent violates stare decisis by refusing to acknowledge that this case is controlled by *Matter of Benvenga* (plurality op at 256-257 n 10). There, the legislature established judicial salaries by statute and authorized a New York City administrative board to provide additional compensation to local judges (*see Matter of Benvenga*, 294 NY at 530-532, citing L 1928, chs 818, 819). The legislature intended the additional locality pay to supplement judges' compensation based on local needs, not to change or replace the statutory salary (*see id.*; L 1928, chs 818, 819). The statutes at issue there contained no supersession clause at all—and one was not necessary because the legislature did not purport to give the City the power to alter or repeal existing statutes regarding judicial pay.

The plurality finds "no basis for distinguishing" this case from *Benvenga* (plurality op at 256). But the Enabling Act delegated more than just the authority to "determine whether . . . salaries should be increased beyond the amount set by statute" (*id.*). It granted the Committee the distinct power to "supersede" inconsistent portions of preexisting statutes, and in some cases provided *decreased* compensation. For example, in 2018, a senator holding the office of Vice-President Pro Tempore would have earned an annual base salary of $79,500 and an additional allowance of $34,000, for a total annual salary of $113,500 (*see* Legislative Law §§ 5, 5-a). The Committee eliminated that allowance; a senator holding the same office now earns $110,000 annually—less than what the Legislative Law mandates. And in recommending changes to Executive Law § 169, the Committee "superseded" far more than just a salary figure. It gave an entirely different branch of government the authority to set certain officers' salaries within a range. It also reorganized the statutory tier structure from six tiers to four and reclassified officers among the tiers. True, one can still find Executive Law § 169 in the Consolidated Laws, but it is hard to see how that statute "remain[s] on the books" in any meaningful way (plurality op at 256 n 10). *Matter of Benvenga* simply does not concern the issue we decide here.

Nor does *Matter of Maron v Silver* (14 NY3d 230 [2010]) have any bearing on the issues before us. In that case, we held "that the State had unconstitutionally compromised the independence of the judiciary over the course of three years by linking any decision on whether to increase judges' salaries with other legislative initiatives such as the enactment of legislative pay increases and campaign finance reform" (*Larabee v Governor of the State of N.Y.*, 27 NY3d 469, 473 [2016], citing *Matter of Maron*, 14 NY3d at 245-246, 260-261). *Matter of Maron* had nothing to do with supersession. The portions of that opinion that the plurality cites are nothing more than a factual reference to two failed bills that contained supersession clauses (*see* plurality op at 247). Our decision did not so much as mention those clauses, much less uphold their constitutionality (*see Matter of Maron*, 14 NY3d at 245).

After *Matter of Maron*, the legislature created a Commission on Judicial Compensation similar to the Committee at issue here (*see* L 2015, ch 60, § 1, part E). That commission recommended judicial salary increases, which took effect without required action from the legislature. In *Larabee*, we considered whether prospective salary raises effected by the commission adequately remedied the past constitutional violation that led to our decision in *Matter of Maron* (27 NY3d at 472). The plaintiffs sought money damages as compensation for those past violations, which we denied (*id.* at 472, 475-476). The plurality once again cites only the facts set forth in that opinion and agrees that this Court never approved of the supersession clause (plurality op at 248 n 3).

In 2015, the legislature created another commission vested with the power to supersede statutes, and again we did not pass on its constitutionality. The plaintiffs in that case did not meaningfully challenge the validity of the supersession power, arguing instead that the statute lacked adequate standards and safeguards (*see Center for Jud. Accountability, Inc. v Cuomo*, 167 AD3d 1406, 1410-1411 [3d Dept 2018]; *see infra* at 294-296 [explaining why this analysis does not apply to the present case]). We dismissed the appeal on the ground that no substantial constitutional question was directly involved (*see* 33 NY3d 993 [2019]), never addressing the distinct constitutional question of supersession, which is squarely presented here (*see* CPLR 5601 [b] [1]).[5]

5. Insofar as the statute at issue in *McKinney v Commissioner of N.Y. State Dept. of Health* (41 AD3d 252 [1st Dept 2007]; *see* plurality op at 257) authorized a commission to supersede statutes—and it did not do so explicitly—we did not have occasion to address the issue (9 NY3d 891 [2007]). Additionally, the recommendations in that case could not become law without the Governor's approval and were subject to rejection by concurrent resolution of the legislature. Whatever constitutional issues those mechanisms may have raised, they differ substantially from the process at issue here.

IV.

If, as the plurality contends, the Enabling Act truly limited the Committee's authority to providing additional compensation above existing levels, then the supersession clause itself would be superfluous, and the plurality need not defend it at all. But as discussed above, the Committee's authority was not so limited, and the plurality therefore must attempt to defend this delegation. The plurality reasons that the legislature can delegate the supersession power to a temporary commission, so long as the delegation is for a "discrete purpose" (plurality op at 252-253) and is "tightly cabined" by adequate standards and safeguards (plurality op at 258). That position finds no support in our law.

First, the Committee is not a temporary commission of a sort that this Court has previously accepted (*see* NY Const, art V, § 3). In search of relevant precedent, the plurality cites to cases involving the Bartlett Commission (plurality op at 252-253). That case law is entirely inapposite. The Bartlett Commission "merely proposed legislation to the [l]egislature, it did not enact the new law" (*People ex rel. Dudley v West*, 87 Misc 2d 967, 969 [Sup Ct, Kings County 1976]). The legislature subsequently adopted many of the Commission's recommendations by statute passed by both houses and signed by the Governor. Although the Committee and the Bartlett Commission differ in this most critical regard, the plurality analogizes the two, reasoning that the Enabling Act was valid even though it provided "that the Committee's recommendations, unlike those of the Bartlett Commission, were to go into effect by operation of law, and without further action by the legislature" (plurality op at 252). The plurality holds, in other words, that the Enabling Act was valid even though the Committee's recommendations, unlike those of the Bartlett Commission, became law without following constitutionally mandated lawmaking procedure.

The plurality then attempts to distinguish the Committee from the commission invalidated in *Hurley v Public Campaign Fin. & Election Commn.* (69 Misc 3d 254 [Sup Ct, Niagara County 2020]). That commission, like the Committee here, had the power to make recommendations that would supersede inconsistent provisions of the Election Law and State Finance Law (*see id.* at 258). Supreme Court invalidated that commission's enabling statute precisely because it "empowered the [c]ommission to legislate new law and repeal existing statutes" without following the "proper procedure" (*id.* at 260-261). The plurality ignores the clear similarities between the commission in *Hurley* and the Committee in this case. Instead, it attempts to distinguish them on the grounds that the Enabling Act, unlike the enabling statute in *Hurley*, contains reasonable safeguards and standards that narrow the scope of the delegation (plurality op at 257, 258).

At this point, the plurality invokes the test we announced in *Matter of Levine*. That test asks whether the legislature has provided adequate safeguards and standards such that an agency has the power merely to administer and execute the law, not the uniquely legislative "power to make the law, which necessarily involves a discretion as to what it shall be" (*Matter of Levine*, 39 NY2d at 515). It is irrelevant whether the legislature provided adequate standards here, because the Committee was not charged with executing or administering the law, and the plurality does not contend otherwise. The Committee was charged with the exclusively legislative power to repeal statutes. The plurality offers no rationale for borrowing our precedent concerning delegations of administrative and executive power (*see id.*) and using it, without foundation, to justify supersession here (plurality op at 252-254, 253 nn 6, 7). Whatever powers and functions the legislature may constitutionally assign to a temporary commission under article V, § 3 cannot include legislative powers and functions. Assigning these functions circumvents the constitutional process and eliminates the Governor's role. No "standards" can excuse that violation.[6] The Constitution, not the legislature, provides the

6. As a practical matter, the "standards" and "safeguards" in the Enabling Act had no bearing on the Committee's power to repeal duly enacted statutes. The Enabling Act merely set out the "factors"—such as "the overall economic climate" and "the ability to attract talent"—that the Committee could consider in making its determinations. It is hard to see how these "standards" served to "cabin" the Committee's discretion in deciding which portions of the statutes to repeal (plurality op at 253-254, 254 n 8). And the Committee was robust in the exercise of its broad authority.

Moreover, contrary to the plurality's interpretation, the phrase "where appropriate" in the Enabling Act's supersession clause in no way limited the Committee's discretion (*see* plurality op at 258). That phrase was clearly included to account for the fact that the preexisting law would remain unchanged if the Committee made no recommendation as to a subject, not to enforce the standard that the plurality supplies today. Nor did the provision permitting the legislature to modify or abrogate the recommendations by statute act as a meaningful safeguard against inappropriate recommendations (plurality op at 253). That provision merely restated the legislature's inherent power to repeal statutes.

standards and safeguards required for exercises of legislative power: bicameralism and presentment.

Based on "similar" cases never passed upon by this Court, case law involving delegations of rule-making authority to the executive branch, and promises of heightened judicial scrutiny, the plurality holds that the legislature may assign exclusively legislative power to a temporary commission where the commission has a "discrete purpose" and the legislature "set[s] standards on the exercise of authority through appropriate guidance" (plurality op at 252-253). This holding "undermines the integrity of the law-making process" (*Matter of King*, 81 NY2d at 255). Requiring that the legislature adhere to the constitutionally defined lawmaking process "is not some hypertechnical insistence of form over substance, but rather ensures that the central law-making function remains reliable, consistent[,] and exposed to civic scrutiny and involvement" (*id.*). Today's decision fails to do so.[7] As a result, it is possible to foresee all manner of future committees, insulated from the political process, to which the legislature may off-load certain law-making responsibility.

Today the plurality gives the legislature a pass. Perhaps this Court will eventually draw a line to prevent further erosion of the legislature's exclusive authority to exercise law-making power.

V.

The scope of the legislature's power to set legislative and certain official's salaries is also expressly limited by specific constitutional provisions regarding that very subject. The text and history of these constitutional restrictions require that a statute provide an unchanging level of compensation for legislators and constitutional state officers. The legislature also failed to comply with this mandate.

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7. Even accepting the plurality's overly generous interpretation of our nondelegation rules, the supersession clause makes no mention of Executive Law § 40 (Comptroller compensation) or § 60 (Attorney General compensation) (*see* Enabling Act § 4 [2]). Accordingly, under the plurality's own analysis, the Committee's recommendations to raise the Attorney General's and Comptroller's salaries from $151,000 to $220,000 had no legal effect because they were not within the purportedly "narrowly defined" power to "supersede" preexisting law addressing the same subject matter (*see* plurality op at 257, 257-258).

A.

Since a legislative pay provision first appeared in the Constitution in 1821, the issue of the amount of power to give the legislature in determining their own salaries has been the subject of considerable debate. In 1821, the convention opted to provide for a salary "ascertained by law" with a constitutional cap of three dollars a day (*see* 1821 NY Const, art I, § 9). There was some debate about whether to impose a cap at all because "[p]ublic opinion would . . . always regulate the sum, and it would be such as would be reasonable" (Nathaniel H. Carter & William L. Stone, Reports of the Proceedings and Debates of the Convention of 1821 at 420 [1821]). Others argued that there was no reason to think that the legislature would not "pursue[ ] the very course which public opinion has condemned" (*id.*). The convention ultimately agreed that allowing the legislature to fix salaries under a certain cap would provide needed flexibility while protecting against overcompensation (*see* 1821 NY Const, art I, § 9).

Skepticism for the legislature's role eventually won out in 1846 when legislative salaries were fixed at three dollars a day (1846 NY Const, art III, § 6). In 1874 this was changed to $1,500 per year by amendment proposed by the Constitutional Commission (*id.*, as amended by Const Amends of 1874) and in 1927 to $2,500 by general amendment (1894 NY Const, art III, § 6, as amended by Const Amends of 1927).

In 1946, the Joint Legislative Committee on Legislative Methods, Practices, Procedures, and Expenditures proposed an amendment to remove a dollar amount from the Constitution altogether, "[r]ather than repeat the error of inflexibility by fixing the compensation of legislators and legislative leaders in the Constitution, and thus fail to provide for changing conditions and circumstances" (Final Rep of NY St Joint Legis Comm on Legis Methods, Pracs, Pros and Expenditures, 1946 NY Legis Doc No. 31 at 170). This report urged the adoption of an amendment "to permit the fixing of legislative salaries by law as is done in Congress" (*id.*), thereby "vesting the [l]egislature with the power to adjust salaries by law" (*id.* at 171). It noted that exercising this power "of course, would require the consent of the Governor" (*id.*). The Joint Commission was assured that the legislature would not abuse this power:

> "Experience proves that empowered to determine the rate of its own compensation, the [l]egislature

> would be extremely conservative, if one may judge by the experience of Congress and state legislative bodies with the authority to change salary by law. In revising legislative salaries the [l]egislature and the Governor would necessarily always be guided by public opinion" (*id.*).

This proposed amendment, still in our Constitution today, was adopted by the people in 1948 and provides that "[e]ach member of the legislature shall receive for his or her services a like annual salary, to be fixed by law" along with a per diem and other allowances, both also "to be fixed by law" (NY Const, art III, § 6). For 70 years, from 1948 until the passage of the Enabling Act in 2018, the legislature enacted statutes fixing legislators' salaries in the Legislative Law. In 1948 it was set at $5,000 (L 1948, ch 20), and was amended seven times by statute passed by a majority of both houses and signed by the Governor between then and 1998,[8] when it was fixed at $79,500 (L 1998, ch 630). In its current form, Legislative Law § 5 still lists $79,500 as legislators' annual salary.

Regarding executive officers named therein, the 1846 Constitution provided that they should "receive . . . a compensation, which shall not be increased or diminished" during their term in office (1846 NY Const, art V, § 1). The proposer of this provision reasoned that leaving the issue to the legislature would "preserv[e] the accountability of these public servants, and the amount of compensation they shall receive, to the representative body" (S. Croswell & R. Sutton, Debates and Proceedings in the New-York State Convention for the Revision of the Constitution 404 [1846]). Thus, it was left to the "[l]egislature to fix the salaries" (*Problems Relating to Executive Administration and Powers*, 1938 Rep of NY Constitutional Convention Comm, vol 8 at 121). The language clarifying that this compensation must be "fixed by law" was added in 1874, upon an amendment approved by the people (*see* 1846 NY Const, art X, § 9, as amended by Const Amends of 1874) keeping it "subject to statutory regulation" (4 Lincoln, The Constitutional History of New York 765). Pursuant to this provision, until this case, the Comptroller's and Attorney General's salaries were fixed in Executive Law §§ 40 and 60, and periodically amended by statute approved by both houses of the legislature and

8. L 1954, ch 314 ($7,500); L 1961, ch 946 ($10,000); L 1966, ch 809 ($15,000); L 1973, ch 386 ($23,500); L 1981, ch 55 ($28,788 in 1981, $30,804 in 1982, $32,960 in 1983); L 1984, ch 986 ($43,000); L 1987, ch 263 ($43,000).

signed by the Governor. The relevant constitutional language today remains unchanged, and provides that "[e]ach of the state officers named in th[e] [C]onstitution shall, during his or her continuance in office, receive a compensation, to be fixed by law, which shall not be increased or diminished during the term for which he or she shall have been elected or appointed" (NY Const, art XIII, § 7). In their current forms, Executive Law §§ 40 and 60 set the Comptroller's and the Attorney General's salaries at $151,500. The Constitution imposes no specific requirements as to the compensation of executive officers not named therein.

B.

"In the construction of constitutional provisions, the language used, if plain and precise, should be given its full effect" and "[i]t must be presumed that its framers understood the force of the language used and, as well, the people who adopted it" (*People v Rathbone*, 145 NY 434, 438 [1895]). The Constitution is "an instrument framed deliberately and with care, and adopted by the people as the organic law of the [s]tate" (*Matter of King*, 81 NY2d at 253 [internal quotation marks omitted]). "[I]nterstitial and interpret[ive] gloss by the courts or by the other [b]ranches themselves that substantially alters the specified law-making regimen" is prohibited (*id.*).

Courts therefore "do not have the leeway to construe their way around a self-evident constitutional provision by validating an inconsistent practice and usage of those charged with implementing the laws" (*id.* [internal quotation marks omitted]). Instead, "[t]he words of the Constitution, like those of any other law, must receive a reasonable interpretation, considering the purpose and the object in view" (*Association for Protection of Adirondacks v MacDonald*, 253 NY 234, 238 [1930]). This involves analyzing "the provision in which the questioned phrase appears," the "circumstances and practices which existed at the time of the passage of the constitutional provision," and "the conduct of the [l]egislature as it exercised its authority under" the amended provision (*New York Pub. Interest Research Group v Steingut*, 40 NY2d 250, 258 [1976]).

The Constitution provides that each member of the legislature "shall receive for his or her services a like annual salary, to be fixed by law," "an additional per diem allowance, to be fixed by law," and "any allowance which may be fixed by law for the particular and additional services appertaining to or entailed by such office or special capacity" (NY Const, art III, § 6). "Neither the salary of any member nor any other allowance so fixed may be increased or diminished during, and with respect to, the term for which he or she shall have been elected" (*id.*). It states that the "provisions of this section and laws enacted in compliance therewith shall govern and be exclusively controlling, according to their terms" (*id.*). It similarly provides that state officers in the executive branch "shall . . . receive a compensation, to be fixed by law, which shall not be increased or diminished during the term for which he or she shall have been elected or appointed" (*id.*, art XIII, § 7).

Dictionaries from the time of the amendment regarding legislative salaries define "fix" as "[t]o set or place definitely; establish; settle"; "[t]o render permanent; to give an unvarying form to" (Webster's Collegiate Dictionary 378 [1945]). The term "fixed" clearly calls for an unchanging level of compensation. As such, the salaries were not "fixed" by the Enabling Act, and neither defendants nor the plurality contend otherwise (*see* plurality op at 246 n 2). Instead, defendants argue that the Committee's recommendation made the salaries "fixed by law." The Constitution provides that "no law shall be enacted except by bill" (NY Const, art III, § 13) and states that no bill shall be "passed or become a law, except by the assent of a majority of the members elected to each branch of the legislature" with the "ayes and nays entered on the journal" (*id.* § 14). "Every bill which shall have passed the senate and assembly shall, before it becomes law, be presented to the [G]overnor; if the [G]overnor approve, he or she shall sign it" (*id.*, art IV, § 7).

Contemporary cases interpreting similar provisions in the Constitution reached consistent conclusions. The year before the amendment to article XIII, § 7's predecessor was proposed, the General Term was faced with the interpretation of the phrase "established by law" in the context of setting county judges' salaries (*see Healey v Dudley*, 5 Lans 115 [Sup Ct, Gen Term, 4th Dept 1871]). That court opined that

> "[w]hen an act is to be done according to law, or a thing is to be established by law, we all understand that the law intended is a law passed by the legislature, and not by some inferior body acting under powers conferred by the legislature, unless,

> from the nature of the case, the act of the inferior body is obviously intended" (*id.* at 119).[9]

The court concluded that the constitutional provision at issue evinced no intent to allow the "inferior body" (there, the board of supervisors) to set county judges' salaries. This Court cited *Healey* in 1917, stating that a salary of a surrogate, required to be "established by law" (1894 NY Const, art VI, § 15), "must be fixed by the legislature" (*People ex rel. Noble v Mitchel*, 220 NY 86, 90 [1917]; *see also Brinckerhoff v Bostwick*, 99 NY 185, 190-191 [1885] ["Such expressions as 'required by law,' 'regulated by law,' 'allowed by law,' 'made by law,' 'limited by law,' 'as prescribed by law,' 'a law of the (s)tate,' are of frequent occurrence in the Codes and other legislative enactments; and they are always used as referring to statutory provisions only"]).

Between the adoption of the phrase "fixed by law" in the two constitutional provisions at issue, this Court considered language in the Constitution stating that "[w]hen the duration of any office is not provided by this Constitution, it may be *declared by law*" (1894 NY Const, art X, § 3 [emphasis added]). The New York City Civil Service Commission promulgated regulations providing certain hurdles to removing an employee that the Court concluded, as to the employee, violated statutory rules about removal for cause, and further concluded that "in the case of public officers such duration of term and permanence of tenure must proceed from the action of the legislature itself, for so the Constitution ordains" (*People ex rel. Percival v Cram*, 164 NY 166, 170-171 [1900]). The Court explained that "[t]he power cannot be delegated to the civil service commission (if we assume that such was the statutory intent) nor the term of an office be prescribed by its regulation" (*id.* at 171; *see also Benton County Council of Benton County v State ex rel. Sparks*, 224 Ind 114, 125, 65 NE2d 116, 120 [1946] ["the term 'fixed by law' in its general and ordinary sense does not include a salary fixed by an administrative board"]; *Colbert v Bond*, 110 Tenn 370, 381-382, 75 SW 1061, 1063 [1903] ["The law ascertaining this compensation must be enacted by the (l)egislature, the only lawmaking power. This lawmaking power

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9. The concurrence again divorces the language of a case from its context to buttress its arguments (concurring op at 281-282). The phrase "unless the act of the inferior body is obviously intended" acknowledges basic principles of construction. Here, there is nothing in our constitutional history or text demonstrating that the Committee's acts were "obviously intended." Moreover, a statute that is "obviously intended" to allow a delegation cannot overcome a constitutional prohibition against delegation.

cannot be delegated to any other body"]; *Dane v Smith*, 54 Ala 47 [1875] [" 'Established by law' . . . means *declared by legislative enactment*. This can be done only by the lawmaking power"]).

This interpretation is also in line with the purpose of both provisions. The constitutional conventions and commissions have, over time, expressed uncertainty about giving the legislature the power to set their own and state officers' salaries. But in both cases, ultimately, the fact that the legislature would be directly accountable to the people provided adequate assurances that this power would not be abused. This history belies the plurality's one-dimensional view that the only aim of the 1948 amendment to article III, § 6 was to make the process more flexible. Instead, it was to make the process more flexible, while maintaining accountability. Handing this power to a committee of unelected individuals who are not directly accountable to public opinion frustrates this purpose by removing the onus of the decision-making from the body over which the public exerts influence through elections. Without a vote of both chambers on whether raises should be implemented, the public has no one to hold responsible other than the government at large. For better or for worse, the substantial political difficulties that have impeded statutory raises were an anticipated consequence, rather than a flaw, of vesting that power with the legislature.

In the 70 years after the amendment to article III, § 6, and the over 140 years after the amendment to article XIII, § 7, the legislature has enacted legislators', the Comptroller's, and the Attorney General's salaries by statute passed by a majority of both houses and signed by the Governor. To the extent that the legislature's contemporaneous understanding of their own powers factors into the analysis, their decades of uniformly changing salaries by statute supports the text's history and purpose.

Federal cases cited by the plurality interpreting the U.S. Constitution's requirement that legislative salaries be "ascertained by law" carry little weight (*see* US Const, art I, § 6). While Congress only has the powers given to it by the United States Constitution, the state legislature's power is plenary, "limited only by the national and state constitutions. For this reason, a list of enumerated powers comparable to [the U.S. Constitution] does not appear in [article III]. On the contrary, later sections of this article contain specific restrictions on the exercise of legislative power" (Galie & Bopst, The New York State Constitution 112). Thus, while federal constitutional provisions regarding legislative powers must be read in the context of granting certain powers, those in the State Constitution must be read in the context of restricting them. The plurality nonetheless cites legislative history indicating that the 1947 amendment was passed to align the process for setting legislative salaries in New York to the process used by the federal government. From this, the plurality concludes that if Congress can do it, so can we (*see* plurality op at 260-261). Critically, though, the plurality fails to mention that in 1948 when the amendment was enacted, *no attempt had ever been made to set congressional salaries other than by statute*. The plurality's implication that the meaning of our own Constitution may be changed by Congress's subsequent actions is analytically suspect.

Moreover, even accepting the similarity of the two provisions, the federal cases the plurality cites interpreting the U.S. Constitution's Ascertainment Clause carry little persuasive authority (*see Humphrey v Baker*, 848 F2d 211 [DC Cir 1988]; *Pressler v Simon*, 428 F Supp 302 [D DC 1976, three-judge panel]). First, *Pressler* interprets the word "ascertain," and appears to start with the premise that the "ascertainment" must be accomplished by statute (428 F Supp at 305-306 [concluding that statute delegating power did so "by law" and "it only remains to consider whether or not the verb 'ascertain' has such a narrow and limiting effect that, as a matter of constitutional law, it was intended to prevent the Congress from developing rational procedures of this type"]). Of course, there is no dispute here as to the meaning of the term "fixed" and the plurality does not propose that the Enabling Act somehow "fixed" compensation. Instead, the plurality's argument appears to be that the Committee's recommendations are somehow "law" despite never receiving a majority vote in either the Senate or Assembly nor being signed by the Governor (plurality op at 246 n 2 ["the critical phrase . . . for purposes of this appeal is 'by law' "]). In any event, *Pressler*'s conclusion that "ascertainment" included directing another body to follow rational procedures for fixing congressional compensation was based on federal constitutional history, which did not reflect the skepticism for the legislature's role that has motivated the treatment of this issue in the State Constitution. Our distinct constitutional history elucidates the interpretation of our own Constitution.

Though the District Court's decision in *Pressler* was affirmed without opinion by the U.S. Supreme Court, the basis for that affirmance is unclear, and may have rested on plaintiff's lack of standing (*see* 434 US 1028 [1978, Rehnquist, J., concurring] ["Our 'unexplicated affirmance' without opinion could rest as readily on our conclusion that appellant lacked standing to litigate the merits of the question as it could on agreement with the District Court's resolution of the merits"]). Nonetheless, in *Humphrey*, the D.C. Circuit held that the Supreme Court's affirmance of *Pressler* was binding on its analysis and merely adopted the District Court's reasoning from that case, providing no additional analysis (848 F2d at 215-216).[10]

The state cases on which the plurality relies fare no better (*see* plurality op at 261-262). *People ex rel. Morris v Edmonds* dealt with whether judges could be paid additional compensation *beyond* that prescribed by the legislature (15 Barb 529, 532-536 [Sup Ct 1853]). When we cited that case in *Matter of Benvenga*, we made clear that "Justices of the Supreme Court are [s]tate officers whose compensation must be prescribed by the [l]egislature, subject to the constitutional provision" requiring them to be "established by law" (294 NY at 530). We narrowly described the rule from *Edmonds*, that "the [l]egislature may confer limited authority to pay additional compensation to such justices" (*id.*). Of course, the legislature here attempted to confer authority to determine the legislators' entire salaries, repealing those already "fixed by law" (*see supra* at 292). Far from "endors[ing]" the language the plurality quotes from *Edmonds* (plurality op at 261-262), the Court in *Matter of Benvenga* only provided a general citation and did not adopt any language from that case. The plurality simply does not cite a single case supporting its conclusion that, in this context, the phrase "fixed by law" does not mean "fixed by statute."

The text and history of the two provisions at issue confirm that to satisfy article III, § 6, and article XIII, § 7, the legislature must enact a statute providing for an unchanging level of compensation. Thus, even if the delegation in the Enabling Act were otherwise permissible, it would nonetheless be unconstitutional insofar as it allowed the salaries of legislators, the Attorney General, and the Comptroller to be fixed other than by a duly enacted statute.

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10. The plurality's replacement of the word "ascertained" with the word "fixed" in that case's holding (plurality op at 261) does not change the immateriality of its analysis to the issue at hand.

VI.

Our Constitution's mandates are clear. Only the legislature may pass and repeal laws, and the legislature itself must fix the salaries of legislators and officers named in the Constitution. The plurality's tortured journey to a contrary result leads us far astray from these settled principles. The legislature must follow the law-making process of bicameralism and presentment to pass and repeal laws. Because the Enabling Act's supersession clause instead gives the Committee the power to perform this crucial step, I would declare that provision of the Enabling Act unconstitutional.

Judges RIVERA and TROUTMAN concur; Judge WILSON concurs in result in an opinion. Judge SINGAS dissents in an opinion, in which Judge GARCIA concurs.

Order affirmed, with costs.

[206 NE3d 1221, 186 NYS3d 78]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DANIEL TALLUTO, Appellant.

Argued November 17, 2022; decided December 13, 2022

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered January 28, 2022. The Appellate Division, with two Justices dissenting, affirmed an order of the Oswego County Court (Donald E. Todd, J.), which had determined that defendant was a level one risk pursuant to the Sex Offender Registration Act and designated him a sexually violent offender.

People v Talluto, 201 AD3d 1333, affirmed.

HEADNOTES

Crimes — Sex Offenders — Sex Offender Registration Act — Sex Offense Committed in Another State — Sexually Violent Offender Designation

1. Correction Law § 168-a (3) (b), which provides that "a felony in any other jurisdiction for which the offender is required to register as a sex offender" therein is a "sexually violent offense," requires any person subject to the Sex Offender Registration Act's foreign registration requirements to be designated a sexually violent offender regardless of whether the underlying offense is violent in nature. Accordingly, County Court properly determined that it was required by law to designate defendant a sexually violent offender because he had been convicted of a felony in Michigan that required him to register as a sex offender therein, notwithstanding the recommendation by the Board of Examiners of Sex Offenders that defendant be adjudicated a presumptive level one sex offender with no sexually violent offender designation. The Advisory Committee on Criminal Law and Procedure to the Chief Administrative Judge of the Courts of the State of New York has concluded that subdivision (3) (b)'s foreign registration clause was added in error and has recommended that the legislature delete it. The Committee has observed that, because subdivision (3) (b)'s foreign registration clause is identical to its subdivision (2) (d) counterpart, the statute collapses the distinction between violent and nonviolent sex offenses, at least as it applies to out-of-state offenders who reside in New York. Moreover, the legislative history suggests that the legislature may have intended for subdivision (3) (b)'s foreign registration clause to have a more limited effect than its plain language compels. However, if the wording of the statute has created an unintended consequence, it is the prerogative of the legislature, not the Court of Appeals, to correct it.

Crimes — Sex Offenders — Sex Offender Registration Act — Sexually Violent Offender Designation

2. The decision whether to designate a defendant a sexually violent offender is not a matter with respect to which the adjudicating court may

exercise discretion. "Sexually violent offender" is defined as "a sex offender who has been convicted of a sexually violent offense defined in subdivision three" (Correction Law § 168-a [7] [b]). The court is bound by the statute. Although an adjudicating court in a Sex Offender Registration Act (SORA) proceeding has the discretion to grant a party's request for an upward or downward departure from the presumptive risk level, that authority, and the procedures for assessing the defendant's presumptive risk level in the first instance, are derived from SORA's guidelines, which the Board of Examiners of Sex Offenders is empowered to create pursuant to Correction Law § 168-l (5). Conversely, section 168-l (6) does not explicitly or implicitly bestow discretion on the courts to "depart" from a sexually violent offender designation. That section sets forth only the procedure for SORA adjudications; it does not provide the courts with the discretion to disregard the legislature's unambiguous statutory definition of "sexually violent offender."

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Mentally Impaired Persons §§ 133, 134.

MCKINNEY'S, Correction Law §§ 168-a (3) (b); (7) (b); 168-*l* (5), (6).

NY JUR 2d Penal and Correctional Institutions §§ 383, 384, 393, 394, 397.

ANNOTATION REFERENCE

See ALR Index under Sex Offender Registration and Notification.

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POINTS OF COUNSEL

Keem Appeals, PLLC, Syracuse (*Bradley E. Keem* of counsel), for appellant. The court below's designation of Daniel Talluto as a sexually violent offender fails to effectuate the intent of Correction Law § 168-a and leads to an unreasonable if not absurd result, and thus must be vacated. (*Matter of North v Board of Examiners of Sex Offenders of State of N.Y.*, 8 NY3d 745; *People v Roberts*, 31 NY3d 406; *People v Robinson*, 95 NY2d 179; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Williams v Williams*, 23 NY2d 592; *People v Santi*, 3 NY3d 234; *Matter of New York State Superfund Coalition, Inc. v New York State Dept. of Envtl. Conservation*, 18 NY3d 289; *Matter of Long v Adirondack Park Agency*, 76 NY2d 416; *People* *ex rel. McCurdy v Warden, Westchester County Corr. Facility*, 36 NY3d 251; *Lynch v City of New York*, 35 NY3d 517.)

Gregory S. Oakes, District Attorney, Oswego, for respondent. I. This Court should affirm the Appellate Division's decision because the Court's interpretation and application of Correction Law § 168-a (3) (b) is consistent with a plain reading of the statute and seemingly reflects the policy choices of the legislature. (*Matter of Lisa T. v King E.T.*, 30 NY3d 548; *Desrosiers v Perry Ellis Menswear, LLC*, 30 NY3d 488; *Boreali v Axelrod*, 71 NY2d 1; *Matter of Alonzo M. v New York City Dept. of Probation*, 72 NY2d 662; *Matter of Knight-Ridder Broadcasting v Greenberg*, 70 NY2d 151; *People v Bynum*, 140 AD3d 501; *People v Macchia*, 126 AD3d 458, 25 NY3d 910; *People v Hood*, 16 AD3d 778, 4 NY3d 853; *People v Bullock*, 125 AD3d 1.) II. Correction Law § 168-n does not provide discretion in assessing whether offenders should be designated as a sexually violent offender. (*People v Bullock*, 125 AD3d 1, 24 NY3d 915; *People v Faulkner*, 122 AD3d 539, 24 NY3d 915; *People v Rodriguez*, 122 AD3d 538, 24 NY3d 915; *People v Ayala*, 72 AD3d 1577; *People v Whibby*, 50 AD3d 873; *People v Lockwood*, 308 AD2d 640; *People v Medina*, 165 AD3d 1184, 32 NY3d 917; *People v Golliver*, 97 AD3d 734, 19 NY3d 813; *People v Blue*, 186 AD3d 1088, 36 NY3d 901.)

Twyla Carter, The Legal Aid Society, New York City (*Nancy E. Little* and *Denise Fabiano* of counsel), and *Caprice Jenerson, Office of the Appellate Defender*, New York City (*Karena Rahall* and *Will A. Page* of counsel), for The Legal Aid Society and another, amici curiae. To read Correction Law § 168-a (3) (b) as defining as a "sexually violent offense" any felony conviction of an out-of-state sex offender who is required to register in the jusrisdiction of conviction and relocates to New York contravenes the expressed intent of the legislature, violates canons of statutory construction, and raises serious constitutional concerns. (*People v Knox*, 12 NY3d 60; *People v David W.*, 95 NY2d 130; *Riley v County of Broome*, 95 NY2d 455; *People v Diaz*, 32 NY3d 538; *Matter of Sutka v Conners*, 73 NY2d 395; *People ex rel. McCurdy v Warden, Westchester County Corr. Facility*, 36 NY3d 251; *People v Giordano*, 87 NY2d 441; *People ex rel. Onondaga County Sav. Bank v Butler*, 147 NY 164; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of Rouss*, 221 NY 81.)

OPINION OF THE COURT

TROUTMAN, J.

The Sex Offender Registration Act (Correction Law § 168 *et seq*. [SORA]) provides for two circumstances in which a person convicted of an offense in another jurisdiction must register as a sex offender. One circumstance is if the offense satisfies an "essential elements" test—i.e., the offense "includes all of the essential elements" of an enumerated "sex offense" or "sexually violent offense" (§ 168-a [2] [d] [i]; [3] [b]). The other is if the offense falls within SORA's foreign registration requirements—i.e., "a felony in any other jurisdiction for which the offender is required to register as a sex offender" therein (§ 168-a [2] [d] [ii]; [3] [b]).[1] The issue here is whether section 168-a (3) (b) requires any person subject to SORA's foreign registration requirements to be designated a sexually violent offender regardless of whether the underlying offense is violent in nature (*see* § 168-a [7] [b]). We hold that it does.

I.

In 2012, defendant was convicted in Michigan of criminal sexual conduct in the first degree, a felony that required him to register as a sex offender under Michigan's "Sex Offenders Registration Act" (*see* Mich Comp Laws §§ 28.722 [v] [iv]; 750.520b [1] [b] [ii] ["A person is guilty of criminal sexual conduct in the first degree if he or she engages in sexual penetration with another person and . . . (t)hat other person is at least 13 but less than 16 years of age and . . . (t)he actor is related to the victim by blood or affinity to the fourth degree"]).

In 2020, defendant relocated to New York to live near family. The Board of Examiners of Sex Offenders (Board), pursuant to Correction Law § 168-k, determined that he was required to register as a sex offender due to his "felony conviction which requires registration as a sex offender in Michigan." The Board completed a risk assessment instrument, allocating 65 points to defendant, making him a presumptive level one risk. The Board recommended that County Court adjudicate him as such with no sexually violent offender designation. Defendant and the People agreed with the recommendation. However, the court concluded that the plain language of Correction Law

1. A third circumstance—not relevant here—is if the offender is convicted of a federal crime enumerated under Correction Law § 168-a (2) (d) (iii).

§ 168-a (3) (b) required it to designate defendant a sexually violent offender because he was convicted in Michigan of a felony that required him to register as a sex offender in that state. Although the court believed the result illogical, it concluded that any error or perceived injustice in the statute was a matter for the legislature.

The Appellate Division affirmed, with two Justices dissenting (201 AD3d 1333 [4th Dept 2022]). The majority concluded that subdivision (3) (b) plainly and unambiguously required County Court to designate defendant a sexually violent offender, although it added that the result was "illogical and unfair" and that there was a "compelling case" that subdivision (3) (b)'s foreign registration clause was the result of a legislative drafting error (*id.* at 1334). The dissenting Justices concluded that applying the foreign registration clause would lead to "an unreasonable if not absurd result, i.e., the designation of defendant as a sexually violent offender" when the underlying felony was a nonviolent offense (*id.* at 1336-1337).

Defendant appeals as of right by virtue of the two-Justice dissent (*see* CPLR 5601 [a]).

II.

Defendant contends that the insertion of subdivision (3) (b)'s foreign registration clause was a legislative drafting error, and that the legislature did not intend for nonviolent offenders to be designated as sexually violent, a result he considers absurd. We reject that contention. Defendant's proposed construction of subdivision (3) (b) amounts to a request that we read the foreign registration clause out of the statute entirely and fail to give effect to that portion of the statute.

We note at the outset that, although the amici brief sets forth an argument that the statute is unconstitutional, defendant did not preserve any challenge to the constitutionality of subdivision (3) (b)'s foreign registration clause, nor does he raise any such challenge on appeal (*cf.* 201 AD3d at 1334). The sole issue before us is one of pure statutory interpretation and, therefore, our task " 'is to ascertain the legislative intent and construe the pertinent statutes to effectuate that intent' " (*People v Roberts*, 31 NY3d 406, 418 [2018]).

"We begin with the statutory text, which is the clearest indicator of legislative purpose" (*Matter of M.B.*, 6 NY3d 437, 447 [2006]; *see Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]). "[E]ffect and meaning must, if possible, be given to the entire statute and every part and word thereof" (McKinney's Cons Laws of NY, Book 1, Statutes § 98 [a]). "Where the language of a statute is clear and unambiguous, courts must give effect to its plain meaning; words are not to be rejected as superfluous" (*Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington*, 97 NY2d 86, 91 [2001]; *see Matter of Anonymous v Molik*, 32 NY3d 30, 37 [2018]).

"Any sex offender" must register as such pursuant to SORA's requirements (Correction Law § 168-f [1]). " 'Sex offender' " is defined as "any person who is convicted of any of the offenses set forth in subdivision two or three" of section 168-a (§ 168-a [1]). Subdivision (2) sets forth a list of criminal offenses in paragraphs (a) through (c) that constitute "sex offenses." Subdivision (3) sets forth a separate list of criminal offenses in paragraph (a) that constitute "sexually violent offenses." Only those persons convicted under subdivision (3) of a "sexually violent offense" warrant the designation of "sexually violent offender" (§ 168-a [7] [b]). Subdivisions (2) (d) and (3) (b) encompass out-of-jurisdictions convictions:

> " 'Sex offense' means . . .
>
> "a conviction of (i) an offense in any other jurisdiction which includes all of the essential elements of any such crime provided for in paragraph (a), (b) or (c) of this subdivision or (ii) a felony in any other jurisdiction for which the offender is required to register as a sex offender in the jurisdiction in which the conviction occurred or, (iii) [enumerated federal crimes]" (§ 168-a [2] [d]).
>
> " 'Sexually violent offense' means . . .
>
> "a conviction of an offense in any other jurisdiction which includes all of the essential elements of any such felony provided for in paragraph (a) of this subdivision or conviction of a felony in any other jurisdiction for which the offender is required to register as a sex offender in the jurisdiction in which the conviction occurred" (§ 168-a [3] [b]).

[1] The statutory language is clear and unambiguous: "a felony in any other jurisdiction for which the offender is required to register as a sex offender" therein is, under subdivision (3), a "sexually violent offense" (*id.*). "As a general rule, unambiguous language of a statute is alone determinative" (*Riley v County of Broome*, 95 NY2d 455, 463 [2000]). However, where the plain meaning of a statutory provision leads to " 'absurd or futile results,' " this Court will look " 'beyond the words to the purpose of the act' " (*New York State Bankers Assn. v Albright*, 38 NY2d 430, 437 [1975]).

The history of the statute reinforces the clear meaning of the text. The legislature enacted SORA in 1995 in response to an act of Congress that conditioned federal funding on states establishing sex offender registries (*see* L 1995, ch 192; *People v Diaz*, 32 NY3d 538, 540 [2018]). SORA, in its original form, encompassed out-of-jurisdiction convictions of only those offenses that satisfied the essential elements test for a "sex offense" or a "sexually violent offense." There was no foreign registration clause (*see* L 1995, ch 192, § 2).

In 1997, however, Congress added a reciprocity requirement, directing states to require sex offender registration of residents convicted of offenses in other states that fit within the federal scheme (*see Diaz*, 32 NY3d at 541). In 1999, the legislature responded by amending the definitions of "sex offense" and "sexually violent offense" to add the foreign registration clauses (*see* L 1999, ch 453, §§ 1-2). The Governor's Program Bill Memorandum makes it clear that the language was added because the essential elements test was deemed to be noncompliant with the recent congressional directive (*see* L 1999, ch 453, Governor's Program Bill Mem No. 116 at 6 ["failure to expand the list of registerable crimes as required by (f)ederal law could result in the loss of 10% of the State's Byrne Formula grant"]).[2] The memorandum explained that the then-existing statute

> "require[d] a detailed analysis of the statutes in other jurisdictions to determine whether registration is required in New York State. The bill sets forth a clear method to determine whether registration in New York State is required: if registration is required in the jurisdiction of conviction, registration will be required in New York" (*id.* at 5).

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2. The legislative history also includes a Senate Introducer's Memorandum in Support, the language of which is identical to the language in the Governor's Program Bill Memorandum (*see* L 1999, ch 453, Senate Introducer Mem in Support, available at http://public.leginfo.state.ny.us/navigate.cgi [search by chapter No. 453 for year 1999 and check box for Sponsor's Memo] [accessed Dec. 8, 2022]).

The memorandum also contained a summary of each section of the bill, which specifically addressed the amendment to subdivision (3) (b):

> "Section 1 . . . amends paragraph b of subdivision 2 to include within the definition of sex offense a conviction in another jurisdiction of a felony which requires the person to register as a sex offender in the jurisdiction where the conviction occurred . . .
>
> "Section 2 . . . amends paragraph b of subdivision 3 of section 168-a of the Correction Law in the same manner as the amendment to section 168-a(2)(b) with respect to a conviction for a sexually violent offense in another jurisdiction" (*id.* at 1).

The identical language in the definitions of "sex offense" and "sexually violent offense" with respect to a felony in another jurisdiction raises certain issues. The definitions do not otherwise overlap (*compare* § 168-a [2] [a]-[c], *with* [3] [a]). Nor should they. A person convicted of a "sexually violent offense" is a "sex offender" subject to all the same restrictions and requirements as a person convicted of a mere "sex offense" (*see* § 168-a [1]; *see also* [7] [b]), as well as additional ones, such as lifetime registration regardless of risk level (*see* § 168-h). Practically everyone involved in this case from its inception—defendant, the People, the County Court Judge, all five Justices at the Appellate Division, including the Justices in the majority and the dissent, and apparently the Board of Examiners of Sex Offenders—agree that the statute is problematic as applied to defendant.

The Advisory Committee on Criminal Law and Procedure to the Chief Administrative Judge of the Courts of the State of New York (Committee) has concluded that subdivision (3) (b)'s foreign registration clause was added in error and, accordingly, has recommended every year since 2010 that the legislature delete it.[3] The Committee has observed that, because subdivision (3) (b)'s foreign registration clause is identical to its sub-

3. Since the Committee made its recommendation 13 years ago, the legislature has not acted. At the same time, the Board has rarely—if ever—recommended that an adjudicating court designate an out-of-jurisdiction offender a sexually violent offender solely by application of subdivision (3) (b)'s foreign registration clause, instead recommending that the court adjudicate such offenders under subdivision (2) (d)'s foreign registration clause (*see e.g. Diaz*, 32 NY3d 538; *Matter of Kasckarow v Board of Examiners of Sex Offenders of State of N.Y.*, 25 NY3d 1039 [2015]; *Matter of North v Board of*

(n. cont'd)

division (2) (d) counterpart, the statute "collapses the distinction between violent and non-violent sex offenses, at least as it applies to out-of-state offenders who reside in New York" (Rep of Advisory Comm on Crim Law and Pro to Chief Admin Judge of Cts of St of NY at 17 [Jan. 2010], available at https://www.nycourts.gov/LegacyPDFS/IP/judiciaryslegislative/pdfs/2010-CriminalLaw&Procedure-ADV-Report.pdf [accessed Dec. 8, 2022]).

Indeed, the Governor's and Senate introducer's explanations for the addition of the clause—as relating to "a conviction for a sexually violent offense in another jurisdiction"—suggests that the legislature may have intended for subdivision (3) (b)'s foreign registration clause to have a more limited effect than its plain language compels. As the amici suggest, the legislature may have meant for subdivision (3) (b)'s foreign registration clause to apply only to an offender who is required to register as a *sexually violent* offender in the jurisdiction in which the conviction occurred. Yet, as the amici acknowledge, this construction is itself problematic because, unlike SORA, the registration laws of certain states do not include a category of offense designated "sexually violent offenses." In fact, the term "sexually violent offense" does not appear in Michigan's sex offender registration law (*see* Mich Comp Laws § 28.721 *et seq*.).[4] Moreover, if "the wording of the statute has created an 'unintended consequence,' . . . it is the prerogative of the legislature, not this Court, to correct it" (*Matter of Lisa T. v King E.T.*, 30 NY3d 548, 556 [2017]). Although select ambiguous language in the legislative history provides some support of defendant's argument, the plain language of the statute is *not* ambiguous, and thus we are bound to follow it (*see Matter of Auerbach v Board of Educ. of City School Dist. of City of N.Y.*, 86 NY2d 198, 204 [1995]).

Defendant—and the many learned judges, lawyers, and legal scholars—may well be correct that subdivision (3) (b)'s foreign

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Examiners of Sex Offenders of State of N.Y., 8 NY3d 745 [2007]; *People v Kennedy*, 7 NY3d 87 [2006]).

4. New York is among a small minority of states that place all out-of-jurisdiction sex offenders into a category normally reserved for the most serious offenders who commit their crimes in state. In Illinois, every person who is required to register as a sex offender in another state must register as a "sexual predator" (730 Ill Comp Stat 150/2 [E-10]), a designation that requires lifetime registration (*see* 730 Ill Comp Stat 150/7; *see also* Wash Rev Code § 9A.44.140 [4] [requiring all out-of-jurisdiction sex offenders residing in the State of Washington to register indefinitely]).

jurisdiction clause contains a legislative drafting error, but that does not give the courts license to ignore it. Courts must not "legislate under the guise of interpretation" (*People v Finnegan*, 85 NY2d 53, 58 [1995]). If we were to take it upon ourselves to delete subdivision (3) (b)'s foreign registration clause as the Committee suggested the legislature should do, we would be impinging on the province of the legislature (*see People v Gottlieb*, 36 NY2d 629, 632 [1975]). Thus, we are constrained to construe subdivision (3) (b)'s foreign registration clause according to its plain language. If the legislature did err, we unequivocally call upon it to remedy that error.

III.

[2] Contrary to defendant's alternative contention, adopted by our dissenting colleague, the decision whether to designate a defendant a sexually violent offender is not a matter with respect to which the adjudicating court may exercise discretion. "Sexually violent offender" is defined as "a sex offender who has been convicted of a sexually violent offense defined in subdivision three" (Correction Law § 168-a [7] [b]). The court is bound by the statute (*see People v Bullock*, 125 AD3d 1, 7 [1st Dept 2014], *lv denied* 24 NY3d 915 [2015]; *People v Lockwood*, 308 AD2d 640, 640-641 [3d Dept 2003]).

To be sure, an adjudicating court in a SORA proceeding has the discretion to grant a party's request for an upward or downward departure from the presumptive risk level. That authority, and the procedures for assessing the defendant's presumptive risk level in the first instance, are derived from SORA's guidelines (*see People v Johnson*, 11 NY3d 416, 421 [2008], citing Sex Offender Registration Act: Risk Assessment Guidelines and Commentary at 4 [2006]; *see also People v Gillotti*, 23 NY3d 841, 853 [2014])—which the Board is empowered to create pursuant to Correction Law § 168-l (5). Conversely, section 168-l (6) does not explicitly or implicitly bestow discretion on the courts to "depart" from a sexually violent offender designation. That section sets forth only "the procedure for SORA adjudications, describing how after the Board indicates whether a defendant is a sexually violent offender, a court conducts a hearing in which it reviews the Board's recommendations and officially pronounces the defendant's designation" (*Bullock*, 125 AD3d at 7); it does not provide the courts with the discretion to disregard the legislature's unambiguous statutory definition of "sexually violent offender."

IV.

County Court properly determined that it was required by law to designate defendant a sexually violent offender because he was convicted of a felony in another jurisdiction that required him to register as a sex offender therein (*see* Correction Law § 168-a [3] [b]; [7] [b]).

Accordingly, the order of the Appellate Division should be affirmed, without costs.

WILSON, J. (dissenting). I fully agree with the majority that under the circumstances of this case, it is not within our purview to rewrite the challenged portion of the Correction Law.

Mr. Talluto has raised a second argument on appeal: that Correction Law § 168-n uses identical language in vesting a Sex Offender Registration Act court with the discretion to make a "determination that an offender is a . . . sexually violent offender" as it does to vest the court with the discretion to make "a determination with respect to the level of notification." Thus, by using the exact same terms for both types of determinations and requiring that each be done by "applying the guidelines established in subdivision five of section one hundred sixty-eight-l of this article" (Correction Law § 168-n [1], [2]), Mr. Talluto contends that the legislature has authorized courts to exercise their discretion not just to alter a risk level determination upwards or downwards, but also to exercise their discretion when determining whether someone is a sexually violent offender. For the reasons persuasively set forth in the dissenting opinion of Justice Dianne T. Renwick in *People v Bullock* (125 AD3d 1, 9-17 [2014, Renwick, J., dissenting]), I agree with Mr. Talluto's construction of section 168-n, and would remit for the lower courts to exercise their discretion in that regard. I observe also that, were there a potentially successful challenge to the constitutionality of section 168-n, adopting Justice Renwick's construction might save the statute.

Acting Chief Judge CANNATARO and Judges RIVERA, GARCIA and SINGAS concur; Judge WILSON dissents in an opinion.

Order affirmed, without costs.

[206 NE3d 1228, 186 NYS3d 85]

BANK OF AMERICA, N.A., Appellant, v ANDREW KESSLER, Respondent, et al., Defendants.

Argued January 4, 2023; decided February 14, 2023

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered December 15, 2021. The Appellate Division affirmed an order of the Supreme Court, Westchester County (Alan D. Scheinkman, J.; op 2017 NY Slip Op 33343[U] [2017]), which, insofar as appealed from, had (1) denied those branches of plaintiff's motion seeking (a) summary judgment on the complaint against defendants Andrew Kessler and Reiko Kessler, (b) summary judgment dismissing the second, third and fourth affirmative defenses of those defendants and (c) an order of reference; and (2) granted the cross-motion of defendant Andrew Kessler for summary judgment dismissing the complaint insofar as asserted against him. The following question was certified by the Appellate Division: "Was the opinion and order of this Court dated December 15, 2021, properly made?"

Bank of Am., N.A. v Kessler, 202 AD3d 10, reversed.

HEADNOTE

Mortgages — Foreclosure — Compliance with RPAPL 1304 — Separate Envelope

A lender's inclusion of concise and relevant additional information does not void an otherwise proper 90-day notice to borrowers sent pursuant to RPAPL 1304 and therefore does not bar a subsequently filed foreclosure action. Accordingly, defendant borrower who received a seven-page notice containing all of the language required by RPAPL 1304 (1) was not entitled to summary judgment dismissing the complaint on the ground that the inclusion of two additional paragraphs addressing bankruptcy status and military membership violated the "separate envelope" provision of RPAPL 1304 (2). The operative statutory language requires that the notice "shall include" specified information to help borrowers avoid foreclosure and that the notice must be sent "in a separate envelope from any other mailing or notice" (RPAPL 1304 [1], [2]). Accurate statements that further the underlying statutory purpose of providing information to borrowers that is or may become relevant to avoiding foreclosure do not constitute an "other . . . notice." Application of a bright-line rule, such that any deviation from the statutory language, however minor, would void the notice, would be both unfair and contrary to the statutory purpose, as it would deprive borrowers of information that could help them avoid foreclosure and penalize lenders who attempt to ensure their customers are better informed. Here, the additional two paragraphs were directly related to the notice's subject matter and furthered the statutory purpose by informing certain borrowers of additional protections they might have beyond those identified in the statutory notice language.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d Mortgages §§ 531, 581.
Carmody-Wait 2d Foreclosure of Mortgages on Real Estate § 92:36.
McKinney's, RPAPL 1304.
Mortgage Liens in New York (2022-2023 ed) ch 19, The Action to Foreclose the Mortgage.
NY Jur 2d Mortgages and Deeds of Trust § 549.

ANNOTATION REFERENCE

See ALR Index under Foreclosure; Mortgages.

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POINTS OF COUNSEL

Bryan Cave Leighton Paisner LLP, New York City (*Suzanne M. Berger* and *Elizabeth J. Goldberg* of counsel), for appellant. I. RPAPL 1304 allows the notice to include additional information beyond the statutorily prescribed text. (*Matter of Willow Wood Rifle & Pistol Club v Town of Carmel Zoning Bd. of Appeals*, 115 AD2d 742; *United States v City of New York*, 481 F Supp 4, 614 F2d 1292; *American Surety Co. of N. Y. v Marotta*, 287 US 513; *Federal Election Commn. v Massachusetts Citizens for Life, Inc.*, 769 F2d 13, 479 US 238; *Winterrowd v David Freedman & Co., Inc.*, 724 F2d 823; *Red Hook Cold Stor. Co. v Department of Labor of State of N.Y.*, 295 NY 1; *Citimortgage, Inc. Sbm ABN Amro Mortgage Group, Inc. v Bunger*, 58 Misc 3d 333; *Burnside v Whitney*, 21 NY 148; *First Natl. Bank of Chicago v Silver*, 73 AD3d 162; *Hayes v Davidson*, 98 NY 19.) II. Even if the 90-day notice should have been limited to the text prescribed by RPAPL 1304 (1), dismissal was not warranted. (*Cardo v Board of Mgrs., Jefferson Vil. Condo 3*, 29 AD3d 930; *Deutsche Bank Natl. Trust Co. v Bonal*, 205 AD3d 884; *Citimortgage, Inc. Sbm ABN Amro Mortgage Group, Inc. v Bunger*, 58 Misc 3d 333; *Wilmington Sav. Fund Socy. v*

Theagene, 201 AD3d 1015; *Matter of 5421 Sylvan Ave. Assoc. Corp. v New York City Conciliation & Appeals Bd.*, 100 AD2d 812; *Matter of Hilton Hotels Corp. v Commissioner of Fin. of City of N.Y.*, 219 AD2d 470; *People v Mitchell*, 80 NY2d 519.)

Charles Wallshein, PLLC, Melville (*Charles Wallshein* of counsel), for respondent. I. Dismissal of foreclosure cases commenced after the mailing of defective RPAPL 1304 notices effectuates the plain language and legislative purpose. (*Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55; *Matter of Manouel v Board of Assessors*, 25 NY3d 46; *Doctors Council v New York City Employees' Retirement Sys.*, 71 NY2d 669; *Carney v Philippone*, 1 NY3d 333.) II. The Court must apply the least sophisticated consumer standard to RPAPL 1304. (*Clemente Bros. Contr. Corp. v Hafner-Milazzo*, 23 NY3d 277; *Jensen v Pressler & Pressler*, 791 F3d 413; *Freedom Mtge. Corp. v Engel*, 37 NY3d 1.) III. RPAPL 1304 does not conflict with federal law. (*Kimso Apts., LLC v Gandhi*, 24 NY3d 403; *Davis v Hollins Law*, 832 F3d 962.) IV. Dismissal is the only remedy available. (*Lubonty v U.S. Bank N.A.*, 34 NY3d 250; *Town of Aurora v Village of E. Aurora*, 32 NY3d 366; *Charlebois v Weller Assoc.*, 72 NY2d 587; *Yonkers Contr. Co. v Port Auth. Trans-Hudson Corp.*, 93 NY2d 375; *U.S. Bank N.A. v DLJ Mtge. Capital, Inc.*, 33 NY3d 72.)

Woods Oviatt Gilman, LLP, Rochester (*Natalie A. Grigg* of counsel), *Gross Polowy LLC*, Westbury (*Stephen J. Vargas* of counsel), *Tromberg Morris Poulin, PLLC*, New York City (*Joseph Devine, Jr.* of counsel), and *J. Robbin Law, PLLC*, Armonk (*Jonathan M. Robbin* of counsel), for American Legal & Financial Network and others, amici curiae. I. The legislative intent of RPAPL 1304 is consistent with the interpretation sought by the appellant. (*Citibank, N.A. v Conti-Scheurer*, 172 AD3d 17; *First Natl. Bank of Chicago v Silver*, 73 AD3d 162; *Aurora Loan Servs., LLC v Weisblum*, 85 AD3d 95; *CIT Bank N.A. v Schiffman*, 36 NY3d 550.) II. A mortgage lender, assignee, or loan servicer should be required to substantially—rather than strictly—comply with RPAPL 1304. (*CIT Bank N.A. v Schiffman*, 36 NY3d 550.) III. *Bank of Am., N.A. v Kessler*'s (202 AD3d 10 [2d Dept 2021]) interpretation of RPAPL 1304 (2) is preempted by and runs afoul of federal law. (*Fidelity Fed. Sav. & Loan Assn. v De la Cuesta*, 458 US 141; *Florida Lime & Avocado Growers, Inc. v Paul*, 373 US 132; *Hines v Davidowitz*, 312 US 52; *Free v Bland*, 369 US 663; *Romea v Heiberger & Assoc.*, 163 F3d 111; *Cohen v Rosicki, Rosicki &*

Assoc., P.C., 897 F3d 75; *Vangorden v Second Round, Ltd. Partnership*, 897 F3d 433; *United States v Locke*, 529 US 89; *Deutsche Bank Natl. Trust Co. v Salva*, 203 AD3d 700; *Ocwen Loan Servicing, LLC v Sirianni*, 202 AD3d 702.) IV. If this Court affirms *Bank of Am., N.A. v Kessler* (202 AD3d 10 [2d Dept 2021]), then the holding should be applied prospectively. (*People v Favor*, 82 NY2d 254; *American Trucking Assns., Inc. v Smith*, 496 US 167; *People v Mitchell*, 80 NY2d 519; *Busa v Busa*, 196 AD2d 267; *Freedom Mtge. Corp. v Engel*, 37 NY3d 1.) V. A borrower should not be permitted to raise a RPAPL 1304 defense "at any time." (*Wells Fargo Bank, N.A. v DeFeo*, 200 AD3d 1105; *U.S. Bank N.A. v Krakoff*, 199 AD3d 859; *U.S. Bank Trust, N.A. v Sadique*, 178 AD3d 984; *Citimortgage, Inc. v Dente*, 200 AD3d 1025; *U.S. Bank N.A. v Carey*, 137 AD3d 894; *TD Bank, N.A. v Spector*, 114 AD3d 933; *Signature Bank v Epstein*, 95 AD3d 1199; *PHH Mtge. Corp. v Celestin*, 130 AD3d 703; *U.S. Bank N.A. v Ramanababu*, 202 AD3d 1139; *Citimortgage, Inc. v Etienne*, 172 AD3d 808.)

McCalla Raymer Leibert Pierce, LLC, New York City (*Richard P. Haber* and *Brian P. Scibetta* of counsel), *Frenkel Lambert Weiss Weisman & Gordon, LLP*, Bay Shore (*Keith L. Abramson* of counsel), *Aldridge Pite, LLP*, Melville (*Susan A. West* and *Christopher E. Medina* of counsel), *Berkman, Henoch, Peterson & Peddy, P.C.*, Garden City (*Megan K. McNamara* and *Hillary Prada* of counsel), and *Schiller, Knapp, Lefkowitz & Hertzel, LLP*, Latham (*Gary A. Lefkowitz* of counsel), for USFN - America's Mortgage Banking Attorneys, amicus curiae. I. The preforeclosure notice requirement of RPAPL 1304 intersects with the requirements of federal statutes, including but not limited to the Federal Debt Collection Practices Act (15 USC § 1692 *et seq.*). (*Vangorden v Second Round, Ltd. Partnership*, 897 F3d 433; *Cohen v Rosicki, Rosicki & Assoc., P.C.*, 897 F3d 75; *Citimortgage, Inc. v Dente*, 200 AD3d 1025; *Deutsche Bank Trust Co. Ams. v Vitellas*, 131 AD3d 52; *Garfield v Ocwen Loan Servicing, LLC*, 811 F3d 86; *Easterling v Collecto, Inc.*, 692 F3d 229; *Clomon v Jackson*, 988 F2d 1314.) II. The evolving standard of compliance for RPAPL 1304 in the Appellate Division, Second Department has been a challenge for lenders. (*Aurora Loan Servs., LLC v Weisblum*, 85 AD3d 95; *Deutsche Bank Natl. Trust Co. v Spanos*, 102 AD3d 909; *Investors Sav. Bank v Salas*, 152 AD3d 752; *Aurora Loan Servs., LLC v Vrionedes*, 167 AD3d 829; *M&T Bank v Barter*, 186 AD3d 698; *Citibank, N.A. v Crick*, 176 AD3d 776; *McCormick 110, LLC v Gordon*, 200 AD3d 672; *Ditech Fin., LLC v Naidu*, 198 AD3d 611; *U.S.*

Bank N.A. v Morton, 196 AD3d 715; *Bank of N.Y. Mellon v Pigott*, 200 AD3d 633.) III. The blanket application of "strict compliance" review for all aspects of RPAPL 1304 is unfounded and should be rejected. (*First Natl. Bank of Chicago v Silver*, 73 AD3d 162; *Citibank, N.A. v Conti-Scheurer*, 172 AD3d 17; *USBank N.A. v Haliotis*, 185 AD3d 756; *CIT Bank N.A. v Schiffman*, 36 NY3d 550; *Matter of Seawright v Board of Elections in the City of N.Y.*, 35 NY3d 227; *United Commodities-Greece v Fidelity Intl. Bank*, 64 NY2d 449; *Argo Corp. v Greater N.Y. Mut. Ins. Co.*, 4 NY3d 332; *Purdy v City of New York*, 193 NY 521; *Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539; *Matter of Cairo v Harwood*, 42 NY2d 1098.)

OPINION OF THE COURT

Wilson, J.

The question presented here is whether the inclusion of concise and relevant additional information voids an otherwise proper notice to borrowers sent pursuant to Real Property Actions and Proceedings Law § 1304, thus barring a subsequently filed foreclosure action. We hold that it does not.

I.

As a result of the "Great Recession" of 2007-2009, an estimated six million Americans lost their homes (Tomasz Piskorski & Amit Seru, *Debt Relief and Slow Recovery: A Decade After Lehman*, National Bureau of Economic Research, Working Paper 25403 [Dec. 2018], available at https://www.nber.org/papers/w25403 [last accessed Jan. 17, 2023]). In the midst of that crisis, both chambers of the New York State Legislature voted unanimously to enact Governor Paterson's Program Bill (2008 NY Senate Bill S8143-A, enacted as L 2008, ch 472), a portion of which is codified in RPAPL 1304. Section 1304 (1) requires a "lender, an assignee or a mortgage loan servicer" to send a notice 90 days before it may "commence[ ] legal action against [a] borrower." That notice "shall include" several pages of specific text set out in that subdivision. The prescribed template requires the lender to fill in certain information, including:

- How many days the borrower is in default;
- The total amount of the missed payments, penalties, and interest;
- A list of (five) government-approved housing counseling agencies in the borrower's area that

provide free counseling, along with the explanation that the counselors are trained to help homeowners who are having problems making their mortgage payments;

- An encouragement to take immediate steps to try to achieve a resolution, with the disclaimer that the lender cannot assure a mutually agreeable resolution is possible;
- A warning that if the borrower fails to act within 90 days (or sooner if the borrower ceases to live in the home as the borrower's primary residence), the lender may commence legal action;
- A notification that the borrower has the right to remain in the home until the borrower receives a court order requiring the borrower to vacate; and
- A statement that the enclosure is not a notice of eviction (RPAPL 1304 [1]).

Section 1304 (2), amended by the legislature in 2009 (*see* L 2009, ch 507, § 1-a), provides that "[t]he notices required by this section shall be sent . . . in a separate envelope from any other mailing or notice."[1]

Section 1304 was enacted to address the pre-foreclosure "lack of communication" between borrower and lender, which "often leads to needless foreclosure proceedings in cases where a foreclosure alternative might otherwise have been possible" (Senate Introducer's Mem in Support, Bill Jacket, L 2008, ch 472 at 10). The Senate sponsor further explained that the required 90-day notice "urges borrowers to work with their lender or a housing counseling agency to address their situation," so as to "provide an opportunity for borrowers and lenders to try to reach a solution that avoids foreclosure" (Letter from Senator Hugh T. Farley to Kristin Rosenstein, July 31, 2008, Bill Jacket, L 2008, ch 472 at 6). However, section 1304 was not intended to extinguish a lender's right to foreclose: "if the borrower is unable to reach resolution with the lender in the prescribed time, the lender will have the opportunity to pursue legal action against the borrower" (Senate Introducer's Mem in Support, Bill Jacket, L 2008, ch 472 at 10).

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1. That language was added by the legislature in 2009 as part of legislation whose principal change was to expand the borrower protections of the 2008 law from only subprime home loans to all home loans.

In 2009, Mr. Kessler obtained a loan secured by a mortgage on his home.[2] In September 2013, he defaulted on the loan, and has made no payments on it since. Following his default, Bank of America sent a notice to Mr. Kessler pursuant to RPAPL 1304. It is undisputed that Mr. Kessler received a seven-page notice containing all of the language required by the statute. However, the last page of the notice included the following language, not found in section 1304:

> "Bank of America, N.A., the servicer of your home loan, is required by law to inform you that this communication is from a debt collector.[3]
>
> "If you are currently in a bankruptcy proceeding, or have previously obtained a discharge of this debt under applicable bankruptcy law, this notice is for information only and is not an attempt to collect the debt, a demand for payment, or an attempt to impose personal liability for that debt. You are not obligated to discuss your home loan with us or enter into a loan modification or other loan-assistance program. You should consult with your bankruptcy attorney or other advisor about your legal rights and options.
>
> "MILITARY PERSONNEL/SERVICEMEMBERS: If you or your spouse is a member of the military, please contact us immediately. The federal Servicemembers Civil Relief Act and comparable state laws afford significant protections and benefits to eligible military service personnel, including protections from foreclosure as well as interest rate relief. For additional information and to determine eligibility please contact our Military Assistance Team toll free at 1-877-430-5434. If you are calling from outside the U.S., please contact us at 1-817-685-6491." (Emphasis omitted.)

In 2017, Bank of America moved for summary judgment against Mr. Kessler. Mr. Kessler cross-moved to dismiss, argu-

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2. The mortgage was originally executed in favor of MLD Mortgage, Inc., and was later assigned to Bank of America.

3. Mr. Kessler challenges neither the inclusion of this sentence, although it does not comprise part of the required statutory language, nor the minor variations Bank of America made to the statutory language—an inconsistency his argument for a bright-line rule fails to address and an implicit acknowledgement that some changes will not void the notice.

ing that the inclusion of the final two paragraphs in his notice, addressing bankruptcy status and military membership, violated section 1304's "separate envelope" provision. Supreme Court agreed and dismissed the complaint (*see* 2017 NY Slip Op 33343[U] [Sup Ct, Westchester County 2017]). The Appellate Division affirmed on the same ground, holding that including in the envelope sent to the borrower any language not required by the statute violates its separate envelope provision (*see* 202 AD3d 10 [2d Dept 2021]). The Appellate Division granted leave to appeal and certified the question of whether its order was properly made (*see* 2022 NY Slip Op 66274[U] [2d Dept 2022]).[4]

II.

On this appeal, Bank of America challenges only the acceptance of the RPAPL 1304 defense by the courts below. In interpreting any statute,

> "our goal is to give force to the intent of the legislature and we therefore begin with the plain text—the clearest indicator of legislative intent. In a manner consistent with the text, we may look to the purpose of the enactment and the objectives of the legislature. We must also interpret a statute so as to avoid an unreasonable or absurd application of the law" (*see Lubonty v U.S. Bank N.A.*, 34 NY3d 250, 255 [2019] [internal quotation marks and citations omitted]).

The operative statutory language here contains two requirements: (1) the notice "shall include" the specified language and information; and (2) the notice must be sent "in a separate envelope from any other mailing or notice" (RPAPL 1304 [1], [2]). As to the first requirement, subdivision (1) does not say that the notice must state *only* the cautionary language set forth in the statute, but rather that the notice "shall include" that language. Where the "natural signification of the words employed" "ha[s] a definite meaning, which involves no absurdity or contradiction, there is no room for construction and courts have no right to add to or take away from that meaning" (*Tompkins v Hunter*, 149 NY 117, 122-123 [1896]). The word "include" suggests that more can be added to the no-

4. Because Supreme Court does not appear to have resolved defendant's request for attorney's fees, we treat that order as nonfinal and therefore deem it necessary to answer the Appellate Division's certified question (*see* NY Const, art VI, § 3 [b] [4], [5]; CPLR 5602 [b] [1]).

tice. As we explained in *Red Hook Cold Stor. Co. v Department of Labor of State of N.Y.*, " '[i]ncluding' may be used to bring into a definition something that would not be there unless specified, or it may be used to show the meaning of the defined word by listing some of the things meant to be referred to, but not by such listing excluding others of the same kind" (295 NY 1, 8 [1945]). Here, the notice indisputably contains all of the mandatory language set forth in the version of section 1304 (1) in effect at the time Bank of America commenced this action. The statute says that the notice "shall include" certain information; the notice here does so.

The question then is the constraint imposed by the requirement that the envelope not contain "any *other* mailing or notice" (emphasis added). The bright-line rule adopted by the lower courts effectively defines "any other mailing or notice" as "any additional material or information whatsoever." Although it might be possible to read "other . . . notice" as the lower courts did—such that any deviation from the statutory language, however minor, would void the notice—that interpretation would stand in great tension with "shall include," a phrase that contemplates the addition of something else. The statute must be given "a sensible and practical over-all construction, which . . . harmonizes all its interlocking provisions" (*Matter of Long v Adirondack Park Agency*, 76 NY2d 416, 420 [1990]). Application of a bright-line rule here would require the use of a highly constrained definition of "other," where it is more appropriately read to mean mailings or notices "of a different kind." Here, "other mailing or notice" more aptly refers to other kinds of notices, such as pre-acceleration default notices, notices disclosing interest rate changes to borrowers with adjustable-rate mortgages (12 CFR 1026.20 [c]), monthly mortgage statements (12 CFR 1026.41), or notices disclosing to the borrower a transfer of the loan servicer (12 CFR 1024.33 [b]) (*cf. People v First Meridian Planning Corp.*, 86 NY2d 608, 619 [1995] [rejecting a narrow interpretation of "other securities" when such a reading "would conflict with the general remedial purposes of the securities laws"]).

A bright-line rule would also lead to nonsensical results. For example, had Bank of America sent the required statutory language verbatim, but added, "THIS IS EXTREMELY IMPORTANT, PLEASE PAY ATTENTION!," a bright-line rule would require that the notice be deemed void and the foreclosure action dismissed. Indeed, Mr. Kessler's failure to challenge either the inclusion of the Fair Debt Collection Practices Act (FDCPA) disclaimer or the minor variations in the statutory language (discussed *supra* n 3) stands as a tacit recognition that the notice need not consist exclusively of the statutory text.

More importantly, to the extent there is any ambiguity about how to interpret the statute, application of a bright-line rule would contravene the legislative purpose. RPAPL 1304 is a remedial statute that should be read broadly to help borrowers avoid foreclosure. In expanding the protections of RPAPL 1304 to all home loans, the legislature sought to reduce the number of foreclosures by allowing the parties to "attempt to work out the default 'without imminent threat of a foreclosure action' " (*CIT Bank N.A. v Schiffman*, 36 NY3d 550, 555 [2021], quoting Governor's Program Bill Mem No. 46R, Bill Jacket, L 2009, ch 507 at 10; *see also* Letter from Mayor of City of NY, Nov. 20, 2009, Bill Jacket, L 2009, ch 507 at 13 [noting that the bill was a "significant reform in ensuring that homeowners and tenants are aware of their rights upon being faced with the threat of foreclosure"]). Prohibiting lenders from concisely informing borrowers of additional rights they may have to avoid foreclosure is manifestly at odds with that purpose.

Thus, we hold that accurate statements that further the underlying statutory purpose of providing information to borrowers that is or may become relevant to avoiding foreclosure do not constitute an "other . . . notice." The statutorily required language informs borrowers that they are at risk of losing their homes because they are in default. It warns them that the lender may commence foreclosure proceedings if they fail to take any action to resolve the default within 90 days. It assures them that they have the right to remain in their home until they receive a court order telling them to leave the property. It provides them with the contact information for housing counseling agencies. The subject matter of the mandated language is thus a disclosure to the borrower of (1) the possibility of foreclosure, (2) the borrower's rights, and (3) the options available to the borrower to attempt to remedy the situation. That language serves the express statutory purpose of providing borrowers with information that may help them avoid foreclosure during a 90-day window established by that statute.

Here, the additional two paragraphs are directly related to the notice's subject matter and further the statutory purpose by informing certain borrowers of additional protections they may have beyond those identified in the statutory notice language. The paragraphs relate to and supplement the statutory language as applied to two distinct groups of borrowers, and thus make most sense and are most helpful when read together with the notice. In addition, the paragraph relating to bankruptcy proceedings may be particularly useful to avoid confusing borrowers who are subject to the automatic stay in bankruptcy court and to avoid potential violation of such stays by the lender (*see In re Ho*, 624 BR 748, 752-753 [ED NY 2021] [holding bankruptcy disclosure a relevant factor in determining 90-day notice did not violate an injunction against proceeding against discharged debt]). The added language is specifically directed at that concern: it states that if the borrower is in bankruptcy, the section 1304 notice "is for information only and is not an attempt to collect the debt, a demand for payment, or an attempt to impose personal liability for that debt." It thus functions as both a protection for lenders and an explanation to borrowers of additional rights they may have. Moreover, a bright-line rule against any additional language in the same envelope could conflict with certain disclosure requirements under federal law (*see e.g. CIT Bank, N.A. v Neris*, 605 F Supp 3d 521 [SD NY, June 2, 2022, 18 Civ 1551 (VM)]; *see also supra* n 3 [discussing the inclusion of an FDCPA warning in the notice at issue here]).

III.

The Appellate Division's concern that a case-by-case analysis of section 1304 notices would involve "exactly the type of judicial scrutiny" of mortgage foreclosure correspondence that we rejected in *Freedom Mtge. Corp. v Engel* (202 AD3d at 17, citing 37 NY3d 1 [2021]) is misplaced.[5] In *Engel*, we held that acceleration of the mortgage debt is revoked by a voluntary discontinuance of a foreclosure action; we adopted that bright-line rule to avoid "an exploration into the bank's intent, accomplished through an exhaustive examination of post-discontinuance acts" (*id.* at 30). Determining whether additional language in a section 1304 notice is permissible requires no examination of intent or extrinsic evidence, but rather an objective facial determination of the language's relevance, truth, falsity, or potential to mislead or confuse.

5. For reasons unrelated to those before us now, *Engel* was recently legislatively overruled (*see* L 2022, ch 821, § 8, adding CPLR 3217 [e]).

By contrast, in *CIT Bank N.A. v Schiffman*, we held that lenders could prove mailing of a section 1304 notice by submitting either evidence of actual mailing or "proof of a sender's routine business practice with respect to the creation, addressing, and mailing of documents of that nature" (36 NY3d at 556). Instead of a bright-line rule, we adopted "a workable rule that balances the practical considerations underpinning the presumption [established by proof of a sender's routine business practice] against the need to ensure the reliability of [that practice] . . . in the context of notices mailed pursuant to section 1304" (*id.* at 558).

Consistent with our approach in *Schiffman*, we hold that section 1304 does not prohibit the inclusion of additional information that may help borrowers avoid foreclosure and is not false or misleading. This is a workable rule that balances the practical considerations of the lender and borrower in a way that best advances the clear statutory purpose. Where a lender includes false, misleading, obfuscatory, or unrelated information in the envelope together with the 1304 notice, courts may void such notices. But where, as here, the additional information was not false, misleading, obfuscatory, or unrelated, it should not render the notice void. A bright-line rule would be both unfair and contrary to the statutory purpose, as it would deprive borrowers of information that could help them avoid foreclosure and penalize lenders who attempt to ensure their customers are better informed. It could also result in windfalls to borrowers resulting from clerical errors and bona fide attempts by lenders to assist borrowers in avoiding foreclosure.

Accordingly, the order of the Appellate Division insofar as appealed from should be reversed, with costs, defendant Andrew Kessler's motion for summary judgment dismissing the complaint as against him denied, plaintiff's motion for summary judgment granted in accordance with this opinion, case remitted to Supreme Court for further proceedings, and certified question answered in the negative.

Acting Chief Judge CANNATARO and Judges RIVERA, GARCIA, SINGAS and TROUTMAN concur.

Order insofar as appealed from reversed, with costs, defendant Andrew Kessler's motion for summary judgment dismissing the complaint as against him denied, plaintiff's motion for summary judgment granted in accordance with the opinion herein, case remitted to Supreme Court, Westchester County, for further proceedings, and certified question answered in the negative.

[206 NE3d 1236, 186 NYS3d 93]

STATE OF NEW YORK, Appellant, v VAYU, INC., Respondent.

Argued January 3, 2023; decided February 14, 2023

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered June 24, 2021. The Appellate Division, with two Justices dissenting, affirmed an order of the Supreme Court, Albany County (Margaret T. Walsh, J.; op 2020 NY Slip Op 35368[U] [2020]), which had granted defendant's motion to dismiss the complaint.

State of New York v Vayu, Inc., 195 AD3d 1337, reversed.

HEADNOTES

Courts — Jurisdiction — Long-Arm Jurisdiction — Transaction of Business within State

1. Supreme Court had personal jurisdiction over defendant non-domiciliary corporation in plaintiff's action arising out of a dispute over the operability of unmanned aerial vehicles (UAVs) defendant manufactured and sold to a New York State university, where the facts demonstrated a clear intent by defendant to engage purposefully in business activities within the meaning of CPLR 302 (a) (1). When assessing whether there is personal jurisdiction over a defendant pursuant to the "transacts any business" clause of New York's long-arm statute, courts must ask whether what the defendant did in New York constitutes a sufficient transaction to satisfy the statute. This requires an assessment of whether the non-domiciliary's activities in the state were purposeful, meaning that they were volitional acts by which the non-domiciliary availed itself of the privilege of conducting activities within the forum state, thus invoking the benefits and protections of its laws. For two years, defendant projected itself into the state via calls and emails that resulted in the sale of two UAVs. The content of the communications showed that defendant purposefully sought to establish a substantial ongoing business relationship with the university. And, although being physically present in New York is not required, the fact that defendant's CEO traveled to New York to meet with a university representative in furtherance of the ongoing business relationship was significant. Moreover, plaintiff's claims were based on the sale of the two UAVs, and defendant's contacts in New York were directly related to efforts to resolve the dispute. Thus, there was an articulable nexus or substantial relationship between defendant's New York activities and the parties' contract, defendant's alleged breach thereof, and potential damages.

Courts — Jurisdiction — Long-Arm Jurisdiction — Due Process

2. In an action arising out of a dispute over the operability of unmanned aerial vehicles (UAVs) defendant non-domiciliary corporation manufactured and sold to a New York State university, the exercise of jurisdiction over defendant comported with due process, where defendant's minimum contacts with New York were such that defendant should reasonably have anticipated being haled into court in the state. Due process requires first that a defend-

ant have minimum contacts with the forum state such that the defendant should reasonably anticipate being haled into court there and second, that the prospect of having to defend a suit in New York comports with traditional notions of fair play and substantial justice. Jurisdiction will be upheld where the defendant purposefully reaches beyond their state into another but the relationship between defendant and the forum state must arise out of defendant's own contacts with the forum and not contacts between the plaintiff (or third parties) and the forum state. Defendant sought, negotiated, and then entered a contractual relationship with a New York State entity. Defendant furthered that relationship through numerous telephonic and email communications with the university and continued negotiations over terms of the deal when defendant's CEO visited New York and met with a university representative. Defendant's grant application, describing the university as a "partner" and projecting a two-year budget for the university's costs related to delivery of an additional 10 UAVs, further demonstrated defendant's understanding of the relationship with the university as ongoing and connected to New York.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Foreign Corporations §§ 403, 405, 407, 408.
CARMODY-WAIT 2d Jurisdiction in Personam and in Rem §§ 25:20–25:25, 25:29, 25:38, 25:39, 25:50.
MCKINNEY'S, CPLR 302 (a) (1).
NY JUR 2d Courts and Judges §§ 595–599, 617, 618, 620, 621, 625.
SIEGEL, NY PRAC (6th ed) §§ 84, 86.

ANNOTATION REFERENCE

See ALR Index under Due Process; Foreign Corporations; Long-Arm Statutes; Minimum Contacts.

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POINTS OF COUNSEL

Letitia James, Attorney General, Albany (*Dustin J. Brockner, Barbara D. Underwood* and *Jeffrey W. Lang* of counsel), for appellant. Supreme Court has personal jurisdiction over Vayu, Inc. (*Fischbarg v Doucet*, 9 NY3d 375; *Rushaid v Pictet & Cie*, 28 NY3d 316; *Longines-Wittnauer Watch Co. v Barnes & Reinecke*, 15 NY2d 443; *Parke-Bernet Galleries v Franklyn*, 26 NY2d 13; *Deutsche Bank Sec., Inc. v Montana Bd. of Invs.*, 7 NY3d

65; *State Univ. of N.Y. v Syracuse Univ.*, 285 App Div 59; *C. Mahendra [NY], LLC v National Gold & Diamond Ctr., Inc.*, 125 AD3d 454; *Grimaldi v Guinn*, 72 AD3d 37; *George Reiner & Co. v Schwartz*, 41 NY2d 648; *Presidential Realty Corp. v Michael Sq. W.*, 44 NY2d 672.)

Respondent precluded.

OPINION OF THE COURT

Garcia, J.

Defendant Vayu, Inc., a Delaware corporation headquartered in Michigan that designs and manufactures unmanned aerial vehicles, sold two UAVs to the State University of New York at Stony Brook for delivery in Madagascar. Following a dispute regarding the operability of the UAVs, plaintiff State of New York commenced this action on behalf of SUNY Stony Brook, asserting, among other claims, breach of contract (*see* Executive Law § 63 [1]).[1] Vayu moved to dismiss the complaint for lack of personal jurisdiction and plaintiff opposed, asserting that the trial court had jurisdiction over Vayu pursuant to New York's long-arm statute, CPLR 302 (a) (1). That statute provides, in relevant part, that "a court may exercise personal jurisdiction over any non-domiciliary . . . who in person or through an agent . . . transacts any business within the state." Supreme Court granted Vayu's motion and a divided Appellate Division affirmed. We now reverse.

When assessing whether there is personal jurisdiction over a defendant pursuant to the "transacts any business" clause of New York's long-arm statute, courts must ask "whether *what the defendant did in New York* constitutes a sufficient 'transaction' to satisfy the statute" (David D. Siegel & Patrick M. Connors, New York Practice § 86 [6th ed, Dec. 2022 update] [emphasis added]). Examination of a defendant's actions in New York is primarily a fact-based inquiry that requires an assessment of whether the non-domiciliary's activities in the state were purposeful (*see Paterno v Laser Spine Inst.*, 24 NY3d 370, 376 [2014]). "Purposeful activities," this Court has explained, are "volitional acts by which the non-domiciliary 'avails itself of the privilege of conducting activities within the forum State, thus invoking the benefits and protections of its laws' " (*id.*, quoting *Fischbarg v Doucet*, 9 NY3d 375, 380

1. SUNY Stony Brook is a public university located in Stony Brook, New York (*see* Education Law § 352 [3]).

[2007]). "[A]lthough determining what facts constitute 'purposeful availment' is an objective inquiry, it always requires a court to closely examine the defendant's contacts for their quality" (*Licci v Lebanese Can. Bank, SAL*, 20 NY3d 327, 338 [2012]). We conclude that Vayu's actions, outlined below, were purposeful and amounted to the transaction of business within this state.

In 2013, Vayu's chief executive officer, Daniel Pepper, contacted Dr. Peter Small, who was not yet affiliated with SUNY Stony Brook, about using UAVs to transport laboratory samples. It is unclear whether Small was in New York at the time. Two years later, in 2015, while working as a professor of medicine and director of the Global Health Institute at SUNY Stony Brook, Small contacted Pepper seeking a business relationship between Vayu and SUNY Stony Brook for the development and use of UAVs to deliver medical supplies to remote areas in underdeveloped countries. From 2015 through 2017, Pepper communicated with Small and other representatives of SUNY Stony Brook through telephone calls to SUNY Stony Brook phone numbers, emails to SUNY Stony Brook email addresses, and later through a face-to-face meeting in New York. These discussions concerned both the development of UAVs to be sold to SUNY Stony Brook, as well as broader partnership opportunities. In the summer of 2016, Vayu and SUNY Stony Brook worked together to submit a grant application to the United States Agency for International Development (USAID), in which Vayu described SUNY Stony Brook as a "partner" and identified Small as a key member of its "team." The submission also outlined a two-year budget with SUNY Stony Brook receiving approximately $85,000 per year for costs such as travel, stipends, and technical support as part of an effort to supply 10 UAVs to Madagascar. USAID ultimately approved the grant proposal that included these representations.

In September 2016, SUNY Stony Brook purchased two UAVs from Vayu for $25,000 each. Vayu sent an invoice to SUNY Stony Brook at a post office box located in New York, and Vayu accepted a wire payment from SUNY Stony Brook that originated in New York. Attached to the invoice was a note from a Vayu employee stating "[w]e can also discuss down the line whether [Small] would like these shipped to NY, or on [SUNY Stony Brook's] behalf to Madagascar." The drones were later shipped directly to Madagascar from Michigan. By November 2016, however, problems arose with the operation of the two UAVs. Vayu employees and SUNY Stony Brook representatives attempted to resolve the issues by telephone and email, and in September 2017, Pepper offered to meet Small in New York. At that meeting, Pepper and Small agreed to terms for moving forward, which were memorialized via email: SUNY Stony Brook would bear the cost of shipping the UAVs from Madagascar to Michigan; Vayu would provide replacement UAVs that met SUNY Stony Brook's specifications; and Vayu would train one of SUNY Stony Brook's employees to operate the UAVs. The two parties also discussed an ongoing business relationship and future opportunities between Vayu and SUNY Stony Brook. In November 2017, SUNY Stony Brook returned the two UAVs to Vayu in Michigan. Vayu failed to replace them or provide a refund.

[1] These facts demonstrate a clear intent by Vayu to engage purposefully in business activities within the meaning of CPLR 302 (a) (1). For two years, Vayu projected itself into the state via calls and emails with Small and others at SUNY Stony Brook that resulted in the sale of two UAVs.[2] The content of the communications here shows that Vayu purposefully sought to establish a substantial ongoing business relationship with SUNY Stony Brook (*see Fischbarg*, 9 NY3d at 382-383). Long-arm jurisdiction is appropriately exercised over commercial actors who have, as Vayu did here, " 'us[ed] electronic and telephonic means to project themselves into New York to conduct business transactions' " (*Paterno*, 24 NY3d at 376, quoting *Deutsche Bank Sec., Inc. v Montana Bd. of Invs.*, 7 NY3d 65, 71 [2006] [collecting cases]). And, although being physically present in New York is not required (*see id.*), the fact that Pepper traveled to New York to meet with Small in furtherance of the ongoing business relationship is significant.

In granting Vayu's motion to dismiss, Supreme Court emphasized that it was Small at SUNY Stony Brook who reached out to Pepper for the purpose of creating the business relationship at issue and described later communications between Vayu and representatives of SUNY Stony Brook as "predominantly responsive in nature" (2020 NY Slip Op 35368[U], *8 [Sup Ct, Albany County 2020]). Similarly, the Appellate Division majority concluded that the relationship was a

2. Our dissenting colleague's view that New York lacks status as a "commercial hub for drone purchases" (dissenting op at 342) is not relevant to the jurisdictional inquiry.

single transaction that occurred after Small began work at SUNY Stony Brook and contacted Vayu's CEO (195 AD3d 1337, 1340 [3d Dept 2021]). The Court opined that it was "undisputed that the parties formed a relationship," but nevertheless characterized the communications between the parties as only "discuss[ing] the ongoing issues" related to the UAVs which did not result in more sales in New York or "seek to advance defendant's business contacts within New York" (*id.* at 1339-1340, citing *Paterno*, 24 NY3d at 378). The reasoning of both courts is inconsistent with the record and our precedent.

We have noted that " 'CPLR 302 is a single-act statute requiring but one transaction—albeit a purposeful transaction—to confer jurisdiction in New York' " (*Parke-Bernet Galleries v Franklyn*, 26 NY2d 13, 17 [1970], quoting Joseph McLaughlin, Supp Prac Commentary, McKinney's Cons Laws of NY, Book 7B, CPLR 302, 1969 Cum Supp at 129-130; *see Deutsche Bank Sec.*, 7 NY3d at 71). In any event, the communications here relate not only to the sale of the two drones, but also to a continuing business relationship between Vayu and SUNY Stony Brook (*see George Reiner & Co. v Schwartz*, 41 NY2d 648, 653 [1977]). Moreover, this is not a case where plaintiff responded to a "[p]assive website[ ]" (*see Paterno*, 24 NY3d at 377), but rather involved an active dialogue between principals based on earlier personal contact. And, although a defendant's initiation of contact with New York is a relevant factor in the purposeful availment analysis, it is not determinative (*see Grimaldi v Guinn*, 72 AD3d 37, 51 [2d Dept 2010] ["(I)t is not necessarily who initiated contact that is determinative, but rather, the nature and quality of the contacts and the relationship established as a result"]). Moreover, contrary to the dissent's characterization of this arrangement as a unilateral "plan" conceived by Small (dissenting op at 341), the email communications between the two make clear that Pepper reached out to Small in December 2013 to discuss "the idea to use drones to transport lab samples." According to Pepper, that idea was "a shared vision" between the two, specifically for "an affordable and autonomous, long-range . . . delivery drone that can address the needs of 'last mile' rural healthcare delivery." The sale of the drones to SUNY Stony Brook for use in Madagascar furthered this shared vision.

The Appellate Division majority also discounted the meeting in New York because "[t]he visit by the CEO to New York in 2017 was for the purpose of discussing issues regarding the *completed* purchase of the UAVs, rather than seeking additional business from SUNY Stony Brook or other entities in New York" (195 AD3d at 1340). This conclusion was also incorrect. Although at the time of the 2017 meeting in New York, SUNY Stony Brook had already accepted delivery of the allegedly defective UAVs, that meeting led to modification of the agreement, including the agreement to replace the drones. In its cause of action for breach of contract, plaintiff alleged that, after acknowledging the defects in the drones, defendant breached the terms governing replacement. The circumstances here, involving actions undertaken pursuant to an ongoing business relationship, are distinguishable from those in *Paterno*, where the alleged tort—malpractice based on medical procedures performed by defendants in Florida—had already taken place prior to certain contacts plaintiff claimed established the requisite relationship with New York (24 NY3d at 379).

We have made clear that "the nature and purpose of a solitary business meeting conducted for a single day in New York may supply the minimum contacts necessary to subject a nonresident participant to the jurisdiction of our courts" (*Presidential Realty Corp. v Michael Sq. W.*, 44 NY2d 672, 673 [1978]). Here, however, there was more than this bare minimum: the meeting was part of a far reaching and long-standing relationship (*see e.g. Stardust Dance Prods., Ltd. v Cruise Groups Intl., Inc.*, 63 AD3d 1262, 1264 [3d Dept 2009]). The parties had a two-year business relationship when the principals met—at Pepper's request—in New York in 2017. In the weeks that followed, the parties exchanged emails and calls, including an email from Pepper to Small memorializing the modified terms of the agreement with an assurance that "above all else, we want to figure out a solution to work together." The meeting in New York, and the follow-up communications, "designedly and materially forwarded the negotiation and performance of the contract for the sale" of the UAVs (*Dulman v Potomac Baking Co.*, 85 AD2d 676, 677 [2d Dept 1981]).

The second prong of New York's long-arm statute, requiring the cause of action to arise from a defendant's relevant business transaction in the state, is easily met. Plaintiff's claims are based on the sale of the two UAVs, and Vayu's contacts in New York were directly related to efforts to resolve the dispute over operability of the purchased UAVs (*see* 195 AD3d at 1342

[Egan Jr., J., dissenting]). Thus, "[t]here is an articulable nexus or substantial relationship between defendant's New York activities and the parties' contract, defendant's alleged breach thereof, and potential damages" (*D&R Global Selections, S.L. v Bodega Olegario Falcon Pineiro*, 29 NY3d 292, 299 [2017]).

[2] Finally, the exercise of jurisdiction must also comport with due process, a constitutional inquiry focused on "the relationship among the defendant, the forum, and the litigation" (*Williams v Beemiller, Inc.*, 33 NY3d 523, 529 [2019] [internal quotation marks omitted]). "[D]ue process requires first that a defendant have minimum contacts with the forum state such that the defendant should reasonably anticipate being haled into court there, and second, that the prospect of having to defend a suit in New York comports with traditional notions of fair play and substantial justice" (*D&R Global Selections*, 29 NY3d at 300 [internal quotation marks and citations omitted]). Jurisdiction will be upheld where the defendant purposefully reaches beyond their state into another but "the relationship between defendant and the forum state must arise out of defendant's own contacts with the forum and not 'contacts between the plaintiff (or third parties) and the forum State' " (*Beemiller*, 33 NY3d at 529, quoting *Walden v Fiore*, 571 US 277, 284 [2014]).

Those requirements are satisfied here. Vayu sought, negotiated, and then entered a contractual relationship with a New York State entity. Vayu furthered that relationship through numerous telephonic and email communications with SUNY Stony Brook and continued negotiations over terms of the deal when Vayu's CEO visited New York and met with Small in 2017. Vayu's 2016 grant application to USAID, describing SUNY Stony Brook as a "partner" and projecting a two-year budget for SUNY Stony Brook's costs related to delivery of an additional 10 UAVs, further demonstrates Vayu's understanding of this relationship with SUNY Stony Brook as ongoing and connected to New York. In these circumstances, Vayu should reasonably have anticipated being haled into court here (*see World-Wide Volkswagen Corp. v Woodson*, 444 US 286, 297 [1980]).

The dissent misconstrues the nature of the agreement between the parties and, as a result, misapplies our law. The voluminous contacts between Vayu and SUNY Stony Brook over a two-year period were not merely "responsive in nature" (dissenting op at 342), but rather ongoing negotiations over the original terms and subsequent modification of a contractual relationship. The dissent also mischaracterizes the meeting in New York, which was not simply to "assuage" concerns (dissenting op at 339, 345 [describing the visit as discussing "complaints"]), but to modify the terms of their agreement and discuss ongoing collaboration. In fact, the new terms agreed upon are at issue in this lawsuit (*see Martin v Peyton*, 246 NY 213, 218 [1927] ["An existing contract may be modified later by subsequent agreement, oral or written"]). Likewise, the refrain that the drones, which were intended for use in SUNY Stony Brook's initiative to provide health solutions in developing countries, were for the "benefit and use of [Madagascar's] people" (dissenting op at 339, 348 [drones were designed to "serv(e) the needs of non-New Yorkers"]), confuses the concept of potential third-party beneficiaries of a commercial agreement with the long-arm jurisdictional inquiry into defendant's activities in New York (*see e.g. Fourth Ocean Putnam Corp. v Interstate Wrecking Co.*, 66 NY2d 38, 45 [1985] [discussing third-party beneficiary rights to enforce a contract]). And, of course, the fact that persons located in remote areas of Madagascar might benefit from delivery of much-needed medical supplies by SUNY Stony Brook's drones does not mean that SUNY Stony Brook itself would reap no benefit from the success of the program; success may well have enhanced the program's reputation and made it possible for SUNY Stony Brook to expand the program to service other populations in need.[3]

Accordingly, the order of the Appellate Division should be reversed, with costs, and Vayu's CPLR 3211 (a) (8) motion to dismiss the complaint denied.

RIVERA, J. (dissenting). Plaintiff's employee—a professor at Stony Brook University and the director of its Global Health Institute—contacted defendant's Michigan-based chief executive officer to purchase two unmanned aerial vehicles, commonly known as "drones," to be delivered directly from Michigan to the Republic of Madagascar off the eastern coast of

3. Moreover, the dissent appears to conflate the requirements of CPLR 302 (a) (1): the defendant must *either* "transact[ ] any business within the state *or* contract[ ] anywhere to supply goods or services in the state" (emphasis added). The fact that the drones were sent "directly from the factory floor to Madagascar" (dissenting op at 348) would certainly preclude any claim by plaintiff pursuant to the "supply goods" in the state prong of CPLR 302 (a) (1), which we can assume is why plaintiff did not assert that basis for personal jurisdiction here.

Africa. They negotiated the contract terms and design specifications by telephone and email and finalized the contract remotely. After delivery, the parties discovered that the drones were defective. The CEO and some of defendant's other employees went to Madagascar to troubleshoot the issues and attempt to bring the drones up to plaintiff's standards. At one point, the CEO came to New York to assuage the professor's concerns and attempt to repair their relationship. Originally, the CEO and the professor had also planned to collaborate on future projects, but after their dealings with the defective drones, they parted ways and plaintiff commenced this lawsuit for damages incurred under the contract.

These contacts are insufficient under CPLR 302 (a) (1) to establish that this commercial, non-domiciliary defendant transacted business within New York State such that it could be subjected to personal jurisdiction in our state courts. The parties' discussions about, and preliminary steps toward, establishing a potential but unconsummated future business relationship do not alter the analysis because this lawsuit was based on a contract formed outside of New York for products manufactured in Michigan and sent directly to Madagascar for the benefit and use of its people. This section of our long-arm statute applies to those who *transact business within* New York and not to those, like defendant, who happen to conduct some business with a party located in New York. In my view, the majority adopts an overly broad reading and unconstitutional extension of CPLR 302 (a) (1). Therefore, I dissent.

I.

A.

"The ultimate burden of proving a basis for personal jurisdiction rests with the party asserting jurisdiction" (*Fanelli v Latman*, 202 AD3d 758, 759 [2d Dept 2022], citing *Fischbarg v Doucet*, 9 NY3d 375, 381 n 5 [2007], and *Aybar v Aybar*, 169 AD3d 137, 142 [2d Dept 2019], *affd* 37 NY3d 274 [2021]). Thus, where a defendant, as in this case, moves to dismiss a proceeding for lack of personal jurisdiction pursuant to CPLR 3211 (a) (8), "the plaintiff must come forward with sufficient evidence, through affidavits and relevant documents, to prove the existence of jurisdiction" (*Fischbarg*, 9 NY3d at 381 n 5 [internal quotation marks omitted], quoting Vincent C. Alexander, Prac Commentaries, McKinney's Cons Laws of NY, Book 7B, CPLR

C302:5). Plaintiff failed to do so and the Appellate Division thus properly affirmed Supreme Court's order granting defendant's motion to dismiss the complaint (195 AD3d 1337 [3d Dept 2021]).

B.

CPLR 302 (a) (1) provides for personal jurisdiction over a non-domiciliary who "transacts any business within the state or contracts anywhere to supply goods or services in the state." "This rule provides two distinct grounds for long-arm jurisdiction: [(1)] where a defendant 'transacts any business' in the state [or (2)] where a defendant 'contracts anywhere to supply goods or services' in the state" (*D&R Global Selections, S.L. v Bodega Olegario Falcon Pineiro*, 29 NY3d 292, 297 [2017], quoting CPLR 302 [a] [1]). Here, plaintiff contended that defendant's conduct satisfied the first ground. It was then plaintiff's burden to establish that defendant "conducted sufficient activities to have transacted business in the state," and that plaintiff's claims necessarily "arise from the transactions" (*Rushaid v Pictet & Cie*, 28 NY3d 316, 323 [2016]).[1]

The first prong requires an objective inquiry into whether "[a] non-domiciliary defendant[,] . . . 'on [its] own initiative[,] . . . project[ed] [itself] into this state to engage in a sustained and substantial transaction of business' " (*D&R Global*, 29 NY3d at 298, quoting *Paterno v Laser Spine Inst.*, 24 NY3d 370, 377 [2014]; *see Rushaid*, 28 NY3d at 323). "[A] single transaction in New York, out of which the cause of action has arisen, may satisfy the requirement of the transaction of business provision" (*Longines-Wittnauer Watch Co. v Barnes & Reinecke*, 15 NY2d 443, 456 [1965]). However, "[t]he primary consideration [under the first prong] is the quality of the non-domiciliary's New York contacts" (*D&R Global*, 29 NY3d at 298, citing *Fischbarg*, 9 NY3d at 380). While a non-domiciliary need not physically "enter[ ] New York" (*Kreutter v McFadden Oil Corp.*, 71 NY2d 460, 467 [1988]), its transactions will be deemed sufficiently purposeful only where "[the] defendant, through volitional acts, 'avails itself of the privilege of conducting activities within the forum [s]tate, thus invoking the benefits and protections of its laws' " (*Fischbarg*, 9 NY3d at 380, quoting *McKee Elec. Co. v Rauland-Borg Corp.*, 20 NY2d

1. Plaintiff's argument fails on the first prong for the reasons discussed infra, and I thus have no occasion to address whether plaintiff's claims arise from the business transactions alleged to have occurred within New York.

377, 382 [1967]). "[P]urposeful availment occurs when the non-domiciliary 'seeks out and initiates contact with New York, solicits business in New York, and establishes a continuing relationship' " with a New York-based party (*D&R Global*, 29 NY3d at 298, quoting *Paterno*, 24 NY3d at 377).

C.

Plaintiff failed to establish that defendant "transact[ed] any business within" New York for purposes of CPLR 302 (a) (1). First, the impetus for the formation and implementation of the contract was plaintiff's activities in Madagascar and the professor's interest in defendant's product, not defendant's targeted solicitation of business in New York. It is undisputed that soon after the professor was appointed to the Stony Brook University faculty, he contacted defendant—acting as plaintiff's agent—to purchase and arrange for delivery of the two drones to Madagascar. The professor conceived of the plan to use drones in Madagascar and purchased defendant's drones for that purpose; defendant neither "[sought] out" nor "initiate[d] contact with New York" (*Paterno*, 24 NY3d at 377).[2] The law is clear that it is the defendant's purposeful availment of the privilege of conducting business within New York that matters (*see Fischbarg*, 9 NY3d at 380). A plaintiff's actions cannot serve as the basis for personal jurisdiction over a defendant who merely responds to a business opportunity through common email and telephone communications (*see id.* at 383).

Defendant's conduct here contrasts with the defendant's conduct in *Deutsche Bank Sec., Inc. v Montana Bd. of Invs.* (7 NY3d 65 [2006]). There, this Court held that an ongoing business relationship coupled with bilateral negotiations satisfied the transacting business prong of CPLR 302 (a) (1). In that case, all communications were between the defendant's Montana-based agent and the plaintiff's agent in New York City through an instant messaging service designed to facilitate trading (*see id.* at 69). In the 13 months preceding the transaction at issue, the defendant had engaged in several

2. I do not, as the majority asserts, "confuse[ ] the concept of potential third-party beneficiaries of a commercial agreement with the long-arm jurisdictional inquiry into defendant's activities in New York" (majority op at 338, citing *Fourth Ocean Putnam Corp. v Interstate Wrecking Co.*, 66 NY2d 38, 45 [1985]). The nature of the business transaction between the parties—including their aims, goals and agreed upon terms—is relevant in determining whether defendant intended to transact business within New York (*see Fischbarg*, 9 NY3d at 380).

other bond transactions with the plaintiff's New York-based agent, thus "availing itself of the benefits of conducting business here" such that it "had sufficient contacts with New York to authorize our courts to exercise jurisdiction over its person" (*id.* at 72). In the transaction at issue, which took place on the aforementioned instant messaging service, the defendant initially rejected the plaintiff's bond swap proposal. Ten minutes later, the defendant sent a message to the plaintiff expressing interest in a sale, and the two confirmed a bond purchase soon thereafter (*see id.* at 70). The next day, the defendant contacted the plaintiff to "break[ ]" the trade on the grounds that it was allegedly based on insider trading (*id.*). The Court concluded that the defendant's motion to dismiss for lack of personal jurisdiction should be denied because the defendant, as a sophisticated institutional trader, "knowingly initiat[ed] and pursu[ed] a negotiation with a [Deutsche Bank] employee in New York that culminated in the sale of $15 million in bonds" (*id.* at 71-72). The defendant investor's previous participation in New York's bond market through negotiations and bond trades was critical to the Court's conclusion that the defendant used available electronic means to project itself into New York to conduct business transactions (*see id.* at 71-72). Unlike the defendant in *Deutsche Bank*, defendant here did not use electronic means to project itself into an established New York marketplace. While New York City is a global investment capital, New York State is not a commercial hub for drone purchases. Indeed, defendant's remote agreement to supply two drones outside of New York did not depend on the location of the purchaser and was irrelevant to that sales contract.

Second, defendant's contacts with New York as they related to the subject matter of this dispute—the functioning of the drones—were primarily "responsive in nature" (*Paterno*, 24 NY3d at 378). In *George Reiner & Co. v Schwartz*, the Court concluded that the defendant was subject to personal jurisdiction because he had purposefully entered New York seeking employment, and then "was physically present in New York at the time the contract, establishing a continuing relationship between the parties, was negotiated and made and, the contract, made in New York, was the transaction out of which the cause of action arose" (41 NY2d 648, 653 [1977]). The Court contrasted that visit—which served as the basis for personal jurisdiction—with the one-day visit to New York by the defendant's agent in *McKee* (20 NY2d 377), which fell short of the required level of in-state activity. "[I]n *McKee* there was merely a casual attempt by defendant's representative to look into or smooth out difficulties between plaintiff and plaintiff's customers" (*George Reiner & Co.*, 41 NY2d at 654). The Court also explained that "[t]he *McKee* court expressed valid concern that, were the visit there to serve as a sufficient basis for jurisdiction, then 'every corporation whose officers or sales personnel happen to pass the time of day with a New York customer in New York [would run] the risk of being subjected to the personal jurisdiction of our courts' " (*id.*, quoting *McKee*, 20 NY2d at 382).

Defendant's actions here are more analogous to those of the defendant in *McKee* than in *George Reiner & Co.* in that defendant's communications regarding travel to Madagascar to attempt to fix the drones and the CEO's visit to New York were parts of an attempt to "smooth out difficulties" with plaintiff regarding an already completed transaction (*id.*). Unlike *George Reiner & Co.*, where the defendant entered New York to transact business—i.e., enter into a contract—with plaintiff (*see id.* at 653), here, all business was conducted remotely. Both parties entered into an agreement with the understanding that they could perform their contractual obligations without defendant or its products ever entering New York. The CEO's visit to New York to address compliance with the contract, as in *McKee*, occurred *after* the parties had already entered into the contractual relationship that is at the heart of this dispute.

II.

The majority concludes that plaintiff met its burden based on (1) the initial transaction between the parties; (2) the ongoing communications between the parties with the intent of forming a continuing relationship; and (3) the meeting between the professor and the CEO in New York (*see* majority op at 333-334). None of those grounds are adequate, separately or in the aggregate, to support personal jurisdiction.

First, defendant did not enter or project itself into New York to solicit plaintiff's business through its communications leading up to the initial transaction. The Court has observed that "the growth of national markets for commercial trade, as well as technological advances in communication, enable a party to transact enormous volumes of business within a state without physically entering" (*Deutsche Bank Sec.*, 7 NY3d at 71; *accord*

Fischbarg, 9 NY3d at 382). Nevertheless, business must be transacted within the state even if technology allows for out-of-state communications in furtherance of that business. For example, in *Parke-Bernet Galleries v Franklyn* (26 NY2d 13 [1970]), the Court held that the non-domiciliary defendant's use of telephonic communications to participate in a New York-based art auction in real time brought the defendant within the personal jurisdiction of our courts. At the defendant's request, the plaintiff established an open telephone line between the defendant and the plaintiff's employee on the evening of the auction (*see id.* at 15). The plaintiff's employee was physically present at the auction and acted as an intermediary by informing the defendant of the bids as they were made and communicating the defendant's bids to the auctioneer who announced them to the other bidders (*see id.* at 15-16). The Court held that, although the defendant was not physically present at the auction, he had nonetheless transacted business within New York because "on his own initiative, the defendant, in a very real sense, projected himself into the auction room in order to compete with the other prospective purchasers who were there" (*id.* at 18). In other words, the real time exchange between the defendant and the plaintiff's employee was the functional equivalent of the defendant sitting in the auction room in New York City with the other bidders (*see id.*). "This activity far exceeded the simple placing of an order by telephone" (*id.*). Here by contrast, the initial transaction between the parties is more like a telephone or online order of goods. Plaintiff initiated communications with defendant and defendant responded by agreeing to ship two drones to Madagascar. Defendant did not "project[ ] [itself]" into New York "to engage in a sustained and substantial transaction of business" (*Paterno*, 24 NY3d at 377 [internal quotation marks omitted]).

Defendant's attempt to "establish a substantial ongoing business relationship" with plaintiff (majority op at 334, citing *Fischbarg*, 9 NY3d at 382-383) also cannot support personal jurisdiction. No communications on this subject occurred in New York or led to the formation of a contract in New York. As they did during the original transaction, the parties contemplated engaging in a business relationship focused on public health issues in Madagascar and other foreign nations.[3] Plaintiff failed to establish how those discussions led to a business relationship resulting in the defendant's transaction of business within New York. Additionally, plaintiff's claims were not based on these efforts. Negotiations to create an ongoing business relationship cannot support a claim of personal jurisdiction for a previous transaction that has no bearing on that potential future relationship.[4]

Finally, defendant's one-time visit to New York to discuss with the professor complaints about the defective drones is insufficient to establish personal jurisdiction. Contrary to the majority's view, the meeting between the professor and the CEO in New York did not "designedly and materially forward[ ] the negotiation and performance of the contract" (majority op at 336 [internal quotation marks omitted], quoting *Dulman v Potomac Baking Co.*, 85 AD2d 676, 677 [2d Dept 1981, Titone, J., on panel]). Indeed, the majority's reliance on *Dulman* is misplaced because there, the defendant traveled to New York to inspect and purchase an industrial oven *before* the sale and to hasten performance of the contract (*see* 85 AD2d at 676-677). Here, the defendant's CEO traveled to New York *after* defendant had purportedly breached its contract with plaintiff.

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3. The CEO's description of "the idea to use drones to transport lab samples" as a "shared vision" between the CEO and the professor (majority op at 335 [internal quotation marks omitted]) does not change the analysis. In his affidavit in opposition to defendant's motion to dismiss, the professor said that, although they had communicated in the past about their public health ideas, he initiated contact with the CEO "with the purpose of creating a business relationship between [the parties] for the development and use of [drones] for the delivery of medical supplies to remote areas in underdeveloped countries." As discussed, a plaintiff cannot confer personal jurisdiction on an out-of-state defendant through its own acts (*see Fischbarg*, 9 NY3d at 383). For the same reason, it is irrelevant that Stony Brook University might have enjoyed reputational benefits from its drone program that would have enabled it to expand that program to other foreign nations (*see* majority op at 338).

4. The majority's reliance on *Stardust Dance Prods., Ltd. v Cruise Groups Intl., Inc.* (63 AD3d 1262 [3d Dept 2009, Stein, J.]) for the proposition that "a far reaching and long-standing relationship" existed here (*see* majority op at 336) is misplaced. There, the Court concluded that plaintiffs had made a "sufficient start" toward proving personal jurisdiction, warranting a jurisdictional hearing, where defendant had twice visited New York in furtherance of a contractual joint venture between the parties and the parties had submitted conflicting affidavits regarding the nature of defendants' contacts with New York (*Stardust*, 63 AD3d at 1265). Here, by contrast, the parties did not enter into a joint venture and the nature of defendant's contacts with New York are not at issue.

Moreover, plaintiff alleges in its complaint that defendant breached the contract between the parties by (1) "provid[ing]" drones "in a defective, damaged, non-conforming, [and] unsatisfactory condition" that were "otherwise unfit for their intended purpose," and (2) "fail[ing] to replace the non-conforming [drones] within a reasonable time." The premise for the majority's conclusion that the purpose of the parties' in-person meeting was "to modify the terms of their agreement" (majority op at 338) is unclear and unsupported by the plaintiff's assertions. Plaintiff did not—and has never—alleged that the parties entered into an initial contract which was thereafter modified following the CEO's visit to New York. A request for a refund or to exchange a defective product and a subsequent promise to do so does not modify the contract, but rather represents an agreement to either settle damages in advance of litigation or perform one's already existing obligations, respectively (*see e.g. Robinson v Jewett*, 116 NY 40, 53 [1889] ["The performance of an act which the party is under a legal obligation to perform cannot constitute a consideration for a new contract"]; *see also* UCC 2-508 [1] ["Where any tender or delivery by the seller is rejected because non-conforming and the time for performance has not yet expired, the seller may seasonably notify the buyer of (its) intention to cure and may then within the contract time make a conforming delivery"]). Thus, properly understood, the complaint alleged that (1) defendant breached the contract, (2) plaintiff sought performance upon determining that there was a breach, and (3) defendant thereafter abandoned its contractual obligations (*see e.g. Henderson Tire & Rubber Co. v Wilson & Son, Inc.*, 235 NY 489, 499 [1923]).

III.

Even if defendant's actions constituted the transaction of business within New York under CPLR 302 (a) (1), the "[e]xercise of personal jurisdiction under the long-arm statute must comport with federal constitutional due process requirements" (*Rushaid*, 28 NY3d at 330, citing *LaMarca v Pak-Mor Mfg. Co.*, 95 NY2d 210, 216 [2000]). This Court has adopted a two-pronged analysis under the federal constitutional standard:

> "Federal due process requires first that a defendant have minimum contacts with the forum state such that the defendant should reasonably antici-

> pate being haled into court there, and second, that the prospect of having to defend a suit in New York comports with traditional notions of fair play and substantial justice" (*D&R Global*, 29 NY3d at 300 [internal quotation marks and citations omitted]; *accord World-Wide Volkswagen Corp. v Woodson*, 444 US 286, 297 [1980]; *International Shoe Co. v Washington*, 326 US 310, 316 [1945]; *LaMarca*, 95 NY2d at 216).

Under the "minimum contacts" analysis, this Court evaluates whether a defendant has purposefully availed itself of the privilege of conducting business within New York (*see D&R Global*, 29 NY3d at 300; *Rushaid*, 28 NY3d at 331; *LaMarca*, 95 NY2d at 217). "The contacts must be the defendant's own choice and not 'random, isolated, or fortuitous' " (*Ford Motor Co. v Montana Eighth Judicial Dist. Court*, 592 US —, —, 141 S Ct 1017, 1025 [2021], quoting *Keeton v Hustler Magazine, Inc.*, 465 US 770, 774 [1984]). Moreover, "it is the defendant's conduct that must form the necessary connection with the forum State that is the basis for its jurisdiction over [it]"; "a defendant's relationship with a plaintiff or third party, standing alone, is an insufficient basis for jurisdiction" (*Walden v Fiore*, 571 US 277, 285-286 [2014]; *accord Burger King Corp. v Rudzewicz*, 471 US 462, 478 [1985]; *Rush v Savchuk*, 444 US 320, 332 [1980]; *Kulko v Superior Court of Cal., City and County of San Francisco*, 436 US 84, 93 [1978]). For the same reasons defendant's conduct fails to establish jurisdiction under our long-arm statute (discussed at length, *supra*), the conduct also fails to satisfy this prong of the due process standard. In brief, plaintiff's agent, not defendant, initiated the sales agreement. Crucially, the parties negotiated and finalized the contract remotely, a convenient means to close the deal on this out-of-state sale and delivery.[5]

Nor would New York's exercise of personal jurisdiction over defendant comport with traditional notions of fair play and

5. The majority reads far too much into the phrase "directly from the factory floor to Madagascar" in asserting that I have "conflate[d]" the two separate grounds of CPLR 302 (a) (1) (majority op at 338 n 3). I am not suggesting that plaintiff failed to show that defendant contracted to supply goods in New York. Rather, as I have discussed, our case law requires us to evaluate the location of the drones and their nexus with defendant's contacts with New York.

Notably, the contracting ground of CPLR 302 (a) (1) long-arm jurisdiction—which applies when a defendant "contracts anywhere to supply goods

(n. cont'd)

substantial justice. It would be unreasonable to require defendant to litigate the underlying claims in our state given that defendant has no existing business relationship with plaintiff and did not visit New York to negotiate or finalize the sales purchase, and this contract dispute involves drones sent directly to Madagascar for the use and benefit of the people on that island (*see D&R Global*, 29 NY3d at 300 [noting that a defendant must show that "the exercise of jurisdiction is unreasonable"], citing *LaMarca*, 95 NY2d at 218). The applicable rules guiding this step of the analysis "derive from and reflect two sets of values—treating defendants fairly and protecting 'interstate federalism' " (*Ford Motor Co.*, 592 US at —, 141 S Ct at 1025, quoting *World-Wide Volkswagen Corp.*, 444 US at 293; *see Bristol-Myers Squibb Co. v Superior Court of Cal., San Francisco Cty.*, 582 US 255, 262-263 [2017]). Exercising personal jurisdiction over defendant here does not comport with those values.

IV.

This case involves a purchase by telephone and email of a product manufactured outside of New York, designed to specifications serving the needs of non-New Yorkers, and sent directly from the factory floor to Madagascar. On these facts, defendant did not transact business within New York but merely entered a contract with a New York client for a product sent to and used in another country. Therefore, I agree with both courts below that New York lacks personal jurisdiction over defendant for the claims plaintiff asserted in this action. Plaintiff could avoid future personal jurisdiction disputes by doing what it failed to do here: ensure that its employees go through the

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or services" in New York State—confirms the legislative distinction between a sale of goods to be provided in-state (which can be made anywhere), and an out-of-state sale for goods which are not sent to New York (*see e.g.* Alexander, Prac Commentaries, CPLR C302:9; David D. Siegel & Patrick M. Connors, New York Practice §§ 86-86A [6th ed, Dec. 2022 update]). The former, by its nature, involves a defendant's volitional act to send its products to New York and makes plain that defendant has "avail[ed] itself of the privilege of conducting activities within the forum [s]tate, thus invoking the benefits and protections of its laws" (*McKee*, 20 NY2d at 382). This obvious contact with the state is missing from a non-domiciliary's agreement made remotely to send its products directly to an out-of-state recipient. Thus, the transacting business ground of the statute requires that the defendant's contacts amount to a transaction within the state—and not merely a remote sale to a New York party—in order to subject the defendant to legal action in our courts arising from that sale.

proper procurement process[6] and, for good measure, require a forum selection clause in its contracts if it wishes to engage in business dealings with similarly situated non-domiciliary potential business partners.

Acting Chief Judge CANNATARO and Judges WILSON, SINGAS and TROUTMAN concur; Judge RIVERA dissents and votes to affirm in an opinion.

Order reversed, with costs, and defendant Vayu, Inc.'s CPLR 3211 (a) (8) motion to dismiss the complaint denied.

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6. As the Appellate Division noted, the parties' contract did not go through the usual statutory "bidding and contractual process" (195 AD3d at 1337 n 1, citing State Finance Law § 163).

[209 NE3d 1255, 188 NYS3d 429]

JAMES B. NUTTER & COMPANY, Appellant, v COUNTY OF SARATOGA et al., Respondents, et al., Defendants.

Argued February 8, 2023; decided March 21, 2023

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered June 24, 2021. The Appellate Division affirmed an order of the Supreme Court, Saratoga County (Ann C. Crowell, J.; op 2020 NY Slip Op 35411[U] [2020]), which had (1) denied plaintiff's motion for summary judgment; (2) granted the cross-motion by defendants County of Saratoga and Stephen M. Dorsey for summary judgment dismissing the complaint against them; and (3) dismissed the complaint as against all named defendants.

James B. Nutter & Co. v County of Saratoga, 195 AD3d 1359, reversed.

HEADNOTE

Taxation — Tax Liens, Tax Sales and Tax Titles — Challenge to County's Compliance with Notice Requirements in Absence of Evidence of Failure to Receive Notice

An interested party in a tax foreclosure proceeding is permitted to establish that a taxing authority failed to comply with the notice requirements set forth in RPTL 1125 (1) (b) (i), even when the taxing authority submits proof that notice that was allegedly sent by both certified and first-class mail is not returned. By its unambiguous terms, RPTL 1125 (1) (b) (i) relates to whether notice will be "deemed received," not whether the taxing authority has complied with the statutory mailing requirements. RPTL 1125 (1) (b) (i) does not bar an interested party from submitting evidence that would call the taxing authority's compliance with its requirements into issue or limit the proof an interested party may use to raise an issue of fact with respect to that compliance only to evidence that both the certified and first-class mailings were returned. Thus, although the statute contains no requirement of actual notice and evidence of the failure to receive notice is, by itself, insufficient to demonstrate noncompliance, an interested party may create a factual issue as to whether the taxing authority has complied with the requirements of RPTL 1125 (1) (b) by other relevant proof, despite the taxing authority's submission of the "affidavit[s] of mailing" mandated by section 1125 (3) (a) and evidence that no mailings were returned.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d State and Local Taxation §§ 752, 753.

CARMODY-WAIT 2d Foreclosure of Tax Liens on Real Property §§ 99:50, 99:53.
MCKINNEY'S, RPTL 1125 (1) (b); (3) (a).
NY JUR 2d Taxation and Assessment §§ 697–700.

ANNOTATION REFERENCE

See ALR Index under Foreclosure; Notice or Knowledge; Tax Liens.

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POINTS OF COUNSEL

K&L Gates LLP, New York City (*Gregory N. Blase* and *Priya Chadha* of counsel) and Harrisburg, Pennsylvania (*David R. Fine*, admitted pro hac vice, of counsel), for appellant. I. New York's tax foreclosure statute creates a rebuttable presumption of validity, and the Appellate Division erred in treating that presumption as conclusive with respect to the County's Real Property Tax Law § 1125 notices of foreclosure. (*Matter of Albany Law School v New York State Off. of Mental Retardation & Dev. Disabilities*, 19 NY3d 106; *Matter of Malta Town Ctr. I, Ltd. v Town of Malta Bd. of Assessment Review*, 3 NY3d 563; *Long v State of New York*, 7 NY3d 269; *Matter of New York County Lawyers' Assn. v Bloomberg*, 19 NY3d 712; *Carney v Philippone*, 1 NY3d 333; *Wilczak v City of Niagara Falls*, 174 AD3d 1446; *Lin v County of Sullivan*, 100 AD3d 1076; *People v Garson*, 6 NY3d 604; *Matter of Barbour*, 185 App Div 445, 226 NY 639; *McCarthy v Jorgensen*, 290 AD2d 116.) II. This Court has held that a trial court may provide equitable relief to correct a tax sale brought about by mistake, and the Appellate Division erred in ignoring the word "mistake" in this Court's precedent. (*Guardian Loan Co. v Early*, 47 NY2d 515.)

Bartlett, Pontiff, Stewart & Rhodes, P.C., Glens Falls (*Karla Williams Buettner* of counsel), for respondents. I. The presumption codified in RPTL 1125, as amended in 2006, which provides that certified mail and U.S. mail notices "shall be deemed received" unless both iterations of the notice are returnable by the postal service within 45 days, is conclusive unless there are jurisdictional defects or invalidities proven. (*Matter of County *of Sullivan [Matejkowski]*, 105 AD3d 1170, 21 NY3d 1062; *Matter of Albany Law School v New York State Off. of Mental Retardation & Dev. Disabilities*, 19 NY3d 106; *Consedine v Portville Cent. School Dist.*, 12 NY3d 286; *Jones v Flowers*, 547 US 220; *Mullane v Central Hanover Bank & Trust Co.*, 339 US 306; *Mennonite Bd. of Missions v Adams*, 462 US 791; *Mezzacappa Bros., Inc. v City of New York*, 7 NY3d 712; *Matter of County of Clinton [Greenpoint Assets, Ltd.]*, 116 AD3d 1206; *Hetelekides v County of Ontario*, 193 AD3d 1414.) II. A trial court does not have to grant equitable relief from a tax sale when a mortgage holder is unable to prove that it was prevented from protecting its interest when there is no proof of a mistake by the taxing entity. (*Matter of Regan v DiNapoli*, 135 AD3d 1225; *Guardian Loan Co. v Early*, 47 NY2d 515.)

Pacific Legal Foundation, Arlington, Virginia (*Jonathan M. Houghton* of counsel) and Sacramento, California (*Deborah J. La Fetra* of counsel), for Pacific Legal Foundation, amicus curiae. I. Due process requires government to act on tracking information. (*Morrissey v Brewer*, 408 US 471; *Cleveland Bd. of Ed. v Loudermill*, 470 US 532; *Ontario Knitting Co v State of New York*, 69 Misc 145; *Jones v Flowers*, 547 US 220; *Matter of Skolnick*, 108 AD3d 720; *Kennedy v Mossafa*, 100 NY2d 1; *Miner v Clinton County, N.Y.*, 541 F3d 464; *Mac Naughton v Warren County*, 20 NY3d 252; *Matter of 149 Glen St. Corp. v Jefferson*, 140 AD3d 742.) II. Homeowners warrant equal protection against forfeiture as enjoyed by tenants. (*Luessenhop v Clinton County, N.Y.*, 466 F3d 259; *Linn Farms & Timber Ltd. Partnership v Union Pac. R. Co.*, 661 F3d 354; *Shelley v Kraemer*, 334 US 1; *Sharp v Norwood*, 223 AD2d 6, 89 NY2d 1068; *57 E. 54 Realty Corp. v Gay Nineties Realty Corp.*, 71 Misc 2d 353; *Fifty States Mgt. Corp. v Pioneer Auto Parks*, 46 NY2d 573; *5700, 5800, 5900 Arlington Ave. Assoc. v Dogan*, 135 Misc 2d 338; *ATM Two v Ramos*, 189 Misc 2d 770; *SKEK Assoc. v Benenson*, 2 Misc 3d 757; *J. N. A. Realty Corp. v Cross Bay Chelsea*, 42 NY2d 392.) III. The elderly and infirm most often suffer from inadequate notice. (*Wayside Church v Van Buren County*, 847 F3d 812; *Matter of City of Rochester [Duvall]*, 92 AD3d 1297.)

OPINION OF THE COURT

Acting Chief Judge CANNATARO.

Real Property Tax Law § 1125 (1) (b) (i) directs that notice of commencement of a foreclosure proceeding must be sent both by certified and first-class mail to interested parties and that "[t]he notice shall be deemed received unless both the certified mailing and the ordinary first class mailing are returned by the United States postal service within [45] days after being mailed." On this appeal, we conclude that plaintiff was permitted to raise a question of fact regarding whether the taxing authority complied with the statutory notice requirements contained in section 1125 (1) (b) notwithstanding the absence of evidence that both the certified and first-class mailings were returned. We now remit for consideration of that issue.

I.

In May 2018, defendant Saratoga County commenced an in rem tax foreclosure proceeding, asserting an approximately $9,000 lien against the property at issue, which is located in defendant Town of Galway. The County allegedly mailed, via both certified and first-class mail, a copy of the petition, notice of foreclosure and notice of commencement of the tax foreclosure proceeding to plaintiff's address that was listed in the mortgage it held on the property. Although neither the certified nor first-class mailing was returned as undeliverable, plaintiff's compliance specialist responsible for receiving tax foreclosure notices averred that no such documents were received. Plaintiff's vice president also swore that, after inquiring with the Town of Galway as to the amount of taxes due on the property, plaintiff was advised of and paid delinquent taxes for 2018, but was not informed that taxes for other years were also delinquent. It is undisputed that, when the Town provided plaintiff with a statement of 2018 County and Town taxes in the amount of $3,309.02, the Town did not inform plaintiff that additional liens remained pending with the County for delinquent taxes due on the property, as the County concedes was required under RPTL 1112 (2) (a). It is also undisputed that plaintiff did not request a certificate of redemption for all delinquent taxes on the property (*see* RPTL 1112 [3]).

In December 2018, a default judgment in the County's favor was entered in Supreme Court and a deed conveying title of the property to the County was executed. In May 2019, the County sold the property at auction and a deed was conveyed to defendant Sensible Property Holdings for $142,500. The property was sold several months later to nonparties for $155,000. Meanwhile, in July 2019, a judgment of foreclosure and sale was entered in Supreme Court as to the same property in favor of plaintiff in a separate foreclosure action that plaintiff had commenced against its mortgagors in 2015.

Plaintiff then commenced this action seeking vacatur of both the December 2018 default judgment granted to the County and the deeds conveying the property to the County and Sensible Property Holdings. Following joinder of issue by the County and Town defendants, plaintiff moved for summary judgment against them. As relevant here, plaintiff alleged that the County "failed to serve upon [it] the tax foreclosure petition," in violation of RPTL 1125. The County cross-moved for summary judgment dismissing the complaint. The County submitted affidavits of mailing by certified and first-class mail—listing plaintiff's address—and the certified mail receipt, as well as an affidavit from a legal assistant in the Saratoga County Attorney's Office stating that neither the certified mailing nor the first-class mailing to plaintiff was returned. In response to the County's cross-motion, plaintiff observed that there was no postmark on the certified mail receipt proffered by the County and argued that the lack of a postmark indicated that the certified letter was not, in fact, brought to the post office. Plaintiff also submitted a tracking history showing that the certified mail was delivered to an unknown P.O. Box, rather than to plaintiff's address. Plaintiff contended that the lack of a postmark, the tracking history, and its employee's affidavits confirming that plaintiff did not receive notice created a question of fact as to whether there was compliance with RPTL 1125.

Supreme Court denied plaintiff's motion for summary judgment, granted the County's motion, and dismissed the complaint as against all named defendants (2020 NY Slip Op 35411[U] [Sup Ct, Saratoga County 2020]). The court concluded that the County established that notice of the tax foreclosure proceeding was provided to plaintiff via the affidavits of mailing and affidavit of the Saratoga County Attorney employee that no mailings were returned.

Upon plaintiff's appeal, the Appellate Division affirmed (195 AD3d 1359 [3d Dept 2021]). The Court concluded that the evidence of certified and first-class mailing to plaintiff's address, along with proof that the mailings were never returned, established compliance with RPTL 1125 (*id.* at 1360). The Court held that "the presumption of service" set forth in the statute could be rebutted only by "proof establishing that both the certified mailing and the ordinary first class mailing were returned" (*id.*) and, absent such proof, plaintiff *could not* "raise a material issue of fact regarding whether the County complied with RPTL 1125" (*id.* at 1361). A dissenting Justice would have held that an interested party need not tender proof establishing that both mailings were returned to the taxing authority in order to create an issue of fact and that, here, plaintiff submitted sufficient evidence to create a factual question regarding whether the required notices were properly mailed (*id.* at 1361-1362 [Pritzker, J., dissenting]).

This Court granted plaintiff's subsequent motion for leave to appeal (38 NY3d 901 [2022]).

II.

The critical statutory language at issue in this case is contained in RPTL 1125 (1) (b) (i), which states that the required "notice shall be sent to each [interested] party both by certified mail and ordinary first class mail" and "*shall be deemed received* unless both the certified mailing and the ordinary first class mailing are returned by the United States postal service within [45] days after being mailed" (emphasis added).

Three principles guide our analysis of this provision. First, as with all matters of statutory interpretation, "our goal is to give force to the intent of the legislature and we therefore begin with the plain text—'the clearest indicator of legislative intent' " (*Lubonty v U.S. Bank N.A.*, 34 NY3d 250, 255 [2019], quoting *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]). Thus, "[a]s we have repeatedly explained, 'courts should construe unambiguous language to give effect to its plain meaning' " (*Kuzmich v 50 Murray St. Acquisition LLC*, 34 NY3d 84, 91 [2019], *cert denied* 589 US —, 140 S Ct 904 [2020], quoting *Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006]). Second, "[w]hen a statute is part of a broader legislative scheme, its language must be construed 'in context and in a manner that harmonizes the related provisions and renders them compatible' " (*Matter of Kosmider v Whitney*, 34 NY3d 48, 55 [2019], quoting *Matter of M.B.*, 6 NY3d 437, 447 [2006]). That is, "a statute must be construed as a whole and . . . its various sections must be considered with reference to one another" (*Matter of Albany Law School v New York State Off. of Mental Retardation & Dev. Disabilities*, 19 NY3d 106, 120 [2012]). Finally, "statutes authorizing tax sales are to be liberally construed in the owner's favor because tax sales are intended to collect taxes, not forfeit real property" (*Carney v Philippone*, 1 NY3d 333, 339 [2004]).

By its unambiguous terms, RPTL 1125 (1) (b) (i) relates to whether notice will be "deemed received," not whether the taxing authority has complied with the statutory mailing requirements. Although the taxing authority must ensure that "[a]n affidavit of mailing of such notice [is] executed" (*id.* § 1125 [3] [a]), the statute expressly provides that "[t]he failure of an intended recipient to receive any such notice shall not invalidate any tax or prevent the enforcement of the same as provided by law" (*id.* § 1125 [3] [b]). It is only when both the certified mailing and the first-class mailing are returned that the statute requires the taxing authority to take additional action beyond the requirements set forth in RPTL 1125 (1) (b) (i).*

That is not the end of the analysis, however, in cases where the interested party argues, as plaintiff does here, that the taxing authority failed to comply with the mailing requirements set forth in RPTL 1125 (1) (b) (i). Contrary to the Appellate Division decision, RPTL 1125 (1) (b) (i) contains no "presumption of service" (195 AD3d at 1360). Nor does section 1125 (1) (b) (i) bar an interested party from submitting evidence that would call the taxing authority's compliance with its requirements into issue or limit the proof an interested party may use to raise an issue of fact with respect to that compliance only to evidence that both the certified and first-class mailings were returned. Courts "may not create a limitation that the Legislature did not enact" (*Matter of Theroux v Reilly*, 1 NY3d 232, 240 [2003]). Thus, although the statute contains no requirement of actual notice and evidence of the failure to receive notice is, by itself, insufficient to demonstrate noncompliance (*see* RPTL 1125 [3] [b]), an interested party may create

* To the extent plaintiff argues that it should be able to establish that it did not actually receive notice—as opposed to establishing that the County did not comply with RPTL 1125 (1) by providing it with the required notice—plaintiff's argument is unpreserved. Nor has plaintiff advanced any claims separate from its statutory argument that the County failed to satisfy its obligations under the state and federal constitutional guarantees of due process requiring that plaintiff be provided with " 'notice reasonably calculated, under all the circumstances, to apprise' " it of the foreclosure action (*Kennedy v Mossafa*, 100 NY2d 1, 9 [2003], quoting *Mullane v Central Hanover Bank & Trust Co.*, 339 US 306, 314 [1950]), distinguishing this case from our recent decision in *Hetelekides v County of Ontario* (39 NY3d 222 [2023]).

a factual issue as to whether the taxing authority has complied with the requirements of RPTL 1125 (1) (b) by other relevant proof, despite the taxing authority's submission of the "affidavit[s] of mailing" mandated by section 1125 (3) (a) and evidence that no mailings were returned.

Here, the Appellate Division confined its inquiry to whether plaintiff created a question of fact through evidence that both the certified and first-class mailings were returned. However, an interested party may also meet its burden of establishing that the taxing authority "did not substantially comply with the requirement of providing the taxpayer with proper notice of the foreclosure proceeding" by other means such as, for example, demonstrating deficiencies in the affidavits of mailing (*Matter of County of Seneca [Maxim Dev. Group]*, 151 AD3d 1611, 1614 [4th Dept 2017]; *see Kennedy v Mossafa*, 100 NY2d 1, 8 [2003] ["The tax debtor has the burden of affirmatively establishing a jurisdictional defect or invalidity in the tax or the foreclosure proceedings"]).

This interpretation is consistent not only with the statutory language, but also with the objectives and purposes of the legislature in enacting the current version of RPTL 1125. In 2006, the legislature amended the statute to bring it into compliance with *Jones v Flowers* (547 US 220 [2006]) by imposing more stringent notice requirements. In *Jones*, the Supreme Court emphasized that "[d]ue process does not require that a property owner receive actual notice before the government may take [the owner's] property" (*id.* at 226). The Court held, however, that "when the government learns its attempt at notice has failed, due process requires the government to do something more before real property may be sold in a tax sale" (*id.* at 227). The Court declined to prescribe any particular form of notice (*see id.* at 238) and, thus, the legislature amended RPTL 1125 (1) to clarify what notice is required in New York (*see* Senate Introducer's Mem in Support, Bill Jacket, L 2006, ch 415 at 4). Specifically, the legislature added the requirement that notice be sent by certified mail, in addition to the first-class mailing mandated before the 2006 amendment; if both mailings are returned within 45 days, the taxing authority is required to "attempt to obtain an alternative mailing address from the United States postal service" and mail to that address or post notice on the property if no alternative address can be found (RPTL 1125 [1] [b] [i]-[iii]). The amendment was intended to "build[ ] upon current procedures and detail[ ] steps to be taken to supplement mailed notice that is returned as undeliverable or other ineffective notice" (*see* Senate Introducer's Mem in Support, Bill Jacket, L 2006, ch 415 at 5).

The parties here agree that, prior to the 2006 amendment, an interested party could raise questions of fact regarding whether the proper notice procedure was followed by presenting "evidence which would cast doubt on the mailing of the notice to the proper address" (*Law v Benedict*, 197 AD2d 808, 810 [3d Dept 1993]). Absent any inconsistent language in the statute, it would be incongruous to read the 2006 amendment of RPTL 1125 as eliminating this preexisting defense through a statutory amendment that was meant to "build[ ] upon current procedures" to provide interested parties with additional protections (Senate Introducer's Mem in Support, Bill Jacket, L 2006, ch 415 at 5; *see Gletzer v Harris*, 12 NY3d 468, 475 [2009] ["As to legislative intent, we note that a statute should be construed in light of the problem to be cured and the event that prompted its enactment"]).

This reading of RPTL 1125 (1) (b) is also consistent with the remaining provisions of RPTL article 11, with which it must be harmonized. In particular, construed in the context of RPTL 1134 and 1137, RPTL 1125 (1) (b) must be interpreted to permit an interested party to demonstrate that a taxing authority has not complied with the statutory mailing requirements.

RPTL 1134 and 1137 provide an opportunity to challenge the validity of any aspect of a tax foreclosure, including any notice required by the RPTL, for two years after the deed from the tax sale has been recorded. RPTL 1134 states that

> "[i]t shall not be necessary for the tax district to plead or prove the various steps, procedures and notices for the assessment and levy of the taxes or other lawful charges against the parcels of real property set forth in the petition and all such taxes or other lawful charges and the lien thereof shall be presumed to be valid."

However, the statute further provides that "[a] respondent alleging *any jurisdictional defect or invalidity* in the tax, or *in the proceeding for the enforcement thereof*, must particularly specify in his or her answer such jurisdictional defect or invalidity and must affirmatively establish such defense" (*id.* [emphasis added]). It would not be necessary for the statute to set forth the burdens of proof or provide that invalidity of notice is an affirmative defense if there were no opportunity to challenge compliance with the statutory mailing requirements.

RPTL 1137 further provides that

> "[e]very deed given pursuant to the provisions of this article shall be presumptive evidence that the proceeding and all proceedings therein and all proceedings prior thereto from and including the assessment of the real property affected and *all notices required by law were regular and in accordance with all provisions of law relating thereto*" (emphasis added).

That presumption does not become "conclusive" until two years after the recording of deed (*id.*). On its face, RPTL 1137 acknowledges the existence of a presumption that all notices required by law were provided in accordance with the statute—there is no exception for the notices required by RPTL 1125 (1) (b). However, section 1137 makes clear that the presumption of compliance does not become "conclusive" for two years.

Reading RPTL 1125, 1134 and 1137 together reinforces the conclusion that compliance with the statutory mailing requirements may be challenged during the two-year period following the recording of the deed after the tax sale (*id.* § 1137) even if the taxing authority has submitted the required affidavits of mailing (*id.* § 1125 [3] [a]) and evidence that the mailings were not returned (*id.* § 1125 [1] [b] [i]). Moreover, an interested party may establish, under RPTL 1134, any defect in notice affecting the validity of the enforcement proceeding, subject to the two-year limitations period contained in RPTL 1137.

In sum, construing the foregoing provisions "liberally . . . in the owner's favor" (*Carney*, 1 NY3d at 339), an interested party is permitted to establish that a taxing authority failed to comply with the notice requirements set forth in RPTL 1125 (1) (b), even when the taxing authority submits proof that notice that was allegedly sent by both certified and first-class mail is not returned.

III.

Here, the Appellate Division majority did not address the question of whether, on this record, a triable issue of fact exists as to the County's compliance with the requirements of RPTL 1125 (1) (b) because the Court concluded that review of the issue was barred in the absence of evidence that the certified and first-class mailings were returned. Inasmuch as an interested party may create a factual question regarding a taxing authority's noncompliance through other evidence that the notices were not properly mailed, we remit for consideration of the issue. Plaintiff failed to preserve its remaining argument.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the case remitted to the Appellate Division for consideration of issues raised but not determined on the appeal to that Court.

Judges RIVERA, GARCIA, WILSON, SINGAS and TROUTMAN concur.

Order reversed, with costs, and case remitted to the Appellate Division, Third Department, for consideration of issues raised but not determined on the appeal to that Court.

[210 NE3d 451, 189 NYS3d 131]

KATHLEEN HENRY, Respondent, v NEW JERSEY TRANSIT CORPORATION et al., Appellants, et al., Defendant.

Argued February 7, 2023; decided March 21, 2023

SUMMARY

APPEAL from a judgment of the Supreme Court, New York County (Lillian Wan, J.), entered July 3, 2019. The judgment awarded plaintiff damages as against defendants New Jersey Transit Corporation and Renaud Pierrelouis. The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 3, 2021. The Appellate Division had affirmed an order of that Supreme Court (op 2019 NY Slip Op 31903[U] [2019]), which had denied defendants' posttrial motion to set aside the jury's damages award of $400,000 for past pain and suffering and $400,000 for future pain and suffering and order a new trial on damages or, alternatively, to reduce the damages awards.

Henry v New Jersey Tr. Corp., 195 AD3d 444, appeal dismissed.

HEADNOTES

State — Sovereign Immunity — Preservation Required

1. A State must preserve its interstate sovereign immunity defense by raising it before the trial court, and no exception to the general preservation rule applies because sovereign immunity does not implicate the subject matter jurisdiction of New York courts. Arguments or defenses that are waivable are generally subject to the preservation rule. The Supreme Court's determination in *Franchise Tax Bd. of Cal. v Hyatt* (587 US —, 139 S Ct 1485 [2019]) that interstate sovereign immunity is waivable fatally undermines the argument that interstate sovereign immunity is rooted in subject matter jurisdiction because subject matter jurisdiction, as a rule, cannot be dispensed with by litigants. Interstate sovereign immunity's waivability vitiates any legal justification for applying a broad exception to the general preservation requirement to such sovereign immunity claims. Interstate sovereign immunity is rooted and analyzed in terms of concepts that align closely with treatment of personal jurisdiction issues, not subject matter jurisdiction ones. As such, interstate sovereign immunity defenses do not fall within the subject-matter-jurisdiction exception to the general preservation requirement.

Courts — Court of Appeals — Constitutional Questions — Interstate Sovereign Immunity

2. The Court of Appeals did not have power to hear an appeal by defendant corporation, an arm of the State of New Jersey, under NY Constitution, article VI, § 3 and CPLR 5601 (b) (1) because defendant failed to preserve its

sovereign immunity defense, and therefore no directly involved constitutional question supported an appeal as of right. The preservation issue itself was not directly involved because the Appellate Division did not address the issue and, thus, it was not decisive of the Appellate Division's determination. An unpreserved issue, not subject to any preservation exception, may not be the predicate for an appeal as of right under CPLR 5601 (b) (1).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Appellate Review §§ 531, 574; AM JUR 2d Municipal, County, School, and State Tort Liability § 35.
CARMODY-WAIT 2d Appeals to the Court of Appeals §§ 71:38, 71:41, 71:109, 71:111.
MCKINNEY'S, CPLR 5601 (b) (1); NY Const, art VI, § 3.
NY JUR 2d Appellate Review §§ 538, 543, 576; NY JUR 2d Government Tort Liability § 1.
NEW YORK LAW OF TORTS §§ 17:2, 17:18, 17:19.
SIEGEL, NY PRAC (6th ed) § 527.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Governmental Immunity or Privilege.

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POINTS OF COUNSEL

McGivney Kluger Clark & Intoccia, P.C., New York City (*Lawrence J.T. McGivney*, *Michael Rawlinson* and *Mindy Kallus* of counsel), for appellants. I. The Appellate Division erred in refusing to dismiss the action inasmuch as dismissal was warranted on the ground of constitutionally mandated sovereign immunity. (*Karns v Shanahan*, 879 F3d 504; *Edelman v Jordan*, 415 US 651; *College Savings Bank v Florida Prepaid Postsecondary Ed. Expense Bd.*, 527 US 666; *Regents of Univ. of Cal. v Doe*, 519 US 425; *Mt. Healthy City Bd. of Ed. v Doyle*, 429 US 274; *Hess v Port Authority Trans-Hudson Corporation*, 513 US 30; *Karns v Shanahan*, 879 F3d 504; *Murray v Wilson Distilling Co.*, 213 US 151; *Sossamon v Texas*, 563 US 277; *Belfand v Petosa*, 196 AD3d 60.) II. The Appellate Division erred in finding that defendants' failure to raise the sovereign immunity defense until six years after suit was commenced was fatal to their challenge. (*Morrison v Budget Rent A Car Sys., Inc.*, 230 AD2d 253; *Editorial Photocolor Archives v Granger Collection*, 61 NY2d 517; *Pollard v State of New York*, 173 AD2d 906; *Heisler v State of New York*, 78 AD2d 767; *Buckles v State of New York*, 221 NY 418.) III. The Appellate Division's order contravened the Full Faith and Credit Clause and reversal is warranted on that basis. (*Franchise Tax Bd. of Cal. v Hyatt*, 578 US 171; *Pollard v State of New York*, 173 AD2d 906; *Heisler v State of New York*, 78 AD2d 767.)

Pollack, Pollack, Isaac & DeCicco, LLP, New York City (*Brian J. Isaac* and *Christopher J. Soverow* of counsel), and *Marder, Nass & Weiner, PLLC*, New York City, for respondent. I. Defendants misapprehend and, thereby, misapply basic sovereign immunity principles. (*Karns v Shanahan*, 879 F3d 504; *Woods v Rondout Val. Cent. School Dist. Bd of Educ.*, 466 F3d 232; *Mancuso v New York State Thruway Auth.*, 86 F3d 289; *Mt. Healthy City Bd. of Ed. v Doyle*, 429 US 274; *People v Kin Kan*, 78 NY2d 54; *423 S. Salina St. v City of Syracuse*, 68 NY2d 474; *Leitner v Westchester Community Coll.*, 779 F3d 130; *Guertin v State of Michigan*, 912 F3d 907; *Couser v Gay*, 959 F3d 1018; *McAdams v Jefferson County 911 Emergency Communications Dist., Inc,* 931 F3d 1132; *United States ex rel. Fields v Bi-State Dev. Agency of the Missouri-Illinois Metro. Dist.*, 829 F3d 598; *Puerto Rico Ports Auth. v Federal Mar. Commn.*, 531 F3d 868.) II. New Jersey Transit Corporation's conduct evinces hostility toward the public acts of New York. (*Franchise Tax Bd. of Cal. v Hyatt*, 578 US 171; *Pollard v State of New York*, 173 AD2d 906; *Heisler v State of New York*, 78 AD2d 767; *Cerreta v New Jersey Tr. Corp.*, 267 AD2d 128; *Nebbia v New York*, 291 US 502; *Putter v North Shore Univ. Hosp.*, 7 NY3d 548; *Zumpano v Quinn*, 6 NY3d 666.)

Jonah Grossman, Jamaica (*Lawrence B. Lane* of counsel), for Valbona Fetahu, amicus curiae. I. Interstate sovereign immunity is not a matter of true subject matter jurisdiction. (*Matter of Hook v Snyder*, 193 AD3d 588; *Matter of Nemes v Tutino*, 173 AD3d 16.) II. Footnote 1 of *Franchise Tax Bd. of Cal. v Hyatt* (587 US —, — n 1, 139 S Ct 1485, 1491 n 1 [2019]) indicates that the Supreme Court found significant that the defendant had evinced its objection to jurisdiction at and from the earliest possible time. III. The litigation conduct of New Jersey Transit Corporation must be deemed to constitute a clear and unequivocal waiver of any and all objections to the jurisdiction of New York. (*Franchise Tax Bd. of Cal. v Hyatt*, 538 US 488.) IV. New York Vehicle and Traffic Law § 253 requires a finding of waiver as well. (*Cerreta v New Jersey Tr. Corp.*, 267 AD2d 128; *Leighton v Roper*, 300 NY 434; *Shushereba v Ames*, 255 NY 490.) V. New Jersey Transit Corporation cannot properly be deemed an arm of the State of New Jersey.

Sullivan Papain Block McGrath Coffinas & Cannavo P.C., New York City (*Brian J. Shoot* of counsel), for New York State Trial Lawyers' Association, amicus curiae. I. New Jersey Transit Corporation is not "the State" or an "arm of the State" under the governing Supreme Court precedents. (*Karns v Shanahan*, 879 F3d 504; *Woods v Rondout Val. Cent. School Dist. Bd of Educ.*, 466 F3d 232; *Hess v Port Authority Trans-Hudson Corporation*, 513 US 30; *Mancuso v New York State Thruway Auth.*, 86 F3d 289; *Bolden v Southeastern Pa. Transp. Auth.*, 953 F2d 807; *Fresenius Med. Care Cardiovascular Resources, Inc. v Puerto Rico & Caribbean Cardiovascular Ctr. Corp.*, 322 F3d 56; *People v Kin Kan*, 78 NY2d 54; *423 S. Salina St. v City of Syracuse*, 68 NY2d 474; *Leitner v Westchester Community Coll.*, 779 F3d 130; *Ford Motor Co. v Department of Treasury of Ind.*, 323 US 459.) II. As an individual sued in his individual capacity for his individual conduct, defendant Renaud Pierrelouis plainly has no Eleventh Amendment immunity from suit. (*Hafer v Melo*, 502 US 21; *Ying Jing Gan v City of New York*, 996 F2d 522; *Guillemard-Ginorio v Contreras-Gomez*, 585 F3d 508; *Pavelka v Carter*, 996 F2d 645; *State Emp. Bargaining Agent Coalition v Rowland*, 718 F3d 126; *Farid v Smith*, 850 F2d 917; *Wilson v Beebe*, 770 F2d 578; *Benning v Board of Regents of Regency Univs.*, 928 F2d 775; *Duckworth v Franzen*, 780 F2d 645.)

OPINION OF THE COURT

SINGAS, J.

The question before us is whether we have power to hear this appeal under NY Constitution, article VI, § 3 and CPLR 5601 (b) (1). To answer this threshold issue, we must consider the jurisdictional nature of interstate sovereign immunity to ascertain whether defendants' sovereign immunity defense is exempt from our general preservation rules. We conclude that a State must preserve its interstate sovereign immunity defense by raising it before the trial court, and no exception to the general preservation rule applies. Because defendants asserted their sovereign immunity defense for the first time on appeal after the United States Supreme Court decided *Franchise Tax Bd. of Cal. v Hyatt* (587 US —, 139 S Ct 1485 [2019] [hereinafter *Hyatt III*]), the argument is unpreserved in this case and there is no directly involved constitutional question supporting this appeal as of right. The appeal should therefore be dismissed.

I.

In 2014, plaintiff Kathleen Henry sustained injuries while riding on a bus owned by defendant New Jersey Transit Corporation and driven by defendant Renaud Pierrelouis (collectively, NJT) when it collided with a vehicle driven by defendant Chen Nakar[1] in the Lincoln Tunnel. Plaintiff commenced this action in June 2015, seeking to recover for the injuries she sustained in the accident. Following trial, the jury found in plaintiff's favor and awarded her damages. NJT moved pursuant to CPLR 4404 (a) to set aside the verdict and for a new trial on damages, or to reduce the damages awarded by the jury. Supreme Court denied NJT's motion (*see* 2019 NY Slip Op 31903[U] [Sup Ct, NY County 2019]).

On appeal, relying on the U.S. Supreme Court's decision in *Hyatt III*—which was decided on May 13, 2019, after NJT's posttrial motion was briefed but before it was decided—NJT argued for the first time in this litigation that the action should be dismissed under the doctrine of interstate sovereign immunity. NJT asserted that under *Hyatt III*, which overruled prior controlling precedent on the issue (*see Nevada v Hall*, 440 US 410 [1979]), the instant action should be dismissed because New Jersey Transit Corporation, assertedly an arm of the State of New Jersey, and Pierrelouis, an employee who was acting within the scope of employment at the time of the accident, did not consent to suit in New York's courts. NJT alternatively asserted that the trial court should have ordered a new trial on damages or reduced the damages award.

The Appellate Division affirmed Supreme Court's order denying NJT's posttrial motions and rejected its new sovereign immunity argument (*see* 195 AD3d 444 [1st Dept 2021]). The Court held that NJT waived its sovereign immunity defense through its litigation conduct, reasoning that NJT "did not place plaintiff or the court on notice of the defense by asserting

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1. Nakar was awarded summary judgment and the action was dismissed as against him before trial (*see* Sup Ct, NY County, June 6, 2018, Silvera, J., index No. 156496/2015). No appeal was taken from that order.

it in its responsive pleadings, during pretrial litigation, at trial or in its posttrial motion. Indeed, it raised the issue for the first time on appeal" (*id.* at 445, citing *Belfand v Petosa*, 196 AD3d 60 [1st Dept 2021]). The Court further noted that, "[a]s the defense pre-dates [*Hyatt III*], and thus was available at the time [NJT] served its answer, '[its] litigation conduct induced substantial reliance on that conduct by plaintiff and our courts, and is inescapably a clear declaration to have our courts entertain this action' " (*id.*, quoting *Belfand*, 196 AD3d at 73).

In July 2021, Supreme Court entered judgment in plaintiff's favor against NJT. NJT subsequently filed this appeal as of right from the final judgment seeking to bring up for review the prior nonfinal Appellate Division order which, according to NJT, directly involved a substantial constitutional question and necessarily affected the final judgment (*see* CPLR 5601 [b] [1]; [d]).

II.

This Court's power to hear an appeal is limited by New York's Constitution and, in civil cases, the CPLR. NJT asserts that its appeal lies pursuant to CPLR 5601 (b) (1), which permits an appeal as of right "from an order of the appellate division which finally determines an action where there is *directly involved* the construction of the constitution of the state or of the United States" (emphasis added; *see* NY Const, art VI, § 3 [b] [1]). For a constitutional question to be directly involved it must, among other things, be preserved as a question of law (*see Matter of Schulz v State of New York*, 81 NY2d 336, 344 [1993]; *Matter of Shannon B.*, 70 NY2d 458, 462 [1987]; *see also Madireddy v Madireddy*, 14 NY3d 765, 765 [2010]). Thus, "the constitutional question on the basis of which the appeal as of right is taken must have been properly raised in the courts below. Otherwise, . . . the appeal must be dismissed" (Arthur Karger, Powers of the New York Court of Appeals § 7:4 [3d ed rev, Aug. 2022 update]).[2] This is because NY Constitution, article VI, § 3 (a)

2. The dissent, without basis, constructs a false narrative in suggesting that a litigant's failure to preserve an issue "transmutes it from a question of law to not a question of law" (dissenting op at 380). It is well settled that an unpreserved issue does not raise a "question of law" as we have defined that term under our constitutional and statutory system (*see* Karger, Powers of the New York Court of Appeals §§ 6:5, 7:4).

limits our "jurisdiction . . . to the review of questions of law," except in cases not relevant here (*see also* CPLR 5501 [b]).[3]

In general, arguments, including constitutional challenges, are preserved only if presented at the trial court level (*see Matter of McGovern v Mount Pleasant Cent. Sch. Dist.*, 25 NY3d 1051, 1053 [2015]; *Matter of Barbara C.*, 64 NY2d 866, 868 [1985]). To demonstrate that a question of law is preserved for this Court's review, a party must show that it "raise[d] the specific argument in Supreme Court and ask[ed] the court to conduct that analysis in the first instance" (*U.S. Bank N.A. v DLJ Mtge. Capital, Inc.*, 33 NY3d 84, 89 [2019] [internal quotation marks and alterations omitted]). Certain circumstances exist in which the general preservation requirement does not apply. As relevant here, "[a] judgment or order issued without subject matter jurisdiction is void, and that defect may be raised at any time and may not be waived" (*Editorial Photocolor Archives v Granger Collection*, 61 NY2d 517, 523 [1984]) because it goes to the "competence" of the court (*Lacks v Lacks*, 41 NY2d 71, 75 [1976]; *see Matter of Fry v Village of Tarrytown*, 89 NY2d 714, 718 [1997]; Karger, Powers of the New York Court of Appeals § 17:5 ["a claim of lack of subject matter jurisdiction . . . may be raised at any time because a jurisdictional defect may not be waived"]).

In this case, NJT failed to raise its sovereign immunity argument in Supreme Court and, thus, that issue is unpreserved. However, NJT argues that a sovereign immunity defense can be raised for the first time on appeal because such a defense, if established, would deprive New York courts of subject matter jurisdiction over this personal injury action. Thus, the threshold question for this Court is whether we may entertain this appeal filed by NJT as of right pursuant to CPLR 5601 (b) (1). This requires us to determine if NJT's sovereign immunity argument implicates the subject matter jurisdiction of our state courts, thereby falling within a narrow exception to the preservation rule. In these unusual circumstances, we must address that substantive issue to the extent necessary to determine the procedural question of whether NJT is entitled to an appeal as of right.

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3. These settled maxims belie the dissent's mistaken view that the preservation requirement is a "[c]laim-processing rule[ ]" or "docket-management tool" (dissenting op at 376-377, 378).

III.

Sovereign immunity encompasses three distinct concepts: the immunity that states enjoy from suits in federal courts, the immunity they enjoy from suits in other states' courts (or "interstate sovereign immunity"), and the immunity they enjoy in their own courts. Only the second is implicated here.

Sovereign immunity derives from the common-law premise that "no suit or action can be brought against the king, even in civil matters, because no court can have jurisdiction over him" (1 William Blackstone, Commentaries on the Laws of England at 235 [1765]; *see Hyatt III*, 587 US at —, 139 S Ct at 1493; *see also Glassman v Glassman*, 309 NY 436, 440 [1956]). Because "all jurisdiction implies superiority of power," no authority could hear a case "unless that court had power to command the execution of it; but who . . . shall command the king?" (1 Blackstone at 235). Though the king could never be haled into court through "compulsion" the king could, upon a "just demand," consent to private suit "as a matter of grace" (*id.* at 236). Sovereign immunity also emanates from the conceit of "the perfect equality and absolute independence of sovereigns under . . . international law" (*Hyatt III*, 587 US at —, 139 S Ct at 1493 [internal quotation marks omitted]).

"After independence, the States considered themselves fully sovereign nations . . . with 'full Power to levy War, conclude Peace, contract Alliances, establish Commerce, and to do all other Acts and Things which Independent States may of right do' " (587 US at —, 139 S Ct at 1493, quoting Declaration of Independence ¶ 4, 1 US Stat 1, 3 [1776]). Consistent with pre-independence English common law and prevailing international law, the States accordingly considered themselves immune from suit (*see Alden v Maine*, 527 US 706, 713 [1999]).

At the time of the Constitutional Convention, the founders "took as given that States could not be haled involuntarily before each other's courts" (*Hyatt III*, 587 US at —, 139 S Ct at 1494), seeing as "[i]t is inherent in the nature of sovereignty not to be amenable to the suit of an individual without its consent" (Hamilton, Federalist No. 81). Thus, the founders understood that a court could not assert jurisdiction over a state unless the state "condescended to be a party" (The Documentary History of the Ratification of the Constitution, Ratification by the States, vol. X, The Virginia Convention Friday 20 June 1788, Debates at 1412, 1414). Nonetheless, the

Constitution's text was silent as to whether, as a general matter, States acceding to the union would maintain or give up the sovereign immunity they previously enjoyed as a confederation of states. The only mention of suits between states and individuals was in article III, § 2, clause 1, which governs the extent of a federal court's jurisdiction.

Centuries later, in *Nevada v Hall*, the Supreme Court held that the Constitution did not grant states automatic immunity from suit in the courts of another state because the Constitution is silent on that issue (*see generally* 440 US 410). The Court instead treated the issue as keeping with international-law notions of immunity: the decision for one State to extend immunity to another State in its own courts was a matter of comity for the forum State to decide (*id.* at 421, 425). Whether to extend immunity, though, was constrained by the Constitution's Full Faith and Credit Clause (*see id.* at 421-424; *see also* US Const, art IV, § 1, cl 1), requiring each State to grant other States the same degree of sovereign immunity the other State would afford itself in its own courts, unless doing so would violate the forum State's public policy (*see Hall*, 440 US at 422).

In 2019, in *Hyatt III*, the Supreme Court overruled *Hall*'s core holding that the Constitution does not guarantee interstate sovereign immunity. It determined that the Constitution

> "altered the relationships between the States, so that they no longer relate to each other solely as foreign sovereigns. Each State's equal dignity and sovereignty under the Constitution implies certain constitutional limitations on the sovereignty of all of its sister States. One such limitation is the inability of one State to hale another into its courts without the latter's consent" (*Hyatt III*, 587 US at —, 139 S Ct at 1497 [internal quotation marks, citation, and alteration omitted]).

Hall's conception of immunity based on principles of comity did not, according to the Court, reflect the altered relationships among the states under the framework of the Constitution (*see* 587 US at —, 139 S Ct at 1497-1498) and the pre-ratification recognition that "States were immune under both the common law and the law of nations" (587 US at —, 139 S Ct at 1494). The Court thus concluded that "[i]nterstate sovereign immunity is . . . integral to the structure of the Constitution" and "implied as an essential component of federalism" (587 US at —, 139 S Ct at 1498 [internal quotation marks omitted]). This holding brought the doctrine of interstate sovereign immunity in line with other state sovereign immunity concepts, clarifying that all state sovereign immunity derives from the structure of the Constitution which confirmed and retained pre-ratification notions of state sovereign immunity " 'except as altered by the plan of the Convention or certain constitutional Amendments' " (*see* 587 US at —, 139 S Ct at 1494-1495, quoting *Alden*, 527 US at 713). Thus, the Court abandoned *Hall*'s full-faith-and-credit framework in favor of granting States a broad right to assert their immunity in any proceeding brought against them in another State's courts. Following *Hyatt III*, one State may not refuse to respect another State's properly asserted sovereign immunity defense (*see* 587 US at —, —, 139 S Ct at 1492, 1498).

IV.

It is undisputed that NJT raised its sovereign immunity argument for the first time before the Appellate Division. NJT's contention that its failure to preserve the claim should be excused because it could not have known that *Hyatt III* would be decided merits little discussion. *Hyatt III* did not create the interstate sovereign immunity doctrine, and NJT could have raised a general sovereign immunity argument at any point before the trial court (*see Belfand*, 196 AD3d at 72-73). Further, even before *Hyatt III* was decided, the Supreme Court made clear in April 2016 that it was "equally divided" on the issue eventually resolved in *Hyatt III* (*Franchise Tax Bd. of Cal. v Hyatt*, 578 US 171, 173 [2016] [*Hyatt II*]). In any event, *Hyatt III* was decided before Supreme Court resolved NJT's posttrial motions, but NJT took no action before that court asking for dismissal on sovereign immunity grounds. In short, NJT could have asserted its sovereign immunity defense at Supreme Court, and *Hyatt III*'s timing does not excuse NJT from its failure to do so.

[1] NJT's thornier argument is that its sovereign immunity defense may be raised at any time because that doctrine goes to the subject matter jurisdiction of the New York courts to entertain this action. As explained above, we have held that a claim that the courts below lack subject matter jurisdiction need not be preserved (*see Cappiello v Cappiello*, 66 NY2d 107, 108 [1985]; *Editorial Photocolor Archives*, 61 NY2d at 523). However, the interstate sovereign immunity that NJT seeks to assert here presents no such exception.

Subject matter jurisdiction is a "power to adjudge concerning the general question involved" in litigation, and "is not dependent upon the state of facts which may appear in a particular case" (*Hunt v Hunt*, 72 NY 217, 229 [1878]). " 'The question of subject matter jurisdiction is a question of judicial power: whether the court has the power, conferred by the Constitution or statute, to entertain the case before it' " (*Matter of Ballard v HSBC Bank USA*, 6 NY3d 658, 663 [2006], quoting *Matter of Fry*, 89 NY2d at 718). It "cannot be dispensed with by litigants" because litigants cannot expand a court's power by consent or agreement (*Shea v Export S.S. Corp.*, 253 NY 17, 21 [1930]; *see Union Pacific R. Co. v Locomotive Engineers*, 558 US 67, 81 [2009] ["Subject-matter jurisdiction properly comprehended . . . refers to a tribunal's power to hear a case" and "can never be forfeited or waived" (internal quotation marks omitted)]).

Personal jurisdiction is a different concept that refers to a court's power to exert legal authority over specific parties (*see Reed v Chilson*, 142 NY 152, 155-156 [1894]; *see also Keane v Kamin*, 94 NY2d 263, 265 [1999]). An objection to personal jurisdiction may be forfeited by a party's failure to timely assert it or expressly waived, such as when a party consents to a tribunal's authority to adjudicate the merits of a dispute (*see* CPLR 3211 [e]; *Addesso v Shemtob*, 70 NY2d 689, 690 [1987]). When a personal jurisdiction defense is properly asserted, a court must determine whether it may exercise such jurisdiction under our long-arm statute and the New York and Federal Constitutions. A state court may constitutionally exercise personal jurisdiction over a party when that party is generally "amenable to suit" because it is "essentially at home" in the state (*Daimler AG v Bauman*, 571 US 117, 125, 127 [2014] [internal quotation marks omitted]) or "should reasonably anticipate being haled into court" because of its contacts with the state (*State of New York v Vayu, Inc.*, 39 NY3d 330, 337 [2023] [internal quotation marks omitted]).

Hyatt III accepted that interstate sovereign immunity is waivable based on litigation conduct (*see Hyatt III*, 587 US at — n 1, 139 S Ct at 1491 n 1; *cf. Aboujdid v Singapore Airlines*, 67 NY2d 450, 454, 459 [1986]).[4] Arguments or defenses that are waivable are generally subject to our preservation rule.

4. Drifting far afield from the issues needed to resolve this matter—even under its view of this case—the dissent proposes additional methods by which NJT might have waived its sovereign immunity defense, conflating principles of forfeiture, waiver, and consent to personal jurisdiction (*see e.g.*

(n. cont'd)

The Supreme Court's determination that interstate sovereign immunity is waivable fatally undermines NJT's argument that interstate sovereign immunity is rooted in subject matter jurisdiction because subject matter jurisdiction, as a rule, "cannot be dispensed with by litigants" (*Shea*, 253 NY at 21) and "can never be forfeited or waived" (*Union Pacific R. Co.*, 558 US at 81 [internal quotation marks omitted]). Interstate sovereign immunity's waivability vitiates any legal justification for applying a broad exception to the general preservation requirement to such sovereign immunity claims.[5]

The history and nature of interstate sovereign immunity guide us to the conclusion that the doctrine more closely aligns with jurisdiction over a party, rather than overall subject matter concerning that party. In particular, interstate sovereign immunity is rooted and analyzed in terms of concepts such as a court's power over a party, a State's amenability to suit, its consent to be sued, and haling a party into court—all of which align closely with treatment of personal jurisdiction issues, not subject matter jurisdiction ones (*see Hyatt III*, 587 US at —, 139 S Ct at 1493, citing James E. Pfander, *Rethinking the Supreme Court's Original Jurisdiction in State-Party Cases*, 82 Cal L Rev 555, 581-588 [1994], and Caleb Nelson, *Sovereign Immunity as a Doctrine of Personal Jurisdiction*, 115 Harv L Rev 1559, 1574-1579 [2002]). As such, interstate sovereign immunity defenses do not fall within the subject-matter-jurisdiction exception to the general preservation requirement discussed above.

The cases that NJT cites concerning the State of New York's ability to raise sovereign immunity for the first time on appeal in Court of Claims matters do not require a different result. Unlike our State Supreme Court, the Court of Claims has limited jurisdiction as defined in the Court of Claims Act, and New York has statutorily waived sovereign immunity only for causes of action falling with the Act's parameters (*see* Court of Claims Act § 8; *Ferreira v City of Binghamton*, 38 NY3d 298, 307 [2022]). It is thus the scope of the Court of Claims Act,

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dissenting op at 389). We limit our discussion to waiver by litigation conduct as that principle informs the threshold preservation issue.

5. Similarly, while a court typically must raise a lack of subject matter jurisdiction on its own motion (*see Insurance Corp. of Ireland v Compagnie des Bauxites de Guinee*, 456 US 694, 702 [1982]; *Matter of Fry*, 89 NY2d at 718), a federal court need not raise the sovereign immunity "defect on its own. Unless the State raises the matter, a court can ignore it" (*Wisconsin Dept. of Corrections v Schacht*, 524 US 381, 389 [1998]).

rather than sovereign immunity, that limits the Court of Claims' subject matter jurisdiction—the two concepts just happen to be coextensive in that context because of the statutory scheme. Here there is no similar statutory limitation on the ability of New York courts to hear disputes involving another state.

V.

[2] Given that NJT's sovereign immunity argument is unpreserved and does not qualify for any exception to the preservation requirement, an appeal as of right does not lie under CPLR 5601 (b) (1). As our analysis demonstrates, the threshold question is whether NJT's sovereign immunity argument qualifies for an exception to the preservation requirement.[6] Nonetheless, the preservation issue itself, like the merits of NJT's sovereign immunity claim,[7] is not directly involved because the Appellate Division did not address the issue and, thus, it was not "decisive of the Appellate Division's determination" (Karger, Powers of the New York Court of Appeals § 7:8). Because no constitutional question is preserved and, thus, directly involved in this appeal as of right, the Court must dismiss it (*see* NY Const, art VI, § 3 [b] [1]; CPLR 5601 [b] [1]; *see also Matter of Schulz*, 81 NY2d at 344; *Matter of Shannon B.*, 70 NY2d at 462). An unpreserved issue, not subject to any preservation exception, may not be the predicate for an appeal as of right under CPLR 5601 (b) (1).[8]

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6. Of course, in addition to appealing as of right under CPLR 5601 (b) (1), NJT could have moved for leave to appeal from the Appellate Division order, arguing that the preservation issue merited this Court's review (*see* CPLR 5602 [a]; *see e.g. Matter of Schulz*, 81 NY2d at 344; *Matter of Shannon B.*, 70 NY2d at 462). Indeed, following dismissal of this appeal, NJT could still move for leave to appeal (*see* CPLR 5514 [a]), though we have now resolved the issue that would be reviewable if we granted that motion.

7. The Appellate Division, which has interest of justice jurisdiction, had the power to review whether, by its conduct, NJT waived its sovereign immunity argument without first addressing NJT's failure to properly preserve that defense in Supreme Court (*see U.S. Bank N.A.*, 33 NY3d at 89; *Hecker v State of New York*, 20 NY3d 1087, 1087 [2013]). While lack of preservation and waiver by litigation conduct each may hinder review of a litigant's argument on the merits, they are different legal doctrines governed by distinct rules and bodies of precedent.

8. These constraints are critical to maintaining this Court's proper role in the state constitutional design. Whether an appeal as of right lies to this Court in a certain case is a matter of state, not federal, law. In dismissing

(n. cont'd)

Accordingly, the appeal should be dismissed, without costs, upon the ground that no substantial constitutional question is directly involved.

Wilson, J. (dissenting). The majority begins by advising that "[t]he question before us is whether we have power to hear this appeal under NY Constitution, article VI, § 3" (majority op at 364). Yet, after a lengthy exegesis of significant constitutional issues dating back to Blackstone and our nation's founding, the majority concludes that "no substantial constitutional question is directly involved" in this case (majority op at 374). The majority's explanation for the incongruity is that because the defendant, New Jersey Transit (NJT), did not preserve its argument that it was entitled to sovereign immunity under *Franchise Tax Bd. of Cal. v Hyatt* (587 US —, 139 S Ct 1485 [2019] [hereinafter *Hyatt III*]), our preservation doctrine—which it also claims is "not directly involved" in the case (*see* majority op at 373)—trumps NJT's sovereign immunity claim, meaning no constitutional issue is present. The majority does not say that NJT's failure to preserve a sovereign immunity argument itself constituted a waiver of sovereign immunity (*see* majority op at 373 n 7). Rather, it states that we do not need to consider the argument at all—NJT may, according to the majority, be unable to enforce a perfectly good sovereign immunity defense that it did not waive according to the waiver rules set by the Federal Constitution. That position is inconsistent not only with federal jurisprudence on jurisdiction, but also our own case law on preservation.

Turning to something more straightforward, Kathleen Henry was injured in New York when the NJT bus on which she was riding collided with a car. Buses, trains, and ferries operated by NJT transport more than 100,000 passengers into and out of New York City each day. NJT says that the Federal Constitution forbids the courts of New York from hearing any claim caused by its buses or trains when operating in New York. According to NJT, if one of its buses hits a New York pedestrian standing on a New York City sidewalk, the Federal Constitution bars the injured pedestrian from suing NJT in the courts of New York. Even if that pedestrian had never set foot in New Jersey, the only place in which suit could be brought would be in New Jersey, and only to the degree New Jersey decided, in

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this appeal, we simply apply that well-settled and frequently-invoked law to the facts presented.

its sole discretion, to allow such suits. Ms. Henry says she can sue NJT in the state in which she was injured, New York.

The majority does not opine on that dispute. The majority does not even opine on the Appellate Division's holding that NJT has waived its sovereign immunity by raising it too late. Instead, the majority says that we lack jurisdiction to determine whether we lack jurisdiction over these parties. Therefore, we have jurisdiction to dismiss this case for lack of jurisdiction, thereby leaving in place the Appellate Division's decision, namely, that New York courts had jurisdiction over the case all along, and Ms. Henry can collect Supreme Court's $979,579.50 award in her favor (less the amounts covered by her own health insurance).

I propose a simpler resolution, which is the same as the Appellate Division arrived at: we have jurisdiction because New Jersey and NJT waived any right NJT had to claim sovereign immunity. NJT asserted its sovereign immunity defense more than five years after Ms. Henry sued and more than one year after the United States Supreme Court issued the opinion on which it now relies. By asserting sovereign immunity now, NJT would leave Ms. Henry without *any* forum in which to bring her suit. That type of strategic maneuvering belies the claim that NJT has been haled into a foreign court without its consent.

But even if NJT did not consent to our jurisdiction via its litigation conduct, it more fundamentally consented by operating in New York with the knowledge that persons in New York would inevitably be harmed by its actions. Like so many of the New Jerseyans and New Yorkers it carries, NJT has a foot in both New York and New Jersey. It operates a billion-dollar transportation business that, like a range of public and private carriers, ferries vast numbers of passengers into and out of New York each day. Those other carriers can be sued in New York courts for violating New York law. Our courts are vital not only for keeping New Yorkers—and New Jerseyans like Ms. Henry, for that matter—safe from NJT's operations within our borders, but for creating the conditions that make operating in New York so lucrative for NJT in the first place. Indeed, New Jersey itself recognizes the importance of subjecting NJT to judicial process and has already done so for claims arising in New Jersey. NJT provides no compelling reason why Newark Penn Station should be governed by a different set of sovereign immunity rules than New York Penn Station. New Jersey's respect for New York's equality and sovereignty requires it to consent to the same control it exercises over its own territory.

Thankfully, the majority's decision yields the correct outcome, albeit for the wrong reason: instead of affirming the Appellate Division's holding that NJT waived whatever sovereign immunity it might have claimed, the majority dismisses this appeal, leaving the Appellate Division's waiver holding in place.[1] The jury's verdict in favor of Ms. Henry will stand and NJT will not be subjected to the power of an illegitimate tribunal. But the majority's decision will not resolve problems going forward. There have been many of these cases already and more are rolling down the pike (*e.g. Colt v New Jersey Tr. Corp.*, 206 AD3d 126, 127 [1st Dept 2022] ["The constitutional dilemma concerning the doctrine of sovereign immunity continues unabated"]; *Taylor v New Jersey Tr. Corp.*, 199 AD3d 540 [1st Dept 2021]; *Belfand v Petosa*, 196 AD3d 60 [1st Dept 2021]; *Fetahu v New Jersey Tr. Corp.*, 197 AD3d 1065 [1st Dept 2021]). Lower courts will need our guidance with a relatively new and complicated doctrine. By misapplying our preservation jurisprudence and failing to address this recurring issue, the majority leaves NJT, future litigants, regulators, and lower courts in the dark.

I.

The majority says that we need not determine whether NJT has asserted a valid jurisdictional objection because the defense was unpreserved, meaning that this case does not "directly involve[ ] the construction of the constitution of the state or of the United States" (NY Const, art VI, § 3 [b] [1]; *see* majority op at 366). Here is the problem: NJT says the New York courts lacked the power to hear the case because of New Jersey's sovereign immunity. If that is true, we are employing our preservation doctrine to permit the New York courts to assert jurisdiction where they have none. If that is false, whether because of waiver or some other reason, we should just say so. Instead, the majority assumes that—regardless of whether NJT has a valid and unwaived sovereign immunity claim—we may apply our docket-management tool to nullify a limit on our jurisdic-

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1. Neither the majority nor my dissent addresses whether NJT is entitled to sovereign immunity at all (*cf. Hess v Port Authority Trans-Hudson Corporation*, 513 US 30 [1994]). The majority concludes that the issue is not preserved and I conclude that any immunity would have been waived, rendering it unnecessary to consider that question.

tion imposed by the Federal Constitution. It further transforms our preservation doctrine, which was designed to help us "cope" with our historically "voluminous" caseload (*cf.* Arthur Karger, Powers of the New York Court of Appeals § 2:1 [3d ed rev, Aug. 2022 update]) into a tool for *expanding* our reach by allowing us to assert jurisdiction over cases we otherwise might not be able to hear. Because our preservation doctrine cannot confer jurisdiction over cases and parties when the Federal Constitution so forbids, I cannot join the majority.

Our preservation doctrine, on which the majority opinion rests, cannot allow us to avoid our constitutional obligation to resolve this dispute. In prior cases, we have dismissed appeals for lack of a preserved substantial constitutional question (*see* majority op at 373, citing *Matter of Schulz v State of New York*, 81 NY2d 336, 344 [1993]). Those cases have not involved challenges to our jurisdiction, nor arguments that a jurisdictional challenge has been waived. In New York, jurisdictional challenges are typically either immune from our preservation requirement (*see* majority op at 370-371) or, as with personal jurisdiction, subject to a waiver doctrine so strict that no unpreserved jurisdictional argument could possibly exist (*see* CPLR 3211 [e]; *Addesso v Shemtob*, 70 NY2d 689, 690 [1987] [noting that a party waives personal jurisdiction by failing to timely assert it]).

NJT's challenge falls squarely into our well-established exception to the preservation requirement for jurisdictional challenges to our authority (*see e.g. Matter of Kaplan [Blumenfeld]*, 8 NY2d 214, 220 [1960] ["this lack of a subpoena was not raised by appellant in the courts below but, being jurisdictional and conclusive, it may be acted on by us"]; *see generally* Arthur Karger, Powers of the New York Court of Appeals § 17:5 [3d ed rev, Aug. 2022 update]). The majority's claim that we have a "*subject-matter*-jurisdiction exception" only (majority op at 372 [emphasis added]) ignores the underlying logic of our exception and rests on a false congruence of jurisdiction and waivability.

Moreover, Ms. Henry's waiver argument also falls into a second preservation exception because NJT could not have made any factual or legal countersteps between the time when it asserted its sovereign immunity defense and the point at which it advanced the argument here (*see generally Telaro v Telaro*, 25 NY2d 433, 439 [1969]).

A.

As the majority notes, " 'all jurisdiction implies superiority of power,' [and] no authority c[an] hear a case 'unless that court ha[s] a power to command the execution of it' " (majority op at 368, quoting 1 William Blackstone, Commentaries on the Laws of England at 235 [1765]). If the Constitution denies a court jurisdiction over a class of cases or a party, the court lacks "constitutional *power* to adjudicate the case" (*Reed Elsevier, Inc. v Muchnick*, 559 US 154, 160-161 [2010], quoting *Steel Co. v Citizens for Better Environment*, 523 US 83, 89 [1998]). The *Hyatt III* Court stated that the Federal Constitution denies state courts jurisdiction over nonconsenting States: a "State's assertion of compulsory judicial process over another State involves a direct conflict between sovereigns. The Constitution implicitly strips States of any power they once had to refuse each other sovereign immunity, just as it denies them the power to resolve border disputes by political means" (*Hyatt III*, 587 US at —, 139 S Ct at 1498; *see also* 587 US —, 139 S Ct at 1495).

The fact that sovereign immunity can be waived does not make it any less jurisdictional when it has not been waived. In the Eleventh Amendment context, the fact that the immunity may be waived by litigation conduct does not "vitiate[ ] any legal justification" (majority op at 372) for requiring a sovereign to preserve its immunity defense (*see Calderon v Ashmus*, 523 US 740, 745 n 2 [1998] ["the Eleventh Amendment is jurisdictional in the sense that it is a limitation on the federal court's judicial power, and therefore can be raised at any stage of the proceedings"]; *Pennhurst State School & Hospital v Halderman*, 465 US 89, 99 n 8 [1984] ["The limitation deprives federal courts of any jurisdiction to entertain such claims, and thus may be raised at any point in a proceeding" despite being waivable]; *Wisconsin Dept. of Corrections v Schacht*, 524 US 381, 394 [1998, Kennedy, J., concurring] [Eleventh Amendment sovereign immunity represents a "departure from the usual rules of waiver"]). Claim-processing rules like our preservation requirement cannot confer power on a tribunal where the Federal Constitution denies it.

Federal personal jurisdiction jurisprudence further demonstrates that waivability does not make a jurisdictional limit any less binding on a court. The personal jurisdiction requirement "represents a restriction on judicial power" the same as the subject-matter jurisdiction requirement (*Insurance Corp. of*

Ireland v Compagnie des Bauxites de Guinee, 456 US 694, 702 [1982]). Because "there is no unyielding jurisdictional hierarchy," federal courts without subject-matter jurisdiction over a case may hear the case anyway to the extent necessary to resolve questions of personal jurisdiction (*Ruhrgas AG v Marathon Oil Co.*, 526 US 574, 578 [1999]). The fact that a party may waive a personal jurisdiction challenge does not make it any less "fundamental" (*id.* at 584). Although "a jurisdictional defect [with respect to subject-matter jurisdiction] may not be waived" (Karger § 17:5), a defect with respect to personal jurisdiction may be waived (*see Insurance Corp. of Ireland*, 456 US at 703-704). That difference, however, does not render the lack of personal jurisdiction nonjurisdictional.

Our jurisdictional exception to the preservation requirement is premised on the fundamental principle that we cannot hear a case over which we lack power and applies to all jurisdictional challenges to our authority (*see Editorial Photocolor Archives v Granger Collection*, 61 NY2d 517, 523 [1984] ["A judgment or order issued without subject matter jurisdiction is void, and that defect may be raised at any time and may not be waived"]). A true jurisdictional defect in a judgment is "so fundamental to the power of adjudication of a court that [it] survive[s] even a final judgment or order" (*Lacks v Lacks*, 41 NY2d 71, 74-75 [1976]). Because a jurisdictional defect would "undermine the constitutional or statutory basis to hear a case" and invalidate the judgment, we do not apply our preservation requirement to jurisdictional defects (*see Matter of Ballard*, 6 NY3d at 663; *Ocean Acc. & Guar. Corp. v Otis El. Co.*, 291 NY 254, 255 [1943] ["This court possesses only those powers which are conferred by the Constitution . . . . (s)uch powers . . . may not be enlarged by consent of the parties"]; *People v Nicometi*, 12 NY2d 428, 431 [1963] ["Want of jurisdiction is a basic defect, not a trial error . . . (s)ince this defect would undoubtedly be grounds for the issuance of a writ of habeas corpus, it most assuredly can be remedied on this appeal"]). As with subject-matter jurisdiction, "[t]he question of [sovereign immunity] is a question of judicial power: whether the court has the power, conferred by the Constitution or statute, to entertain the case before it" (*see* majority op at 371, quoting *Matter of Ballard v HSBC Bank USA*, 6 NY3d 658, 663 [2006]). As a matter of federal constitutional law, a judgment rendered by a court without jurisdiction over a party is invalid and not entitled to the respect of other courts (*see V. L. v E. L.*, 577 US 404, 407

[2016]; *Bristol-Myers Squibb Co. v Superior Court of Cal., San Francisco Cty.*, 582 US 255, 263 [2017]).

The fact that subject-matter jurisdiction cannot be waived and may be raised by a court sua sponte (*see* majority op at 370-372) is a consequence of the way in which subject-matter jurisdiction limits our power: that is, it is the kind of limit on our authority that cannot be cured by the consent of the parties. When we articulated the jurisdictional exception to preservation in *Editorial Photocolor Archives*, we did not say that a judgment issued without subject-matter jurisdiction could be raised at any time *because* it was waivable—rather, we said that it could be raised at any time "*and* may not be waived" (61 NY2d at 523 [emphasis added]). But other jurisdictional limits—like personal jurisdiction—can be overcome by the consent of the parties. Subject-matter jurisdiction's lack of waivability is not the *reason* we do not apply our preservation requirement to issues of subject-matter jurisdiction. Rather, we do not apply preservation in that context because our preservation doctrine is a prudential tool that can serve the interests of judicial economy and finality but cannot enhance our jurisdiction.

The majority defends its decision with nested legal fictions. The first is that unpreserved questions of law are somehow no longer questions of law (*see* majority op at 366 n 2). The New York Constitution vests our Court with jurisdiction "limited to the review of questions of law" (art VI, § 3 [a]). Our case law does not explain how a litigant's failure to raise a purely legal question at the right time transmutes it from a question of law to not a question of law. In moments of candor, we have admitted that our claim that unpreserved questions of law are not questions of law is rooted in prudential considerations, sometimes used to deny ourselves jurisdiction. Even in the criminal context, where the preservation-as-jurisdictional argument is on stronger—though not decisive—legal footing (*see* CPL 470.05 [2]), we have acknowledged that "[t]he requirement that a claim must be timely raised in order to create a question of law is grounded in large part in the need to preserve limited judicial resources and avoid untoward delay in the resolution of criminal proceedings," even as we have asserted that preservation is jurisdictional (*People v Michael*, 48 NY2d 1, 6 [1979]). But that legal fiction proves too much. If preservation were truly jurisdictional, we would not be able to create exceptions "when common sense and practical necessity dictate that we should" (*Misicki v Caradonna*, 12 NY3d 511, 525-526 [2009, Smith, J., dissenting]). Instead, when applying our requirement seems harsh, we have dispensed with it altogether, as when "certain principles of law are deemed so fundamental to our criminal justice system that a claimed violation of those principles creates a question of law despite the failure to timely raise that claim in the courts below" (*Michael*, 48 NY2d at 6).

The majority does not, as in those other cases, simply ignore the fiction that unpreserved questions of law are not questions of law. Instead, it turns to a nineteenth-century case in which we said: "[j]urisdiction of the subject-matter, is power to adjudge concerning the general question involved, and is not dependent upon the state of facts which may appear in a particular case, arising, or which is claimed to have arisen, under that general question" (*Hunt v Hunt*, 72 NY 217, 229 [1878]; *see* majority op at 371). Whereas the "unpreserved-questions-of-law-are-not-questions-of-law" fiction renders legal questions unreachable, the "subject-matter-jurisdiction-does-not-involve-facts" fiction operates in reverse. Taken as a serious proposition, however, that second fiction fares no better than the first: the framing of a general question of subject-matter jurisdiction often depends on facts. Examples of such questions reviewable by us under the jurisdictional exception abound: "[w]hether the essential nature of the claim is to recover money, or whether the monetary relief is incidental to the primary claim," an inquiry that "is dependent upon the facts and issues presented in a particular case" (*see Matter of Gross v Perales*, 72 NY2d 231, 236 [1988]); whether the accusatory instrument was valid (*see People v Harper*, 37 NY2d 96, 99 [1975]); whether the defendant was served with a subpoena (*see Matter of Kaplan*, 8 NY2d at 220); whether the appealing party filed its notice of appeal within the right number of days (*see Cappiello v Cappiello*, 66 NY2d 107, 108 [1985]); whether the administrative agency's decision was based on a law it could enforce (*see Matter of Montella v Bratton*, 93 NY2d 424, 432 [1999]); whether the trial court's order was appealable (*see People v McDonald*, 68 NY2d 1, 14 [1986]); and whether the record in the case was "a mechanical recording" or instead was "taken by a court stenographer" (*see People v Smith*, 27 NY3d 643, 649 [2016]). Questions of subject-matter jurisdiction, then, often turn on the facts of a particular case.

Thankfully, our precedent explains that "jurisdictional" often has not truly meant "jurisdictional," a proposition that cabins the precedential impact of the majority's opinion. In *Lacks v Lacks*, we dismissed "a line of decisions dating back to the last century and continuing into the present" on the ground that we spoke with "less than perfect meticulousness" when we used the phrase "jurisdiction" (41 NY2d at 74). We explained that "[a] statement that a court lacks 'jurisdiction' to decide a case may, in reality, mean that elements of a cause of action are absent," and that "questions of mootness and standing of parties may be characterized as raising questions of subject matter jurisdiction," but are nonetheless not the "kinds of judicial infirmities" that would constitute a "lack of true subject matter jurisdiction or competence" (*id.* at 74-75; *see also Reed Elsevier, Inc.*, 559 US at 161 ["such 'drive-by jurisdictional rulings' . . . too easily can miss the 'critical difference(s)' between true jurisdictional conditions and nonjurisdictional limitations on causes of action"]). If preservation deprived our Court of jurisdiction in the same way lack of personal jurisdiction or subject-matter jurisdiction did, a ruling on the basis of an unpreserved argument would constitute grounds for a motion to vacate the judgment (*see Lacks*, 41 NY2d at 76; *Royal Zenith Corp. v Continental Ins. Co.*, 63 NY2d 975, 977 [1984] ["A court is without power to render a judgment against a party as to whom there is no jurisdiction . . . and a judgment rendered without jurisdiction is subject to collateral attack"]). Unless the majority has announced a sweeping new procedural mechanism for collaterally attacking our own judgments, it follows our tradition of speaking with "less than perfect meticulousness" (*see Lacks*, 41 NY2d at 74). Indeed, the very phrase "subject-matter-jurisdiction exception" (majority op at 372) would be incoherent if we truly lacked subject-matter jurisdiction over unpreserved claims.

B.

Ms. Henry's waiver arguments fall into a second exception to our preservation requirement as well. Contentions which could not "have been obviated or cured by factual showings or legal countersteps . . . . below may be raised on appeal for the first time" (*Telaro v Telaro*, 25 NY2d 433, 439 [1969]; *accord Bingham v New York City Tr. Auth.*, 99 NY2d 355, 359 [2003]). NJT could not, when it first asserted its defense in 2020, have made any countermoves that would change the status of its waiver. It could not have traveled back to May 2019 and alerted Supreme Court that *Hyatt III* had changed the doctrinal landscape. Nor could it have gone further back and either not decided to do business in New York or repealed New Jersey's waiver of sovereign immunity. Indeed, if anyone was denied countermoves, it was Ms. Henry, who was denied the ability to access relevant discovery concerning what, if any, concessions NJT made in order to be able to operate in New York.[2]

In this case, the majority's preservation ruling did not prejudice Ms. Henry because the Appellate Division correctly ruled that NJT had waived any sovereign immunity it might have been able to claim. Had it gone the other way, however, the majority's application of the preservation doctrine would have served to blindside Ms. Henry and deny her the ability to litigate this issue fully. Such a decision would defy common sense and the fair expectations of litigants.

II.

The scope of immunity asserted by NJT exceeds the scope of historical practice. In an effort to make an anachronistic "meaning move across time," lawyers sometimes ignore the important context and nuance that has characterized the historical practice of suits against sovereigns (*cf.* Lauren Benton, *Beyond Anachronism: Histories of International Law and Global Legal Politics*, 21 J Hist Intl L 7, 10 [2019] [internal quotation marks omitted]). The historical practice of private litigation against sovereign entities suggests that the rhetoric often used to justify an expansive reading of sovereign immunity is misleading at best.

The U.S. Supreme Court has identified two historical strands that are braided together to form our contemporary doctrine of sovereign immunity: "common law sovereign immunity" and "law-of-nations sovereign immunity" (*Hyatt III*, 587 US at —, 139 S Ct at 1493). Both doctrines, as practiced at the time that the Federal Constitution was ratified, permitted sovereign tribunals to vindicate the rights of private parties who had been harmed by a government. One important basis for jurisdiction has long been a sovereign's implied consent to being sued, especially when a sovereign commits wrongs in another sovereign's territory.

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2. Ms. Henry observes that, because NJT first raised sovereign immunity on appeal, she had no opportunity to discover whether any agreements between New York and New Jersey already exist by which New Jersey has contractually waived its sovereign immunity in connection with the operation of NJT in New York.

"Common-law sovereign immunity" provided subjects with wide latitude to sue their own government officials and even the king himself. When William Blackstone wrote that "no suit or action can be brought against the king, even in civil matters, because no court can have jurisdiction over him," he qualified his statement by noting that the king could nonetheless be subject to process by his consent or "grace" (1 Blackstone, at 235-236). Blackstone's statement did not, however, mean that the king and his officials were generally insulated from liability. To the contrary, the immunity of the king did not extend to his officers (*see* Louis L. Jaffe, *Suits against Governments and Officers: Sovereign Immunity*, 77 Harv L Rev 1, 3 [1963]; James E. Pfander, *Sovereign Immunity and the Right to Petition: Toward a First Amendment Right to Pursue Judicial Claims against the Government*, 91 Nw UL Rev 899, 920-921 [1997]). Moreover, sovereign immunity did not shield the king himself from the law either. By Blackstone's time "the requirement of consent to suit had gradually disappeared," as either the requirement was replaced by a "fictional consent" or else "the authority to pass upon the petition was shifted from the Crown to the courts of justice" (Pfander at 911-912).

At the time of this nation's founding, "law-of-nations sovereign immunity" recognized significant limits on a sovereign's ability to escape another sovereign's tribunals for actions taken in that sovereign's territory. As the fêted Emer de Vattel, "the founding era's foremost expert on the law of nations" opined, " '[i]t does not . . . belong to any foreign power to take cognisance of the administration of [another] sovereign, to set himself up for a judge of his conduct, and to oblige him to alter it' . . . . The sovereign is 'exemp[t] . . . from all [foreign] jurisdiction' " (*Hyatt III*, 587 US at —, 139 S Ct at 1493-1494, citing 2 Emer de Vattel, The Law of Nations § 55 at 155 [Joseph Chitty ed 1883] and 4 Vattel § 108 at 486; *see also* John Fabian Witt, Lincoln's Code: The Laws of War in American History 16 [2012] [describing Vattel as "the most widely ready authority in Europe and its colonies on . . . the law of nations"]). Though it might sound sweeping, Vattel's immunity mostly referred to efforts by one nation to take charge of the internal governance of another: when he explained that a foreign power could not take cognizance of the administration of another sovereign, his quintessential examples involved a foreign sovereign who supplanted a domestic sovereign for taxing his subjects too highly, inflicting unjust punishments on his subjects, or contravening

Christian morals—"things, for which [the domestic sovereign] was not at all accountable to [the foreign sovereign]" (2 Vattel § 55 at 155-156; *accord* 1 James Kent, Commentaries on American Law 20-21 [Comstock ed 1867]). By contrast, Vattel acknowledged a domestic sovereign's "right to . . . preserve herself from all injuries" because "when we cannot use constraint in order to cause our rights to be respected, their effects are very uncertain" (2 Vattel § 49 at 154; *accord* 1 Kent at 22 ["Every nation has an undoubted right to provide for its own safety, and to take due precaution against distant as well as impending danger"]).

Vattel further distinguished between types of conduct in his account of the immunity afforded to the literal body of a foreign sovereign itself. Thus, if a prince were in a foreign country to negotiate or "treat about some public affair" he would be "entitled in a more eminent degree to enjoy all the rights of ambassadors," whereas "[i]f he c[a]me as a traveller, his dignity alone, and the regard due [his] nation" would "exempt[ ] him from all jurisdiction," though the host country could withdraw that protection if it so informed him (4 Vattel § 108 at 486). However, if he "act[ed] as an enemy," the prince would be entitled to no regard at all (*id.*). Moreover, the foreign prince could not exercise his rights in such a manner as to "affect the sovereignty of the country in which he [was] a sojourner" (*id.* at 487; *see also* 2 Vattel § 92 at 169 ["the least encroachment on the territory of another is an act of injustice"]).

Vattel's conception of sovereign immunity left sovereigns with wide latitude to punish foreigners who committed transgressions within territorial boundaries and foreign sovereigns who failed to force their subjects to repair the harms inflicted. "Even in cases of ordinary transgressions, which are only subjects of civil prosecution . . . with a view to the recovery of damages . . . the subjects of two neighboring states [we]re reciprocally obliged to appear before the magistrate of the place where they [we]re accused of having failed in their duty" (2 Vattel § 76 at 162). The foreign subject's sovereign was generally not permitted "to examine whether the accusation be true or false" and if the sovereign "refuse[d] to cause reparation to be made for the damage done by his subject," the sovereign would "render[ ] himself in some measure an accomplice in the injury, and become[ ] responsible for it" (*id.* §§ 76-77 at 162-163).

In Early American courts, the customary recognition of "law-of-nations sovereign immunity" was subject to a sovereign's capacity and duty to govern its own territory. Early American courts confronting the question of sovereign immunity held that any immunity was subject to the consent of the host nation, as "[t]he jurisdiction of the nation within its own territory is necessarily exclusive and absolute. It is susceptible of no limitation not imposed by itself" (*Schooner Exchange v McFaddon*, 7 Cranch [11 US] 116, 136 [1812, Marshall, Ch. J.]; *accord The Santissima Trinidad*, 7 Wheat [20 US] 283, 353 [1822, Story, J.] ["(C)onsent and license is implied only from the general usage of nations, it may be withdrawn upon notice at any time, without just offence, and if afterwards such public ships come into our ports, they are amenable to our laws in the same manner as other vessels"]). In addition to recognizing a nation's general capacity to withdraw its consent, Chief Justice Marshall also noted that sovereign immunity was *never* assumed to extend to certain types of cases. In a leading case on the subject, Chief Justice Marshall recognized "cases of implied assent" to foreign jurisdiction, including cases in which the sovereign "acquire[d] property in the country, whether real or personal" or "[i]n case of offences against existing laws, such as . . . breaking the peace when in port," though this implication did not extend "where the sovereignty is concerned," as in cases of "an ambassador" or the "sovereign himself" (*Schooner Exchange*, 7 Cranch [11 US] at 125).

Of course, the historical practice of what we in retrospect call "sovereign immunity" between nation states does not fully account for the unique structure of the Federal Constitution, though it illustrates the background expectations the framers would have had when they designed the constitutional order (*see Hyatt III*, 587 US at —, 139 S Ct at 1497 ["the Constitution affirmatively altered the relationships between the States, so that they no longer relate to each other solely as foreign sovereigns"]). In Federalist No. 81, Alexander Hamilton commented on the fact that a sovereign could not be sued in a court without its consent (*see* majority op at 368, quoting Federalist No. 81) and in the Debates of the Virginia Convention, James Madison asserted that "[i]t is not in the power of individuals to call any state into court" (Debates in the Convention of the Commonwealth of Virginia, June 20, 1788, reprinted in 3 The Debates in the Several State Conventions of the Adoption of the Federal Constitution 531, 533 [Jonathan Elliot ed 1866]). There is no indication, however, that either Hamilton or Madison meant to sweep aside well-established doctrines of implied consent. Hamilton's statement responded to concerns that citizens of foreign states would attempt to enforce a state's debt contracts in federal court (*see* Hamilton, Federalist No. 81), an option that would not have been available to international creditors under the law of nations, for whom debts with a sovereign were tantamount to treaties, which bound only the conscience of the nation and would not have been enforceable in a court (*see* Vattel, Preliminaries § 21 at lxiii-lxiv; 2 Vattel § 214 at 226-227; Jennifer Pitts, Boundaries of the International: Law and Empire 70 [2018]; *see also* John J. Gibbons, *The Eleventh Amendment and State Sovereign Immunity: A Reinterpretation*, 83 Colum L Rev 1889, 1910-1912 [1983] [noting that Hamilton's remark did not suggest a sweeping sovereign immunity]).[3] Madison similarly made sure to qualify that "if a state should condescend to be a party, this court may take cognizance of it" (The Debates in the Several State Conventions at 533; *see also* Gibbons at 1906 [noting that Madison's statement "(i)n context . . . becomes more ambiguous"]). Indeed, an expansive reading of either remark would make little sense with article III, section 2, clause 1 of the Federal Constitution, which clearly envisions *some* justiciable "Controversies . . . between a State and Citizens of another state."

Early American practice confirms the limits on sovereign immunity when government officials from foreign states or countries inflicted harm within a state's territory. Americans generally expected to be able to use common-law suits to hold government officials directly accountable for their misconduct; the government officials could then petition their respective legislatures for private bills indemnifying them for the judgment, thus obviating the need to sue states directly (*see generally* Jerry L. Mashaw, Reasoned Administration and Democratic Legitimacy 17 [2018]; James E. Pfander & Jonathan L.

3. *Chisholm v Georgia* (2 Dall [2 US] 419 [1793]) involved exactly the type of case that Hamilton warned against, and which would not have been cognizable under prevailing understandings of sovereign immunity—a foreign-state creditor's attempt to use federal court to enforce a debt contract against the state of Georgia. Americans promptly rebuked the Federal Supreme Court with the Eleventh Amendment, an amendment designed to limit the jurisdiction of federal courts in cases like these (*see generally* William Baude & Stephen E. Sachs, *The Misunderstood Eleventh Amendment*, 169 U Pa L Rev 609, 626 [2021]). However, the Eleventh Amendment—which explicitly only reaches diversity cases in federal courts—did not sweep so broadly as to preclude all suits.

Hunt, *Public Wrongs and Private Bills: Indemnification and Government Accountability in the Early Republic*, 85 NYU L Rev 1862, 1871-1876 [2010]; *A True Federalist*, Independent Chronicle, Mar 2 and 6, 1797, reprinted in 5 The Documentary History of the Supreme Court of the United States, 1789-1800 at 629, 630 [Maeva Marcus ed 1994]). That expectation often extended to the agents and instrumentalities of foreign states, as Americans could often sue in their home state court if those officers or instrumentalities committed wrongs in the home state, owned property in the home state, engaged in commercial activity, or consented to suit in some other way (*see* Ann Woolhandler, *Interstate Sovereign Immunity*, 2006 S Ct Rev 249, 276-277 [2006]).

Subsequent efforts to expand the scope of American sovereign immunity have largely left open the broad scope of the historical consent doctrine. In *Hans v Louisiana*, the Supreme Court explained that the Constitution should not be understood to permit "*anomalous and unheard-of* proceedings or suits" in federal court, and that "state courts have no power to entertain suits by individuals against a State *without its consent*" (134 US 1, 18 [1890] [emphasis added]). The spate of twentieth-century cases addressing sovereign immunity typically concerned the Eleventh Amendment and federal jurisdiction, not interstate sovereign immunity. As the United States Supreme Court noted in *Nevada v Hall*, its prior case law did not "answer the question whether the Constitution places any limit on the exercise of one's State's power to authorize its courts to assert jurisdiction over another State" (440 US 410, 421 [1979]). The *Hall* court answered that the Federal Constitution created no such limit, and that states extended immunities to one another as a matter "of state policy, rather than a constitutional command" (*id.* at 425). It was not until *Hyatt III* that the Supreme Court articulated a constitutional basis for a foreign state's ability to assert sovereign immunity in another state's court.

Even under this new regime, however, the U.S. Supreme Court has been careful to qualify that "the Constitution bars suits [only] against *nonconsenting* States" (*Hyatt III*, 587 US at —, 139 S Ct at 1496 [emphasis added]). In the analogous Eleventh Amendment context, the Supreme Court has found that the "[t]he States have consented . . . to some suits pursuant to the plan of the Convention or to subsequent constitutional Amendments" (*Alden v Maine*, 527 US 706, 755 [1999]).

At this point, the list of implied consent includes bankruptcy proceedings (*Central Va. Community College v Katz*, 546 US 356, 379 [2006]); eminent domain proceedings (*PennEast Pipeline Co. v New Jersey*, 594 US —, —, 141 S Ct 2244, 2263 [2021]); the federal policy to build and keep a national military (*Torres v Texas Department of Public Safety*, 597 US —, —, 142 S Ct 2455, 2460 [2022]); the enforcement power of the Fourteenth Amendment (*see Fitzpatrick v Bitzer*, 427 US 445, 456 [1976] [justifying the Fourteenth Amendment as an exception to sovereign immunity]); suits by other states (*South Dakota v North Carolina*, 192 US 286, 318 [1904]); and suits by the federal government (*United States v Texas*, 143 US 621, 646 [1892]).

III.

Admittedly, the *Hyatt III* regime is still somewhat *terra incognita*. However, the new sovereign immunity can still be waived. The touchstone principle is that "[e]ach State's equal dignity and sovereignty under the Constitution implies . . . . the inability of one State to hale another into its courts without the latter's consent" (*Hyatt III*, 587 US at —, 139 S Ct at 1497; *see also PennEast Pipeline Co. v New Jersey*, 594 US —, —, 141 S Ct 2244, 2264 [2021, Gorsuch, J., concurring]). If NJT submits to the jurisdiction of New York courts, then, it loses the ability to claim that its sovereignty has been violated—assuming, arguendo, that NJT (as opposed to the State of New Jersey itself) has any right to assert sovereign immunity in the first place.

Because NJT's sovereign immunity claim falls into our jurisdictional exception, I must address the merits of its argument. To the extent that NJT might be entitled to a sovereign immunity defense, it and the State of New Jersey consented to New York jurisdiction in three ways. Because those three ways are independent and none has a logical or legal priority over the others, I discuss each below. First, NJT waived sovereign immunity by its litigation conduct: NJT did not assert a sovereign immunity defense at the first opportunity after *Hyatt III*, waiting instead until it perfected its appeal to make this argument. Second, NJT waived any claim of sovereign immunity it might have had by operating a multimillion-dollar business within the State of New York. Third, the State of New Jersey waived any sort of sovereign immunity defense on NJT's behalf by subjecting it to liability in New Jersey.

A.

Hyatt III suggests that a State can waive its sovereign immunity by its litigation conduct (*see* 587 US at — n 1, 139 S Ct at 1491 n 1). The U.S. Supreme Court is clear that waiver by litigation conduct can express a State's consent to jurisdiction (*cf. Atascadero State Hospital v Scanlon*, 473 US 234, 238 [1985] ["if a State waives its immunity and consents to suit in federal court, the Eleventh Amendment does not bar the action"]). Because interstate immunity is rooted in the indignity of "compulsory judicial process" (*Hyatt III*, 587 US at —, 139 S Ct at 1498), a "State's voluntary appearance in [another State's] court amount[s] to a waiver of its [sovereign] immunity," as it does in the Eleventh Amendment context (*cf. Lapides v Board of Regents of Univ. System of Ga.*, 535 US 613, 619 [2002] [describing the Eleventh Amendment context]; *Petty v Tennessee-Missouri Bridge Comm'n*, 359 US 275, 276 [1959] [same]; *Gunter v Atlantic Coast Line R. Co.*, 200 US 273, 284 [1906]; *Clark v Barnard*, 108 US 436, 447 [1883] [same]).

Whatever the exact contours of the litigation-conduct waiver doctrine in the Eleventh Amendment context, a State may not assert the interstate sovereign immunity defense after it has allowed a case to proceed to judgment in another State's tribunal, as NJT has here. Permitting States to assert sovereign immunity after another court has tried and decided a case would let states abuse the Full Faith and Credit Clause, subverting the logic of federalism and needlessly stripping jurisdiction from the litigating State's court. The "animating purpose of the full faith and credit command" is to make the States " 'integral parts of a single nation throughout which a remedy upon a just obligation might be demanded as of right, irrespective of the state of its origin,' " instead of " 'independent foreign sovereignties, each free to ignore obligations created under . . . the judicial proceedings of the others' " (*Baker v General Motors Corp.*, 522 US 222, 232 [1998], quoting *Milwaukee County v M. E. White Co.*, 296 US 268, 277 [1935]). To that end, the Full Faith and Credit Clause ensures that a State "may not disregard the judgment of a sister State because it disagrees with the reasoning underlying the judgment or deems it to be wrong on the merits" (*V. L. v E. L.*, 577 US 404, 407 [2016]).

Allowing a State that has voluntarily litigated a case to the merits to subsequently assert sovereign immunity would let a

State use the Full Faith and Credit clause to seek multiple trials and pit the tribunals of one State against another. A State may not obtain a judgment in a foreign tribunal and then—if dissatisfied with the result—claim that it was never bound by the foreign tribunal's decision in the first place. Although this type of judgment shopping is possibly unavoidable in federal court because of the jurisdiction-stripping wording of the Eleventh Amendment (*see Schacht*, 524 US at 394 [Kennedy, J., concurring]), it defies the structural logic of interstate sovereign immunity: permitting that type of judgment shopping would encourage States to avoid their own courts by litigating first in foreign tribunals with the preclusive effect of the Full Faith and Credit Clause and then—if unsuccessful—to assert sovereign immunity as a "get-out-of-judgment-free" card. Indeed, in this case, if NJT were victorious in asserting its sovereign immunity defense, Ms. Henry would be barred by New Jersey's statute of limitations from bringing her suit in New Jersey (*see* NJ Stat Ann § 59:8-8). When NJT decided to litigate this case in New York for five years, it surrendered the right to claim that the forum was inappropriate.

NJT argues that its decision to litigate this case through to a jury verdict is irrelevant because *Hyatt III* had not been decided until after Supreme Court issued its initial judgment. However, NJT did not assert its sovereign immunity defense in a timely manner. *Hyatt III* was decided on May 13, 2019. At the time, this matter was still pending in the trial court, which denied NJT's motion to set aside the jury verdict on June 27, 2019. NJT made no effort to apprise the trial court of *Hyatt III* or assert a new defense based on it. NJT did not include any mention of *Hyatt III* or sovereign immunity in its notice of appeal on September 4, 2019. Not until it perfected its appeal on October 5, 2020, did NJT argue for the first time that sovereign immunity precluded Supreme Court from rendering a verdict. Its dilatory conduct constitutes a waiver.

B.

The logic of *Hyatt III* supports Ms. Henry's claim that NJT waived any sovereign immunity it might have had by choosing to conduct an ongoing business in the State of New York. Recognizing NJT's consent to being sued in New York reflects the asymmetric nature of the sovereign interests in this case: New Jersey suffers little indignity when its commercial transit business creates injuries within New York's borders and is brought before New York courts to answer for those injuries. New Jersey's consent to jurisdiction reflects its respect for New York's important sovereign interests in governing the safety of its territory and protecting persons within its borders.

New Jersey is "no longer [a] fully independent nation[ ]" and lacks the political power to avoid the legal resolution of New Yorkers' grievances against it (*see Hyatt III*, 587 US at —, 139 S Ct at 1497; *cf. Torres v Texas Department of Public Safety*, 597 US —, —, 142 S Ct 2455, 2462 [2022] ["States may be sued if they agreed their sovereignty would yield as part of the plan of the Convention . . . that is, if the structure of the original Constitution itself reflects a waiver of States' sovereign immunity" (internal quotation marks omitted)]). The Constitution has stripped states of traditional remedies available to independent nation-states if foreign sovereigns failed to redress injuries within their borders, including the ability to engage in diplomacy, refuse sovereign immunity to the foreign sovereign, levy war (*see Hyatt III*, 587 US at —, 139 S Ct at 1497-1498), or bar foreign sovereigns from entering their territory (*cf. C & A Carbone, Inc. v Clarkstown*, 511 US 383, 390 [1994]; 2 Vattel § 94 at 169-170 ["The sovereign may forbid the entrance of his territory either to foreigners in general or in particular cases, or to certain persons, or for certain particular purposes, according as he may think it advantageous to the state . . . everyone is obliged to pay respect to the prohibition"]). In part to compensate for this loss of sovereignty, the Constitution imposed duties on states that they did not have before, and has turned some subjects that once were "decided by pure 'political power' before ratification" into ones that "now turn on . . . 'rules of law' " (*Hyatt III*, 587 US at —, 139 S Ct at 1498, quoting *Rhode Island v Massachusetts*, 12 Pet [37 US] 657, 737 [1838]). Indeed, a dispute that would be a "*casus belli*" between fully sovereign states is the quintessential example of when the United States Supreme Court may exercise its original jurisdiction, furnishing a tribunal worthy of such an important dispute (*see Nebraska v Wyoming*, 515 US 1, 8 [1995], quoting *Mississippi v Louisiana*, 506 US 73, 77 [1992]). Whereas in the past a sovereign's wrong might result in expulsion, retaliation, or even war, today the wrong results in legal process. Under *Hall*, the forum State's tribunal would determine which State had jurisdiction; after *Hyatt III*, "federalism" guides our analysis instead (*Hyatt III*, 587 US at —, 139 S Ct at 1498, quoting *Hall*, 440 US at 430 [Blackmun, J., dissenting]).

Federal jurisprudence surrounding personal jurisdiction—which involves issues that "align closely with [the] treatment of" the concepts central to sovereign immunity (*see* majority op at 372)—underscores the way jurisdiction in a federalist system is sensitive to the parties' underlying interests and the particular context of a given dispute. In personal jurisdiction cases, principles of " 'interstate federalism' support jurisdiction" when the forum states have "significant interests at stake—'providing [their] residents with a convenient forum for redressing injuries inflicted by out-of-state actors,' as well as enforcing their own safety regulations" (*Ford Motor Co. v Montana Eighth Judicial Dist. Court*, 592 US —, —, 141 S Ct 1017, 1030 [2021], quoting *Burger King Corp. v Rudzewicz*, 471 US 462, 473 [1985]). Indeed, "if another State were to assert jurisdiction in an inappropriate case, it would upset the federal balance, which posits that each State has a sovereignty that is not subject to unlawful intrusion by other States" (*J. McIntyre Machinery, Ltd. v Nicastro*, 564 US 873, 884 [2011 plurality]). However, these considerations must be weighed against "the Due Process Clause" right of the defendant, which "act[s] as an instrument of interstate federalism" in addition to individual liberty and can "divest the State of its power to render a valid judgment" (*Bristol-Meyers Squibb Co.*, 582 US at 263, citing *World-Wide Volkswagen Corp. v Woodson*, 444 US 286, 294 [1980]). The "primary focus" of the due process inquiry "is the defendant's relationship to the forum State" (*Bristol-Meyers Squibb Co.*, 582 US at 262). If a defendant is "essentially at home" in a state or "purposefully avails itself of the privilege of conducting activities within the forum State . . . by, for example, exploiting a market in the forum State" the federalism-enforcing Due Process Clause yields to the state interest in asserting jurisdiction over activities within its own boundaries (*Ford Motor Co.*, 592 US at —, 141 S Ct at 1024-1025 [internal quotation marks and brackets omitted]).

In other words, well-established principles of jurisdiction in a federalist context establish that New York's sovereign interests are relevant in determining when it has jurisdiction and the nature of NJT's contacts and presence in the State of New York helps determine the extent to which it acquiesces to New York jurisdiction. In this case, New York has a strong interest in protecting the integrity of its territory, the safety of its roads and subjects, and its commercial prosperity whereas New Jersey has extensive, voluntary, and lucrative contacts within the State of New York such that we may conclude that it has consented to jurisdiction in New York. The principles of federalism that underpin both personal jurisdiction and interstate sovereign immunity jurisprudence require nothing less.

A State's ability to assert jurisdiction is heightened when it is governing its own territory. Although the framers of the Federal Constitution envisioned an integrated nation, they "also intended that the States retain many essential attributes of sovereignty, including, in particular, the sovereign power to try causes in their courts" (*World-Wide Volkswagen*, 444 US at 293; *accord Bristol-Myers Squibb Co.*, 582 US at 263). State boundaries have long played an important role in determining the jurisdiction of these courts (*see World-Wide Volkswagen Corp.*, 444 US at 293 ["we have never accepted the proposition that state lines are irrelevant for jurisdictional purposes, nor could we, and remain faithful to the principles of interstate federalism embodied in the Constitution"]). The jurisdictional importance of state boundaries is why "no State can apply its own law to interstate disputes over borders" (*Hyatt III*, 587 US at —, 139 S Ct at 1498, citing *Cissna v Tennessee*, 246 US 289, 295 [1918]; *see also Texas Industries, Inc. v Radcliff Materials, Inc.*, 451 US 630, 641 [1981]). New York and New Jersey are no strangers to this principle (*see New Jersey v New York*, 523 US 767 [1998]; *New Jersey v New York*, 5 Pet [30 US] 284 [1831]).

New York's interest in protecting the safety of its roads is strong, and NJT's continued use of them is a basis from which we may infer consent. "Motor vehicles are dangerous machines; and, even when skillfully and carefully operated, their use is attended by serious dangers to persons and property" (*Hess v Pawloski*, 274 US 352, 356 [1927]; *cf. South Dakota v Neville*, 459 US 553, 558-559 [1983]). To protect against these dangers, states may provide rules of the road that apply to "residents and non-residents alike" (*Hess*, 274 US at 356). States may assume that nonresidents who use the roads consent to a system that will require them "to answer for [their] conduct in the State where arise causes of action alleged against [them], as well as to provide for . . . claimant[s] a convenient method by which [they] may sue to enforce [their] rights" (*id.*).

Furthermore, when a State operates a vast business within the boundaries of another state—as NJT does—it weakens any claim it might have to special treatment (*see Bank of United States v Planters' Bank of Ga.*, 9 Wheat [22 US] 904, 907 [1824]

["It is, we think, a sound principle, that when a government becomes a partner in any trading company, it devests itself, so far as concerns the transactions of that company, of its sovereign character, and takes that of a private citizen"]; *Bank of Kentucky v Wister*, 2 Pet [27 US] 318, 323 [1829] [extending this principle to a fully government-owned bank]; *Louisville, C & C. R. Co. v Letson*, 2 How [43 US] 497, 550-551 [1844] [extending *Planters' Bank* to state ownership share in railroad]; *Georgia v Chattanooga*, 264 US 472, 482-483 [1924] ["the acceptance by Georgia of the permission given it to acquire the railroad land in Tennessee is inconsistent with an assertion of its own sovereign privileges in respect of that land . . . and amounts to a consent that it may be condemned as may like property of others"]; *see generally* Woolhandler at 278-280 [discussing the "commercial/consent exception" to sovereign immunity, and explaining that "(p)erhaps the largest group of cases holding a state could be made a less-than-voluntary party were those arising from Georgia's ownership, with the approval of the Tennessee legislature, of a railroad in Tennessee"]). As we noted in *Ehrlich-Bober & Co. v University of Houston*, New York has a "recognized interest in maintaining and fostering its undisputed status as the preeminent commercial . . . nerve center of the Nation and the world . . . . That interest naturally embraces a very strong policy of assuring ready access to a forum for redress of injuries arising out of transactions spawned here" (49 NY2d 574, 581 [1980]). The

> "interest in providing a convenient forum is least subject to challenge when a transaction is centered here . . . and particularly when it is wholly commercial in character . . . . [A] State entering this jurisdiction specifically to take advantage of its unique commercial resources may be considered to have given up any claim of jurisdictional immunity by virtue of governmental capacity" (*id.*; *see also Deutsche Bank Sec., Inc. v Montana Bd. of Invs.*, 7 NY3d 65, 72-73 [2006]).

Although *Hyatt III* may have changed the calculus and source of sovereign immunity, it did not change New York's sovereign interests.

In this case, then, New York's sovereign interests are at their zenith while NJT's are at their nadir. Having operated a lucrative business for decades, NJT has availed itself of New York's roads, regulations, and customer base without exercising the type of sovereign authority that commands heightened constitutional respect. NJT has benefitted from the orderly operation of New York's court system and largely complied with its rules of the road. In *Hyatt III*, the Franchise Tax Board of California entered Nevada briefly to enforce its own tax laws against one of its former citizens, in furtherance of which it committed torts against that former citizen within Nevada (*see* 587 US at —, 139 S Ct at 1490-1491). California's "sovereign right to tax income" was a particularly important interest and its run-in with Nevada's sovereignty was relatively minimal and incidental to its attempts to vindicate its plenary right to tax its residents (*cf. Oklahoma Tax Comm'n v Chickasaw Nation*, 515 US 450, 466 [1995]). Here, by contrast, NJT has set up shop in New York, benefitted greatly from the use of our roads, access to our economy and the protection provided by our court system; it is being sued in New York for a tort committed in New York as to which New York's interests dwarf those of New Jersey. NJT may not now claim that submitting to this same court system is an affront to its dignity.

C.

Notwithstanding the fact that NJT has waived any sovereign immunity it has via its litigation conduct and continuous and extensive operations in New York, the State of New Jersey has also statutorily waived any type of sovereign immunity NJT might have. States may pass statutes explicitly consenting to be sued (*cf. Sossamon v Texas*, 563 US 277, 284 [2011] [discussing Eleventh Amendment sovereign immunity]). The operation of our own Court of Claims depends upon that principle (*see* Court of Claims Act § 8). In the Eleventh Amendment context, a "State's consent to suit in its own courts is not a waiver of its immunity from suit in *federal* court" (*Sossamon*, 563 US at 285 [emphasis added]). However, the "fundamental principle of equal sovereignty among the States" precludes New Jersey from making a similarly limited waiver with respect to the courts of other *states* (*Hyatt III*, 587 US at —, 139 S Ct at 1497 [emphasis omitted], quoting *Shelby County v Holder*, 570 US 529, 544 [2013]).

The United States Supreme Court has long held that a state may not refuse to apply the laws of another state when doing so reflects a "policy of hostility to the public Acts" of another state (*Carroll v Lanza*, 349 US 408, 413 [1955]). When New Jersey claimed that it could not exercise jurisdiction over claims sounding in New York law despite exercising jurisdiction over comparable claims based in New Jersey law, the United States Supreme Court intervened (*see Broderick v Rosner*, 294 US 629, 642-644 [1935]; *see also Hughes v Fetter*, 341 US 609, 611 [1951]). In *Hyatt II*, the Court applied that doctrine to immunities, holding that Nevada had to grant California the same immunity it provided to its own agencies—it could not apply "a special rule of law that evinces a 'policy of hostility' toward California" (*Franchise Tax Bd. of Cal. v Hyatt*, 578 US 171, 176 [2016] [hereinafter *Hyatt II*], quoting *Franchise Tax Bd. of Cal. v Hyatt*, 538 US 488, 499 [2003]).

Here, New York and New Jersey have both waived sovereign immunity for quasi-state commercial carriers, including NJT (*see e.g.* NJ Stat Ann § 59:2-2; Public Authorities Law §§ 1212, 1276). New Jersey's legislature and high court require that NJT be held liable to the same extent as a comparably positioned private party (*see* NJ Stat Ann §§ 59:2-2, 59:3-1; *Maison v New Jersey Transit Corp.*, 245 NJ 270, 289-291, 245 A3d 536, 547-548 [2021]). Indeed, under New Jersey law, NJT is held to a "heightened common carrier" standard of negligence—as New Jersey's high court noted, "the duty to provide safe travel to passengers on NJ Transit buses is no less urgent than the duty imposed on privately owned bus operators" (*Maison*, 245 NJ at 291-292, 245 A3d at 548-549). Nevertheless, NJT asks us to dismiss this case on the grounds that "New York courts permit the dismissal of actions against the State of New York on sovereign immunity grounds."

NJT would require us to apply a special rule exempting it from liability. Its rule would provide NJT treatment not only more favorable than New York applies to its own transit authorities but also more favorable than NJT would receive in its own home-state court. Indeed, under New Jersey's venue requirements, it is not clear that Ms. Henry would be entitled to sue NJT by right anywhere, even in the State of New Jersey (*see Colt v New Jersey Tr. Corp.*, 206 AD3d 126, 128 [1st Dept 2022] [interpreting NJ Rules of Ct rule 4:3-2 (a)]; *but see* NJ Rules of Ct rule 1:1-2 [a] ["Unless otherwise stated, any rule may be . . . dispensed with by the court in which the action is pending if adherence to it would result in an injustice"]).

NJT's insistence that it may be haled in front of New Jersey courts but not New York courts is not based on any coherent rationale and is in fact somewhat ironic given that Ms. Henry, a New Jersey resident, is exactly the type of person New Jersey was trying to protect by waiving NJT's sovereign immunity. NJT proposes a "policy of hostility to the public Acts" of New York (*Hyatt III*, 587 US at —, 139 S Ct at 1497, quoting *Hyatt II*, 578 US at 176). NJT defends its "special and discriminatory rule" with "little more than a conclusory statement [implicitly] disparaging [New York's] own . . . judicial" system (*Hyatt II*, 578 US at 178). "A constitutional rule that would permit this kind of discriminatory hostility is likely to cause chaotic interference by some States into the internal . . . affairs of others" (*id.* at 178-179) by punishing NJT for accidents in Trenton but authorizing it to wreak havoc on the streets of Philadelphia or New York City or forcing persons injured in those other states—even those residing there and never touching New Jersey soil—to press their claims in New Jersey.

IV.

Instead of offering guidance to lower courts about how to confront that problem, we have rewritten federal rules of waiver and jurisdiction as well as our own preservation doctrine to dodge the question. However, the issue is too common and the law too unsettled for us to evade it for long. Every NJT bus and train has the potential to inflict injuries when it enters New York. The persistent legal uncertainty surrounding NJT risks leaving those injured by NJT within NY's borders without protection and legislators and regulators without guidance.

We are not, however, the only body that can provide a solution. New York could negotiate a compact with New Jersey to make NJT unambiguously subject to the jurisdiction of New York courts. Even more expediently, the New Jersey legislature could statutorily prevent NJT from asserting sovereign immunity in New York courts, much as it prevented NJT form doing so in response to certain federal claims (*see Robinson v New Jersey Tr. Rail Operations, Inc.*, 776 Fed Appx 99, 100 [3d Cir 2019]). As this case demonstrates, in taking care of New Yorkers, New Jersey would take care of its own.

Acting Chief Judge CANNATARO and Judges RIVERA and GARCIA concur; WILSON dissents in an opinion, in which Judge TROUTMAN concurs.

Appeal dismissed, without costs, upon the ground that no substantial constitutional question is directly involved.

[211 NE3d 663, 190 NYS3d 274]

LUJERIO CORDERO, Appellant, v TRANSAMERICA ANNUITY SERVICE CORPORATION, Now Known as WILTON RE ANNUITY SERVICE CORPORATION, Defendant and Third-Party Plaintiff-Respondent, and TRANSAMERICA LIFE INSURANCE COMPANY, Defendant and Cross-Claim-Plaintiff-Respondent. ALLIANCE ASSET FUNDING, LLC, et al., Third-Party Defendants and Cross-Claim Defendants.

Argued March 14, 2023; decided April 25, 2023

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Eleventh Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: "Does a plaintiff sufficiently allege a breach of the implied covenant of good faith and fair dealing under New York law if he pleads that the defendant drastically undermined a fundamental objective of the parties' contract, even when the underlying duty at issue was not explicitly referred to in the writing?" The certified question was reformulated by the New York State Court of Appeals to read: "Does a plaintiff sufficiently allege a breach of the covenant of good faith and fair dealing under New York law by pleading that (1) an issuer or obligor failed to object to plaintiff's sale of periodic payments in an SSPA proceeding, where the underlying agreements contain anti-assignment provisions, and (2) the sale approved by the SSPA court was not in plaintiff's best interest?"

HEADNOTE

Contracts — Implied Covenants — Breach of Covenant of Good Faith and Fair Dealing in Structured Settlement Agreements

A plaintiff does not sufficiently allege a breach of the implied covenant of good faith and fair dealing under New York law by pleading that an issuer or obligor failed to object to plaintiff's sale of periodic payments in a Structured Settlement Protection Act (SSPA) proceeding where the underlying agreements contain anti-assignment provisions and the sale approved by the SSPA court was not in plaintiff's best interest. For a plaintiff to plead a valid cause of action for breach of the covenant of good faith, a plaintiff must allege facts sufficient to demonstrate that the plaintiff reasonably understood the contract or contractual provision at issue to state a duty to take or refrain from taking a particular action. The implied duty must arise from the contract and the promisee's reasonable expectations. Assuming that anti-assignment provisions in structured settlement and qualified assignment agreements are, at least in part, for a plaintiff's benefit, a reasonable person in the position of such a plaintiff would not be justified in believing, at the time the agreements were made, that the anti-assignment provisions required the issuer and obligor to object to any attempt the plaintiff made to execute prohibited assignments as part of an SSPA proceeding in which the court is charged with determining whether the transfer is in the best interests of the payee. To hold otherwise would create an implied fiduciary duty on the part of issuers or obligors to protect a plaintiff from the consequences of their own breach. Structured settlement agreements, however, do not contemplate a fiduciary relationship. Under the SSPA, the court, not the issuer or obligor, is tasked with being the gatekeeper who determines whether a plaintiff's assignment of periodic payments under a structured settlement agreement is in their best interests.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Assignments §§ 19–23, 30–31; AM JUR 2d Contracts § 362.

CARMODY-WAIT 2d Judgments §§ 63:42, 63:45–63:46.

NEW YORK CONTRACT LAW (2d ed) §§ 11:12–11:16, 11:28, 15:5–15:6, 26:2.

NY JUR 2d Assignments §§ 8–9, 13; NY JUR 2d Contracts §§ 222, 423; NY JUR 2d Judgments §§ 33, 42–43.

WILLISTON ON CONTRACTS (4th ed) §§ 63:22, 74:10–74:11, 74:22–74:23.

ANNOTATION REFERENCES

Validity of anti-assignment clause in contract. 37 ALR2d 1251.

Construction and Application of State Structured Settlement Protection Acts. 27 ALR6th 323.

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POINTS OF COUNSEL

Freshfields Bruckhaus Deringer US LLP, New York City (*Scott A. Eisman, Rebecca C. Kerr, David M. Howard* and *Rebecca E. Berman* of counsel), and *Ver Ploeg & Marino, P.A.*, Miami, Florida (*Brenton N. Ver Ploeg*, admitted pro hac vice, of counsel), for appellant. Lujerio Cordero has pleaded that Transamerica Annuity Service Corporation and Transamerica Life

Insurance Company breached the implied covenant of good faith and fair dealing. (*Dermott v State*, 99 NY 101; *New York Cent. Iron Works Co. v United States Radiator Co.*, 174 NY 331; *Wood v Duff-Gordon*, 222 NY 88; *Wilson v Mechanical Orguinette Co.*, 170 NY 542; *Kirke La Shelle Co. v Armstrong Co.*, 263 NY 79; *Matter of Olsson v Board of Higher Educ. of City of N.Y.*, 49 NY2d 408; *Smith v Robson*, 148 NY 252; *Ashland Mgt. v Janien*, 82 NY2d 395; *ABN AMRO Bank, N.V. v MBIA Inc.*, 17 NY3d 208; *511 W. 232nd Owners Corp. v Jennifer Realty Co.*, 98 NY2d 144.)

Maynard Cooper & Gale P.C., Birmingham, Alabama (*John C. Neiman* admitted pro hac vice, and *Mary K. Mangan*, admitted pro hac vice, of counsel), and *Law Office of Stephen Harris*, Philadelphia, Pennsylvania (*Stephen R. Harris* of counsel), for respondents. I. Transamerica Annuity Service Corporation and Transamerica Life Insurance Company made no implied promise to Lujerio Cordero to object to his transfers of payment rights during the court proceedings that approved them. (*511 W. 232nd Owners Corp. v Jennifer Realty Co.*, 98 NY2d 144; *Transit Funding Assoc., LLC v Capital One Equip. Fin. Corp.*, 149 AD3d 23; *Murphy v American Home Prods. Corp.*, 58 NY2d 293; *Rowe v Great Atl. & Pac. Tea Co.*, 46 NY2d 62; *Patterson v Meyerhofer*, 204 NY 96; *American-European Art Assoc. v Trend Galleries*, 227 AD2d 170; *Nau v Vulcan Rail & Constr. Co.*, 286 NY 188; *Randall's Is. Aquatic Leisure, LLC v City of New York*, 92 AD3d 463.) II. Lujerio Cordero's implied-covenant theory is incompatible with policy choices embodied in state Structured Settlement Protection Acts. (*Black Horse Lane Assoc., L.P. v Dow Chem. Corp.*, 228 F3d 275; *Ashland Mgt. v Janien*, 82 NY2d 395; *ABN AMRO Bank, N.V. v MBIA Inc.*, 17 NY3d 208; *Dalton v Educational Testing Serv.*, 87 NY2d 384; *Kirke La Shelle Co. v Armstrong Co.*, 263 NY 79; *Wilson v Mechanical Orguinette Co.*, 170 NY 542; *Market St. Assoc. Ltd. Partnership v Frey*, 941 F2d 588; *Kham & Nate's Shoes No. 2, Inc. v First Bank of Whiting*, 908 F2d 1351; *Northeast Gen. Corp. v Wellington Adv.*, 82 NY2d 158; *Ehrlich-Bober & Co. v University of Houston*, 49 NY2d 574.)

Barton Gilman LLP, New York City (*Steven Gerber* and *Gabriela Tremont* of counsel), and *Vodola Law, LLC*, Sandy Hook, Connecticut (*Peter J. Vodola*, admitted pro hac vice, of counsel), for National Structured Settlements Trade Association, amicus curiae. I. The unprecedented duty, i.e., that a party to a contract has a fiduciary duty, under the implied covenant of good faith and fair dealing, to enforce a contractual anti-assignment provision for the benefit of the counterparty when that counterparty is seeking to effectuate an assignment, would contravene Structured Settlement Protection Acts. II. A radical duty requiring annuity issuers and structured settlement obligors to oppose transfers of structured settlement payment rights from a payee to a factoring company would contravene the findings made by the courts in the orders that approved the transfers. III. Plaintiff's contention is inconsistent with common-law rules that provide that obligors can waive rights under anti-assignment provisions. (*Sillman v Twentieth Century-Fox Film Corp.*, 3 NY2d 395; *Matter of 321 Henderson Receivables Origination LLC*, 19 Misc 3d 504; *Matter of Knight-Ridder Broadcasting v Greenberg*, 70 NY2d 151.) IV. A new duty based on a drastic departure from existing law would be contrary to legal principles relating to fiduciary obligations. (*Batas v Prudential Ins. Co. of Am.*, 281 AD2d 260.) V. The obligations that plaintiff seeks to impose on insurers would place them in an untenable position and would imperil structured settlements.

OPINION OF THE COURT

TROUTMAN, J.

The United States Court of Appeals for the Eleventh Circuit certified to this Court a question requiring us to consider whether a plaintiff sufficiently pleads a cause of action for breach of the implied covenant of good faith and fair dealing under New York law by alleging that, during a Structured Settlement Protection Act proceeding, defendants (i.e., the structured settlement obligor and the issuer of an annuity funding the settlement) failed to enforce the anti-assignment provisions contained in structured settlement and qualified assignment agreements. Based on our reformulation of the question, we conclude that such allegations do not state a cognizable cause of action for breach of the implied covenant.

I.

Plaintiff Lujerio Cordero suffered lead poisoning as a child from paint in his apartment building, which "resulted in debilitating and permeant health issues, including permanent cognitive impairment" (*Cordero v Transamerica Annuity Serv. Corp.*, 34 F4th 994, 997 [11th Cir 2022]). In 1996, Cordero, then five years old and acting through his mother as guardian, entered into a structured settlement agreement (settlement agreement) with his landlord's insurer. The settlement agreement contained a New York choice-of-law clause.

The parties structured the settlement agreement to comply with the Periodic Payment Settlement Act of 1982 (PPSA), which provides, among other things, that periodic structured settlement payments to tort victims are not subject to federal income tax (*see* Internal Revenue Code [26 USC] § 130). One aim of the PPSA is to help ensure that tort victims, particularly minors, do not squander their settlement proceeds (*see* Karen Syma Czapanskiy, *Structured Settlement Sales and Lead-Poisoned Sellers: Just Say No*, 36 Va Envt LJ 1, 8 n 35 [2018] ["Favorable tax treatment of structured settlements is thought to encourage provident use of tort damage awards by people who might use a lump sum award unwisely, forfeit financial security and risk becoming dependent on public benefits such as Medicaid or Supplemental Security Income"]; 145 Cong Rec S5281-01, S5283 [May 13, 1999] [statement of Sen. Chafee] ["Congress has adopted special tax rules to encourage and govern the use of structured settlements in physical injury cases . . . (and) to shield victims and their families from pressures to prematurely dissipate their recoveries"]). In furtherance of these aims, the PPSA provides that periodic payments "cannot be accelerated, deferred, increased, or decreased by the recipient of such payments" (26 USC § 130 [c] [2] [B]; *see e.g.* Daniel W. Hindert, Joseph J. Dehner & Patrick J. Hindert, Structured Settlement and Periodic Payment Judgments § 16.02 [2] [c] [2022]).

The settlement agreement provided that the landlord and his insurer "agree[ ] to pay and to make periodic payments" to Cordero, beginning at age 18, in the monthly amount of $3,183.94 for a period of 30 years. The payments were to "be provided for and secured by an annuity contract" issued by defendant Transamerica Life Insurance Company (Transamerica Life). The parties further agreed that the landlord or his insurer would make a "Qualified Assignment" to Transamerica Annuity Service Corporation (Transamerica Annuity) of the obligation to make periodic payments to Cordero.[1] Transamerica Annuity would then "fund the periodic payments by purchasing a 'qualified funding asset' within the meaning of Section 130 (d) of the Internal Revenue Code in the form of

1. Transamerica Annuity is now known as Wilton Re Annuity Service Corporation.

[the] annuity contract issued by [Transamerica Life]," making Transamerica Life the issuer of the annuity (issuer) and Transamerica Annuity both the structured settlement obligor and the legal owner of the annuity (obligor).

The parties executed the qualified assignment the same day as the settlement agreement, assigning to defendant Transamerica Annuity the obligation to make the periodic payments to Cordero. Transamerica Annuity in turn purchased an annuity from Transamerica Life that generated a periodic payment stream that matched Transamerica Annuity's payment obligation. Under the qualified assignment, Transamerica Annuity "assume[d] all of the . . . liability" of the landlord's insurer to make the periodic payments to Cordero. However, Transamerica Annuity's "liability to make the [p]eriodic [p]ayments is no greater than that of the [landlord's insurer] immediately preceding [the] [a]greement." The qualified assignment further provides that Cordero has "no rights against [Transamerica Annuity] greater than a general creditor," and Transamerica Annuity is not "required to set aside specific assets to secure the [p]eriodic [p]ayments."

Both the settlement agreement and the qualified assignment include provisions that prohibit assignment. In the settlement agreement, a section titled "Payee's Rights to Periodic Payments" states that plaintiff shall not "have the power to sell, mortgage, encumber or anticipate same, or any part thereof, by assignment or otherwise." The qualified assignment provides that "[n]one of the [p]eriodic [p]ayments" to Cordero "may be . . . sold, assigned or encumbered."[2]

Despite those provisions, Cordero transferred his rights to the periodic payments to various entities known as factoring companies. Those companies purchase rights to future structured settlement payments in exchange for an immediate lump sum that generally is "significantly less than [the] face value" of the aggregate settlement proceeds (*see Cordero v Transamerica Annuity Serv. Corp.*, 34 F4th 994, 996 [11th Cir 2022]). The factoring industry has been criticized for preying on structured

2. The settlement agreement and qualified assignment did not include information about Cordero's mental capacity. Furthermore, the annuity contract did not restrict assignment. Although Cordero's projected life span was used to set the measuring life of the annuity, the agreement provides (1) that "[a]n assignment of this policy will not be binding upon the [issuer] until recorded at its Home Office" and (2) that the issuer "assumes no responsibility for the sufficiency or validity of any assignment."

settlement tort victims, encouraging them to enter into transactions that are not financially sound (*see* Assembly Mem in Support of L 2002, ch 537, 2002 McKinney's Session Laws of NY at 2035, 2036 [discussing factoring companies' use of "aggressive advertising, plus the allure of quick and easy cash, to induce settlement recipients to cash out future payments, often at substantial discounts, depriving victims and their families of the long-term financial security their structured settlements were designed to provide"]; *see also* Laura J. Koenig, Note, *Lies, Damned Lies, and Statistics? Structured Settlements, Factoring, and the Federal Government*, 82 Ind LJ 809, 813 [2007]).

Beginning in 2012, when Cordero was 22 years old and living in Florida, he engaged in six transfers in less than two years resulting in the assignment to various factoring companies of all his periodic payment rights. Those future structured settlement payments, spread over a period of more than 20 years, had an aggregate value of $959,834.42. In return, Cordero received $268,130.

To accomplish each transfer, a court hearing was required pursuant to Florida's Structured Settlement Protection Act (SSPA). SSPAs have been enacted in 49 states, including Florida and New York, to address concerns about factoring companies' potentially exploitative practices. As stated in Florida's SSPA in effect at the time of the transfers, the law aims to "protect recipients of structured settlements who are involved in the process of transferring structured settlement payment rights" (Fla Stat § 626.99296 [1]). It provides that any such transfer must be "authorized in advance in a final order by a court of competent jurisdiction" (*id.* subsec [3] [a]). Furthermore, factoring companies must provide notice of the proposed transfer "to all interested parties," including issuers and obligors, notifying those parties that they "may support, oppose, or otherwise respond to the [factoring company's] application, in person or by counsel, by submitting written comments to the court or by participating in the hearing" (*id.* subsec [4] [former (d)]). The court must hold a hearing on the application and "[t]he payee shall appear in person at the hearing unless the court determines that good cause exists to excuse the payee from appearing" (*id.* subsec [4] [a] [5] [c]).

> "If a proposed transfer would contravene the terms of the structured settlement, upon the filing of a

> written objection by any interested party and after considering the objection and any response to it, the court may grant, deny, or impose conditions upon the proposed transfer which the court deems just and proper given the facts and circumstances and in accordance with established principles of law" (*id.* subsec [3] [b]).

Before approving a transfer under the SSPA, a Florida court must find that (1) the transfer does not "contravene . . . applicable law"; (2) the "payee has established that the transfer is in [their] best interests"; and (3) "the net amount payable to the payee is fair, just and reasonable under the circumstances" (*id.* subsec [3] [a] [1], [3], [former (7)]).[3]

A Florida state court approved each transfer agreement after an SSPA hearing. Cordero did not attend the hearings, nor did counsel appear on his behalf. Transamerica Life did not participate, but it received a $750 administrative fee from the factoring companies for each transfer. The factoring companies were the only parties represented at the hearings.

Cordero commenced this breach of contract action against defendants in federal court in Florida, contending that he could not read or understand the transfer documents and that defendants had an obligation to enforce the anti-assignment clauses in the settlement agreement and qualified assignment on his behalf. Defendants moved to dismiss the suit, asserting that Cordero failed to allege a breach of contract because the anti-assignment clauses were meant for their benefit, not his, and they had no obligation to enforce them. The United States District Court for the Southern District of Florida dismissed the suit, holding that Cordero's "claims fail because [d]efendants had no affirmative obligation to prevent [him] from assigning his annuity benefits" (*Cordero v Transamerica Annuity Serv. Corp.*, 2021 WL 1198705, *3, 2021 US Dist LEXIS 59810, *9 [SD Fla, Mar. 29, 2021, No. 1:18-cv-21665-GAYLES/OTAZO-REYES]). It determined that the settlement agreement's anti-assignment clause "exists for [d]efendants' benefit and may be exercised at their discretion" and that Cordero's "assertion[s] that [d]efendants should have prevented the state court-

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3. A provision was added to the Internal Revenue Code in 2002 as "an additional compliance mechanism for using the SSPAs because it imposes a 40 percent federal excise tax if a transfer of structured settlement payment rights does not receive the required court approval" (Hindert et al. § 16.05 [1]; *see* Internal Revenue Code [26 USC] § 5891).

approved transfers are nothing more than attempts to 'imply obligations inconsistent with other terms of the contractual relationship' " (2021 WL 1198705, *3, 2021 US Dist LEXIS 59810, *9-10). Cordero appealed.

The Eleventh Circuit deferred decision of the appeal and certified a question to us (34 F4th at 1002). Cordero, that court noted, alleged that defendants "breached the anti-assignment language in the Settlement Agreement and the Qualified Assignment when [they] allowed Cordero to assign his payment rights to the factoring companies" in breach of the implied covenant of good faith under New York law (*id.* at 999). In considering that issue, the court was uncertain whether our holding in *511 W. 232nd Owners Corp. v Jennifer Realty Co.* (98 NY2d 144 [2002]) supported finding a breach of the implied covenant in this case (34 F4th at 1001; *see Jennifer Realty*, 98 NY2d at 153 [holding that the plaintiffs sufficiently alleged that a sponsor hired to convert an apartment building into a cooperative breached the implied covenant of good faith and fair dealing by engaging in tactics that frustrated the purpose of the conversion, which "drastically undermined the contract" such that "its fundamental objective . . . ha(d) been subverted"]). The Eleventh Circuit sought clarification by certifying the following question:

> "Does a plaintiff sufficiently allege a breach of the implied covenant of good faith and fair dealing under New York law if he pleads that the defendant drastically undermined a fundamental objective of the parties' contract, even when the underlying duty at issue was not explicitly referred to in the writing?" (34 F4th at 1002.)

The Eleventh Circuit specified that in drafting the question, it did "not intend" to limit this Court's "discretion in choosing how to frame or to answer these issues in the light of the facts of this case" (*id.*). We accept the invitation to reformulate the question so that we may provide the Eleventh Circuit with a meaningful answer that may help in determining the outcome of this particular case (*see* NY Const, art VI, § 3 [b], cl 9; 22 NYCRR 500.27; *Yesil v Reno*, 92 NY2d 455, 457 [1998]; *see also* Judith S. Kaye & Kenneth I. Weissman, *Interactive Judicial Federalism: Certified Questions in New York*, 69 Fordham L Rev 373, 392 [2000]).

Accordingly, we reformulate the certified question as follows:

> Does a plaintiff sufficiently allege a breach of the covenant of good faith and fair dealing under New York law by pleading that (1) an issuer or obligor failed to object to plaintiff's sale of periodic payments in an SSPA proceeding, where the underlying agreements contain anti-assignment provisions, and (2) the sale approved by the SSPA court was not in plaintiff's best interest?

We answer that question in the negative.

The dissent criticizes our reformulation and would, instead, reformulate the question to ask whether New York's implied covenant requires defendants to "disclose plaintiff's diminished mental capacity in a statutorily mandated state SSPA judicial proceeding" (dissenting op at 427). Defendants' failure to disclose is not a claim at issue in this case,[4] however, and our precedent requires that "[w]e rely solely on the facts presented by

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4. According to the Eleventh Circuit, Cordero alleges that his agreements with the factoring companies "failed to disclose his limited mental capacity" (34 F4th at 996). However, there is no allegation that Cordero was harmed by defendants' failure to disclose that information. Rather, the Eleventh Circuit states that, "[b]y suing [defendants], Cordero seeks to hold [them] accountable for *consenting* to his assignments" (*id.* [emphasis added]).

Instead of focusing on that claim, the dissent points to the complaint's assertion "that '[d]efendants failed to disclose to the state court that [Cordero's] purported rationales for the immediate needs for cash contained in the stipulations were fictitious, duplicitous and misleading' " (dissenting op at 426). Apart from that assertion being different from a duty to disclose Cordero's mental impairment, as promoted by the dissent, it does not encompass the act that the complaint claims caused injury to Cordero, which is that, "[i]n refusing to enforce the anti-assignment provision on six different occasions over a two-year period, [d]efendants breached their contractual duties to [Cordero]" and, "[a]s a direct and proximate result of that breach, [Cordero] has suffered long-lasting damages." This is also how the Eleventh Circuit construes Cordero's claim—i.e., as being about a duty to enforce the anti-assignment provision and not simply a duty to disclose information about Cordero. Furthermore, we disagree with the dissent that a duty to disclose information about Cordero is coextensive with a duty to enforce the anti-assignment provisions (*see id.* at 413 n 1). A duty to enforce an anti-assignment provision would require more than merely disclosing information about Cordero's condition that defendants "knew or should have known" (*id.* [internal quotation marks omitted]). Despite the dissent's argument to the contrary (*see id.* at 412-413), the leeway that the Eleventh Circuit provided us in answering its question does not permit us to construe Cordero's breach of contract claim differently than that court presented it to us. As this Court has previously admonished, we must be "mindful [that] . . . this Court's role, in constitutionally participating with the Federal court in its exclusive jurisdictional application and adjudication of substantive principles of New York State law[,] is formally and appropriately limited" (*Rooney v Tyson*, 91 NY2d 685, 693 [1998], citing NY Const, art VI, § 3 [b] [9]; 22 NYCRR 500.27).

the certified question," including "[t]he claims in the facts presented to us" (*Engel v CBS, Inc.*, 93 NY2d 195, 206-207 [1999]). To do otherwise would violate our constitutional obligation to answer only certified "questions . . . which may be determinative of the cause then pending in the certifying court" (NY Const, art VI, § 3 [b], cl 9; *see* 22 NYCRR 500.27). As stated by the Eleventh Circuit, "This case presents a novel issue of New York law because Cordero seeks to hold Transamerica liable for consenting to his assignments of his structured settlement payments" (34 F4th at 1002). The dissent's proposed question would not yield an answer that is determinative of that claim, however, and it would lead to our providing an improper advisory opinion on a controversy that is not before us (*see Self-Insurer's Assn. v State Indus. Commn.*, 224 NY 13, 16 [1918, Cardozo, J.]). In contrast, our reformulated question and answer—with which the dissent agrees (dissenting op at 412)—allows the Eleventh Circuit to determine the issue before it: whether, under New York law, defendants "had a duty to 'enforce' the anti-assignment language" pursuant to the implied covenant of good faith and fair dealing (34 F4th at 999).

II.

In New York, "all contracts imply a covenant of good faith and fair dealing in the course of performance" (*Jennifer Realty*, 98 NY2d at 153). This implied covenant "embraces a pledge that neither party shall do anything which will have the effect of destroying or injuring the right of the other party to receive the fruits of the contract" (*Dalton v Educational Testing Serv.*, 87 NY2d 384, 389 [1995] [internal quotation marks omitted]). "Where the contract contemplates the exercise of discretion, this pledge includes a promise not to act arbitrarily or irrationally in exercising that discretion" (*id.*). This Court has consistently observed that the covenant requires the parties to perform under the contract "in a reasonable way" (*New York Cent. Iron Works Co. v United States Radiator Co.*, 174 NY 331, 335 [1903]). In discerning what is "reasonable," the Court looks to what the parties would have expected under the contract: the Court will infer that contracts "include any promises which a reasonable person in the position of the promisee would be justified in understanding were included" at the time the contract was made (*Rowe v Great Atl. & Pac. Tea Co.*, 46 NY2d 62, 69 [1978] [internal quotation marks omitted], quoting 5 Williston on Contracts § 1293 at 3682 [rev ed 1937];

see Wilson v Mechanical Orguinette Co., 170 NY 542, 550-551 [1902]). "No obligation can be implied, however, which would be inconsistent with other terms of the contractual relationship" (*Murphy v American Home Prods. Corp.*, 58 NY2d 293, 304 [1983]).

The burden of proving an implied promise falls on the plaintiff: "a party who asserts the existence of an implied-in-fact covenant bears a heavy burden, for it is not the function of the courts to remake the contract agreed to by the parties, but rather to enforce it as it exists" (*Rowe*, 46 NY2d at 69). "Thus, a party making such a claim must prove not merely that it would have been better or more sensible to include such a covenant, but rather that the particular unexpressed promise sought to be enforced is in fact implicit in the agreement viewed as a whole" (*id.*). Additionally, for a plaintiff to plead a valid cause of action for breach of the covenant of good faith, a plaintiff must allege facts sufficient to demonstrate that the plaintiff "reasonably understood" the contract or contractual provision at issue to state a duty to take or refrain from taking a particular action (*Jennifer Realty*, 98 NY2d at 154).

In *Jennifer Realty*, plaintiffs, shareholders in a cooperative corporation, asserted a breach of contract claim based on the duty of good faith and alleged that the cooperative's sponsor breached its duty to dispose of shares within a reasonable time by retaining a majority of shares in the building and allowing the offering plan to lapse, and rejecting purchase offers for unsold units (*id.* at 150-151). We held that, "particularly in light of the sponsor's duty imposed by the Attorney General not to abandon the offering plan after filing an effectiveness amendment," plaintiffs' contract cause of action withstood the sponsor's CPLR 3211 motion to dismiss (*id.* at 153). That case does not, however, stand for a general proposition that a plaintiff can invoke the implied covenant by simply alleging that a defendant's conduct "drastically undermined a fundamental objective of the parties' contract" (34 F4th at 1001). Rather, the implied duty must arise from the contract and the promisee's reasonable expectations (*Jennifer Realty*, 98 NY2d at 153).

Here, Cordero claims that the anti-assignment provisions provide that reasonable expectation because they can be read to require issuers and obligors to protect plaintiffs from their own actions by objecting to their attempts to make further assignments. This theory is, of course, dependent on the view that the anti-assignment provisions in structured settlement and qualified assignment agreements are, at least in part, for a plaintiff's benefit. Even assuming that is true, however, a reasonable person in the position of such a plaintiff would not be justified in believing, at the time the agreements were made, that the anti-assignment provisions required the issuer and obligor to object to any attempt the plaintiff made to execute prohibited assignments as part of an SSPA proceeding in which the court is charged with determining whether the transfer is "in the best interests of the payee" (Fla Stat § 626.99296 [3] [a] [3]; *see also* General Obligations Law § 5-1706 [b]).

To hold otherwise would create an implied fiduciary duty—on the part of issuers or obligors—to protect a plaintiff from the consequences of their own breach. Structured settlement agreements, however, do not contemplate a fiduciary relationship. Implying a fiduciary duty into a standard structured settlement agreement would be contrary to this Court's hesitation to "transport" contracting parties "to the higher realm of [a fiduciary] relationship and fashion the stricter duty for them" when they have not "create[d] their own relationship of higher trust" in the contract's express terms (*Northeast Gen. Corp. v Wellington Adv.*, 82 NY2d 158, 162 [1993]). Instead, under the SSPA, the court, not the issuer or obligor, is tasked with being the gatekeeper who determines whether a plaintiff's assignment of periodic payments under a structured settlement agreement is in their best interests.

Accordingly, the certified question, as reformulated, should be answered in the negative.

Rivera, J. (dissenting).

> "There is no level of exposure to lead that is known to be without harmful effects" (World Health Organization, Lead Poisoning, https://www.who.int/news-room/fact-sheets/detail/lead-poisoning-and-health [last updated Aug. 31, 2022]).
>
> "The neurological and behavioural effects of lead are believed to be irreversible" (*id.*).

The Eleventh Circuit has asked us to clarify the scope of New York's implied covenant of good faith and fair dealing as applied to a tort victim's structured settlement and annuity agreements. Plaintiff Lujerio Cordero's federal complaint alleges that he suffers from mental impairment caused by childhood lead poisoning and that defendants, Transamerica Annuity Service Corporation and Transamerica Life Insurance Company, and their predecessor, issued and funded the settlement proceeds to which he is entitled through periodic annuity payments. Shortly after the annuity payments commenced, predatory companies took advantage of his cognitive limitations to persuade him to sell them the payments in exchange for a pittance. Plaintiff further alleges that despite the anti-assignment clauses in the structured settlement documents, defendants failed to make any effort to further the interests protected by these clauses and thus undermined the purpose of the settlement.

In reformulating the question before this Court, the majority recenters the analysis purely on the question of whether the issuer and obligor have a duty to object during an SSPA proceeding. That reformulation loses the forest for the trees. Instead, I read the Eleventh Circuit's certified question to require a response as to the scope of the implied covenant of good faith and fair dealing given the facts as alleged by the plaintiff. I agree with the majority that the implied covenant does not require defendants to object to the settlement transfers in a statutorily mandated Florida state judicial proceeding to approve those transfers. However, this case must be decided on the principle that the implied covenant between plaintiff and Transamerica represents an implied promise that defendants will not undermine the purpose of the agreements' anti-assignment clauses: to provide plaintiff with the requisite financial resources to secure an independent and stable life. In the case of plaintiff, who alleges that he is unable to appreciate the consequences of the transfers due to the harm caused by environmental lead toxin exposure, the covenant encompasses a duty to disclose his mental impairment to the state court.[1]

1. The majority contends that my reformulation of the certified question would not be determinative of the cause pending before the Eleventh Circuit (*see* majority op at 408-409). However, the majority construes the "cause" too narrowly (NY Const, art VI, § 3 [b] [9]). The ultimate question pending before the Eleventh Circuit is whether the District Court erred in granting defendants' motion to dismiss plaintiff's breach of contract claim for failure to state a cause of action under Federal Rules of Civil Procedure rule 12 (b) (6). The answer to my proposed reformulation seeks to define the scope of the contractual duty owed by defendants to plaintiff under the facts alleged in the complaint. Surely, then, the answer to my proposed reformulation may be determinative of the ultimate question. Moreover, in asserting that I have impermissibly strayed from the Eleventh Circuit's presentation of the legal and factual issues, the majority ignores that the Eleventh Circuit "d[id] not intend to restrict the issues considered by [this Court] or to limit [this

(n. cont'd)

Plaintiff's action does not arise in a vacuum. In light of the extensive scientific evidence documenting the devastating effects of lead poisoning on human cognitive function, local, state, and federal authorities have promulgated strict regulations to protect citizens from residential lead exposure. And where those regulations fail, New York law provides robust private tort remedies for impacted citizens, and both Congress and the New York State Legislature have enacted structured settlement regimes to protect tort victims from the rapid dissipation of their settlements. I dissent today to affirm that New York law governing the implied covenant of good faith and fair dealing to a tort victim's breach of contract action must be read with consideration of the unique historical and legal context in which the parties entered their agreements.

I.

Lead Poisoning

The toxicity of lead "has been recognised since at least the second century BCE, when the Greek physician Discorides observed that 'lead makes the mind give way' " (Philip J. Landrigan, *Lead and the heart: an ancient metal's contribution to modern disease*, Lancet Pub Health, vol 4, No. 4, at e156 [Mar. 12, 2018], available at https://www.thelancet.com/journals/lanpub/article/PIIS2468-2667(18)30043-4/ [last accessed Mar. 21, 2023]; *see* Karla A. Francken, Comment, *Lead-Based Paint Poisoning Liability: Wisconsin Realtors, Residential Property Sellers, and Landlords Beware*, 77 Marq L Rev 550, 550 [1994]). By the early 1920s, physicians were aware that childhood lead poisoning caused by lead-based paint was a widespread problem. Some countries enacted measures to ban or restrict

Court's] discretion in choosing how to frame or answer the[ ] issues in the light of the facts of this case," and "ask[ed] broadly for [our] help in getting the state law right" (*Cordero v Transamerica Annuity Serv. Corp.*, 34 F4th 994, 1002 [11th Cir 2022] [internal quotation marks omitted]). The majority correctly notes that the Eleventh Circuit focused on whether defendants "had a duty to 'enforce' the anti-assignment language" in the settlement agreement (*id.* at 999; *see* majority op at 409), but fails to appreciate that, as plaintiff has argued before this Court, defendants could discharge that enforcement duty by disclosing relevant information about plaintiff's impairment to the SSPA court. As plaintiff points out, defendants have previously disclosed information to Florida courts in SSPA proceedings. And to the extent the majority implies otherwise, the complaint asserts that defendants "knew or should have known" that plaintiff lacked the capacity to transfer his structured settlement rights.

the use of lead paint on interior surfaces at that time (*see* Richard Rabin, *Warnings Unheeded: A History of Child Lead Poisoning*, 79 Am J Pub Health 1668, 1669 [1989]). The City of New York banned the use of lead-based paint on interior building surfaces in 1960 (*see Juarez v Wavecrest Mgt. Team*, 88 NY2d 628, 641 [1996]). In 1970, the State of New York enacted legislation to prevent and control lead poisoning based on findings that "lead poisoning in children ha[d] become a major public health concern" (L 1970, ch 338, § 1). Soon after, Congress enacted legislation prohibiting the use of lead-based paint in residential structures built by or with the assistance of the federal government (*see* Pub L 91-695, 84 US Stat 2079 [91st Cong, Jan. 13, 1971]; 42 USC § 4831).

Beginning in the 1970s, research demonstrated that lead caused "irreversible, asymptomatic effects far below levels previously considered safe" (Marie Lynn Miranda et al., *The Relationship between Early Childhood Blood Lead Levels and Performance on End-of-Grade Tests*, Envt Health Persps, vol 115, No. 8 at 1242 [Aug. 2007]). In 1991, the U.S. Centers for Disease Control (CDC) issued a Strategic Plan for the Elimination of Childhood Lead Poisoning that declared this toxin-induced malady "the most common and societally devastating environmental disease of young children" (U.S. Department of Health and Human Services, Public Health Service, Centers for Disease Control, Strategic Plan for the Elimination of Childhood Lead Poisoning at xi [Feb. 1991]; *see also Juarez*, 88 NY2d at 641 ["(c)hildhood lead-paint poisoning may be the most significant environmental disease in New York City"]). In the strategic plan, the CDC explained that lead was "particularly harmful to the developing brain," and sounded the alarm that even relatively low blood lead levels were found to be associated with "decreased intelligence," "slower neurobehavioral development," and "behavioral disturbances" (Strategic Plan for the Elimination of Childhood Lead Poisoning at 5). The CDC referenced a 1990 study which showed that, "for children who had been exposed to moderate lead levels in preschool years, the odds of those children dropping out of high school were seven times higher, and the odds of a significant reading disability were six times higher than for children exposed to lower lead levels" (*id.* at 6). Such evidence demonstrated "[t]he apparent persistence or irreversibility of many of lead's neurobehavioral effects" (*id.*). The CDC further noted that "millions of children" had dangerously high blood lead levels, but that abatement of lead paint had, up to that point, been "neither widespread nor effective" (*id.* at ii). Indeed, in the early 1990s, lead paint still covered the walls of two thirds of New York City dwellings despite the implementation of federal and local legislation prohibiting the use of lead paint (*see Juarez*, 88 NY2d at 641, citing 1993 Final Rep of Mayor's Advisory Comm to Prevent Childhood Lead-Paint Poisoning at 1). In Westchester County, where plaintiff lived for a period of time, "many children are potentially at risk for lead related, lifelong learning disabilities, behavioral problems and other serious health issues" due to the fact that 85% of homes were constructed prior to the enactment of the 1978 federal lead paint legislation (Westchester County, Lead Paint, https://homes.westchestergov.com/lead-paint).

The devastating effects of lead poisoning are also lifelong. Exposure to low levels of lead commonly "increases the need for enrollment in special education services, reduces the likelihood of high school and college graduation, [and] lowers lifetime earnings" (*see* Karen Syma Czapanskiy, *Structured Settlement Sales and Lead-Poisoned Sellers: Just Say No*, 36 Va Envt LJ 1, 5-6 [2018] [internal quotation marks omitted]). Thus, children affected by lead exposure may have difficulty learning to read (*see id.* at 6). They also commonly encounter behavioral issues, such as "impulsivity, aggression, and short attention span" (*id.* [internal quotation marks omitted]). These impacts are long-lasting and result in lower cognitive functioning and socioeconomic status into adulthood (*see* Aaron Reuben et al., *Association of Childhood Blood Lead Levels with Cognitive Function and Socioeconomic Status at Age 38 Years and With IQ Change and Socioeconomic Mobility Between Childhood and Adulthood*, JAMA, vol 317, No. 12 at 1244 [Mar. 28, 2017], available at https://jamanetwork.com/journals/jama/fullarticle/2613157 [last accessed Mar. 23, 2023]). Notably, lead poisoning impairs a person's executive functioning, which leaves that person particularly ill-equipped to understand the ramifications of selling their structured settlement rights to a factoring company (*see* Czapanskiy at 6-7).

At the time of the CDC's 1991 plan, researchers understood that childhood blood lead levels of 10 micrograms per deciliter (ug/dL) adversely affected neurobehavioral development. However, they did not fully understand the impact of lower blood lead levels (*see* Strategic Plan for the Elimination of Childhood Lead Poisoning at 6). Later research showed that blood lead levels as low as 5 ug/dL were associated with "severe declines" in intelligence (Marie Lynn Miranda et al. at 1242). In 2012, the CDC changed its threshold "level of concern" of 10 ug/dL to a "reference value" of 5 ug/dL (*see* Centers for Disease Control and Prevention, Childhood Lead Poisoning Prevention, Blood Lead Reference Value, https://www.cdc.gov/nceh/lead/data/blood-lead-reference-value.htm [last accessed Mar. 22, 2023]). In 2021, the CDC lowered the reference value from 5 ug/dL to 3.5 ug/dL (*see id.*), for "even blood lead concentrations as low as 3.5 ug/dL may be associated with decreased intelligence in children, behavioural difficulties and learning problems" (World Health Organization, Lead Poisoning, https://www.who.int/news-room/fact-sheets/detail/lead-poisoning-and-health). One study from 2009 concluded that reducing blood lead levels to less than 1 ug/dL among all U.S. children would significantly increase rates of high school graduation and decrease crime, producing an overall societal savings of $1.2 trillion annually (*see* Peter Muennig, *The Social Costs of Childhood Lead Exposure in the Post-Lead Regulation Era*, Archives Pediatrics & Adolescent Med, vol 163, No. 9 at 844 [Sept. 2009], available at https://jamanetwork.com/journals/jamapediatrics/fullarticle/382153).

More recent research has revealed the lasting health impacts of lead in the environment. A 2021 study concluded that more than half of U.S. adults had elevated blood lead levels in early childhood (*see* Michael J. McFarland et al., *Half of US population exposed to adverse lead levels in early childhood*, PNAS, vol 119, No. 11, Mar. 7, 2022, available at https://www.pnas.org/doi/10.1073/pnas.2118631119 [last accessed Mar. 21, 2023]). According to the World Health Organization, young children "absorb 4-5 times as much ingested lead as adults," and as such are particularly vulnerable to lead's long-term effects (World Health Organization, Lead Poisoning, https://www.who.int/news-room/fact-sheets/detail/lead-poisoning-and-health [last updated Aug. 31, 2022]). Once lead is absorbed, "it is distributed to organs such as the brain, kidneys, liver and bones," and accumulates in the teeth and bones (*id.*). "Undernourished children" are at even greater risk, because their bodies absorb more lead when other nutrients are absent (*id.*).

When lead exposure reaches the highest levels, "lead attacks the brain and central nervous system, causing coma, convulsions and even death" (*id.*). Even if a child survives severe lead poisoning, they may be affected by "intellectual disability and behavioural disorders" (*id.*). Indeed, "[t]he neurological and behavioural effects of lead are believed to be irreversible" (*id.*).

Because lead is present in older buildings, including historic buildings, children across a wide economic spectrum are at risk of exposure (*see* Yale Medicine, Lead Poisoning [in Children], https://www.yalemedicine.org/conditions/lead-poisoning-in-children [last accessed Mar. 30, 2023]). However, childhood lead poisoning is most prevalent in communities with high rates of poverty—neighborhoods where Black and Latino children are more likely to live than White children (*see* Emily A. Benfer, *Contaminated Childhood: How the United States Failed to Prevent the Chronic Lead Poisoning of Low-Income Children and Communities of Color*, 41 Harv Envt L Rev 493, 504 [2017]; World Health Organization, Lead Poisoning, https://www.who.int/news-room/fact-sheets/detail/lead-poisoning-and-health ["the very young (including the developing fetus) and the economically disadvantaged" are at greatest risk of lead poisoning]). As an unsurprising consequence, poisoning from lead-based paint—like other environmental toxic conditions—disproportionately impacts communities of color at strikingly high rates (United States Environmental Protection Agency, Science Inventory, Environmental Risk and Impact in Communities of Color and Economically Disadvantaged Communities, https://cfpub.epa.gov/si/si_public_record_report.cfm?Lab=NERL&dirEntryId=56219 [last accessed Mar. 30, 2023]). Black children are almost three times more likely to have elevated blood lead levels than White children, and "[i]n one study, lead toxicity prevalence rates in Black and [Latino] neighborhoods topped 90% of the child population" (Benfer, 41 Harv Envt L Rev at 505).

II.

Lead Paint Regulations and Litigation

As explained above, in 1960, New York City enacted local legislation prohibiting the use of lead-based paint on interior surfaces (*see Juarez*, 88 NY2d at 641). In 1982, the City Council passed legislation placing upon landlords a duty to "remove or cover" paint with a hazardous level of lead in any leased premises where a child under seven years of age resides (*see id.* at 641-642, quoting former Administrative Code of City of NY § 27-2013 [h] [1]). The 1982 provision created "a presumption of notice and imposed a specific duty on landlords to maintain their leased premises in reasonably safe condition with respect to lead paint hazards" and "to abate lead paint hazards," and instructed that breaching these duties exposed New York City landlords to tort liability (*Chapman v Silber*, 97 NY2d 9, 20 [2001], citing *Juarez*, 88 NY2d at 642). Moreover, in *Chapman*, the Court relied on common-law premises liability principles to conclude that, where there is no controlling local legislation, landlords throughout the state may be held liable for a child's lead paint exposure where

> "the landlord (1) retained a right of entry to the premises and assumed a duty to make repairs, (2) knew that the apartment was constructed at a time before lead-based interior paint was banned, (3) was aware that paint was peeling on the premises, (4) knew of the hazards of lead-based paint to young children[,] and (5) knew that a young child lived in the apartment" (*id.* at 15).

The current New York City lead paint regime, established by Local Law No. 1 (2004) of the City of New York and since amended from time to time (*see* New York City Department of Housing Preservation & Development, Lead-Based Paint, https://www.nyc.gov/site/hpd/services-and-information/lead-based-paint.page [last accessed Mar. 30, 2023]), is set forth in title 27 of the Administrative Code (*see* Administrative Code § 27-2056.1 *et seq.*). Landlords must provide tenants with an annual notice inquiring whether a child under six years of age resides in the leased premises (*see id.* § 27-2056.4 [d] [1]; [e], as amended by Local Law No. 40 [2021] of City of NY).[2] If such a child resides there, the landlord is obligated to investigate the premises for lead paint hazards and remediate them (*see id.* § 27-2056.4 [a]). Dwellings constructed before 1960 are presumed to contain lead paint (*see id.* § 27-2056.5, as amended by Local Law No. 66 [2019] of City of NY). Landlords must provide tenants with a pamphlet developed by the City Department of Health and Mental Hygiene which describes the hazards associated with lead-based paint and the landlord's responsibilities to remediate such hazards (*see id.* § 27-2056.4 [c]; *see also* § 17-179 [b], as amended by Local Law No. 40 [2021] of City of NY).

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2. The notice is made available online by the New York City Housing and Preservation Department (*see* https://www.nyc.gov/assets/hpd/downloads/pdfs/services/annual-notice-hpd.pdf [last accessed Mar. 22, 2023]).

Community organizations have long used litigation as a tool to protect children from lead poisoning. For example, in *Matter of Community Action Against Lead Poisoning v Lyons*, the petitioners brought a mandamus proceeding to compel Albany County officials to, among other things, "conduct and cause to be conducted a blood level screening program for all children under the age of six years in designated census tracts in the City of Albany," "compel landlords to delead dwellings found to contain a lead paint hazard," and implement "a lead poisoning control program" (43 AD2d 201, 203 [3d Dept 1974]). The Third Department dismissed the petition on the ground that mandamus did not lie, but purported to do so without "minimizing the tremendous problem of lead poisoning and its terrible threat to the well-being of young children" (*id.*). In a later case, a court concluded that New York City officials could be held liable for damages under a theory that their failure to enforce local and federal lead paint regulations "contribute[d] to the existence of lead poisoning in children" (*New York City Coalition to End Lead Poisoning v Koch*, 138 Misc 2d 188, 189 [Sup Ct, NY County 1987], *affd* 139 AD2d 404 [1st Dept 1988]).

Apart from these efforts to address the front-end problem of residential lead contamination and its effect on children, regulators and law enforcement agencies have also focused on protecting victim compensation from predatory actors, including factoring companies. A factoring company purchases a tort victim's structured settlement rights in exchange for a lump sum that is, as the majority notes, typically far less than the aggregate value of the settlement payments (*see* majority op at 404). When these companies emerged in the early 1990s, they launched aggressive advertising campaigns enticing tort victims to trade their structured settlements for cash (*see* Daniel W. Hindert & Craig H. Ulman, *Transfers of Structured Settlement Payment Rights: What Judges Should Know About Structured Settlement Protection Acts*, 44 Judges' J 19 [spring 2005]). This financial model may work well for a business that needs to build cash flow, but factoring companies have a history of predatory and coercive practices that result in tremendous financial loss for tort victims (*see id.* at 20; James Gordon, Note, *Enforcing and Reforming Structured Settlement Protection Acts: How the Law Should Protect Tort Victims*, 120 Colum L Rev 1549, 1566 [2020]).

Factoring companies used dubious means to subvert the anti-assignment language that appears in most structured settlement contracts. Specifically, these companies have instructed tort victims to redirect payments to factoring company addresses without telling annuity issuers (*see* Hindert & Ulman at 19-20). As early as 1995, factoring transactions that allegedly violated settlement agreements sparked litigation between factoring companies, annuity issuers, and structured settlement recipients (*see* Adam F. Scales, *Against Settlement Factoring? The Market in Tort Claims Has Arrived*, 2002 Wis L Rev 859, 901-902 [2002]; *see also Western United Life Assur. Co. v Hayden*, 64 F3d 833 [3d Cir 1995]). In 2016, the federal Consumer Financial Protection Bureau (CFPB) filed a complaint in federal district court against a factoring company "for an illegal scheme in which victims of lead-paint poisoning and others were deceived into signing away future settlement payments in exchange for a significantly lower lump-sum payout" (Consumer Financial Protection Bureau, *CFPB Sues Access Funding for Scamming Lead-Paint Poisoning Victims Out of Settlement Money*, Nov. 21, 2016, https://www.consumerfinance.gov/about-us/newsroom/cfpb-sues-access-funding-scamming-lead-paint-poisoning-victims-out-settlement-money/ [last accessed Mar. 23, 2023]).

As with the well-known effects of lead poisoning on children like plaintiff, when the parties entered the settlement and assignment agreements, governmental regulation and tort litigation were common responses to this public health crisis. Similarly, the predatory conduct of factoring companies had been identified as a deceptive practice targeting tort victims.

III.

Federal and State Laws

The majority succinctly presents the relevant federal and state laws and I add the following for additional context.

Congress enacted the Periodic Payment Settlement Act (PPSA) in part to ensure that "tort victims, particularly minors, do not squander their settlement proceeds" (majority op at 403). The PPSA provides favorable tax treatment both to tort plaintiffs who agree to receive a structured settlement and to life insurance companies that accept a payment from a tort defendant to purchase an annuity to fund the structured settlement (*see* 26 USC § 130 [c]; Laura J. Koenig, *Lies, Damned Lies, and Statistics? Structured Settlements, Factoring, and the Federal Government*, 82 Ind LJ 809, 811-812 [2007]). Minimizing dissipation of lump sum awards addressed the greater societal concern that the tort victim would eventually become a public charge, thus shifting the burden from the private tortfeasor—plaintiff's landlord—to the taxpayers.

Factoring company practices ultimately prompted state legislators to intervene, and in 1997, the first State Structured Settlement Protection Act passed in Illinois (*see* Hindert & Ulman at 19). Judicial approval is the "cornerstone" of each state's Structured Settlement Protection Act (SSPA) (Daniel W. Hindert et al., Structured Settlements and Periodic Payment Judgments § 16.04 [3] [b] [Oct. 2022]). Under the New York and Florida SSPAs, a court cannot approve a transfer unless it is in the "best interest of the payee" (*see* General Obligations Law § 5-1706 [b]; Fla Stat § 626.99296 [3] [a] [3]; *see also* Structured Settlements and Periodic Payment Judgments § 16.04 [3] [b]). New York courts have observed that structured settlements are "designed to preserve the injured person's long-term financial security," and may conclude that a transfer is not in the payee's best interest if it will "jeopardiz[e] or irreparably impair[ ] the financial security afforded to the payee. . . by the periodic payments" (*Matter of J.G. Wentworth Originations LLC v Genworth Life Ins. Co. of N.Y.*, 68 Misc 3d 1206[A], 2020 NY Slip Op 50874[U], *3 [Sup Ct, Kings County 2020]; *see Matter of Settlement Capital Corp. [Ballos]*, 1 Misc 3d 446, 455 [Sup Ct, Queens County 2003]). Indeed, the Legislature did not intend the courts of this State "to be mere rubber stamps" on these transactions (*Matter of Settlement Capital Corp.*, 1 Misc 3d at 461; *see Matter of RSL Funding, LLC [M.G.N.]*, 71 Misc 3d 1205[A], 2021 NY Slip Op 50279[U], *7 [Sup Ct, Rensselaer County 2021]).

A transfer may not be in the payee's best interest where they would receive a sum substantially less than "the price that a reasonably prudent purchaser would pay for such annuity on the open market" (*Matter of Settlement Funding of N.Y. LLC v Solivan*, 8 Misc 3d 1006[A], 2005 NY Slip Op 50946[U], *2 [Sup Ct, Kings County 2005]; *see also J.G. Wentworth Originations, LLC*, 68 Misc 3d 1206[A], 2020 NY Slip Op 50874[U], *2), or where the payee intends to use the funds "to ease relatively minor financial burdens" such as paying off credit card debt or other loans (*Matter of RSL Funding, LLC [M.G.N.]*, 71 Misc 3d 1205[A], 2021 NY Slip Op 50279[U], *7; *see Matter of Barr v Hartford Life Ins. Co.*, 4 Misc 3d 1021[A], 2004 NY Slip Op 50980[U], *4 [Sup Ct, Nassau County 2004]). On the other hand, an unfavorable transfer may be in the payee's best interests where the funds are necessary to avoid foreclosure on the payee's home or to receive life-saving medical treatment (*see Matter of RSL Funding, LLC [M.G.N.]*, 71 Misc 3d 1205[A], 2021 NY Slip Op 50279[U], *7), although the court is not required to find that the payee is "suffering from a hardship" (General Obligations Law § 5-1706 [b]).

Courts have also considered "the demonstrated ability of the payee to appreciate the financial terms and consequences of the proposed transfer" (*Matter of Settlement Capital Corp. v Yates*, 12 Misc 3d 1198[A], 2006 NY Slip Op 51616[U], *6 [Sup Ct, Kings County 2006]), as well as the payee's "age, mental capacity, physical capacity, maturity level, independent income, and ability to support dependents" (*Matter of Settlement Funding of N.Y.*, 2 Misc 3d 872, 876 [Sup Ct, Lewis County 2003]; *see Settlement Capital Corp. v State Farm Mut. Auto. Ins. Co.*, 646 NW2d 550, 556 [Minn Ct App 2002]). In one case, a court initially declined to move forward with a hearing on a transfer petition where the payee appeared "disoriented" and was unable "to explain the most basic terms" of the transfer (*Matter of RSL Funding, LLC [M.G.N.]*, 71 Misc 3d 1205[A], 2021 NY Slip Op 50279[U], *4). Courts of other jurisdictions similarly consider the payee's mental capacity and level of education before approving a transfer of structured settlement rights, as the consideration of such diminished capacity allows the trial court to "arriv[e] at an informed decision" on the best interests of the payee (*In re Rains*, 473 SW3d 461, 464 [Tex Ct App, Amarillo 2015]; *see Settlement Capital Corp. v State Farm Mut. Auto Ins. Co.*, 646 NW2d 550, 556 [Minn Ct App 2002]; *Matter of Keena*, 442 NJ Super 393, 401, 123 A3d 1052, 1057-1058 [2015]).

Case law interpreting the Florida SSPA is sparse, but the statute clearly announces that its purpose is "to protect recipients of structured settlements who are involved in the process of transferring structured settlement payment rights" (Fla Stat § 626.99296 [1]). Further, the Florida Legislature recognized that "the long-term financial security of the injured claimant" would be "at risk" where "the claimant does not understand the terms or consequences" of a transfer agreement with a factoring company (2001 Florida Senate Bill 108, Senate Staff Analysis and Economic Impact Statement at 3). Thus, before a Florida court may approve a transfer of structured settlement rights, the court must make "written express findings" that the factoring company provided the payee with "a disclosure statement in bold type, no smaller than 14 points in size," which includes information such as the "aggregate amount" of the periodic payments, the "gross amount payable to the payee in exchange for the payments," an itemized list of fees and costs deductible from the gross amount, and "[t]he effective annual interest rate" paid to the factoring company (Fla Stat § 626.99296 [3] [a] [2] [b], [d], [e], [g]). The court must further find that "the net amount payable to the payee is fair, just, and reasonable under the circumstances then existing" (*id.* subsec [3] [a] [6]), the payee received or waived the right to receive "independent professional advice" regarding the implications of the transfer (*id.* subsec [3] [a] [4]), and the transfer does not "contravene other applicable law" (*id.* subsec [3] [a] [1]). In addition, the factoring company must notify the annuity issuer of the transfer and include copies of the transfer agreement and the disclosure statement (*see id.* subsec [4] [a]). The annuity issuer is invited to file "a written objection" with the court where a proposed transfer "contravene[s] the terms of the structured settlement" (*id.* subsec [3] [b]). The court "may grant, deny, or impose conditions upon the proposed transfer which the court deems just and proper given the facts and circumstances" (*id.*).

In addition, in cases where a "minor or incompetent person" brings a civil action and is not otherwise represented, "[t]he court shall appoint a guardian ad litem for [the] minor or incompetent person . . . or shall make such other order as it deems proper for the protection of the minor or incompetent person" (Fla Rules of Civ Pro rule 1.210 [b]). Florida courts have held that "[t]he policy of the rule is that the court should [e]nsure that the interests of the incompetent party will be protected until someone is qualified to succeed to [their] interests" (*Paul v Gonzalez*, 960 So 2d 858, 862 [Fla Dist Ct App 2008]).

IV.

Plaintiff's Federal Action

With this backdrop I now turn to plaintiff's federal action.

When plaintiff was two years old, his mother sued their landlord on his behalf over lead poisoning caused by exposure to lead paint and chips in their New York City apartment. The parties settled and eventually agreed to payment through a 30-year annuity in $3,183.94 monthly installments commencing when plaintiff turned 18 years old, for an approximate total payment of $1.1 million. The obvious purpose of the agreements was to provide a regular payment stream so that plaintiff could live a financially stable and independent life. The structured settlement had the added tax benefits provided under federal law.

As is obvious from the discussion above (*see* parts I & II, *supra*), by the time the parties executed the settlement agreement and qualified assignment in 1996, "[t]he serious health hazard posed to children by exposure to lead-based paint" had been "well established" (*Juarez v Wavecrest Mgt. Team*, 88 NY2d 628, 640 [1996]). The parties could not help but appreciate that plaintiff was one of the thousands of children of color who would suffer lifelong cognitive impairment from lead poisoning.

Despite the parties' agreement terms and governmental efforts to minimize imprudent or unwary dissipation of tort victims' settlement monies, plaintiff transferred his entire settlement to factoring companies less than four years into the annuity payments. In six transfers over the course of two years, he transferred the rights to the annuity payments in exchange for a mere fraction their value. As a result, he did not receive even half the amount to which he was entitled. For example, in one transfer, plaintiff received $15,000 in exchange for $90,000 worth of monthly payments. In another, he received only $22,000 for aggregate payments of $167,134.42. In total, plaintiff received $268,130 from the factoring companies for structured settlement payments worth an aggregate value of $959,834.42.

With his settlement funds depleted, plaintiff sued in Florida federal district court. He alleged that he was a victim of predatory factoring companies that took advantage of the cognitive impairment which made him unable to appreciate the consequences of these transfers.[3]

The second amended complaint alleges that defendants breached the settlement and assignment agreements, in particular the anti-assignment clauses intended to ensure plaintiff

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3. The status of the factoring companies that purchased plaintiff's annuity payments is unclear. According to the complaint and the materials in the record, plaintiff transferred his payments to three Florida entities: (1) Singer Asset Finance Company, LLC; (2) Alliance Asset Funding, LLC, which is alleged to be an affiliate of Singer; and (3) Liberty Settlement Solutions, LLC. Records from the Florida Department of State reveal that Singer and Alliance are inactive entities which have not filed an annual report since 2015

(n. cont'd)

enjoyed the benefits of the settlement, by failing to take any action to ensure the proper enforcement of these clauses.

In addition to describing generally the harm to cognitive function caused by lead exposure, the complaint alleges specifically that plaintiff "suffered lead poisoning . . . causing debilitating and permanent health handicaps, particularly as to his cognitive capacity" and that his "mental handicaps, as foreseen in the structured settlement agreement, continued as an adult," he could not pass the GED examination, "and his long-term employment prospects for anything other than low-grade jobs vary between bleak and nonexistent."

The complaint discusses the federal PPSA and its intent to encourage structured settlements with tax benefits directed to incentivize participation by the insurance industry while increasing the value of the settlement for tort victims. According to the complaint, "[s]tructured settlements were both a means to provide injured persons with long-term financial security and protect the public from persons who might otherwise become public charges."

The complaint also alleges that the provision of the PPSA exempting periodic settlement payments from federal income tax liability generated a multibillion dollar marketplace for structured settlement annuities. A structured settlement may have greater value than the aggregate value of the payments

(*see* Florida Department of State, Division of Corporations, Sunbiz.org, https://search.sunbiz.org/Inquiry/CorporationSearch/SearchResultDetail?inquirytype=EntityName&directionType=Initial&searchNameOrder=ALLIANCEASSETFUNDING%20L050000508210&aggregateId=flal-l05000050821-60ad136e-7377-4818-815d-4ab81d35010e&searchTerm=alliance%20asset%20funding&listNameOrder=ALLIANCEASSETFUNDING%20L050000508210 [Alliance]; https://search.sunbiz.org/Inquiry/CorporationSearch/SearchResultDetail?inquirytype=EntityName&directionType=Initial&searchNameOrder=SINGERASSETFINANCE%20M950000002990&aggregateId=forl-m95000000299-3d490d88-e859-420c-8408-338a2b58f992&searchTerm=singer%20asset%20finance%20company&listNameOrder=SINGERASSETFINANCE%20M950000002990 [Singer]). Singer has a LinkedIn profile, but the link to its website provided on the profile is no longer functional (*see* https://www.linkedin.com/company/singer-asset-finance-company-l-l-c-). Liberty Settlement Solutions, LLC is listed as "inactive pending reinstatement" and has not filed an annual report since 2017 (*see* Florida Department of State, Division of Corporations, Sunbiz.org, https://search.sunbiz.org/Inquiry/CorporationSearch/SearchResultDetail?inquirytype=EntityName&directionType=Initial&searchNameOrder=LIBERTYSETTLEMENTSOLUTIONS%20L110000938050&aggregateId=flal-l11000093805-30e5107a-9b26-43f3-8d62-7076db09199e&searchTerm=liberty%20settlement%20solutions&listNameOrder=LIBERTYSETTLEMENTSOLUTIONS%20L110000938050). However, the business appears to be still operating under the name Liberty Settlement Funding (*see* https://www.libertysettlementfunding.com/about-us/).

as a lump sum, as the income earned through a lump sum would be taxable whereas income earned through an annuity would not.

The complaint explains how factoring companies use coercive tactics to secure rights to tort victims' settlement funds and how plaintiff was targeted by these companies. According to the complaint, even the insurance industry took note of these predatory practices and formed a trade association—the National Structured Settlements Trade Association (NSSTA). The NSSTA and a trade association of factoring companies agreed on a legislative proposal which resulted in a state Model Structured Settlement Protection Act. The complaint further states that other major life insurance companies, including Berkshire Hathaway, Metropolitan Life, and Independent Life, have established programs to protect structured settlement holders from predatory transfers initiated by factoring companies. It alleges that defendant Transamerica is not a member of NSSTA and "makes no effort to address factoring abuse."

The complaint then describes the settlement and annuity agreements, both of which contain anti-assignment clauses providing that plaintiff shall not have "the power to sell, mortgage, encumber or anticipate [the periodic payments], or any part thereof, by assignment or otherwise," and "[n]one of the Periodic Payments may be accelerated, deferred, increased or decreased and may not be anticipated, sold, assigned or encumbered." The complaint further alleges that plaintiff is the direct or third-party beneficiary because only he could be injured by a breach of the anti-assignment clauses.

The complaint explains that each of the six transfers that resulted in the complete sale of plaintiff's settlement to factoring companies were claimed to be for payment of outstanding debts, educational expenses related to obtaining a GED, and a new vehicle. The complaint alleges that, in fact, plaintiff's debts constituted a fraction of the payments he received through the transfers, and the cost of obtaining a GED was likewise minimal.

The complaint asserts that "[d]efendants failed to disclose to the state court that the Payee's purported rationales for the immediate needs for cash contained in the stipulations were fictitious, duplicitous and misleading." It further claims that: defendants "knew or recklessly disregarded facts showing or should have known before agreeing to these transfers"; "[t]he [t]ransfers were not in Lujerio's best interests, and the grounds supposedly justifying [his] use of the transferred funds were pre-packaged language certain to have been solely the consequence of instruction and drafting by the [t]ransferee's salesmen"; "Lujerio's 'waiver of independent professional advice' was secured on identical forms prepared by the factoring companies when he had no knowledge or awareness of what such a waiver even was, let alone its implications"; the Florida court orders declaring the transfers fair and reasonable were "an artificial determination made by overworked courts based on the absence at a hearing of Lujerio or anyone on his behalf"; plaintiff "had no power under the anti-assignment clause to authorize the sale or assignment of his structured settlement payments, and was known by [d]efendants to be either a direct or intended third party beneficiary of that clause" (emphasis omitted); and "[t]he sales could have been prevented by [defendants] simply objecting and invoking the anti-assignment clause, after a minimal investigation demonstrated [plaintiff's] lead-poisoned status."

The Eleventh Circuit certified the following question: "Does a plaintiff sufficiently allege a breach of the implied covenant of good faith and fair dealing under New York law if he pleads that the defendant drastically undermined a fundamental objective of the parties' contract, even when the underlying duty at issue was not explicitly referred to in the writing?"

The majority reformulates this certified question to whether defendants have a duty to object. For the reasons explained above, I would reformulate the question as follows:

Does the implied covenant of good faith and fair dealing under New York law encompass a promise that defendant will not undermine the purpose of the parties' settlement and annuity agreements to secure a steady cash flow intended to provide a cognitively impaired plaintiff with a financially stable and independent life, thus requiring that defendants disclose plaintiff's diminished mental capacity in a statutorily mandated state SSPA judicial proceeding to approve transfers of the plaintiff's settlement funds?

As reformulated, the question should be answered in the affirmative.

V.

Implied Covenant of Good Faith and Fair Dealing

The covenant of good faith and fair dealing is implied in all contracts governed by New York law (*see 511 W. 232nd Owners*

Corp. v Jennifer Realty Co., 98 NY2d 144, 153 [2002]). It is well settled that the covenant includes "a pledge that neither party shall do anything which will have the effect of destroying or injuring the right of the other party to receive the fruits of the contract," as well as "any promises which a reasonable person in the position of the promisee would be justified in understanding were included" (*id.* [internal quotation marks omitted]; *see Dalton v Educational Testing Serv.*, 87 NY2d 384, 389 [1995]). In *Jennifer Realty*, our Court concluded that the plaintiffs sufficiently pleaded a breach of contract claim because the sponsor undertook a duty at a minimum "to timely sell so many shares in the building as necessary to create a fully viable cooperative" (98 NY2d at 152). The complaint alleged, among other things, that the sponsor defeated the purpose of the contract by keeping the majority of the shares in the building, interfering with the plaintiffs' ability to resell their shares, hampering the co-op board's refinancing of the mortgage, and causing an increase in the maintenance payments, thereby sufficiently alleging that the sponsor's retention of shares "so drastically undermined the contract that its fundamental objective—the creation of a viable cooperative—ha[d] been subverted" (*id.* at 153). Thus, *Jennifer Realty* stands for the proposition that parties cannot undermine the purpose of their agreement, and that the purpose is gleaned from the agreement itself.

Jennifer Realty is instructive but does not account for cases where the plaintiff lacks capacity to appreciate whether their own actions might undermine the purpose of an agreement under which transfers are allowable only once a court approves them as in the payee's best interest. Here, plaintiff was a child when the settlement agreements were signed and his mother acted on his behalf. The toxic tort that he experienced during his childhood left him unable to, as an adult, understand the transfers, their impact on his future, and their potential to render him impoverished. But the whole point of the structured settlement and the anti-assignment clauses was to protect settlement funds from dissipation resulting from plaintiff's diminished mental capacity. Unlike the tenants in *Jennifer Realty* who could understand the actions of the sponsor and act to protect themselves, plaintiff was unable to protect himself against the predatory actions of the factoring companies. Therefore, the covenant of fair dealing and good faith that New York law implies in the parties' agreements must account for the parties' appreciation of the plaintiff's special needs.

Like in *Jennifer Realty*, the implied covenant encompasses defendants' promise not to undermine the purpose of the agreements. The settlement and annuity agreements are intended to compensate plaintiff for toxic harm that caused his diminished mental capacity and lost future opportunities. That purpose is achieved by an annuity that provides a 30-year cash stream that serves as the basis for his financial stability and independence in adulthood.

Moreover, the structured settlement was facilitated by federal tax reforms. That legislation and its anti-assignment requirement was animated by the concern that tort victims would lose the benefit of their settlements and become public charges. The anti-assignment clauses were designed to prevent the taxpayers from shouldering that cost, in part, by incentivizing structured settlement arrangements like the one entered into by the parties. This is especially true where the victim, like plaintiff, is mentally impaired and unable to fully appreciate the mechanics of the transfers and their consequences. This class of tort victim is uniquely vulnerable to dissipation of their settlement funds through predatory tactics. Additionally, plaintiff—like other structured settlement payees—cannot unilaterally transfer his interest in the settlement funds but can only do so with court approval if it is in his best interest.

Given plaintiff's diminished mental capacity, that defendants voluntarily entered agreements with anti-assignment clauses to take advantage of the federal tax benefits, that the federal regime is intended to protect tort victims from injudicious dissipation of their settlement funds, and the known predatory practices of factoring companies, a "reasonable person" in plaintiff's mother's position "would be justified in understanding" (*id.* at 153) that the covenant of good faith and fair dealing includes the insurer and annuity company's dual promises.[4] The first promise is that they will not undermine or knowingly assist third-party interference with the purpose of

4. It is true, as the majority states, that under the SSPA the court, not defendants, must decide whether the assignment was in plaintiff's best interest (*see* majority op at 411). However, defendants' responsibilities under the agreements are not so easily disposed of. The relevant question is what if any promise can be implied from the structured settlement agreements as to defendants' responsibility when put upon notice of the transfers and the SSPA judicial proceeding. For the reasons I have discussed, the implied covenant of good faith and fair dealing, at a minimum, includes a promise not to undermine the intended purpose of the structured settlement or the payee's right to receive the benefit of the settlement. In the case of a mentally

(n. cont'd)

the agreements to provide plaintiff with a steady cash stream during adulthood. The second one is that they will ensure that any transfer in contravention of the anti-assignment clauses will further that same purpose. Here, once defendants were on notice of the Florida court proceedings to determine whether to approve the transfers if in plaintiff's best interest, the implied covenant encompassed a minimal duty that defendants disclose plaintiff's diminished mental capacity to knowingly agree to such transfers. This ensures that the Florida courts have the information they require to determine whether to approve the transfers. The covenant places no undue burden on defendants and is fully within what reasonable parties in defendants' position would understand is their minimal duty.[5] As plaintiff alleges, other insurance and annuity companies have done more to protect payees (*see e.g. Rapid Settlements, Ltd. v Dickerson*, 941 So 2d 1275 [Fla Dist Ct App 2006] [structured settlement obligor and annuity issuer, invoking contractual anti-assignment language, successfully objected to transfer in Florida SSPA proceeding]; *Matter of Foreman*, 365 Ill App 3d 608, 850 NE2d 387 [2006] [same, but in an Illinois SSPA proceeding]; *J.G. Wentworth S.S.C. Ltd. Partnership v Callahan*, 256 Wis 2d 807, 649 NW2d 694 [2002] [structured settlement obligor and annuity issuer opposed factoring company's request for a declaration that the anti-assignment clause in the annuity contract was unenforceable]).

Having answered a reformulated version of the Eleventh Circuit's question, it is now for that court to determine, under federal pleading standards, whether plaintiff's federal complaint alleges a violation of our State's implied covenant of good faith and fair dealing.

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impaired payee, a structured settlement agreement encompasses a promise to disclose those cognitive limitations that may render the payee unable to fully appreciate the long-term ramifications of an assignment so that the court may properly assess whether the payee made knowing transfers of his annuity payments and whether they are in the payee's best interest.

5. Under the Florida SSPA, defendants could have chosen to oppose any or all of the transfers. I agree with the majority the implied covenant does not impose a mandatory duty to oppose a transfer in all cases where a payee seeks early access to their settlement funds at a reduced rate. The purpose of the settlement is a secure financial stream to ensure financial stability and an early payment may best achieve that end. It would be a different case, for example, if plaintiff needed the funds for lifesaving medical assistance, or if he needed funds to improve his financial security, or if he had only two years left on the annuity and an immediate lump sum payment would not place him at risk of impoverishment.

VI.

Conclusion

Lead poisoning is irreversible and results in permanent and severe impairment. Its victims suffer diminished mental ability and neurobehavioral development. They have limited executive function, which adversely affects their ability to manage daily tasks, focus and achieve goals. A lead poisoned child will have limited educational and employment opportunities, and face an increased risk of a nearly impoverished life. That is the future that awaits plaintiff.

Legislative enactments and private tort doctrines offered plaintiff a path to compensation, financial stability and independence in adulthood. Those mechanisms failed here. Despite federal and state laws and private contract terms adopted to avoid dissipation of settlements at the hands of predatory companies, six judicially approved transfers resulted in the sale of more than 20 years' worth of plaintiff's settlement payments in exchange for less than 28% of their aggregate value—or less than a third of what the parties agreed he would receive. The proceeds the factoring companies received were intended to compensate a lead poisoned child for permanent cognitive impairment, not to line the pockets of a for-profit business.

The Eleventh Circuit asks us whether plaintiff has recourse under New York contract principles against those responsible for the proper disbursement of his settlement annuity payments. I conclude that the implied covenant of good faith and fair dealing encompasses a promise to disclose plaintiff's diminished mental capacity to the Florida state courts in the SSPA proceedings so that the courts could use that information to determine whether it was in his best interest to receive 30¢ on the dollar of his settlement only four years into the annuity payments.

Even that information may not have been enough for the Florida courts to withhold approval of the transfers. Theoretically, those courts may still have considered the transfers to be in plaintiff's best interest. Still, it is hard to fathom how, with a complete picture, they could reach that conclusion in light of plaintiff's allegations that the reasons proffered for the transfers lacked factual support and the fact that plaintiff did not personally appear at these proceedings in which he lost

70% of his settlement. But, then again, until today it was almost unthinkable that our legal system would so appallingly fail plaintiff Lujerio Cordero.

Chief Judge WILSON and Judges GARCIA and SINGAS concur; Judge RIVERA dissents in an opinion; Judges CANNATARO and HALLIGAN took no part.

Following certification of a question by the United States Court of Appeals for the Eleventh Circuit and acceptance of the question by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and record submitted, certified question, as reformulated, answered in the negative.

[211 NE3d 686, 190 NYS3d 297]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MICHAEL SAENGER, Appellant.

Argued April 19, 2023; decided May 18, 2023

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered February 16, 2022. The Appellate Division modified, on the law, a judgment of the Supreme Court, Queens County (Stephanie L. Zaro, J.), which had convicted defendant, upon a jury verdict, of criminal contempt in the first degree, aggravated family offense, and criminal contempt in the second degree. The modification consisted of (1) vacating the conviction of criminal contempt in the second degree and the sentence imposed thereon, and (2) dismissing that count of the indictment. The Appellate Division affirmed the judgment as modified.

People v Saenger, 202 AD3d 1001, modified.

HEADNOTES

Crimes — Family Offense — Aggravated Family Offense — Notice of Underlying Misdemeanor Offense

1. The count of the indictment charging defendant with aggravated family offense (Penal Law § 240.75), which alleged that defendant "committed an offense specified in subdivision two of section 240.75 of the Penal Law" but did not specify the offense, was jurisdictionally defective. A count is jurisdictionally defective only if it does not effectively charge the defendant with the commission of a particular crime, including by failing to allege that the defendant committed acts constituting every material element of the crime charged or accusing the defendant of performing acts that do not constitute a crime. To commit the crime of aggravated family offense a defendant must have been convicted of one or more of the specified offenses in section 240.75 (2) within the previous five years, must have currently committed one of the misdemeanor offenses listed in subdivision (2), and both offenses must be committed against a member of the same family or household as the defendant. Inasmuch as section 240.75 (2) contains 54 specified offenses, 18 of which are misdemeanors that may serve as the current offense, merely alleging that defendant had committed one of those offenses, without specifying which one, did not provide defendant with notice sufficient to enable him to prepare a defense, or sufficiently allege an element of aggravated family offense. Nor did the bill of particulars clarify the underlying offense as the conduct the People alleged could have constituted commission of several of the qualifying misdemeanor offenses. Notwithstanding that the indictment charged defendant separately with criminal contempt in the second degree, an offense listed in section 240.75 (2), the crime of aggravated family offense

does not require the underlying misdemeanor offense to be charged separately. Here, there was no way of determining from the face of the indictment what underlying misdemeanor offense the grand jury believed defendant had committed for purposes of aggravated family offense, and therefore no way to ensure that the People could not allege an alternative underlying offense at trial.

Crimes — Right to Counsel — Effective Representation — Failure to Challenge Sufficiency of Evidence — Criminal Contempt

2. Defendant did not demonstrate that his trial counsel was ineffective for failing to make a motion for a trial order of dismissal challenging the evidence supporting his conviction of first-degree criminal contempt pursuant to Penal Law § 215.51 (c), which requires a defendant's present offense to involve a violation of that part of an order of protection that requires the defendant to stay away from the protected person, as there was no clear appellate authority at the time of trial adopting defendant's statutory interpretation of Penal Law § 215.51 (c). A conviction for first-degree criminal contempt under Penal Law § 215.51 (c) requires that the defendant have committed the crime of second-degree criminal contempt (Penal Law § 215.50 [3]) by violating the part of a duly served order of protection requiring the defendant to stay away from the person on whose behalf the order was issued, and that the defendant have been previously convicted of a criminal contempt offense for violating an order of protection "as described herein" within the preceding five years. Here, defendant claimed that the phrase "as described herein" required that the prior contempt offense also involve the violation of that part of an order of protection requiring him to stay away from the protected person, and thus his counsel should have challenged the legal sufficiency of the conviction where the People alleged that defendant's prior contempt conviction involved harassing phone calls. While, at the time of trial, two Appellate Division cases had identified but not resolved the issue of the interpretation of "as described herein," it was only after defendant's trial that the Appellate Division held that the language requires both the current and the former violation of an order of protection to be of that part of the order requiring the defendant to stay away from the protected person. At the time of trial, the issue was not so clear-cut and dispositive that no reasonable defense counsel would have failed to assert it.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Criminal Law §§ 1111–1117; AM JUR 2d Domestic Abuse and Violence § 61.

CARMODY-WAIT 2d Contempt Proceedings §§ 140:19, 140:22, 140:23; CARMODY-WAIT 2d Commencing the Prosecution; Grand Jury § 178:319; CARMODY-WAIT 2d Right to Counsel §§ 184:162, 184:164.

LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) §§ 11.7, 11.10, 19.3.

MCKINNEY'S, Penal Law §§ 215.50 (3); 215.51 (c); 240.75.

NY JUR 2d Criminal Law: Procedure §§ 870–873, 876, 1304; NY JUR 2d Criminal Law: Substantive Principles and Offenses §§ 1540, 2022; NY JUR 2d Domestic Relations § 1730.

ANNOTATION REFERENCE

See ALR Index under Attorneys; Indictments and Informations; Protective Orders.

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Query: “aggravated family offense” & jurisd! /3 defect!

POINTS OF COUNSEL

Particia Pazner, Appellate Advocates, New York City (*Sam Feldman*, *Jenna D. Hymowitz* and *Tammy E. Linn* of counsel), for appellant. I. A charge of aggravated family offense under Penal Law § 240.75, which elevates numerous specified offenses from a misdemeanor to a felony, is jurisdictionally defective when it fails to specify the present offense underlying the charge and thereby provide sufficient notice to satisfy statutory and constitutional requirements. (*People v Sanchez*, 84 NY2d 440; *People v Grega*, 72 NY2d 489; *People v Iannone*, 45 NY2d 589; *People v Dreyden*, 15 NY3d 100; *People v Morris*, 61 NY2d 290; *People v McGuire*, 5 NY2d 523; *People v Jackson*, 46 NY2d 721; *People v Hightower*, 18 NY3d 249; *People v Hill*, 38 NY3d 460.) II. Defendant was deprived of his constitutional right to the effective assistance of counsel by defense counsel’s failure to challenge his first-degree contempt conviction, which was plainly based on legally insufficient evidence because the predicate contempt conviction did not involve a failure to “stay away” from the protected party, as required by Penal Law § 215.51 (c). (*People v Gruden*, 42 NY2d 214; *Strickland v Washington*, 466 US 668; *Henry v Poole*, 409 F3d 48; *People v Benevento*, 91 NY2d 708; *People v Baldi*, 54 NY2d 137; *People v Droz*, 39 NY2d 457; *People v Bennett*, 29 NY2d 462; *Murray v Carrier*, 477 US 478; *People v Evans*, 16 NY3d 571; *People v Hobot*, 84 NY2d 1021.)

Melinda Katz, District Attorney, Kew Gardens (*Danielle S. Fenn* and *John M. Castellano* of counsel), for respondent. I. As the Appellate Division correctly ruled, defendant’s claim is unpreserved, and, thus, it does not present a question of law. Moreover, the indictment, which incorporated the statute by reference, provided sufficient notice of the specified offense for the aggravated family offense charge. (*People v Bailey*, 32 NY3d 70; *People v Cantave*, 21 NY3d 374; *People v Jackson*, 29 NY3d 18; *People v Gray*, 86 NY2d 10; *People v Patterson*, 39 NY2d

288; *People v Iannone*, 45 NY2d 589; *People v D'Angelo*, 98 NY2d 733; *People v Motley*, 69 NY2d 870; *People v Case*, 42 NY2d 98; *People v McGuire*, 5 NY2d 523.) II. Counsel provided meaningful representation, securing an acquittal on the most serious charge. Defendant's current claim regarding the lesser count of first-degree contempt is not clear-cut and counsel was not ineffective for failing to raise it. (*Strickland v Washington*, 466 US 668; *People v Baldi*, 54 NY2d 137; *People v Caban*, 5 NY3d 143; *People v Maffei*, 35 NY3d 264; *People v Brown*, 45 NY2d 852; *People v Henderson*, 28 NY3d 63; *People v Turner*, 5 NY3d 476; *People v McGee*, 20 NY3d 513; *People v Rodriguez*, 31 NY3d 1067; *People v Keschner*, 25 NY3d 704.)

OPINION OF THE COURT

TROUTMAN, J.

The count of the indictment charging defendant with aggravated family offense pursuant to Penal Law § 240.75 was jurisdictionally defective and must be dismissed. We uphold defendant's conviction of criminal contempt in the first degree, however, because defendant has not demonstrated on this record that his trial counsel was ineffective with respect to that count.

I.

In 2016, defendant entered the apartment of his former girlfriend, in violation of a stay-away order of protection. The People alleged that defendant, while inside, placed his hands around the complainant's neck and stole her identification cards. Defendant was charged by indictment with burglary in the second degree, petit larceny, two counts of criminal contempt in the first degree, one count of criminal contempt in the second degree, and aggravated family offense. The count of the indictment charging defendant with aggravated family offense alleged that defendant "committed an offense specified in subdivision two of section 240.75 of the Penal Law," but it did not specify the offense. The People also provided defendant with a bill of particulars that contained a factual recitation of his alleged conduct. Defendant did not challenge the facial sufficiency of the indictment before the trial court. During the charge conference, the People ultimately specified that the underlying misdemeanor offense for aggravated family offense was criminal contempt in the second degree.

A jury found defendant guilty of one count of criminal contempt in the first degree, criminal contempt in the second degree, and aggravated family offense, and acquitted him of the remaining charges. On appeal, the Appellate Division modified the judgment by vacating defendant's conviction of criminal contempt in the second degree as a lesser included offense of criminal contempt in the first degree, and otherwise affirmed (202 AD3d 1001, 1001 [2d Dept 2022]). The Court held that defendant's remaining contentions were unpreserved (*see id.*).

A Judge of this Court granted defendant leave to appeal (38 NY3d 1136 [2022]). We now modify the Appellate Division order.

II.

A defendant commits the crime of aggravated family offense pursuant to Penal Law § 240.75 when the defendant "commits a misdemeanor defined in subdivision two of this section as a specified offense and [the defendant] has been convicted of one or more specified offenses within the immediately preceding five years" (Penal Law § 240.75 [1]). Subdivision (2) of the statute contains 54 "specified offense[s]," 36 felonies and 18 misdemeanors.[1] To qualify as a specified offense, the defendant and the person against whom the offense was committed must be members of the same family or household as defined in CPL 530.11 (1) (*see id.* § 240.75 [2]).[2] Thus, to commit the crime of aggravated family offense, a defendant must have been convicted of one or more of the specified offenses in subdivision (2) of the statute within the previous five years, the defendant must have currently committed one of the misdemeanor offenses listed in subdivision (2), and both offenses must be committed against a member of the same family or household as the defendant.

[1] Defendant contends that the failure to specify the current misdemeanor offense in the count of the indictment charging him with aggravated family offense rendered that count

1. An attempt or conspiracy to commit any of the offenses listed in subdivision (2) qualifies as a specified offense (*see id.* § 240.75 [2]).

2. The statute clarifies that "[t]he person against whom the current specified offense is committed may be different from the person against whom the previous specified offense was committed and such persons do not need to be members of the same family or household" (*id.* § 240.75 [3]).

jurisdictionally defective.[3] We agree.

We have recognized that an indictment traditionally serves several functions. "First and foremost, an indictment has been considered as the necessary method of providing the defendant with fair notice of the accusations made," so the defendant will "be able to prepare a defense" (*People v Iannone*, 45 NY2d 589, 594 [1978]). An indictment further provides a defendant with "some means of ensuring that the crime for which the defendant is brought to trial is in fact one for which [the defendant] was indicted by the Grand Jury, rather than some alternative seized upon by the prosecution in light of subsequently discovered evidence" (*id.*). "Finally, the indictment has traditionally been viewed as the proper means of indicating just what crime or crimes defendant has been tried for, in order to avoid subsequent attempts to retry [the defendant] for the same crime or crimes" (*id.* at 595).

Not every flaw in an indictment renders that document jurisdictionally defective (*see id.* at 600). As an initial matter, a jurisdictional defect in one count does not render the entire indictment defective; it requires only that the defective count be dismissed (*see* CPL 210.20 [1]; 210.25). A count is jurisdictionally defective "only if it does not effectively charge the defendant with the commission of a particular crime," such as where it "fails to allege that a defendant committed acts constituting every material element of the crime charged" or the "acts it accuses defendant of performing simply do not constitute a crime" (*Iannone*, 45 NY2d at 600). Where such a jurisdictional defect is involved, a defendant may raise the issue for the first time on appeal (*see id.* at 600-601). Generally, an indictment's "incorporation by specific reference to the statute operates without more to constitute allegations of all the elements of the crime" (*People v D'Angelo*, 98 NY2d 733, 735 [2002]; *see People v Ray*, 71 NY2d 849, 850 [1988]; *People v Cohen*, 52 NY2d 584, 586 [1981]). We have cautioned, however, that this may not suffice where the statutory language is "too broad," and merely charging the statutory language or incorporating the statute by reference would not sufficiently inform the defendant of the charge (*Iannone*, 45 NY2d at 599, citing *People v Farson*, 244 NY 413, 417 [1927]).

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3. The People are required to allege the defendant's commission of the prior offense through a special information (*see* CPL 200.63). There is no dispute that the People did so properly here.

Charging only the statutory language of aggravated family offense pursuant to Penal Law § 240.75 does not render that count facially valid. The structure of Penal Law § 240.75 is such that alleging in the indictment, as the People did here, that the defendant has "committed an offense specified in subdivision two" of that statute is insufficient to provide the defendant with fair notice of the charge because it does not inform the defendant of the present underlying misdemeanor offense, the commission of which is an element of the crime of aggravated family offense. Penal Law § 240.75 (2) contains dozens of potential "specified offense[s]," 18 of which are misdemeanors that may serve as the current offense. Merely alleging that the defendant has committed one of those offenses, without specifying which one, does not provide the defendant with notice sufficient to enable the defendant to prepare a defense, nor does it sufficiently allege an element of aggravated family offense, i.e., the commission of a particular specified misdemeanor offense.[4]

The People argue that the indictment, coupled with the factual allegations in the bill of particulars, made clear that the underlying misdemeanor offense was criminal contempt in the second degree. Although a bill of particulars may be used to "sustain an otherwise defective indictment" under certain circumstances (*Iannone*, 45 NY2d at 597; *see People v Morris*, 61 NY2d 290, 293-294 [1984]), here the bill of particulars simply contained a factual recitation of defendant's alleged conduct. It did not clarify the underlying misdemeanor offense for aggravated family offense, and the conduct the People alleged could have constituted commission of several of the misdemeanor offenses listed in Penal Law § 240.75 (2). It is not the defendant's burden to parse the elements of each qualifying offense in Penal Law § 240.75 (2) to infer which might be the crime charged based on the factual allegations in the bill of particulars. Thus, the bill of particulars did not resolve the jurisdictional defect.

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4. Notably, Penal Law § 240.75 is different in structure than a statute that allows a defendant to commit an offense by "doing any one of several things," in which case the indictment may, "in a single count, group them together and charge the defendant with having committed them all" (*People v Charles*, 61 NY2d 321, 327-328 [1984] [internal quotation marks omitted]; *see People v Middleton*, 35 NY3d 952, 955 [2020]). Penal Law § 240.75 requires, as an element of aggravated family offense, that the defendant commit another, specifically enumerated misdemeanor offense.

The People primarily rely upon the fact that the indictment separately charged defendant with criminal contempt in the second degree, arguing that defendant should have inferred that the underlying misdemeanor offense for aggravated family offense was, in fact, criminal contempt in the second degree. That contention is without merit. First, fair notice of the charges is not the only important function served by a facially valid indictment. The indictment also must "provide some means of ensuring that the crime for which the defendant is brought to trial is in fact one for which he was indicted by the Grand Jury, rather than some alternative seized upon by the prosecution in light of subsequently discovered evidence" (*Iannone*, 45 NY2d at 594). Here, there is no way of determining from the face of the indictment, even when supplemented by the bill of particulars, what underlying misdemeanor offense the grand jury believed defendant had committed for purposes of aggravated family offense, and therefore no way to ensure that the People could not allege an alternative underlying offense at trial.

Second, the crime of aggravated family offense does not require the underlying misdemeanor offense to be charged separately in the indictment. It requires only that the defendant "commit" that underlying offense (*see* Penal Law § 240.75 [1]; *see People v Brooks*, 159 AD3d 401, 402 [1st Dept 2018], *lv denied* 31 NY3d 1079 [2018]). The fact that criminal contempt in the second degree was charged in another count of the indictment therefore is not determinative with respect to the current misdemeanor offense underlying the aggravated family offense count.

The People may ensure the facial validity of an indictment charging a defendant with aggravated family offense simply by specifying the alleged underlying misdemeanor offense, either by incorporating the underlying offense by section number or by stating the definition of the offense (*see e.g. Brooks*, 159 AD3d at 401; *see also People v Rosa*, 164 AD3d 1182, 1183-1184 [1st Dept 2018], *lv denied* 32 NY3d 1114 [2018]; *People v Parrilla*, 145 AD3d 629, 629-630 [1st Dept 2016], *lv denied* 29 NY3d 951 [2017]). Inasmuch as the indictment did not provide defendant with notice of which of the qualifying misdemeanor offenses in Penal Law § 240.75 (2) he was alleged to have committed, and the commission of a specified misdemeanor offense is an element of aggravated family offense, the count of the indictment charging defendant with aggravated family offense was jurisdictionally defective and must be dismissed.

III.

Defendant further contends that his conviction of criminal contempt in the first degree must be vacated on the ground that his trial counsel was ineffective for failing to challenge the legal sufficiency of the evidence supporting that conviction. Defendant was convicted of first-degree criminal contempt pursuant to Penal Law § 215.51 (c). That statute provides, as relevant here, that a defendant is guilty of first-degree criminal contempt when the defendant commits the crime of second-degree criminal contempt as defined in Penal Law § 215.50 (3)

> "by violating that part of a duly served order of protection . . . *which requires the respondent or defendant to stay away from the person or persons on whose behalf the order was issued*, and where the defendant has been previously convicted of the crime of aggravated criminal contempt or criminal contempt in the first or second degree for violating an order of protection *as described herein* within the preceding five years" (Penal Law § 215.51 [c] [emphasis added]).

The parties agree that the statute requires the defendant's present offense to involve a violation of that part of an order of protection that requires the defendant to stay away from the protected person. They dispute, however, the meaning of the phrase "as described herein" as used in the statute to characterize the prior offense. Defendant contends that it means that his commission of the prior contempt offense within the past five years must also have involved the violation of that part of an order of protection requiring him to stay away from the protected person. Inasmuch as the People alleged that his prior contempt conviction involved harassing phone calls, defendant asserts that his trial counsel was ineffective for failing to make a motion for a trial order of dismissal challenging the evidence supporting first-degree criminal contempt on that ground.

[2] We agree with the People that defendant has not demonstrated defense counsel's ineffectiveness. The People have offered a plausible alternative interpretation of the phrase "as described herein," and this Court has never addressed the issue. At the time of defendant's trial in 2018, two Appellate Division decisions had identified the issue but did not conclusively resolve it (*see People v Kelly*, 79 AD3d 1642, 1642 [4th Dept 2010] [issue unpreserved], *lv denied* 16 NY3d 832 [2011];

People v Taylor, 142 AD3d 465, 465-466 [1st Dept 2016] [issue undisputed], *lv denied* 28 NY3d 1151 [2017]). Only after defendant was tried did the Appellate Division hold that Penal Law § 215.51 (c) requires both the current and the former violation of an order of protection to be of that part of the order requiring the defendant to stay away from the protected person (*see People v Barrett*, 188 AD3d 1736, 1737-1738 [4th Dept 2020]).

At the time of trial, there was no clear appellate authority adopting the statutory interpretation of Penal Law § 215.51 (c) that defendant now urges is correct. We need not resolve that statutory interpretation question on this appeal. Because the issue was not "so clear-cut and dispositive that no reasonable defense counsel would have failed to assert it" (*People v Flowers*, 28 NY3d 536, 541 [2016] [internal quotation marks omitted]), defendant's claim of ineffective assistance must fail (*see People v Keschner*, 25 NY3d 704, 724 [2015]; *People v Blake*, 24 NY3d 78, 82 [2014]).

Accordingly, the order of the Appellate Division should be modified in accordance with this opinion and, as so modified, affirmed.

Chief Judge WILSON and Judges RIVERA, GARCIA, SINGAS and CANNATARO concur; Judge HALLIGAN took no part.

Order modified in accordance with the opinion herein and, as so modified, affirmed.

[211 NE3d 1130, 190 NYS3d 677]

BRYAN SCURRY et al., as Proposed Administrator of the Estate of BRIDGET CRUSHSHON, Deceased, Respondents, v NEW YORK CITY HOUSING AUTHORITY, Appellant. (And Third-Party Actions.)

ESTATE OF TAYSHANA MURPHY, Deceased, by its Administratrix, TEPHANIE HOLSTON, Appellant, v NEW YORK CITY HOUSING AUTHORITY, Respondent, et al., Defendants. (And a Third-Party Action.)

Argued April 19, 2023; decided May 23, 2023

SUMMARY

APPEAL, in the first above-entitled action, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered January 27, 2021. The Appellate Division affirmed an order of the Supreme Court, Kings County (Bernard J. Graham, J.), which had denied defendant's motion for summary judgment dismissing the complaint. The following question was certified by the Appellate Division: "Was the opinion and order of this Court dated January 27, 2021, properly made?"

APPEAL, in the second above-entitled action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 13, 2021. The Appellate Division affirmed an order of the Supreme Court, New York County (Robert D. Kalish, J.), which had granted defendant New York City Housing Authority's motion for summary judgment dismissing the complaint as against it.

Scurry v New York City Hous. Auth., 193 AD3d 1, affirmed.

Estate of Murphy v New York City Hous. Auth., 193 AD3d 503, reversed.

HEADNOTES

Negligence — Maintenance of Premises — Premises Security — Criminal Attack on "Targeted" Victim — Proximate Cause

1. General negligence principles apply to cases in which a tenant is injured by a third party's criminal attack, including the principle that a defendant's negligence qualifies as a proximate cause where it is a substantial cause of the events which produced the injury. There is no need to create a special rule for premises security cases, since the burden regularly placed on

plaintiffs to establish proximate cause in negligence cases strikes the desired balance between a tenant's ability to recover for an injury caused by the landlord's negligence against a landlord's ability to avoid liability when its conduct did not cause any injury. Though the sophisticated nature of an attack may in some cases be relevant to the proximate cause analysis, the fact that an attack was "targeted" does not sever the causal chain between a landlord's negligence and a plaintiff's injuries as a matter of law.

Negligence — Maintenance of Premises — Premises Security — Criminal Attack on "Targeted" Victim

2. In an action for damages resulting from the death of plaintiff's decedent in the hallway of her New York City Housing Authority (NYCHA) apartment building after she was attacked and burned by her former intimate partner who had gained access to the building through an exterior door without functioning locks, defendant NYCHA was not entitled to summary judgment dismissing the complaint based on the theory that the "targeted" nature of the attack severed the causal chain between its negligence and the injuries as a matter of law. Landlords have a common-law duty to take minimal precautions, such as locks for the entrances, to protect tenants from foreseeable harm, including a third party's foreseeable criminal conduct. Where minimal security measures would have had the effect of deterring an attacker, a jury can infer that the absence of such measures proximately caused an attack, regardless of whether the crime was random or deliberately planned. An intervening act may serve as a superseding cause only when it is extraordinary under the circumstances, not foreseeable in the normal course of events, or independent of or far removed from the defendant's conduct. It may not serve as a superseding cause where the risk of the intervening act occurring is the very same risk which renders the actor negligent. Thus, while the sophistication and planning of an attack is relevant to the factfinder's determination of proximate cause, given the unique nature of the inquiry in each case, proximate cause is generally an issue for the trier of fact where the court is satisfied that a prima facie case has been established and the evidence could support various reasonable inferences. Here, the risk created by the nonfunctioning door lock, i.e., that intruders would gain access to the building and harm residents, was exactly the risk that came to fruition. It was not the court's role on summary judgment to assess the fact-bound question of whether the intruder would have persevered in his attack had the doors been securely locked. Thus, although the attack was committed in a shocking manner, it could not be said that an attack by a non-tenant domestic abuser is so independent of or far removed from NYCHA's conduct in failing to provide locking doors that it broke the causal nexus as a matter of law.

Negligence — Maintenance of Premises — Premises Security — Criminal Attack on "Targeted" Victim

3. In an action for damages resulting from the death of plaintiff's decedent in the stairwell of her New York City Housing Authority (NYCHA) apartment building where she was shot in an act of vengeance when two individuals with whom decedent's friends had been engaged in a dispute gained access to the building through an exterior door without functioning locks, defendant NYCHA was not entitled to summary judgment dismissing the complaint based on the theory that the "targeted" nature of the attack severed the causal chain between its negligence and the injuries as a matter of law. Landlords have a common-law duty to take minimal precautions, such as locks for the entrances, to protect tenants from foreseeable harm, including a

third party's foreseeable criminal conduct. Where minimal security measures would have had the effect of deterring an attacker, a jury can infer that the absence of such measures proximately caused an attack, regardless of whether the crime was random or deliberately planned. An intervening act may serve as a superseding cause only when it is extraordinary under the circumstances, not foreseeable in the normal course of events, or independent of or far removed from the defendant's conduct. It may not serve as a superseding cause where the risk of the intervening act occurring is the very same risk which renders the actor negligent. Thus, while the sophistication and planning of an attack is relevant to the factfinder's determination of proximate cause, given the unique nature of the inquiry in each case, proximate cause is generally an issue for the trier of fact where the court is satisfied that a prima facie case has been established and the evidence could support various reasonable inferences. Here, the risk created by the nonfunctioning door lock, i.e., that intruders would gain access to the building and harm residents, was exactly the risk that came to fruition. It was not the court's role on summary judgment to assess the fact-bound question of whether the intruders would have persevered in their attack had the doors been securely locked. Surveillance video showed that after the attackers attempted to enter through a locked door, they tried the side door, which was unlocked, rather than breaking through the locked door or attempting to follow another person in or force such person to let them in. Even if they had been determined to enter despite a locked door, a jury could find that the added time it would have taken them to gain entry would have allowed plaintiff's decedent to escape to the safety of her own or a friend's apartment. In light of evidence suggesting that the attackers would have attacked any of the group of six friends involved in the dispute, it was hardly the type of sophisticated, meticulously planned and executed attack that might possibly sever the causal chain as a matter of law.

Negligence — Maintenance of Premises — Premises Security — Notice of Hazardous Condition — Nonfunctioning Exterior Door Locks at Apartment Building

4. In an action for damages resulting from the death of plaintiff's decedent in the stairwell of her New York City Housing Authority (NYCHA) apartment building where she was shot in an act of vengeance when two individuals with whom decedent's friends had been engaged in an escalating dispute gained access to the building through an exterior door without functioning locks, defendant NYCHA failed to establish as a matter of law that it did not have notice of the broken lock on the door to warrant summary judgment dismissing the complaint. A plaintiff in a premises security suit need not prove that a landlord had notice to defeat summary judgment. Here, defendant's own maintenance records raised questions of fact regarding whether it had notice of the broken door lock. Despite entries indicating that the door worked properly on the mornings before and after the attack, other inconsistencies and omissions in defendant's records rendered them inadequate to demonstrate lack of notice as a matter of law. For instance, Supreme Court observed that the surveillance video showed that the lock clearly was not working during the time of the attack, and defendant did not provide any record of a repair having taken place before the entry for the morning after the attack. In addition, there were questions of fact as to whether the employees identified on an earlier work order actually could have made the repairs specified by the order.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Negligence §§ 542, 544–546, 551, 588–589, 613–616; AM JUR 2d Premises Liability §§ 1, 16, 30, 32–33, 35–36, 38–45, 562–564.

CARMODY-WAIT 2d Summary Judgment §§ 39:192–39:193.

DOBBS LAW OF TORTS (2d ed) §§ 159, 198, 200, 204, 209, 413–414, 417.

DOLAN, RASCH'S NEW YORK LANDLORD AND TENANT, INCLUDING SUMMARY PROCEEDINGS (5th ed) § 18:10.

NY JUR 2d Negligence §§ 67–71, 85–88, 93–96; NY JUR 2d Premises Liability §§ 1–2, 4–5, 24–25, 29–30, 39–44, 121, 137–141, 154, 159–160, 166, 168–169, 391–392.

NEW YORK LAW OF TORTS §§ 8:6, 8:8, 8:12–8:15, 12:2, 12:13–12:17, 12;19.

ANNOTATION REFERENCE

Landlord's liability for failure to protect tenant from criminal acts of third person. 43 ALR5th 207.

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POINTS OF COUNSEL

Coffey Modica O'Meara Capowski LLP, White Plains (*John F. Watkins, Timothy R. Capowski, Sean Harriton* and *Christopher Bitar* of counsel), and *Hannum Feretic Prendergast & Merlino LLC* for appellant in the first above-entitled action. I. The Court of Appeals should follow the Appellate Division, First Department standard set forth in *Estate of Murphy v New York City Hous. Auth.* (193 AD3d 503 [1st Dept 2021]) which applies a far more equitable and practical standard for establishing landlord liability in targeted attack cases than the Appellate Division, Second Department in the January decision. (*Estate of Faughey v New 56-79 IG Assoc., L.P.*, 149 AD3d 418; *Cerda v 2962 Decatur Ave. Owners Corp.*, 306 AD2d 169; *Flynn v Esplanade Gardens, Inc.*, 76 AD3d 490; *Banner v New York City Hous. Auth.*, 94 AD3d 666; *Evans v 141 Condominium Corp.*, 258 AD2d 293; *Robinson v Sacred Heart School*, 70 AD3d 666; *Waters v New York City Hous. Auth.*, 116 AD2d 384;

Basso v Miller, 40 NY2d 233; *Danielenko v Kinney Rent A Car*, 57 NY2d 198; *Derdiarian v Felix Contr. Corp.*, 51 NY2d 308.) II. The Court of Appeals, applying the correct standard, should reverse the January decision, awarding defendant summary judgment. (*Cynthia B. v 3156 Hull Ave. Equities, Inc.*, 38 AD3d 360; *Rivera v New York City Hous. Auth.*, 239 AD2d 114; *Suarez v Longwood Assoc.*, 239 AD2d 250; *Bernstein v City of New York*, 69 NY2d 1020; *Castellano v New York City Tr. Auth.*, 38 AD3d 822.)

Sullivan Papain Block McGrath Coffinas & Cannavo, P.C., New York City (*Brian J. Shoot* of counsel), for respondents in the first above-entitled action. I. Defendant's current argument must be rejected for the simple reason it was not asserted below and flat-out contradicts the arguments it asserted below. (*Eujoy Realty Corp. v Van Wagner Communications, LLC*, 22 NY3d 413; *Bennett v St. John's Home*, 26 NY3d 1033; *Elezaj v Carlin Constr. Co.*, 89 NY2d 992; *Bingham v New York City Tr. Auth.*, 99 NY2d 355.) II. Defendant's new thesis—that proof the victim was "targeted" of itself requires plaintiff to prove proximate causation or else suffer summary judgment—is manifestly inconsistent with long settled law. (*Jacqueline S. v City of New York*, 81 NY2d 288; *James v Jamie Towers Hous. Co.*, 99 NY2d 639; *Mason v U.E.S.S. Leasing Corp.*, 96 NY2d 875; *Bennett v Twin Parks Northeast Houses*, 93 NY2d 860; *Torres v New York City Hous. Auth.*, 93 NY2d 828; *Cortes v New York City Hous. Auth.*, 92 NY2d 973; *Hargett v New York City Hous. Auth.*, 92 NY2d 975; *Winegrad v New York Univ. Med. Ctr.*, 64 NY2d 851; *Pullman v Silverman*, 28 NY3d 1060; *Vega v Restani Constr. Corp.*, 18 NY3d 499.) III. Defendant's motion was correctly denied for the simple reason that defendant failed to adduce any proof whatsoever that the attack would have occurred even if it had provided its tenants with minimal security. IV. Assuming that defendant somehow established a prima facie entitlement to summary judgment, plaintiffs' unrebutted proof plainly raised a triable issue of fact concerning proximate causation.

Pecoraro & Schiesel LLP, New York City (*Steven Pecoraro* of counsel), for appellant in the second above-entitled action. I. The Appellate Division, First Department's application of the targeted victim defense as a complete defense is aberrant. II. Even if the Court of Appeals chooses to adopt the targeted victim defense as a complete defense, there exist multiple reasons why it should not be applied to this case. (*Cerda v 2962 Decatur Ave. Owners Corp.*, 306 AD2d 169; *Tarter v*

Schildkraut, 151 AD2d 414; *Iannelli v Powers*, 114 AD2d 157, 68 NY2d 604; *Jacqueline S. v City of New York*, 81 NY2d 288.) III. Defendant failed to refute prima facie notice as a matter of law. IV. Defendant's expert's affidavit is speculative, conclusory, and without adequate basis in fact.

Wilson Elser Moskowitz Edelman & Dicker LLP, New York City (*Patrick J. Lawless* of counsel), for respondent in the second above-entitled action. I. The Appellate Division, First Department properly held that defendant cannot be held liable as a matter of law because the unrefuted evidence shows that decedent was the victim of a targeted, premeditated attack, making it highly unlikely that minimal safety precautions would have prevented the attack. (*Roldan v New York City Hous. Auth.*, 171 AD3d 418; *Buckeridge v Broadie*, 5 AD3d 298; *Cerda v 2962 Decatur Ave. Owners Corp.*, 306 AD2d 169; *Estate of Faughey v New 56-79 IG Assoc., L.P.*, 149 AD3d 418; *Flynn v Esplanade Gardens, Inc.*, 76 AD3d 490; *Flores v Dearborne Mgt., Inc.*, 24 AD3d 101; *Harris v New York City Hous. Auth.*, 211 AD2d 616.) II. The Court of Appeals should reject the faulty reasoning of the *Scurry v New York City Hous. Auth.* (193 AD3d 1 [2d Dept 2021]) Court in favor of the well-settled and long-standing case law relied upon by the Appellate Division, First Department in this case. (*McLean v Ripoli*, 157 AD3d 604; *Roman v Cabrera*, 113 AD3d 541; *Price v New York City Hous. Auth.*, 92 NY2d 553; *Laniox v City of New York*, 170 AD3d 519, 34 NY3d 994; *Raghu v 24 Realty Co.*, 7 AD3d 455; *Ramirez v BB & BB Mgt. Corp.*, 115 AD3d 555; *Mason v U.E.S.S. Leasing Corp.*, 96 NY2d 875; *Burgos v Aqueduct Realty Corp.*, 92 NY2d 544; *Nallan v Helmsley-Spear, Inc.*, 50 NY2d 507.) III. There is no merit to plaintiff's argument that this was a "random" assault. (*Rivera v New York City Hous. Auth.*, 239 AD2d 114.) IV. Defendant did not have actual or constructive notice that the door lock had been broken at the time of the incident. (*Burgos v Aqueduct Realty Corp.*, 92 NY2d 544; *Maheshwari v City of New York*, 2 NY3d 288; *Nallan v Helmsley-Spear, Inc.*, 50 NY2d 507; *Cook v New York City Hous. Auth.*, 248 AD2d 501; *Leyva v Riverbay Corp.*, 206 AD2d 150; *James v Jamie Towers Hous. Co.*, 99 NY2d 639; *Batista v City of New York*, 108 AD3d 484; *Anzalone v Pan-Am Equities*, 271 AD2d 307; *Piacquadio v Recine Realty Corp.*, 84 NY2d 967; *Gordon v American Museum of Natural History*, 67 NY2d 836.) V. There is no basis to reject the opinion of defendant's security expert. (*Wagman v Bradshaw*, 292 AD2d 84.)

Gerber Ciano Kelly Brady LLP, Garden City (*Brendan T.

Fitzpatrick of counsel) and Buffalo (*Daniel W. Gerber* of counsel), and *Claire Rush*, *Defense Association of New York, Inc.* (*Andrew Zajac, Rona L. Platt, Lisa L. Gokhulsingh* and *Jonathan T. Uejio* of counsel) for Defense Association of New York, Inc. and another, amici curiae in the second above-entitled action. A targeted attack is an intervening act that severs causation as a matter of law. (*Eaton v New York Cent. & Hudson Riv. R.R. Co.*, 195 NY 267; *Merino v New York City Tr. Auth.*, 218 AD2d 451, 89 NY2d 824; *Pulka v Edelman*, 40 NY2d 781; *Pasternack v Laboratory Corp. of Am. Holdings*, 27 NY3d 817; *Sanchez v State of New York*, 99 NY2d 247; *Di Ponzio v Riordan*, 89 NY2d 578; *Palka v Servicemaster Mgt. Servs. Corp.*, 83 NY2d 579; *Sheehan v City of New York*, 40 NY2d 496; *Basso v Miller*, 40 NY2d 233; *Nallan v Helmsley-Spear, Inc.*, 50 NY2d 507.)

OPINION OF THE COURT

Chief Judge Wilson.

Bridget Crushshon and Tayshana Murphy lived in two different public housing complexes owned and operated by the New York City Housing Authority (NYCHA). Their assailants, who were intruders onto the premises, entered their buildings through exterior doors that, for the purpose of these appeals,[1] we assume did not have functioning locks. An intruder murdered Ms. Crushshon in the hallway of her building by immolating her; an intruder murdered Ms. Murphy by shooting her at point-blank range as she begged for her life. In both cases, plaintiffs sued NYCHA for negligence. In both cases, NYCHA admits that it had a duty to provide a locking exterior door. In both cases, NYCHA claimed entitlement to summary judgment on the theory that, because the assailants did not commit crimes of opportunity but instead had "targeted" their victims, NYCHA's negligence was not a proximate cause of the deaths.

[1] We reiterate that general negligence principles apply to cases in which a tenant is injured by a third party's criminal attack, including the principle that "[a] defendant's negligence qualifies as a proximate cause where it is a substantial cause

1. In *Murphy*, Supreme Court observed that the door was not functioning properly at the time of the occurrence. In *Scurry*, Supreme Court held that there was an issue of fact as to "whether NYCHA had fulfilled [its] duty to provide a safe environment at the Cypress Hills Houses"; at oral argument, counsel for NYCHA conceded the existence of an issue of fact as to the lock's operability.

of the events which produced the injury" (*Turturro v City of New York*, 28 NY3d 469, 483 [2016] [internal quotation marks omitted]). As we explained in *Burgos v Aqueduct Realty Corp.*, there is "no need . . . to create a special rule for premises security cases, since the burden regularly placed on plaintiffs to establish proximate cause in negligence cases strikes the desired balance" between "a tenant's ability to recover for an injury caused by the landlord's negligence against a landlord's ability to avoid liability when its conduct did not cause any injury" (92 NY2d 544, 551 [1998]). We hold that though the sophisticated nature of an attack may in some cases be relevant to the proximate cause analysis, the fact that an attack was "targeted" does not sever the causal chain between a landlord's negligence and a plaintiff's injuries as a matter of law. We thus affirm the Second Department's denial of summary judgment to NYCHA in *Scurry* and reverse the First Department's grant of summary judgment to NYCHA in *Murphy*.

I.

Scurry v New York City Hous. Auth.

Ms. Crushshon was killed by Walter Boney, a former intimate partner who was violently abusive toward Ms. Crushshon during and after their relationship, when he gained access to her apartment building in NYCHA's Cypress Hills complex. Mr. Boney hid around a corner in Ms. Crushshon's hallway and attacked her as she left her apartment for work, then doused her in gasoline and lit her on fire. Ms. Crushshon died on the scene and Mr. Boney died at the hospital. Ms. Crushshon's son, Bryan, who had heard the commotion in the hallway and attempted to intervene, sustained severe burn injuries and remained in the hospital for months.

Ms. Crushshon's sons sued NYCHA, alleging that it had breached its duty to provide minimal security precautions to guard against the criminal acts of third persons in that it failed to provide exterior doors with properly functioning and adequate locks. NYCHA moved for summary judgment, arguing that the premeditated nature of Mr. Boney's attack severed any causal connection between the broken lock and the attack. Supreme Court denied NYCHA's motion, finding that material issues of fact remained. The Appellate Division, Second Department, affirmed (193 AD3d 1 [2021]). NYCHA appeals by leave granted by the Appellate Division on a certified question (2022 NY Slip Op 63973[U] [2022]). We now affirm.

Estate of Murphy v New York City Hous. Auth.

Eighteen-year-old Tayshana Murphy was fatally shot in the stairwell of her apartment building in NYCHA's Grant Houses complex. Her friends had been engaged in an escalating dispute with residents of a neighboring NYCHA complex in the days leading up to her murder. Ms. Murphy and her friends were outside the Grant Houses late one night when they saw Robert Cartagena and Tyshawn Brockington, two residents of a nearby housing complex involved in the earlier altercations, approaching the building. Ms. Murphy, along with her friends, ran into the building, pulling shut the exit-only side door, which was supposed to be self-locking. Surveillance video shows that one of the group then stuck his head out of that door to keep watch; when he retreated into the building, the video shows the door bouncing in its jamb, failing to close. About a minute later, Mr. Cartagena and Mr. Brockington slowly approached the building and tried to enter via the main entrance door. They were unable to open it. They then tried the side door, which readily opened. They encountered Ms. Murphy in the stairwell, where her friends heard her plead with them that she had nothing to do with the dispute before they then heard gunshots. Ms. Murphy was shot three times.

Ms. Murphy's mother, as administrator of Ms. Murphy's estate, sued on behalf of the estate, alleging that NYCHA was negligent in failing to provide properly functioning locks, failing to properly monitor surveillance equipment, and failing to provide adequate security. NYCHA moved for summary judgment, submitting evidence from Mr. Cartagena's criminal trial, which showed that Ms. Murphy was killed in an act of vengeance for the actions of other Grant residents and that she was targeted for that purpose. NYCHA also submitted an affidavit by a security management consultant, who averred that NYCHA's maintenance staff performed routine inspections of all doors to make sure that they were locking properly and that caretaker checklists for the days before and after the murder indicated that the door was working properly. The consultant opined that no security device would have deterred the attackers.

In opposition, the estate administrator submitted surveillance footage of the building, which showed the attackers entering through a visibly malfunctioning door, as well as an affidavit in which Ms. Murphy's mother stated that the side door was supposed to be an automatically locking, exit-only door, but that it had never locked the entire time she had lived there. She also stated that she regularly complained about the side door, both by telephone and in person at the management office. The administrator also submitted an affidavit from a locksmith who examined the footage, NYCHA work orders, photos, and the door itself. The locksmith opined that the electromagnetic door lock was not working as intended and stated that the video evidence flatly contradicted NYCHA's caretaker checklists.

Supreme Court granted NYCHA's motion. Although it concluded that "clearly[,] the door was not functioning properly" at the time of the occurrence, it reasoned that because the attack on Ms. Murphy was targeted, it was an "unforeseeable superseding intervening cause" as a matter of law. The Appellate Division, First Department, affirmed, holding that because Ms. Murphy's "killers were intent on gaining access to the building . . . it does not take a leap of the imagination to surmise that [they] would have gained access" to the building even if the door had been locked, which "negates the unlocked door as a proximate cause of the harm that befell Murphy, and makes her assailants' murderous intent the only proximate cause" (193 AD3d 503, 509 [1st Dept 2021]). We granted the estate's motion for leave to appeal (37 NY3d 913 [2021]), and now reverse.

II.

Landlords have a common-law duty to take minimal precautions to protect tenants from foreseeable harm, including a third party's foreseeable criminal conduct (*see Burgos*, 92 NY2d at 548). That includes what we have deemed "the most rudimentary security—e.g., locks for the entrances" of apartment buildings (*Jacqueline S. v City of New York*, 81 NY2d 288, 295 [1993]). NYCHA admits it bears that duty.

A failure to supply minimal security breaches that duty. In *Murphy*, Supreme Court noted that the door's lock was not functioning. In *Scurry*, Supreme Court held, and NYCHA concedes for the purpose of this appeal, that there was an issue of fact as to "whether NYCHA had fulfilled [its] duty to provide a safe environment at the Cypress Hills Houses." Thus, in both cases, plaintiffs at a minimum demonstrated questions of fact as to breach.

The primary issue on these appeals is whether NYCHA was entitled to summary judgment on the issue of proximate cause.

"A defendant's negligence qualifies as a proximate cause where it is a substantial cause of the events which produced the injury" (*Turturro*, 28 NY3d at 483 [internal quotation marks and citations omitted]). "When faced with a motion for summary judgment on proximate cause grounds, a plaintiff need not prove proximate cause by a preponderance of the evidence, which is plaintiff's burden at trial. Instead, in order to withstand summary judgment, a plaintiff need only raise a triable issue of fact regarding whether defendant's conduct proximately caused plaintiff's injuries" (*Burgos*, 92 NY2d at 550).

In *Burgos*, we held that proximate cause in a premises security case may be "established only if the assailant gained access to the premises through a negligently maintained entrance" (*id.*). Indeed, the risk that an intruder will enter the building and harm residents is the very risk that renders a landlord negligent for failing to provide locked exterior doors. Where minimal security measures, such as a locked door or lobby attendant, "would have had the effect of deterring" an attacker, a jury can infer that the absence of such measures proximately caused an attack (*Nallan v Helmsley-Spear, Inc.*, 50 NY2d 507, 521 [1980]). This is so regardless of "whether the crime in question was one of random violence or was a deliberate, planned 'assassination' attempt such as apparently occurred in [*Nallan*]" (*id.*). Thus, where the defendant fails to demonstrate on its motion for summary judgment that, as a matter of law, minimal security measures would not have deterred the intruder, the defendant is not entitled to summary judgment on proximate cause (*id.*).

III.

NYCHA argues that as a matter of law, its negligence could not have proximately caused the death of Ms. Crushshon or Ms. Murphy because they were the victims of targeted attacks, and landlords do not have a "duty to outwit or outthink those who are determined to overcome" the "minimal steps a landowner is required to take to secure premises" (*Estate of Murphy*, 193 AD3d 503, 509 [1st Dept 2021]). In other words, NYCHA contends that where a landlord offers evidence that an attack is "targeted," that landlord has demonstrated that the assailant would have gained access to the building even if the door had been properly secured; to successfully oppose a motion for summary judgment, the plaintiff must rebut that demonstration by showing that a locked door would have in fact deterred the assailant. In the Appellate Division's view, because Mr. Cartagena and Mr. Brockington "were intent on gaining access to the building" and "[i]n reality . . . [it] is hardly ever the case" that "minimal precautions would have actually prevented a determined assailant from gaining access . . . it does not take a leap of the imagination to surmise" that they would have killed Ms. Murphy even had the door been locked (*id.* at 508-509). Thus, according to the Appellate Division, proximate cause was "negate[d]" as a matter of law (*id.* at 509).

That reasoning mistakes a patently factual determination—whether a locked door would have prevented an attack—for a legal one—i.e., that an attacker's intent is a superseding cause as a matter of law. It is well settled that "[g]iven the unique nature of the inquiry in each case, proximate cause is generally an issue for the trier of fact, so long as the court has been satisfied that a prima facie case has been established and the evidence could support various reasonable inferences" (*Turturro*, 28 NY3d at 483-484 [internal quotation marks omitted]; *see e.g. Hain v Jamison*, 28 NY3d 524 [2016]; *Derdiarian v Felix Contr. Corp.*, 51 NY2d 308, 315 [1980]). "[I]n order to withstand summary judgment, a plaintiff need only raise a triable issue of fact regarding whether defendant's conduct proximately caused plaintiff's injuries" (*Burgos*, 92 NY2d at 550). Plaintiffs in both *Scurry* and *Murphy* raised triable issues of fact regarding proximate cause; in both cases, proximate cause should be assessed by the finder of fact.

IV.

Though NYCHA frames these fact questions as issues of superseding cause as a matter of law, we have repeatedly emphasized that just "[a]s with determinations regarding proximate cause generally, '[b]ecause questions concerning what is foreseeable and what is normal may be the subject of varying inferences,' whether an intervening act is foreseeable or extraordinary under the circumstances 'generally [is] for the fact finder to resolve' " (*Turturro*, 28 NY3d at 484, quoting *Derdiarian*, 51 NY2d at 315). "[W]here the risk of harm created by a defendant's conduct corresponds to that which actually results[,] . . . the determination of proximate cause is best left for the factfinder" (*Hain*, 28 NY3d at 530). Only in "rare cases" can the issue be decided as a matter of law (*id.*).

There "may be more than one proximate cause of an injury," and it is "well settled . . . that where the acts of a third person intervene between the defendant's conduct and the plaintiff's injury, the causal connection is not automatically severed" (*Turturro*, 28 NY3d at 483-484 [internal quotation marks and brackets omitted]). Instead, just as with general determinations of proximate cause, when the issue of proximate cause involves an intervening act, "liability turns upon whether the intervening act is a *normal or foreseeable consequence* of the situation created by the defendant's negligence" (*Hain v Jamison*, 28 NY3d 524, 529 [2016]). It is "[o]nly where 'the intervening act is extraordinary under the circumstances, not foreseeable in the normal course of events, or independent of or far removed from the defendant's conduct,' [that it] may . . . possibly 'break[ ] the causal nexus' " (*id.*). But "[a]n intervening act may not serve as a superseding cause, and relieve an actor of responsibility, where the risk of the intervening act occurring is the very same risk which renders the actor negligent" (*Derdiarian v Felix Contr. Corp.*, 51 NY2d 308, 316 [1980]).

Here, the risk created by the nonfunctioning door locks—that intruders would gain access to the building and harm residents—is exactly the "risk that came to fruition" (*Hain*, 28 NY3d at 533). It was not the trial court's role, on summary judgment, to assess the fact-bound question of whether the intruders in *Scurry* or *Murphy* would have persevered in their attacks had the doors been securely locked. This is not to say that the sophistication and planning of an attack is irrelevant to the factfinder's determination of proximate cause, or even that it could never rise to such a degree that it would sever the proximate causal link as a matter of law (*cf. Buckeridge v Broadie*, 5 AD3d 298, 299 [1st Dept 2004] [robbers dressed in work clothes, orange vests, and helmets, and carrying test tubes and folders, gained entry to defendant's house while posing as environmental protection workers investigating a water main break in the area]). But neither *Scurry* nor *Murphy* approaches that level.

[2] In *Scurry*, the plaintiffs demonstrated that Mr. Boney confronted Ms. Crushshon in the hallway, restrained her, and doused her with a flammable liquid, then set himself, Crushshon, Bryan, and the hallway on fire. Though the manner in which the attack was committed is shocking, we cannot say that an attack by a non-tenant domestic abuser is so "independent of or far removed from the defendant's conduct" in failing to provide locking doors that it "break[s] the causal nexus" as a matter of law (*Mazella v Beals*, 27 NY3d 694, 706 [2016] [internal quotation marks omitted]).[2]

[3] In *Murphy*, NYCHA's claimed entitlement to summary judgment is even weaker. Surveillance video shows Mr. Cartagena and Mr. Brockington attempt to enter through a locked door. Upon finding it locked, they did not break through it or attempt to gain access "by following another person in or forcing such a person to let them in" (193 AD3d at 509)—instead, they tried the side door, which was unlocked. The evidence suggests that Mr. Cartagena and Mr. Brockington would have attacked any of the group of six that they had set their sights on. Even if the attackers had been determined to enter despite a locked door, a jury could find that the added time it would have taken them to gain entry would have allowed Ms. Murphy to escape to the safety of her own or a friend's apartment. This was hardly the type of sophisticated, meticulously planned and executed attack that might possibly sever the causal chain as a matter of law; instead, it was the heartbreaking result of a volatile situation that may or may not have cooled off with time. Thus, in *Murphy*, the Appellate Division improperly drew conclusions as a matter of law about the level of determination and ability that Ms. Murphy's assailants had to enter the building and cause her harm. The mental state of an assailant and his ability to circumvent security measures at a given property and time are not susceptible to determinations as a matter of law on summary judgment. A factfinder at trial could have found that a functioning lock on the side door would have deterred Mr. Cartagena and Mr. Brockington from pursuing the group into the building. Hypotheticals about what would have occurred if the side door had been locked—that "Cartagena and Brockington would have gained access to the build-

2. NYCHA's suggestion that to hold a landlord liable, a tenant must prove that an attacker would not have "picked another spot to lie in wait, and just as easily have carried out his murderous act" is not supported by our precedent or by common sense. Victims of targeted attacks should not be afforded less protection by their landlords simply because they are targeted. Such a rule would have a particularly cruel impact on victims of domestic violence. Domestic abusers like Mr. Boney are frequently extremely determined. Their victims should not, simply due to their abusers' determination, be prevented from recovering for their landlords' "failure to supply even the most rudimentary security—e.g., locks for the entrances" of their homes (*Jacqueline S.*, 81 NY2d at 295). The fact that women are frequently the victims of violent acts carried out by obsessive abusers should not deprive them of a minimum measure of safety in their own homes and, sadly, can hardly be said to be unforeseeable.

ing by following another person in or forcing such a person to let them in" (193 AD3d at 509)—are quintessentially questions of fact to be resolved at trial.

In sum, what might have happened had the doors in both buildings worked properly is a question of fact. We cannot say that, as a matter of law, it is "extraordinary under the circumstances [or] not foreseeable in the normal course of events" that an abusive former intimate partner or a violent neighboring gang would enter through a door negligently maintained by a landlord and injure a resident (*Mazella*, 27 NY3d at 706). NYCHA thus did not meet its burden as a movant for summary judgment to demonstrate the absence of material issues of fact as to proximate cause (*see e.g. Vega v Restani Constr. Corp.*, 18 NY3d 499, 503 [2012]).

V.

Finally, in *Murphy*, NYCHA contends that it was entitled to summary judgment because it demonstrated, as a matter of law, that it did not have notice of the broken lock on the door in question. Although the Appellate Division did not address that issue, Supreme Court concluded that plaintiff had not sufficiently rebutted NYCHA's prima facie showing that it had no notice the door was defective.

However, a plaintiff in a premises security suit need not prove that a landlord had notice to defeat summary judgment. On a motion for summary judgment, facts must be viewed in the light most favorable to the nonmoving party, and summary judgment must be denied where the moving party fails to demonstrate the absence of any material issues of fact (*see e.g. Vega* at 503). Of course, notice is relevant to the factual question of whether NYCHA breached its duty to provide minimal security measures.

[4] Here, NYCHA's own maintenance records raise questions of fact regarding whether it had notice of the broken door lock. Though NYCHA's records indicate that the door worked properly on the mornings before and after the attack, other inconsistencies and omissions in NYCHA's records render them inadequate to demonstrate lack of notice as a matter of law. For instance, as noted above, Supreme Court observed that the lock clearly was not working during the early hours of September 11, 2011. NYCHA's records indicate it was working the next day, but there is no record of a repair having taken place between the attack and the record indicating the lock was in working condition. In addition, there are questions of fact as to whether the employees identified on an earlier work order actually could have made the repairs specified by the order. Far from demonstrating the absence of triable fact questions as to breach, NYCHA's submissions raise issues of fact regarding the accuracy of its maintenance records.

In any event, Ms. Murphy's estate raised triable issues of material fact with respect to notice. Ms. Murphy's mother submitted an affidavit stating that she made multiple complaints about the door not locking. The estate also submitted an affidavit from a locksmith opining that the door had not been fixed since NYCHA was made aware of the problem.

In both cases, the negligence claims should advance to a jury trial. Accordingly, the order of the Appellate Division in *Scurry* should be affirmed, with costs, and the certified question answered in the affirmative. The order of the Appellate Division in *Murphy* should be reversed, with costs, and the motion by defendant New York City Housing Authority for summary judgment dismissing the complaint as against it denied.

In *Scurry v New York City Hous. Auth.*: Order affirmed, with costs, and certified question answered in the affirmative.

Opinion by Chief Judge WILSON. Judges RIVERA, GARCIA, SINGAS, CANNATARO and TROUTMAN concur. Judge HALLIGAN took no part.

In *Estate of Murphy v New York City Hous. Auth.*: Order reversed, with costs, and motion by defendant New York City Housing Authority for summary judgment dismissing the complaint as against it denied.

Opinion by Chief Judge WILSON. Judges RIVERA, GARCIA, SINGAS, CANNATARO and TROUTMAN concur. Judge HALLIGAN took no part.

[212 NE3d 282, 191 NYS3d 265]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ANDREW J. REGAN, Appellant.

Argued February 9, 2023; decided March 16, 2023

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Third Judicial Department, from an order of that Court, entered July 1, 2021. The Appellate Division (1) affirmed a judgment of the St. Lawrence County Court (Jerome J. Richards, J.), which had convicted defendant, upon a jury verdict, of rape in the first degree; and (2) modified, on the law, an order of that court (Felix J. Catena, J.), which had denied defendant's motion pursuant to CPL 440.10 to vacate the judgment of conviction, after a hearing. The modification consisted of reversing so much of the order as had denied defendant's CPL 440.10 motion predicated upon claims of actual innocence and ineffective assistance of counsel, and remitting the matter to the St. Lawrence County Court for further proceedings not inconsistent with the Appellate Division's decision. The Appellate Division affirmed the order as modified.

People v Regan, 196 AD3d 735, reversed.

HEADNOTE

Crimes — Right to Speedy Trial — No Good Cause for Substantial Preindictment Delay

In a rape prosecution, defendant's constitutional right to prompt prosecution was violated where the People failed to establish good cause for the more than four-year delay in filing an indictment after the complainant first told the authorities about defendant's assault and defendant refused to voluntarily provide a DNA sample. In the context of preindictment delay, a determination made in good faith to defer commencement of the prosecution for further investigation or for other sufficient reasons will not deprive the defendant of due process of law even though the delay may cause some prejudice to the defense. However, if commencement of the action has been delayed for a lengthy period, without good cause, the defendant may be entitled to a dismissal although there may be no showing of special prejudice. The People could not satisfactorily account for 31 months of their four-year delay. Although they should have immediately concluded, as the police did, that they would need defendant's DNA, they waited, for no asserted or apparent reason, and delayed seeking a warrant for that DNA until 38 months after the complainant identified defendant as her assailant and defendant denied having sex with her. The People simply failed to employ readily available legal procedures, ultimately filing an indictment roughly 48 months after the crime. Although the crime was heinous, the preparation to which the People attributed a delay for the prosecution of the particular crime was not complex.

The People never contended, and there was no suggestion in the record, that the complainant was reluctant to testify, or that investigators had any difficulty processing or interpreting the DNA evidence once it was finally collected. When a serious crime has been committed and there are no significant obstacles to prosecution, the interests of the People, the public, the victim, and the defendant all favor prompt prosecution.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Criminal Law §§ 926, 933, 934, 937, 942.

CARMODY-WAIT 2d Timeliness of Prosecution; Speedy Trial §§ 186:40, 186:42, 186:49, 186:51, 186:52, 186:58, 186:138.

LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) §§ 18.1–18.3.

NY JUR 2d Criminal Law: Procedure §§ 1895, 1904, 1905, 1954, 1966.

ANNOTATION REFERENCE

See ALR Index under Speedy Trial.

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POINTS OF COUNSEL

Hug Law, PLLC, Albany (*Matthew C. Hug* of counsel), for appellant. I. The protracted pre-indictment delay deprived appellant of his constitutional right to a speedy trial. (*People v Taranovich*, 37 NY2d 442; *People v Singer*, 44 NY2d 241; *People v Vernace*, 96 NY2d 886; *People v Decker*, 13 NY3d 12; *People v Wiggins*, 31 NY3d 1; *People v Romeo*, 12 NY3d 51; *People v Staley*, 41 NY2d 789; *People v White*, 32 NY2d 393; *People v Winfrey*, 20 NY2d 138; *People v Lesiuk*, 81 NY2d 485.) II. Appellant's statutory right to a speedy trial was violated. (*People v Blakley*, 34 NY2d 311; *People v Weaver*, 34 AD3d 1047; *People v Van Hoesen*, 12 AD3d 5; *People v McCummings*, 203 AD2d 656; *People v Lawrence*, 55 Misc 3d 1209; *People v Bauman*, 25 Misc 3d 1236.) III. Appellant was deprived of his constitutional right to due process stemming from the prosecutor's misconduct. (*People v Chery*, 28 NY3d 139; *People v Williams*, 25 NY3d 185; *People v Al-Kanani*, 26 NY2d 473; *People v Conyers*, 52

NY2d 454; *People v Crimmins*, 38 NY2d 407.) IV. Appellant's attorney had a conflict of interest that was not validly waived. (*People v Ortiz*, 76 NY2d 652; *Wood v Georgia*, 450 US 261; *People v Payton*, 22 NY3d 1011; *People v Harris*, 99 NY2d 202; *Wheat v United States*, 486 US 153; *People v Wright*, 27 NY3d 516; *People v Solomon*, 20 NY3d 91; *People v Cortez*, 22 NY3d 1061; *People v Sanchez*, 21 NY3d 216; *People v Palmer*, 173 AD3d 1560.)

Gary M. Pasqua, District Attorney, Canton (*Matthew L. Peabody* of counsel), for respondent. I. Defendant was not denied his constitutional right to speedy trial pursuant to CPL 30.20. (*People v Taranovich*, 37 NY2d 442; *People v Lesiuk*, 81 NY2d 485; *People v Vernace*, 96 NY2d 886; *People v Decker*, 13 NY3d 12; *People v Velez*, 22 NY3d 970; *People v Montague*, 130 AD3d 1100; *People v Wiggins*, 31 NY3d 1; *People v Waldron*, 6 NY3d 463.) II. Defendant was not denied his statutory right to speedy trial pursuant to CPL 30.30. (*People v Blakley*, 34 NY2d 311; *People v Alexander*, 19 NY3d 203; *People v Brown*, 28 NY3d 392; *People v Sinistaj*, 67 NY2d 236.) III. The prosecutor was properly permitted to question defendant regarding his pretrial silence. (*People v Williams*, 25 NY3d 185; *People v Chery*, 28 NY3d 139.) IV. Defendant validly waived any actual conflict of interest that existed prior to trial and failed to show that any potential conflict of interest existing at the time of trial operated on the defense. (*People v Ortiz*, 76 NY2d 652; *People v Solomon*, 20 NY3d 91; *People v Prescott*, 21 NY3d 925; *People v Sanchez*, 21 NY3d 216; *People v Jordan*, 83 NY2d 785; *People v Harris*, 99 NY2d 202.)

OPINION OF THE COURT

WILSON, J.

On the morning of August 9, 2009, a woman reported to the police that she had been raped a few hours earlier by someone she knew well, whom she identified to the police. That same day, she submitted to a sexual assault examination that included DNA samples. Also that day, the police questioned the named assailant—defendant herein—who denied any sexual contact with the woman and refused to provide a DNA sample. Defendant's assertion could have been (and years later was) refuted by obtaining a sample of his DNA via a swab of his inner cheek.

Despite the above facts, the People took over four years to file an indictment. Because of the substantial delay—as to most of which the People offer no explanation whatsoever—the constitutional right to prompt prosecution, embodied in the Due Process Clause of our State Constitution, was violated. We must reverse.

I.

Four friends, consisting of two couples, went out socializing together: defendant, Ms. B (defendant's girlfriend), the complainant, and Mr. P (the complainant's boyfriend). They eventually arrived at the complainant's home and went to sleep. As the complainant told the police a few hours after the sexual assault and testified at trial, she awoke to find defendant on top of her and he continued to rape her after she awoke. The complainant immediately told Mr. P what had happened; he confronted defendant and called a friend to come and remove defendant and Ms. B from the apartment.

When interviewed by the police that same day, defendant said that he and the complainant had not had sex at all but refused to provide the police with a DNA sample voluntarily. The police interviewed other witnesses and administered the sexual abuse evidence collection kit to the complainant on the day of the assault, August 9, 2009. Four days later they collected a DNA sample from Mr. P. Five months later, the lab reported that samples taken from the complainant's person and underwear contained semen; three months after that, the lab reported that male DNA from someone other than Mr. P was present in the samples. By April 6, 2010, the People concluded that they needed to obtain a DNA sample from defendant—the same one the police asked him to provide when he was first interviewed the day of the assault. The police again asked defendant to provide a DNA sample voluntarily, but did not hear back from him and failed to follow up.

Approximately seven months later, the assigned assistant district attorney (ADA) reached out to the New York Prosecutor's Training Institute for help figuring out how to get a warrant to collect defendant's DNA, but did not then apply for one. No explanation for that failure has been offered. Two months after that inquiry, the ADA met with the investigatory team to brainstorm ways to proceed and they again noted they needed DNA evidence to prosecute defendant. They had several more meetings about the need to get DNA evidence and how to obtain it over the course of February. Four months later, they checked in with the investigators and the investigators said they would get the DNA evidence.

Thereafter, an entire year passed, for which the People offer no explanation: at no point have the People provided any account of what happened between June 10, 2011, and June 26, 2012. On June 26, 2012, the ADA emailed defendant's attorney to ask if defendant would voluntarily provide a DNA sample. At that point—nearly three years after the sexual assault and nearly 2½ years after the police knew that a man's DNA other than Mr. P's was on the complainant's underwear and person—defendant's attorney responded he had represented defendant on a case several years earlier, but not on any current matter. When the ADA informed him that she was inquiring about that still-open investigation, defendant's attorney observed that the case was "pretty well Singer dead"—referring to our decision in *People v Singer* (44 NY2d 241 [1978]), concerning the due process right to a prompt prosecution. Despite counsel's admonition that the case against defendant might be constitutionally infirm due to excessive delay, the People inexplicably waited another five months to request a warrant. To keep the context and timeline in mind, the People did not seek a warrant for defendant's DNA until 38 months after the complainant identified defendant as her assailant and defendant denied having sex with her.

The process to obtain a warrant for a sample of defendant's DNA proved simple, though the People introduced unnecessary and more unexplained delay. A week after a new investigator was assigned to the case, he approached the District Attorney, who suggested that a warrant might be required because defendant had declined to provide DNA voluntarily. The investigator did not rely on any prior information gleaned by the District Attorney's Office as to the means for obtaining a warrant. Instead, the investigator called the New York State Police Counsel's Office, completed the two-page search warrant application and five-page supporting affidavit that same day and sent it to the District Attorney's Office for review. The application sat in the District Attorney's Office for three weeks, until it was eventually submitted to the court on Friday, November 9. The court approved it that same day, and a buccal swab was collected from defendant three days later. On February 4, 2013, the unidentified DNA from the 38-month-old sexual assault came back consistent with defendant's, disproving his claim that he and the complainant had not had sex. Defendant was arrested nine days later and the People filed a criminal complaint on February 12. The People then presented the case to the grand jury on August 15, 2013. On August 29, 2013—more than four years after the complainant first told the authorities about defendant's assault—the People finally filed the indictment against defendant. Once the case entered the court system, it proceeded promptly.

Before trial, defendant moved to dismiss the accusatory instrument, contending that his due process right to prompt prosecution had been violated by the excessive preindictment delay (*see generally Singer*, 44 NY2d 241 [1978]; NY Const, art I, § 6). County Court denied defendant's motion. At trial, defendant no longer claimed he did not have sexual contact with the complainant; instead, he claimed that she had led him into her bedroom and the two voluntarily had sex while both their partners were elsewhere in the apartment. Defendant was convicted upon a jury verdict of rape in the first degree (Penal Law § 130.35 [2]). The Appellate Division, as relevant here, affirmed the judgment in a split decision (196 AD3d 735 [3d Dept 2021]).[1] A dissenting Justice at the Appellate Division granted defendant permission to appeal the Appellate Division's order. We now reverse the Appellate Division's order.

II.

By statute and constitutional law, New York guarantees criminal defendants the right to a speedy trial and prompt prosecution (*see People v Staley*, 41 NY2d 789, 791 [1977]; *People v Vernace*, 96 NY2d 886, 887 [2001]; NY Const, art I, § 6; CPL 30.20). "[T]he State due process requirement of a prompt prosecution is broader than . . . the Sixth Amendment . . . [and] [i]n some respects the State rule is less rigid in its application than the right to due process recognized under the Federal Constitution" (*Singer*, 44 NY2d at 253). This Court has "long held that unreasonable delay in prosecuting a defendant constitutes a denial of due process of law," and that "[a]n untimely prosecution may be subject to dismissal even though, in the interim, defendant was not formally accused, restrained or

1. The Appellate Division also modified an order of County Court, entered August 14, 2018, denying defendant's motion to vacate the judgment pursuant to CPL 440.10, by remitting for a hearing on defendant's claims of actual innocence and ineffective assistance of counsel. Defendant does not appeal from that portion of the Appellate Division order. Furthermore, because we conclude the indictment must be dismissed on prompt prosecution grounds, we do not address the merits of any of defendant's other arguments.

incarcerated for the offense" (*see Singer*, 44 NY2d at 253 [internal quotation marks omitted]). "[T]his Court has never drawn a fine distinction between due process violations based on delay in commencing prosecution and speedy trial violations," and "the factors utilized to determine if a defendant's rights have been abridged are the same whether the right asserted is a speedy trial right or the due process right to prompt prosecution" (*People v Wiggins*, 31 NY3d 1, 12 [2018] [internal quotation marks omitted]). Those factors are:

> "(1) the extent of the delay; (2) the reason for the delay; (3) the nature of the underlying charge; (4) whether or not there has been an extended period of pretrial incarceration; and (5) whether or not there is any indication that the defense has been impaired by reason of the delay" (*Wiggins*, 31 NY3d at 9-10, quoting *People v Taranovich*, 37 NY2d 442, 445 [1975]).

" '[N]o one factor or combination of the factors . . . is necessarily decisive or determinative of the [prompt prosecution] claim, but rather the particular case must be considered in light of all the factors as they apply to it' " (*Wiggins*, 31 NY3d at 10, quoting *Taranovich*, 37 NY2d at 445).

Although the Court treats alleged due process violations based on preindictment delay and alleged speedy trial violations based on postindictment delay similarly, there are some relevant distinctions. We have repeatedly stated, in the context of preindictment delay, that "a determination made in good faith to defer commencement of the prosecution for further investigation or for other sufficient reasons . . . will not deprive the defendant of due process of law even though the delay may cause some prejudice to the defense" (*Singer*, 44 NY2d at 254; *see People v Decker*, 13 NY3d 12, 14 [2009]; *Vernace*, 96 NY2d at 888). "By contrast, in post-charge delay cases, the People's good faith determination to delay the defendant's trial cannot continue indefinitely, even if their proffered justification for the delay would otherwise excuse a reasonable period of delay" (*Wiggins*, 31 NY3d at 13 [emphasis omitted]). In other words, "[t]he People necessarily have wider discretion to delay commencement of prosecution for good faith, legitimate reasons than they do to delay a defendant's trial after charges have been filed, even for legitimate reasons and without acting in bad faith" (*id.* [emphasis omitted]).[2]

We therefore have excused lengthy periods of preindictment delay—far lengthier than the period at issue in this case—where the People have established good cause for the delay (*see e.g. Decker*, 13 NY3d at 14-15; *Vernace*, 96 NY2d at 887-888). Nevertheless, the due process right to prompt prosecution is not meaningless. "[I]f commencement of the action has been delayed for a lengthy period, without good cause, the defendant may be entitled to a dismissal although there may be no showing of special prejudice" (*Singer*, 44 NY2d at 254). "The primary responsibility for assuring prompt prosecution rests with the prosecutors" (*Staley*, 41 NY2d at 793). Prosecutors may not needlessly delay without an "acceptable excuse or justification" (*id.*), and a sufficiently lengthy unexplained delay may require us to dismiss the indictment altogether.

A.

Applying the *Taranovich* factors to this case, the delay was considerable. Although "there is no specific length of time that automatically results in a due process violation," longer delays are more likely to inflict greater harms (*People v Johnson*, 39 NY3d 92, 97 [2022], citing *Taranovich*, 37 NY2d at 445-446; *see also People v Cousart*, 58 NY2d 62, 68 [1982] [citing *Singer* for the proposition that "a five-year delay prior to trial raises a presumption of prejudice"]). In *People v Staley*, we held that a "wholly unexplained 31-month delay" was an "extraordinary time-lapse" that "would, without question, be cause for dismissal of the indictment" even without any showing of prejudice (*see* 41 NY2d at 790-793). Even the People concede that the delay here was "excessive." The fact that the Legislature removed the statute of limitations does not change our analysis (*see* Singas, J., dissenting op at 487 n 7) and if anything

2. As is typical in cases of preindictment delay, "no accusatory instrument was filed" during the prolonged delay here (Singas, J., dissenting op at 489). However, defendant was "actually—although not formally—accused of the" rape in August of 2009 (*see Singer*, 44 NY2d at 252), when the police conducted what they described in their notes as a "suspect interview" with their sole suspect—defendant. The interview concluded with defendant telling the police that he "was not willing to cooperate with this investigation without conferring with an attorney," after which he retained one and had no further direct contact with the police or prosecution until they obtained his DNA via warrant more than three years later. It is thus clear that defendant was aware he was the target of an investigation.

heightens the need for constitutional vigilance (*see Singer*, 44 NY2d at 253 ["it cannot be assumed that the Statute of Limitations will adequately protect the defendant against the potential prejudice inherent in any delay, since in this State there is no Statute of Limitations for (rape in the first degree)"]). Under the most charitable interpretation of the record and our case law, the People cannot satisfactorily account for 31 months of their four-year delay.

The People's explanation of their conduct is, as both the People and the dissents concede, a factor that "weighs in the defendant's favor" (Singas, J., dissenting op at 490; 196 AD3d at 737 ["the preindictment delay of four years was lengthy and the reasons for the delay proffered by the People certainly left something to be desired"]). "Generally when there has been a protracted delay, certainly over a period of years, the burden is on the prosecution to establish good cause" (*Singer*, 44 NY2d at 254; *Decker*, 13 NY3d at 14). It has not established good cause in this case. Here, 24 months are wholly unexplained by the record or any of the People's papers in this matter and seven months at a point late in the timeline are flimsily justified as necessary to decide the case required DNA evidence and then figure out how to get DNA evidence from defendant. The People's own submissions demonstrate the emptiness of the claim that the police and the People did not know how to obtain defendant's DNA and could not have figured it out sooner: not only did the assigned ADA obtain guidance on the warrant process in November of 2010—two years before the People filed their ultimately successful warrant application—but the investigator who eventually prepared the warrant application managed to figure out the procedure in part of a day. Indeed, our own case law dating back to at least 1982 provides the needed guidance on how to address this routine legal matter (*see Matter of Abe A.*, 56 NY2d 288 [1982]).

Even taking the People's explanation for their tardiness at face value, neither ignorance nor indolence can be asserted to vitiate the constitutional guarantee of a prompt prosecution. As explained, a defendant will not be deprived of due process of law if the People make a good faith determination "to defer commencement of the prosecution for further investigation or *for other sufficient reasons*" (*Singer*, 44 NY2d at 254 [emphasis added]). The People may not do what they did here. Although they should have immediately concluded, as the police did, that they would need defendant's DNA, they explicitly decided that they would need defendant's DNA by April of 2010. They then waited, for no asserted or apparent reason, and delayed seeking a warrant for that DNA until November of 2012. The People do not even argue that their delay represented a good-faith, strategic decision that was backed by sufficient reasons. Rather, they concede that the delay was due to incompetence and demand credit for the fact that they did not intend to sabotage defendant's defense. The People's negligence is not, as they argue here, a neutral factor in evaluating a prompt prosecution claim: as the U.S. Supreme Court has noted, "[a]lthough negligence is obviously to be weighed more lightly than a deliberate intent to harm the accused's defense, it still falls on the wrong side of the divide" (*Doggett v United States*, 505 US 647, 657 [1992]; *see also Wiggins*, 31 NY3d at 13 [citing this part of *Doggett* approvingly in the *Taranovich* context]; *Staley*, 41 NY2d at 792 ["(s)heer neglect or trifling . . . is not permissible"]).

Singer offers an instructive comparison. In *Singer*, we held a 42-month preindictment delay to be unacceptable where the police spent roughly four months gathering the evidence they would ultimately use at trial, but roughly two months later the People "directed that there be further [ultimately unsuccessful] investigation" (44 NY2d at 250 [internal quotation marks omitted]). For the following roughly 2½ years, a detective "kept a folder on [the defendant] and on occasion . . . d[id] some work on it," losing track of the defendant for a few months before arresting and charging him 42 months after the crime had been committed (*see id*. at 248 [internal quotation marks omitted]). Here, law enforcement gathered all the non-DNA evidence the People used at trial almost immediately. The police immediately attempted to gather DNA from defendant but, faced with defendant's failure to provide a DNA sample voluntarily, the People took no appreciable steps to obtain that evidence until a new investigator—who did not rely on any of their previous research—did so within a few days. Unlike in *Singer*, the People actually did obtain new, helpful evidence at the end of their search. Also unlike in *Singer*, however, there is no indication that the People asked the police to seek new, unknown evidence that might strengthen their case. They simply failed to employ readily available legal procedures, ultimately filing an indictment roughly 48 months after the crime.

Judge Singas misapplies the People's burden based on a reading of *Singer* that is not grounded in the Court's explanation of its holding. In her account, "the Court emphasized consideration of the People's possible bad faith in delaying prosecution" (Singas, J., dissenting op at 491). Although the *Singer* court noted that the People may have "had a legitimate reason" for the delay (namely, a strategy to question the defendant under "more favorable conditions"), it reiterated the well-settled principle that "the burden is on the *prosecution* to establish good cause," and "if commencement of the action has been delayed for a lengthy period, without good cause, the defendant may be entitled to a dismissal although there may be no showing of special prejudice" (44 NY2d at 254 [emphasis added]). Nowhere did the *Singer* court mention bad faith or distinguish between the positive presence of bad faith and the mere lack of good faith—it was only the dissent who used the term "bad faith," and only to comment that "there [wa]s no indication that this decision was made in bad faith" (*id*. at 258 [Gabrielli, J., dissenting in part]). Although "bad faith . . . obviously would weigh heavily in favor of dismissal of the indictment" (*People v Romeo*, 12 NY3d 51, 56-57 [2009]), we have never lightened the prosecution's burden to explain itself merely because the record does not establish the People's bad faith (*see* Singas, J., dissenting op at 490-492). As in *Singer*, the record and the briefing in this case are devoid of any explanation for the People's delay, although here the People had multiple opportunities to provide one.

By contrast, we are much more solicitous of the People when they offer even a colorable explanation for their delay, for instance when the witnesses are cowed by the defendant's threats (*see Decker*, 13 NY3d at 14; *Vernace*, 96 NY2d at 887).[3] Other acceptable reasons for preindictment delay relate to the People's "need to investigate to discover the offender, to eliminate unfounded charges, and to gather sufficient evidence prior

3. We do not "ignore[ ] this line of case law" (Singas, J., dissenting op at 490). Because our "analysis must be tailored to the facts of each case" (*Johnson*, 39 NY3d at 96), no one case dictates a result here. There are many salient differences between those two cases and this one, including different underlying offenses and—crucially—different explanations for the delay. Indeed, the different explanations offered in *Vernace* (*see* 96 NY2d at 887 [mob gunmen murdered two bartenders over a spilled drink in front of 25 patrons, none of whom said they saw the assailants and other witnesses either fled, hid or recanted, leading to the court's conclusion that the People, not the defendant, had been prejudiced by the delay]) and *Decker* (*see* 13 NY3d at 14 [the crucial witnesses had been intimidated by the defendant and were addicted to drugs and unwilling to testify for many years]) help explain why this case comes out differently than those two.

to the commencement of a prosecution" (*People v Lesiuk*, 81 NY2d 485, 490 [1993], citing *Singer*, 44 NY2d at 254). Judge Singas acknowledges that no such extenuating factors are present here (*see* Singas, J., dissenting op at 490 ["The People lack a credible justification for the . . . delay"]).

Indeed, Judge Singas goes so far as to propose that the delay arose from "investigators' disbelief of [the complainant's] account of the incident, or their apathy toward her trauma," or even their "enduring cultural attitudes towards sexual violence" (*id.* at 492), but also maintains "that law enforcement proceeded with no bad faith" (*id.* at 491-492). Rather, those explanations would, in her dissent's view, "dilute[ ] the significance of this factor" (*id.* at 492) because "[l]aw enforcement's mistreatment of an innocent victim, or even bad faith toward a victim" (*id.* at 490-491 n 10), is not the kind of bad faith our laws protect against. We reject that analysis.

Turning to the remaining three *Taranovich* factors, they do not weigh in defendant's favor, but they also do not overcome the People's sizeable, unexplained delay. As we recently noted in *People v Johnson*, the third factor refers to both the seriousness and the complexity of the crime (*see* 39 NY3d at 97). Defendant was accused and ultimately convicted of a heinous crime. However, the preparation to which the People attribute a delay for the prosecution of this particular crime was not complex. The People had the complainant's sworn statement and witness interviews immediately; the only missing evidence was the DNA evidence from defendant, which could have been obtained with speed and ease. In saying this, we do not disregard the difficulties prosecutors may face in "preparing a rape victim to testify," dealing with "the intricacies of DNA evidence and mixture analysis," or "confronting deeply entrenched preconceptions of rape held by juries and judges alike" (Singas, J., dissenting op at 488). If there were any evidence in the record that any of those difficulties contributed to the delay here, the outcome of this case might well be different. But the People have never contended, and there is no suggestion in the record, that the complainant in this case was reluctant to testify, or that investigators had any difficulty processing or interpreting the DNA evidence once it was finally collected. Nor do we hold that the six months between defendant's arrest and trial, during which the People presumably prepared the complainant to testify, was unreasonable. Rather, the procedure to obtain defendant's DNA was simple, and the People have not asserted that any delay in this case was caused by the intricacies of prosecution. The prosecution knew full well that, in determining the truth of defendant's assertion that he had no sexual contact with the complainant, DNA evidence could conclusively disprove his claim. Obtaining that proof took a day's worth of paperwork, a few days to execute the warrant, and three months to obtain the lab results. When a serious crime has been committed and there are no significant obstacles to prosecution, the interests of the People, the public, the victim, and the defendant all favor prompt prosecution.

As to the fourth factor, defendant was not incarcerated pretrial (*cf. Romeo*, 12 NY3d at 58 [concluding the fourth factor was "not significant in this case" involving postindictment delay because "(a)t no point during his prosecution on the Suffolk County charges has he faced additional incarceration from those charges"]).

As to the fifth factor, prejudice caused by the delay, defendant did not show special prejudice, but is not required to do so under our case law. We have repeatedly held that if the first two factors favor defendant, establishment of prejudice is not required to find a due process violation (*see e.g. Singer*, 44 NY2d at 254 ["if commencement of the action has been delayed for a lengthy period, without good cause, the defendant may be entitled to dismissal although there may be no showing of special prejudice"]; *Wiggins*, 31 NY3d at 13; *Taranovich*, 37 NY2d at 446-447 [the "traditional view in this court (is) that where in the circumstances delay is great enough there need be neither proof nor fact of prejudice to the defendant"]; *Staley*, 41 NY2d at 792 ["when the delay is long enough, the charges must be dismissed whether or not defendant's ability to present a defense has been shown to be hampered"]). As we have said, the "impairment of one's defense is the most difficult form of [prompt prosecution] prejudice to prove because time's erosion of exculpatory evidence and testimony 'can rarely be shown' " (*Wiggins*, 31 NY3d at 18, quoting *Doggett v United States*, 505 US 647, 655 [1992]). Therefore, we "generally have to recognize that excessive delay presumptively compromises the reliability of a trial in ways that neither party can prove or, for that matter, identify" (*Wiggins*, 31 NY3d at 18).

We recognize that "[t]he *Taranovich* framework is a holistic one—that is, 'no one factor or combination of the factors . . . is necessarily decisive or determinative of the [prompt prosecution] claim' " (*Johnson*, 39 NY3d at 96, quoting *Taranovich*, 37

NY2d at 445). Although Judge Singas complains that we focus on just one *Taranovich* factor, the length of the delay (Singas, J., dissenting op at 493), that statement is truer of her dissent, which focuses on one component of the third factor: the gravity of the crime, allowing the seriousness of the offense to swamp all other factors. She concedes the first two factors favor defendant. Our precedent establishes that the absence of proof of the fifth does not overcome a lengthy unexplained delay, and the fourth factor is not implicated here. In contrast, she devotes most of her analysis to the seriousness of the offense (*see id.* at 475-483, 486-488, 493-494, 490). She dismisses the relevance of cases solely on the basis that they involved less serious offenses (*see id.* at 490). Counterintuitively to her exposition of the systemic reluctance or indifference to prosecute sexual assault, she would permit greater unexplained prosecutorial laxity in rape cases than she would in burglary or robbery cases (and even where the other component of the third factor, the difficulty of the particular prosecution, cuts against the People). In this case, the balance of the factors weighs in favor of dismissal.

B.

Although that prompt prosecution right formally belongs to defendant, it also vindicates the interests of victims and the rest of society by ensuring prompt adjudications and reinforcing society's expectation that crime will be taken seriously (*see Matter of Benjamin L.*, 92 NY2d 660, 667 [1999]; *Staley*, 41 NY2d at 792). Those considerations are particularly weighty in sexual assault cases, where, as our dissenting colleague so aptly chronicles in parts II and III of her dissent, distrust of the criminal justice system is rife, and regrettably, often justified.

Here, the complainant immediately reported the rape and identified defendant as her assailant. Defendant denied having sex with her. She submitted to an invasive search, and her boyfriend submitted to a DNA test. Thus, defendant's story could have been promptly assessed by the simple measure of obtaining a warrant for his DNA. Yet the People waited *more than three years* to obtain a warrant. We agree with Judge Singas's diagnosis of the still-pervasive problem of law enforcement's inability to recognize the seriousness of sexual assault: that problem manifests itself in "the premature ending of rape investigations, closing cases as based on 'unfounded' allegations, and devoting less time and resources to investigating such cases" (Singas, J., dissenting op at 492). It results in "structural barriers that victims confront in pursuing sexual assault prosecutions" (*id.* at 492). Indeed, those barriers are clearly reflected here by the People's inaction in response to the complainant's prompt report to the police that she had been raped by defendant. That the People here cannot offer any explanation for 31 months of delay illustrates the reality of Judge Singas's spirited concern for the torpid prosecution of sexual assaults against women.

At oral argument, the People admitted that more than two years' of the delay was unexplained and inexplicable. In keeping with their earlier explanation that they needed "to conclusively include or exclude the defendant as a suspect," the People explained the remaining delay in part by stating that the police had to "weigh" the conflicting testimonies—in essence, that this was a "he said, she said" case. By implication, what "she said" did not provide the People with sufficient motivation to investigate her rape diligently—even when what "he said" could have been quickly disproved by a simple investigative tool.[4] An unexcused delay of over three years communicates to victims of sexual assault that their complaints will not be taken seriously.[5] Although the constitutional guarantee of a prompt prosecution is not the sharpest instrument by which to address the chronic lackadaisical approach to reports of sexual assaults, affirming the prosecutorial conduct here would establish a precedent—which would apply in every future rape and sexual assault case—that the People can delay investigation of a serious crime for years without any explanation or excuse, with no constitutional consequence as long as defendant is unable to demonstrate a form of prejudice that, even when it exists, "can rarely be shown" (*see Wiggins*, 31

4. On the broader implications of this dynamic, see generally Eliza A. Lehner, *Rape Process Templates: A Hidden Cause of the Underreporting of Rape* (29 Yale JL & Feminism 207, 232 [2017] [noting that "detectives shape the law of rape: by choosing which allegations to investigate, to investigate carefully, and to bring to prosecutors, they filter which rape allegations have a chance of making it to court and thus into case law . . . creat(ing) a cycle in which the more messy and contested cases do not advance through the criminal justice system, so prosecutors, judges and juries are not pushed to reconsider their assumptions about rape or about what a provable rape allegation is"]).

5. *See* Lehner at 230 (explaining how the 'he said, she said' dynamic "reinforce[s] the behaviors in detectives that discourage victims from reporting or pursuing allegations of rape and signal disbelief to victims").

NY3d at 18). Such a precedent would not aid defendants, future victims, or the public.

III.

Vacating any conviction on prompt prosecution grounds runs a genuine risk that a guilty person will not be punished, or, as in this case, not finish out his full sentence. However, vital societal interests can overcome that cost. Our jurisprudence ensures that trials are fair and accurate; it also spurs prosecutors to take crime seriously and give all parties the prompt closure they need to move on with their lives. The message sent by Judge Singas's would-be resolution is unacceptable: that when prosecutors cannot tender any explanation, however fanciful, for years of delay in prosecuting a rape case, that delay does not matter.

The constitutional guarantee of a prompt prosecution places a burden on the State, when prosecuting crimes, to do so with alacrity. Contrary to Judge Singas's contention, we are not "impos[ing] a de facto 31-month limitation on first-degree rape investigations" (Singas, J., dissenting op at 493). The problem here is not simply the expanse of time between when the crime occurred and when defendant was charged, but the complete failure of the People to proffer any excuse which even colorably justifies that delay. Our Constitution allows for modest unexcused delays; it allows for lengthy justifiable delays. But it does not allow for lengthy unexplained or, as here, inexplicable delays caused by lethargy or ignorance of basic prosecutorial procedures. The constitutional prompt prosecution guarantee benefits defendants, victims and society at large, and it is the role of the courts to protect it (*see Singer*, 44 NY2d at 254; *Matter of Benjamin L.*, 92 NY2d at 667). In this case, the police and prosecutors did not take defendant's constitutional rights or the complainant's sexual assault seriously; they did not act expeditiously with regard to either. Their delay violated defendant's constitutional right to a prompt prosecution.

Accordingly, the order of the Appellate Division should be reversed and the indictment dismissed.

SINGAS, J. (dissenting). Despite years of progress by lawmakers and courts, including this Court, to dismantle unreasonable barriers to rape prosecutions, women who report sexual violence continue to face an uphill battle to hold those who rape them accountable. It is a harder fight after today. With the majority decision, the scales, once again, weigh against women's voices. While the majority aims to punish the People for the pre-accusatory delay in securing DNA evidence—a delay that had no discernible impact on defendant's ability to defend himself—the result is a stunning nullification of a jury's first-degree rape conviction and the reinforcement of the bleak history of the treatment of sexual assault victims. Because there was no due process violation, today's decision serves only to undermine New York's recent gains in ensuring that sexual assault victims are treated fairly by the criminal justice system. Accordingly, I must dissent.

I.

Defendant, convicted of the first-degree rape of an acquaintance, argues that the preindictment delay of four years violated his constitutional right to a speedy trial. The victim here promptly reported the rape and cooperated in the investigation. A jury found defendant guilty, and he was sentenced to 12 years' imprisonment. The Appellate Division, affirming the trial court's decision on the matter, determined that "no violation of defendant's constitutional right to a speedy trial" occurred (196 AD3d 735, 737 [3d Dept 2021]). The majority reverses this sound decision by means of an improper application of the well-settled balancing test determining due process violations, rationalizing the injustice to the victim by pointing to the People's "ignorance" and "indolence" in obtaining the relevant evidence (majority op at 467). In doing so, the majority discounts several salient factors, particularly the severity of the crime—first-degree rape—because "the police and prosecutors did not take . . . the complainant's sexual assault seriously" or "act expeditiously" to vindicate her rights (majority op at 474). Today's holding has disturbing echoes of our criminal justice system's past shameful treatment of sexual assault victims and reverses recent progress aimed at assisting victims in obtaining justice.

II.

From its origins in common law, the crime of rape failed in purpose and effect to prioritize the violation on the bodily autonomy of its victims, mostly women. Introduced around the sixth century, chattel theory considered a woman first to be the property of her father, and later, if married, the property of her husband (Cassandra M. DeLaMothe, *Liberta Revisited: A Call to Repeal the Marital Exemption for All Sex Offenses in New*

York's Penal Law, 23 Fordham Urb LJ 857, 860 [1996]). Rape as a legal offense thus sought "to safeguard both the value of women to men and the stability of the marriage market" (*see* Alexandra Wald, *What's Rightfully Ours: Toward a Property Theory of Rape*, 30 Colum JL & Soc Probs 459, 488 [1997]), and was generally thought of "as a property crime of man against man" (Anne Dailey, Note, *To Have and to Hold: The Marital Rape Exemption and the Fourteenth Amendment*, 99 Harv L Rev 1255, 1256 [1986] [internal quotation marks omitted]). Relatedly, the legal doctrine of coverture defined a married woman's legal existence as beginning and ending with her husband. Through coverture, a legal fiction was created in which a married woman's legal identity was subsumed by her husband's and the husband exercised expansive authority and control over his wife (1 William Blackstone, Commentaries on the Laws of England at 430 [John L. Wendell ed 1847]).[1]

That women and their privacy were the property of men pervaded our rape laws in other insidious ways. For example, an evidentiary common-law rule allowed evidence of a victim's sexual history to be admitted at trial for consideration on the question of her consent. Such evidence was probative of consent, the theory went, because women who had previously consented to nonmarital sexual intercourse were considered to have a "character for unchastity," which made it more likely that the woman had consented to sexual intercourse on the occasion at issue (Abraham P. Ordover, *Admissibility of Patterns of Similar Sexual Conduct: The Unlamented Death of Character for Chastity*, 63 Cornell L Rev 90, 91 [1977]). This rule encouraged juries to engage in value judgments regarding which women were worthy of protection under the law, and exploited societal perceptions of women who engaged in nonmarital sex as immoral. The result was a system that offered less protection to women deemed less worthy of it (*see id.* at 98-99).

1. Derived from this property-centric lens, and rationalized on a theory of implied consent, the marital rape exemption sanctioned sexual violence within marriage, such that a man did not commit rape if he was married to his victim. As seventeenth century English jurist Sir Matthew Hale opined, "the husband can not be guilty of a rape committed by himself upon his lawful wife, for by their mutual matrimonial consent and contract the wife hath given herself in this kind unto her husband which she can not retract" (Sandra L. Ryder & Sheryl A. Kuzmenka, *Legal Rape: The Marital Rape Exemption*, 24 J Marshall L Rev 393, 394-395 [1991]; *see People v Liberta*, 64 NY2d 152, 162 [1984]).

Stemming from these dehumanizing origins of rape in the common law, rhetoric relating to rape prosecutions quickly honed in on unsubstantiated concerns about false rape accusations. Hale famously wrote that "rape . . . is an accusation easily to be made and hard to be proved, and harder to be defended by the party accused, tho never so innocent," setting off centuries of policies and legal theories designed to shield men from accusations, and accountability, and leave their victims without recourse (1 Matthew Hale, The History of the Pleas of the Crown 635 [1736]).

Given this legacy of suspicion, it is of no surprise that rape prosecutions were encumbered by the corroboration requirement. Prior to 1974, the Penal Law provided that "[n]o conviction can be had for rape or defilement upon the testimony of the female defiled, unsupported by other evidence" (Penal Law of 1909 § 2013; former Penal Law § 130.15; *People v Croes*, 285 NY 279, 281 [1941]). Victim testimony alone was insufficient to sustain a conviction, and additional evidence was required to establish both that the victim had been raped and that the accused was responsible (*People v Downs*, 236 NY 306, 308 [1923]). Thus, as a matter of statutory law, the testimony of rape victims was treated as less credible than that of witnesses to other crimes, such as robberies or assaults.

The corroboration requirement was promulgated "to protect against the perceived danger of false accusations" and "nurtured . . . largely in an unfair skepticism of the testimony of the women who were the victims of these crimes" (*People v Fuller*, 50 NY2d 628, 635-636 [1980]). "The original justification for the corroboration requirement in sex offense cases lies in the chauvinistic argument that women are prone to sexual fantasies and given to 'contriving false charges of sexual offenses by men' " (*People v Grady*, 98 Misc 2d 473, 475 [Albany County Ct 1979]; *see e.g. People v Yannucci*, 258 App Div 171, 172 [2d Dept 1939] ["(t)he law wisely recognizes that some complainants are designing or vicious. If it were not for the rule of corroboration, a defendant would be at the mercy of an untruthful, dishonest or vicious complainant"]). Because of the nature of the crime, often all victims have is their word and, by statutory design, their word was not good enough, rendering convictions elusive in all cases but those with the most overwhelming evidence.

Even when corroborative evidence was available, courts frequently discounted its value and held that such evidence did not satisfy the requirement. For example, in *People v Radunovic*, this Court held that bruises on the victim's thigh, as well as testimony from her obstetrician that her hymen was intact prior to the alleged assault and broken after, did not constitute sufficient corroboration (21 NY2d 186 [1967]). In another instance, a court considered a defendant's admission to having had sexual intercourse with the victim over the course of two years to fall short of corroborating the allegation of statutory rape (*see People v Perez*, 25 AD2d 859 [2d Dept 1966]; *see also People v Downs*, 236 NY 306, 311-312 [1923] [admission by defendant that he had "fooled with" the victim did not satisfy the corroboration requirement]). A victim's pregnancy, claimed to be the result of the rape, was also not sufficient to satisfy the corroboration requirement (*Croes*, 285 NY at 282).[2]

Another unduly restrictive requirement imposed upon victims, grounded in the same skepticism as to their credibility, was the common-law "hue and cry" requirement, which demanded immediate outcry (Dawn M. DuBois, *A Matter of Time: Evidence of a Victim's Prompt Complaint in New York*, 53 Brook L Rev 1087, 1089 [1988]). Without prompt reporting, prosecutors were precluded from even charging the crime (Michelle J. Anderson, *The Legacy of the Prompt Complaint Requirement, Corroboration Requirement, and Cautionary Instructions on Campus Sexual Assault*, 84 BU L Rev 945, 955 [2004]; DuBois at 1089). Rape was again treated as a different class of offense based on a patriarchal view of how women should behave: "[t]he rule is founded upon the laws of human nature, which induce a female thus outraged to complain at the first opportunity. Such is the natural impulse of an honest female" (*Higgins v People*, 58 NY 377, 379 [1874]). In the 1800s, the rule was modified to allow prosecution despite the absence of immediate reporting, but juries were entitled to make an adverse inference to the rape claim (DuBois at 1090).

Perhaps the most oppressive and dangerous requirement of all was that of "utmost resistance," requiring a victim to have

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2. In response, prosecutors often pursued only lesser charges, such as attempted rape, even where a completed rape had occurred (*see* William E. Nelson, *Criminality and Sexual Morality in New York, 1920-1980*, 5 Yale JL & Humans 265, 305-306 [1993]). Courts reacted to this tactic by extending the corroboration requirement to lesser sexual offenses so that prosecutors could not "circumvent the requirement of corroboration necessary for a conviction of . . . rape simply by charging instead [a lesser offense]" (*People v Lo Verde*, 7 NY2d 114, 116 [1959]; *see also Radunovic*, 21 NY2d at 189; *People v English*, 16 NY2d 719, 720 [1965]).

exerted “the greatest effort of which she is capable therein, to foil the pursuer and preserve the sanctity of her person” for such rape to qualify as a legal offense (*People v Dohring*, 59 NY 374, 383 [1874]).

> “Certainly, if a female, apprehending the purpose of a man to be that of having carnal knowledge of her person, and remaining conscious, does not use all her own powers of resistance and defence, and all her powers of calling others to her aid, and does yield before being overcome by greater force, or by fear, or being surrounded by hostile numbers, a jury may infer that, at some time in the course of the act, it was not against her will” (*id.*).

Thus, a woman who failed to resist risked an unsuccessful prosecution and one who did resist potentially risked her life (*see* Letter from May W. Newburger, Member of Assembly, July 13, 1982, Bill Jacket, L 1982, ch 560 [in supporting legislation eliminating the proof-of-resistance requirement, stressing that “many law enforcement officials and rape crisis services advise women not to resist a sex attacker, as to do so is likely to place them in danger of serious injury or death”]).

“As such, rape was one of the few crimes for which the actions of the defendant alone were insufficient to satisfy the elements of the crime. . . . Both the quantity and the quality of [the victim’s] response were put on trial, deliberated over, and adjudicated” (I. Bennett Capers, *Real Women, Real Rape*, 60 UCLA L Rev 826, 834 [2013]), resulting in fewer convictions and traumatized victims as forsaken causalities.

III.

Primarily since the 1970s, New York has significantly, albeit incrementally, recognized and acted to alleviate this extensive anti-victim bias. In 1974, the legislature repealed former Penal Law § 130.15, requiring corroboration of the victim’s account to obtain a conviction for forcible rape.[3]

One year later, the legislature enacted CPL 60.42, commonly referred to as New York’s “rape shield” statute, precluding most evidence of a complainant’s prior sexual conduct in a prosecution for a “sex offense” (or an attempt thereof). The

3. Currently, corroboration is required only where lack of consent “results solely from incapacity to consent because of the victim’s mental defect, or mental incapacity” (Penal Law § 130.16).

statute represents the legislature's determination that evidence of a victim's past sex life is "seldom . . . relevant to the issues of the victim's consent or credibility, but serves only to harass the alleged victim and confuse the jurors. Focusing upon the immaterial issue of a victim's chastity tends to demean the witness, discourages the prosecution of meritorious cases, and leads to acquittals of guilty defendants" (Assembly Introducer's Mem in Support, Bill Jacket, L 1975, ch 230). Indeed, "even with the [elimination] of the corroboration rule, rape victims ha[d] still been reluctant to pursue prosecution of their attackers because they would not or could not undertake the risk of suffering the indignities attendant upon their cross examination"; the rape shield litigation, therefore, "accomplish[ed] two desirable objectives: It remove[d] from the trial of an alleged rapist the mini-trial of his alleged victim; and equally if not more important, it [would] encourage rape victims to cooperate wholeheartedly in the search for and prosecution of their attackers" (Mem of Morton H. Grusky, NY St Div of Crim Just Servs, Bill Jacket, L 1975, ch 230).

In the late 1970s and early 1980s, the legislature repeatedly amended the definition of forcible compulsion contained in Penal Law § 130.00 (8), each time attempting to eliminate the prior version's perceived burden on the victim of a sex offense to fight off an attacker. The 1982 amendment eliminated any requirement of victim resistance, which "ma[d]e[ ] a long overdue public policy statement that submission to a sexual attack to preserve one's life or safety is not consent to a sex crime" (Legis Mem in Support, Bill Jacket, L 1982, ch 560). But the revised definition continued to focus on the victim's subjective view regarding the degree of fear necessary to overcome their resistance to the assault, and relatedly to suggest that the offender's use of physical force was not alone sufficient to constitute forcible compulsion. Therefore, in 1983 the legislature amended the definition yet again to clarify that compulsion may take the form of physical force (Penal Law § 130.00 [8] [a]), as opposed to deadly physical force, or of a "threat, express or implied," which placed a person in fear "of immediate death" or of only "physical injury to himself, herself or another person, or in fear that he, she or another person will immediately be kidnapped" (Penal Law § 130.00 [8] [b]).

This evolving understanding of the crime of rape and its impact on victims was further reflected in *People v Taylor*, where the Court held that expert testimony as to rape trauma syndrome could be admitted to aid a jury in reaching a verdict (75 NY2d 277, 288-289 [1990]). In so deciding, the Court effectively catalogued the long-standing institutional and societal obstacles to rape prosecutions outlined above: "rape is a crime that is permeated by misconceptions," and "jurors will under certain circumstances blame the victim for the attack," "refuse to convict the man accused," or "infer consent where the victim has engaged in certain types of behavior prior to the incident" (*id.*).[4]

Most relevant here, the legislature in 2006 took the extraordinary measure of eliminating the statute of limitations for prosecutions of rape in the first degree, criminal sexual act in the first degree, aggravated sexual abuse in the first degree and course of sexual conduct against a child in the first degree (*see* CPL 30.10 [2] [a]). The legislature deemed sex crimes among "the most heinous and deeply disturbing in our society" and asserted that those who commit such "violent and serious acts should not be shielded from prosecution by the mere passage of time, especially at the expense of those whom they have victimized, and whose physical and emotional scars will endure without limitation" (Senate Introducer's Mem in Support, Bill Jacket, L 2006, ch 3 at 4). Further, the legislature recognized "that offenders who commit these felonies often cause lasting harm, not only to victims and their families, but also to society and our system of justice," and "our laws must be strengthened to provide clear recognition of . . . the compelling importance of prosecuting serious offenders, regardless of when law enforcement is able to proceed" (*id.*).[5]

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4. Relatedly, the Court had finally declared the "marital exemption" unconstitutional six years before, recognizing that "there is no rational basis for distinguishing between marital rape and nonmarital rape," and "[a] married woman has the same right to control her own body as does an unmarried woman" (*Liberta*, 64 NY2d at 163-164).

5. Prior to its passage in the Senate, multiple senators rose in support of the legislation, asserting, variously, that the prior existing five-year statute of limitations for these crimes was "ridiculous, insensitive and really obscene" (NY Senate Debate on 2006 NY Senate Bill S8441, June 21, 2006, tr at 5377); that "there is no justice for that woman" and the perpetrator "ha[s] gone unpunished" if the perpetrator was found after the five years had passed (*id.* at 5377-5378); that by assigning these crimes a five-year limitations period, "[w]e were telling [women] that the crime of rape is not as serious as the crime of murder, the crime of kidnapping, the crime of arson and certain drug crimes" (*id.* at 5385-5386); that, by eliminating the statute of limitations, "[t]here is no place you can hide, there is no time frame in which you

(n. cont'd)

In 2019, the legislature extended the statute of limitations for second- and third-degree rape prosecutions to 20 and 10 years, respectively (CPL 30.10 [2] [a-1], [a-2]). The legislature asserted that, "[f]or crimes of sexual violence in particular, the [statute of limitations] clock ticks against the trauma and culture of silence that prevents victims from speaking out" (Senate Introducer's Mem in Support, Bill Jacket, L 2019, ch 315 at 5).

But while some barriers have been removed, sexual assault remains prevalent. In the United States, one in four women experience a completed or attempted rape at some point in her life (Centers for Disease Control and Prevention, National Center for Injury Prevention and Control, *The National Intimate Partner and Sexual Violence Survey: 2016/2017 Report on Sexual Violence* at 3, available at https://www.cdc.gov/violenceprevention/pdf/nisvs/nisvsReportonSexualViolence.pdf [last accessed Mar. 3, 2023]) and 8 out of every 10 rapes are committed by someone known to the victim (Rape, Abuse & Incest National Network [RAINN], *Perpetrators of Sexual Violence: Statistics*, https://www.rainn.org/statistics/perpetrators-sexual-violence [last accessed Mar. 3, 2023]). Nor has the historically unfair treatment of rape victims been adequately addressed, as reflected by continued reticence to report the crime. In 2021, approximately 21% of rapes were reported to police, compared to 60% of robberies and 46% of assaults (Alexandra Thompson & Susannah N. Tapp, U.S. Department of Justice, Office of Justice Programs, Bureau of Justice Statitstics, *Criminal Victimization, 2021* at 5 [Sept. 2022], available at https://bjs.ojp.gov/content/pub/pdf/cv21.pdf [last accessed Mar. 3, 2023]). One figure estimates only 16% of reported sexual assaults lead to arrest (RAINN, *The Criminal Justice System: Statistics*, https://www.rainn.org/statistics/criminal-justice-system [last accessed Mar. 3, 2023]). And less than six percent of all forcible rapes result in conviction (Kimberly A. Lonsway & Joanne Archambault, *The "Justice Gap" for Sexual Assault Cases: Future Directions for Research and Reform*, 18 Violence Against Women 145, 157 [2012]).

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can avoid punishment" (*id.* at 5394); and finally and most fundamentally that "[r]ape is a woman's greatest fear. It is the one time we are rendered completely unable to protect ourselves," and victims should have "the opportunity to seek justice, whether it was one year, five years, 10 years, or 50 years" (*id.* at 5396).

It is within this historical context that A.L. promptly reported that defendant raped her to the police, and it is against this backdrop that the majority denies her justice here.

IV.

After attending a wedding together on August 8, 2009, A.L. and her boyfriend C.P. spent time with A.L.'s best friend J.D. and her boyfriend, defendant. The group spent the evening out socializing and later that night, returned to A.L.'s house. A.L. offered to let J.D. and defendant sleep on the couch in her living room to avoid driving home. A.L. then went to her room, told C.P. she loved him, wished him a good night, and quickly fell asleep. She woke up suddenly unable to breathe with a crushing weight bearing down on her body. She saw defendant's face above her own, felt his stomach touching hers, and then felt him roll off of her body. A.L. put her hands between her legs and felt something wet, her vagina swollen, and her underwear pushed off to the side.

Immediately, A.L. changed and found C.P., who was out on the porch making a call. Crying, A.L. told C.P. that she thought defendant had just raped her. C.P. began crying too and called his friend W.W., asking him to come over right away to get defendant out of the house. W.W. called A.L.'s parents. While A.L. was waiting for her parents, J.D. came to her and asked her what had happened. A.L. told her best friend that she thought defendant had just raped her. J.D. started yelling at A.L. and W.W. had to remove J.D. from the room. W.W. drove defendant and J.D. home; on the way, defendant told W.W. that he did not have sex with A.L. Soon, A.L.'s parents arrived, called the police, and drove A.L. and C.P. to the hospital, where a sexual assault nurse examiner (SANE) completed a sexual assault examination and rape kit, including swabs of A.L.'s vaginal and anal area. A.L.'s underwear was given to the SANE nurse at the hospital and police interviewed A.L. and C.P. Having reported the rape immediately and cooperated fully with police investigative procedures, including undergoing an invasive medical examination, A.L. had every expectation that law enforcement would promptly commence a prosecution.

That morning, the police also interviewed defendant, who denied having sexual intercourse with A.L., but told police that he wished he had. Four days later, police obtained a buccal swab from the victim's boyfriend, C.P., for comparison in subsequent DNA testing. On January 20, 2010, an investigator received a laboratory report indicating a positive presence for sperm on A.L.'s underwear and her vaginal and anal swabs. That same day, at the request of the lab, police collected a buccal swab from A.L. for comparison. On April 5, 2010, the investigator received a supplemental report reflecting that DNA recovered from the swabs comprised a mixture which included DNA from C.P. and DNA from an unknown male. This date begins the pre-accusatory delay at issue in this case.[6]

In the ensuing 14 months, the People made nominal additional efforts to obtain defendant's DNA by consent and discussed the possibility of obtaining a search warrant. On April 6, 2010, the investigator conferred with the District Attorney (DA) and reached out to defendant's retained counsel to request that defendant voluntarily provide a DNA sample. There is no indication in the record whether the attorney responded to this request. During that period, the DA's Office rejected the possibility of proceeding by felony complaint without defendant's DNA sample because of the "relative lack of evidence." In November 2010, the People discussed acquiring defendant's DNA with the New York Prosecutor's Training Institute. In June 2011, an assistant district attorney met with the investigator to discuss the case. Later that month, the investigator interviewed W.W., who stated that the night of the incident, defendant denied having sex with A.L. In June 2012, the DA's Office contacted defendant's attorney regarding defendant's DNA sample or setting up a meeting with defendant and investigators. Defendant's attorney responded that he needed more time to speak with defendant. On October 18, 2012, the DA and a new investigator agreed to seek a search warrant to compel defendant to provide a DNA sample. After receiving guidance from the New York State Police Counsel's Office regarding search warrant applications, on November 9, 2012, 31 months after the report indicating a mixture of DNA, the application was submitted and signed by St. Lawrence County Court. A DNA sample was collected from defendant and submitted to the State Police lab the same day. This action marks the end of the relevant pre-accusatory delay.

On February 4, 2013, the investigator received another supplemental report indicating that defendant's DNA matched

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6. Indeed, the DNA testing and analysis was necessarily at the center of the investigation given defendant's initial lie that he did not have sex with A.L.

the sperm found on A.L.'s underwear and swabs. A felony complaint was filed on February 12, 2013, commencing this criminal action. Defendant was subsequently arrested and arraigned. Between August 9, 2009, and the collection of defendant's DNA, law enforcement had minimal contact with defendant or his attorney. Prior to the filing of the accusatory instrument, there was no public accusation against defendant; no "perp walk" was conducted, no press conferences were held, and no media attention was sought or received.

The case was then presented to a grand jury and defendant was indicted on one count of rape in the first degree based on the victim's physical helplessness. Defendant moved to dismiss the indictment on preindictment delay grounds. The court denied defendant's motion, finding "the seriousness of the charge and the absence of any demonstrated prejudice to be paramount factors." The case proceeded to trial where defendant, confronted by the DNA evidence, admitted for the first time that he had sex with A.L. but claimed it was consensual. The jury ultimately found defendant guilty of first-degree rape.

The Appellate Division, with two Justices dissenting, affirmed defendant's judgment of conviction. As relevant here, the Court upheld the denial of defendant's motion to dismiss, concluding that "the seriousness of the offense, the fact that defendant was not incarcerated pretrial and the absence of any demonstrated prejudice outweigh[ed] the four-year delay and the shortcomings in the People's reasons therefor" (196 AD3d at 737).

V.

New York's prompt prosecution framework has roots in Supreme Court precedent which sought to promote the Sixth Amendment's speedy trial "safeguard to prevent undue and oppressive incarceration prior to trial, to minimize anxiety and concern accompanying public accusation and to limit the possibilities that long delay will impair the ability of an accused to defend [themself]" (*United States v Ewell*, 383 US 116, 120 [1966]). The New York Constitution's recognition that an extended delay before filing an accusatory instrument might violate a defendant's due process rights is an important check on the People's ability to unjustifiably delay a criminal prosecution to a defendant's detriment. "[A] suspect's primary protection against protracted delay in being brought to bar ordinarily is the [s]tatute of [l]imitations, but delay in arresting or lodging charges over a lesser period of time may, in special circumstances, impair the right to a fair trial" (*People v Fuller*, 57 NY2d 152, 159 [1982]). When "extreme and unjustified," and under "certain unusual circumstances," preindictment delay may "mandate dismissal of an indictment upon due process grounds" (*Matter of Vega v Bell*, 47 NY2d 543, 550 n 1 [1979]).

"[T]here are no clear cut answers in such an inquiry, and the trial court must engage in a sensitive weighing process of the diversified factors present in the particular case" (*People v Taranovich*, 37 NY2d 442, 445 [1975]). Although several factors are of consequence, "no one factor or combination of the factors set forth below is necessarily decisive or determinative . . . but rather the particular case must be considered in light of all the factors as they apply to it": "(1) the extent of the delay; (2) the reason for the delay; (3) the nature of the underlying charge; (4) whether . . . there has been an extended period of pretrial incarceration; and (5) whether . . . there is any indication that the defense has been impaired by reason of the delay" (*id.*; *see People v Vernace*, 96 NY2d 886, 887 [2001]).

The goal of every balancing process should be "[t]o accommodate the sound administration of justice to the rights of the defendant to a fair trial" which "will necessarily involve a delicate judgment based on the circumstances of each case" (*United States v Marion*, 404 US 307, 325 [1971]). The nuanced analysis in which courts must engage is thus not oriented toward punishing the People for failing to promptly commence a prosecution. Nonetheless, the majority here concludes that defendant's due process rights were violated due to the delay in prosecution, either because law enforcement did not believe the victim, was slow in proceeding, or was negligent in its ignorance of the mechanisms to obtain a warrant. The majority casts aside this jury verdict without evidence that defendant suffered actual prejudice from the delay and where the only contact defendant had with law enforcement before his DNA was collected occurred the morning after the crime.

A proper balancing of the relevant factors yields a different result.

Nature of the charges: There is a profound societal interest in ensuring that prosecutions of the most serious harms go forward, as evidenced by the legislature's elimination of the statute of limitations on serious crimes. When a crime is more serious, a greater delay prior to filing an accusatory instrument is tolerated. Accordingly, the more grievous the underlying crime, the less likely that dismissal is an appropriate sanction for an unjustifiable delay in the absence of prejudice.

When the New York Legislature repealed the five-year statute of limitations for first-degree rape in 2006, it explained that

> "offenders who commit violent and serious acts should not be shielded from prosecution by the mere passage of time, especially at the expense of those whom they have victimized, and whose physical and emotional scars will endure without limitation. . . . New York law recognize[s] that offenders who commit these felonies often cause lasting harm, not only to victims and their families, but also to society and our system of justice. . . . [O]ur laws must be strengthened to provide clear recognition of the gravity of other violent crimes and the compelling importance of prosecuting serious offenders, regardless of when law enforcement is able to proceed" (Senate Introducer's Mem in Support, Bill Jacket, L 2006, ch 3 at 4).

It also referred to first-degree rape and similar sex crimes as "the most heinous and deeply disturbing in our society" (*id.*). In repealing the five-year statute of limitations for rape prosecutions, the legislature mandated that rape be treated as seriously as murder, a crime likewise unencumbered.[7]

Indeed, murder investigations are comparable to rape investigations not only in gravity but in the likelihood of traumatized witnesses and DNA evidence, and in particular DNA mixtures (*see e.g. People v Decker*, 13 NY3d 12, 15 [2009] [noting "the witnesses' fear of testifying against defendant" in a murder prosecution]; *Vernace*, 96 NY2d at 887 [observing that a previously-cooperating witness in a murder investigation recanted out of fear of the suspects]; *see also e.g. People v Wakefield*, 38 NY3d 367, 371-372 [2022] [DNA sample collected from the murder weapon was not "compared to defendant's DNA profile because of the complexity of the mixture"]; *People v John*, 27 NY3d 294, 311-312 n 7 [2016] [generally noting the

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7. The majority misapprehends the significance to the *Taranovich* analysis of the legislature eliminating the statute of limitations (majority op at 466-467). Indisputably, its elimination heightened the severity of defendant's crime.

"more complex interpretation of DNA profiles from mixtures"]). Because, as this Court has recognized, investigations into such serious crimes require "more caution and deliberation" than investigations into lesser offenses (*Taranovich*, 37 NY2d at 446), this factor militates heavily against defendant.

The majority's assumption that a first-degree rape case with a cooperative victim is actually quite simple blithely ignores the devastating impact of sexual violence on a victim (*see* majority op at 470). There is nothing simple about preparing a rape victim to testify, in open court and under cross-examination, especially in cases involving physically helpless victims who are raped by acquaintances. Suggesting otherwise contradicts our modern understanding of victims' re-traumatization through participation in legal proceedings, where "[v]ictims are often subjected to detailed and aggressive questioning about personal and often traumatic events, and defense attorneys may try to apportion blame for the crime or question their credibility and reliability" (Jim Parsons & Tiffany Bergin, *The Impact of Criminal Justice Involvement on Victims' Mental Health*, 23 J Traumatic Stress 182, 184 [2010]; *see also* Rachel J. Wechsler, *Victims as Instruments*, 97 Wash L Rev 507, 535 [2022]). Indeed, "[r]esearchers have found that facing the perpetrator in court" and "remembering details of the crime . . . can all trigger secondary responses to the initial trauma" (Parsons & Bergin at 184). Characterizing this prosecution as "not complex" also disregards the intricacies of DNA evidence and mixture analysis, as well as the difficulties in confronting deeply entrenched preconceptions of rape held by juries and judges alike (*see* majority op at 470).

Preindictment incarceration: There was no incarceration prior to the filing of the accusatory instrument here, which certainly militates against dismissal.

Prejudice: There has been no showing of specific prejudice. While the delay is significant, it is not so long that substantial prejudice to defendant's ability to defend himself can be readily inferred (*see Decker*, 13 NY3d at 15-16 [in a murder case, significant prejudice could not be inferred from 15-year delay]). In fact, the passage of time, without more, often works as much to the People's disadvantage as to the defendant's (*see id.* at 16; *Vernace*, 96 NY2d at 888 ["(f)ar from giving the People an unfair tactical advantage, the delay here has made the case against defendant more difficult to prove beyond a reasonable doubt"]).[8] In addition, "[u]ntil [arrest], a citizen suffers no restraints on [their] liberty and is not the subject of public accusation: [their] situation does not compare with that of a defendant who has been arrested and held to answer" (*Marion*, 404 US at 321). Critically, while defendant knew that A.L. had accused him of rape, no accusatory instrument was filed prior to defendant's arrest (*cf. People v Staley*, 41 NY2d 789 [1977]), and "since he was not arrested during the initial investigation, [defendant] was not subject to the anguish or public opprobrium often surrounding pending charges" (*Decker*, 13 NY3d at 15 [citation omitted]; *see Marion*, 404 US at 320-321).

For the entire pre-arrest period, defendant "enjoyed significant freedom with no public suspicion attendant upon an untried accusation of crime" (*Vernace*, 96 NY2d at 888 [declining to dismiss despite 17-year delay in murder case where there was no pretrial incarceration and no impairment or prejudice to the defense]). After being initially interviewed by police, defendant had no contact with them for over three years. Far from being the object of public ire and constant stress, defendant was free to live his life to the point where defendant's attorney barely recalled the case when he was contacted a second time to secure the DNA sample. Moreover, because defendant was immediately made aware of A.L.'s rape accusation, defendant could retain any evidence or interview any witnesses (*see Barker v Wingo*, 407 US 514, 532 [1972] [in considering prejudice to the defendant, "the most serious" defense interest "which the speedy trial right was designed to protect" is "to limit the possibility that the defense will be impaired" such as through loss of memory or witness disappearance]). Thus, "the record does not demonstrate undue prejudice to the defense" (*Vernace*, 96 NY2d at 888).

Given the speculative basis for finding that any prejudice occurred here, this factor also militates against dismissal.

Extent of the Delay: As the majority has acknowledged, the relevant delay here is 31 months, not four years, as measured between law enforcement's receipt of the second supplemental biological sciences report on April 5, 2010, indicating a mixture of DNA including that of an unknown male, and submission of

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8. For example, by the time of trial, A.L. and C.P. had broken up, creating a risk that C.P. might not be willing to testify, and J.D., A.L.'s former best friend, and defendant were married.

the *Abe A.* warrant application for defendant's DNA on November 9, 2012. Plainly, this delay was considerable and weighs in defendant's favor. But it is far from dispositive (*see Decker*, 13 NY3d at 15; *People v Wiggins*, 31 NY3d 1, 11 [2018] [six-year postindictment delay in murder prosecution, during which defendant was incarcerated, was "extraordinary" but "not in itself decisive" (internal quotation marks omitted)]). Because of the severity of the crime, any delay here must be assessed in the same manner as delays in murder prosecutions, in which far greater delays have been tolerated (*see id.*; *Decker*, 13 NY3d at 15 [15-year preindictment delay in murder investigation was "substantial" but not dispositive]; *see also Vernace*, 96 NY2d at 888 [17-year delay in murder case was "extensive" but "other factors favor the prosecution"]). The majority ignores this line of case law, instead making the inappropriate comparison between the delay here and that in *Staley*, where the defendant was convicted of unauthorized use of a vehicle (majority op at 466).

Importantly, even had the legislature not repealed the statute of limitations for first-degree rape, this prosecution would have fallen within the pre-amendment five-year statute of limitations (*see People v Velez*, 22 NY3d 970, 972 [2013] ["the charges against defendant were filed within the statute of limitations period and no special circumstances exist impairing his right to a fair trial"]). Thus, while the delay is significant and favors defendant, it is nowhere near so long as to manifestly deprive defendant of his due process rights.[9]

Reason for the delay: The People lack a credible justification for the 31-month delay in seeking a search warrant for defendant's DNA. But there is no evidence that their actions, or lack thereof, were taken in bad faith toward defendant, with the aim of prejudicing his ability to defend himself.[10] While good faith generally immunizes a case from dismissal based on pre-accusatory instrument delay, the absence of good faith does

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9. Indeed, the trial court erroneously believed that the five-year statute of limitations for first-degree rape prosecutions was in place at the time of defendant's prosecution and nevertheless determined that, upon balancing the *Taranovich* factors, including "that complainant was physically helpless and incapable of consent" and "the absence of any demonstrated prejudice," the delay here did not violate defendant's due process rights. The Appellate Division, in affirming defendant's conviction, did not correct the court's error.

10. In characterizing the dissent as suggesting that law enforcement's actions or attitudes toward the victim do not constitute bad faith, the majority confuses the bad faith analysis (majority op at 470). Law enforcement's

(n. cont'd)

not, in and of itself, require dismissal (*see Wiggins*, 31 NY3d at 13). In other words, due process tolerates (1) indefinite, good-faith preindictment delay (*see id.*; *People v Singer*, 44 NY2d 241, 254 [1978]), (2) some, but not indefinite delay attributable neither to the People's good or bad faith (*see Fuller*, 57 NY2d at 159 ["unexplained and unreasonable delay in commencing a prosecution *may* constitute a denial of due process" (emphasis added)]; *Doggett v United States*, 505 US 647, 656-657 [1992] ["Between diligent prosecution and bad-faith delay, official negligence in bringing an accused to trial occupies the middle ground"]; *Barker*, 407 US at 531 ["A deliberate attempt to delay the trial in order to hamper the defense should be weighted heavily against the government. A more neutral reason such as negligence . . . should be weighted less heavily"]), and (3) little to no delay resulting from the People's bad faith, such as an attempt to gain a tactical advantage over the defendant by delaying a prosecution.

"The relevance of the People's good faith" is greater for preindictment than postindictment delay, such that a longer delay will be tolerated (*Wiggins*, 31 NY3d at 12). Necessarily then, that law enforcement proceeded with no bad faith must also mean more in the preindictment context, particularly where there has been no showing of prejudice (*see Doggett*, 505 US at 657 ["to warrant granting relief, negligence unaccompanied by particularized trial prejudice must have lasted longer than negligence demonstrably causing such prejudice"]). After all, following a lengthy preindictment delay that was not occasioned by good cause, a defendant only "may be entitled to a dismissal" where there is "no showing of special prejudice" after a proper balancing of all factors (*Singer*, 44 NY2d at 254). In *Singer*, the Court emphasized consideration of the People's possible bad faith in delaying prosecution (as the dissent recognized [*id.* at 257-258, Gabrielli, J., dissenting]), appreciating its critical importance in light of defendant's lack of actual prejudice, and opined that the defendant's due process rights might have been violated because these other factors tipped the balance in the defendant's favor (*id.* at 254-255). Indeed, the Court remitted the case for a hearing on this issue alone. But in suggesting that a defendant must never show actual prejudice, even when there is no bad faith, the majority turns

mistreatment of an innocent victim, or even bad faith toward a victim, does not constitute bad faith toward a defendant.

speedy trial precedent on its head.[11] Because defendant can establish little to no actual prejudice here, the People's lack of bad faith dilutes the significance of this factor, especially in light of the seriousness of the crime.

Though this factor weighs in defendant's favor, it does not have the determinative significance that the majority ascribes to it. In the context of one of our society's gravest crimes, where defendant "rel[ies] solely on the real possibility of prejudice inherent in any extended delay" (*Marion*, 404 US at 325-326), it cannot be the end of the discussion. As this Court recently reiterated, "[t]he *Taranovich* framework is a holistic one" (*People v Johnson*, 39 NY3d 92, 96 [2022]). Yet the majority prioritizes this factor above the others, dismissing the case ostensibly to teach law enforcement a lesson and thereby substituting the exclusionary rule's goal of "deter[ring] improper conduct on the part of law enforcement officials" (*People v Logan*, 25 NY2d 184, 193 [1969]) for *Taranovich* balancing.

And while we cannot say for certain whether the delay was specifically attributable to investigators' disbelief of A.L.'s account of the incident, or their apathy toward her trauma, undoubtedly the delay was a product of enduring cultural attitudes toward sexual violence. Sexual assault victims have traditionally faced skepticism when reporting attacks to law enforcement, due to the deeply entrenched prejudices surrounding sexual assault, including "misconceptions" about consent and false reporting (*Taylor*, 75 NY2d at 288-289). These perspectives have infected both our culture, and law enforcement's handling of these cases, resulting in the premature ending of rape investigations, closing cases as based on "unfounded" allegations, and devoting less time and resources to investigating such cases (*see* Deborah Tuerkheimer, *Incredible Women: Sexual Violence and the Credibility Discount*, 166 U Pa L Rev 1, 31-32 [2017]).

Despite continuing efforts to undo past harms resulting from the debasing treatment of victims of sex crimes, particularly where, as here, the parties are known to each other, the structural barriers that victims confront in pursuing sexual assault prosecutions still persist. Allowing a defendant to benefit

11. Of course, a defendant does not carry the burden of demonstrating a lack of good cause for the delay (*see* majority op at 468-470). But while the People here might not be able to justify the delay, they have certainly demonstrated a lack of bad faith toward defendant.

from a delay that caused no actual harm to him is incongruous with *Singer*'s aim of balancing a defendant's due process rights with society's interest in processing serious cases and holding perpetrators accountable. Such outcomes are reserved for the most extraordinary of circumstances and are so sporadic that this Court has never—until today—dismissed an accusatory instrument based solely on the length of the delay (*see Taranovich*, 37 NY2d at 445 ["this court has steadfastly refused to set forth a per se period beyond which a criminal prosecution may not be pursued"]). In doing so, the majority imposes a de facto 31-month limitation on first-degree rape investigations.

In creating a rule that will systemically bar countless victims from obtaining justice in the event law enforcement fails "to recognize the seriousness of sexual assault" (majority op at 472), the majority has only reaffirmed rape culture's pernicious grasp on our criminal justice system. Its opinion will not deter this type of behavior by law enforcement, but instead be weaponized against victims and used in hindsight to rationalize closing long-running rape investigations and dismissing prosecutions. The majority, dubiously asserting that reversing the rape conviction here will benefit future rape victims and the public (majority op at 474), fails to appreciate the practical implications of the precedent that they are creating: if law enforcement negligently delays rape investigations, women's voices will continue to be stifled, rapists held unaccountable, and jury verdicts discarded. It is difficult to comprehend how that result protects victims or our communities. Moreover, it is no comfort to this victim to hear the old refrain that next time it will be different; next time, your voice will be heard.

Using the long-standing sensitive balancing test as required by our precedent, due process does not require the drastic remedy of dismissing this case. Where the crime is of the utmost severity, defendant was not incarcerated, there was no public accusation, and defendant has shown no actual prejudice from the delay, dismissal of the accusatory instrument is unwarranted. The legislature's clear assertion of the strong societal interest in prosecuting rape cases, compounded with the heightened importance of rape victims having their day in court, cannot be undervalued in our balancing analysis. Overzealous dismissal of accusatory instruments for the delay in bringing those instruments improperly infringes on the public interest in bringing accused persons to trial (*cf. United States v Ewell*, 383 US 116, 121 [1966]), particularly where those crimes present the most consequential, heinous threats to the safety and health of our society. Despite much progress, and a cultural reckoning surrounding sexual violence and power dynamics, it is clear from today's decision that there is much work to be done.

Because defendant's remaining contentions also lack merit, I would affirm the Appellate Division order.

Acting Chief Judge CANNATARO and Judges RIVERA and TROUTMAN concur. Judge GARCIA dissents for the reasons stated in so much of the majority opinion of Justice Christine M. Clark at the Appellate Division that upheld the denial of the motion to dismiss the indictment on constitutional speedy trial grounds (*see* 196 AD3d 735, 737 [3d Dept 2021]). Judge SINGAS dissents and votes to affirm in an opinion.

Order reversed and indictment dismissed.

[212 NE3d 309, 191 NYS3d 292]

COURTNEY ANDERSON, Respondent, v COMMACK FIRE DISTRICT, Appellant, et al., Defendants.

Argued February 9, 2023; decided April 20, 2023

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered June 16, 2021. The Appellate Division order affirmed an order of the Supreme Court, Suffolk County (Daniel Martin, J.; op 2017 NY Slip Op 32530[U] [2017]), which, insofar as appealed from, had denied that branch of defendants' motion which was for summary judgment dismissing the complaint insofar as asserted against defendant Commack Fire District. The following question was certified by the Appellate Division: "Was the decision and order of this Court dated June 16, 2021, properly made?"

Anderson v Commack Fire Dist., 195 AD3d 779, reversed.

HEADNOTE

Municipal Corporations — Tort Liability — Firefighters — Operation of Fire Truck — Reckless Disregard Standard

The reckless disregard standard set forth in Vehicle and Traffic Law § 1104 (e) applies when a fire district is alleged to be vicariously liable for conduct that is privileged under that statute. Accordingly, in a personal injury action arising out of a collision between plaintiff's vehicle and a fire truck owned by defendant fire district and operated by a volunteer firefighter, defendant was not vicariously liable where the firefighter's actions were privileged under Vehicle and Traffic Law § 1104 and were not otherwise reckless. Vehicle and Traffic Law § 1104 (a) grants drivers of fire trucks owned by fire districts "privileges" to disobey certain traffic laws when they are "involved in an emergency operation." However, under Vehicle and Traffic Law § 1104 (e), the driver is not relieved "from the duty to drive with due regard for the safety of all persons" or protected "from the consequences of [their] reckless disregard for the safety of others." Therefore, section 1104 (e) makes conduct that is privileged under the statute subject to a recklessness standard, but leaves in place the ordinary negligence standard of care for unprivileged conduct. Section 1104 modifies firefighters' underlying duties in the defined contexts by permitting categories of conduct which would violate other drivers' ordinary duty of care, specifying particular safety precautions which must be observed when engaging in such conduct, and requiring emergency vehicle drivers to avoid recklessness even when engaged in the privileged conduct. When a volunteer firefighter's actions satisfy all of the conditions and thus are privileged, there is no breach of duty or negligence which can be imputed to a fire district under General Municipal Law § 205-b.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Automobiles and Highway Traffic §§ 226, 292, 799, 912, 913.

DOBBS LAW OF TORTS (2d ed) §§ 140, 425.

MCKINNEY'S, General Municipal Law § 205-b; Vehicle and Traffic Law § 1104.

NY JUR 2d Automobiles and Other Vehicles §§ 686, 768; NY JUR 2d Government Tort Liability §§ 43, 282.

NEW YORK LAW OF TORTS §§ 7:15, 9:2, 17:67.

ANNOTATION REFERENCE

See ALR Index under Automobiles and Highway Traffic; Fire Departments and Firefighters; Vicarious Liability.

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Query: fire /2 district department & vicarious! & privilege & reckless!

POINTS OF COUNSEL

Hannigan Law Firm PLLC, Delmar (*Timothy C. Hannigan* and *Terence S. Hannigan* of counsel), for appellant. I. In view of the fact that the fire district fire vehicle was engaged in emergency operation and performed one of the enumerated privileges of Vehicle and Traffic Law § 1104 with lights and sirens activated, the Second Department erred in failing to apply the reckless disregard standard mandated by Vehicle and Traffic Law § 1104 to plaintiff's vicarious liability cause of action against the fire district. (*Campbell v City of Elmira*, 84 NY2d 505; *Abood v Hospital Ambulance Serv.*, 30 NY2d 295; *Shalom v East Midwood Volunteer Ambulance Corp.*, 138 AD3d 724; *Frezzell v City of New York*, 24 NY3d 213; *Saarinen v Kerr*, 84 NY2d 494; *Kabir v County of Monroe*, 16 NY3d 217; *Garrett v City of Schenectady*, 268 NY 219.) II. The Second Department's application of the ordinary negligence standard contained in General Municipal Law § 205-b to the fire district was improper. (*Thomas v Consolidated Fire Dist. No. 1 of Town of Niskayuna*, 50 NY2d 143; *Matter of Dutchess County Dept. of Social Servs. v Day*, 96 NY2d 149; *Nardone v Milton Fire Dist.*, 261 App Div 717; *Riviello v Waldron*, 47 NY2d 297; *Feliberty v Damon*, 72 NY2d 112; *Sikora v Keillor*, 17 AD2d 6, 13 NY2d

610; *Lynch v Waters*, 82 AD3d 1719.) III. The reliance of the lower courts upon *DiFranco v Essig* (2 AD3d 669 [2d Dept 2003]) was error based upon the fundamentally flawed analysis of the central case relied upon by the Second Department in *DiFranco* and the clear language of the more recent decision of this Court in *Kabir v County of Monroe* (16 NY3d 217 [2011]). (*Tobacco v North Babylon Volunteer Fire Dept.*, 182 Misc 2d 480; *Thomas v Consolidated Fire Dist. No. 1 of Town of Niskayuna*, 50 NY2d 143; *Nelson v Garcia*, 152 AD2d 22; *Matter of Hayes v Chestertown Volunteer Fire Co., Inc.*, 93 AD3d 1117; *Santana v City of New York*, 169 AD3d 578; *Oddo v City of Buffalo*, 159 AD3d 1519; *Rouse-Harris v City of Schenectady Police Dept.*, 124 AD3d 1124; *Jobson v SM Livery, Inc.*, 175 AD3d 1510; *Reid v City of New York*, 148 AD3d 739.)

Buttafuoco & Associates, PLLC, Woodbury (*Scott Szczesny* and *Ellen Buchholz* of counsel), for respondent. I. The Supreme Court and the Second Department correctly applied the ordinary negligence standard of General Municipal Law § 205-b because Vehicle and Traffic Law § 1104 does not apply to fire districts, nor does it abrogate General Municipal Law § 205-b. (*Tobacco v North Babylon Fire Dept.*, 251 AD2d 398; *Thomas v Consolidated Fire Dist. No. 1 of Town of Niskayuna*, 50 NY2d 143; *Lynch v Waters*, 82 AD3d 1719; *Sikora v Keillor*, 17 AD2d 6, 13 NY2d 610; *Schleger v Jurcsak*, 108 AD3d 515; *Kabir v County of Monroe*, 16 NY3d 217; *Saarinen v Kerr*, 84 NY2d 494.) II. The Second Department properly held that there are triable issues of fact as to the negligence of the firefighter/fire truck operator. (*Skerret v Nixon*, 290 AD2d 500; *Pugh v Chester Cab Corp.*, 41 AD2d 615; *Darmento v Pacific Molasses Co.*, 81 NY2d 985.) III. The fire district's assertion that the decisions in *DiFranco v Essig* (2 AD3d 669 [2d Dept 2003]) and *Tobacco v North Babylon Volunteer Fire Dept.* (182 Misc 2d 480 [Sup Ct, Suffolk County 1999]) refuted this Court's ruling in *Thomas v Consolidated Fire Dist. No. 1 of Town of Niskayuna* (50 NY2d 143 [1980]) is incorrect. (*Knapp v Union Vale Fire Co.*, 141 AD2d 509.) IV. The fire district's arguments made for the first time on appeal were dehors the record and must not be considered. (*Matter of AAA Carting & Rubbish Removal, Inc. v Town of Clarkstown*, 132 AD3d 857.)

Michael J. Hutter, Albany, for Association of Fire Districts of the State of New York, amicus curiae. The reckless disregard standard of care under Vehicle and Traffic Law § 1104 (e) applies in determining the liability not only of the driver of a fire district's fire vehicle in an emergency situation but also the fire district who is alleged to be vicariously liable for the driver's conduct. (*Riley v County of Broome*, 95 NY2d 455; *Kabir v County of Monroe*, 16 NY3d 217; *Frezzell v City of New York*, 24 NY3d 213; *Criscione v City of New York*, 97 NY2d 152; *Rice v City of Buffalo*, 145 AD3d 1503; *Saarinen v Kerr*, 84 NY2d 494; *Jobson v SM Livery, Inc.*, 175 AD3d 1510; *Santana v City of New York*, 169 AD3d 578; *Campbell v City of Elmira*, 84 NY2d 505; *Colletti v Pereira*, 61 AD3d 804.)

OPINION OF THE COURT

CANNATARO, J.

In recognition of the unique responsibilities placed on fire truck and other emergency vehicle operators to respond quickly to calls for aid, Vehicle and Traffic Law § 1104 grants such drivers the "privilege" to proceed past red lights when involved in emergency operations, as long as specified safety precautions are observed and they do not act recklessly (*see* Vehicle and Traffic Law § 1104 [a]-[c], [e]). As pertains to volunteer fire companies, General Municipal Law § 205-b makes fire districts[1] vicariously liable "for the negligence of volunteer firefighters" when they operate fire district vehicles in the discharge of their duties. The question presented on this appeal is whether these statutes authorize a claim against a fire district for the "negligence" of a volunteer firefighter when the firefighter's actions are otherwise privileged and subject to a heightened recklessness standard under Vehicle and Traffic Law § 1104. We hold that imposition of vicarious liability for a driver's negligence in this context would be contrary to legislative intent, this Court's precedent, and general principles of negligence law and vicarious liability.

I.

Plaintiff commenced this personal injury action after her vehicle collided with a fire truck owned by defendant Commack Fire District (the District) and operated by a District volunteer firefighter. The accident occurred at an intersection controlled by a traffic light which, at the time of the accident, was illuminated green in plaintiff's direction and red in the fire truck's direction. Following discovery, defendants moved for summary judgment, arguing that neither the firefighter nor

1. A fire district is a political subdivision of the State whose employees may include paid and volunteer firefighters (*see* Town Law § 174 [7]).

the District were liable because the firefighter's actions were privileged under Vehicle and Traffic Law § 1104 and were not otherwise reckless.

Based on undisputed testimony that the firefighter was responding to an alarm of fire, had activated the fire truck's lights and sirens, stopped the fire truck before entering the intersection, and proceeded slowly through the red light, Supreme Court held that the firefighter had "established prima facie entitlement to the exemption in Vehicle and Traffic Law § 1104," and that plaintiff had failed to raise a triable issue in opposition as to whether the firefighter acted with reckless disregard (2017 NY Slip Op 32530[U], *5-6 [Sup Ct, Suffolk County 2017]). The court therefore granted summary judgment to the firefighter. However, the court reached a different result with respect to the vicarious liability of the District. Relying on General Municipal Law § 205-b, "which states, in part, that 'fire districts created pursuant to law shall be liable for the negligence of volunteer firefighters,' " the court concluded that questions of fact existed regarding whether the firefighter "was negligent in failing to see plaintiff's vehicle approaching," and, thus, the District was not entitled to summary judgment (2017 NY Slip Op 32530[U], *6).

The District appealed and a divided Appellate Division affirmed.[2] The majority held that the District "was not limited to liability for conduct rising to the level of 'reckless disregard' under Vehicle and Traffic Law § 1104 (e), and could be held liable for the ordinary negligence of a volunteer firefighter operating the . . . vehicle" under General Municipal Law § 205-b (195 AD3d 779, 780 [2d Dept 2021]). The dissent concluded that Supreme Court should have applied the reckless disregard standard to determine the District's vicarious liability (*id.* at 781 [Barros, J., dissenting]). The Appellate Division granted the District leave to appeal to this Court. We now reverse.

II.

A.

Determination of how General Municipal Law § 205-b and Vehicle and Traffic Law § 1104 interact in this context requires

2. Plaintiff did not appeal from the portion of Supreme Court's order that granted summary judgment to the firefighter.

examination of the history and purposes of those statutes and related provisions.

Prior to 1929, local subdivisions of the State enjoyed sovereign immunity from liability, and thus were not vicariously liable for injuries caused by the negligence of their firefighters (*see Miller v Town of Irondequoit*, 243 App Div 240, 241-242 [4th Dept 1935], *affd without op* 268 NY 578 [1935]; *Snyder v City of Binghamton*, 138 Misc 259, 260 [Sup Ct, Broome County 1930], *affd without op* 233 App Div 782 [3d Dept 1931]).[3] That year, in response to rising criticism against sovereign immunity and the growth of motorized transportation, the Legislature began to enact a series of statutes to "creat[e] a partial remedy, at least so far as the operation of [government] owned vehicles is concerned, in behalf of those who were then without any redress" (*see Ottmann v Village of Rockville Ctr.*, 273 NY 205, 207 [1937]; *see also Poniatowski v City of New York*, 14 NY2d 76, 80 [1964]). First, in Highway Law § 282-g—later reenacted as General Municipal Law §§ 50-a, 50-b, and 50-c—the Legislature provided that a municipality is vicariously liable "for the negligence" of its duly-appointed agents when they operate municipally owned vehicles in the discharge of their duties (*see Poniatowski*, 14 NY2d at 80).

Fire districts remained immune until 1934, when the Legislature enacted General Municipal Law § 205-b (L 1934, ch 489). As relevant here, that statute (i) broadly relieved volunteer firefighters from civil liability for negligent acts committed in the performance of their duties, which was considered "unfair and unjust" given their lack of compensation (Assembly Mem in Support, Bill Jacket, L 1934, ch 489 at 3), and (ii) harmonized the vicarious liability of fire districts with that of municipalities by providing that a fire district shall be liable "for the negligence of [its] volunteer firefighters" when they operate fire district-owned vehicles in the discharge of their duties (General Municipal Law § 205-b; *see* Letter from Firemen's Assn of St of NY, Apr. 28, 1934, Bill Jacket, L 1934, ch 489 at 4).

3. Although the State waived its immunity from liability in 1929 in Court of Claims Act § 8, this waiver was not found to be applicable to the local subdivisions of the State until 1945 (*see Thomas v Consolidated Fire Dist. No. 1 of Town of Niskayuna*, 50 NY2d 143, 146 [1980]).

B.

Two decades later, in 1957, the Legislature enacted what is now title VII of the Vehicle and Traffic Law—a collection of provisions "intended to create a uniform set of traffic regulations, or the 'rules of the road' to update and replace the former traffic regulations, and bring them into conformance with the Uniform Vehicle Code adopted in other states" (*Kabir v County of Monroe*, 16 NY3d 217, 222 [2011] [some internal quotation marks, brackets, and ellipsis omitted]).

In enacting title VII, the Legislature recognized that drivers of emergency vehicles have a "primary obligation to respond quickly to preserve life and property" which can "conflict with the rules and laws that are intended to regulate citizens' daily conduct," and, consequently, such drivers should be permitted "to disregard those laws where necessary to carry out their important responsibilities" (*Saarinen v Kerr*, 84 NY2d 494, 497, 502 [1994]). The applicable definition of an emergency vehicle specifically encompasses fire trucks "owned by . . . fire district[s]."[4] Vehicle and Traffic Law § 1104 grants the drivers of such vehicles "privileges" to disobey certain traffic laws when they are "involved in an emergency operation"[5] (*see* Vehicle and Traffic Law § 1104 [a]). One such privilege permits the driver of a fire truck responding to an alarm of fire to "[p]roceed past a steady red signal" as long as certain safety precautions are observed (*see* Vehicle and Traffic Law § 1104 [b] [2]; *Saarinen*, 84 NY2d at 499-500). Specifically, this privilege is available only if the driver "slow[s] down as may be necessary for safe operation" and makes prescribed use of sirens and lights (Vehicle and Traffic Law § 1104 [b] [2]; [c]).

Vehicle and Traffic Law § 1104 (e) states that the provisions outlined above "shall not relieve the driver . . . from the duty to drive with due regard for the safety of all persons, nor . . .

4. The statute applies "to drivers of all vehicles owned or operated by the United States, this state, or any county, city, town, district, or any other political subdivision of the state" (Vehicle and Traffic Law § 1103 [a]). The term "authorized emergency vehicle" is defined to include a "fire vehicle" (*id.* § 101), which, in turn, is defined to mean, in pertinent part, "[e]very vehicle operated for fire service purposes owned and identified as being owned by the state, a public authority, a county, town, city, village *or fire district*" (*id.* § 115-a [emphasis added]).

5. "Emergency operation" is defined to mean, in pertinent part, "[t]he operation . . . of an authorized emergency vehicle, when such vehicle is engaged in . . . responding to, or working or assisting at the scene of an . . . alarm of fire" (Vehicle and Traffic Law § 114-b).

protect the driver from the consequences of his reckless disregard for the safety of others." As this Court has previously explained, section 1104 (e) makes conduct that is *privileged* under the statute subject to a recklessness standard (*Saarinen*, 84 NY2d at 497, 500-503), but leaves in place the ordinary negligence standard of care for *unprivileged* conduct (*Kabir*, 16 NY3d at 220, 228-231). Thus, for example, when drivers are not involved in emergency operations, they must operate their vehicles pursuant to the normal rules of the road and with the same reasonable care as other drivers (*see id.* at 230-231; *Modica v City of New York*, 193 AD3d 845, 846 [2d Dept 2021]; *Chessey v City of New York*, 88 AD3d 625, 625 [1st Dept 2011]). In contrast, when section 1104 is fully satisfied, drivers' actions are privileged and governed by a "reckless disregard" standard (*see Saarinen*, 84 NY2d at 500-503).

The "reckless disregard" standard demands "more than a showing of a lack of 'due care under the circumstances'—the showing typically associated with ordinary negligence claims" (*Saarinen*, 84 NY2d at 501). Rather, "there must be evidence that the actor has intentionally done an act of an unreasonable character in disregard of a known or obvious risk that was so great as to make it highly probable that harm would follow and has done so with conscious indifference to the outcome" (*Frezzell v City of New York*, 24 NY3d 213, 217 [2014] [internal quotation marks omitted]). This standard effectuates legislative intent by "avoid[ing] 'judicial "second-guessing" of the many split-second decisions that are made in the field under highly pressured conditions' and mitigat[ing] the risk that possible liability could 'deter emergency personnel from acting decisively and taking calculated risks in order to save life or property' " (*id.*, quoting *Saarinen*, 84 NY2d at 502).

III.

Considering the text, history, and legislative purpose of the two statutes at issue, we hold that the reckless disregard standard set forth in Vehicle and Traffic Law § 1104 (e) applies when a fire district is alleged to be vicariously liable for conduct that is privileged under that statute.

A few basic principles of negligence law and vicarious liability are helpful to our analysis of this question. First, it is black letter law that an essential element of a negligence claim is the breach of a duty (*see Ferreira v City of Binghamton*, 38 NY3d 298, 308 [2022]). Second, while "liability in negligence is normally premised on a defendant's own fault," *vicarious* liability is "impute[d] . . . to a defendant for another person's fault" (*Feliberty v Damon*, 72 NY2d 112, 117-118 [1988]). A fire district's liability under General Municipal Law § 205-b "for the negligence of volunteer firefighters" is vicarious in nature (*see* General Municipal Law § 205-b). Consequently, the focus of our analysis must be on the duties of the volunteer firefighter—specifically, whether the firefighter owed plaintiff a duty not to engage in the conduct which caused her injury.

General Municipal Law § 205-b recognizes that volunteer firefighters can violate ordinary duties of care in the broad course of their "operation of vehicles owned by the fire district upon the public streets and highways of the fire district" (*id.*). The statute does not, however, purport to delineate the duties volunteer firefighters actually owe in any particular situation, much less when they operate emergency vehicles in response to an alarm of fire. That was not the statute's purpose. As the dissenting Justice at the Appellate Division correctly recognized, section 205-b "functions merely as a liability shifting statute, and does not purport to define the rules of the road or the standard of care to be applied in any particular circumstance"[6] (*see* 195 AD3d at 782 [Barros, J., dissenting]).

The "carefully calibrated" provisions of Vehicle and Traffic Law § 1104 were enacted 20 years after General Municipal Law § 205-b specifically to clarify the duties of emergency vehicle drivers when involved in emergency operations (*see Campbell v City of Elmira*, 84 NY2d 505, 512 [1994]). As noted above, section 1104 was enacted because the Legislature saw a "conflict" between rules and laws "intended to regulate [all drivers'] daily conduct" and the "primary obligation" of emergency vehicle drivers to respond quickly to protect lives and property (*see Saarinen*, 84 NY2d at 497, 502). Section 1104 grants emergency vehicle drivers "qualified privilege[s]" to "disregard" the duties imposed by conflicting laws and to operate

6. By "liability shifting," we mean that section 205-b changed the party legally responsible when a volunteer firefighter commits ordinary negligence. As discussed above, prior to the statute's enactment, volunteer firefighters themselves were personally liable for their own negligence, and fire districts were believed to be protected from vicarious liability by sovereign immunity. The statute "shift[ed]" the applicable rules by eliminating the immunity fire districts enjoyed from vicarious liability for their volunteer firefighters' ordinary negligence in the operation of fire district vehicles, and granted volunteer firefighters statutory immunity from personal liability for ordinary negligence.

their vehicles in ways that ordinary members of the public—and even these same drivers in non-emergency situations—cannot (*see id.* at 502; Vehicle and Traffic Law § 1104 [a]-[b]). The legal definition of a "privilege" is "[a] special legal right, exemption, or immunity granted to a person or class of persons; *an exception to a duty*. A privilege grants someone the legal freedom to do or not to do a given act" (Black's Law Dictionary [11th ed 2019], privilege [emphasis added]). Section 1104 (e) further expressly establishes a reckless disregard standard "for determining . . . civil liability for damages resulting from the privileged operation of an emergency vehicle" (*Saarinen*, 84 NY2d at 499-501).[7]

In short, section 1104 does more than simply immunize firefighters from negligence liability for otherwise privileged conduct (*compare* dissenting op at 507-508). It modifies their underlying duties in the defined contexts by (i) permitting categories of conduct which would violate other drivers' ordinary duty of care, (ii) specifying particular safety precautions which must be observed when engaging in such conduct, and (iii) requiring emergency vehicle drivers to avoid recklessness even when engaged in the privileged conduct. When a volunteer firefighter's actions satisfy all of these conditions and thus are privileged, there is simply no breach of duty or negligence which can be imputed to a fire district under General Municipal Law § 205-b.

The dissent reaches a different conclusion based primarily on the observation that Vehicle and Traffic Law § 1104 regulates emergency vehicle drivers and does not specifically reference fire districts, whereas General Municipal Law § 205-b expressly makes fire districts liable "for the negligence of volunteer firefighters" (*see* dissenting op at 510). In the dissent's view, because section 1104 does not mention fire districts, it cannot govern their vicarious negligence liability (*id.*). As discussed, however, the vicarious liability of a principal depends on the duties owed by the agent (*see generally Feliberty*, 72 NY2d at 117-118). Because Vehicle and Traffic Law

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7. The imposition of a heightened standard in this context is consistent with common law (*see Eckert v Long Is. R.R. Co.*, 43 NY 502, 506 [1871] ["The law has so high a regard for human life that it will not impute negligence to an effort to preserve it, unless made under such circumstances as to constitute rashness in the judgment of prudent persons"]).

§ 1104 establishes the duties of volunteer firefighters in this specific context—and is also the later-enacted statute—it is indispensable to understanding the scope of a fire district's vicarious negligence liability under General Municipal Law § 205-b.

The dissent's failure to properly account for the privileges granted to volunteer firefighters under Vehicle and Traffic Law § 1104 causes it to adopt an interpretation under which a fire district assumes vicarious liability for conduct that does not actually breach any underlying duty and therefore is not tortious. Nothing in General Municipal Law § 205-b supports such an interpretation.[8]

IV.

Our holding that the statutes in question do not impose vicarious negligence liability on a fire district for conduct that is privileged under Vehicle and Traffic Law § 1104 is consistent with this Court's precedent addressing vicarious liability claims against municipalities under that statute. Since its enactment in 1957, both litigants and this Court have understood that section 1104 limits the vicarious liability of municipalities in the same way it does the liability of their emergency vehicle drivers. In *Saarinen v Kerr*, this Court unanimously held that the Village of Massena was entitled to summary judgment in an action arising from a collision caused by a Village emergency vehicle (84 NY2d 494). The Court stated that "[w]ith respect to the Village's *vicarious liability* for [the driver's] conduct, the initial critical question is *what standard should be applied* in evaluating the culpability of that conduct" (*id.* at 499 [emphases added]). The Court concluded that Vehicle and Traffic Law § 1104 (e) "precludes the imposition of liability for otherwise privileged conduct except where the conduct rises to

8. The dissent observes that under General Municipal Law § 205-b, volunteer firefighters remain liable for "wilful negligence or malfeasance," demonstrating that "it is possible for a volunteer firefighter and the fire district both to be liable for the firefighter's conduct based on different theories of liability—the firefighter for their individual conduct under a reckless disregard standard and the district under respondeat superior and a negligence standard" (dissenting op at 512). We agree that the Legislature can immunize a party from individual liability for their breach of a duty while preserving another party's vicarious liability for that same breach (or vice versa)—*as long as the underlying duty of care remains undisturbed*. The fundamental flaw in the dissent's analysis is its failure to recognize that Vehicle and Traffic Law § 1104 modifies the ordinary duty of care when privileged conduct is at issue, thereby eliminating any basis for either individual or vicarious negligence liability.

the level of recklessness" (*id.* at 497). Because the driver had not acted recklessly, the Court held that the Village was entitled to summary judgment—in effect holding that the reckless disregard standard applies to vicarious liability claims against municipalities as well as direct claims against drivers (*see id.* at 503).

Saarinen is not the only decision of this Court that evidences that understanding (*see Frezzell*, 24 NY3d at 215 [affirming dismissal of negligence claims against New York City based on showing that police officer's conduct was privileged under section 1104 and not reckless]; *Campbell*, 84 NY2d at 511 [affirming a jury verdict that the City of Elmira was vicariously liable for the reckless driving of its fire truck driver, explaining that "(t)his is not simply a case of a driver running a red light and committing mere negligence"]).[9] To be sure, none of these cases involved fire districts, and, thus, they understandably do not mention General Municipal Law § 205-b (*see* dissenting op at 516). But General Municipal Law §§ 50-a, 50-b, and 50-c are materially indistinguishable from section 205-b insofar as they provide that *municipalities* are vicariously liable "for the negligence" of authorized persons who drive their vehicles. Indeed, as noted above, section 205-b was enacted in part to harmonize the vicarious liability of fire districts with that of municipalities under sections 50-a through 50-c. *Saarinen*, *Campell*, and *Frezzell* are incompatible with the proposition that sections 50-a through 50-c subject municipalities to vicarious negligence liability for their drivers' statutorily privileged conduct under Vehicle and Traffic Law § 1104. And in the decades since *Saarinen*, the Legislature has not amended any of the relevant statutes in response to our holdings applying the section 1104 (e) reckless disregard standard to vicarious liability claims. The fact that the recklessness standard has for decades been understood by courts and the legal community to benefit municipalities is telling. No convincing reason has been offered why fire districts should be treated differently from municipalities in this regard.

Our conclusion that political subdivisions (fire districts *and* municipalities) have no vicarious liability for ordinary "negli-

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9. The dissent characterizes these decisions as primarily involving direct claims against drivers (*see* dissenting op at 516). However, the appeals in *Saarinen* and *Campbell* involved only vicarious liability claims against municipalities, and *Frezzell* involved both direct and vicarious liability claims.

gence" in a driver's exercise of a Vehicle and Traffic Law § 1104 privilege is also consistent with the Legislature's public policy judgments and objectives in enacting that statute. As explained above, the Legislature's reckless disregard standard avoids judicial second-guessing of difficult and time-pressured decisions and mitigates against the risk that the threat of liability will deter emergency vehicle drivers from taking the types of calculated risks that are occasionally necessary to save lives (*see Frezzell*, 24 NY3d at 217, citing *Saarinen*, 84 NY2d at 502). These concerns are equally applicable where the vicarious liability of a political subdivision is at issue (as, in fact, it was in both *Frezzell* and *Saarinen*). Application of an ordinary negligence standard to claims against fire districts would require judges to dissect and second-guess the split-second, high-pressure decisions of firefighters. Moreover, the possibility of incurring civil vicarious liability for what amounts to a driver's mere failure of judgment could lead fire districts to discourage or even punish their firefighters for taking risks necessary to save lives and property. As we stated in *Saarinen*, "[t]he 'reckless disregard' test, which requires a showing of more than a momentary judgment lapse, is better suited to the legislative goal of encouraging emergency personnel to act swiftly and resolutely while at the same time protecting the public's safety to the extent practicable" (*see* 84 NY2d at 502).

Accordingly, the order should be reversed, with costs, that branch of defendants' motion seeking summary judgment dismissing the complaint insofar as asserted against defendant Commack Fire District granted and certified question answered in the negative.

Rivera, J. (dissenting). Under General Municipal Law § 205-b, a fire district is vicariously liable for its volunteer firefighters' negligent discharge of their duties while operating the district's emergency vehicles. That standard abrogates the common-law rule that municipalities are not vicariously liable for the tortious conduct of their agents and employees. The legislature has taken a more protective approach to individual volunteer firefighters under General Municipal Law § 205-b, shielding them from liability in the discharge of their duties when operating an emergency vehicle, except for wilful negligence or malfeasance. Moreover, under Vehicle and Traffic Law § 1104, volunteer firefighters—and other emergency responders—are further insulated from civil liability for violating certain specified rules of the road, except when their conduct is in reckless disregard of public safety. The only question on this appeal is whether the legislature—sub silentio—supplanted the negligence standard for a fire district's tort liability in General Municipal Law § 205-b with the reckless disregard standard that defines an emergency vehicle driver's liability under Vehicle and Traffic Law § 1104. The unambiguous text yields one answer: General Municipal Law § 205-b sets a negligence standard for the tortious conduct of a fire district's volunteer firefighters at all times when they operate district vehicles in the discharge of their duties.

Unlike with emergency responders, no legislative policy justifies the majority's avoidance of our "rules of the road"—the well-established rules of statutory interpretation—which bind the Court to follow the legislature's carefully calibrated statutory scheme for balancing the interests of local governments and injured parties. The majority upsets this legislatively crafted balance and imposes a standard of liability on the fire district not found in the legislative scheme. Therefore, I dissent.

I.

Plaintiff Courtney Anderson sued defendants Commack Fire District and one of its volunteer firefighters, alleging that she sustained personal injuries when the firefighter drove the District's vehicle through a red light en route to an emergency and collided with plaintiff's car. The parties agree that the standard of vicarious liability applicable to the District has been legislatively set, but dispute whether General Municipal Law § 205-b or Vehicle and Traffic Law § 1104 controls when a fire district's volunteer firefighter ignores traffic rules in the course of responding to an emergency.

A.

As with all questions of statutory interpretation, "[t]he starting point of our analysis is the statutory text because the words of the statute are the best indicator of the legislature's intent. Where the language of the statute is unambiguous, we apply its plain meaning" (*People ex rel. Molinaro v Warden, Rikers Is.*, 39 NY3d 120, 124 [2022] [citations omitted]). "[W]e give meaning to all the words of a statute and read the statute as a whole, harmonizing all of its provisions" (*id.* at 125-126 [citations omitted]). " 'Absent ambiguity the courts may not resort to rules of construction to [alter] the scope and application of a statute' because no such rule 'gives the court discretion to declare the intent of the law when the words are unequivocal' " (*Kuzmich v 50 Murray St. Acquisition LLC*, 34 NY3d 84, 91 [2019], quoting *Bender v Jamaica Hosp.*, 40 NY2d 560, 562 [1976]; *see* McKinney's Cons Laws of NY, Book 1, Statutes § 76).

General Municipal Law § 205-b provides:

> "Members of duly organized volunteer fire companies in this state shall not be liable civilly for any act or acts done by them in the performance of their duty as volunteer firefighters, except for wilful negligence or malfeasance. Nothing in this section contained shall in any manner affect the liability imposed upon cities, towns and villages by sections fifty-a and fifty-b of this chapter, but fire districts created pursuant to law shall be liable for the negligence of volunteer firefighters duly appointed to serve therein in the operation of vehicles owned by the fire district upon the public streets and highways of the fire district, provided such volunteer firefighters, at the time of any accident or injury, were acting in the discharge of their duties. Judgments recovered against a fire district pursuant to this section shall be levied upon the taxable property of such district in the same manner as moneys raised for the support of the district."

In contrast, Vehicle and Traffic Law § 1104 provides, in relevant part:

> "(a) The driver of an authorized emergency vehicle, when involved in an emergency operation, may exercise the privileges set forth in this section, but subject to the conditions herein stated.
>
> "(b) The driver of an authorized emergency vehicle may: . . .
>
> "2. Proceed past a steady red signal, a flashing red signal or a stop sign, but only after slowing down as may be necessary for safe operation[.] . . .
>
> "(c) Except for an authorized emergency vehicle operated as a police vehicle or bicycle, the exemptions herein granted to an authorized emergency vehicle shall apply only when audible signals are sounded from any said vehicle while in motion by

> bell, horn, siren, electronic device or exhaust whistle as may be reasonably necessary, and when the vehicle is equipped with at least one lighted lamp so that from any direction, under normal atmospheric conditions from a distance of five hundred feet from such vehicle, at least one red light will be displayed and visible. . . .
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> "(e) The foregoing provisions shall not relieve the driver of an authorized emergency vehicle from the duty to drive with due regard for the safety of all persons, nor shall such provisions protect the driver from the consequences of his reckless disregard for the safety of others."

The plain language of General Municipal Law § 205-b imposes liability on a fire district for a volunteer firefighter's "negligence . . . in the operation of vehicles owned by the fire district" (General Municipal Law § 205-b). In contrast, Vehicle and Traffic Law § 1104 does not address a *fire district's* liability at all, but sets the standard of liability for the statutorily privileged actions of a *driver* of an authorized emergency vehicle while engaged in an emergency operation, including volunteer firefighters. Put simply, General Municipal Law § 205-b—which expressly applies to fire districts—plainly governs a fire district's liability, whereas Vehicle and Traffic Law § 1104—which governs drivers—plainly does not.

B.

The negligence standard for the liability of a fire district comports with the purpose of both sections. As this Court explained in *Thomas v Consolidated Fire Dist. No. 1 of Town of Niskayuna*, when the legislature enacted General Municipal Law § 205-b in 1934, the Court had not yet held that the waiver of immunity from liability in the Court of Claims Act applied to local state subdivisions (*see* 50 NY2d 143, 146 [1980]). The State waived its immunity in 1929 and, 16 years later, the Court clarified in *Bernardine v City of New York* that this waiver extended to local subdivisions (*see* 294 NY 361, 365-366 [1945]). In enacting General Municipal Law § 205-b, "the [l]egislature sought to assure that there would be some liability on the part of the fire districts where previously there had been some doubt" (*Thomas*, 50 NY2d at 146). Additionally, "[t]he [l]egislature has recognized the fact that volunteer fire[fighters] were liable for personal negligence by the enactment of section 50 (c) and section 205 (b) of the General Municipal Law, by which the municipalities expressly assumed that liability" (*Ottmann v Village of Rockville Ctr.*, 275 NY 270, 274 [1937] [citation omitted]).*

In so doing, General Municipal Law § 205-b abrogated the common-law rule that municipalities are not liable for the torts of their agents caused by performance of their governmental duties (*see Berger v City of New York*, 260 App Div 402, 403 [2d Dept 1940] ["Under the common law a municipality was not liable for the torts of a police( ) (officer) or other agents engaged in performance of duties strictly governmental"], *affd without op* 285 NY 723 [1941]; Letter from Off of Chairman of Law Comm, Firemen's Assn of St of NY, Bill Jacket, L 1934, ch 489 at 5 [explaining that "(u)nder the common law(,) a fire district (was) not liable for the negligent acts of fire(fighters)"]; Dan Lamont, Comment, *Municipal Liability for Torts of Firemen*, 31 Alb L Rev 256, 261-262 [1967]).

Consistent with that waiver of sovereign immunity, the legislature intended to displace any common-law rules that would prevent a fire district from being held liable. Indeed, then-Governor Franklin D. Roosevelt vetoed an earlier version of the bill because it did not go far enough in that it only "exempt[ed] volunteer fire[fighters] from civil liability" without "mak[ing] the fire district[s] which they serve liable for their negligence" (Letter from Off of Chairman of Law Comm, Firemen's Assn of St of NY, Bill Jacket, L 1934, ch 489 at 5).

Essentially, General Municipal Law § 205-b placed fire districts on par with employers for claims sounding in tort stemming from employee conduct. Under established principles of vicarious liability, an employer is liable for the tortious acts of its employee acting within the scope of their employment (*see Rivera v State of New York*, 34 NY3d 383, 389 [2019], citing *Judith M. v Sisters of Charity Hosp.*, 93 NY2d 932, 933 [1999], *Riviello v Waldron*, 47 NY2d 297, 304 [1979], and *Jones v State of New York*, 33 NY2d 275 [1973]; Restatement [Third] of Agency § 7.07; Restatement [Second] of Agency § 219 [1]; *see also* Restatement [Third] of Torts: Apportionment of Liability

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* Notably, under General Municipal Law § 50-c, fire districts are also liable for the negligence of paid firefighters who are acting in the scope of their employment and discharging their statutory duties, as imposed by the fire districts, in the operation of vehicles on the public roadways within the fire districts. Thus, along with General Municipal Law § 205-b, the statutory scheme exposes fire districts to liability for the ordinary negligence of all their firefighters—volunteer and paid.

§ 13). Thus, contrary to the majority's view, General Municipal Law § 205-b is not a liability shifting statute (*see* majority op at 503; *id.* n 6). General Municipal Law § 205-b does not "shift" liability away from the volunteer firefighter at all, but instead sets the respective liabilities for the volunteer firefighter and the fire district based on policy concerns. Under this statute, a volunteer firefighter is not completely absolved of liability; instead their liability is limited to "wilful negligence or malfeasance" (General Municipal Law § 205-b; *cf. Xiang Fu He v Troon Mgt., Inc.*, 34 NY3d 167, 176 [2019] [local ordinance "shift(ed) civil liability from the City to out-of-possession owners" for falls occurring on snow-or ice-covered sidewalks abutting real estate]). Thus, it is possible for a volunteer firefighter and the fire district both to be liable for the firefighter's conduct based on different theories of liability—the firefighter for their individual conduct under a reckless disregard standard and the district under respondeat superior and a negligence standard.

The majority also incorrectly frames Vehicle and Traffic Law § 1104 as setting the duty of care and General Municipal Law § 205-b as merely providing that the district is liable if a volunteer firefighter breaches that specific duty of care (*see* majority op at 503). However, this formulation elides the fact that Vehicle and Traffic Law § 1104 (a) and (b) set forth the privileged conduct—i.e., the actions legislatively permitted for an emergency vehicle driver. As the majority acknowledges (*see* majority op at 501-502), a different provision—Vehicle and Traffic Law § 1104 (e)—sets the standard by which the exercise of that privileged conduct is measured at reckless disregard for the public safety. Thus, an emergency vehicle driver, like a volunteer firefighter, may be civilly liable for tortious injury if they recklessly run a red light while responding to an emergency. Like the "reckless disregard" standard of care in Vehicle and Traffic Law § 1104 (e), the reference to "negligence" in General Municipal Law § 205-b articulates a traditional measure of tort liability (*see e.g. Ferreira v City of Binghamton*, 38 NY3d 298, 308 [2022]; *Solomon v City of New York*, 66 NY2d 1026, 1027 [1985]).

II.

The legislative history of General Municipal Law § 205-b confirms this straightforward reading. The assemblymember who introduced the bill explained that the enacted scheme would correct the "unfair and unjust" situation whereby "volunteer fire[fighters] who are performing a great and indispensible public service" could be held liable under ordinary negligence principles (Assembly Introducer's Mem in Support, Bill Jacket, L 1934, ch 489 at 3). The Firemen's Association of the State of New York, which promoted the legislation, contended that the bill "reliev[ed] volunteer fire[fighters] engaged in the performance of duty as such from civil liability, except in cases of wilful negligence or malfeasance," while "impos[ing] *upon fire districts* liability for negligence on the part of volunteer fire[fighters] duly appointed to serve therein" (Letter from Off of Chairman of Law Comm, Firemen's Assn of St of NY, Bill Jacket, L 1934, ch 489 at 4 [emphasis added]). In support of limiting volunteer firefighters' tort liability, the Firemen's Association further stated:

> "It is manifestly unfair that volunteer fire[fighters] who serve without the hope of fee or reward and solely as a matter of civic duty should be held liable in damages for negligent acts occurring in the performance of their duties. This is particularly true in these days of high powered motor fire apparatus[es] and the congestion of motor traffic on the highways. A volunteer fire[fighter] owning a small homestead may have it taken away merely because an accident happens while [the firefighter] is engaged in driving the fire apparatus to the scene of the fire" (*id.*).

In addition to balancing fire districts' and volunteer firefighters' interests in apportioning their liabilities, General Municipal Law § 205-b also carefully balances volunteer firefighters' and injured parties' interests. The statute ensures a remedy for tort plaintiffs by exposing fire districts to liability for the firefighter's negligence while also immunizing the individual volunteer firefighter from liability unless their conduct was the result of "wilful negligence or malfeasance" (General Municipal Law § 205-b), both heightened standards. "Wilful negligence" has been defined as negligence approaching recklessness (*see* Black's Law Dictionary [11th ed 2019], gross negligence), whereas "malfeasance" is "[a] wrongful, unlawful, or dishonest act; esp[ecially], wrongdoing or misconduct by a public official" (*id.*, malfeasance). Thus, General Municipal Law § 205-b immunizes volunteer firefighters in all but those cases involving intentionally egregious conduct.

In comparison, Vehicle and Traffic Law § 1104 does not refer to the liability of fire districts or the driver's employer for its own conduct, nor does subdivision (e) refer to a fire districts' vicarious liability. Instead, Vehicle and Traffic Law § 1104 applies to drivers of "authorized emergency vehicle[s]"—including volunteer firefighters—during "emergency operation[s]," as defined by Vehicle and Traffic Law §§ 101 and 114-b. This section provides limited immunity for drivers who, as relevant here, drive an authorized emergency vehicle through a red light with sirens and lights activated during an emergency operation (*see* Vehicle and Traffic Law § 1104 [b] [2]; [c], [e]). In those circumstances, the driver still has "the duty to drive with due regard for the safety of all persons" and is liable for "the consequences of [the driver's] reckless disregard for the safety of others" (*id.* subd [e]).

Reckless disregard of public safety is a heightened standard of tort liability that "demands more than a showing of a lack of due care under the circumstances—the showing typically associated with ordinary negligence claims" (*Frezzell v City of New York*, 24 NY3d 213, 217 [2014] [internal quotation marks omitted], quoting *Saarinen v Kerr*, 84 NY2d 494, 501 [1994]). Under it, the driver must have "intentionally done an act of an unreasonable character in disregard of a known or obvious risk that was so great as to make it highly probable that harm would follow and . . . with conscious indifference to the outcome" (*id.* [internal quotation marks omitted], quoting *Saarinen*, 84 NY2d at 501, and Prosser & Keeton, Torts § 34 at 213 [5th ed 1984]). But, again, this more demanding reckless disregard standard applies only when the driver disregards certain traffic rules, like running a red light, while responding to an emergency with the vehicle's lights and sirens activated (*see* Vehicle and Traffic Law § 1104 [b] [2]; [c], [e]). "Any other injury-causing conduct of [the] driver is governed by the principles of ordinary negligence" (*Kabir v County of Monroe*, 16 NY3d 217, 220 [2011]). As the Court stated in *Campbell v City of Elmira*, "the [l]egislature's choice of words in Vehicle and Traffic Law § 1104 (e) reflects a carefully calibrated standard" (84 NY2d 505, 512 [1994]). The majority upsets the legislative scheme and arrives at its atextual interpretation that Vehicle and Traffic Law § 1104 sets the standard of care for a fire district's vicarious liability in derogation of the principle that "[w]e are not at liberty to second-guess the legislature's determination, or to disregard—or rewrite—its statutory text" (*Matter of New York Civ. Liberties Union v New York City Police Dept.*, 32 NY3d 556, 567 [2018], citing *Matter of Wolpoff v Cuomo*, 80 NY2d 70, 79 [1992]). Of course, only by legislative amendment, not judicial fiat, may the language of the statute be altered (*see e.g. Matter of Endara-Caicedo v New York State Dept. of Motor Vehs.*, 38 NY3d 20, 34 [2022, Rivera, J., dissenting]).

The majority jettisons this principle in favor of an interpretation whereby the legislatively-displaced common-law doctrine of vicarious liability is judicially resuscitated to impute Vehicle and Traffic Law § 1104 (e)'s more protective standard for emergency drivers to fire districts. Specifically, the majority relies on the fact that Vehicle and Traffic § Law 1104 (e)'s reckless disregard standard applies "in [a] specific context . . . and is also the later-enacted statute" to conclude that the reckless disregard standard applies to the fire districts (*see* majority op at 504-505). But that fact has no bearing on "the intention of the Legislature" which is of course "our primary consideration" (*Matter of DCH Auto v Town of Mamaroneck*, 38 NY3d 278, 292 [2022]). True, the Court sometimes looks to the order in which statutes are enacted to ascertain their meaning, but typically only to confirm a plain-text reading (*Matter of New York City Tr. Auth. v New York State Pub. Empl. Relations Bd.*, 8 NY3d 226, 233 [2007]). In any case, the fact that the Vehicle and Traffic Law § 1104 (e) does not refer to both the firefighter and the fire district's respective liability, despite the existing statutory structure of General Municipal Law § 205-b, confirms that the legislature did not silently adopt a different standard for fire districts. Indeed, if the legislature had intended to impose the same duty of care on fire districts under General Municipal Law § 205-b, "it would have said so in the statute" (*Cruz v TD Bank, N.A.*, 22 NY3d 61, 72 [2013]; *see also Whitman v American Trucking Assns., Inc.*, 531 US 457, 468 [2001] [noting that "Congress . . . does not alter the fundamental details of a regulatory scheme in vague terms or ancillary provisions"]). Thus, the legislative intent behind the provisions at issue—expressed in their plain texts—is the "convincing reason . . . why fire districts should be treated differently from municipalities" (majority op at 506).

In sum, the plain text of these respective statutes establishes the following standards of tort liability for volunteer firefighters and the fire districts they serve: (1) a volunteer firefighter is liable for the reckless disregard of the safety of others when operating a fire district's authorized emergency vehicle involved in an emergency operation and the firefighter "engages in the specific conduct exempted from the rules of the road by Vehicle and Traffic Law § 1104 (b)" (*Kabir*, 16 NY3d at 220); (2) at all other times during the performance of their duties a volunteer firefighter is liable for "wilful negligence or malfeasance" (General Municipal Law § 205-b) in the operation of the district's vehicle; and (3) the fire district where the volunteer firefighter serves is liable for the negligent conduct of that firefighter when operating the district's vehicle "in the discharge of [the firefighter's] duties" (*id.*), including when driving an emergency vehicle under the conditions set forth in Vehicle and Traffic Law § 1104.

III.

Contrary to the majority's view (*see* majority op at 505-506), our prior case law does not foreclose this interpretation of the respective statutes. *Campbell*, *Saarinen*, *Kabir*, and *Frezzell* did not involve fire districts' liability for their volunteer firefighters. In those cases, the Court had no occasion to consider the applicability of General Municipal Law § 205-b, and instead clarified the applicability and scope of Vehicle and Traffic Law § 1104 as litigated by those parties. *Campbell* involved a City of Elmira fire truck driver and presented the question of whether the evidence supported the jury verdict that the driver acted with reckless disregard of the safety of others in violation of Vehicle and Traffic Law § 1104 (e) (*see* 84 NY2d at 507-508). The Court held the evidence sufficient (*see id.* at 511-513). In *Saarinen*, the Court determined that the standard applicable to privileged conduct by a Village of Massena police officer was Vehicle and Traffic Law § 1104's "reckless disregard" standard, a more demanding standard than that implicated by the "due care under the circumstances" language set forth in that same section (84 NY2d at 501).

In *Kabir*, which involved a Monroe County deputy sheriff, the Court clarified that the recklessness standard in Vehicle and Traffic Law § 1104 (e) applies solely to the privileged conduct in Vehicle and Traffic Law § 1104 (b) when performed under the conditions in subdivision (c) (*see* 16 NY3d at 222-223). In *Frezzell*, the Court concluded that the defendants met their burden of establishing that a New York City police officer's conduct did not amount to reckless disregard for liability under Vehicle and Traffic Law § 1104 (e) (*see* 24 NY3d at 217-219).

The majority attempts to liken this case to those cases because they too "address[ed] . . . claims against municipalities under [Vehicle and Traffic Law § 1104]" (majority op at 505) and, in addition to this sweeping generality, offers an observation that, since the Court decided those cases, the legislature has not amended other provisions of the General Municipal Law—sections 50-a, 50-b, and 50-c (*id.* at 506). Plainly, none of this is relevant to the correct construction of the statutes at issue here. To be sure, "the legislative history of a particular enactment must be reviewed in light of the existing decisional law which the Legislature is presumed to be familiar with and to the extent it left it unchanged, that it accepted" (*Matter of Knight-Ridder Broadcasting v Greenberg*, 70 NY2d 151, 157 [1987]), but in none of these cases—*Saarinen*, *Campbell*, *Frezzell*, or *Kabir*—did the Court so much as mention General Municipal Law § 205-b, let alone opine on whether Vehicle and Traffic Law § 1104 supplanted it regarding the district's vicarious liability for the conduct of its volunteer firefighters.

IV.

The legislative intent to shield volunteer firefighters from liability for tortious acts that are not wilful or malicious—while imposing liability on the fire district for its volunteer firefighters' ordinary negligence—and principles of vicarious liability support the conclusion that General Municipal Law § 205-b sets the fire district's liability and refute the majority's mistaken conclusion that Vehicle and Traffic Law § 1104 displaces this liability sub silentio. Accordingly, I would answer the certified question in the affirmative.

Judges GARCIA, SINGAS and TROUTMAN concur; Judge RIVERA dissents and votes to affirm in an opinion, in which Chief Judge WILSON concurs; Judge HALLIGAN took no part.

Order reversed, with costs, that branch of defendants' motion seeking summary judgment dismissing the complaint insofar as asserted against defendant Commack Fire District granted and certified question answered in the negative.

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